ANNUAL REPORT
2025/26





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Financial Highlights

For the year ended 31 March	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
GROUP										
Performance Indicators - Rs. Mn										
Net profit before tax - Continuing operations	24,379	24,655	9,550	3,376	57,135	83,553	30,062	30,203	54,343	**29,103**
Net profit after tax - Continuing operations	20,921	19,190	5,933	812	53,233	77,596	21,671	21,753	52,497	**24,185**
Total assets	640,925	822,239	1,043,747	1,335,919	874,944	1,371,469	1,566,132	1,739,706	2,029,626	**2,320,959**
New executions (Local)	152,558	172,673	129,588	129,099	100,140	153,267	111,033	252,411	347,905	**573,261**
Lending portfolio (Rentals receivable)	427,365	560,845	723,822	919,319	423,787	616,621	737,384	734,495	818,086	**1,060,091**
Deposits from customers	211,128	307,529	452,075	563,942	263,593	377,575	474,764	506,491	565,644	**694,265**
Outstanding borrowings	294,115	341,549	387,934	503,699	315,610	453,924	508,886	572,942	601,202	**673,251**
Non-performing portfolio	7,736	10,187	16,791	27,140	23,617	25,473	23,677	35,822	22,402	**21,233**
Return on equity (%)	35.54	15.05	14.52	12.21	24.28	31.89	8.96	10.82	15.50	**8.62**
Key Indicators - Rs. per share										
Net asset value per share (adjusted)	123.84	148.28	180.85	194.72	495.09	844.34	535.50	628.39	721.16	**824.79**
Earnings per share (adjusted)	36.11	20.47	23.76	22.93	59.01	128.71	47.08	62.95	104.61	**66.64**
Market capitalization (Rs. Bn)	28.99	56.07	42.25	43.15	138.76	46.70	178.20	188.89	282.63	**251.74**
COMPANY										
Performance Indicators - Rs. Mn										
Net profit before tax - Continuing operations	10,149	4,763	(3,106)	(9,094)	28,317	61,064	22,394	30,347	55,508	**32,348**
Net profit after tax - Continuing operations	9,777	4,699	(3,194)	(9,213)	28,041	61,163	22,374	29,914	55,172	**32,085**
Total assets	102,007	110,723	124,996	191,741	252,953	409,926	457,298	616,474	708,295	**763,292**
New executions	-	-	-	-	-	-	-	-	-	**-**
Lending portfolio (rentals receivable)	850	2,414	2,535	5,513	9,218	10,163	20,542	71,814	92,854	**87,749**
Outstanding borrowings	52,698	54,241	73,524	95,413	105,175	146,018	188,394	308,509	346,818	**344,860**
Non-performing portfolio	153	149	151	151	119	92	91	90	73	**73**
Key Indicators - Rs. per share										
Dividends per share	-	-	-	-	-	-	-	-	-	**-**
Market price per share	61.00	118.00	88.90	88.90	292.00	597.00	375.00	397.50	594.75	**529.75**
Net asset value per share	98.89	108.69	101.49	194.72	291.37	515.81	535.50	628.39	721.16	**824.79**
Debt to equity ratio - Times	1.12	1.05	1.52	1.03	0.76	0.60	0.74	1.03	1.01	**0.88**
Interest cover - Times	2.93	1.78	0.61	0.15	3.98	6.27	1.68	1.62	2.39	**1.86**
Dividend cover - Times	-	-	-	-	-	-	-	-	-	**-**

Executive Chairman's Message

Dear Shareholders,

I am pleased to welcome you to the 47th Annual General Meeting of LOLC Holdings PLC and to present the Audited Financial Statements for the year ended 31st March 2026. Against the backdrop of continuing economic, geopolitical and regulatory changes, LOLC remained focused on strengthening its businesses, managing capital responsibly and pursuing opportunities aligned with its long-term strategy.

As our operations have expanded to 27 countries across three continents, governance and institutional strength have become increasingly important. Our ability to operate responsibly across diverse regulatory, economic and cultural environments is fundamental to our international strategy and to maintaining the confidence placed in us by regulators, investors, customers and business partners.

GLOBAL REACH, LOCAL RELEVANCE

Financial services remain at the heart of LOLC's international presence. Over time, the Group has developed a financial inclusion model that brings together local market knowledge, technology, sound governance and disciplined execution. Today, this model supports our operations across 22 countries in South and Southeast Asia, Central Asia, Africa and Australia.

Our model is designed to broaden access to productive capital for individuals, entrepreneurs and businesses that remain underserved by conventional financial systems. In many of the markets in which we operate, access to finance supports enterprise creation, strengthens household incomes and enables wider participation in economic activity.

Across these diverse markets, our approach remains grounded in local relevance. We seek to build institutions that understand the communities they serve and contribute meaningfully to the development of their respective economies.

As we continue to expand, our objective extends beyond growth in scale. We remain focused on building sustainable institutions, developing local capabilities and applying the experience gained across our network to strengthen operations throughout the Group.

DIVERSIFIED VALUE CREATION

The Group's non-financial businesses continue to play an important role in diversification and long-term value creation.

Our agriculture and plantation interests have evolved into an international platform spanning across Sri Lanka, Africa and Asia. Our tea operations in Sri Lanka, Kenya, Tanzania, Rwanda and China have established us as the world's largest tea producer, with production exceeding 100 million kilograms across a land base of more than 100,000 hectares. We are also the world's largest cinnamon producer. Building on this scale, we continue to move beyond primary production through value addition, downstream integration and the development of higher-value agricultural products.

This focus on value addition is reflected in the commissioning of the Sun Yield extraction facility during the year. By investing in specialised processing and extraction capabilities, we aim to capture a greater share of value across agricultural supply chains and strengthen our resilience to commodity price volatility.

During the year, we also introduced next-generation fertilisers, developed by Browns Agri Solutions and Agstar, designed to improve productivity while minimising fertiliser wastage across our plantations.

Alongside these agricultural initiatives, our businesses in manufacturing and trading, leisure, digital transformation, research and innovation, and other emerging sectors further broadened the Group's capabilities. We will continue to assess these businesses through the same disciplined approach to capital allocation, strategic relevance and long-term value creation.

SUPPORTING ACCESSIBLE ELECTRIC MOBILITY

The transition towards electric mobility is reshaping transportation and creating new opportunities to improve affordability, accessibility and sustainability.

During the year, LOLC collaborated with external partners to support the introduction of two affordably priced electric vehicle models in Sri Lanka. Our contribution drew principally on the Group's financial services capabilities through financing solutions designed to make electric mobility more accessible and affordable to the public.

OUR WIDER RESPONSIBILITY

Our responsibilities extend beyond financial performance. Environmental, social and governance considerations inform how we assess risk, allocate capital and evaluate the long-term sustainability of our businesses.

Climate-related events during the year reinforced the importance of resilience and responsible investment. Across the Group, our businesses continued to support the communities in which they operate while strengthening their focus on environmentally responsible activities and sustainable financing.

We recognise that improving the measurement and reporting of our environmental and social impact requires sustained effort. We remain committed to strengthening these capabilities and demonstrating meaningful progress over time.

LOOKING AHEAD

The Group enters the next phase of its development with a strong international platform, a diversified portfolio and a clear sense of purpose.

We will continue to consolidate our existing businesses, expand selectively into new markets and pursue opportunities in sectors positioned to contribute to the economies of the future.

Our purpose remains centered on expanding access to opportunity, building institutions that can endure through economic cycles and demonstrating the capabilities of an enterprise originating in Sri Lanka on the global stage.

ACKNOWLEDGEMENT

I wish to express my sincere appreciation to our employees around the world. Their dedication, resilience and commitment continue to distinguish LOLC in every market in which we operate.

I also thank our shareholders for their confidence in the Group's strategy and long-term direction, and our regulators and supervisory authorities for their constructive engagement in Sri Lanka and across our international markets.

I extend my sincere appreciation to our Managing Director/Group CEO and my fellow Board members for their leadership, counsel and stewardship.

Finally, I thank our customers, business partners and communities for the trust they continue to place in us. That trust is one of our most valued assets, and one of our greatest responsibilities.



Ishara Nanayakkara
Executive Chairman

Group Managing Director's Review

The financial year ended 31st March 2026 was characterised by strong operational execution across the Group's core businesses and further progress in strengthening the quality, resilience and earnings capacity of our Group Companies. Our geographic and sectoral diversification, spanning financial services, agriculture & plantations, leisure, trading & manufacturing, research & innovation, digital transformation and strategic investments, provides growth opportunities as well as critical resilience.

GROUP PERFORMANCE

During the year under review, the Group achieved a substantial improvement in underlying operating profitability, reflecting the continued strengthening of its core business verticals and the growing contribution from its international operations while profit attributable to shareholders was lower compared with the previous financial year. The comparison reflects the gains arising from new acquisitions recognised in the prior period, which did not recur during the year under review.

The quality and resilience of the Group's underlying earnings provide a strong foundation for continued growth and reinvestment. Strong operating performance across the portfolio continues to enhance the Group's capacity to generate sustainable cash flows, strengthen its financial position and pursue opportunities aligned with its long-term strategy. Accordingly, while headline earnings moderated from the exceptional levels recorded in the previous year, the underlying performance of the business remained strong and continued to strengthen the Group's platform for future growth.

This improvement in underlying performance was supported by meaningful progress in strengthening profitability across several business segments, building on operational excellence and capturing market potential. A key management priority during the year was the optimisation of underperforming assets and businesses across the portfolio. Through a combination of operational restructuring, cost discipline, process standardisation and focused execution, several entities that had previously underperformed returned to profitability during the year, contributing positively to overall Group performance and improving portfolio efficiency. This transition reflects the increasing maturity of the Group's operating model and the benefits arising from scale, shared expertise and the transfer of best practices across businesses and jurisdictions.

The gradual stabilisation of Sri Lanka's political and economic environment also provided a significantly improved operating backdrop for several sectors of the economy, particularly tourism and consumer-facing industries. The recovery in visitor arrivals and increased activity across the hospitality sector translated into a strong year for the Group's leisure businesses. The improvement witnessed within the leisure sector was not solely a consequence of favourable market conditions. The continued focus on operational discipline, revenue management, cost optimisation and service enhancement across our portfolio played an equally important role in strengthening margins and improving overall financial performance.

The year also marked important portfolio developments within the leisure segment, including the divestment of selected assets in the Maldives as part of the Group's ongoing capital allocation strategy aimed at recycling capital towards opportunities capable of generating superior long-term returns. At the same time, the commencement of operations at Nasandhura, now recognised as the tallest structure in the Maldives, represents a significant milestone for the Group's presence within the region and further strengthens our position within one of the Indian Ocean's most important tourism destinations.

Financial services once again remained the principal contributor to Group earnings and continued to demonstrate the strength and scalability of the business model developed by the Group over several decades. Both LOLC Finance and LOLC Cambodia delivered exceptionally strong performances during the year, recording robust growth across their respective businesses and further strengthening their positions within their markets. More broadly, our international financial services portfolio achieved an important milestone during the year, with profitability achieved across the vast majority of overseas operations. Several of these businesses represent relatively recent market entries and remain within their early growth phases, making this achievement particularly noteworthy.

The Group's international expansion strategy has always recognised that new markets require time, investment and local adaptation before reaching sustainable profitability. The fact that nearly every country operation is now generating positive returns reflects the quality of our market selection, the effectiveness of our operating model and the commitment of our staff. We remain confident that the remaining businesses currently undergoing investment and scale-up phases will continue to make meaningful progress during the current financial year, further strengthening the contribution of our international portfolio to Group earnings.

The increasing consistency of performance of our international operations across Asia, Central Asia and Africa has been supported by the successful standardisation of operating frameworks, governance practices and management systems across multiple jurisdictions. The transfer of institutional knowledge accumulated over many years has enabled businesses operating in diverse regulatory and cultural environments to benefit from a common operating philosophy while retaining sufficient flexibility to respond to local market conditions. Digital platforms redefined how financial institutions engaged with clients and rapid technological advancements continued to redefine competitive dynamics.

The improving macroeconomic outlook across several African economies also contributed positively to performance during the year. Africa continues to emerge as one of the most compelling long-term growth regions globally, supported by favourable demographics, urbanisation, increasing financial inclusion and rising entrepreneurial activity. The Group remains well positioned to participate in these structural growth trends through its established presence across the continent.

The plantation sector delivered a significantly improved performance during the year, supported by ongoing initiatives aimed at improving operational efficiency, strengthening agronomic practices and enhancing productivity across estates.

Particularly encouraging were the improvements recorded within our African plantation operations, where management initiatives focused on cost rationalisation, yield optimisation and improved estate management practices contributed positively to both production and profitability. We are proud to say that the Group is the largest producer of tea in the world with plantations and factories across Sri Lanka, Kenya, Tanzania, Rwanda and China.

The trading and manufacturing vertical, under Brown & Company PLC also showed strong growth while maintaining market leadership positions in key market segments – automotive batteries, veterinary pharmaceuticals and agricultural machinery.

The Group also continued to invest in emerging growth platforms aligned with long-term structural trends. Our advanced technologies sector progressed further during the year. The commissioning of the Sun Yield bio-ingredients extraction facility marked the Group's entry into export-oriented natural extracts, complementing our plantation operations by capturing value further along the agricultural chain. Alongside continued progress in graphene applications and pyrolysis-based waste-to-energy capabilities, these platforms position the Group to participate in industries with meaningful long-term potential.

ADVANCING AI-ENABLED TRANSFORMATION

Operational excellence remains central to the Group's management agenda and the year under review marked the beginning of a significant transformation initiative centred around the application of artificial intelligence across multiple business functions. While still at an early stage of implementation, the opportunities presented by artificial intelligence to improve productivity, accelerate decision-making and optimise resource utilisation are substantial.

Across financial services, leisure, plantations and corporate functions, we have identified numerous operational processes capable of benefiting from intelligent automation and advanced analytics. The Group therefore commenced a structured programme during the year to identify high-impact applications of artificial intelligence and embed these capabilities progressively across its businesses. This initiative represents not merely a technology investment but an important component of our broader competitiveness strategy as we seek to improve operating leverage and create more agile, data-driven organisations capable of responding rapidly to changing market conditions.

SUSTAINABILITY AND ESG

At LOLC Holdings, sustainability remains a core strategic imperative and central to our commitment to creating long-term value for all stakeholders. Oversight is provided by the Group Board Sustainability Committee, supported by Sustainability Management Committees across each key sector, ensuring that climate-related risks and opportunities are assessed within the same framework as our other strategic and operational risks. Cyclone Ditwah tested this in practice. Gross claims exposure was estimated at Rs. 6.3 billion at year end, substantially covered by catastrophe reinsurance, and our businesses mobilised quickly to support affected policyholders and borrowers. Beyond our commercial response, the Group committed over Rs. 400 million through the LOLC Divi Saviya platform towards relief and restoration for affected communities. During the year, green lending exposure reached Rs. 2.39 billion, our financial services sector began measuring financed emissions as a signatory to the Partnership for Carbon Accounting Financials, and Rs. 41.5 million was directed towards climate-risk management. The Group will continue to build on the progress achieved, with further strengthening of data and measurement capabilities across all sectors remaining a key priority for the year ahead.

FUTURE OUTLOOK

Looking ahead, our strategic priorities remain clear. Financial services will continue to represent the Group's primary growth engine and we remain focused on further strengthening our position as the world's largest micro and SME financial services platform. Scale has historically been one of the Group's defining competitive advantages and remains central to our long-term strategy. Accordingly, we continue to evaluate opportunities for expansion within new geographies, including selected markets in Latin America, Africa and Asia, where the Group's expertise in micro and SME financing can be leveraged to build meaningful long-term positions.

Alongside geographic expansion, management attention will remain focused on enhancing funding diversity, strengthening liquidity management and further optimising capital structures across the Group in order to support future growth requirements while preserving financial flexibility.

The year ahead is likely to present a more complex external environment than the one experienced during much of the period under review. While domestic macroeconomic conditions remain broadly supportive and Sri Lanka continues to provide a stable investment environment, developments within the Middle East and wider geopolitical tensions have the potential to introduce renewed volatility into global markets. The Group continues to monitor these developments closely and has taken appropriate measures to mitigate potential exposures where necessary.

The resilience demonstrated by the Group over many years provides confidence in our ability to navigate periods of uncertainty while continuing to pursue strategic opportunities that emerge from changing market conditions. As we enter the new financial year, the Group does so with a stronger operating platform, a more profitable international portfolio and a clear strategic direction for the future. The foundations established during the year under review position us well to pursue the next phase of growth while continuing to strengthen the quality, sustainability and resilience of our earnings profile.

APPRECIATION

I would like to express my sincere appreciation to all those who have contributed to the

Group's progress and resilience throughout the year under review.

The commitment demonstrated by our employees across the organisation has been instrumental in maintaining operational momentum and delivering results in an increasingly dynamic business environment.

I am equally grateful to our shareholders for their continued confidence in the Group's leadership, strategy and long-term direction.

My appreciation also extends to our regulators and supervisory authorities whose constructive engagement and guidance have supported our efforts to operate responsibly while adapting to an evolving regulatory landscape across our markets.

I wish to place on record my sincere thanks to our Chairman and the Board of Directors for their leadership, insight and stewardship, which continue to provide clarity of direction and strong governance across the Group.

Finally, I extend my gratitude to our customers and business partners for the confidence they continue to place in our institutions and for the enduring relationships that underpin our success.



W D K Jayawardena
Group Managing Director/Chief Executive Officer

Board of Directors

ISHARA NANAYAKKARA

Executive Chairman

Mr. Ishara Nanayakkara is a distinguished Sri Lankan entrepreneur and Executive Chairman of LOLC Holdings PLC, whose visionary leadership has transformed LOLC from a domestic financial institution into a diversified global conglomerate. Drawing on a strong business lineage and early involvement in family enterprises, he strategically entered financial services through an investment in LOLC and was appointed to its Board in 2002.

Over the ensuing decades, Mr. Nanayakkara's strategic foresight, entrepreneurial conviction and disciplined execution have driven LOLC's expansion across nine sectors, including financial services, leisure, agriculture and plantations, construction, manufacturing and trading, digital services, advanced technology, mining and renewable energy. Today, the Group spans 27 countries across Asia, Africa, Central Asia and Australia, with an international workforce of more than 56,000 employees and with total assets of approximately LKR 2.32 trillion (USD 7.4 billion).

Central to his success has been a deep commitment to microfinance and the Micro, Small and Medium Enterprise (MSME) sector. Under his direction, LOLC has established a significant financial-services presence across emerging and frontier markets, including Cambodia, Myanmar, Pakistan, Indonesia, the Philippines, India, Zambia, Nigeria, Egypt, Malawi, Tanzania, Zimbabwe, Kenya, Rwanda, the Democratic Republic of the Congo, Kyrgyzstan, Kazakhstan and Tajikistan. He was also pivotal in establishing LOLC's Life and General Insurance businesses and pioneering micro-insurance solutions that extend financial protection to underserved communities.

Beyond financial services, Mr. Nanayakkara has built a diversified portfolio across industries fundamental to emerging economies. The Group's non-financial interests include Brown & Company PLC, an institution with a 150-year heritage and established market leadership across several industries. In leisure, LOLC commands one of Sri Lanka's largest hotel portfolios, extending to the Maldives and Mauritius. Its plantation interests have developed into the world's largest tea manufacturing operation, producing more than 100 million kilograms annually across approximately 100,000 hectares in Sri Lanka, Kenya, Tanzania, China and Rwanda, complemented by interests in sugar, cinnamon, rubber, commercial timber and value-added products including targeted fertilizers for safer harvests and overall food security for the nation.

Innovation remains a defining dimension of his leadership. As a former Chairman of the Sri Lanka Institute of Nanotechnology, Mr. Nanayakkara has championed advanced scientific ventures, including the conversion of high-purity graphite into graphene and its potential applications across various industries. His strategic interests further extend to renewable energy and initiatives aimed at broadening access to affordable electric mobility.

Complementing this commercial vision is a commitment to social and environmental stewardship. Through LOLC Divi Saviya, the Group has delivered large-scale humanitarian assistance, providing a complete set of essentials for students and educational support for over 40 % of schools nationwide, conservation initiatives including Sri Lankan leopard protection, and reforestation programmes - reflecting a philosophy in which enterprise, community advancement and sustainable development remain intrinsically connected.

Mr. Nanayakkara's contribution to entrepreneurship and financial inclusion has received international recognition, including acknowledgement by the INSEAD Business School for his contribution to microfinance and the Young Entrepreneur of the Year Award at the 2012 Asia Pacific Entrepreneurship Awards. His academic journey spans Sri Lanka and Australia, and he is an Honorary Fellow of the Institute of Chartered Professional Managers of Sri Lanka.

Mr. Nanayakkara presently serves as Executive Chairman of LOLC Holdings PLC, Brown & Company PLC and Browns Investments PLC. He continues to shape LOLC's global trajectory with a distinctive combination of entrepreneurial ambition, strategic precision and disciplined execution, advancing an enterprise built on innovation, financial inclusion and enduring stakeholder value.

KAPILA JAYAWARDENA

Group Managing Director/CEO

Mr. Kapila Jayawardena is a seasoned leader in banking and investment banking with extensive experience across both local and international financial sectors. He joined LOLC Holdings PLC in 2007, marking the beginning of a defining chapter in the Group's evolution. At the time, LOLC was primarily a domestic leasing company. Under his leadership, the Group has transformed into a globally diversified conglomerate with operations spanning nine strategic business verticals. Combining entrepreneurial vision with strong governance and disciplined financial management, he has successfully steered the Group through multiple economic cycles while driving its local and international expansion and optimising capital allocation.

In addition to his executive responsibilities at LOLC Holdings PLC, Mr. Jayawardena serves as Chairman and Director of several Group companies, including Eden Hotel Lanka PLC, Serendib Hotels PLC, Dolphin Hotels PLC, Hotel Sigiriya PLC, Palm Garden Hotels PLC, LOLC Securities Limited and LOLC Life Assurance Limited. He also serves on the Boards of Brown & Company PLC, Browns Investments PLC, LOLC International (Private) Limited, LOLC Advanced Technologies (Private) Limited, LOLC Asia (Private) Limited, LOLC Global (Private) Limited, Ceylon Graphene Technologies (Private) Limited and LOLC Africa Holdings (Private) Limited.

Prior to joining the LOLC Group, Mr. Jayawardena served as Country Head and Chief Executive Officer of Citibank N.A. for Sri Lanka and the Maldives from 1998 to 2007. During his tenure, he successfully led the institution through a period of operational strengthening and sustainable growth. In recognition of his outstanding leadership and transformative contribution to LOLC Holdings PLC, Mr. Jayawardena received the Citi Distinguished Alumni Award for Leadership from Citi Group, New York, in 2024.

Mr. Jayawardena has also made significant contributions to the wider financial services industry. He served as Chairman of the Sri Lanka Banks' Association (2003/04), President of the American Chamber of

Commerce in Sri Lanka (2006/07), and was a member of the Financial Sector Reforms Committee, the National Council for Economic Development, and the United States–Sri Lanka Fulbright Commission.

He holds an MBA in Financial Management and is a Fellow of the Institute of Bankers. He is also an Associate Member of the Institute of Cost and Executive Accountants, London, United Kingdom.

KALSHA AMARASINGHE
Executive Director

Mrs. Kalsha Amarasinghe holds an Honours Degree in Economics and has an outstanding vision for investments.

Mrs. Amarasinghe serves on the Boards and subsidiaries of LOLC Holdings PLC and Brown & Company PLC including Palm Garden Hotels PLC, Eden Hotel Lanka PLC, LOLC General Insurance PLC, Browns Investments PLC, Serendib Hotels PLC, Hotel Sigiriya PLC, Green Paradise (Pvt) Ltd, P L Resorts Ltd, Browns Holdings Ltd and Three Tips Ella (Pvt) Ltd.

CONRAD DIAS
Non-Executive Director

Mr. Conrad Dias holds a Master's in Business Administration (MBA) from University of Leicester UK, Fellow Member of Chartered Management Accountants UK (FCMA) & Chartered Global Management Accountants (CGMA-USA). He is also a Fellow of Certified Management Accountants of Sri Lanka (FCMA), and British Computer Society (FBCS).

His experience spans close to three decades and as a visionary thought leader in business technology and his C-Level experience spans over 20+ years. He is a fintech enthusiast who innovated many financial technology products, solutions and he is the founder of iPay, a revolutionary platform beyond payments and founder of OYES, another fintech platform that makes everyday a payday.

His thought leadership on technology and contribution in the field of ICT to the industry, society and in LOLC Group has been recognised by many local and international awards including the prestigious Computer Society of Sri Lanka CIO of the year 2016. He was also awarded the Professional Excellence Award 2017 at the event organised by the Institute of Certified Management of Accountants Sri Lanka. Further, he was selected as one of the 11 inductees of the Global CIO Hall of Fame 2020 and CIO 100 honouree for year 2020, the only Sri Lankan to get this accolade and also the CIMA top 50 ICONS in the year 2021.

KANDIAH SUNDARARAJ
Senior Independent Director

Mr. Kandiah Sundararaj counts over 29 years experience in Accounting, Auditing and Tax consulting. He started his career as a Chartered Accountant in 1998 and is currently serving as the Tax Partner in M/s Amerasekera and Company, Chartered Accountants.

Mr. Sundararaj is a fellow member of the Institute of Chartered Accountants of Sri Lanka and holds a Master of Business Administration in Finance from the University of Colombo.

KANTHIMANY SIVANESAN
Independent Director

Mr. K. Sivanesan is a distinguished tax practitioner in Sri Lanka and currently serves as the Senior Partner and Head of Tax at Amerasekera & Co., Chartered Accountants. With over 25 years of extensive experience in taxation, he is widely recognized for his expertise in tax advisory, compliance, and regulatory matters.

He holds a Bachelor's Degree in Commerce from the University of Sri Jayewardenepura and is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). He is also a member of the Institute of Certified Management Accountants of Sri Lanka (CMA Sri Lanka).

Mr. Sivanesan serves as an Independent Director on the Boards of LOLC Holdings PLC, Browns Investments PLC, LOLC Life Assurance Limited, Hapugastenne Plantations PLC, Udapussellawa Plantations PLC, Tea Smallholder Factories PLC, Agstar PLC. He is a Director of Waharaka Energy (Private) Limited.

SANJAYA KALIDASA
Non-Executive Director

Mr. Sanjaya Kalidasa is an expert in Treasury, ALM and Fund Management with over 20 years of professional experience in both financial and non-financial sectors through his career in Multi National Groups. Mr. Kalidasa started off his career at one of the Development banks and worked at the Central Bank of Sri Lanka/Government Treasury prior to joining to the management at Group Treasury to the then largest listed Multinational Conglomerate in Sri Lanka. He is proficient in international investments, mergers and acquisitions, investment portfolio management and other strategic diversification in over 25 international markets. He serves as a director on several LOLC Group Boards including LOLC Financial Sector Holdings Pvt Ltd, Singapore, LOLC Asia Pvt Ltd, Singapore and Gal Oya Holdings Pvt Ltd.

Mr. Kalidasa holds a Masters in Financial Economics, a BSc (Hons) in Business, Finance & Computational Mathematics and is a FCMA.

ENDURING PERFORMANCE, CONSISTENT GROWTH

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FINANCIAL REVIEW

THE GROUP DELIVERED A STANDOUT OPERATING PERFORMANCE IN THE FY2025/26, WITH GROSS INCOME RISING BY 27.6% TO LKR 429.1 BILLION AND RESULTS FROM OPERATING ACTIVITIES SURGING BY 53.0% TO LKR 70.3 BILLION. OPERATING PROFIT BEFORE DEPRECIATION AND AMORTISATION STRENGTHENED TO APPROXIMATELY LKR 87.8 BILLION, WHILE TOTAL ASSETS EXPANDED TO LKR 2.32 TRILLION AND NET ASSETS PER SHARE ROSE BY 14.4% TO LKR 824.79.

LOLC Holdings PLC delivered a strong financial performance in the fiscal year 2025/26, marked by broad-based income growth, a significant expansion in core operating profitability, and continued strengthening of the Group's balance sheet and shareholder value across its diversified, internationally-scaled business model.

REVENUE AND PROFITABILITY

The Group reported gross income of LKR 429.1 billion, a robust 27.6% increase over the previous year, with every operating segment contributing to the growth. This was supported by a 13.3% rise in interest income to LKR 189.2 billion and, more notably, a 44.9% surge in revenue to LKR 158.2 billion, underlining the Group's successful expansion across its core business sectors. Gross profit strengthened by 41.9% to LKR 61.7 billion from LKR 43.5 billion, reflecting the growing contribution from the manufacturing, trading, leisure and plantation businesses.

Results from operating activities, the clearest measure of the Group's underlying earnings power, increased by an impressive 53.0% to LKR 70.3 billion from LKR 46.0 billion, the defining feature of the year's performance and a reflection of stronger contributions from key business verticals and improved operating leverage across the Group. Adding back depreciation and amortisation, operating profit before depreciation and amortisation rose to approximately LKR 87.8 billion from approximately LKR 58.7 billion, a gain of roughly 50%, evidencing the enhanced earnings capacity of the Group's underlying businesses.

Profit before tax from continuing operations and profit after tax moderated to LKR 29.1 billion and LKR 23.4 billion respectively, a year-on-year movement that is entirely explained by the exceptionally large LKR 54.5 billion one-off bargain purchase gain recognised in the comparative period, which normalised to LKR 2.1 billion in the FY2025/26. Stripped of this base effect, the Group's recurring operating profitability was substantially stronger in the FY2025/26 than in the prior year, anchored by the 53.0% increase in results from operating activities. Net finance cost also improved, declining by 6.9% to LKR 46.4 billion, while disciplined cost management kept the growth in operating expenses well below the pace of income growth.

EARNINGS AND SHAREHOLDER VALUE

Net assets per share continued its strong upward trajectory, rising by 14.4% to LKR 824.79 from LKR 721.16, reflecting the Group's steadily strengthening equity position and its ability to compound shareholder value year after year. Basic earnings per share moderated to LKR 66.64 from LKR 104.61, consistent with the high prior-year base created by the one-off bargain purchase gain discussed above rather than any weakening in the recurring earnings capacity.

FINANCIAL POSITION

Total assets expanded by 14.3% to LKR 2,320.96 billion, underpinned by strong growth in the Group's lending and lease book, with advances and other loans at amortised cost up 30.7% to LKR 981.8 billion, alongside continued investment in property, plant and equipment. The Group's equity base grew by 8.3% to LKR 654.63 billion, reflecting sustained profitability and reinvestment. Deposit liabilities grew by a healthy 22.7% to LKR 694.27 billion, reflecting continued customer confidence and effective liability mobilisation, while interest-bearing borrowings increased by 12.0% to LKR 673.25 billion in support of the Group's expanding lending franchise. The balance sheet remains robust, with a healthy capital structure supporting continued growth.

SEGMENT PERFORMANCE

- Financial Services remained the Group's cornerstone, delivering a gross income of LKR 219.9 billion (+15.2%) and results from operating activities of LKR 51.9 billion, a strong 32.1% increase, led by LOLC Finance PLC's record-high Profit After Tax of LKR 27.4 billion and 39% growth in its gross lending portfolio.
- Manufacturing, Trading & Services was a standout performer, with gross income up by 49.1% to LKR 76.6 billion and results from operating activities more than tripling to LKR 9.2 billion from LKR 2.6 billion.

» Plantation & Agri delivered the strongest income growth of any segment, up by 58.2% to LKR 87.4 billion, and completed a decisive turnaround from an operating loss of LKR 5.0 billion in the FY2024/25 to an operating profit in the FY2025/26 — a significant milestone for the segment following sustained operational improvement initiatives.

» Long-term & general insurance continued to grow steadily, with income up by 12.4% to LKR 26.1 billion and results from operating activities holding broadly stable at LKR 1.48 billion.

» Leisure & Real Estate grew income by a strong 38.6% to LKR 17.7 billion, positioning the segment for improved profitability as recent investments mature, even as short-term operating results remained close to breakeven.

» Group-wide, Digital Financial Services continued to scale rapidly, with the iPay platform surpassing Rs. 650 billion in cumulative transaction value since inception and registered users approaching 800,000, reinforcing the Group's leadership in Sri Lanka's digital payments ecosystem.

FUTURE OUTLOOK

LOLC Holdings PLC remains confident in its growth trajectory and strategic direction, building on a year of broad-based income growth and a substantially strengthened operating platform. Key strategic priorities include:

» Consolidating the Plantation & Agri Turnaround: Building on the segment's return to profitability, with continued focus on operational efficiency across the Group's plantation footprint.

» Scaling Digital Financial Services: Deepening the reach of iPay and related digital platforms, including evaluating expansion into selected overseas markets across Asia and Africa.

» Sustaining Financial Services Momentum: Continuing the strong credit growth delivered by LOLC Finance PLC and the broader financial services segment, aligned with the wider economic recovery.

» Strengthening Leisure & Real Estate Returns: Converting the segment's strong income growth into improved operating profitability as recent investments mature.

Through these initiatives, the Group is well-positioned to sustain growth, further strengthen shareholder value and uphold its commitment to operational excellence and stakeholder trust.

CONCLUSION

LOLC Holdings PLC has demonstrated strong financial resilience and operational momentum in the FY2025/26. Gross income grew by 27.6%, results from operating activities surged by 53.0%, and the balance sheet expanded further, with total assets up 14.3% and net assets per share up by 14.4%. The Plantation & Agri segment's return to profitability and the continued strength of the Financial Services franchise, led by LOLC Finance PLC's record results, underscore the Group's diversified and resilient business model. With a clear set of strategic priorities in place, the Group is well-equipped to continue delivering sustainable long-term growth and returns to shareholders.

Operating Environment

GLOBAL ECONOMIC REVIEW

The global economy remained resilient during 2025 despite heightened geopolitical tensions, persistent trade policy uncertainty and uneven regional growth. While the pace of expansion moderated relative to previous years, global activity continued to be supported by steady labour markets, easing inflation and improving financial conditions in many advanced and emerging economies. However, rising protectionism, policy uncertainty and ongoing geopolitical conflicts continued to weigh on investment sentiment and international trade, resulting in a cautious global outlook.

Global inflation continued its gradual moderation during 2025 as supply chain pressures eased and commodity prices stabilised. Although inflation remained above Central Bank targets in several economies, declining energy prices and improving supply conditions supported the disinflation process. In response, many central banks shifted from aggressive monetary tightening towards a more accommodative policy stance, with several major economies beginning to reduce policy interest rates or signalling the start of monetary easing.

Meanwhile, trade continued to recover globally during the year, although growth remained constrained by increasing trade barriers and evolving tariff policies. International supply chains improved compared to previous years, supporting stronger manufacturing activity and export growth across several economies. However, the resurgence of protectionist measures, particularly changes to US trade policies, created uncertainty for export-oriented economies and multinational businesses. Many countries responded by strengthening regional trade partnerships and diversifying export markets to improve supply chain resilience.

Commodity prices generally moderated during 2025, providing relief to inflationary pressures across many economies. Global crude oil prices trended downward for much of the year as increased production and relatively subdued global demand offset supply concerns. Average Brent crude oil prices declined significantly compared to 2024, although intermittent volatility emerged due to geopolitical tensions in the Middle East. These developments contributed to lower energy costs for many importing countries, although renewed conflict towards early 2026 resulted in a sharp rebound in oil prices and renewed uncertainty in energy markets.

Financial markets remained broadly stable despite elevated uncertainty. Expectations of lower policy interest rates, improving inflation trends and resilient corporate earnings supported investor sentiment across many global equity markets. At the same time, financial markets remained sensitive to geopolitical developments, trade policy announcements and changes in central bank guidance, contributing to periodic volatility in global capital flows and asset prices. Emerging markets continued to experience varying levels of foreign investment, influenced by domestic reform progress, exchange rate movements and external financing conditions.

The services sector continued to outperform manufacturing in many advanced economies, supported by strong consumer spending, tourism and financial services. Technology remained one of the fastest-growing sectors globally, driven by continued investment in cloud computing, cybersecurity, digital transformation and artificial intelligence. Demand for AI-enabled enterprise solutions accelerated significantly, prompting increased investment across both public and private sectors. Manufacturing activity improved gradually as supply chain disruptions eased, although growth remained uneven across regions due to weaker external demand and trade-related uncertainties. Meanwhile, global tourism continued its recovery, with international travel approaching or surpassing pre-pandemic levels in several regions.

The global operating environment remained characterised by significant uncertainty throughout the year. Escalating geopolitical conflicts, particularly in Eastern Europe and the Middle East, continued to disrupt trade routes, commodity markets and investor confidence. Rising protectionism and evolving tariff policies created additional uncertainty for exporters and global supply chains. Climate-related events became increasingly frequent, affecting agricultural production, food security and infrastructure across several regions, while elevated public debt levels and fiscal pressures continued to constrain policy flexibility in many economies. The outlook for the global economy remains subject to downside risks arising from geopolitical tensions, trade fragmentation, climate-related disruptions and financial market volatility.

SRI LANKA MACROECONOMIC REVIEW

Sri Lanka's economy consolidated its recovery in 2025, recording a real GDP growth of 5.0% for the second consecutive year despite heightened global uncertainty, evolving trade policy developments and the adverse impact of Cyclone Ditwah towards the end of the year. The recovery was supported by continued macroeconomic stabilisation, ongoing structural reforms, easing monetary conditions and improving private sector activity. Economic expansion was broad-based, with all four quarters contributing positively to growth, demonstrating the increasing resilience of the economy following the crisis period. GDP at current market prices increased to Rs. 32.8 trillion (USD 108.8 billion), while GDP per capita rose above USD 5,000, reflecting improving income levels and stronger economic activity. Growth was driven primarily by the industry sector, particularly manufacturing and construction, supported by the gradual revival of investment activity and infrastructure development. The services sector continued to make a significant contribution, led by financial services, transportation, real estate, computer programming, accommodation and insurance activities, reflecting stronger domestic demand and the continued recovery of tourism-related industries. Agricultural activity also recorded stronger growth than in the previous year, benefiting from improved performances in coconut, rice and animal production, although adverse weather conditions during the latter part of the year affected certain crops.

Inflation remained well-contained throughout 2025. Following eleven consecutive months of deflation, headline inflation returned to positive territory in August and increased gradually during the remainder of the year as food prices recovered and deflationary pressures from energy and transport eased. Headline inflation, measured by the Colombo Consumer Price Index, stood at 2.1% at year-end, while core inflation remained at relatively

low levels, indicating that underlying demand-side inflationary pressures were still moderate despite the economic recovery. Overall price movements were influenced largely by supply-side factors, including changes in food prices, electricity tariff revisions and temporary weather-related disruptions.

The Central Bank maintained an accommodative monetary policy stance during the year, supported by benign inflation, well-anchored inflation expectations and improving macroeconomic fundamentals. The Overnight Policy Rate was reduced by a further 25 basis points, extending the easing cycle that began in 2023. Consequently, market interest rates continued their downward adjustment for much of the year, lowering borrowing costs and encouraging greater private sector investment and consumption, although some short-term upward pressure emerged during the latter part of the year due to temporary liquidity conditions and increased competition for deposits. Strong credit demand contributed to record expansion in private sector lending, while broad money growth accelerated to 11.5% as banking sector liquidity and net foreign assets improved. The moderation in government borrowing also created greater space for private sector credit expansion, reversing the crowding-out effects experienced during the crisis years.

Sri Lanka's external position strengthened further during 2025, with the current account recording a surplus for the third consecutive year. Although merchandise imports expanded significantly following the removal of vehicle import restrictions, stronger services earnings, increased workers' remittances and a lower primary income deficit this enabled the current account surplus to improve to approximately USD 1.7 billion, compared with USD 1.2 billion in 2024. Improved foreign currency inflows also enabled the Central Bank to rebuild official reserves to around USD 6.8 billion, despite meeting the country's largest external debt servicing obligations since 2020. The Sri Lankan Rupee depreciated moderately during the year after appreciating over the previous two years, reflecting stronger import demand and evolving global market conditions under the flexible exchange rate regime.

Sri Lanka's export sector recorded a historic performance during 2025, with merchandise exports reaching a record USD 13.6 billion, representing 6.3% growth over the previous year. Growth was driven by stronger industrial and agricultural exports amid improving global demand. Textile and garment exports, the largest export category, increased to USD 5.3 billion, while exports of food, beverages and tobacco recorded robust growth. Agricultural export earnings exceeded USD 3 billion for the first time, supported by higher exports of tea, coconut products and other value-added agricultural products. Overall trade volumes improved, although higher merchandise imports, particularly motor vehicles and investment goods, resulted in a wider trade deficit.

The financial sector remained stable throughout the year, supported by improving liquidity, stronger foreign exchange reserves, declining interest rates and continued macroeconomic reforms. The banking sector balance sheets strengthened alongside a significant expansion in private sector credit, reflecting growing confidence among businesses and consumers. Credit growth was broad-based, with notable increases across wholesale and retail trade, financial services, construction, manufacturing, transportation and personal lending. Fiscal consolidation also reduced reliance on domestic bank financing, allowing greater resources to flow towards productive private sector activities. These developments reinforced the resilience of the financial system while supporting the broader economic recovery.

Despite the favourable macroeconomic backdrop, several challenges persisted during the year. Global trade uncertainty, particularly changes to international tariff regimes, continued to weigh on external demand, while Cyclone Ditwah disrupted agricultural production, transportation and food supply chains towards the end of the year. The complete removal of vehicle import restrictions increased import expenditure, contributing to a wider merchandise trade deficit and moderate depreciation of the Sri Lankan Rupee. Meanwhile, subdued core inflation suggested that domestic demand had not yet fully normalised, highlighting the need to sustain structural reforms, strengthen fiscal discipline and continue building external buffers to support long-term economic resilience.

Looking ahead, Sri Lanka is expected to sustain its recovery, supported by continued macroeconomic stability, prudent fiscal and monetary policies, and the ongoing implementation of structural reforms. Strengthening private sector investment, improving credit growth, resilient export performance, rising tourism earnings and healthy remittance inflows are expected to remain key drivers of economic activity.

FINANCIAL SERVICES

LOLC FINANCE PLC RECORDED ITS HIGHEST-EVER PROFIT AFTER TAX OF LKR 27.4 BILLION DURING THE YEAR, WHILE THE GROSS LENDING PORTFOLIO EXPANDED BY APPROXIMATELY LKR 118 BILLION, REPRESENTING GROWTH OF MORE THAN 39%.

LOCAL

LOLC FINANCE

LOLC Finance PLC recorded its highest-ever Profit After Tax of LKR 27.4 billion during the year, while the gross lending portfolio expanded by approximately LKR 118 billion, representing growth of more than 39%. Performance was broad-based, with SME financing, personal finance, microfinance, gold loans, Islamic finance, operating leases, factoring and working capital financing all making meaningful contributions to the Company's record results. The Company concluded the year with a Gross NPL ratio of 5.02% and a Net NPL ratio of 3.24%, reflecting disciplined underwriting, effective recovery mechanisms and a robust risk management framework. The continued strength of this diversified operating model enabled LOLC Finance to capitalise on opportunities across multiple market segments while maintaining a well-balanced risk profile.

The Company successfully accelerated growth in savings mobilisation while reinforcing its position as the leading Non-Bank Financial Institution (NBFI) in digital payments and customer-centric deposit solutions. The savings portfolio, which stood at approximately LKR 14 billion at the beginning of the year, expanded by 14% to LKR 16.4 billion during the year as a result of focused product development and targeted market positioning initiatives. A major contributor to this growth was the relaunch of the 'LOLC Super Savings' proposition and other customer-specific propositions tailored to different demographic and income segments. These included the Smart Champ Savings Account for children, the OYES Salary Saver account targeting salaried employees and broader savings products catering to general retail customers. The Fixed Deposit base including accrued interest increased by Rs. 43.7 Bn during the period under review, reflecting customer confidence and the effectiveness of the business's liability mobilisation strategy. Digital banking remained a central pillar of the business strategy during the year. Customers continued to benefit from the LOLC Finance debit card proposition, supported through the Company's partnership with Hatton National Bank. Complementing this, the LOLC Realtime online banking platform enabled customers to conduct transfers, bill payments and account transactions on a 24/7 basis through a user-friendly digital interface.

LOLC Finance was recognised once again at the LankaPay Technnovation Awards, securing multiple accolades including the award for excellence in digital payments and recognition as the best NBFI in the segment. The Company secured six awards in total during the year, including its seventh consecutive recognition in key digital payment categories.

Meanwhile, the lending business recorded strong expansion backed by sustained demand across both SME and personal finance segments. The personal finance portfolio, which focuses on grassroots-level customers including MSMEs and micro-enterprises, reached LKR 32.2 billion by year end, reflecting growth of approximately LKR 8.2 billion over the previous year, equivalent to a year-on-year increase of around 34%. The portfolio comprises Group loans of approximately LKR 6 billion, individual loans of approximately LKR 9 billion and micro-housing loans of approximately LKR 16 billion, with the housing segment representing the largest share of the portfolio. The customer base within personal finance stood at approximately 110,000 at the end of the financial year. Recognising that many borrowers within the MSME and grassroots sectors require ongoing support beyond financing, 54 financial literacy programmes were conducted across all provinces, benefiting approximately 2,300 participants, and 31 business development training programmes were conducted for approximately 850 to 900 participants. The integration of the iPay platform into these initiatives enabled smaller enterprises to adopt digital payment acceptance models. The Company continued to maintain a strong presence in agricultural equipment financing, particularly within tractor and harvester financing, where the portfolio expanded by approximately LKR 7.7 billion during the year. The SME lending portfolio recorded substantial growth during the year, increasing by approximately LKR 53 billion. A major driver of this performance was the reopening of the motor vehicle import market, which generated strong demand from both individual and commercial buyers. A notable initiative during the year was the expansion of regional vehicle promotion campaigns. The business also responded proactively to the growing interest in sustainable mobility solutions. Dedicated financing products were introduced for electric vehicles, including electric two-wheelers, three-wheelers and four-wheelers. During the latter part of the financial year, the business also piloted a specialised financing product targeting migrant workers developed in collaboration with Sri Lanka Export Credit Insurance Corporation.

Credit cards maintained steady portfolio expansion and advanced transition towards a more digitally enabled operating model. The business enhanced its onboarding

processes through QR-enabled and link-based application journeys, enabling customers to apply seamlessly through online platforms. This resulted in a notable increase in digitally sourced applications during the year, improving both reach and efficiency. Repayment behaviour also reflected this transition, with approximately 75% of collections routed through digital channels, including the iPay platform, other banking applications and digitally enabled retail collection points. A credit card with no annual fee targeted at university students was introduced with the objective of promoting early financial inclusion, building credit history and encouraging responsible, cashless behaviour among younger customers. The Savi credit card proposition for Government sector employees continued to play a key role within the portfolio. During the year, the business sustained its long-standing engagement initiative by distributing over 750 gift packs to children of Savi cardholders who successfully passed the Grade 5 scholarship examination. A focused initiative to convert customers from physical statements to electronic formats resulted in approximately 15% of the portfolio transitioning to e-statements during the year. The core card infrastructure was upgraded during the year with the implementation of a new Card Management System (CMS) to support greater product flexibility and to enable the introduction of additional offerings, including prepaid and debit card products. This aligns with the Company's broader digital transformation agenda and evolving regulatory and market expectations. Chatbot functionality was introduced last year, while further developments, including voice-enabled customer engagement tools, remain under evaluation. A pipeline of new products, including offerings targeted at younger, digitally native customer segments, is expected to support increased card issuance and deeper customer engagement.

LOLC Finance PLC's iPay solution further cemented its position within Sri Lanka's digital payments ecosystem during 2025/26, supported by accelerating customer adoption, higher transaction throughout and expanded service capability. iPay demonstrated a healthy financial performance, with revenue increasing by approximately Rs. 600 million over the previous year. Customer acquisition momentum was sustained, taking total application downloads beyond 1.2 million. Registered users increased to nearly 800,000, while more than 450,000 customers actively transacted through linked funding sources, including bank accounts and payment cards. Cumulative transaction value surpassed Rs. 650 billion since inception, while the platform currently processes approximately 2 million transactions per month, equivalent to nearly Rs. 20 billion in monthly transaction value. Within the payment ecosystem, iPay maintained a dominant position, contributing more than 50% of total value throughput, underscoring the platform's growing relevance within Sri Lanka's real-time payment infrastructure. Adoption of digital financial products gained momentum during the year. The platform facilitated close to Rs. 900 million in digital fixed deposits, while digital savings account onboarding continued despite stricter KYC-related account rationalisation measures. The iPay platform enabled GovPay functionality, allowing users to make payments to government institutions digitally, including utility-related and public sector transactions. The adoption of LankaQR functionality was further strengthened through the rollout of interoperable person-to-person QR capability under the 'MyQR' initiative, supporting seamless transfers across participating payment applications. Cross-border payment acceptance also gained traction during the year. Inbound travellers from markets such as India and China were able to transact locally using applications connected to UPI, Alipay+ and UnionPay ecosystems through integrations linked to LankaQR. Another strategic development during the year was the launch of 'iPay Business', a dedicated merchant and enterprise proposition targeting corporates, SMEs, micro-enterprises and individual entrepreneurs. At the LankaPay Technnovation Awards 2025, LOLC Finance secured recognition for 'Best Mobile Application for Retail Payments via JustPay' and 'Financial Institution of the Year for Best Digital Payment Strategy'. Technology capabilities developed within iPay are currently being evaluated for expansion into selected overseas markets, including operations in Asia and Africa, positioning the business for a wider fintech-led growth trajectory over the longer term.

The Recoveries unit faced multiple external challenges during the year which placed pressure on repayment capacity across portions of the portfolio. In addition to macroeconomic challenges, the implementation of revised regulatory requirements relating to Non-Performing Loan (NPL) classification introduced further complexity. Although NPL levels experienced temporary pressure, the collective efforts of the recovery teams, supported by disciplined execution and close customer engagement, resulted in a notable improvement in portfolio performance during the latter months of the year. This enabled LOLC Finance to conclude the year with an improved NPL position, reaffirming the effectiveness of its risk management and recovery frameworks. As a result, there was a marked improvement in asset quality metrics, with the Net NPL ratio declining to 3.24% by March 2026. The recoveries operation is supported by a well-structured and decentralised model, comprising a network of over 200 branches and 19 regions, enabling close engagement with customers across geographic segments. Operational effectiveness is further reinforced through a centralised call centre, which plays a critical role in monitoring and managing accounts within the early delinquency buckets, particularly those below 90 days past due. During the year, targeted relief measures were extended to customers affected by external disruptions, in line with regulatory guidance. Digital adoption within the recoveries process also gained traction. Customers were increasingly encouraged to utilise direct debit mechanisms and digital payment channels, allowing instalments to be settled remotely without the need for branch visits.

During the financial year 2025/26, the Central Contact Centre attached to Customer Relationship Management (CRM) operations focused on operational enhancements, digital enablement and strategic process optimisation initiatives. An automated chatbot solution was implemented to improve customer accessibility, strengthen self-service capabilities and enhance response efficiency. The operation maintained strong service delivery standards, with service quality consistently remaining above 90%. Operational performance also remained stable, with 80% of months achieving best/good abandon rate performance

benchmarks, reflecting the team's continued focus on customer experience and operational excellence. Inbound performance recorded strong momentum, consistently outperforming the previous year from April to October and achieving peak answering levels of 97–98%. Following the Credit Card system migration implemented in November 2025, the operation experienced a temporary increase in customer volumes and operational pressure. During the financial year, the inbound operation handled a total volume of 757,080 calls. Outbound operations also demonstrated notable improvement during the year, with connect rates remaining stable in the first half and showing significant growth from November onwards. Performance consistently exceeded prior year levels, peaking at 42–43%, driven by enhanced dialling strategies, improved targeting, and strengthened 360° governance practices. The outbound team successfully managed a total volume of 670,591 dialled calls during FY 2025/26.

During the period under review, Branch Operations remained the primary driver of the Company's business expansion, reinforcing its market position and contributing to one of the strongest growth performances within the NBFI sector. Execution volumes remained strong throughout the year. Total execution value reached LKR 274.5 billion, translating to an average monthly throughput of LKR 22.9 billion. The branch network continued to evolve in line with a structured optimisation strategy. The total number of branches increased from 199 at the beginning of the year to 203 by year-end. During the year, eight new branches were opened in Bandaragama, Badalkumbura, Hettipola, Atchuvely, Chankanai, Pallai, Kokkadicholai and Agunakolapelessa, strengthening the Company's reach across regional markets. At the same time, four branches – Horana II, Nelliady I, Akuressa II and Gampola I – were closed in line with a policy of rationalising overlapping locations within the same township. In addition, seven branches were relocated within their respective areas to improve accessibility and operational efficiency, including Hakmana, Weligama, Kaduwela, Kinniya, Bandarawela, Divulapitiya, and Baddegama. With the exception of a single branch, the entire branch network remained profitable, reflecting strong cost management and sustained business generation at branch level. Customer onboarding remained closely linked to operational throughput. Total execution file volumes, exceeding 111,000 during the year, largely reflect new facilities originated through the branch network, indicating continued customer acquisition momentum despite some attrition at the tail end of the portfolio. A structured branch performance awards programme, involving participation across the entire network of over 200 branches, was maintained. Looking ahead, the business has secured regulatory approval for a substantial expansion of its branch network, representing one of the largest such approvals within the sector.

Operational volumes remained notable in 2025/26, with the branches processing approximately 16,000 contracts per month across lending and financing portfolio. One of the key developments was the progression of a fully digital courier and document tracking system. The Company commenced testing of a fully digital workflow platform that enables end-to-end tracking of document movements through a centralised system environment. Once fully implemented, the system is expected to improve visibility, reduce manual intervention, strengthen process control and enhance turnaround efficiency across operational functions. The service quality enhancement division improved Service-Level Agreement (SLA) performance and delivery timelines across key operational activities. These efforts were supported by continuous staff development programmes, including both physical and online training sessions centred on operational discipline, service excellence and customer responsiveness. The centralised structure now supports an extensive branch network across the country while maintaining a relatively lean operational footprint. The implementation of fully digital agreements, enabling end-to-end digital file movement from customer onboarding through to disbursement and servicing, is a key objective. Optical Character Recognition (OCR) is also being considered to automate data capture from customer documentation, driving the evolution towards a more technology-driven and scalable operating model in the years ahead.

Furthermore, LOLC Finance's brand equity, market leadership, and stakeholder engagement was strengthened during the year through a balanced and integrated communications strategy, contributing to the Company's sustained position as the leading NBFI brand in Sri Lanka. A key focus during the year was the increased use of data-driven insights and market intelligence to improve campaign effectiveness. According to the latest Brand Finance rankings, LOLC Finance retained its position as the No. 1 brand in Sri Lanka's NBFI sector. The Company was also ranked 14th among the 'Top 100 Most Valuable Brands in Sri Lanka', supported by a strong AA+ Brand Rating and a brand value of LKR 11.5 billion, demonstrating the resilience and strength of the brand. Further affirming public trust and customer confidence, LOLC Finance was recognised as the 'Financial Service Provider of the Year' for the tenth consecutive year at the SLIM-KANTAR People's Awards. The Company was also recognised by LMD as the 'Most Loved Brand in the Leasing and Finance Category', highlighting its strong emotional connection with consumers. LOLC Finance secured a position among the Top 20 Corporate Brands in the Brands Annual rankings and was recognised as the 'Most Valuable Consumer Brand' in the Financial Services Sector. These accolades reflect the Company's continued commitment to delivering value, trust, and excellence to its customers and stakeholders.

Despite increasing competition within the trade finance and working capital financing segment, Factoring strengthened its market position through faster service delivery, decentralised decision-making and a sharper focus on customer responsiveness. Execution volumes remained encouraging and surpassed internal targets, reflecting continued customer demand and the business's ongoing development. Operationally, the marketing cadre was increased during the year and reorganised under dedicated Team Leaders, enabling wider regional coverage and stronger customer engagement across key business locations. Building on earlier digitalisation initiatives, the unit further automated several back-office functions during the year to improve transaction processing speed, reduce manual intervention and enhance reliability. The 'Wakalah – Future Cash Today' proposition under the LOLC Al-Falaah platform continued to demonstrate strong market acceptance during the year. The Factoring business is

expected to continue expanding its regional footprint, deepen automation across operational functions and further strengthen its specialised trade financing capabilities.

The rapid growth witnessed in Gold Loans during FY 2025/26 was led by rising customer demand, network expansion, and the product being a fast-turnaround, liquidity-driven lending solution, particularly among customers seeking short-term financing with minimal processing complexity. The portfolio recorded a growth of LKR 30.9 billion during the financial year, which is an approximately a 78% growth compared to the opening portfolio. This reflects strong momentum across both customer acquisition and repeat utilisation. Operational reach expanded further during the year, with 14 additional branches commencing gold loan operations, taking the total number of operational branches offering the product to 180 by year-end. A major area of progress was the continued integration of the gold loans proposition with the Company's digital ecosystem, particularly through the iPay platform. Digital integration initiatives contributed to approximately 21% growth in customer onboarding through digital channels, while digital transactions accounted for approximately 15% of executions and transaction events during the year. In addition, digital-led engagement contributed approximately 7% towards portfolio growth at near-zero incremental acquisition cost, generating direct efficiency benefits to the Company's profitability and operating model.

Fleet operations recorded another year of strong growth during FY 2025/26, marking the third consecutive year of fleet expansion. Total fleet assets increased significantly during the year, driven primarily by the lifting of vehicle import restrictions, which revitalised market activity and generated renewed customer demand across key business segments.

The IT division continued to play a strategic role in advancing LOLC Finance's digital transformation agenda during the financial year 2025/26, delivering technology-led initiatives that enhanced operational efficiency, regulatory compliance, customer experience and business resilience.

A key milestone during the year was the implementation of a modern Card Management System, providing end-to-end management of credit card operations through an integrated platform that strengthened operational controls and service delivery. The Company also advanced its paperless transformation programme through the successful deployment of the Docubinet Document Management System, enabling secure digital document management, faster information retrieval and improved governance while significantly reducing reliance on physical documentation. Enhancements to the FusionX Core Banking System, digital banking platforms, e-signature capabilities, Government Digital Payment Platform (GDPP) integration, Oracle Database upgrades, POS and Soft POS settlement processes, and HNB Chip Card processing collectively improved operational agility, processing efficiency and customer accessibility. A comprehensive Data Archival Project further optimised system performance and strengthened long-term data management capabilities. The introduction of a fully digital Loan Against Fixed Deposit facility through iPay, Interactive Voice Response (IVR) and LOLC Real-Time platforms represented another important step towards delivering seamless, branchless financial services. Technology investments were complemented by continued strengthening of the Company's information security and regulatory compliance framework. A next-generation Anti-Money Laundering (AML) solution enhanced customer screening, transaction monitoring and financial crime detection capabilities, while a comprehensive cybersecurity framework supported by a 24/7 Security Operations Centre, advanced threat monitoring, vulnerability assessments and resilient disaster recovery infrastructure further strengthened cyber resilience. Supported by robust governance, compliance with Central Bank technology risk management requirements, collaboration with ISO 27001-certified partners and ongoing investment in digital innovation, the IT division continues to provide a secure, scalable and resilient technology platform that supports LOLC Finance's long-term growth strategy and its ambition to remain at the forefront of digital financial services in Sri Lanka.

As LOLC Finance pursued growth and market leadership across its key business verticals, attracting and deploying the right talent at the right time remained a strategic priority. During the year, Human Resources strengthened its workforce planning and talent acquisition approach to support business expansion, improve recruitment responsiveness and align hiring decisions with operational requirements. A strategic initiative was launched to build relationships with 100 schools and professional institutes, with the objective of creating a sustainable early-career talent pipeline. During the year, a structured series of learning and development initiatives designed to address identified capability requirements across the organisation were implemented. A structured development programme was deployed for selected high-potential managers to prepare emerging leaders to take on broader responsibilities and contribute more effectively to business performance. Multiple initiatives were carried out to strengthen employee connection, support wellbeing and foster a more inclusive and engaging workplace culture. Diversity and inclusion also remained an important element of the Company's engagement agenda.

By serving a broad spectrum of customers across multiple market segments, products and industries, the Company will continue to balance growth opportunities with prudent risk management while responding to evolving customer needs. Backed by strong governance, disciplined execution and a highly skilled workforce, LOLC Finance remains well positioned to strengthen its market leadership and deliver sustainable long-term value.

LOLC SECURITIES

LOLC Securities Ltd, one of Sri Lanka's leading stockbroking firms, maintains a strong presence across the country through its extensive branch network and diversified retail and institutional client base, comprising both local and foreign investors. The financial year ended 31 March 2026 was characterised by strong performance in the Sri Lankan capital market, with the Colombo Stock Exchange continuing the growth momentum witnessed since late 2024.

During the year, the All Share Price Index (ASPI) and S&P SL20 Index (SL20) recorded gains of 33.2% and 24.7%, respectively. Despite periods of heightened market volatility arising from geopolitical tensions in the Middle East and uncertainty surrounding global trade policies during the latter part of the year, investor sentiment remained generally positive. Although the ASPI retreated from its all-time high reached in January 2026, the overall market environment remained supportive, reflecting growing investor confidence and improving economic conditions.

Against this backdrop, the Company delivered a strong financial performance during the financial year 2025/26, underpinned by operational efficiency, prudent cost management and continued asset growth. The Company successfully capitalised on emerging opportunities and strengthened its market position, thereby creating sustainable value for its stakeholders.

Profit before tax for the year ended 31st March 2026 amounted to Rs. 93.2 million, compared to Rs. 44.4 million in the corresponding period of the previous financial year, representing a significant increase of 110%. This growth reflects the successful execution of strategic initiatives aimed at enhancing business performance, expanding market reach and strengthening the Company's competitive position within the stockbroking industry. Income increased from Rs. 420.8 million in 2024/25 to Rs. 602.8 million in 2025/26, recording a robust year-on-year growth of 43%. The improvement was driven by higher levels of business activity, increased client engagement, and enhanced revenue-generating capabilities across the Company's operations. The Company's financial position also strengthened during the year, with total assets increasing by 32% to Rs. 2,007.8 million as at 31st March 2026, compared to Rs. 1,522 million in the previous year. This growth reflects the Company's continued focus on expanding its asset base while maintaining a prudent approach to risk management and capital allocation.

The Company also remained committed to its corporate social responsibility and sustainability objectives during the year through its continued support of the Divi Saviya initiative, a nationwide humanitarian programme spearheaded by the LOLC Group. This reflects the Company's commitment to sustainable community development and social responsibility.

In addition, LOLC Securities successfully hosted its inaugural Investor Forum, featuring a panel discussion that brought together industry experts and market participants to share insights on market trends and investment opportunities. The Forum was primarily aimed at High Net Worth Individual and institutional investor segments, reflecting the Company's commitment to strengthening engagement with sophisticated investors and fostering informed investment decision-making.

The Company also continued its efforts to broaden investor participation across the wider market. Through its Research Division, LOLC Securities collaborated with the Colombo Stock Exchange to conduct a series of investor education webinars focused on retail and emerging investors. These sessions were designed to enhance financial literacy, improve awareness of capital market opportunities, and support the growth of a more informed and inclusive investor base in Sri Lanka.

Further reinforcing its commitment to excellence and digital innovation, the Company was recognised at the BestWeb.LK Awards 2025, securing the Silver Award in the Best Finance & Insurance Website category.

Looking ahead, management will continue to focus on sustainable growth, operational resilience, regulatory compliance and enhancing shareholder value. The Company's strategic direction, coupled with its established market presence and strong governance framework, provides a solid foundation for long-term growth and success.

LOLC GENERAL INSURANCE

LOLC General Insurance delivered another year of robust business growth during 2025/26 through sustained premium expansion, continued investment in distribution and technology, and a strong customer-focused operating model. The Company's performance significantly outpaced overall industry growth, enabling it to further expand market share while reinforcing its reputation for innovation, service excellence and disciplined execution. Sustained investments in digital capabilities, operational infrastructure and customer accessibility have further strengthened the business and positioned it for long-term sustainable growth.

Gross Written Premium (GWP) increased by 29% to Rs. 14.79 billion, reflecting another year of strong business acquisition across multiple insurance classes. Net Earned Premium (NEP) also improved to Rs. 8.42 billion, while the Company's financial position continued to strengthen, with total assets increasing by 32% to Rs. 25.81 billion and the investment portfolio expanding by 22% to Rs. 17.12 billion. Continued investment in business infrastructure and operational capabilities saw property, plant and equipment increase by 63% to Rs. 506.6 million. Although Profit Before Tax moderated to Rs. 313.2 million, largely reflecting elevated claims experience together with continued investments in digital transformation, branch expansion and strategic growth initiatives, these investments have further strengthened the competitive position and established a solid platform for future growth.

The Company's sustained commercial momentum translated into a significant improvement in market positioning during the year. Having ranked seventh in Sri Lanka's general insurance industry in 2019, LOLC General Insurance advanced to fourth position by the end of December 2025, maintaining this position into the first quarter of 2026 after recording an impressive 39% growth in Gross Written Premium during Q1 2026, substantially outperforming industry growth. The Company also retained its position as the third-largest motor insurer in Sri Lanka, commanding a 12% market share as at the end of December 2025, reflecting the strength of its underwriting capabilities and sustained customer confidence in one of the industry's most competitive business segments.

Business expansion remained a key strategic priority throughout the year. The Company continued to strengthen its sales distribution capabilities by expanding both its leasing and agency development channels, creating additional avenues for customer acquisition while broadening market reach. This was

complemented by the opening and relocation of more than 10 branches across the country, extending the Company's national footprint and improving accessibility for customers in both existing and emerging markets.

Further strengthening its customer proposition, LOLC General Insurance entered into strategic partnerships with several leading banks to introduce convenient instalment-based premium payment facilities. These collaborations enhanced affordability, simplified policy acquisition and improved access to insurance solutions for a broader customer base.

Innovation remained central to the product development strategy. During the year, LOLC General Insurance launched Sri Lanka's first livestock insurance policy covering losses arising from leopard predation, providing financial protection to farming communities affected by wildlife attacks while supporting national conservation efforts aimed at reducing retaliatory killings of the endangered Sri Lankan leopard. The pioneering product represents a significant advancement within the local insurance industry by successfully combining financial inclusion, environmental conservation, and sustainable rural development within a single insurance solution.

Digital transformation continued to accelerate during the year through the implementation of a comprehensive roadmap designed to enhance customer convenience, improve transparency in service delivery, and strengthen operational efficiency. Customers benefited from seamless digital premium payment facilities through QR Pay and Pay Link, simplifying policy servicing while improving convenience and accessibility. Internally, the introduction of the Daily Splash Dashboard provided management with real-time visibility into business performance, enabling faster, data-driven decision-making and strengthening operational responsiveness across the organisation.

The Company's operational resilience was demonstrated during one of the most challenging natural disasters experienced during the year. Following the widespread impact of Cyclone Ditwah, LOLC General admitted claims exceeding Rs. 6 billion during the cyclone period alone, emerging as one of the fastest claim-settling insurers in the market. Its strong capital position, operational preparedness and responsive claims management processes enabled policyholders to receive timely financial assistance during a period of significant disruption. In a further demonstration of its customer-centric approach, the Company replaced electric vehicles declared a total loss as a result of the cyclone with brand-new EVs, ensuring uninterrupted mobility for customers while reinforcing confidence in the LOLC General brand.

Environmental, Social and Governance (ESG) principles continued to be embedded throughout the Company's operating model. Fully aligned with the ESG framework introduced by the Insurance Regulatory Commission of Sri Lanka (IRCSL) and internationally recognised ESG best practices, LOLC General continued to integrate sustainability considerations into business decision-making through the promotion of green finance, the identification and management of ESG-related risks, and initiatives that foster diversity, inclusion, and responsible corporate conduct.

The Company's commitment to creating positive social impact remained evident through a range of community initiatives undertaken during the year. These included organising a blood donation campaign in support of Apeksha Hospital, Maharagama, conducting a donation programme during Children's Cancer Awareness Month, contributing to the Divi Saviya initiative spearheaded by LOLC Holdings to support vulnerable communities across Sri Lanka, and partnering with the Lions Clubs to conduct CPR and First Aid training programmes for employees and customers in commemoration of World Restart a Heart Day.

Supporting the Group's wider environmental agenda, LOLC General also contributed to the 'Save the Sri Lankan Leopard' initiative, a comprehensive five-year conservation programme undertaken by the LOLC Group in partnership with the Wildlife and Nature Protection Society (WNPS). The initiative seeks to protect Sri Lanka's endangered leopard population, estimated at fewer than 1,000 animals remaining in the wild, through research, habitat conservation, community engagement and conflict mitigation.

The Company further strengthened its contribution to society by partnering with the Cyril Dharmawardena Foundation, providing complimentary motor insurance cover for the Foundation's fleet of ambulances operating across Sri Lanka, thereby supporting the delivery of essential emergency healthcare services to communities nationwide.

LOLC General's strong business performance, customer-centric approach and commitment to operational excellence continued to receive widespread industry recognition during the year. The Company was recognised among the Top 40 Outstanding Companies in Sri Lanka at the Best Management Practices Company Awards (BMPC) organised by the Institute of Chartered Professional Managers of Sri Lanka, while also securing Runner-Up in the General Insurance (Private Sector) category. At the Global Takaful Awards, LOLC General received the Best General Takaful Product in Sri Lanka award for LOLC Al-Falaah Takaful Motor, recognising its continued leadership in innovative Shari'ah-compliant insurance solutions. The Company also received a Merit Award in the Insurance Category at the National Business Excellence Awards organised by the National Chamber of Commerce of Sri Lanka. Its continued investment in leadership development was recognised through the Company with Great Managers Award presented by the Colombo Leadership Academy for the second consecutive year, while further recognition at the IFFSA Awards saw LOLC General receive the Bronze Award for Takaful Window Unit of the Year and the Merit Award for Islamic NBFI Window/Unit of the Year, reaffirming its leadership in the Islamic insurance segment.

Another year of sustained premium growth, strengthened market leadership, continued digital advancement and disciplined investment in long-term capabilities has positioned LOLC General Insurance to deliver innovative insurance solutions, exceptional customer service and lasting value in Sri Lanka's rapidly evolving general insurance industry. Guided by the Company's vision to become the insurer of choice, LOLC General Insurance remain committed to creating sustainable value for its customers, partners and stakeholders while continuously enhancing capabilities to meet their evolving needs.

LOLC LIFE ASSURANCE

LOLC Life Assurance performed strongly during the year under review, delivering sustained business growth while further expanding its distribution network, strengthening digital capabilities and enhancing customer accessibility. Against a backdrop of rising claims, higher acquisition costs and an increasingly competitive operating environment, the Company maintained healthy premium growth, strengthened its balance sheet and continued to invest in technology, customer experience and long-term capability development.

The Company's Gross Written Premium (GWP) increased by 19% to Rs. 9.69 billion, while Net Written Premium grew by a similar margin to Rs. 9.40 billion, reflecting continued growth across the Company's core life insurance portfolio. The reinsurance cession ratio improved to 3%, demonstrating efficient risk retention and portfolio management. The Company also recorded 6% growth in First Year Premiums (FYP), signalling continued success in new business acquisition and the expansion of its customer base. The balance sheet continued to strengthen during the year, with total assets increasing by 15% to Rs. 23.66 billion, while assets under management exceeded Rs. 21.25 billion, representing an 11% increase over the previous year. The Life Fund expanded by 17% to Rs. 15.55 billion, providing a strong platform to support future policyholder obligations, while shareholders' equity increased to Rs. 5.95 billion. Investment income from the life fund also continued its positive trajectory, increasing to Rs. 1.62 billion, supported by prudent investment management and a stable investment yield of 13% throughout the year.

Profitability moderated during the year as the business absorbed substantially higher claims and continued investing in future growth. Profit Before Tax stood at Rs. 587 million, while Profit After Tax amounted to Rs. 414 million, reflecting the combined impact of increased acquisition costs, higher benefit payments, and continued investments in business expansion and distribution capabilities. Net claims and benefits increased significantly during the year as policyholder benefits exceeded Rs. 5.34 billion, reinforcing the Company's ability to honour its commitments to customers.

Despite these pressures, LOLC Life remained well-capitalised, maintaining a Capital Adequacy Ratio of 178%, comfortably above the regulatory minimum, while continuing to satisfy all key regulatory solvency and admissible asset requirements.

The Company successfully maintained its position as the seventh-largest life insurance provider in Sri Lanka based on Gross Written Premium while further strengthening its position as the third-largest health insurance provider under the Group Life insurance segment. These achievements reflect the Company's disciplined execution, expanding customer base, and diversified product portfolio.

Accessibility and customer reach continued to improve through the expansion of the distribution network. LOLC Life opened and relocated more than 10 branches across the country, extending its geographic footprint and strengthening service accessibility in key markets. This expansion was complemented by the introduction of additional distribution channels, broadening customer access to the Company's insurance solutions while supporting sustained business growth. The bancassurance business also continued to gain momentum through the signing of new Memoranda of Understanding (MoUs) with several leading banking partners, further integrating insurance solutions into customers' broader financial journeys.

Digital transformation remained a central strategic priority throughout the year. LOLC Life advanced a comprehensive digitalisation roadmap encompassing both its sales force and customer-facing operations to improve efficiency, convenience, transparency and service excellence. For the sales organisation, enhanced digital tools and real-time business intelligence capabilities were introduced to improve productivity and support more effective performance management. The implementation of the E-Hub Management Information System, leveraging modern data management technologies, now enables daily monitoring and review of sales force performance, providing management with timely insights to support decision-making and drive operational excellence.

Customer-facing digital capabilities also continued to evolve during the year. Enhanced digital functionality improved convenience and transparency across key customer interactions while strengthening overall service delivery. The Company's Green Claims initiative was further advanced through the integration of digital capabilities within the customer portal, reducing reliance on paper-based claim submissions. This initiative streamlined claims processing, improved operational efficiency, enhanced customer convenience and contributed to broader environmental objectives by reducing paper consumption.

A key milestone was achieved during the year with LOLC Life surpassing Rs. 2 billion in insurance claims paid, reaffirming the Company's ability to provide timely financial protection and meaningful support to policyholders during their time of greatest need. The strength and professionalism of its sales force were equally evident through the achievement of 89 Million Dollar Round Table (MDRT) qualifiers across the Agency and Bancassurance channels, including six Court of the Table (COT) and two Top of the Table (TOT) qualifiers. These achievements reflect the high calibre of the Company's distribution network and its continued commitment to professional excellence.

Environmental, Social and Governance (ESG) principles remained firmly embedded within the operating model. LOLC Life continued to align its business practices with the ESG framework introduced by the Insurance Regulatory Commission of Sri Lanka (IRCSL) while incorporating internationally recognised ESG principles into its governance framework. Sustainability considerations are integrated across the Company's operations through the promotion of green finance, the identification and management of ESG-related risks and initiatives that foster diversity, inclusion and responsible business practices.

The Company also remained actively engaged in supporting national and community wellbeing through a series of social initiatives during the year. These included organising a blood donation campaign in support of Apeksha Hospital, Maharagama, conducting a donation drive in recognition of Children's Cancer Awareness Month, contributing to the

Divi Saviya programme spearheaded by LOLC Holdings to support vulnerable communities across Sri Lanka, and partnering with the Lions Clubs to conduct CPR and First Aid training programmes for employees and customers in commemoration of World Restart a Heart Day, reinforcing awareness of life-saving emergency response techniques.

LOLC Life's performance, customer-centric approach, and commitment to operational excellence continued to receive significant recognition during the year. At the National Business Excellence Awards 2025, organised by the National Chamber of Commerce of Sri Lanka, the Company was recognised as First Runner-Up in the Insurance Category. Focus on customer experience was further acknowledged through its ranking as fourth among the Top Five Companies for Customer Excellence in the Life Insurance Industry by LMD. At the 5th Emerging Asia Insurance Awards, organised by the Indian Chamber of Commerce, LOLC Life was named First Runner-Up – Best Life Insurance Company in Sri Lanka and also received the Runner-Up Award for Best Risk Management Strategy, recognising its disciplined governance, sound risk management practices, and commitment to customer protection. Further recognition followed at the IFFSA Awards, where LOLC Life was honoured with both the Takaful Window Unit of the Year and Islamic NBFI Window/Unit of the Year awards, reaffirming its leadership in Shari'ah-compliant insurance solutions.

Building on another year of sustained premium growth, expanding market presence, continued investment in digital transformation and disciplined financial management, LOLC Life Assurance is poised to strengthen its competitive position within the life insurance industry.

LOLC AL-FALAAH

LOLC Al-Falaah delivered one of the strongest performances in its history during the year under review, further cementing its position as Sri Lanka's undisputed leader in the Alternate Financial Services sector within the Non-Banking Financial Institution (NBFI) industry. Combining exceptional financial performance with accelerated portfolio expansion, pioneering product innovation and sustained international recognition, the Business Unit continued to set new benchmarks for the industry. Its comprehensive portfolio of financial solutions founded on Islamic economic principles continued to evolve, reinforcing LOLC Al-Falaah's reputation as the country's most diversified, innovative and trusted provider of alternate financial services.

The Business Unit produced another year of record-breaking financial results, with revenue surging by 29.58% to LKR 9.01 billion. Operating performance strengthened further as Profit from Operations increased by 31.96% to LKR 3.96 billion, while Profit Before Tax climbed by 31.38% to LKR 3.12 billion, reflecting the strength of its operating model, disciplined execution and unwavering focus on operational excellence. Retained earnings reached LKR 12.20 billion, highlighting the Business Unit's exceptional capital generation capability and providing a formidable platform to support its next phase of growth.

Business expansion gathered significant momentum during the year, with total financing assets comprising loans, factoring and advances growing by an impressive 44.01% to LKR 54.51 billion. Consequently, total assets expanded by 44.24% to LKR 56.99 billion, demonstrating the rapidly increasing demand for LOLC Al-Falaah's alternate financing solutions across the retail, SME and corporate sectors. Equally noteworthy was the quality of this growth. Despite the substantial portfolio expansion, the Business Unit further improved its asset quality, reducing its Non-Performing Loan (NPL) ratio to an outstanding 3.39%, significantly outperforming broader industry benchmarks and reaffirming the strength of its credit underwriting, portfolio management and enterprise risk framework.

Diminishing Musharakah financing remained the cornerstone of the portfolio, recording robust growth of 32.98% to LKR 33.14 billion, while the Ijarah portfolio expanded by 33.69% to LKR 8.89 billion, supported by sustained demand for leasing solutions structured in accordance with Islamic economic principles. Together, these core products continued to drive broad-based portfolio expansion while supporting customers across multiple economic sectors.

The trade and business financing portfolio emerged as one of the standout performers during the year. Murabaha for trade finance, Musawamah for import finance and Wakalah for working capital finance collectively recorded exceptional growth of 70.93%, reaching LKR 5.88 billion. This outstanding performance reflects the growing confidence placed by SME and corporate customers in LOLC Al-Falaah's innovative alternate financing solutions and its ability to provide sophisticated financing structures tailored to evolving business requirements.

The Wadi'ah gold storage facility continued its extraordinary growth trajectory, with the portfolio more than doubling during the year to LKR 6.60 billion, representing an exceptional 132.54% increase. This milestone marked another defining achievement for the Business Unit, further consolidating LOLC Al-Falaah's leadership within Sri Lanka's gold-backed alternate financial services market and highlighting the growing acceptance of gold financing solutions based on Islamic economic principles.

The Business Unit also delivered another year of outstanding liability growth despite an increasingly competitive funding environment. Total liabilities increased by 46.00% to LKR 44.37 billion, while the combined deposit and savings portfolio grew by 22.80% to LKR 26.19 billion, providing a strong and diversified funding base to support continued business expansion.

Within the liability portfolio, Wakalah Fixed Deposits recorded exceptional growth of 44.62%, reaching LKR 20.07 billion by year end, reflecting increasing customer confidence in alternate investment products. Mudharabah Savings also continued their steady upward trajectory, increasing by 4.00% to LKR 2.17 billion. The continued evolution of the liability portfolio demonstrates the Business Unit's ability to anticipate changing customer preferences while optimising its funding structure to support sustainable long-term growth.

Innovation remained a defining characteristic of LOLC Al-Falaah's success. Following the successful launch of Wakalah Future Cash, an innovative alternate solution for factoring and receivables financing, the Business Unit surpassed its disbursement targets within a remarkably short period, demonstrating

strong market acceptance and significant unmet demand for working capital solutions based on Islamic economic principles. Building on this momentum, LOLC Al-Falaah successfully progressed to the pre-launch phase of Tawarruq Financing, paving the way for the introduction of one of the world's most widely accepted Islamic liquidity financing structures and further enriching Sri Lanka's alternate financial services landscape.

The Business Unit's exceptional achievements continued to receive widespread recognition on both local and international platforms. At the SLIBFI Awards, LOLC Al-Falaah secured Gold Awards for NBFI of the Year, Window of the Year, Entity of the Year, Social Upliftment, and Best Digital Product/Fintech Offering. At the IFFSA Awards, the Business Unit was honoured with the prestigious NBFI of the Decade Award – Gold, together with Gold recognition for NBFI of the Year, Silver Awards for Entity of the Year, Window of the Year, Social Upliftment, and Product of the Year, alongside a Bronze Award for Best Digital Product/Fintech Offering. Reinforcing its standing on the global stage, LOLC Al-Falaah was once again recognised as the Winner – Islamic Leasing Provider (Global) at the IFN Awards, affirming its position among the world's leading providers of Islamic financial services.

Operationally, LOLC Al-Falaah continued to advance its digital transformation journey by strengthening digital capabilities and optimising key business processes in line with the Group's broader technology agenda. Enhancements to digital transaction capabilities, together with continuous improvements across financing, deposit mobilisation and customer servicing, elevated operational efficiency while delivering a faster, more seamless and accessible customer experience. Building on these achievements, the Business Unit remains focused on broadening its portfolio of alternate financial solutions, expanding its customer franchise and further enhancing its digital delivery capabilities across both financing and liability products, reinforcing its leadership in Sri Lanka's alternate financial services industry.

LOLC MOTORS

LOLC Motors, a specialist in vehicle maintenance, servicing and repairs, marked a milestone year, delivering its highest level of profitability to date. The Company recorded a 42% growth in revenue and 108.29% growth in NPBT during 2025/26 compared to the previous financial year, driven by a series of improvements in operational efficiency that contributed directly to enhanced service quality and higher levels of customer satisfaction. These gains were especially pronounced in core areas such as mechanical services, body repairs and general vehicle maintenance, all of which continue to be at the heart of LOLC Motors' value proposition.

The Company's performance during the year was significantly supported by its strategic collaborations with Browns EV and LOLC General Insurance, both of which have evolved into strong and synergistic partnerships. As the authorised body repair centre for Browns EV, LOLC Motors played a key role in supporting Sri Lanka's growing electric vehicle sector, handling a substantial volume of collision repairs and restoration work for Browns EV vehicles during the year. This partnership has positioned LOLC Motors at the forefront of electric vehicle body repairs, enabling the Company to develop specialised expertise, technical capabilities and repair processes tailored to modern EVs.

The collaboration with LOLC General Insurance continued to be a major contributor to the Company's growth, with revenue generated through this partnership increasing by 60% compared to the previous financial year. This growth further strengthened the integrated service delivery model established across the Group and reinforced LOLC Motors' position as a preferred repair partner for insured vehicle customers. Together, these partnerships enhance convenience and assurance for customers while supporting the LOLC Group's overarching objective of creating interconnected platforms that deliver seamless, end-to-end value.

The Company's operations are anchored by its primary service centre located in Gothatuwa, supported by its branch facility in Bokundara. Together, these locations enable LOLC Motors to deliver efficient, high-quality automotive repair and maintenance services while expanding its accessibility and service reach to customers across key regions.

In addition to its core business achievements, LOLC Motors played a role in advancing the Group's broader social impact agenda by actively supporting Divi Saviya, LOLC's flagship humanitarian initiative. Looking ahead, LOLC Motors remains focused on continuous innovation, the adoption of advanced automotive technologies, and the upskilling of its workforce. These priorities reflect the Company's long-term vision of becoming a market leader in the Sri Lankan automotive services industry.

HDFC BANK

HDFC Bank navigated a demanding operating environment during 2025 with a disciplined focus on strengthening its balance sheet, improving asset quality and reinforcing financial stability. While regulatory limitations on lending and deposit mobilisation continued to constrain business expansion, the Bank remained committed to prudent risk management, recovery of non-performing assets and portfolio diversification.

A key operational priority during the year was strengthening the quality of the Bank's loan portfolio. Recovery efforts intensified across the branch network and dedicated recovery teams, enabling the Bank to recover LKR 3.5 billion from past-due facilities, equivalent to 19.6% of its total delinquent portfolio. As a result, non-performing loan capital declined by LKR 3,479 million during the year, reflecting the effectiveness of strengthened recovery operations and more disciplined credit management. The Bank also continued to enhance the quality of new lending through prudent credit risk assessment and tighter underwriting standards.

Despite reporting a loss during the year as a result of necessary balance sheet strengthening measures, the Bank maintained a strong Liquidity Coverage Ratio of 217%, demonstrating its ability to meet immediate financial obligations. Reflecting the progress made in strengthening its financial position, the Bank's Rating Watch elevated to Positive during late 2025, with a credit rating BB+(lka) signalling increased confidence and positive outlook in the Bank's recovery trajectory.

Operations during the year continued to be influenced by regulatory measures designed to safeguard financial stability. While

improving economic conditions supported stronger credit demand, declining interest rates and increased consumer activity, regulatory restrictions limited the Bank's ability to expand its lending portfolio and mobilise deposits. Structural challenges also persisted in recovering defaulted EPF-backed housing loans, with LKR 3.3 billion fully claimed from borrower EPF balances by the end of the reporting period.

Housing finance remained the Bank's core business, accounting for approximately 74% of the total loan portfolio. However, recognising the concentration risks associated with EPF-backed housing loans and evolving market preferences, HDFC Bank accelerated its portfolio diversification strategy. Following the removal of the vehicle import ban, the Bank significantly expanded its leasing portfolio through focused customer engagement, successfully doubling the portfolio during the year. The strategic emphasis on leasing and gold loans reflected their shorter tenure and strong collateral backing, contributing to lower credit risk while improving portfolio quality.

Despite budgetary and operational constraints, the Bank's 39-branch network played a pivotal role in supporting portfolio growth and recovery performance. Individual branch Key Performance Indicators (KPIs) were introduced to align branch operations with strategic priorities and strengthen accountability across the network. These initiatives, together with the dedicated efforts of branch teams and the recovery department, contributed significantly to the reduction in non-performing loans and overall operational performance.

Net Interest Income improved marginally to LKR 2.83 billion from LKR 2.78 billion in 2024, benefiting from a substantial reduction in interest expenses to LKR 4.6 billion from LKR 5.4 billion, which offset the decline in interest income. Gross income stood at LKR 7.7 billion compared to LKR 8.5 billion in the previous year, while interest income declined to LKR 7.4 billion from LKR 8.2 billion, reflecting regulatory restrictions on loan disbursements and reduced collections from defaulted borrowers.

Fee and commission income declined to LKR 250 million from LKR 330 million in the previous year, while total operating income increased marginally to LKR 3.13 billion from LKR 3.11 billion. Other operating income increased significantly to LKR 50.8 million compared to LKR 6.5 million in 2024. Cost discipline remained a key management priority throughout the year. Total operating expenses declined by 2.3% to LKR 2.37 billion, comprising personnel expenses of LKR 1.6 billion, depreciation and amortisation of LKR 166 million and other operating expenses of LKR 608 million. These prudent cost management measures helped contain the loss after tax to LKR 93 million, compared to a loss of LKR 191 million recorded in the previous year.

The Bank also continued to address elevated credit risk through strengthened impairment management. Total impairment charges increased by 51% to LKR 421 million from LKR 278 million in 2024, primarily due to the increase in Stage 3 loan impairments to LKR 514 million from LKR 341 million. By the end of the year, the impaired loan ratio stood at 50.13%.

The Bank maintained a stable balance sheet despite operating constraints. Total assets stood at LKR 63.7 billion compared to LKR 65 billion at the end of 2024. Financial assets totalled LKR 61 billion, comprising LKR 35 billion in loans and advances, LKR 23 billion in debt instruments, LKR 2.7 billion in placements with banks and LKR 260 million in cash and cash equivalents. Placements with banks increased substantially to LKR 2.7 billion during the year, reflecting a more prudent liquidity management strategy.

Total liabilities declined to LKR 56 billion from LKR 57 billion in the previous year, while customer deposits remained the largest funding source at LKR 50.6 billion, representing approximately 80% of total assets. Gross loans and advances reduced by 12% to LKR 37 billion from LKR 42.6 billion, consistent with regulatory restrictions on loan growth. Total equity stood at LKR 7.6 billion compared to LKR 7.7 billion in 2024, while the Bank continued to maintain LKR 281 million in perpetual debt capital.

Digital and operational improvements continued despite limitations on large-scale technology investments. Rather than undertaking major system replacements, the Bank focused on optimising existing technology platforms, improving operational reliability and strengthening digital capabilities to support future transformation initiatives.

Sustainability also featured prominently in the Bank's operational agenda. During the year, HDFC Bank introduced its Go Green savings account, Sri Lanka's first consumer-facing green savings product within the banking sector. Funds mobilised through the product will be channelled towards environmentally sustainable investments, while customers receive Green Investment Certificates and preferential interest rates. Complementing this initiative, the Bank invested LKR 225 million in a social bond, supporting Sri Lanka's Inclusive Green Finance agenda for MSMEs. Awareness programmes promoting sustainability and financial literacy were also conducted through schools and community outreach initiatives despite constrained marketing budgets.

The year also marked the preparation of a comprehensive five-year strategic plan centred on Transformation and Growth. Developed through extensive engagement between the Board of Directors and Senior Management, the strategy prioritises portfolio diversification, enhanced risk governance, business banking expansion, stronger corporate governance and sustainable growth. Looking ahead, the Bank remains focused on strengthening its credit profile through continued reduction of non-performing loans, expanding high-quality asset-backed lending, growing its Corporate and MSME portfolios, improving financial literacy and supporting environmentally responsible financing.

SDB BANK

The year 2025 marked an important turning point for SDB bank as it restored business growth and accelerated its transformation agenda. Operating against a backdrop of improving macroeconomic conditions, declining interest rates and renewed business confidence, the Bank successfully reversed several years of portfolio contraction while maintaining its commitment to prudent risk management, sustainable development and financial inclusion.

The most significant achievement during the year was the successful reversal of

three consecutive years of contraction in the loan portfolio. Loans to customers increased by 15.5% from LKR 95.14 billion as at end-December 2024 to LKR 109.84 billion by the end of 2025, supported by total disbursements exceeding LKR 100 billion during the year. Growth was recorded across all major business segments, including leasing, pawning, retail banking and business banking, reflecting improved market confidence and the Bank's ability to capitalise on recovering economic activity.

More than 25% of total lending during the year was channelled towards SMEs, reaffirming the Bank's role in supporting entrepreneurship, business development and inclusive economic growth. As Sri Lanka's only private development bank, SDB remained focused on financing productive sectors that contribute directly to national development while balancing commercial performance with its broader development mandate.

The Bank also recorded strong expansion across its specialised lending products. The leasing portfolio reached LKR 10.3 billion, recording a net increase of LKR 3.68 billion during the year, while the pawning portfolio grew to LKR 10.92 billion following a net increase of LKR 3.35 billion. These businesses complemented continued growth in retail and business banking, contributing to the overall expansion of the lending portfolio while strengthening revenue diversification.

While expanding its business, the Bank maintained a disciplined focus on portfolio quality. The Stage III impaired loans to total loan ratio improved from 6.93% in 2024 to 5.36% during the year, reflecting disciplined credit underwriting, strengthened portfolio monitoring and consistent emphasis on maintaining quality across all new lending. Similarly, the gross non-performing loan ratio declined from 11.11% to 8.85%, while the Stage III loan coverage ratio improved from 47.78% to 52.61%, demonstrating continued strengthening of provisioning and overall asset quality.

Approximately 12,000 customers benefited from loan restructuring programmes during the year, with many gaining access to additional financing under improved repayment terms. These initiatives helped resolve nearly one-third of the Bank's previously challenged portfolio while improving the financial position of affected customers and strengthening the Bank's balance sheet. SDB provided approximately LKR 1 billion in relief to customers impacted by the economic crisis.

The Bank's improved business momentum translated into stronger financial performance. Profit before Tax increased by 16.94% to LKR 800.17 million from LKR 684 million in the previous year, supported by higher business volumes, improved operational efficiency and a more balanced revenue mix. Profit After Tax amounted to LKR 404.91 million compared to LKR 409.53 million in 2024, while Total Comprehensive Income stood at LKR 217.90 million following the recognition of an additional deferred tax liability during the year.

Net Interest Income improved to LKR 8.23 billion from LKR 7.82 billion in 2024 despite lower market interest rates reducing lending yields. The increase was primarily driven by a sharp reduction in interest expenses from LKR 12.18 billion to LKR 8.86 billion following deposit repricing in a declining interest rate environment, an improved funding mix and lower borrowing costs. These improvements more than offset the reduction in interest income arising from lower lending rates.

The Bank also continued to strengthen non-funded income streams. Net Fee and Commission Income increased by 15% to LKR 674.72 million, supported primarily by expansion in vehicle leasing, property mortgage business and other fee-based services. Total fee income increased from LKR 631 million in 2024 to LKR 716 million in 2025 as the Bank expanded bancassurance and introduced greater automation to minimise process leakages and improve operational efficiency.

Total operating income increased by 7.53% year-on-year to LKR 9.49 billion, while net operating income improved from LKR 8.27 billion to LKR 8.77 billion.

During the year, the Bank also strengthened impairment provisioning to further reinforce balance sheet resilience. Overall impairment charges increased from LKR 558.9 million in 2024 to LKR 719.18 million, providing increased coverage while supporting improved portfolio quality. These measures demonstrate the Bank's prudent approach towards maintaining adequate buffers while continuing to strengthen its credit portfolio.

The Bank's financial position continued to improve throughout the year. Total assets increased from LKR 145.15 billion to LKR 146.95 billion, driven primarily by growth in net loans and advances, which increased to LKR 109.84 billion. Total liabilities increased marginally to LKR 132.15 billion from LKR 130.56 billion, reflecting higher borrowings, retirement benefit obligations, tax liabilities and other liabilities associated with business expansion.

Funding remained stable despite heightened competition across the banking sector. Public deposits continued to represent the Bank's principal funding source, amounting to LKR 105.68 billion at year-end compared to LKR 106.98 billion in 2024. While fixed deposits declined from LKR 86.0 billion to LKR 83.6 billion as customers sought alternative investment opportunities in a declining interest rate environment, savings balances increased from LKR 20.9 billion to LKR 22.0 billion, reflecting the continued confidence of customers in the Bank.

Capital and liquidity remained comfortably above regulatory requirements throughout the year. Total equity increased by 1.49% to LKR 14.8 billion while retained earnings grew by 13% to LKR 2.6 billion. The Common Equity Tier I Capital Ratio and Tier I Capital Ratio stood at 14.20%, while the Total Capital Ratio remained strong at 15.24%, providing a solid platform to support future business expansion.

As Sri Lanka's only private development bank, the Bank deepened its contribution to national development through its Rural Upliftment Programme, promoting entrepreneurship, strengthening livelihoods and supporting sustainable industries across rural communities. A key focus during the year was empowering women entrepreneurs through cottage industries across the North Central, North Western, Central and Sabaragamuwa Provinces. In the estate sector, where employment opportunities have traditionally been limited to daily wage labour,

the Bank introduced machinery centres and tailored training programmes that enabled women to transition towards small-scale entrepreneurship while balancing their existing responsibilities.

The Bank also strengthened its contribution to community-based tourism through a partnership with the Western Province Tourism Board to preserve Sri Lanka's cultural heritage while creating new income opportunities for rural communities and supporting the continued recovery of the tourism sector. The Bank also announced plans to establish a new fish and seaweed processing centre in Trincomalee during 2026, supporting nutritional security while creating additional livelihood opportunities for coastal communities.

Sustainability continued to become increasingly embedded within the Bank's long-term operating model. During the year, SDB bank developed a dedicated agri-financing model designed to position the Bank as a long-term development partner to Sri Lanka's agriculture sector.

A significant milestone during the year was the formulation of the Bank's new corporate strategy covering the period 2026 to 2029. Developed in collaboration with Rabo Partnerships, a wholly owned subsidiary of Rabobank with extensive expertise in cooperative banking, agricultural finance, food security and financial inclusion, the strategy provides a comprehensive roadmap for the Bank's next phase of transformation. It establishes clear priorities for sustainable growth while strengthening SDB bank's role in delivering positive economic, social and environmental outcomes.

During the year, previously dispersed departments were consolidated under a second Head Office in Colombo, creating a more integrated operating structure that is expected to improve coordination, streamline back-office processes and enhance service delivery as the Bank continues to expand its SME, cooperative banking, leasing and pawning businesses.

The Bank's progress during 2025 also received significant external recognition. SDB bank secured the National Business Excellence 2025 Merit Award in the Banking Sector and won the Silver Award at the SLIM Digis 2.5 Awards for its Father's Day Digital Corporate Branding Campaign. It also received the Merit Award for Excellence in Customer Convenience under Category C at the LankaPay Technnovation Awards 2025 and obtained an 'A' Institutional Rating for the first quarter of 2025 from the Credit Information Bureau of Sri Lanka (CRIB), recognising its performance in Data Management and Compliance. Further reflecting the Bank's growing brand strength and corporate standing, SDB bank was ranked 76th among Sri Lanka's Top 100 Most Valuable Brands by Brand Finance and 65th in the LMD 100 rankings of Sri Lanka's leading companies. The Bank also received the Certificate of Compliance at the CA Sri Lanka TAGS Awards 2025, reaffirming its commitment to transparency, accountability and high standards of corporate reporting.

Looking ahead, SDB bank enters its next phase of growth with a stronger balance sheet, healthier asset quality and a clearly defined strategic direction.

SEYLAN BANK

Seylan Bank delivered another year of strong operational performance in 2025, building on the momentum established in the previous year through disciplined execution, customer-focused initiatives and continued investment in digital capabilities. Improved economic conditions supported business expansion across all core banking segments, while the Bank remained focused on strengthening its balance sheet, enhancing customer convenience and driving sustainable growth. Performance during the year reflected broad-based contributions across the franchise, reinforcing the effectiveness of Seylan's diversified business model and long-term strategic direction.

The Bank recorded its highest-ever Profit after Tax of LKR 12.1 billion, representing a growth of 20.47% over the previous year. Net Interest Income increased to LKR 38.25 billion from LKR 36.7 billion in 2024, while Net Fee and Commission Income grew by 16.34%, supported by increased digital adoption, lending activity and diversified fee-based income streams.

Loans and Advances expanded by 29.56% to LKR 599.80 billion, reflecting healthy demand across the Retail, SME and Corporate segments, complemented by the Bank's strategic focus on offshore lending. Leasing volumes also recorded strong growth following the introduction of a FastTrack Leasing process and a refreshed customer proposition. During the year, the Bank also launched a pilot initiative offering 72-hour credit decisions for SME facilities of up to LKR 25 million, streamlining documentation and enhancing credit assessment processes to improve timely access to finance for growth-oriented enterprises.

Customer deposits increased by 13.32% to LKR 732.96 billion, with CASA balances continuing to play a pivotal role in funding growth. CASA deposits grew by 17.91% to LKR 219.54 billion, supported by the expansion of Internet Payment Gateway (IPG) services, increased deployment of Point-of-Sale (POS) terminals, the opening of two new branches and the installation of additional Cash Recycle Machines (CRMs), further improving accessibility and convenience for customers and merchants.

The Bank maintained a strong liquidity position throughout the year, with Liquidity Coverage Ratios of 229.92% and 227.99% for All-Currency and Rupee respectively, while the Net Stable Funding Ratio stood at 127.25%, comfortably above regulatory requirements. Shareholders' equity increased by 16.21%, supported by healthy capitalisation levels with Tier I and Total Capital Adequacy Ratios of 12.39% and 17.89%, respectively. Further strengthening its capital base, the Bank successfully issued a LKR 15 billion Basel III-compliant Tier II listed debenture, which was oversubscribed on its opening day, reflecting strong investor confidence and providing additional capacity to expand lending, particularly to SMEs, agriculture and export-oriented sectors.

Fee-based income remained a strategic priority in a lower interest rate environment. Gross Fee Income increased by 18.52% to LKR 9.87 billion, driven by higher trade volumes, lending and leasing activity, remittances, card-related income and new customer acquisition. Trade finance also recorded robust growth during the year, supported by increased national trade activity and the relaxation of vehicle import restrictions.

Building on the success of its first Trade Hub, the Bank established a second dedicated Trade Hub in Pettah, providing specialised facilities and extended banking hours for trade customers.

Digital transformation continued to underpin operational performance, with digital banking penetration increasing to 45% of the customer base, compared with 33% in 2024 and 22% in 2023. The Bank expanded its CRM network by installing 25 new machines while introducing the CRM Suite, enabling customers to perform a wider range of transactions including cardless withdrawals, fund transfers, staged withdrawals through mobile devices and denomination selection for cash withdrawals. Further enhancements to the mobile banking application expanded transaction capabilities and strengthened the overall customer experience.

Improving portfolio quality remained a key focus throughout the year. Through strengthened credit evaluation processes, enhanced early warning systems, sector-specific risk frameworks and targeted restructuring of selected corporate facilities, the Bank reduced its Net Stage III loan ratio to 1.03%, remaining well below the industry average.

Recognising the growing importance of technology in financial services, Seylan accelerated its transformation agenda through the establishment of a dedicated AI and Transformation Team tasked with identifying process improvements, enhancing productivity, strengthening decision-making and driving the structured adoption of artificial intelligence across business functions. The Bank also enhanced its premium banking proposition with the introduction of a metal credit card for Private Banking customers.

During the year, Seylan further strengthened its sustainability framework by establishing governance structures to support its first reporting under SLFRS S1 and S2. Sustainability and climate considerations are being progressively integrated into business planning, product development and portfolio management through a phased approach supported by dedicated steering and working committees. The Bank expanded its environmental initiatives through the introduction of Seylan Eco Solar Loans to encourage renewable energy adoption among SMEs, while continuing to support green energy projects through project financing. Its flagship social initiative, Seylan Pahasara, also progressed steadily, reaching its 289th fully equipped school library while expanding scholarships and internship opportunities for students.

Operational excellence during the year was complemented by continued external recognition. Seylan became the first bank in Sri Lanka to be named Best Bank for Customer Experience by Euromoney in 2025, while also receiving multiple accolades at the LankaPay Technnovation Awards, the SLIBFI Awards and the SLIM National Sales Awards. The Bank also refreshed its Bank with a Heart brand identity through a comprehensive branding campaign and branch refurbishment programme aimed at delivering a more consistent customer experience across its network. Seylan Bank remains well positioned to build on the progress achieved during 2025. With continued investments in digital transformation, artificial intelligence, customer engagement and sustainable banking practices, the Bank enters the next phase of its growth journey with a strong balance sheet, resilient operating model and a clear strategic focus on delivering long-term value for customers, shareholders and the broader economy.

GLOBAL

During the financial year ended 31st March 2026, LOLC's global financial services portfolio demonstrated the strength of its geographically diversified operating model. Operating across South and Southeast Asia, Central Asia and Africa, the Group's international financial institutions navigated varying economic and regulatory environments while maintaining a consistent focus on financial inclusion, prudent risk management and sustainable growth. Continued expansion of lending and deposit portfolios across most markets reflected the resilience of the franchise, supported by disciplined execution, customer-centric business models and ongoing investment in digital capabilities. Collectively, the international network now serves more than 1.2 million customers through an extensive branch and service network, reinforcing LOLC's position as one of the leading financial services platforms across emerging markets.

LOLC CAMBODIA

Cambodia's economy continued its recovery during the year, supported by strong tourism, export growth and improving domestic demand, creating a favourable backdrop for financial services. Against this backdrop, LOLC Cambodia delivered another stable performance, reinforcing its position as one of the country's leading deposit-taking microfinance institutions. The loan portfolio increased by 4.4% to USD 1.4 billion, while deposits grew by 6.1% to USD 1.07 billion, reflecting sustained customer confidence and balanced balance sheet expansion. The institution remained focused on prudent credit underwriting, customer-centric service delivery and continued investment in digital capabilities, enabling it to preserve portfolio quality while meeting the evolving financing needs of individuals and businesses. These strengths continue to underpin LOLC Cambodia's leadership within one of the Group's largest overseas markets.

LOLC MYANMAR

Despite ongoing economic and operational challenges, LOLC Myanmar remained committed to its core purpose of expanding financial access by supporting underserved communities, microentrepreneurs and low-income households through its extensive outreach network. The Company's loan portfolio expanded by 27.9% to MMK 355.1 billion, while deposits recorded robust growth of 48.7%, reaching MMK 98.2 billion. The expansion of both lending and deposits reflects the confidence placed in the institution by its customers despite a challenging operating environment. By practising responsible lending practices and disciplined portfolio management, LOLC Myanmar makes an important contribution towards grassroots economic activity and financial inclusion.

LOLC FINANCE PHILIPPINES

Supported by favourable economic conditions and healthy demand for financial services, LOLC Finance Philippines delivered another

year of steady growth. The institution continued to strengthen its presence within the Micro, Small and Medium-sized Enterprises (MSME) and retail financing segments through disciplined business expansion and an increasingly customer-focused operating model. Its loan portfolio grew by 21.2% to PHP 607.5 million, supported by continued customer acquisition, wider utilisation of digital delivery channels and ongoing improvements in operational efficiency. A disciplined approach to credit quality was maintained while expanding access to finance, thereby positioning the Company for sustainable growth within the Philippine market.

LOLC BANK PHILIPPINES

LOLC Bank Philippines recorded a steady growth trajectory during the year, benefiting from sustained customer demand and continued development of its products and services. Gross loans increased by 9.3% to PHP 1,018.9 million, while deposits expanded by 10.9% to PHP 789.1 million, reflecting growing customer engagement and a strengthening funding base. Alongside this growth, the Bank remained focused on improving operational efficiency, enhancing customer experience and broadening its product offering to meet evolving market requirements. These initiatives continue to strengthen the Bank's position within one of ASEAN's most dynamic financial markets.

LOLC VENTURA INDONESIA

Indonesia's economy remained resilient during the year under review, supported by stable domestic consumption and continued activity within the MSME sector. Against this backdrop, LOLC Ventura Indonesia adopted a measured approach to portfolio management in response to prevailing market conditions. The loan portfolio moderated by 4.6% to IDR 330.4 billion. While portfolio growth remained subdued, asset quality, prudent underwriting and disciplined risk management were key priorities. Operational efforts remained focused on improving efficiency, strengthening regulatory compliance and supporting MSME financing, providing a sound platform for future growth as market conditions continue to evolve.

LOLC MICROFINANCE BANK PAKISTAN

LOLC Microfinance Bank Pakistan delivered one of the strongest performances across the Group's international financial services portfolio during the year under review. Supported by an improving macroeconomic environment and rising demand for formal financial services, the institution successfully executed an ambitious growth strategy that significantly expanded its scale of operations. The loan portfolio increased by an exceptional 194.1% to PKR 14.9 billion, while deposits rose by 189.2% to PKR 20.7 billion, reflecting strong customer acquisition, rapid expansion of the funding base and increasing market acceptance. The institution continued to deepen financial inclusion by extending services to underserved customer segments while simultaneously strengthening operational capacity and maintaining a disciplined, risk-aligned approach to growth. Pakistan remains one of the Group's most promising international growth markets.

FINA TRUST (NIGERIA)

During the year under consideration, Fina Trust strengthened its presence within Nigeria's financial services sector, benefiting from robust demand among SMEs and individual entrepreneurs. Continued investment in customer engagement and service delivery supported another year of balanced business growth. The loan portfolio increased by 66.7% to NGN 6.9 billion, while deposits grew by 69.6% to NGN 6.2 billion, demonstrating healthy expansion across both lending and funding activities. Operational improvements implemented during the year further enhanced efficiency and strengthened the institution's competitive position, providing a solid platform for expansion within the country's growing financial services market.

LOLC FINANCE ZAMBIA

LOLC Finance Zambia demonstrated a positive growth trajectory during the year, supported by sustained customer acquisition and increasing market penetration across key operating regions. The loan portfolio expanded by 29.2% to ZMW 865.7 million, while deposits increased by 57.6% to ZMW 1,012.3 million, reflecting growing customer confidence and a strengthening funding base. The Company is committed to extending financial access within underserved communities while continuing to improve operational efficiency and deepen long-term customer relationships. These efforts further reinforced LOLC Zambia's contribution to the Group's expanding African financial services platform.

LOLC KENYA

LOLC Kenya sustained its strong growth momentum during the year under review, supported by continued business expansion, increasing customer demand and a disciplined approach to portfolio management. The institution continued to strengthen its presence across key market segments while enhancing customer experience and reinforcing its risk management framework. Its loan portfolio increased by 34.7% to KES 736.6 million, while deposits expanded by 45.0% to KES 874.8 million, reflecting sustained customer confidence and a growing funding base. Ongoing investments in operational capabilities and prudent credit management continued throughout the period.

LOLC TANZANIA

LOLC Tanzania continued to strengthen its market presence through focused customer acquisition and an expanding outreach programme aimed at underserved communities. The Company recorded one of the strongest growth rates within the Group's African portfolio, reflecting increasing demand for accessible financial services. The loan portfolio grew by 77.4% to TZS 18.3 billion, supported by continued business expansion and a customer-focused lending strategy. The institution extends financial access to support entrepreneurship and local economic development across Tanzania.

LOLC UNGUKA FINANCE (RWANDA)

Benefiting from Rwanda's stable macroeconomic environment and sustained demand for financial services, Unguka Finance delivered a strong performance. The Company's responsible lending and customer-focused financial solutions continued to support entrepreneurship and financial inclusion. The loan portfolio increased by 45.3% to RWF 43.5 billion, while deposits grew by 20.4% to RWF 45.8 billion, reflecting balanced growth across both lending and

funding activities. Disciplined portfolio management and a continued focus on customer relationships further strengthened its position within Rwanda's financial services sector.

LOLC EL-OULA (EGYPT)

Egypt's macroeconomic environment improved during the year, supported by moderating inflation, a more stable currency and a gradual easing of monetary policy. Against this backdrop, LOLC El-Oula adopted a deliberately measured approach to lending, prioritising asset quality, portfolio diversification and operational efficiency over volume growth. The loan portfolio declined by 39.4% to EGP 170.4 million, reflecting this strategic recalibration and a more selective approach to credit origination. With a strengthened operating platform and an improving economic backdrop, the Company is well-positioned to resume portfolio growth in the period ahead.

YAMBUKAI (ZIMBABWE)

Zimbabwe's macroeconomic environment continued to stabilise during the year, supported by tighter monetary policy, a steadier currency and a marked easing of inflation, creating a more predictable operating backdrop for financial services. Against this backdrop, Yambukai sustained its market relevance while remaining focused on providing accessible financial solutions and responding to the evolving needs of its customer base. The loan portfolio expanded by 25.7% to USD 8.3 million, reflecting healthy demand for its products and services. Emphasis on responsible lending and customer engagement enabled the institution to maintain its growth trajectory while supporting financial inclusion within the market.

LOLC FINANCE MALAWI

LOLC Finance Malawi maintained its strong growth trajectory during the year under review, supported by continued customer acquisition and expanding market penetration. The Company broadened access to financial services while strengthening its presence within the local market. Its loan portfolio increased by 48.3% to MWK 5.7 billion, reflecting sustained demand for financial services and disciplined business expansion.

LOLC FINANCE RD CONGO

LOLC Finance RD Congo performed strongly in the Democratic Republic of Congo through responsible lending and the gradual expansion of financial services among underserved communities. The focus during the year was on building a sustainable operating platform while supporting greater financial inclusion. The gross loan portfolio reached USD 850,000 while deposits stood at USD 217,000, reflecting continued progress in portfolio development and the steady strengthening of its funding base. These achievements provide a solid foundation for future business expansion as the Company deepens its presence within the market.

ABN (KYRGYZSTAN)

ABN delivered an exceptional performance during the year, supported by favourable economic conditions and growing demand for SME and consumer financing. Strong customer acquisition and continued business expansion resulted in significant growth across both lending and deposits.

The loan portfolio increased by 101.5% to KGS 3.9 billion, while deposits expanded by an impressive 306% to KGS 2.3 billion. These results reflect the institution's growing market presence and its continued contribution towards enterprise development and financial inclusion across Kyrgyzstan.

R-FINANCE (KAZAKHSTAN)

R-Finance recorded another year of healthy growth, supported by favourable economic activity and sustained customer demand. The Company pursued disciplined expansion while maintaining prudent portfolio management and sound credit practices. Its loan portfolio increased by 32.0% to KZT 51.8 billion, reflecting the successful execution of its growth strategy and continued strengthening of its position within Kazakhstan's financial services market.

LOLC MOLIYA (TAJIKISTAN)

LOLC Moliya continued to gather momentum during the year, delivering strong growth across both lending and deposits. The institution remained focused on expanding financial access while strengthening customer relationships and broadening its funding base. Its loan portfolio increased by 45.2% to TJS 153.8 million, while deposits grew by a significant 214.9% to TJS 109.7 million, supported by robust customer acquisition and continued business expansion. These achievements further strengthen the Company's market position and support its long-term growth ambitions.

KARAT (TAJIKISTAN)

KARAT, the Group's flagship pawn-broking operation in Tajikistan, continued to reinforce its market leadership during the year through the expansion of its branch network and continued focus on accessible financial solutions. The network expanded to 25 branches during the period under review, further improving customer accessibility and strengthening its presence across the country. By providing transparent, convenient and responsive short-term financing solutions, KARAT continues to play an important role in serving underserved customer segments while maintaining its leadership position within the market.

OUTLOOK

LOLC's global financial services portfolio remains well-positioned to build on its diversified international footprint and capture emerging opportunities across its operating markets. The Group will continue to deepen financial inclusion, strengthen customer relationships and enhance operational excellence through continued investment in digital transformation, prudent risk management and responsible business practices. While each market presents its own opportunities and challenges, the resilience of the Group's international franchise, together with its disciplined operating model and strong governance framework, provides a solid platform for sustainable long-term growth and continued contribution to the economic development of the communities it serves.

AGRICULTURE AND PLANTATIONS

BROWNS PLANTATIONS CONTINUED TO STRENGTHEN ITS POSITION AS THE WORLD'S LARGEST TEA PRODUCER AND ONE OF THE MOST GEOGRAPHICALLY DIVERSIFIED PLANTATION ENTERPRISES, ADVANCING ITS STRATEGIC VISION OF BUILDING A GLOBALLY INTEGRATED AGRICULTURAL PLATFORM SPANNING ASIA AND AFRICA. SPREAD ACROSS SRI LANKA, KENYA, TANZANIA, RWANDA AND CHINA, THE GROUP REMAINED FOCUSED ON ENHANCING OPERATIONAL EXCELLENCE, ACCELERATING SUSTAINABILITY INITIATIVES AND LEVERAGING TECHNOLOGY TO CREATE LONG-TERM VALUE ACROSS ITS PLANTATION PORTFOLIO.

BROWNS PLANTATIONS

Browns Plantations continued to strengthen its position as the world's largest tea producer and one of the most geographically diversified plantation enterprises, advancing its strategic vision of building a globally integrated agricultural platform spanning Asia and Africa. Spread across Sri Lanka, Kenya, Tanzania, Rwanda and China, the Group remained focused on enhancing operational excellence, accelerating sustainability initiatives and leveraging technology to create long-term value across its plantation portfolio. The Group's global footprint, combined with its diversified agricultural assets and strong market presence, enables it to respond effectively to evolving industry dynamics while capitalising on opportunities within the global tea value chain.

One of Browns Plantations' key competitive strengths lies in its ability to leverage synergies across its geographically diversified tea operations. The Group actively shares best practices, technology, agronomic expertise and operational knowledge across Sri Lanka, Kenya, Tanzania, Rwanda and China, enabling successful initiatives developed in one region to be adapted and implemented across others. This integrated approach strengthens productivity, enhances product quality, accelerates turnaround programmes and supports innovation throughout the value chain. At the same time, the Group's presence across multiple tea-producing origins provides greater resilience against regional market and climatic challenges while enabling it to better serve evolving customer requirements through a broader and more diversified product offering.

The year under review was characterised by significant external challenges affecting plantation operators globally. Rising labour costs, increasing fertiliser prices, higher energy costs and weather-related disruptions placed pressure on profitability across the sector. Nevertheless, Browns Plantations demonstrated resilience through disciplined operational management, strategic investments and a relentless focus on productivity improvements across both its local and international operations.

Technology and innovation continued to play a pivotal role in the Group's transformation agenda. Investments in automation, mechanised harvesting, digital monitoring systems and manufacturing efficiency programmes strengthened operational performance while laying the foundation for future growth. At the same time, sustainability remained firmly embedded within the Group's strategy, with substantial investments directed towards renewable energy, carbon reduction initiatives and conservation programmes.

Looking ahead, Browns Plantations remains committed to creating a future-ready plantation business that balances operational excellence with environmental responsibility. The Group is committed to strengthen its competitive position through continued investment in innovation, renewable energy, mechanisation and sustainable land management, while progressing towards its long-term ambition of achieving carbon net-zero operations.

LOCAL

MATURATA, UDAPUSSELLAWA, HAPUGASTENNE, PUSSELLAWA PLANTATIONS AND TEA SMALLHOLDER FACTORIES

The Group's Sri Lankan plantation portfolio continued to demonstrate resilience despite a challenging operating environment characterised by rising operating costs and persistent industry-wide pressures. Collectively, the plantation companies generated revenue of over Rs. 23.46 billion during the year under review, with Hapugastenne Plantations PLC (HPL) contributing Rs. 4.49 billion, Udapussellawa Plantations PLC (UPL) Rs. 3.26 billion, Maturata Plantations Limited (MPL) Rs. 5.69 billion, Pussellawa Plantations Limited (PPL) Rs. 6.71 billion and Tea Smallholder

Factories PLC (TSML) Rs. 3.32 billion. Despite considerable margin pressures arising from higher labour costs following the latest wage revision, together with increases in fertiliser, energy and other input costs, HPL, UPL, PPL and TSML remained profitable, while MPL delivered a strong financial performance despite being impacted by higher borrowing costs during the year. Nevertheless, all plantation companies successfully achieved their crop targets, reflecting the strength of their agricultural operations, disciplined estate management and continued focus on productivity. In addition, the local plantation portfolio recognised fair value gains of approximately Rs. 1.6 billion from biological assets and property valuations.

Among the year's most notable achievements was the strong performance of Tea Smallholder Factories PLC following its acquisition. The implementation of a revised operating strategy, focused on enhancing tea quality while improving factory utilisation, contributed to a significant improvement in financial performance during the year. Revenue increased to Rs. 3.32 billion, while gross profit more than doubled compared to the previous financial year. The business also recorded EBIT of Rs. 50.9 million, Profit Before Tax of Rs. 236.4 million and Profit After Tax of Rs. 165.7 million. This performance reflects the successful execution of the Company's operational improvement initiatives and reinforces the long-term value of the acquisition.

Among the established plantation businesses, Udapussellawa Plantations PLC delivered the strongest profitability performance during the year, generating revenue of Rs. 3.26 billion, Gross Profit of Rs. 606.6 million, EBIT of Rs. 514.2 million and Profit After Tax of Rs. 551.2 million, supported by a healthy gross profit margin of 18.6% and net profit margin of 16.9%. Hapugastenne Plantations PLC recorded revenue of Rs. 4.49 billion and Profit After Tax of Rs. 203.0 million, while maintaining positive operating margins despite escalating production costs. Maturata Plantations Ltd. generated revenue of Rs. 5.69 billion, although profitability was affected by prevailing industry challenges and increased operating costs during the year. Pussellawa Plantations Ltd. delivered an exceptional performance during the year despite continued cost pressures across the plantation sector. The Company generated revenue of Rs. 6.71 billion, supported by disciplined estate operations and sustained agricultural productivity. It recorded Gross Profit of Rs. 438.0 million, EBIT of Rs. 554.2 million and Profit Before Tax of Rs. 455.2 million, concluding the year with a Profit After Tax of Rs. 49.4 million. Capital expenditure of Rs. 590.6 million reflected the Company's continued investment in estate development, operational infrastructure and long-term productivity enhancement, reinforcing its commitment to sustainable value creation despite a challenging operating environment.

Technology-driven transformation remained a key priority across the local plantation portfolio. During the year, Browns Plantations expanded the implementation of real-time digital weighing solutions across its estates, enhancing transparency throughout the green leaf collection process. The system provides workers with greater visibility into weight measurements and quality adjustments, offering greater transparency. This initiative has significantly improved operational integrity and stakeholder confidence across the value chain. Complementing these efforts, the Group also introduced digital automated dryer mouth tea weighing system within manufacturing operations, enabling real-time production statistics and enhanced process control.

Mechanisation continued to gain momentum during the year. In response to labour shortages experienced across certain plantation regions, Browns Plantations significantly expanded investments in handheld harvesting equipment. Following successful pilot programmes, the Group deployed approximately 2,450 harvesting machines across its estates and subsequently procured an additional consignment of 1,000 to support wider adoption. These investments have already generated measurable improvements in harvesting efficiency while supporting higher productivity levels across operations.

Simultaneously, Browns Plantations continued to evaluate opportunities for factory automation. Detailed studies were undertaken during the year to identify automation solutions capable of enhancing manufacturing efficiency while supporting long-term cost competitiveness. These initiatives form part of a broader strategy to establish an optimal balance between technology and workforce productivity within the plantation sector.

Significant investments were also made towards factory refurbishment and infrastructure upgrades during the year, including reroofing programmes, structural strengthening initiatives and facility enhancements designed to support renewable energy integration while improving long-term operational sustainability.

The plantation companies' commitment to operational excellence, quality, sustainability and responsible estate management continued to receive recognition during the year through numerous local and international awards, certifications and industry accolades, reinforcing Browns Plantations' position as one of Sri Lanka's leading plantation groups.

SUSTAINABILITY AT BROWNS PLANTATIONS

Browns Plantations continues to create long-term value through the responsible management of natural resources, sustainable agricultural practices and disciplined operational excellence. With a diversified plantation portfolio spanning Sri Lanka, Tanzania and Sierra Leone, the sector integrates commercial performance with environmental stewardship, climate resilience, biodiversity conservation and community development. During the year under review, Browns Plantations remained focused on strengthening productivity, advancing digitalisation and renewable energy initiatives and enhancing operational resilience, while navigating an increasingly challenging cost environment. This balanced approach continues to reinforce the sector's ability to generate sustainable economic, environmental and social value over the long term.

Environmental stewardship remained firmly embedded within Browns Plantations' operating philosophy during the year under review, with continued investments directed towards climate resilience, biodiversity conservation, renewable energy, sustainable agricultural practices and community engagement. These initiatives reflect the Group's commitment to creating long-term

environmental and social value while aligning plantation operations with internationally recognised sustainability standards and responsible land management practices.

Water stewardship continued to be a priority across the Group's estates. Through an extensive rainwater harvesting programme, Browns Plantations collected nearly 85,200 cubic metres of rainwater during the year, reducing dependence on conventional water sources while strengthening water security across its plantation operations. Complementing these efforts, the Group continued to implement sustainable agricultural practices, including cover cropping, crop rotation and agroforestry techniques, to enhance soil fertility, minimise erosion, improve moisture retention and preserve long-term land productivity.

Protecting and restoring biodiversity remained central to the Group's environmental strategy. During the year, Browns Plantations planted approximately 3,000 indigenous trees across its estates while continuing to safeguard 4,488 hectares of environmentally sensitive land spanning 49 estates. Wildlife corridors were further developed to improve habitat connectivity, while ecological buffer zones were maintained around environmentally sensitive areas to protect native flora and fauna and preserve ecological balance. Continuous biodiversity monitoring programmes were undertaken to assess ecosystem health and support evidence-based conservation initiatives across the plantation portfolio.

The Group's sustainability framework continues to be guided by internationally recognised standards, with plantation operations aligned to the Rainforest Alliance, Sustainable Agriculture Standard, and ISO 14064 requirements for greenhouse gas accounting and reporting. These frameworks strengthen environmental governance while supporting continuous improvement in sustainable agricultural practices, climate risk management and environmental performance monitoring.

During the year, Browns Plantations completed a large-scale rooftop solar project covering 20 factories across its Sri Lankan operations. Representing an investment of approximately Rs. 660 million, the project is expected to deliver significant reductions in energy costs while supporting the Group's transition towards cleaner energy sources. The initiative represents a major milestone in Browns Plantations' sustainability journey and supports its ambition of progressing towards Carbon Neutrality/carbon net-zero operations by 2040. With annual energy expenditure across the plantation portfolio approaching Rs. 1 billion, the Group has established a strategic objective of reducing dependence on conventional energy by between 60% and 70% through renewable energy investments.

Building on the success of the first phase, Browns Plantations has commenced planning for a second phase that will extend rooftop solar installations to a further 16 factories. In parallel, the Group has identified 15 potential hydropower locations across its plantation network to strengthen energy security, reduce long-term operating costs and further advance its environmental objectives.

Advancing towards a lower-carbon operating model remained a key strategic priority during the year. Browns Plantations reaffirmed its commitment to achieving carbon neutrality across the majority of its tea factories by 2030 through continued investments in renewable energy and energy efficiency. As part of this long-term strategy, the Group progressed the implementation of a 5 MW rooftop solar programme, which is expected to reduce carbon emissions by approximately 27,900 metric tonnes over its lifecycle. During the year under review, solar installations with a cumulative capacity of 2.83 MW were successfully completed, representing a significant milestone in the Group's renewable energy transition while contributing to lower operating costs and reduced dependence on conventional energy sources.

Recognising that sustainability extends beyond environmental performance, Browns Plantations continued to strengthen community engagement across its plantation workforce and surrounding communities. Particular emphasis was placed on improving the education and nutritional wellbeing of plantation children through targeted community initiatives, while environmental awareness programmes reached nearly 7,000 employees during the year. These programmes encouraged responsible environmental practices, strengthened employee participation in sustainability initiatives, and fostered a culture of environmental stewardship throughout the organisation.

By embedding sustainability within its long-term business strategy, the Group continues to create value that extends beyond operational performance while contributing meaningfully to the conservation of Sri Lanka's natural capital and the sustainable development of the plantation sector.

AWARDS, CERTIFICATIONS AND RECOGNITION

The Group's commitment to sustainable plantation management, environmental stewardship, technological innovation and operational excellence received widespread national and international recognition during the year under review. At the Sri Lankan Sustainability Awards 2025, organised by the Ceylon Institute of Builders (CIOB) in collaboration with the Building Economics and Management Research Unit (BEMRU) of the University of Moratuwa, Browns Plantations received four major accolades: Sustainable Preservation of Biodiversity, Sustainability Business Leader of the Year, Sustainable Future Leader of the Year and Sustainable Technology Provider. These awards recognised the Group's leadership in biodiversity conservation, sustainable business practices, responsible leadership and the application of technology to advance sustainability within the plantation sector.

The Group's environmental leadership was further recognised at the People's Excellency Awards 2025, where Browns Plantations was named The Eco-Conscious Plantation of the Year. At the same awards ceremony, Dr. Pradeep Uluwaduge, Executive Chairman, received the Excellence in Sustainable Leadership Award of the Year in recognition of his contribution to advancing sustainability within Sri Lanka's plantation industry.

Further recognition followed at the Purawasi Abhiman Sinhawalokanaya 2025 Awards, organised by Veenavee Event and Management Crew (Pvt) Ltd, where Browns Plantations received the Sustainable Business Leadership Excellence Award, while Dr. Pradeep Uluwaduge was

honoured with the Leadership in Sustainable Enterprise Excellence Award, recognising both the organisation's and its leadership's contribution to sustainable business excellence.

International recognition continued at the Asia Awards, where Browns Plantations received Asia's Sustainable Transformation Award, Asia's Plantation Operational Excellence Award, and Asia's Most Environmentally Responsible Company Award. At the same event, Dr. Pradeep Uluwaduge was honoured as Asia's Chairman of the Year, reflecting the Group's sustained leadership in operational excellence, environmental responsibility, and strategic transformation.

Adding to these achievements, Hapugastenne Plantations PLC became the first company in the world to receive the Control Union Deforestation-Free Standard (DFS) Certificate from Control Union Certification B.V. This landmark certification recognises the company's commitment to responsible land management, biodiversity conservation and deforestation-free plantation practices, setting a new global benchmark for sustainable plantation management.

Beyond renewable energy, Browns Plantations continued to pursue broader environmental initiatives aimed at enhancing biodiversity and strengthening natural capital. Discussions progressed with international partners regarding large-scale reforestation and land rehabilitation programmes across underutilised plantation lands. These initiatives are expected to support biological asset growth, biodiversity conservation, future participation in carbon credit markets and the Group's longer-term climate commitments.

GAL OYA SUGAR INDUSTRIES

Gal Oya Sugar Industries continued to operate in a challenging industry environment during the year under review. Despite recording an operational loss for the year, the Company maintained stable production levels and continued to strengthen its position as one of Sri Lanka's most integrated agri-industrial operations. During the year, the Company crushed approximately 375,500 metric tonnes of sugarcane, producing 21,000 metric tonnes of sugar and 3.6 million litres of Extra Neutral Alcohol (ENA). In addition, Gal Oya exported approximately 8.75 megawatts of renewable power and a further 3.75 megawatts of solar-generated electricity to the national grid. Operating across a land extent of approximately 6,500 hectares, the business continued to make a valuable contribution to the regional agricultural economy while supporting a large farming community.

Prevailing market conditions remained unfavourable, with sugar and ethanol prices continuing at subdued levels, resulting in continued pressure on profitability across the industry. Notwithstanding these challenges, the company remains focused on enhancing operational efficiencies and maximising value from its integrated production model. A notable sustainability strength of the operation is its fully integrated circular economy model, which enables the utilisation of virtually all outputs and by-products generated throughout the production process. Sugarcane harvested from the fields is converted into sugar, ENA and renewable energy, while process by-products are utilised to generate methane gas for internal energy requirements. Residual waste is subsequently converted into organic fertiliser and returned to the fields, creating a closed-loop production cycle with minimal waste discharge. This zero-discharge approach reflects the Company's commitment to sustainable resource management and environmental stewardship.

BROWNS AGRI SOLUTIONS

The year marked an important milestone in the Company's growth journey as revenue surpassed the Rs. 3 billion threshold for the first time, supported by broad-based growth across product categories and customer segments. The achievement reflects the continued strengthening of the Company's market position and the increasing relevance of its solutions within Sri Lanka's agricultural sector.

The year under review saw the continued expansion of the Company's product portfolio through the introduction of several new products and technologies designed to address evolving agricultural challenges and changing cultivation practices. Within the seed segment, Browns Agri Solutions introduced Devnur Deluxe and Armour, two new F1 hybrid hot pepper varieties developed in partnership with BASF Lanka (Pvt) Ltd., while the introduction of Avatar watermelon seeds through its collaboration with Chia Tai Seeds Co., Ltd further strengthened the Company's vegetable seed portfolio.

The Company also expanded its presence within the pest management segment through the launch of Selontra, an innovative soft bait rodenticide developed by BASF. The product offers rapid and effective control of rodent infestations and introduces a modern and reliable solution to Sri Lanka's pest management industry.

Recognising the significance of the launch to the broader pest control sector, Browns Agri Solutions hosted an industry engagement event at Hilton Residencies, Colombo, bringing together leading pest management operators from across the country. The event generated considerable industry interest and demonstrated strong confidence in the product's commercial potential and technical capabilities.

Responding to the increasing challenges posed by changing climatic conditions, the Company also introduced ALTHEON, a drought-resilient yield optimisation package specifically developed for Sri Lanka's tea sector. Designed to improve productivity while supporting crop resilience under increasingly variable weather conditions, the solution reflects the Company's broader strategy of introducing technologies that simultaneously improve farm economics and support long-term agricultural sustainability.

The Company also strengthened its activities within seed production and localisation initiatives through a partnership with Thai Seed Research Co. Ltd., Thailand, to implement a Local Hybrid Field Corn Multiplication Project. The initiative, currently being undertaken in the Mahailuppallama region under the supervision of the Department of Agriculture, represents an important step towards improving the local availability of high-quality hybrid seed while reducing dependence on imported planting material.

Beyond product development and commercial activities, Browns Agri Solutions continued to place significant emphasis on farmer

education and knowledge dissemination as a core component of its operating model. The Company maintained an active field presence throughout the year through a comprehensive programme of farmer awareness campaigns, technical advisory sessions and agronomic support initiatives designed to improve productivity while reducing cultivation costs. During the year under review, the Company conducted 107 field campaigns and 358 farmer training programmes across the country while engaging directly with more than 29,000 farmers through individual field visits and advisory interactions. These initiatives covered crop management practices, productivity enhancement techniques and practical agronomic guidance tailored to local growing conditions and farmer requirements.

The strength of the Company's relationships within Sri Lanka's agricultural ecosystem was further reflected through several recognitions received during the year. Browns Agri Solutions received a Special Appreciation Award from the Faculty of Agriculture of the University of Peradeniya in recognition of its longstanding support and contribution towards the Faculty's activities and development initiatives. The Company was also recognised as a Platinum Contributor at the centenary celebrations of the Tea Research Institute of Sri Lanka, commemorating one hundred years of excellence in agricultural research, development and service to the tea industry. In addition, Browns Agri Solutions received recognition at the Annual Symposium of the Department of Agriculture, widely regarded as Sri Lanka's largest annual gathering of agricultural professionals and practitioners.

The year also saw the Company record the highest single-month revenue performance in its history during March 2026, reflecting strong market momentum and continued growth in customer demand across its product portfolio.

Sustainability, product stewardship and operational excellence continued to remain central to the Company's operating philosophy. Browns Agri Solutions maintained certification under ISO 9001:2015 Quality Management Systems, ISO 14001:2015 Environmental Management Systems and ISO 45001:2018 Occupational Health and Safety Management Systems covering the storage and distribution of agrochemicals.

During April 2025, SGS Lanka conducted third-party surveillance audits covering all three management systems as part of the ongoing certification process following the scope audit completed in May 2023, reaffirming the Company's commitment to maintaining internationally recognised standards across quality, environmental management and occupational safety. In line with regulatory requirements associated with ISO 14001:2015 compliance, the Company also maintained both its Environmental Protection Licence and Scheduled Waste Management Licence while continuing to fulfil all applicable regulatory obligations.

Looking ahead, Browns Agri Solutions intends to continue expanding its product portfolio and strengthening strategic partnerships with leading global agricultural technology companies. The Company plans to introduce KUDOS, a premium foliar fertiliser developed by FMC Corporation, one of the world's leading agricultural chemical companies. The partnership with BASF Lanka (Pvt) Ltd is also expected to deepen further through the planned launch of Wijaya, a high-performance chilli variety developed to meet the evolving needs of local growers. In support of its portfolio expansion strategy, Browns Agri Solutions intends to introduce a broader range of agricultural solutions during FY2026/27, including new herbicides, insecticides, fungicides and hybrid seed varieties.

The Company also plans to establish a dedicated Pest Control Strategic Business Unit to formalise and expand its presence within general and household pest management services. Within the crop protection segment, preparations are underway for the relaunch of RAPID herbicide with refreshed packaging designed to enhance safety while reinforcing the Company's ambition to establish leadership within the total weed control category.

Digital engagement with the farming community will also receive greater emphasis during the coming year through the planned introduction of a Farmer Interaction App aimed at promoting safe product usage, improving knowledge transfer and supporting productivity enhancement across farming communities.

AGSTAR PLC

AgStar PLC delivered a strong recovery in FY2025/26, successfully capitalising on opportunities arising from the improving agricultural environment while executing a comprehensive operational restructuring programme across the Group. Operating against a backdrop of evolving farmer requirements, heightened market competition and a changing macroeconomic environment, the Group focused its efforts on strengthening its core business foundations, improving execution across its distribution network and repositioning its portfolio towards higher-value and technology-driven agricultural solutions. These initiatives produced a significant improvement in overall performance and marked an important turning point in the Group's operational trajectory.

For the first time in its history, AgStar's consolidated revenue surpassed the Rs. 10 billion milestone, reflecting the growing scale of the business and the strength of its diversified operating model across Fertiliser, Crop Care, Seeds and Agri Technology. The improvement in top-line performance translated into a return to profitability at both operating and net earnings level following the losses recorded during the previous financial year, reflecting the benefits of improved market execution, tighter operational discipline and targeted interventions across underperforming business segments.

The Fertiliser business remained the principal contributor to Group performance and delivered an exceptional year, benefiting from renewed agricultural activity and improved farmer confidence across key cultivation regions. AgStar outperformed the market, recording volume growth well ahead of overall industry expansion and strengthening its position across key agricultural regions. This performance was driven by a combination of targeted product positioning, proactive dealer engagement programmes and intensified farmer outreach initiatives undertaken through the Group's expanded technical marketing team.

The deployment of the mobile soil testing laboratory and the expansion of field-level advisory services enabled the business to deepen relationships with farming communities while promoting more scientific nutrient management practices. Seasonal promotional campaigns and focused regional market strategies further supported growth and enabled the business to capture a disproportionate share of market expansion during the year.

Despite this strong performance, the business continued to operate in a challenging external environment. The adverse effects of Cyclone Ditwah disrupted agricultural activity across several farming regions and moderated fertiliser demand during affected cultivation periods.

At the same time, escalating geopolitical tensions in the Middle East placed significant upward pressure on global fertiliser prices, creating a challenging procurement and cost environment for importers and distributors. The division responded through disciplined inventory management, proactive procurement strategies and close monitoring of supply chain risks, enabling it to mitigate the impact of these external pressures while maintaining supply continuity and protecting margins. The result was a decisive turnaround in profitability and one of the strongest performances delivered by the division in recent years.

The Crop Care business encountered a more challenging operating environment during the year under review as competition intensified within the market for commodity crop protection products, resulting in sustained pricing pressure and lower market realisations across several product categories. These market conditions were further compounded by the adverse impact of the Ditwah weather conditions, which disrupted farming activity and reduced demand for crop protection products in affected regions. The business also faced internal challenges associated with elevated working capital and inherited cost structures that constrained profitability during the year. Recognising these issues, a comprehensive remediation programme aimed at restoring profitability and improving operational efficiency was initiated. The programme includes inventory rationalisation, strengthened debtor collection processes, tighter working capital controls and a systematic review of the cost base.

The Seeds Division recorded one of the strongest recoveries within the Group during FY2025/26, supported by growing farmer confidence, improved commercial execution and a stronger product portfolio. Growth was primarily driven by robust demand for maize and vegetable seed varieties, which contributed to a significant strengthening of the division's presence across key agricultural crops. The quality and differentiation of the product portfolio also contributed to a substantial improvement in profitability, with the Seeds business recording the highest gross margin among all four Strategic Business Units within the Group. This improvement reflected a favourable shift in product mix towards higher-value seed varieties and the successful implementation of initiatives aimed at improving pricing discipline and market positioning.

The Seeds Division also returned to profitability following losses recorded during the previous year. The losses experienced during FY2024/25 were largely attributable to lower gross profit made due to higher market competition, elevated working capital, slow-moving stock and weaknesses within the field sales structure. During FY2025/26, a focused recovery programme aimed at addressing these structural issues through inventory rationalisation, debtor resolution, field force restructuring and stronger receivables management practices was implemented.

Looking ahead, product innovation and deeper market penetration remain central to the division's strategy along with strengthening the product portfolio through the introduction of new high-yielding seed varieties tailored to the evolving requirements of Sri Lanka's farming community. The business also plans to expand its distribution footprint into underserved agricultural regions while exploring partnerships with research institutions to strengthen its product development pipeline and accelerate innovation.

The Agri Technology Division delivered another year of strong growth as demand for mechanisation and technology-driven agricultural solutions continued to accelerate. Growth was primarily supported by robust machinery sales, with both two-wheel and four-wheel tractor categories recording significant volume increases during the year. The performance reflected the division's adaptive and focused marketing strategy, which successfully captured increasing farmer demand for mechanised farming solutions and productivity-enhancing technologies. Beyond machinery sales, the division continued to make important progress in positioning itself as a provider of next-generation agricultural technologies. Post-harvest solutions are being actively developed and commercialised as part of the division's broader transition towards a technology-enabled agribusiness model.

Several important milestones were achieved during the year. AgStar introduced site-specific fertiliser formulations developed using scientific soil analysis techniques, enabling more precise nutrient application and improving crop-specific nutrient management practices. The technical field extension team was further strengthened to improve farmer engagement and enhance agronomic advisory services at ground level. The deployment of a dedicated mobile soil testing laboratory enabled the Group to conduct more than 9,000 soil sample analyses across farming communities during the year, supporting scientific fertiliser application and improved farm productivity.

The Group also entered into a Memorandum of Understanding with the Tea Research Institute aimed at leveraging scientific expertise to support fertiliser-focused farmer education programmes within the tea sector. In addition, new fertiliser blends specifically developed for root crops, vegetable crops and the Kalpitiya cultivation region were successfully introduced during the year.

The Group's increasing focus on scientific nutrient management, precision agriculture and site-specific fertiliser application aims not only to improve agricultural productivity but also to reduce nutrient losses, optimise input utilisation and minimise environmental impacts associated with farming activities. The deployment of mobile soil testing technologies, expansion of technical advisory services and farmer education initiatives

further support responsible input use and the adoption of more sustainable farming practices. The development of coated fertilisers, drone technologies and precision agriculture solutions similarly reflects the Group's commitment to improving productivity while reducing environmental intensity and supporting the long-term resilience of Sri Lanka's agricultural sector.

AgStar enters FY2026/27 with a stronger operational platform, improved financial resilience and a clearly defined strategic agenda across all four Strategic Business Units. Key priorities for the year ahead include expanding the Group's presence within the urban home gardening segment through a dedicated fertiliser range, introducing new compound fertiliser products targeting selected crop categories and commencing field trials for new tea fertiliser formulations in partnership with Browns Plantations Limited. The planned field trials will evaluate both soil and foliar applications with the objective of developing scientifically validated nutrient solutions for Sri Lanka's tea industry. Supported by a stronger operational foundation, a renewed culture of execution and an increasing focus on science-based agriculture, AgStar remains well positioned to continue supporting Sri Lanka's farming community while delivering sustainable long-term growth.

TROPICAL ISLAND COMMODITIES

Tropical Island Commodities recorded a significant improvement in performance during the year under review, reporting a positive EBITDA of approximately Rs. 98 million. The result reflects the success of strategic initiatives implemented over the past year to diversify markets, improve margins and reduce reliance on traditional business segments. Building on the operational improvements achieved in recent years, the Company adopted a revised business model focused on expanding into previously untapped market segments with stronger margin potential. This strategic shift contributed positively to earnings and strengthened the company's overall commercial position.

The Company also continued to diversify its product portfolio beyond its traditional cinnamon-focused business. While cinnamon remains a core product category, Tropical Island Commodities expanded its offering to include pepper, cloves, nutmeg, cardamom and other value-added spices in response to evolving customer requirements. This broader product mix has improved revenue diversification while strengthening customer relationships across export markets. Operational performance improved during the year, with export volumes increasing and the number of containers shipped monthly recording notable growth. The Company further enhanced its export readiness by maintaining internationally recognised certifications, including ISO and GMP certifications, while also pursuing additional certifications aimed at expanding access to key European markets.

With improving market conditions, a diversified product portfolio and an expanded customer base, Tropical Island Commodities is well positioned to build on the progress achieved during the year and deliver further growth in the period ahead.

GLOBAL

Browns Plantations' international operations continued to play a pivotal role in the Group's long-term growth strategy, providing geographic diversification, operational scale and access to key global tea markets. During the year under review, management focused on accelerating turnaround initiatives, enhancing productivity, expanding renewable energy investments and improving profitability across its international portfolio.

BROWNS PLANTATIONS KENYA

Browns Plantations Kenya (BPK) remained one of the largest contributors to the Group's international plantation operations. The business continued its remarkable transformation journey during the year, successfully building upon the turnaround achieved since acquisition. At the time of acquisition, BPK was recording losses, however through disciplined operational management, productivity enhancement initiatives and strategic investments, the business recorded a profit of approximately USD 1.5 million during the year under review. Management expects this momentum to continue.

Mechanisation remained a key driver of operational performance. During the year, Browns Plantations expanded investments in advanced self-propelled harvesters sourced from Japan. These sophisticated machines, each representing a significant capital investment, have substantially improved harvesting productivity while reducing per-kilogram harvesting costs. The programme has already generated measurable efficiency gains and remains central to the Group's long-term productivity strategy. The Company also continued to pursue innovative sustainability initiatives aimed at reducing energy consumption and carbon emissions. BPK invested approximately USD 1.5 million in pilot projects exploring gasification technologies designed to reduce firewood consumption in tea manufacturing processes. Early results have been encouraging and may support broader implementation across the Group's operations in future years. These initiatives support Browns Plantations' broader ambition of becoming the world's first carbon net-zero large-scale tea producer. The company also continued programmes aimed at enhancing the capacity of its 10 hydropower facilities, further strengthening renewable energy generation across its operations.

BROWNS EAST AFRICA PLANTATIONS

Browns East Africa Plantations (BEAP), established following the acquisition of the former Lipton tea portfolio, made substantial progress during the year under review. At the point of acquisition in 2024, the former Lipton operations were operating at a loss. Through focused restructuring initiatives, operational improvements and disciplined management, these losses were substantially reduced during the year under review. This improvement was further supported by enhanced product quality and strategic changes implemented in field and agricultural operations, which contributed significantly to the overall performance. Importantly, USD 4m of the loss was attributable to one-off restructuring costs associated with workforce optimisation and business transformation initiatives. Excluding these non-recurring expenses, the underlying operational performance demonstrated a marked improvement. Building on this momentum, the business is targeting a return to profitability in the forthcoming financial year.

This turnaround reflects the effectiveness of the Group's integration strategy and its ability to unlock value from large-scale agricultural acquisitions.

BROWNS PLANTATIONS TANZANIA

Browns Plantations Tanzania continued its transformation journey during the year, achieving a significant reduction in losses, despite operating in a challenging business environment. A key strategic initiative implemented during the year was the introduction of an innovative revenue-sharing model. Under this framework, local communities and former employees are entrusted with the management of designated plantation plots, while receiving agricultural input, technical support, and guaranteed market access. This approach has strengthened stakeholder engagement, improved productivity, and enhanced the long-term sustainability of operations. The company also invested significantly in factory capacity enhancement projects to support future production growth and improve manufacturing efficiency.

BROWNS PLANTATIONS RWANDA

Browns Plantations Rwanda strengthened its position as a strategic growth platform within the Group's African operations. The business operates under a unique tripartite partnership involving Browns Plantations, the Government of Rwanda and the Wood Foundation, with a strong emphasis on supporting smallholder farmers and inclusive agricultural development. As tea production volumes continued to increase, the operation undertook major capacity enhancement initiatives during the year. An investment of approximately USD 2.4 million was directed towards expanding manufacturing capacity, including the installation of a second CTC production line and increased withering capacity. These investments are expected to support future growth while strengthening operational efficiency.

BROWNS PLANTATIONS (GUIZHOU) TEA CO., LTD.

Browns Plantations (Guizhou) Tea Co., Ltd. sustained its positive growth trajectory during the year. Since its acquisition, the business has consistently remained profitable and has successfully established itself as an important component of the Group's global tea value chain. Located within one of China's most important tea-producing regions, the company serves as a strategic hub for tea refining, packaging and value-added tea solutions. During the year under review, the operation recorded a profit of approximately RMB 1.7 million and remains on track to achieve further growth in the years ahead.

SUNBIRD SIERRA LEONE

Sunbird Sierra Leone continued its operational transformation during the year under review, recording its strongest production performance to-date despite continuing to operate at a negative EBITDA level. While profitability remained impacted by market-related challenges, the Company achieved several important operational milestones that reinforce its long-term growth potential. The company recorded its highest-ever sugarcane crushing volume exceeding 175,000 metric tonnes during the year. Ethanol production reached a record level of approximately nine million litres, while agricultural yields improved significantly compared to previous years. These achievements reflect ongoing investments in plantation management, operational efficiencies and agronomic improvements across the estate. Despite this strong operational performance, the business encountered challenges during the latter part of the financial year arising from temporary disruptions in domestic and regional sales markets. These conditions impacted revenue generation and overall financial performance, offsetting some of the gains achieved through higher production volumes and improved yields.

A major strategic priority for the Company remains the development of its sugar production project. Although implementation timelines were affected by a range of external factors, project activities commenced during the latter part of the financial year and are currently progressing. Once completed, the project will significantly diversify the Company's revenue streams and strengthen its position within Sierra Leone's agricultural sector. The facility is currently expected to be completed during the 2027/28 financial year.

The Company cultivated approximately 5,550 hectares during the year, of which approximately 3,700 hectares were harvested. Continued expansion of productive acreage, coupled with investments in processing infrastructure is expected to support future growth in production and profitability. Overall, the Company improved agricultural yields and advanced its sugar diversification strategy to unlock value and strengthen the Group's international agribusiness portfolio.

LEISURE

CAPITALISING ON FAVOURABLE MARKET CONDITIONS, BROWNS HOTELS AND RESORTS DELIVERED ITS STRONGEST FINANCIAL PERFORMANCE TO DATE DURING THE YEAR UNDER REVIEW. THIS PERFORMANCE WAS UNDERPINNED BY CONTINUED FOCUS ON OPERATIONAL EXCELLENCE THROUGH THE IMPLEMENTATION OF A UNIFIED PROPERTY MANAGEMENT SYSTEM, DIGITAL CONCIERGE SOLUTIONS AND PROCESS DIGITALISATION INITIATIVES.

LOCAL

BROWNS HOTELS & RESORTS

The global tourism industry continued its growth trajectory during 2025, supported by increasing international travel demand, improved connectivity and growing consumer confidence. Against this backdrop, Sri Lanka's tourism sector maintained its recovery momentum and is expected to experience sustained growth over the medium term, with tourist arrivals projected to reach between 3.5 million and 4 million by 2030. This anticipated growth is expected to create significant opportunities for the hospitality sector while driving increased demand for quality accommodation, wellness tourism and authentic destination experiences.

Capitalising on favourable market conditions, Browns Hotels and Resorts delivered its strongest financial performance to date during the year under review. This performance was underpinned by continued focus on operational excellence through the implementation of a unified Property Management System, digital concierge solutions and process digitalisation initiatives. In anticipation of the next phase of tourism growth, Browns Hotels and Resorts continued to invest in strengthening and modernising its property portfolio. Approximately 15% of the room inventory across the Group underwent refurbishment or upgrades during the year. Key projects included the renovation of 47 family rooms at Dickwella Resort & Spa, 24 villas at Club Hotel Dolphin, 15 washrooms at The Paradise Dambulla and the development of mock-up rooms at Hotel Sigiriya. The Group also completed the refurbishment of Bello Beach Bar at The Calm Resort & Spa and introduced a new beach bar concept at Dickwella Resort & Spa, further enriching the guest experience across its coastal properties.

A notable milestone during the year was the addition of Newburgh Ella – The Tea Factory Resort to the Browns Hotels and Resorts portfolio. Developed within a period of 10 months, the 41-room property transformed a historic tea factory into a unique hospitality destination while preserving its industrial heritage.

The Group also strengthened its positioning within the wellness tourism segment through the introduction of Ayuwasa Wellness, a unified wellness concept implemented across the portfolio. Replacing the previous spa model, the concept integrates traditional Ayurvedic treatments with wellness therapies, nutritional guidance, lifestyle consultations and holistic wellbeing programmes. Supported by qualified Ayurvedic practitioners across the majority of the Group's properties, Ayuwasa Wellness responds to the growing demand among international travellers for personalised wellness experiences.

Guest experiences enhancement remained a key priority throughout the year. Browns Hotels and Resorts introduced innovative à la carte menus across seven properties, incorporating local ingredients, regional flavours and contemporary culinary presentation. Complementing this initiative, modern beverage programmes featuring signature cocktails, infused spirits, wellness beverages, artisanal mixers and internationally inspired mixology concepts were introduced across multiple properties. These initiatives strengthened food and beverage offerings while creating new revenue opportunities and enhancing the distinctive identity of each hotel.

Technology and operational excellence continued to underpin the Group's transformation agenda. Newburgh Ella was established as one of the Group's first fully paperless hospitality operations, integrating digital workflows across guest-facing and back-office functions.

Employee turnover remained below industry average through competitive remuneration structures, enhanced service charge distributions and performance-based incentives. The Group further strengthened its future leadership pipeline through the Management Trainee Programme, which successfully recruited and developed 22 trainees, many of whom have already transitioned into operational management roles. Extensive learning and development initiatives covering customer service excellence, leadership development, professional etiquette, health and safety, butler training, performance management and operational excellence were conducted throughout the year. The successful implementation of these initiatives contributed to Browns Hotels and Resorts being recognised with the Best HR Practices in the Tourism, Hospitality and Leisure Sector Award at the Great HR Awards 2025.

The Group also strengthened operational governance and sustainability performance across the portfolio. During the year, a 350 kWp solar photovoltaic system was commissioned at Club Hotel Dolphin while solar water heating systems were installed at Ayugiri Ayurveda Wellness Resort. Fire evacuation drills were successfully conducted across all properties in partnership with the Colombo Fire Department. ISO 22000 food safety certification audits were also completed and the Group maintained zero health and safety violations relating to guest services and hospitality operations.

The portfolio's commitment to excellence continued to receive widespread recognition during the year. Browns Hotels and Resorts secured 41 national and international awards and recognitions across its properties. Among the highlights were the South Asian Travel Awards (SATA) 2025 Leading All-Inclusive Hotel Award for Club Hotel Dolphin, SATA 2025 Leading Beach Resort Award for Eden Resort & Spa, National Business Excellence Awards for Thaala Bentota and Reveal Mirissa, TripAdvisor Travellers' Choice Awards, Booking.com Traveller Review Awards and HolidayCheck recognitions. Browns Hotels and Resorts was also recognised among Sri Lanka's most loved hospitality brands by LMD.

PROPERTY-WISE PERFORMANCE

The Eden Beruwala

The Eden Beruwala continued to strengthen its position as one of the Group's flagship beach resorts, supported by strong guest satisfaction levels and consistent service delivery. The property recorded revenue of Rs. 1.5 Bn during the year under review, reflecting 16% year-on-year growth. Its food and beverage offering was elevated with the introduction of contemporary beverage programmes featuring signature cocktails, infused spirits and wellness-focused beverages. Eden also hosted an international Malaysian Food Festival featuring renowned Malaysian chefs, further elevating its culinary proposition. During the year, the property was recognised with the South Asian Travel Awards (SATA) 2025 Leading Beach Resort Award, the CNCI Achiever Award 2025, the HolidayCheck Award and the Schauinsland Reisen Top Hotel Partner Award.

Club Hotel Dolphin

Reporting a Revenue of Rs. 1.7 Bn during the year under review, Club Hotel Dolphin further cemented its credentials as one of Sri Lanka's leading all-inclusive resorts. Operational enhancements included the renovation of 24 villas and the commissioning of a 350 kWp solar photovoltaic system, supporting guest experience improvements and sustainability objectives. The hotel hosted an international Malaysian Food Festival and the Chef Factor 2025 culinary competition in partnership with Sri Lanka Institute of Tourism & Hotel Management (SLITHM). The property's performance and service excellence were recognised through multiple accolades, including the South Asian Travel Awards 2025 Leading All-Inclusive Hotel Award, TripAdvisor Travellers' Choice Award, Booking.com Traveller Review Award and HolidayCheck Award.

Thaala Bentota

Thaala played a leading role in the Group's Rathamilla Conservation Programme while also participating in international culinary promotions including the Malaysian Food Festival. The hotel's performance and service standards were recognised through the National Business Excellence Awards 2025 Merit Award and the Booking.com Traveller Review Award. Recording an EBIT of Rs. 289.6 Mn during the year under review, the property further strengthened its positioning through sustainability-driven initiatives and guest experience enhancements.

Dickwella Resort & Spa

Dickwella Resort & Spa underwent one of the most extensive refurbishment programmes within the portfolio, including the renovation of 47 family rooms. A key highlight was the introduction of a new beach bar concept, which has rapidly become one of the most popular lifestyle attractions in the area. The resort also strengthened its culinary and beverage offerings through newly introduced menus and beverage programmes designed to enhance guest engagement and increase food and beverage revenues. The property was recognised with TripAdvisor Travellers' Choice and Booking.com Traveller Review Awards.

Hotel Sigiriya

Hotel Sigiriya enhanced its product offering through the development of two model guest rooms as part of a broader refurbishment strategy, along with expanded food and beverage offerings through redesigned menus. The property recorded an EBIT of Rs. 90.5 Mn during the year under review while strengthening its role as a key Cultural Triangle destination through biodiversity, naturalist training and wildlife conservation initiatives. The hotel received both TripAdvisor Travellers' Choice and Booking.com Traveller Review Awards during the year.

The Calm Resort & Spa

The Calm Resort & Spa recorded revenue of approximately Rs. 480 Mn during the year under review, representing an increase of around 12% over the previous financial year, although the property reported an operating loss. The property completed the refurbishment of the Bello Beach Bar and introduced new culinary concepts and contemporary beverage programmes designed to elevate the guest experience. In addition, the hotel continued to strengthen its positioning through sustainability-led initiatives focused on marine conservation and community engagement. The property received both TripAdvisor Travellers' Choice and Booking.com Traveller Review Awards during the year.

The Paradise Dambulla

The Paradise Dambulla generated revenue of approximately Rs. 468 Mn during the year under review. While the property was in an operating loss position, it continued to implement a range of operational enhancements, including the renovation of 15 washrooms and the introduction of enhanced dining and beverage experiences. The property continued to support the Group's biodiversity and cultural heritage initiatives through its Ayusuwa Osu Uyana medicinal plant project and conservation programmes conducted in collaboration with the Department of Archaeology. The hotel also received the TripAdvisor Travellers' Choice Award and Booking.com Traveller Review Award.

Ayugiri Ayurveda Wellness Resort

Having commenced operations in June 2024, Ayugiri Ayurveda Wellness Resort recorded revenue of approximately Rs. 160 Mn during the year under review. The property played a central role in the launch of the Group's Ayuwasa

Wellness concept and continued to strengthen its reputation as a specialised wellness destination. During the year, solar water heating systems were installed across the property as part of the Group's sustainability roadmap. Ayugiri also expanded wellness-focused culinary offerings and continued integrating locally sourced ingredients, including sustainably harvested honey from community-based beekeeping initiatives.

Reveal the Collection - Mirissa

Reveal Mirissa recorded a revenue of Rs. 394 Mn during the year under review. The property continued to strengthen its market positioning through service enhancements and operational improvements.

During the year, Reveal Mirissa was recognised with a Silver Award in the Hospitality and Tourism Sector at the National Business Excellence Awards 2025, reflecting its continued focus on service excellence and operational performance.

Newburgh Ella – The Tea Factory Resort

A significant milestone during the year was the successful launch of Newburgh Ella – The Tea Factory Resort. Completed within a period of 10 months, the 41-room property transformed a historic tea factory into a distinctive hospitality destination while preserving its industrial heritage. The resort offers guests the rare opportunity to experience a working tea factory alongside contemporary accommodation and curated tea experiences. The property also became the Group's first fully paperless hospitality operation and is expected to pursue LEED Silver certification. Supported by innovative dining concepts, wellness offerings and one of Sri Lanka's most distinctive viewing decks, Newburgh Ella represents a unique addition to the Group's hospitality portfolio.

SUSTAINABILITY AND COMMUNITY ENGAGEMENT AT BHR

Environmental stewardship, biodiversity conservation and community engagement remained integral to Browns Hotels and Resorts' sustainability agenda during the year under review.

The Eden Beruwala's Butterfly Garden Project, established at Moragalla Junior School, continued to promote biodiversity conservation and environmental education. The initiative introduced over 30 species of nectar and host plants while providing students with practical training on butterfly ecology and habitat monitoring. The property also hosted greenhouse gas calculation and verification training in accordance with ISO 14064, strengthening carbon accounting capabilities across the Group.

Thaala Bentota continued its partnership with the Department of Wildlife Conservation through the Rathamilla Conservation Initiative, focused on protecting Lumnitzera littorea, one of Sri Lanka's rarest mangrove species. The programme combined scientific monitoring with community awareness activities involving local residents, schoolchildren and guests, contributing to the long-term conservation of a nationally significant species.

Within the Cultural Triangle, Hotel Sigiriya strengthened sustainable tourism practices through a comprehensive naturalist training programme for staff across multiple properties. The initiative enhanced knowledge of biodiversity, ecosystems, wildlife and cultural heritage, enabling staff to deliver richer guest experiences while promoting environmental awareness. The property's Bee Keeping Project also continued to support biodiversity conservation and rural livelihoods through sustainable beekeeping practices developed in collaboration with local communities.

At The Paradise Dambulla, the Ayusuwa Osu Uyana initiative promoted the preservation of medicinal plant species and traditional Ayurvedic knowledge while enhancing biodiversity within the property. The hotel also partnered with the Department of Archaeology to conduct environmental clean-up activities at the Sigiriya Rock Fortress and surrounding tank area, supporting the conservation of one of Sri Lanka's most significant cultural heritage sites.

Dickwella Resort & Spa continued its support for inclusive education through the maintenance of specialised classroom and sanitation facilities for children with special needs. The property also conducted a Waste to Design workshop in collaboration with the Vocational Training Authority, promoting circular economy principles and encouraging the creative reuse of waste materials among students.

The Calm Resort & Spa continued its commitment to marine conservation through a series of initiatives conducted in partnership with the Marine Environment Protection Authority and harbour authorities. Activities included World Ocean Day awareness programmes, environmental education campaigns for fishing communities and the donation of colour-coded recycling bins to schools to encourage responsible waste management and recycling practices.

Club Hotel Dolphin strengthened its environmental conservation efforts through mangrove restoration and environmental awareness programmes conducted in partnership with the Wildlife & Nature Protection Society. Activities included mangrove nursery development, Nipa Palm planting initiatives, conservation education for schoolchildren and environmental clean-up campaigns. The property also commemorated World Environment Day through riverbank restoration programmes, tree planting activities and community engagement initiatives supporting environmental sustainability and social wellbeing.

Browns Hotels and Resorts partnered with the National Crafts Council to launch the Crafting Journeys initiative in celebration of World Tourism Day. The programme supported the preservation of Sri Lanka's artisan and handicraft heritage while promoting sustainable tourism and community livelihoods.

Additional initiatives included international culinary festivals, wildlife conservation campaigns, bartender development programmes, youth talent development initiatives and sustainable beekeeping projects across the portfolio. Browns Hotels and Resorts continued to demonstrate its commitment to creating meaningful environmental, social and economic value while strengthening the sustainability of the destinations and communities in which it operates.

Sheraton Kosgoda Turtle Beach Resort

The principal contributor within the portfolio, Sheraton Kosgoda Turtle Beach Resort, continued to strengthen its market position as a premier beach front destination on Sri Lanka's southern coastline. Benefiting from its location along the country's tourism corridor and its proximity to attractions such as the

Kosgoda Turtle Conservation Project and the ecological attractions of the southern coastal belt, the property continued to attract both international leisure travellers and domestic guests seeking premium resort experiences.

The hotel recorded strong growth across its core operating metrics during the year under review, with total revenue increasing by 10% year-on-year to Rs. 1.9 billion compared with Rs. 1.75 billion in the previous financial year. The improvement was driven by stronger occupancy levels, improved average room rates and increased contribution from ancillary revenue streams across the property. Operational profitability improved significantly across the business, reflecting both revenue growth and disciplined cost management initiatives. The Rooms Division maintained exceptionally strong profitability levels during the year, recording departmental profitability of 87%, while the Food and Beverage Division achieved profitability of 23%, supported by improved utilisation levels, stronger banquet and event activity and tighter management of operating costs.

The hotel also continued to focus on improving operational efficiency and cost discipline, delivering an 8% reduction in controllable expenses compared with the previous financial year. These initiatives, combined with higher revenues, enabled the property to increase Gross Operating Profit to Rs. 544.3 million, representing an improvement of Rs. 78.8 million over the previous year.

Sustainability continued to receive considerable attention throughout the year as the property strengthened its environmental management practices and community engagement initiatives. The hotel successfully obtained ISO 14001 certification during FY2025/26, reinforcing its commitment to internationally recognised environmental management standards and sustainable operational practices. Environmental conservation initiatives also extended beyond the boundaries of the property itself. During the year, the hotel completed two tree planting programmes at neighbouring schools while also participating in a mangrove restoration initiative at the Madu River, contributing towards ecosystem restoration and biodiversity conservation within the surrounding region.

Waste management remained another area of focus, with the hotel implementing a segregated waste disposal programme in collaboration with the local Pradeshiya Sabha authorities of Kosgoda and Balapitiya to improve recycling practices and reduce landfill disposal. The property also successfully completed certified electronic waste disposal initiatives during the year and obtained an E-Waste Removal Certificate, further strengthening its environmental stewardship credentials and supporting responsible waste management practices across operations. Armed with a growing reputation as one of Sri Lanka's leading coastal resorts, the property enters the new financial year on a considerably stronger operating footing.

Marina Hotel Holdings

Marina Hotel, strategically located within the Colombo Port City adjacent to the Colombo Marina, is envisioned to be developed as a landmark luxury hospitality opening. Designed to cater to high-end leisure and business travellers, the hotel will be positioned as a premier destination in Sri Lanka's emerging urban waterfront. With its commanding views of both the ocean and the city skyline, the property will feature a refined classical-contemporary design, aimed at delivering a distinctive and sophisticated guest experience. The development is expected to contribute significantly to the growth of Colombo's luxury tourism sector, supporting the broader vision of positioning Sri Lanka as a world-class travel and business hub.

GLOBAL

MALDIVES HOTELS

FY2025/26 represented the inaugural operating period for Barceló Nasandhura Malé and was characterised by the transition from pre-opening activities to operational stabilisation and market establishment within the Maldivian hospitality sector. During the year under review, the hotel generated revenue of USD 6.61 million while welcoming more than 25,000 guests and recording over 15,500 room nights sold. Occupancy reached 39.7% during the initial operating phase, reflecting the expected ramp-up period associated with new hotel openings and the delayed commencement of operations from February to May 2025, which impacted the property's ability to capture the full peak season.

Despite these start-up challenges, performance strengthened progressively throughout the year, with average room rates improving steadily and reaching USD 217.5 by December 2025. Food and Beverage operations emerged as a significant contributor to overall performance, generating revenue in excess of accommodation income and highlighting the property's growing appeal as both a hospitality and lifestyle destination within Malé.

Operational momentum accelerated significantly during the first quarter of FY2026/27, with the hotel exceeding budgeted performance across all major operating indicators. Occupancy increased to 67.7%, supported by stronger commercial execution, improved market penetration and growing brand recognition within both leisure and corporate segments. Peak occupancy reached 80% during February, while room nights exceeded planned levels and average room rates continued to strengthen, demonstrating improving pricing power and market acceptance.

From January 2025 to March 2026, the property generated cumulative revenue exceeding USD 11 million and successfully transitioned from its initial start-up phase towards a trajectory of sustainable profitability, reflecting the benefits of operational stabilisation and improved market positioning.

During the year, Barceló Nasandhura established itself as one of Malé's leading business and lifestyle hotels, receiving the Best City Hotel award at the Travel Trade Maldives Awards 2025 and the Best Luxury Hotel in the Indian Ocean title at the Haute Grandeur Global Excellence Awards 2026.

The property also emerged as a preferred venue for high-profile government, diplomatic and international events, including the Ministry of Finance's Maldives 2.0 and TradeNet launch, summits organised by the World Health Organization and the Ministry of Health, Women and Democracy forums and the Indian Ocean Tuna Commission

Conference hosted by the Ministry of Fisheries.

The hotel further strengthened its profile as an international events destination by serving as the official hosting partner for the 7th Carrom World Cup, welcoming more than 200 international delegates, while its inclusion in the Maldives Marketing and Public Relations Corporation's Visit Maldives Quarterly Insight publication recognised the property as a benchmark for urban hospitality development within the country.

Strategic collaborations with leading lifestyle platforms, including Brides Maldives, further supported the hotel's ambition of positioning itself as Malé's leading destination for weddings, lifestyle events and celebrations. The first anniversary of operations was marked through a Partner Appreciation Event aimed at strengthening relationships with travel agents, corporate customers and MICE partners, while the launch of curated entertainment programmes, festive events and live music initiatives supported the property's positioning as the capital's premier lifestyle hub.

The hotel also hosted the Maldives Wedding Fair, the country's largest exhibition dedicated to weddings and fashion, creating valuable opportunities to strengthen its presence within the events and celebrations segment and establish itself as the preferred wedding venue in Malé.

Sustainability considerations were embedded across operations from inception. The hotel implemented energy efficiency measures including HVAC optimisation programmes aimed at reducing energy consumption per occupied room while progressively reducing the use of single-use plastics across guest amenities and food and beverage operations through the adoption of sustainable alternatives. Food waste reduction initiatives were introduced through buffet optimisation and portion management practices, while procurement policies increasingly prioritised locally sourced products and ingredients, supporting Maldivian suppliers and reducing transportation-related impacts.

Community engagement remained an important aspect of the hotel's operating philosophy, with the property supporting educational, social and advocacy initiatives while promoting diversity and inclusivity within the workplace. Guest-facing sustainability initiatives including linen reuse programmes and awareness campaigns promoting responsible resource consumption were also introduced, complemented by wellness partnerships such as Global Wellness Day which integrated wellbeing and sustainability into the guest experience. In order to support future reporting and performance monitoring, the hotel also established internal tracking mechanisms for key sustainability indicators including energy consumption, water usage and waste generation through its Gallileus management system.

RADISSON BLU POSTE LAFAYETTE RESORT & SPA, MAURITIUS

Radisson Blu Poste Lafayette Resort & Spa, Mauritius delivered a resilient operational performance during the year under review despite a more challenging trading environment. The property generated revenue of MUR 319.8 million, while maintaining a gross profit of MUR 171.2 million, reflecting continued focus on pricing discipline, operational efficiency, and service excellence. Although Profit Before Tax moderated to MUR 13.1 million and Profit After Tax stood at MUR 4.4 million, the resort remained profitable despite lower revenue, higher depreciation associated with ongoing capital investments, increased finance costs, and prevailing cost pressures across the hospitality industry.

The resort also distinguished itself by maintaining one of the highest occupancy levels during the year under review, reflecting its continued appeal as a preferred destination in the Mauritian hospitality market. This strong occupancy performance was supported by consistent demand across key source markets and the resort's reputation for delivering high-quality guest experiences and ability to compete effectively within an increasingly competitive tourism landscape.

A notable achievement during the year was the renewal of the prestigious Green Key Certification for the fourth consecutive year, reaffirming the property's continued adherence to internationally recognised standards for environmental stewardship and sustainable tourism established by Green Key International.

Environmental sustainability remained firmly embedded within the resort's operating philosophy. In partnership with Reef Conservation, employees participated in awareness programmes held in conjunction with International Seagrass Day, promoting greater understanding of the ecological significance of seagrass ecosystems, biodiversity conservation, and environmental monitoring while contributing to seagrass restoration trials in Roches Noires village. The resort also continued its long-standing collaboration with Green Impact Collection for recycling initiatives and actively supported coastal conservation through beach clean-up programmes at Poste Lafayette Public Beach.

Further sustainability initiatives included the continuation of zero food waste practices within employee dining facilities, the use of environmentally responsible suppliers and products, including BE.Eau water bottles, coffee capsule recycling programmes and participation in Earth Hour, reinforcing the resort's commitment to reducing its environmental footprint through practical, day-to-day operational initiatives.

The property also maintained a strong connection with the local community through a range of educational and social initiatives. These included support for wellness tourism awareness programmes involving local students and continued assistance to SOS Children's Village of Beau Bassin through both in-kind contributions and corporate social responsibility funding, reflecting the resort's ongoing commitment to creating positive social impact alongside commercial success.

ENTERTAINMENT

EXCEL WORLD ENTERTAINMENT PARK

Excel World continued its transformation journey during the year under review through a series of strategic investments aimed at strengthening its position as Sri Lanka's leading family entertainment destination. The Group invested approximately Rs. 200 million towards upgrading and modernising the facility, introducing new indoor and outdoor attractions designed to elevate

visitor experiences. These investments included the addition of new entertainment and amusement offerings aligned with international family entertainment standards. The destination also diversified its food and beverage offerings through partnerships with specialist operators, introducing authentic Asian culinary experiences featuring Chinese, Thai, Vietnamese, Malaysian, Hong Kong and Sri Lankan cuisine.

A notable addition during the year was the introduction of dedicated pickleball facilities, which have rapidly gained popularity among corporate groups, families and recreational users. The Group also improved asset utilisation through the conversion of selected areas into rentable commercial and co-working spaces, creating additional revenue streams while enhancing the overall value proposition of the facility. Many of these initiatives were implemented during the latter part of the financial year and are expected to contribute more meaningfully to financial performance in the years ahead.

CEYLON ROOTS AND BROWNS TOURS

FY2025/26 marked another year of recovery and expansion for Sri Lanka's tourism industry, with visitor arrivals continuing to strengthen and international travel confidence gradually returning following several years of disruption. Improved air connectivity, greater market diversification and Sri Lanka's renewed positioning as a competitive long-haul destination contributed to rising tourist arrivals and earnings during the period, providing a favourable operating backdrop for the inbound travel sector.

Against this environment, Ceylon Roots and its associate companies delivered a strong financial and operational performance despite navigating two significant disruptions to inbound travel during the course of the year. Revenue increased by 24% to LKR 2.2 billion while gross profit grew by 35% to LKR 310.7 million, supported by improved operational efficiencies, stronger cost discipline and a favourable business mix. Profit after tax reached LKR 91.5 million, representing a near threefold increase over the previous year.

The quality of these results becomes more apparent when viewed against the operating conditions experienced during the year. In late November 2025, Cyclone Ditwah caused widespread flooding and landslides across several parts of the country, including the hill country and a number of Sri Lanka's most popular touring circuits. Damage to roads, railway infrastructure and tourist attractions during November and December coincided with the commencement of the winter peak season, resulting in cancellations and postponements during what is traditionally the busiest period for inbound operators.

As the industry began recovering from these disruptions, the outbreak of conflict in the Middle East towards the end of February 2026 created a second challenge for the sector. Given Sri Lanka's reliance on Gulf transit hubs for a significant proportion of inbound air traffic, the resulting disruption to regional air travel triggered a further round of short-notice cancellations towards the close of the financial year. Despite these challenges, the business delivered growth across all key operating indicators.

The Company's ability to rapidly reroute itineraries, secure alternative arrangements and rebook postponed travel plans, combined with a diversified source market strategy and broad trade partner network, helped mitigate the impact of these external shocks. The strength of the LOLC Group, together with the depth of Ceylon Roots' local operating infrastructure, also provided the flexibility required to absorb disruption without compromising service delivery or growth momentum.

Operationally, Ceylon Roots handled 3,374 tours during the year and welcomed 18,590 visitors to Sri Lanka, averaging between five and six travellers per tour. Business volumes were generated through a network of 203 trade partners across key source markets in Europe and Asia in addition to direct customer bookings. The breadth of this partner network proved particularly valuable during the year, reducing reliance on any single market or distribution channel and improving the business' ability to respond to regional disruptions.

The Company also continued to make a meaningful contribution to the national economy through foreign exchange generation and support for local enterprise development. During FY2025/26, Ceylon Roots remitted approximately USD 6.4 million in foreign currency earnings while contributing LKR 6.2 million towards the national Tourism Levy. Beyond its direct economic contribution, the Company generated an estimated USD 400,000 to USD 500,000 in indirect income opportunities for small and medium enterprises through shopping commissions and local procurement activities. Its operations also supported a wide range of local livelihoods linked to the tourism value chain, including transport providers, restaurants, community-based excursions, Madu River boat operators and safari operators across multiple regions of the country.

The business also contributed directly towards the preservation and promotion of Sri Lanka's cultural and heritage assets, with approximately 7% of total cost of sales, amounting to LKR 133 million, paid as entrance fees to cultural and heritage sites including the Cultural Triangle and the Royal Botanical Gardens.

Sustainability remained an important area of focus throughout the year. Ceylon Roots' 'Afforestation for Climate Resilience – Ella Region (1 Acre)' initiative achieved independent validation by Eco Check Global to a Limited Assurance level during FY2025/26. Estimated carbon removals were quantified in accordance with ISO 14064-2:2019 standards, while validation activities were conducted under ISO 14064-3:2019, covering projected removals of 1,494.4 tonnes of CO equivalent over a 20-year crediting period. The Company also continued to advance its Zero Plastic Project in partnership with Eco Spindles and other LOLC Group companies through the collection and responsible management of plastic waste generated at its operational facilities and project sites.

Further progress was made on the Ella-Brown Roots reforestation and agrotourism initiative undertaken in collaboration with Browns Plantations, supporting environmental conservation, community engagement and long-term carbon reduction objectives while creating opportunities for sustainable tourism experiences linked to Sri Lanka's plantation sector. The initiative also continued to progress towards ISO certification during the year under review.

DIGITAL INFORMATION & TECHNOLOGY

LOLC TECHNOLOGIES CONTINUED TO ACCELERATE ITS DIGITAL TRANSFORMATION AGENDA THROUGH THE SUCCESSFUL DELIVERY OF STRATEGIC INITIATIVES SPANNING ARTIFICIAL INTELLIGENCE (AI), BUSINESS INTELLIGENCE (BI), CYBERSECURITY, CORE BANKING, ENTERPRISE SYSTEMS, AUTOMATION, INFRASTRUCTURE MODERNISATION AND GLOBAL TECHNOLOGY OPERATIONS. THESE INITIATIVES STRENGTHENED OPERATIONAL EFFICIENCY, ENHANCED GOVERNANCE AND COMPLIANCE, AND ENABLED SCALABLE DIGITAL TRANSFORMATION ACROSS THE LOLC GROUP'S DIVERSE BUSINESS PORTFOLIO LOCALLY AND INTERNATIONALLY.

DIGITAL INFORMATION & TECHNOLOGY

During the year under review, LOLC Technologies continued to accelerate its digital transformation agenda through the successful delivery of strategic initiatives spanning Artificial Intelligence (AI), Business Intelligence (BI), Cybersecurity, Core Banking, Enterprise Systems, Automation, Infrastructure Modernisation and Global Technology Operations. These initiatives strengthened operational efficiency, enhanced governance and compliance, and enabled scalable digital transformation across the LOLC Group's diverse business portfolio locally and internationally.

ADVANCED ANALYTICS, ARTIFICIAL INTELLIGENCE & AUTOMATION

LOLC Technologies expanded its capabilities in data analytics and AI through several impactful implementations. The Browns Plantation Tea BI Dashboard was successfully deployed, providing real-time analytics and operational visibility for the plantation sector.

The Group further strengthened its enterprise analytics capabilities through the migration and implementation of the Microsoft Fabric Analytics Platform, enabling advanced business intelligence and data-driven decision-making across business units.

AI-powered solutions continued to gain momentum with the rollout of TalkSense GPT in Cambodia and Tanzania, enhancing document intelligence and natural language information retrieval.

Internally, EZ Shortlist automated the CV screening process, significantly reducing manual effort within HR operations, while the iDAX AI Solution transformed customer service workflows through automated customer request data capture and processing.

Board-level governance and decision-making were further enhanced through the implementation of Related Party BI Reporting for the Board of Directors.

SECURITY, COMPLIANCE & GOVERNANCE

Maintaining a strong cybersecurity and governance framework remained a key priority throughout the year. LOLC Technologies successfully achieved PCI DSS v4.0.1 compliance for the iPay platform, reinforcing the security of cardholder data and digital payment services. The organisation successfully completed surveillance audits for ISO 27001:2022 and ISO 9001:2015 while also obtaining ISO 20000-1 certification for IT Service Management.

Data protection initiatives were further strengthened through the implementation of Microsoft Data Loss Prevention (DLP) labels and the progression of Personal Data Protection Act (PDPA) initiatives across five business units, achieving approximately 85% implementation coverage.

On the cybersecurity front, FusionX successfully attained SOC 2 Type II Attestation, validating the effectiveness of operational controls and governance practices. FusionX also completed a comprehensive GDPR compliance assessment as a data processor. Additional security enhancements included Web Application Firewall migration, cloud migration, enhanced security monitoring capabilities, penetration testing engagements, Harmony Email Security enhancements, and third-party Vulnerability Assessment and Penetration Testing (VAPT) exercises for critical applications.

ENTERPRISE SYSTEMS & DIGITAL TRANSFORMATION

Notable progress was achieved in enterprise technology transformation initiatives across multiple sectors. Browns Engineering successfully completed several strategic projects, including automated employee onboarding and offboarding processes through OASYS^, SAP implementation, asset tracking automation, enterprise-wide

e-signature deployment, Microsoft 365 email migration and infrastructure modernisation projects.

The successful implementation of SAP Enterprise Resource Planning (ERP) system at SunYield Bio Ingredients marked another major milestone, further strengthening enterprise resource planning capabilities across the Group. Additional initiatives included smart infrastructure deployments comprising access points, CCTV systems, telephony solutions, EV charger installations, and sustainability-focused initiatives under the "Go Green with OASYS^ programme.

Within the leisure sector, LOLC Technologies advanced digital hospitality transformation through paperless operations, Digital Concierge Solution implementation, self-ordering solutions, AI-powered chatbots, Digital In-Room Entertainment (IPTV) Solutions, BI dashboards, ERP implementations and hospitality-focused mobile applications.

CORE BANKING & GLOBAL TECHNOLOGY ENABLEMENT

LOLC Technologies continued supporting the Group's international expansion through multiple successful FusionX implementations and digital banking initiatives. Key milestones included FusionX deployments in Kenya and Zambia.

Global technology operations also delivered major infrastructure enhancements, including datacentre implementations, Azure deployments, HRIS implementations, chatbot integrations, financial reporting automation, ATM module implementations, mobile application rollouts, digital imaging solutions, and robotic process automation initiatives across multiple countries.

The plantation sector experienced substantial digital transformation through digital weighing and salary automation initiatives across 43 estates, ERP dashboard automation, domain migrations, email modernisation programmes and business intelligence deployments that enhanced operational visibility and efficiency.

INFRASTRUCTURE, OPERATIONS & RESILIENCE

Operational excellence remained a core focus throughout the year. Enterprise Network Modernisation Initiative and Secure Access Service Edge (SASE) implementations enhanced network performance and security. End-to-end device management reliability and reducing operational risk. Additional initiatives included enterprise asset management deployments, Unified Communication Solutions, disaster recovery enhancements, operational resilience programmes, passwordless authentication implementation, SharePoint migrations, data centre monitoring improvements and core network infrastructure modernisation.

AWARDS & RECOGNITION

The year marked a significant milestone for LOLC Technologies with national recognition at the National Business Excellence Awards (NBEA) 2025 organised by the National Chamber of Commerce of Sri Lanka (NCCSL). The company was honoured with the Gold Award in the ICT Services Sector and was also recognised as the Overall 2nd Runner-Up (Bronze) in the Large Category, reaffirming its commitment to excellence, innovation, and sustainable business growth.

ESG & COMMUNITY IMPACT

LOLC Technologies continued its commitment to social responsibility through meaningful community engagement initiatives. During the year, the Company donated cricket jersey kits to the sports team of Dhammissara National College, Nattandiya, supporting youth development through sports.

Following the devastating impact of Cyclone Ditwah, LOLC Technologies mobilised a comprehensive flood relief programme to assist affected communities and colleagues. Since November 2025, the organisation coordinated the collection and distribution of dry rations and essential supplies, supported logistics efforts through Army distribution centres and collection points, and provided approximately 1,000 meal packs daily to affected communities. The initiative also included direct support and monitoring of approximately 30 affected employees.

The flood relief programme amounted to an investment of Rs. 723,868.20, with an additional allocation of Rs. 1 million approved to further strengthen relief efforts.

In December 2025, the Company extended its support by distributing cleaning supplies and drinking water exceeding Rs. 1 million in value, reaffirming its commitment to community resilience and social responsibility during times of crisis.

ENGINEERING AND CONSTRUCTION

SIERRA CABLES DELIVERED AN EXCEPTIONAL PERFORMANCE DURING FY2025/26, RECORDING THE HIGHEST REVENUE, OPERATING PROFIT AND PROFIT AFTER TAX IN ITS HISTORY. REVENUE INCREASED BY APPROXIMATELY 70% TO REACH RS. 16 BILLION, ESTABLISHING A NEW BENCHMARK FOR THE BUSINESS SINCE INCEPTION.

The Group's Engineering and Construction portfolio underwent a significant period of transition during FY2025/26. While domestic construction activity continued to recover at a slower pace than expected, following the economic disruption experienced in recent years, the Group utilised this period to strengthen margins, improve operational discipline, optimise cost structures and reposition selected businesses towards specialised engineering services, project management consultancy, export-oriented industrial minerals and advanced manufacturing.

BROWNS ENGINEERING AND CONSTRUCTION

Browns Engineering and Construction embarked on an extensive business transformation programme. The restructuring process involved management changes, portfolio realignment and a comprehensive review of the Company's project pipeline and operating structure. A more selective approach to business acquisition was adopted, prioritising project quality, margin preservation and risk-adjusted returns over top-line expansion.

Consequently, revenue for the year amounted to Rs. 2.7 billion compared with Rs. 5.6 billion recorded during the previous financial year. While revenue declined, the impact of improved project selection and stronger commercial discipline became evident through significantly improved profitability metrics. Gross profit reached Rs. 680 million, representing a reduction of approximately 12% compared with the previous year despite revenues declining by more than half. More importantly, gross profit margins improved substantially from approximately 14% historically to 25% during the year under review, reflecting the success of management initiatives aimed at improving project economics and strengthening operational efficiency.

Administrative expenses increased during the year, primarily due to costs associated with the business transformation programme and a comprehensive review of the Company's asset base and receivable portfolio. As a result, the Company recorded operating and net losses during the year. While these initiatives impacted short-term profitability, they have strengthened the Company's operating platform and positioned the business for more sustainable and profitable growth. The benefits of the restructuring programme are expected to become increasingly evident during FY2026/27 and FY2027/28 as the revised operating model gains momentum.

Browns Engineering continued to strengthen its presence within engineering consultancy, project management and technical advisory services across Sri Lanka and the Maldives. During the year, Browns Engineering was awarded the project management consultancy mandate for the development of a five-star all-inclusive resort in North Malé Atoll in the Maldives under a turnkey development model. The project involves the construction of a 470-key luxury resort with an estimated project value of USD 108 million. The main contractor is Sinohydro Corporation, while the completed property will ultimately be operated by an international hospitality operator. The project is expected to be completed over a period of approximately 30 months, further reinforcing Browns Engineering's credentials in delivering project management consultancy services for large-scale hospitality developments across the region.

The Company was also appointed Project Manager for the Budufarufinolhu development in Raa Atoll, Maldives involving the design, construction, furnishing and equipping of the resort.

During the year, Browns Engineering successfully completed its project management consultancy assignment for the Group's Nasandhura Hotel Complex and Apartment Development in the Maldives, with the project being handed over in April 2025. The successful completion of this landmark project is another important milestone for Browns Engineering's project management consultancy business.

Within Sri Lanka, Browns Engineering secured the appointment as Management Consultant for the Riverina Resort Development project, which remains under contract finalisation. The appointment reflects the Company's continued involvement in providing project management consultancy services for large-scale hospitality developments.

The company also continued its role as Project Management Consultant for the Marina Development within Port City Colombo. The development, being undertaken by China Harbour Engineering Company, spans approximately 23,770 square metres under a design-and-build contract and will include restaurants, retail outlets, entertainment facilities and marina

infrastructure capable of accommodating vessels of up to approximately 200 feet in length. Upon completion, the development is expected to become one of Sri Lanka's most significant waterfront destinations and a landmark project within the Colombo Port City development. Construction activities continued during the year, with Browns Engineering providing project management consultancy services throughout the implementation of the development.

The telecommunications division continued to expand its contribution to the Group's engineering portfolio through the deployment, maintenance and enhancement of telecommunications infrastructure across Sri Lanka. The division provides end-to-end engineering solutions across fixed line fibre optic, wireless and in-building communication infrastructure while supporting several of the country's leading telecommunications operators and technology providers. Major customers include SLT, Dialog, Huawei and ZTE, together with several other leading telecommunications operators and technology vendors. The division also undertakes optical fibre damage rectification and restoration works as well as high-rise building fibre connectivity solutions that support the continuing expansion of Sri Lanka's digital infrastructure ecosystem.

BROWNS PILING

Browns Piling also underwent a significant operational restructuring programme during the year as activities were progressively integrated into the broader Browns Engineering platform. Operating activity increased following the recommencement of operations under the revised structure. The benefits of tighter cost controls and improved operational efficiencies became evident through a significant reduction in administrative expenses and a corresponding improvement in the Company's financial performance. As a result, losses reduced considerably during the year under review, reflecting meaningful progress in stabilising the business and establishing a stronger foundation for future operations.

SIERRA CABLES

Sierra Cables delivered an exceptional performance during FY2025/26, recording the highest revenue, operating profit and profit after tax in its history. Revenue increased by approximately 70% to reach Rs. 16 billion, establishing a new benchmark for the business since inception. Operating profit increased from Rs. 1.4 billion in FY2024/25 to Rs. 3.0 billion during the year under review, while Profit after tax increased from Rs. 900 million to Rs. 2.5 billion. Growth was supported by strong export demand, continued investment in manufacturing capacity and the strength of the Company's product offering within both domestic and international markets. Exports now contribute approximately 30% of total revenue and management continues to actively pursue further international market expansion opportunities.

The Company currently processes more than 400 tonnes of aluminium and approximately 200 tonnes of copper each month, supported by an experienced manufacturing, sales and marketing team and products that continue to meet demanding international quality standards, including requirements within USA.

The year under review also brought significant recognition for the business. Sierra Cables received the Gold Award for Annual Exporter and Best Brand Exporter at the 2025 awards organised by the National Chamber of Exporters of Sri Lanka.

Environmental leadership remained equally prominent. The company received the Four-Star Green Label Award from the Green Building Council of Sri Lanka for its sustainable building materials and products, with certification extending through 2028. Sierra Cables also received the Presidential Environment Award under the Government of Sri Lanka's Presidential Environmental Awards Programme in recognition of its commitment to sustainable manufacturing and environmental stewardship.

The Company continued expanding the use of Low Smoke Halogen Free materials across its product portfolio, improving safety standards while reducing environmental impact and meeting evolving customer and regulatory requirements. Environmental management practices continue to operate in accordance with ISO 14001 standards and all applicable environmental regulations through continuous monitoring and improvement programmes. Circular economy principles remain embedded within manufacturing operations through the implementation of reduce, reuse and recycle initiatives. Metal scrap generated during production is recycled, while PVC waste is repurposed for secondary industrial applications wherever feasible. The Copper Recycling and Recovery Plant further strengthens these efforts by enabling manufacturing rejects, damaged products and post-consumer copper waste to be recovered and reintroduced into production cycles rather than entering the environment.

The Company also continues to improve energy efficiency through operational optimisation and investments in renewable energy. Existing solar installations currently generate between 15% and 20% of total electricity demand, while plans are underway to expand renewable energy capacity during FY2026/27 with the objective of increasing solar contribution to approximately one-third of overall consumption. These initiatives support lower carbon emissions, reduce reliance on non-renewable energy sources and further strengthen the environmental sustainability of manufacturing operations.

BROWNS, METAL AND SANDS

With domestic construction activity remaining significantly below historical levels and major project demand yet to recover fully, plans to expand within the conventional aggregates segment were suspended and instead unique strategic advantages associated with its quarry assets were leveraged. The Group's quarry in Matugama benefits from proximity to the Port of Colombo as well as direct access to the Southern Expressway, creating important logistical advantages for export-oriented industrial mineral operations. Following extensive sampling, geological assessments and consultations with specialist advisors from India, significant opportunities have been identified within the international dimension stone market, prompting entry into granite extraction and processing. The quarry contains a distinctive dark green granite variety that has demonstrated strong commercial potential, particularly within the UAE and wider Middle Eastern markets. During the year, the company successfully completed trial extraction activities and produced initial sample blocks for customer evaluation and

testing, affirming the commercial viability of the operation. The business expects to commence the export of initial sample consignments during the second quarter of FY2026/27, creating what is expected to become a fully export-oriented US dollar revenue stream. It has attracted interest from prospective customers in UAE, India and China.

During the year, Browns, Metal and Sands also initiated the process of obtaining mining licences for marble dimension stone extraction in Passara under a separate project operating within the same company. Approvals currently remain pending due to the temporary suspension of mineral licences by the Geological Survey and Mines Bureau following policy changes introduced by the Government. Nevertheless, preliminary testing and geological assessments indicate the presence of commercially attractive deposits with significant export potential. Both the granite and marble initiatives are expected to operate as fully export-oriented businesses.

The year also marked an important regulatory milestone for the business with the Matugama quarry receiving both a B Grade Mining Licence and an A Grade Trading Licence from the Geological Survey and Mines Bureau. Financially, the company recorded a loss after tax of Rs. 117.7 million during the year compared with Rs. 99 million in the previous year, largely reflecting increased investment in granite extraction and production capabilities required to prepare the business for commercial operations. Total assets stood at Rs. 895.7 million at year end, supported by approximately 200 acres of land together with associated machinery and operational infrastructure.

Environmental stewardship remains central to the business model given the sensitive nature of extractive industries. Mining activities are conducted through carefully sequenced excavation processes designed to minimise environmental disturbance and improve land management outcomes. Water utilised within production processes undergoes multiple stages of treatment before release, substantially reducing environmental impact and ensuring responsible resource utilisation. Residual sludge generated during production is retained rather than discharged directly into surrounding ecosystems. The Company is currently engaged in discussions with two industrial operators to explore opportunities for the beneficial reuse of these by-products, thereby supporting circular economy principles while creating additional value streams from production waste. These initiatives reinforce the Group's commitment to responsible mining, environmental stewardship and sustainable resource management.

ICONIC TRUST (PVT) LTD

Iconic Trust (Pvt) LTD is an investment holding company of Browns Investments PLC. During the year under review, Iconic Trust recorded a profit of approximately Rs. 880 million, a marked increase from Rs. 270 million in the previous financial year. The improvement was primarily attributable to a substantial fair value gain recognised on its investment portfolio, reflecting favourable market conditions and the appreciation in the value of its listed securities.

MANUFACTURING AND TRADING

THE BROWNS BATTERY & TYRE STRATEGIC BUSINESS UNIT STRENGTHENED ITS POSITION WITHIN THE AUTOMOTIVE AFTERMARKET DURING THE FINANCIAL YEAR ENDED 31ST MARCH 2026, SUPPORTED BY PRODUCT INNOVATION, CUSTOMER ENGAGEMENT INITIATIVES AND THE CONTINUED EXPANSION OF ITS DIGITAL CAPABILITIES.

BROWNS BATTERY & TYRE

The Browns Battery & Tyre strategic business unit strengthened its position within the automotive after market during the financial year ended 31st March 2026, supported by product innovation, customer engagement initiatives and the continued expansion of its digital capabilities. The motorcycle battery segment emerged as a key contributor to growth, recording a notable increase in sales volumes and reflecting both growing market demand and the unit's strong presence across the island-wide distribution network.

The business unit broadened its product offering to address the evolving requirements of customers across multiple vehicle segments and price categories. Within the automotive battery segment, Browns introduced several additions to the Exide product portfolio aimed at strengthening market coverage and improving customer choice. Recognising the increasing presence of premium European vehicles in Sri Lanka, the business unit introduced Absorbent Glass Mat (AGM) batteries across three Stock Keeping Units (SKUs), specifically designed to cater to high-end vehicle applications requiring advanced battery technology.

Furthermore, to improve accessibility within the three-wheeler market, a cost-effective battery solution was introduced, tailored to the needs of this important customer segment. In commemoration of Browns' 150th anniversary, two limited-edition battery models were launched under the Exide brand, marking an important milestone in the Group's history while reinforcing the long-standing association between the Browns name and the automotive industry.

The business unit further enhanced its premium product offering through the introduction of the Exide Ultra range, featuring improved performance specifications including higher Cold Cranking Amps (CCA), enhanced Reserve Capacity (RC) and extended warranty coverage designed to meet the demands of modern vehicle platforms.

The year also witnessed recognition of the unit's sales excellence and customer engagement capabilities at the SLIM NASCO Awards. Within the Automotive and Frontlines category, Browns Battery & Tyres secured Gold & Bronze awards, while additional Merit Awards were received in the Automotive Territory and Corporate Sales Frontlines categories, further reflecting the strength of its sales culture and the capabilities of its field teams.

An important operational milestone was achieved during the year with the Browns E-Care platform surpassing one million warranty registrations. Fully implemented during 2024, Browns E-Care replaced conventional printed warranty cards and successfully digitised the automotive battery warranty registration process, improving customer convenience while enhancing operational efficiency and data management capabilities across the business.

The business unit also invested in industry engagement and knowledge sharing initiatives throughout the year. Island-wide seminars and technical sessions were conducted for auto-electricians with the objective of strengthening industry relationships and improving technical understanding of automotive battery technologies and applications. Given the influential role played by auto-electricians in customer purchasing decisions, these programmes served to strengthen product awareness, improve technical competencies and reinforce long-term brand advocacy for the Exide portfolio.

BROWNS GENERAL TRADING DIVISION

The Browns General Trading Division delivered a strong performance during the year under review, achieving its business targets while strengthening its presence within the industrial tools and machinery market. Growth was primarily driven by the tools and machinery segment, which recorded a significant increase in sales volumes compared with the previous financial year, reflecting both improving market demand and the success of the business unit's portfolio expansion strategy.

The product offering was further expanded with a range of premium machinery solutions designed to serve the requirements of both industrial and commercial customers. These additions included industrial-grade high-pressure washers and vacuum cleaning systems.

The year also saw the business unit consolidate several internationally recognised brands under its distribution portfolio, including Juba, Deli and Hoteche, enabling the business to offer a broader range of products across multiple customer segments and applications. The business unit's growing market presence and merchandising capabilities were recognised with an award for the Best Displayed Stall in the Hardware and Power Tools category at the Construct Exhibition Awards Night, one of the leading trade industry exhibitions.

As part of its long-term growth strategy, Browns General Trading strengthened its position within the hand tools market through a strategic partnership with a globally recognised hand tool manufacturer. The partnership provides access to a comprehensive range of products targeting both the do-it-yourself and professional user segments, and is expected to further enhance market reach and competitiveness. This initiative is anticipated to support broader customer acquisition, strengthen brand visibility and create additional opportunities for sustainable growth in the years ahead.

The business unit invested in capability building across its dealer network through a series of island-wide product awareness and technical training programmes conducted for dealer sales personnel. These sessions focused on the unique selling propositions and technical features of newly introduced products and were designed to strengthen product knowledge, improve sales effectiveness and enhance customer engagement at point of sale.

BROWNS THERMAL ENGINEERING (PVT) LTD

Browns Thermal Engineering (Pvt) Ltd delivered a strong performance during the year under review, recording healthy growth despite operating within a challenging industrial environment marked by supply chain constraints and market pressures affecting the automotive components sector. The business unit achieved a notable increase in sales during FY2025/26, reflecting the resilience of its operating model, strength of its market position and its ability to respond effectively to customer requirements across multiple product categories. The Company maintained uninterrupted manufacturing operations throughout the year, ensuring continuity of supply and meeting market demand despite the challenges experienced across the industry.

Browns Thermal Engineering continued to play a critical role within the Group's manufacturing ecosystem by fulfilling the component requirements of Associated Battery Manufacturers Ltd, reinforcing the synergies that exist within the Group's automotive value chain. During the year under review, Browns Thermal Engineering maintained approximately 80% market share within the copper-brass automotive radiator segment while preserving its leadership position in the copper-brass industrial radiator market with an estimated market share of 85%.

The aluminium-plastic radiator segment continued to gain momentum during the year, further strengthening market position and increasing market penetration to approximately 70%, reflecting growing customer acceptance of these products and the success of product development initiatives. Supporting this growth, Browns Thermal Engineering expanded its aluminium-plastic radiator product portfolio to approximately 175 models, offering a broader range of vehicle applications and customer requirements. Sales of more than 15,000 aluminium-plastic radiators were recorded during the year, further consolidating its leadership position within this segment. In anticipation of future demand growth, the business unit invested in expanding manufacturing capabilities across several production lines during the year under review.

Monthly production capacity for aluminium and copper-brass radiators was increased to one million cubic inches, while injection moulding capacity for plastic components was expanded to 34,000 kilograms per month, providing a stronger platform to support future business growth and new product development initiatives.

The year also saw the introduction of the RADCO wiper blade range, further broadening the business unit's automotive aftermarket product offering. The product range includes both steel-frame and hybrid wiper blade variants covering sizes ranging from 12 inches to 28 inches, enabling the business unit to cater to a wider cross-section of the vehicle market. Prudent inventory management practices were maintained, with adequate levels of both raw materials and finished goods throughout the year to ensure uninterrupted production and preserve market share in a highly competitive environment.

BROWNS AGRICULTURE

Browns Agriculture delivered an exceptional performance during FY2025/26, recording its strongest results to date as improved agricultural activity, increasing mechanisation and sustained customer confidence supported growth across all major product categories. The Strategic Business Unit generated revenue of Rs. 19.3 billion during the year under review, representing growth of 92% over the previous financial year. The business unit also recorded its highest ever net contribution of Rs. 2.03 billion, reflecting a significant improvement over the previous year's performance and highlighting the benefits of scale, operational discipline and market leadership across its core segments.

Browns Agriculture maintained its market leadership in the tractor segment with an estimated market share of 40%, while further consolidating its dominance in the combine harvester market by securing a market share of 65% during the year under review. Its leadership position and strong market execution received international recognition during the year as No. 1 Overseas Distributor of TAFE Tractors for FY2026, reaffirming its long-standing leadership position within the local market and the strength of its partnership with one of the world's leading tractor manufacturers.

The business unit also received the 2025 Sincere Cooperation Award at the FM WORLD 2026 Global Partner Business Conference organised by Jiangsu World Agriculture Machinery Co., Ltd. in Hainan, China, recognising its contribution to market development and partnership excellence within the global agricultural machinery industry. Further recognition came at the SLIM Brand Excellence Awards 2025, where Browns Agriculture received the Gold Award for Glocal Brand of the Year for the Browns SUMO WORLD Harvester brand.

Innovation and mechanisation is central to its growth strategy. Browns Agriculture introduced the YANMAR Crop Tiger Maize Harvester to the local market with the objective of advancing mechanisation within the maize cultivation sector and addressing growing labour shortages within agriculture. Post-harvest solutions portfolio was expanded with the introduction of the SUMO R1000, a compact combined rice mill designed to improve accessibility and efficiency for smaller operators and farming communities. Recognising the increasing role of precision agriculture and

digital technologies within modern farming, Browns Agriculture introduced the XAG P60 Agricultural Drone to the market, offering advanced intelligence, precision application capabilities and improved resource utilisation for farmers seeking higher productivity and more efficient input management.

Customer support and after-sales service remained important differentiators for the business during the year. In partnership with TAFE India, Browns Agriculture conducted its Track Tech Free Service Campaign, providing complimentary after-sales support and post-warranty care for tractor owners and operators across the country. Ten separate service camps were conducted covering the entire island during pre-season periods to ensure machinery readiness and minimise downtime during cultivation seasons. The programme further reinforced the long-standing relationship between Browns Agriculture and its customer base while supporting improved equipment reliability and operational efficiency in the field.

A similar initiative was undertaken for the business unit's harvester customers through dedicated doorstep service campaigns designed to facilitate uninterrupted harvesting operations and provide timely technical assistance during critical harvesting periods.

Sustainability and community engagement continued to be closely integrated into operations and customer outreach initiatives. As part of its Track Tech campaign, Browns Agriculture distributed Mee plants to customers and communities to promote environmental conservation and encourage reforestation efforts.

The business unit continued to invest in knowledge transfer and skills development through its 'Sisu Nena Pahana' programme, conducted in collaboration with universities, agricultural schools and technical colleges to enhance student understanding of modern agricultural machinery, maintenance practices and mechanised farming technologies.

Similarly, the 'Govi Nena Pahana' and 'Krushi Nena Pahana' initiatives continued throughout the year, providing farmers, agricultural officers and industry stakeholders with technical knowledge aimed at improving productivity, operational efficiency and the adoption of modern agricultural practices.

Following the devastating impact of Cyclone Ditwah, Browns Agriculture also undertook a series of relief initiatives in affected communities, including a well-cleaning campaign aimed at restoring access to clean water in flood-affected areas, further demonstrating the Division's commitment to supporting the wellbeing of rural communities.

BROWNS POWER SOLUTIONS DIVISION

The Browns Power Solutions Division cemented its position as a trusted provider of power generation and engineering solutions, serving residential, commercial and industrial customers across the country. With a track record spanning more than three decades, the business unit has established itself as a reliable partner in delivering integrated power solutions and has successfully executed numerous turnkey projects across a diverse range of sectors including garments, food and beverage, livestock, healthcare, financial services, hospitality, manufacturing and education.

The business unit generated net sales exceeding Rs. 1 billion during the year under review, reflecting sustained demand for reliable power generation solutions and engineering expertise across both private and institutional customers.

The business continued to leverage its experience in project design, installation, commissioning and after-sales support to deliver end-to-end power solutions tailored to the specific requirements of individual industries and operating environments.

A key strategic milestone during the year was the establishment of a dedicated Solar Power sub-division, marking the Company's entry into renewable energy solutions and reinforcing its commitment to supporting Sri Lanka's transition towards cleaner energy sources. The introduction of solar solutions significantly broadened the product offering and positioned the business to capitalise on the growing demand for sustainable and cost-effective energy alternatives across commercial and industrial sectors.

Sustainability and technological advancement remained central to its long-term strategy. Continued investments in advanced technologies enabled the deployment of solutions with lower emissions, reduced noise levels and improved operational efficiency, while strengthening the environmental performance of its product portfolio.

The business also enhanced its IoT-enabled after-sales capabilities, allowing for improved monitoring, diagnostics and customer support, thereby increasing equipment reliability and operational uptime for customers.

Looking ahead, Browns Power Solutions continues to explore emerging technologies within the renewable energy and energy storage sectors as part of its broader strategy to support future energy requirements through innovative and environmentally responsible solutions.

HEAVY MACHINERY DIVISION

The Heavy Machinery business unit operated in a challenging business environment during FY2025/26, characterised by subdued construction activity, lower industry demand and continued volatility arising from financing costs and foreign exchange movements. Despite these headwinds, the business delivered a strong financial performance by capitalising on emerging infrastructure opportunities, while continuing to strengthen operational capabilities and reinforce its market position.

For the financial year 25/26, the BU recorded a strong improvement in financial performance, with net sales increasing to Rs. 875 million, compared to Rs. 494 million in the previous financial year 24/25. This represents an approximate growth of 77% year-on-year. The significant increase in revenue was primarily driven by the expansion of infrastructure development projects during the year, which led to higher demand for the company's services and strengthened overall sales performance.

The business unit continued to provide reliable machinery solutions to the construction, infrastructure, logistics and industrial sectors through its comprehensive portfolio of heavy equipment. During the year,

the business delivered 90 units across its machinery range, demonstrating continued customer confidence despite subdued market conditions.

Customer support remained a key differentiator, with the business continuing to provide comprehensive after-sales service, technical expertise and timely maintenance solutions to maximise equipment reliability and operational uptime. Through its experienced engineering team and island-wide service capabilities, the business remained committed to delivering value-added solutions that support customers throughout the equipment lifecycle.

Looking ahead, the Heavy Machinery business unit will continue to focus on operational excellence, strengthening customer relationships and expanding its service capabilities while positioning itself to capitalise on opportunities arising from the anticipated recovery of the construction and infrastructure sectors.

BROWNS AC DIVISION

During the period under review, Browns AC Division strengthened its position as a trusted provider of air conditioning and climate control solutions, serving residential, commercial and industrial customers through a comprehensive portfolio of products, engineering capabilities and after-sales services. The business unit generated net sales of Rs. 630 million during the year under review, supported by continued demand across key customer segments and the successful execution of projects spanning multiple industries. With a track record extending nearly two decades, Browns AC has established a strong reputation for delivering turnkey air conditioning solutions across a broad range of sectors including hospitality, healthcare, government institutions, food and beverage manufacturing and commercial developments.

Sustainability and energy efficiency continued to play an increasingly important role in the business unit's product strategy and service offering during FY2025/26. During the year, the W&G Wall Mount range, featuring environmentally-friendly R32 refrigerant technology and inverter systems was introduced, designed to deliver improved energy efficiency, reduced emissions and a lower environmental footprint compared with conventional cooling solutions.

The business unit also continued to expand its proprietary BG range through the introduction of a wider portfolio of R32 refrigerant air conditioners incorporating advanced energy-saving technologies and designed to meet evolving environmental and efficiency standards. Further strengthening its premium offering, the business unit expanded its range of globally recognised Hyundai air conditioning solutions engineered to deliver improved energy performance, enhanced operational reliability and optimised cooling efficiency.

Investments were made in strengthening technical and service capabilities to support long-term sustainability objectives and improve customer outcomes. Such investments in specialised Variable Refrigerant Flow (VRF) expertise, advanced diagnostic technologies, predictive maintenance capabilities and IoT-enabled monitoring systems have enhanced the ability to provide proactive service interventions, improve equipment performance and extend system lifecycles. These initiatives have enabled improved energy efficiency, reduced downtime and more effective utilisation of customer resources while lowering long-term operating costs.

BROWNS MARINE

Browns Marine operated in a challenging environment during the year under review, with performance impacted by supply-side constraints within the marine engine market. The discontinuation of engine supply by the business unit's principal inboard engine supplier significantly affected business performance during the year. Consequently, the business recorded a loss while continuing to focus on market development, product diversification and strengthening customer relationships.

Against this backdrop, the business unit expanded its product offering with the successful introduction of the PARSUN four-stroke outboard engine range. The addition strengthened the business unit's presence within the outboard motor segment and enhanced its ability to cater to the evolving requirements of both commercial and recreational marine customers.

During the year, Browns Marine participated in South Asia's largest boat and marine exhibition, providing an important platform to showcase its products, technical capabilities and service offerings to a wider regional audience. The exhibition also facilitated valuable engagement opportunities with international partners and industry stakeholders. During this period, representatives from YANMAR visited Sri Lanka and participated in a series of discussions and technical engagements with key institutions, including the Sri Lanka Ports Authority, the Sri Lanka Navy Boat Building Yard and the Sri Lanka Navy Central YANMAR Workshop. These interactions supported knowledge sharing, strengthened technical collaboration and further reinforced relationships with strategically important customers within the marine sector.

As part of its strategy to expand beyond traditional markets, Browns Marine also participated in trade exhibitions in Batticaloa and Jaffna to promote the PARSUN outboard motor range and strengthen its presence within the Northern and Eastern Provinces. These initiatives were complemented by targeted service promotion campaigns and customer engagement programmes, including after-sales awareness and sticker campaigns, to improve brand visibility, strengthen customer relationships and reinforce the business unit's commitment to service excellence throughout the product lifecycle.

BROWNS PHARMACEUTICALS DIVISION

The Browns Pharmaceuticals business unit delivered a sound performance during the year under review, recording revenue growth despite operating in an increasingly competitive environment characterised by aggressive pricing strategies and continued market pressures. Although contribution levels were impacted by heightened price competition across several product categories, the business unit continued to strengthen its market position through portfolio diversification, customer engagement and expansion into new growth segments within the veterinary and animal healthcare industry.

The Day-Old chick vaccine business was a notable contributor to the performance, delivering strong growth through increased market penetration and continued gains in a competitive poultry vaccine market. The Companion Animal segment also recorded encouraging growth during the year, benefiting from increasing demand for premium animal healthcare products, stronger customer relationships and improved market coverage within Sri Lanka's growing pet care market.

A strategic development during the year was the business unit's successful entry into the aquaculture sector through the introduction of shrimp feed products, marking the establishment of a new business segment within the product portfolio. This diversification of revenue streams also provided exposure to the growing veterinary nutrition and aquaculture industries. Further progress within aquatic animal health was achieved through the successful introduction of a new vaccine solution, which secured adoption by one of Sri Lanka's leading aquarium operators. This milestone reflected the business unit's technical expertise, customer confidence in its product offering and the potential for future growth within this emerging sector.

The business unit continued to play an important role in supporting livestock and poultry industries through extensive technical advisory and farm management services provided free of charge to small and medium-scale farmers. Through its team of qualified veterinary professionals and technical specialists, the Division assisted farmers in improving productivity, strengthening animal health and adopting best management practices through farm visits, technical consultations and disease management guidance. Support was also extended through farmer education programmes, laboratory access, vaccination assistance, farm audits and guidance relating to quality certification requirements.

Regular training programmes and educational sessions were conducted for farmers and livestock entrepreneurs with the participation of internal specialists, industry experts and international resource persons, ensuring the dissemination of current industry developments and global best practices. These programmes focused on emerging disease management, improving productivity through modern farming techniques and supporting the long-term sustainability and profitability of livestock operations.

The business unit contributes towards public health and animal welfare through its support for anti-rabies vaccination initiatives and community programmes. Assistance was provided to animal welfare organisations through the donation of anti-rabies vaccines, while support was extended to community vaccination campaigns aimed at reducing the spread of rabies among stray animal populations. These initiatives were further complemented by awareness programmes promoting responsible pet ownership, disease prevention and animal welfare practices.

INTEGRATED ENGINEERING SOLUTIONS

The Integrated Engineering Solutions Division delivered its strongest performance to date during the year under review, achieving record levels of revenue and profitability despite operating within a highly competitive market environment. The business unit also recorded its highest ever net contribution, reflecting improved operating efficiencies, portfolio expansion and stronger market penetration across its core business segments.

Meanwhile, the business unit strengthened its presence within the lubricants and industrial chemicals sectors through focused customer acquisition and the introduction of new products and strategic partnerships, significantly expanding its market reach and customer base across both automotive and industrial segments. Responding to evolving customer requirements within the raw chemicals industry, the business unit commenced chemical repacking operations during the year, enabling greater flexibility in product offerings while catering to varying customer volume requirements and application needs.

A key milestone during the year was the establishment of a local agency partnership for the importation and distribution of Gulf Lubricants from India, expanding its lubricant portfolio and strengthening its presence within both automotive and industrial markets. The business unit diversified its equipment offering through the introduction of Sino Star automatic car washing systems imported from China, targeting service stations and garage operators seeking automated vehicle care solutions.

Promoting energy efficiency and environmentally responsible industrial practices, the business unit introduced PM motor and water-injected oil-free air compressors designed to reduce energy consumption, minimise maintenance requirements and improve operational efficiency for customers. These solutions support lower environmental impact while promoting cleaner and more sustainable industrial operations.

BROWNS DEALS

A key development for Browns Deals during FY2025/26 was the launch of the business-to-business (B2B) operation, designed to cater to electronic dealers across the country and create multiple customer touchpoints for products and services. The expansion into the B2B segment enabled Browns Deals to strengthen relationships with the dealer community while creating additional opportunities for growth through a wider distribution network and improved market penetration. The business unit recorded its highest ever monthly sales performance during December 2025, reflecting growing customer acceptance, improved market coverage and the benefits arising from the expansion of its sales channels and customer engagement initiatives.

Browns Deals continued to contribute to community wellbeing through targeted social initiatives. During the year, the business unit partnered with the Leo Club of the University of Colombo to install an air conditioning system in the study room at the Apeksha Hospital. The initiative was undertaken to create a more comfortable and conducive learning environment for young cancer patients, enabling them to continue their education in improved conditions while undergoing treatment.

BROWNS INDUSTRIAL SOLUTIONS – BOILERS

Browns Industrial Services delivered an exceptional performance during the year under review, recording strong growth across all key financial indicators and significantly strengthening its position within the engineering services sector. Profitability more than doubled compared to the preceding year, reflecting improved operational execution, stronger project conversion rates and disciplined cost management practices.

The business benefited from the successful conversion of its project pipeline, enabling the unit to achieve a high turnover while maintaining continuity across ongoing operations and customer engagements despite prevailing market challenges. The year also witnessed a significant improvement in productivity and operational efficiency, with contribution generated per employee increasing considerably compared to historical levels. This improvement reflects the focus on resource optimisation, improved project execution and stronger workforce productivity, creating a stronger platform for future scalability.

Despite operating within an environment characterised by rising input costs and margin pressures, the business unit successfully sustained healthy gross profit levels through disciplined project management, effective cost controls and careful pricing strategies. Building on the momentum generated during FY2025/26, the business unit enters the new financial year with a strong order pipeline and a healthy revenue outlook, providing visibility over future business volumes and supporting confidence in the sustainability of growth achieved during the year under review.

Energy-efficient boiler solutions were actively promoted to industrial customers, supporting lower energy consumption and improved environmental performance across customer operations. The business unit also encouraged the adoption of preventive maintenance practices aimed at extending equipment lifecycles, improving operational reliability and reducing unnecessary waste associated with premature equipment replacement. Internally, ongoing efforts to improve operational efficiency within service delivery and installation activities contributed towards reducing material wastage and improving resource utilisation, reinforcing the Division's commitment to responsible engineering practices and sustainable business operations.

BROWNS TECH SOLUTIONS

The business unit operated in a challenging market environment during the year under review, with project execution cycles, market conditions and cost pressures continuing to influence overall business performance. The business recorded a net loss for the year, reflecting the timing of project execution inherent in its business model, together with the ongoing investment required to maintain technical capabilities and operational readiness.

Despite these challenges, the Division remained focused on business development and market expansion initiatives aimed at strengthening its medium-term growth trajectory. A key achievement during the year was the successful development of a substantial project pipeline, providing a solid platform to support future project execution and reinforce the business unit's long-term growth prospects.

The forward strategy is centred on accelerating project conversion, strengthening customer engagement and leveraging its technical expertise to capitalise on opportunities across infrastructure, industrial and engineering sectors. Sustainability considerations continued to be integrated into operational planning and project execution processes throughout the year. The business implemented measures to optimise delivery planning and improve logistics efficiency, thereby reducing transportation requirements and associated environmental impacts. In addition, inventory management practices were further strengthened to support more efficient resource utilisation and enhance overall supply chain efficiency.

AJAX ENGINEERING

AJAX Engineering recorded revenue of Rs. 731.8 million during FY2025/26. While the company reported an operational loss for the year, it maintained steady activity across its project portfolio despite the challenging conditions prevailing in the engineering and construction sectors. A key milestone during the year was the successful completion and handover of the People's Bank project, one of its largest undertakings to date. The successful execution of this project further reinforced AJAX Engineering's technical capabilities, project management expertise and ability to deliver complex engineering solutions within demanding timelines and operational requirements.

GURIND ACCOR (PVT) LTD

Gurind Accor generated a revenue of Rs. 267.9 million during FY2025/26 and recorded a gross profit of Rs. 96.7 million. Despite maintaining positive operating profitability during the year, the Company recorded losses at the pre-tax and post-tax levels, primarily reflecting the impact of finance costs and other non-operating expenses associated with the business.

The Company produced more than 80,000 square metres of processed glass products across its tempering and annealing facilities. Tempered glass continued to account for the substantial majority of production volumes, reflecting sustained demand from the construction, architectural glazing and interior applications sectors, while annealed glass production supported specialised customer requirements and project-specific applications.

The continued focus on maintaining operational efficiency, product quality and manufacturing consistency enabled it to preserve its presence within a competitive market environment despite slower activity levels within the broader construction sector. Supported by its established processing capabilities and technical expertise within specialised glass manufacturing, Gurind Accor remains focused on strengthening performance and improving capacity utilisation as market conditions continue to recover.

BI COMMODITIES

BI Commodities delivered a strong operational and financial performance during the year under review, benefiting from growth across its diversified portfolio of wood-based products and industrial processing activities. The Company operates across several complementary business segments including pallet manufacturing, timber treatment, kiln

drying operations and premium teak flooring solutions, creating valuable synergies across its integrated value chain.

Revenue increased by more than 60% during FY2025/26, rising from Rs. 217 million to Rs. 358 million. Gross profit also recorded strong growth increasing to nearly Rs. 67 million while maintaining healthy margin levels across business segments.

The company continued to focus on workforce development and multi-skilling initiatives, enabling employees to operate across multiple functions and improving overall resource utilisation.

The pallet manufacturing business performed strongly during the year and achieved budgeted targets while continuing to serve both industrial and export customers.

Similarly, timber treatment operations achieved budget expectations while maintaining healthy gross profit margins and profitability levels.

The Company's kiln drying and timber treatment facilities continue to attract both individual consumers and institutional customers including contractors and construction companies, allowing BI Commodities to benefit from both B2B and B2C demand segments.

The flooring business, which operates as part of BI Commodities, also recorded a significant improvement in performance during the year under review. Operating within a highly specialised premium segment, teak flooring products are predominantly targeted towards high-end customer segments and therefore typically experience longer purchasing and decision-making cycles, particularly when introduced by relatively new market entrants. Despite these characteristics, the business achieved strong growth during FY2025/26.

The long-term growth prospects of this segment are promising, particularly given the significant backward integration advantages available through the Group's existing kiln drying and timber treatment operations. The business also differentiates itself through the use of premium wood preservation chemicals which rank among the world's leading preservation solutions. While this contributes to a higher product cost and premium pricing position, it also provides superior durability, product longevity and quality assurance for customers seeking high-end flooring solutions. The company expects these competitive advantages to support continued growth within this niche but attractive market segment in the years ahead.

ADVANCED TECHNOLOGIES

BY COMBINING SRI LANKA'S NATURAL MINERAL RESOURCES WITH ADVANCED MATERIALS SCIENCE AND GLOBAL RESEARCH PARTNERSHIPS, THE SECTOR IS CREATING PATHWAYS FOR THE COMMERCIALISATION OF NEXT-GENERATION PRODUCTS IN AREAS SUCH AS GRAPHENE, GRAPHITE AND MINERAL-BASED TECHNOLOGIES. SUSTAINED INVESTMENT IN RESEARCH AND DEVELOPMENT CONTINUES TO STRENGTHEN ITS POSITION IN EMERGING EXPORT-ORIENTED INDUSTRIES WHILE SUPPORTING THE ADVANCEMENT OF HIGH-VALUE MANUFACTURING CAPABILITIES WITH GLOBAL RELEVANCE.

The Advanced Technologies sector reflects LOLC Holdings' strategic focus on developing high-value, knowledge-driven businesses founded on innovation, research and international collaboration. By combining Sri Lanka's natural mineral resources with advanced materials science and global research partnerships, the sector is creating pathways for the commercialisation of next-generation products in areas such as graphene, graphite and mineral-based technologies. Sustained investment in research and development continues to strengthen its position in emerging export-oriented industries while supporting the advancement of high-value manufacturing capabilities with global relevance.

LOLC ADVANCED TECHNOLOGIES

LOLC Advanced Technologies continued to advance one of the Group's most innovative sustainability initiatives through its Pyrolysis Project, which aims to convert non-recyclable plastic and polythene waste into valuable industrial products while supporting Sri Lanka's transition towards a circular economy. During the year under review, the project achieved a significant milestone with the progression of its strategic partnership with Corsair, a leading Finnish pyrolysis technology company. Having initially entered into a Memorandum of Understanding (MoU), the parties subsequently formalised their collaboration through a partnership agreement, paving the way for accelerated development and investment.

The partnership will support the expansion of the project through the commissioning of 10 new pyrolysis plants over multiple phases. Under the current implementation plan, the first three plants are expected to be commissioned by December 2026, with the remaining facilities targeted for completion within the following 12 months. Once fully operational, the network is expected to process approximately 100,000 litres per day of feedstock derived from waste plastics. The project is being undertaken through a dedicated joint venture, Corsair LOLC (Private) Limited, combining LOLC's local market expertise with Corsair's advanced technological capabilities. The partnership also includes technology transfer and technical support, strengthening the project's long-term scalability and commercial viability.

Against a backdrop of increasing global demand for alternative industrial feedstocks and sustainable energy solutions, the initiative is expected to create significant environmental and economic value by addressing plastic waste challenges while generating high-value industrial products for both domestic and export markets.

CEYLON GRAPHENE TECHNOLOGIES (CGT)

In 2025/26, Ceylon Graphene Technologies (CGT) continued to build momentum in its efforts to commercialise graphene, making steady progress through its strategic international collaborations. The joint venture with Khalifa University's RC2D Research Centre in Abu Dhabi, initiated in the previous year, moved closer to operational status, with the establishment of a small-scale manufacturing facility well underway. This plant is intended to produce research-grade graphene, supporting global research and commercial applications. Khalifa University remains CGT's key commercial partner in this initiative, which is expected to act as a springboard for a large-scale production facility in the region. CGT has also maintained its collaborations with the University of Adelaide and the University of Melbourne, with several patents and application-ready materials in development.

These are being integrated into the Abu Dhabi venture to fast-track market readiness. Further discussions with Invest Victoria are ongoing to secure state-level support for CGT's R&D efforts in Australia. As in previous years, all core technological breakthroughs in graphene application remain led by Sri Lankan scientists, demonstrating the country's home-grown capabilities in this emerging

frontier. CGT continues to operate at the intersection of innovation and value addition, reflecting the broader vision of LOLC Advanced Technologies to transform Sri Lanka's mineral resources into global solutions.

SUN YIELD BIO INGREDIENTS (PVT) LTD

Sun Yield Bio Ingredients (Pvt) Ltd (SYBI), a member of the LOLC Group, is a state-of-the-art, export-oriented bio-ingredients manufacturing company established to produce high-value natural extracts, oleoresins, essential oils and specialty ingredients for global markets.

The Company successfully commissioned its integrated multi-facility manufacturing plant and commenced commercial operations in January 2026. The facility has been designed to process a diverse range of botanical and spice-based raw materials using advanced extraction, distillation and purification technologies, serving the food, flavour & fragrance, nutraceutical, wellness and personal care industries worldwide. A key strategic strength of SYBI is its backward integration with Browns Plantations, enabling access to sustainably cultivated cinnamon and other agricultural raw materials. This integration enhances supply chain reliability, traceability, quality assurance, and sustainability, while supporting the development of value-added export products from Sri Lanka's agricultural sector.

During the year, the Company focused on operational readiness, product development, quality systems, and market development initiatives to establish a strong platform for growth.

As part of its commitment to international quality and food safety standards, SYBI successfully obtained the FSSC 22000 certification during the year, reinforcing its capability to serve global customers and comply with stringent international market requirements. With its integrated manufacturing capabilities, dedicated research and development function, and commitment to innovation, SYBI is well-positioned to capitalise on the growing global demand for natural ingredients and contribute meaningfully to Sri Lanka's export earnings while creating long-term value for stakeholders.

MINING

THE GROUP'S ENTRY INTO MECHANISED GEM MINING THROUGH LOLC INVESTMENT HOLDINGS FOUR REPRESENTS A STRATEGIC LONG-TERM INITIATIVE AIMED AT BUILDING EXPERTISE AND OPERATIONAL CAPABILITY WITHIN AN INDUSTRY THAT REMAINS LARGELY UNTAPPED BY CORPORATE PARTICIPANTS.

GEO TECHNOLOGIES

GEO Technologies continued to advance its graphite exploration activities during FY2025/26 as the Company progressed towards the next phase of resource development. As the project remains in the exploration and development stage, commercial production has yet to commence and consequently the Company did not generate operating revenue during FY2025/26. The company recorded a loss of Rs. 40 million during the year under review. Nevertheless, management initiatives aimed at improving operational efficiency and strengthening cost controls resulted in a significant reduction in losses by approximately 46% compared with the previous year.

Operationally, the Company made important progress in preparing the site for future mining activities through the development and commencement of construction of a dedicated sump system designed to facilitate efficient mine dewatering operations. The system will support deeper mining activities while improving operational stability and resilience as the project progresses towards future extraction phases. The investment assumes particular importance given the site's exposure to heavy rainfall conditions and landslide risks, factors that require careful engineering design and rigorous environmental and safety controls throughout mining operations. The Industrial Mining Licence A (IMLA) issued by the Geological Survey and Mines Bureau was extended for a further year to 2025/26. This reflects the successful completion of an extensive and stringent regulatory approval process.

Environmental stewardship remains integral to the Company's operating philosophy. The project continues to advance site-level water circularity initiatives whereby water utilised during mining activities is captured, treated and reused within operations, significantly reducing freshwater consumption and minimising environmental discharge. Water released to the environment is kept to an absolute minimum, supporting both freshwater conservation objectives and broader environmental sustainability goals. The site itself has also been designed to minimise visual and environmental impact, with only the immediate pit opening exposed while the remainder of the surrounding area has been preserved as a green environment.

The Company continues to place significant emphasis on occupational health and safety considerations, recognising that mining operations demand a zero-compromise approach to employee welfare and workplace safety. Accordingly, precautionary measures and engineering safeguards have been incorporated into operational planning in order to protect employees, maintain site stability and minimise operational risks. These initiatives align closely with the objective of minimising environmental footprint while demonstrating that responsible mining practices and environmental conservation can coexist within resource development projects.

GEM PORTFOLIOS (LOLC INVESTMENT HOLDINGS FOUR PVT LTD)

The Group's entry into mechanised gem mining through LOLC Investment Holdings Four represents a strategic long-term initiative aimed at building expertise and operational capability within an industry that remains largely untapped by corporate participants.

Mining operations were initiated in Kuruvita in the Ratnapura District, allowing the Group to develop capabilities within the sector complying with the existing regulatory framework. Unlike traditional labour-intensive mining methods commonly adopted within the industry, LOLC Investment Holdings Four utilises mechanised mining techniques supported by excavators and modern equipment. While this approach offers advantages in terms of operational control, safety and productivity, it also requires substantially higher capital investment and operating expenditure.

The year under review therefore involved significant capital deployment towards mine development and operational infrastructure. The business also experienced increased operating costs arising from higher fuel prices, given the fuel-intensive nature of mechanised mining operations, together with increased finance costs associated with project investments. Consequently, the Company recorded a loss of Rs. 567 million for FY2025/26 compared with a loss of Rs. 521 million during the previous year. Despite these losses, the Company maintained a strong asset base of Rs. 1.4 billion at year end, comprising primarily valuable gemstone inventories currently held in secure storage.

Responsible environmental management remains a guiding principle across all mining operations. Mechanised gem mining requires substantial volumes of water and is often associated with significant environmental impacts if not managed responsibly. Operating within Ratnapura, a

region characterised by paddy cultivation, rubber plantations and agricultural activity, management has adopted operating practices designed to minimise environmental disruption and preserve surrounding ecosystems.

Unlike many traditional mining operations that draw water directly from rivers and waterways, the Group utilises a closed-loop water management system based entirely on internally sourced water extracted from dedicated pits within the project site. Water used during washing and processing activities is subsequently returned to the same pits for reuse, significantly reducing freshwater extraction requirements. During periods of rainfall or excess water accumulation, wastewater passes through dedicated silt traps and filtration systems before limited quantities are released into the environment.

An important operational milestone was achieved with the renewal of the mining licence issued by the National Gem and Jewellery Authority for a further year, enabling the continuation of operations.

URUMAYA RESOURCES (PVT) LIMITED

During the year, Urumaya's gold mining operations in Zimbabwe were significantly impacted by an unexpected Government ban on alluvial mining, thereby halting mining operations. The company is committed to environmental stewardship and full regulatory compliance, underlining the company's commitment to responsible mining. However, the future prospects of the business are being weighed against the backdrop of an uncertain policy environment.

PRINCIPLED LEADERSHIP, SUSTAINABLE GOVERNANCE

STEWARDSHIP

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Annual Report of the Board of Directors

The Board of Directors of LOLC Holdings PLC takes pleasure in presenting its Annual Report together with the Audited Financial Statements for the year ended 31st March 2026.

PRINCIPAL ACTIVITIES

The Company's principal activities are monitoring and managing the Groups' portfolio of investments and providing centralised services to its subsidiaries and associates.

REVIEW OF BUSINESS AND MARKETS SERVED

The Company's performance and that of its subsidiaries are reviewed in detail in the other sections of this Annual Report.

THE BOARD OF DIRECTORS

The Board of Directors for the year under review comprise the following:

Ishara Chinthaka Nanayakkara
Executive Chairman

Waduthantri Dharshan Kapila Jayawardena
Group Managing Director/CEO

Mrs. Kalsha Upeka Amarasinghe
Executive Director

Francisco Kankanamalage Conrad Prasad Niroshan Dias
Non-Executive Director

Kandiah Sundararaj
Senior Independent Director

Kanthimany Sivanesan
Independent Director

Gayan Sanjaya Kalidasa
Non-Executive Director

The Directors' profiles can be found on pages 9 to 10.

BOARD SUB COMMITTEES

The Board has appointed the following sub committees:

- The Audit Committee
- The Talent Development and Remuneration Committee
- The Related Party Transactions Review Committee
- The Nominations & Governance Committee
- The Integrated Risk Management Committee
- The Board Sustainability Committee

The mandate of each of these sub committees is provided by their regulatory guideline and/or Board approved Terms of Reference. The composition of these committees is as prescribed by the relevant regulation (where applicable) or as deemed most appropriate for effective functioning of the Committee. The reports of the respective Committees are included in this Report on pages 69 to 76.

The Board sub committees are empowered to call for additional information and also to invite key management personnel to provide further details, or to facilitate a dialogue. This enables the Board to ensure that proposed initiatives, changes to procedures or enhancing of controls are practical and also clearly communicated to the senior management.

Committee Meeting minutes are tabled at Board meetings. Thus, while the entire Board is aware of Committee deliberations and decisions, they have the assurance of knowing that matters receive the focused attention of sub committees.

DIRECTORS INTERESTS IN CONTRACTS

The Company maintains an Interests Register in terms of the Companies Act No. 7 of 2007 and is available for inspection upon request. The disclosures made by Directors have been noted by the Board, recorded in the minutes and entered into the Interest Register.

The Directors confirm that all material interests in contracts involving the Company have been disclosed to the Board and wherever any Director is materially interested in a contract or proposed contract with the Company, they would refrain from voting on such contracts. During the year under review, the Company did not enter into any contracts in which any Director was materially interested.

The declarations made by the Directors confirm that there are no financial, business, family or other material/relevant relationship(s) between Mr I C Nanayakkara, Chairman and Mr W D K Jayawardena, the Group Managing Director/CEO and/or amongst the other members of the Board, apart from the family relationship between Mr I C Nanayakkara and Mrs K U Amarasinghe, Executive Director.

Other directorships held by the Directors in Sri Lanka are disclosed on page 66.

Details of subsidiaries and associates companies of the Group are given on pages 363 and 384.

FIT AND PROPER ASSESSMENT OF DIRECTORS

In terms of Rule 9.7.4 of the Listing Rules of the Colombo Stock Exchange, declarations were obtained from the Directors who confirmed that they have continuously satisfied the fit and proper assessment criteria of the Listing Rules during the financial year under review and as at the date of such declaration.

DIRECTORS REMUNERATION

The remuneration is disclosed on page 308 under note 50.1.1. The Company has a Board approved Remuneration Policy. This policy stipulates that remuneration should be linked to competence and contribution, while serving to incentivise and motivate. This policy has been taken into account when determining remuneration for both staff and directors.

The Report of the Talent Development & Remuneration Committee is on page 73.

APPRAISAL OF BOARD PERFORMANCE

The Performance of the Board and its Committees have been appraised through a formalised process where each individual director assess their performance as a member of the Board and in terms of the Committees they serve.

Responses to the self-assessment questionnaire are evaluated by the Chairman and recommendations or concerns are discussed with the Board of Directors and appropriate actions taken accordingly.

DIRECTORS' SHAREHOLDINGS

Directors' shareholdings are as given below.

As at 31st March	2026		2025	
	No. of Shares	%	No. of Shares	%
I C Nanayakkara	75,306,213	15.847%	75,306,213	15.847%
I C Nanayakkara (Commercial Bank of Ceylon PLC/I C Nanayakkara)	79,000,000	16.625%	79,000,000	16.625%
I C Nanayakkara (Sampath Bank PLC/I C Nanayakkara)	72,124,000	15.178%	72,124,000	15.178%
I C Nanayakkara (Nations Trust Bank PLC/I C Nanayakkara)	5,957,579	1.254%	5,957,579	1.254%
W D K Jayawardena	-	-	-	-
Mrs. K U Amarasinghe	19,322,000	4.066%	19,322,000	4.066%
Mrs. K U Amarasinghe (Seylan Bank PLC/K U Amarasinghe)	4,438,000	0.934%	4,438,000	0.934%
F K C P N Dias	-	-	-	-
K Sundararaj	-	-	-	-
K Sivanesan	-	-	-	-
G S Kalidasa	-	-	-	-

RE-ELECTION OF DIRECTORS

In accordance with Article 88 (i) of the Company's Articles of Association, Mr. F K C P N Dias and Mrs. K U Amarasinghe retire by rotation and being eligible seek re-election as Directors.

With the advice of the Nominations and Governance Committee, the Board recommend their re-election.

CAPITAL STRUCTURE AND DEBENTURES

The stated capital of the Company is Rs. 475,200,000/- divided into 475,200,000 shares.

The details of the Debentures in issue as of 31st March 2026 are set out in Note 38.5 to the Financial Statements on page 287.

INVESTOR INFORMATION

The distribution and composition of shareholders including 20 largest shareholders, and information relating to share trading, market capitalisation, public holding percentage and the number of public shareholders is set out in the Investor Information section of the Annual Report on pages 385 to 387.

During the year, the share price ranged from Rs. 504/- to Rs. 640/-. As at the end of trading on 31st March 2026, the share price was Rs. 529.75/-.

COMPLIANCE WITH LAWS AND REGULATIONS

The Company is committed to full compliance with all statutory obligations mandated by regulators. Through participation in various workshops/ forums and updates from the Company Secretaries and the Management, the Board of Directors keeps abreast of laws, rules, regulations and changes thereto, particularly to Listing Rules and applicable capital market provisions.

During the year, recognising broader national implications, the Group further strengthened its existing compliance framework for obligations mandated by the Financial Intelligence Unit of Sri Lanka (FIU) relating to coordination, implementation and monitoring of Anti-Money Laundering, Counter-Terrorism Financing and Counter-Proliferation Financing measures. With continuous engagement with the FIU, the company secretaries of the Group implemented all recommendations relevant to company service providers.

In terms of the Companies (Amendment) Act No. 12 of 2025 which introduced mandatory beneficial ownership reporting requirements effective from 30th March 2026, the Group has commenced collating relevant information for disclosure.

To the best of the knowledge of the Directors, the Company has not engaged in any activity that contravenes any applicable law or regulation and has been in compliance with all prudential requirements, regulations and laws.

Furthermore, the Directors confirm that there were no fines which are material imposed on the Company by any Governmental or regulatory authority in the country.

CORPORATE GOVERNANCE

As the highest decision-making body within the Company, the Board keeps pace with the responsibility of overseeing strategic objectives amidst a dynamic business environment, in adherence to evolving regulatory reforms while upholding a relevant governance framework.

Accordingly, the Company's governance framework is regularly reviewed and updated to enhance oversight, accountability and operational effectiveness. During the year under review, the Group's focus has been on strengthening cyber and technology governance, data governance and sustainability governance.

The Corporate Governance Report on pages 79 to 90 provides information to aid understanding of how the Company has applied the principles in the Corporate Governance Rules of the Colombo Stock Exchange. The Company is compliant with the requirements of Section 9 of the Listing Rules of the Colombo Stock Exchange.

TRANSACTIONS WITH RELATED PARTIES

The Directors confirm that the Company has complied with the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the financial year ended 31st March 2026 and that such transactions with the Company if any, have been disclosed while abstaining from voting on any matters of material interest.

In terms of LKAS 24, the Directors have disclosed transactions which are classified as related party transactions under Note 50 on pages 307 to 315 of the Financial Statements.

HUMAN RESOURCES

Human Capital Strategies of the Company are based on respected HR practices to attract and retain the right people. Policies are in place to develop and motivate the workforce for current and future business needs of the Company.

The number of persons employed by the Company and Group (locally) as at 31st March 2026 was 756 and 9,960 (as at 31st March 2025, 747 and 9,221) respectively. The number of persons employed by the Group globally as at date stands at 56,260.

Disciplinary matters are dealt according to Board approved policies in compliance with labour regulations. There was no occurrence of any issue detrimental to the harmonious industrial relations of the Company during the year under review which required disclosure under Rule 7.6 (vii) of the Listing Rules.

CODE OF ETHICS

The Company abides by its Code of Conduct applicable to all directors and employees.

The Board sets the tone from the top to instil the right behaviours across all levels, from directors to staff, based on the Company's Policy on Internal code on Business Conduct and Ethics, which provides guidance to ensure duties are carried out with the highest standards of integrity. This also enables the Company to manage any potential impact with fair treatment.

The Board confirms that there has not been any material breach of the Code during the year under review.

FAIR TREATMENT FOR STAKEHOLDERS

The Company has taken necessary measures to ensure fair and equitable treatment for all its stakeholders.

ENVIRONMENTAL PROTECTION

The Company and its subsidiaries comply with the relevant environmental laws and regulations applicable in the country of operation.

SUSTAINABILITY

The Company strives to integrate principles of sustainable practices and policies in its value chain through extensive stakeholder consultations, the findings of which are integrated into work-plans.

In terms of the SLFRS S1 and S2 standards introduced by the Chartered Accountants of Sri Lanka (CASL) for sustainability-related financial disclosures and climate-specific disclosures, under the International Financial Reporting Standards (IFRS) S1 and S2 as issued by International Sustainability Standards Board (ISSB), the relevant disclosures are included on pages 91 to 108 in compliance with the CSE reporting requirements for 2025/26.

In terms of application of SLFRS S1 and S2 disclosure requirements, the Group has utilised applicable reliefs permitted by CA, Sri Lanka.

CORPORATE SOCIAL RESPONSIBILITY

The LOLC Group has embedded corporate sustainability as a core pillar of its business strategy, focusing on direct project implementation to drive meaningful socio-economic development across Sri Lanka. Through its flagship initiative LOLC Divi Saviya, the Group has responded to national crises such as Cyclone Ditwah with an investment exceeding Rs. 500 million under the "Obai Mamai Ape Ratai" campaign, while also distributing 125,000 food packs valued at Rs.500 million to support approximately 4.5 million people during the 2022 economic crisis under "Jeewithaya Dinannata". The Group further champions education through its "Daye Daruwange Anagathaya Wenuwen" project, supplying school essentials to students across 4,090 schools island wide with an investment of Rs.2.5 billion. Beyond humanitarian efforts, LOLC is actively committed to environmental conservation — partnering with the Wildlife and Nature Protection Society (WNPS) on a five-year Sri Lankan Leopard Conservation programme and funding a reforestation project targeting the planting of 20,000 trees, including endangered and indigenous species, to restore degraded ecosystems across the country.

ENTERPRISE RISK MANAGEMENT AND INTERNAL CONTROLS

The Board confirms that the Group's Enterprise Risk Management Division (ERM) has established ongoing processes for identifying, evaluating and managing any significant risk faced by the Group; and that steps will be taken to gain assurance on internal controls covering financial, operational and compliance controls that are in place.

The ERM regularly reviews practices against laid down policies/procedures on internal controls and risk management and related findings are submitted to the Audit Committee or the Integrated Risk Management Committee as appropriate. Any deficiencies or weaknesses detected are discussed with the relevant operational staff to ensure that the gravity of the position is understood by all and to expedite remedial action. Decisions made are followed up at subsequent Committee or Board meetings.

The Directors declare that a reasonable assurance of their effectiveness and successful adherence has been obtained for the year under review.

The Risk Management Report is on pages 109 to 110.

GOING CONCERN

During the year, the Directors reviewed the interim financials and the year-end financials. They have also regularly reviewed operations, and the environment within which the Company and the Group operated, including the macro environment, potential risks and resource allocation.

Having reviewed the outlook for each sector and after due consideration of the range and likelihood of outcomes, the Directors are satisfied that the Company, its subsidiaries and associates have adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these Financial Statements.

FINANCIAL STATEMENTS

The Directors are responsible for the preparation of Financial Statements of the Company to reflect a true and fair view of the state of its affairs.

The Financial Statements together with the Notes thereon, found on pages 118 to 353, are in compliance with Sri Lanka Accounting Standards and the requirements of the Companies Act No. 7 of 2007.

AUDITORS' REPORT

Deloitte Partners have carried out the audit of the Consolidated Financial Statements for the financial year ended 31st March 2026 and their independent audit opinion on the Financial Statements appear on pages 113 to 117 of this Annual Report.

SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies adopted when preparing these Financial Statements and any changes thereof if applicable are given on pages 140 to 147.

AUDITORS

Deloitte Partners Chartered Accountants, auditors of the Company will retire, and offer themselves for re-appointment. The Board recommends their re-appointment for the year 2026/27 at a fee to be decided by the Board.

The auditors have confirmed their independence and the absence of any direct or indirect interest in contracts with the Company and its subsidiaries and the Board of Directors is satisfied that the Auditors do not have any other relationship (other than that of an auditor) with the Company or any of its subsidiaries.

The fees paid to the Auditors are disclosed in Note 12.1 to the Financial Statements on page 161.

RESPONSIBILITY STATEMENTS

The Chief Executive Officer's and Chief Financial Officer's responsibility statement appears on page 68. The Directors' statement on responsibility for financial reporting appears on page 67.

STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company and its subsidiaries, all contributions, levies and taxes payable on behalf of and in respect of the employees of the Company and its subsidiaries and all other known statutory dues as were due and payable by the Company and its subsidiaries as at the statement of financial position date have been paid or, where relevant, provided for.

Details are given in Notes 7 and 8 on page 155 to 156.

POST BALANCE SHEET EVENTS

Refer Note 47 to the Financial Statements on page 305.

ANNUAL GENERAL MEETING

The Annual General Meeting of the Company will be held on Thursday, 24th September 2026 at 10:30 a.m. as a virtual meeting and the Notice of Meeting is on page 388.

By order of the Board



Kapila Jayawardena
Group Managing Director/CEO



Ishara Nanayakkara
Executive Chairman



LOLC Corporate Services (Private) Limited
Secretaries

28th August 2026

Directors' Declarations

Name of the Director	Number of Board Seats held in Listed and Unlisted Companies in Sri Lanka	Designation
I C Nanayakkara	L O L C Holdings PLC	Executive Chairman
	Brown & Company PLC	Executive Chairman
	Browns Investments PLC	Executive Chairman
	Sierra Cables PLC	Non-Executive Chairman
	LOLC Capital (Private) Limited	Non-Executive Director
	Agstar PLC *	Non-Executive Chairman
	Ceylon Graphene Technologies (Pvt) Ltd *	Non-Executive Chairman
	LOLC Advanced Technologies (Pvt) Ltd *	Non-Executive Director
	(*resigned w.e.f. 12.05.2026)	
W D K Jayawardena	LOLC Holdings PLC	Group Managing Director/CEO
	Eden Hotel Lanka PLC	Non-Executive Chairman
	Palm Garden Hotels PLC	Non-Executive Chairman
	Serendib Hotels PLC	Non-Executive Chairman
	Dolphin Hotels PLC	Non-Executive Chairman
	Hotel Sigiriya PLC	Non-Executive Chairman
	Brown & Company PLC	Non-Executive Director
	Browns Investments PLC	Non-Executive Director
	LOLC Securities Limited	Non-Executive Chairman
	LOLC Life Assurance Limited	Non-Executive Chairman
	LOLC Advanced Technologies (Pvt) Ltd	Non-Executive Chairman
	Ceylon Graphene Technologies (Pvt) Ltd	Non-Executive Director
Mrs. K U Amarasinghe	LOLC Holdings PLC	Executive Director
	Palm Garden Hotels PLC	Non-Executive Director
	Eden Hotel Lanka PLC	Non-Executive Director
	Brown & Company PLC	Non-Executive Director
	Browns Investments PLC	Non-Executive Director
	Serendib Hotels PLC	Non-Executive Director
	Hotel Sigiriya PLC	Non-Executive Director
	LOLC General Insurance PLC	Non-Executive Director
	Browns Holdings Limited	Non-Executive Director
	Green Paradise (Pvt) Ltd	Non-Executive Director
	Three Tips Ella (Pvt) Ltd	Non-Executive Director
	Danya Capital (Pvt) Ltd	Non-Executive Director
	Ultimate Sports (Pvt) Ltd	Non-Executive Director
	Melana Capital (Pvt) Ltd	Non-Executive Director
F K C P N Dias	LOLC Holdings PLC	Non-Executive Director
	LOLC Finance PLC	Non-Executive Chairman
	Sanasa Development Bank PLC	Non-Executive Director
	Digital Mobility Solutions Lanka PLC (r.w.e.f. 31.08.2026)	Non-Executive Director
	LOLC Technologies Limited	Non-Executive Chairman
	I Pay Ceylon (Pvt) Ltd	Non-Executive Director
	Oxygen House (Pvt) Limited	Non-Executive Director
	ODoc (Private) Limited (r.w.e.f. 07.07.2026)	Non-Executive Director
K Sundararaj	L O L C Holdings PLC	Senior Independent Director
	Brown & Company PLC	Senior Independent Director
K Sivanesan	L O L C Holdings PLC	Independent Director
	Browns Investments PLC	Senior Independent Director
	Agstar PLC	Independent Director
	LOLC Life Assurance Limited	Independent Director
	Hapugastenne Plantations PLC*	Independent Director
	Udapussellawa Plantations PLC*	Independent Director
	Tea Smallholder Factories PLC*	Independent Director
	(*appointed w.e.f. 07.08.2026)	
G S Kalidasa	LOLC Holdings PLC	Non-Executive Director
	Gal Oya Holdings (Pvt) Ltd	Non-Executive Director
	LOLC Capital One (Private) Limited*	Non-Executive Director
	(*appointed w.e.f. 01.05.2026)	

Directors' Responsibility for Financial Reporting

The responsibility of the Directors in relation to the Financial Statements is set out in the following statement. The responsibility of the auditors, in relation to the financial statements prepared in accordance with the provision of the Companies Act No. 7 of 2007, is set out in the Report of the Auditors.

They believe that the Financial Statements present a true and fair view of the state of the affairs of the Company and of the Group as at the end of the financial year.

The Directors also accept responsibility for the integrity and accuracy of the Financial Statements presented and confirm that appropriate accounting policies have been selected and applied consistently and reasonable and prudent judgement has been exercised so as to accurately report transactions.

The Directors have taken reasonable steps to safeguard the assets of the Company, to prevent, deter and detect fraud and to ensure the integrity, accuracy and safeguarding of operational and financial records.

These control measures are reviewed, evaluated and updated on an ongoing basis. Reasonable assurances that the established policies and procedures of the Company have been consistently followed were provided by periodic audits conducted by Group's internal auditors. However, there are inherent limitations that should be recognised in weighing the assurances provided by any system of internal controls and accounting.

The Audit Committee of the Company meets periodically with the Internal Auditors and the Independent Auditors to review the effectiveness of the audits and to discuss auditing, internal control and financial reporting issues. The Independent Auditors and the Internal Auditors have full and free access to the Audit Committee to discuss any matter of substance.

The Directors confirm that to the best of their knowledge, all statutory payments due in respect of the Company and its subsidiaries as at the Balance Sheet date have been paid for, or where relevant, provided for.

The Directors believe that the Company is in a position to continue its operations in the foreseeable future. Accordingly, the Financial Statements are prepared on the basis that the Company is a going concern.

The Financial Statements were audited by independent external auditors, Deloitte Partners, Chartered Accountants. Their report is given on page 113 to 117.



Kapila Jayawardena
Group Managing Director/CEO

28th August 2026

Chief Executive Officer's and Chief Financial Officer's Responsibility Statement

The Financial Statements of LOLC Holdings PLC and the Consolidated Financial Statements of the Group as at 31st March 2026 are prepared and presented in compliance with the requirements of the following:

- Sri Lanka Accounting Standards issued by CA Sri Lanka;
- Companies Act No. 07 of 2007;
- Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995;
- Listing Rules of the Colombo Stock Exchange;
- Code of Best Practice on Corporate Governance 2017 issued by CA Sri Lanka;
- Finance Companies regulations and directions issued by the Monetary Board of the Central Bank of Sri Lanka under the Finance Business Act No 42 of 2011;

Any other regulatory compliance relating to financial reporting of each industry and geographical locations LOLC has a presence.

All the significant accounting policies adopted by the Company and Group are mentioned in the Notes to the Financial Statements. There have been no changes in the accounting policies adopted by the Group during the year under review except for the change mentioned in note 2.12 in the financial statements. For all periods up to and including the year ended 31st March 2026, the Group prepared its financial statements in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) which have materially converged with the International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB).

There are no departures from the prescribed accounting standards in their adoption. The accounting policies used in the preparation of the Financial Statements are appropriate and are consistently applied.

The Board of Directors and the management of your Company accept responsibility for the integrity and objectivity of these Financial Statements.

The estimates and judgements relating to the Financial Statements were made on a prudent and reasonable basis, in order that the Financial Statements reflect in a true and fair manner, the form and substance of transactions and reasonably present the Company's state of affairs. To ensure this, the Company has taken proper and sufficient care in installing a system of internal controls and accounting records, for safeguarding assets and for preventing and detecting frauds as well as other irregularities, which is reviewed, evaluated and updated on an ongoing basis.

Our Internal Auditors have conducted periodic audits to provide reasonable assurance that the established policies and procedures of the Company were consistently followed. However, there are inherent limitations that should be recognised in weighing the assurances provided by any system of internal controls and accounting.

LOLC Holdings PLC and its Consolidated Financial Statements were audited by Deloitte Partners, Chartered Accountants, the Company's External Auditors.

The Audit Committee of your Company meets periodically with the Internal Auditors and the External Auditors to review the manner in which these auditors are performing their responsibilities and to discuss auditing, internal control and financial reporting issues. To ensure complete independence, the External Auditors and the Internal Auditors have full and free access to the members of the Audit Committee to discuss any matter of substance. It is also declared and confirmed that the Company has complied with and ensured compliance by the Auditor with the guidelines for the audit of listed companies where mandatory compliance is required. It is further confirmed that all the other guidelines have been complied with.



Kapila Jayawardena
Group Managing Director/CEO



Imraz Iqbal
Chief Financial Officer - LOLC Group

28th August 2026

Report of the Audit Committee

COMMITTEE COMPOSITION

The Audit Committee comprises the following Directors:

- **K Sundararaj**
  Committee Chairman / Senior Independent Director
- **K Sivanesan**
  Independent Director
- **F K C P N Dias**
  Non-Executive Director

All members of the Audit Committee are Non-Executive Directors, with a majority including the Chair being independent. All members hold membership in a recognised professional accounting body and possess relevant experience in financial management and/or accounting.

INVITEES

The following officers are invitees to Audit Committee meetings:

- Group Managing Director / CEO
- Executive Director
- Group Chief Financial Officer
- Chief Risk Officer
- Chief Human Resources Officer
- Head of Tax Management & Compliance
- Chief Information Officer
- Chief Information Security Officer

TERMS OF REFERENCE

The Committee operates under Board-approved Terms of Reference, which are subject to periodic review. Its primary function is to assist the Board in fulfilling its oversight responsibilities with respect to the preparation, presentation, and review of financial reporting for the Company and the Group ensuring transparency, integrity, accuracy, and compliance with applicable accounting standards, laws, and regulations prior to the submission of Financial Statements for Board approval.

DISCHARGE OF DUTIES

The Committee discharged its duties during 2025/26 in accordance with its Terms of Reference. In doing so, it reviewed the scope of both external and internal audit functions, along with the related processes, procedures, and controls including risk monitoring and reporting to assess their adequacy and effectiveness.

FINANCIAL REPORTING

During the year, the Committee assisted the Board in fulfilling its responsibility for the preparation and release of quarterly and annual Financial Statements, ensuring they reflect a true and fair view of the Company's affairs in conformity with:

- Sri Lanka Accounting Standards (SLAS) and Sri Lanka Financial Reporting Standards (SLFRS)
- The Companies Act No. 7 of 2007
- The Sri Lanka Accounting and Auditing Standards Monetary Board Act No. 15 of 1995
- Rules and regulations of the CSE and SEC

The Committee sought guidance from the External Auditors on the implications of new accounting standards and the preparations necessary to ensure compliance. The External Auditors' Management Letter for 2024/25 including key audit matters and Management's responses was also reviewed. The scope of the audit was agreed upon prior to commencement, including clearance for non-assurance services, and matters of significance along with their resolution were discussed before the audit's conclusion. The Committee reviewed and recommended to the Board the fees payable to the External Auditors.

In connection with the quarterly and annual Financial Statements, the Committee obtained and reviewed written assurances from the CEO and CFO confirming that financial records have been properly maintained and that the Financial Statements present a true and fair view of the Company's and Group's operations and financial position, in compliance with applicable accounting standards and regulatory requirements.

INTERNAL AUDIT

The Committee approved the Internal Audit Plan for the Company and the Group, as presented by the Deputy General Manager — Enterprise Risk Management, at the commencement of the financial year. Quarterly internal audit reports submitted by the Enterprise Risk Management (ERM) Division were reviewed, covering operational issues, processes, controls, and IT systems. Relevant members of Management were invited to attend meetings to facilitate meaningful discussion and timely implementation of risk mitigation measures.

The Committee also reviewed the annual internal control sign-off report tabled by ERM, based on confirmations from process owners regarding compliance with established internal processes, procedures and controls, including noted deviations. Rectification measures prescribed have been agreed to by the management to address identified control or procedural weaknesses. No material deviations requiring further investigation were detected.

AUDIT PERFORMANCE ASSESSMENT

The Committee met four times during the financial year 2025/26.

At the close of the financial year, the Committee assessed the performance of both the internal and external audit functions and was satisfied that each operates independently of the activities it audits, and is conducted with impartiality, proficiency and due professional care.

BOARD REPORTING

Minutes of Audit Committee meetings are tabled at Board meetings, ensuring a continuous flow of information and enabling further discussion on any issue or proposed resolution as required. The effectiveness of the Committee was self-evaluated by each member at the conclusion of the period and the results were communicated to the Board.

EXTERNAL AUDITORS

Deloitte Partners, Chartered Accountants, appointed as Company Auditors in February 2025, were re-appointed by shareholders at the Annual General Meeting held on 26th September 2025.

The Committee is satisfied that the Auditors' independence has not been impaired by any event or service that may give rise to a conflict

of interest. This determination was reached following a review of other services provided by the Auditors to the Group, confirming that:

- Their independence as auditors has not been compromised;
- Neither the quantum of fees paid nor the non-audit services rendered are of a magnitude that would impair their independence; and
- The Auditors have issued a formal assurance confirming their independence throughout the engagement, in compliance with the Code of Ethics of the Institute of Chartered Accountants of Sri Lanka.

RECOMMENDATION

In accordance with the Company's Audit Charter, the Committee has recommended to the Board that Deloitte Partners, Chartered Accountants be re-appointed as External Auditors for the financial year 2026/27, subject to shareholder approval at the forthcoming Annual General Meeting.



K Sundararaj
Chairman - Audit Committee

28th August 2026

Report of the Nominations and Governance Committee

COMMITTEE COMPOSITION

The Nominations and Governance Committee comprises the following Directors:

- **K Sivanesan**
  Committee Chairman / Independent Director
  (appointed as Committee Chairman on 14th November 2025, Committee Member since March 2025)
- **K Sundararaj**
  Senior Independent Director
  (served as Committee Chairman from 01st January 2025 to 14th November 2025)
- **F K C P N Dias**
  Non-Executive Director

BACKGROUND AND MANDATE

LOLC established a Corporate Governance Committee in 2007 on a voluntary basis, reflecting the Company's commitment to strengthening governance and monitoring compliance with applicable statutory and regulatory requirements. In October 2024, the Committee was reconstituted in accordance with the Listing Rules of the Colombo Stock Exchange, with enhanced responsibilities and updated operating procedures as defined in its Terms of Reference.

The Committee's mandate is to uphold best practices in ethics and governance while creating value for all stakeholders. Its key responsibilities include:

- Leading all Board nomination processes and Sub-Committee appointments, with due regard to experience, skills, age, gender and independence;
- Overseeing re-elections, re-appointments, Board induction, and performance evaluations, and ensuring outcomes are discussed at Board level;
- Conducting periodic succession planning for Board members in consultation with the Chairman;
- Reviewing the compliance framework against applicable laws, rules and regulations; and
- Strengthening the Company's governance practices to promote transparency, accountability and shareholder confidence.

STANDING AGENDA ITEMS

The Committee operates with a pre-approved agenda that ensures the following matters are addressed at each meeting:

- Review of compliance with applicable corporate governance laws and regulatory guidelines;
- Review of the Company's position on significant Corporate Sustainability and Public Policy matters affecting its employees, investors, customers and communities; and
- Evaluation of potential conflicts of interest among Board members and Senior Management, with recommendations to the Board.

ACTIVITIES DURING THE YEAR

During the year under review, the Committee:

- Reviewed its Terms of Reference to ensure continued effectiveness;
- Assessed the composition of the Board and its Committees, including the skills and competencies required for effective functioning;
- Recommended revisions to relevant policies and procedures to maintain relevance and enhance monitoring;
- Evaluated all Board appointments, re-appointments and performance assessments to ensure alignment with the Company's corporate governance framework; and
- Conducted a broad review of current affairs and socio-economic and geopolitical developments affecting Group entities, with detailed discussion and strategic follow-up referred to the Audit and Risk Management Committee.

The Committee also rotated the Chairpersons of the Nominations & Governance Committee and the Talent Development and Remuneration Committee, distributing responsibilities equitably between the two Independent Directors.

As a matter of practice, Committee Chairpersons endeavour to attend General Meetings to address any shareholder queries.

DIRECTOR RETIREMENT BY ROTATION

In accordance with the Company's Articles of Association, at each Annual General Meeting with the exception of the Managing Director one-third of the Directors (or the number nearest to but not exceeding one-third, where the total is not a multiple of three) must retire by rotation. Directors appointed to fill casual vacancies or as additional directors hold office only until the next Annual General Meeting, at which point they are subject to re-election.

The Committee reviewed the fitness and propriety of the following Directors retiring by rotation and subject to shareholder approval for re-election:

Director	First Appointed	Last Re-elected	Board Committees Served	Relationships	Shareholding
F K C P N Dias	04 Sep 2019	2022	Audit Committee; Related Party Transactions Review Committee; Talent Development & Remuneration Committee; Nominations & Governance Committee; Sustainability Committee	N/A	Nil
Mrs. K U Amarasighe	08 Aug 2002	2024	Sustainability Committee	Family relationship with the Chairman	5%

Report of the Nominations and Governance Committee

Having considered each Director's category of appointment, tenure, committees served, other directorships held in listed and non-listed companies during the past three years, and their overall experience, expertise and strategic contribution to Board deliberations, the Committee recommends both Directors for re-election. Maintaining impartiality, Mr. F K C P N Dias abstained from the decision concerning his own re-election.

BOARD PERFORMANCE EVALUATION

A formal and transparent performance evaluation of all Board members including the Group Managing Director/CEO is conducted annually. Responses are assessed by the Chairman, with recommendations or concerns discussed with the Board and appropriate actions taken. The performance of the Chairman is separately evaluated by the Non-Executive Directors, led by the Senior Independent Director and outcomes are addressed accordingly.

As a matter of practice, Executive Directors discuss key issues relating to the Company and Group and seek feedback from Independent Directors prior to the implementation of significant decisions.

REGULATORY COMPLIANCE

The Company Secretaries and Management ensure that the Board of Directors are kept apprised of changes to laws, rules and regulations, including the Listing Rules and applicable capital market provisions. Directors participate in relevant regulatory forums as required.

All criteria specified by applicable laws, regulations, and the Listing Rules of the Colombo Stock Exchange have been met by the Independent Directors.

BOARD COMMUNICATION

Key concerns arising from Committee deliberations are escalated to Executive Board members promptly for necessary action. Minutes of Committee meetings are tabled at the subsequent Board meeting, ensuring the Board remains duly informed.

COMMITTEE SELF-EVALUATION

The Committee met once during the year. On two occasions the Non-Executive Directors were able to meet to discuss matters concerning the Company and the operations of the Board, without the presence of the Executive Directors.

The Committee conducted a self-evaluation of its performance for the year and concluded that it had discharged its responsibilities effectively and in accordance with the Committee Charter. All other Board Committees undertook similar performance assessments.

COMPLIANCE CONFIRMATION

The Committee has reviewed management reports confirming compliance with the Corporate Governance Framework and confirms that all applicable requirements under Section 9 of the Listing Rules have been met, as described in the Corporate Governance Report on pages 79 to 90.



K Sivanesan
Chairman – Nominations and Governance Committee

28th August 2026

Report of the Talent Development and Remuneration Committee

COMMITTEE COMPOSITION

The Talent Development and Remuneration Committee comprises the following Directors:

- **K Sivanesan**
  Committee Chairman / Independent Director
  (appointed as Committee Chairman on 14th November 2025, Committee Member since March 2025)
- **K Sundararaj**
  Senior Independent Director
  (served as Committee Chairman from 01st January 2025 to 14th November 2025)
- **F K C P N Dias**
  Non-Executive Director

INVITEES

The following officers are invitees to Committee meetings:

- Group Managing Director / CEO
- Chief Human Resources Officer
- Head of Human Resources

MANDATE AND SCOPE

The Committee is governed by a Policy that is reviewed annually. It is empowered to evaluate, assess and recommend to the Board for approval all fees, remuneration and ex gratia payments to Directors, including the Chief Executive Officer, guided by the following principles:

- The need for the Company to remain competitive in the market;
- The need to attract, motivate and retain talent; and
- The need to encourage and reward high levels of performance, while bringing on board the best talent to complement the Company's growth plans.

The Committee's scope meets the requirements set out in the Listing Rules of the Colombo Stock Exchange.

ACTIVITIES DURING THE YEAR

During the year under review, the Committee focused on the following areas:

- Management training to support the Group's expanded scope of operations, both locally and internationally;
- Knowledge forums for Group-wide staff to enhance awareness of new developments;
- Capacity building for top performers across the Group, aligned with sector-specific requirements;
- Specialised training to support the development of AI and precision agriculture strategies for Group operations;
- Commissioning of a compensation and benefits survey to inform the Committee's deliberations; and
- Succession planning for key management personnel.

The Committee introduced several initiatives aimed at strengthening talent management, governance and organisational learning across the Group. These include:

- Identifying and developing high-potential talent across divisions with a consolidated Group-level perspective; and
- Exploring and introducing alternative remuneration approaches to better align individual and organisational goals.

The Committee reviewed the performance of the Group's top talent with a view to supporting organisational growth and succession planning, with particular emphasis on succession at key executive levels. Conscious of the importance of aligning stakeholder interests and the ability to attract, motivate and retain talent, the Group engaged independent advisory services to benchmark compensation against market comparators.

PERFORMANCE ASSESSMENT

The Committee met once during the year under review.

At the conclusion of the period under review, each Committee member undertook a self-evaluation of the Committee's effectiveness, and the results were communicated to the Board.

GOVERNANCE AND REPORTING

Matters requiring deliberation among Committee members were discussed in the absence of invitees to ensure independence and candour. The Committee's activities and views were communicated to the Board of Directors regularly through verbal briefings and by tabling the minutes of Committee meetings.



K Sivanesan
Chairman - Talent Development and Remuneration Committee

28th August 2026

Report of the Related Party Transactions Review Committee

COMMITTEE COMPOSITION

The Related Party Transactions Review Committee comprises the following Directors:

- **K Sundararaj**
  Committee Chairman / Senior Independent Director
- **K Sivanesan**
  Independent Director
- **F K C P N Dias**
  Non-Executive Director
- **G S Kalidasa**
  Non-Executive Director
  (appointed to the Committee on 14th November 2025)
- **W D K Jayawardena**
  Group Managing Director / CEO
  (stepped down from the Committee on 14th November 2025)

INVITEES

The following officers are invitees to Committee meetings:

- Group Chief Financial Officer
- Head of Tax Management & Compliance

TERMS OF REFERENCE AND POLICY FRAMEWORK

The Committee has adopted Section 9.14 of the Listing Rules of the Colombo Stock Exchange as its Terms of Reference. The Company's existing policies and procedures have been established in conformance with the Code of Best Practice on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka.

SYSTEMS AND PROCESSES

The Committee relies on systems and processes that are subject to periodic review to ensure compliance with applicable rules, accounting standards and management reporting requirements. These systems generate comprehensive reports for management review and for the Committee's quarterly assessment, covering all related party transactions including expenses, income, lending and outstanding balances.

As a matter of policy, the Committee has established a threshold for facilities that must be reviewed prior to Board approval. When reviewing proposed facilities to related parties, the Committee considers the nature of the transaction, its value, applicable terms, and reporting and disclosure requirements including classification as recurrent or non-recurrent and monitors whether such transactions are conducted on normal commercial terms to ensure fairness and transparency. Where necessary, the Committee may seek professional or expert advice from qualified persons to assess proposed related party transactions.

COMMITTEE MEETINGS AND REVIEW PROCESS

The Committee met four times during the year under review.

At each quarterly meeting, the Committee reviewed all related party transactions of the Company in consultation with the Group Chief Financial Officer and the Head of Tax Management & Compliance, to determine whether the transactions were conducted in conformance with the requirements of the Listing Rules and Sri Lanka Accounting Standards.

Approval of related party transactions is effected either at quarterly meetings with a majority of members present to constitute a quorum or by circular resolution consented to by a majority. Where a Board member has an interest in a proposed transaction, that member refrains from participating in the relevant deliberation and decision.

There were no non-recurrent transactions requiring pre-approval by the Committee, immediate disclosure, or shareholder approval during the period under review. Recurrent transactions carried out during the period were reviewed and ratified quarterly by the Committee on a post-transaction basis, having endorsed guidelines provided by Senior Management to validate compliance with the Listing Rules thereby excluding the requirement for pre-approval of such transactions by the Committee.

REPORTING AND EFFECTIVENESS

The Committee's activities and views were communicated to the Board of Directors on a quarterly basis through verbal briefings and by tabling the minutes of Committee meetings.

At year end, each Committee member conducted a self-evaluation of the Committee's effectiveness, and findings including any gaps identified were communicated to the Board. A declaration by the Board of Directors affirming compliance with the Listing Rules pertaining to related party transactions is set out on page 64 of this report.



K Sundararaj
Chairman — Related Party Transactions Review Committee

28th August 2026

Report of the Integrated Risk Management Committee

COMMITTEE COMPOSITION

The Integrated Risk Management Committee comprises the following Directors:

- **K Sundararaj**
  Committee Chairman / Senior Independent Director
- **W D K Jayawardena**
  Group Managing Director / CEO
- **G S Kalidasa**
  Non-Executive Director
  (appointed to the Committee on 14th November 2025)

INVITEES

The following officers attend Committee meetings by invitation:

- Chief Risk Officer
- Chief Operating Officer
- Chief Financial Officer
- Head of Tax Management & Compliance
- Chief Credit Officer
- Chief Treasury Officer
- CEO — Recoveries
- Chief Information Officer
- Chief Information Security Officer
- Chief Legal Officer
- Chief Human Resources Officer

BACKGROUND

The Committee was originally established when the Company held a licence issued by the Central Bank of Sri Lanka during its tenure as a leasing entity. Although it is no longer a regulatory requirement, the Board has elected to retain the Committee on a voluntary basis, recognising its important role in risk oversight and the advancement of sound governance.

MANDATE

The Committee's primary functions are to:

- Assist the Board in maintaining effective oversight of subsidiary operations and their associated risk exposures;
- Ensure that each sector has appropriate risk guidelines and risk management procedures commensurate with the scale, complexity, materiality and statutory or regulatory requirements of each entity or sector, monitored on a regular basis; and
- Keep the Board continuously informed of the Group's risk indicators and exposures, thereby safeguarding the Group's investments.

RISK MONITORING

Risk monitoring of regulated entities within the Group was carried out based on key risk indicators approved by the respective subsidiary boards, supplemented by additional monitoring conducted by the relevant Business and Service Units. Findings were reported monthly to the Chief Risk Officer for scrutiny and the identification of material issues. Identified risks were subsequently reviewed and addressed by Management, with concurrence from the Enterprise Risk Management Department (ERM), to ensure timely and appropriate risk mitigation.

ACTIVITIES DURING THE YEAR

During the year under review, the Committee supported by the ERM assessed the risks to which the Group's various sectors were exposed. Reviews were wide-ranging, encompassing both micro and macro environments as well as local and global trends and their implications. Mitigation strategies were discussed to ensure a sound balance between effective risk management and operational efficiency.

The Committee noted that governance structures were largely in place, with internal audit and risk management functions covering key entities. Further enhancements were underway to strengthen ERM functions in the insurance and plantations sectors, complete AML/CFT system implementations, and verify control processes.

The Committee also reviewed:

- Climate risk and ESG monitoring;
- International operations against country risk profiles;
- Inter-company lending exposures, maturity gaps and liquidity positions;
- Non-operational and dormant entities; and
- Technology-related emerging risks, being addressed through system upgrades, cloud migration, enhanced cybersecurity measures, AI governance policies and regulatory compliance initiatives.

Recommendations were made to strengthen climate risk assessment, data protection controls and recovery strategies, while ensuring continuous regulatory compliance and reporting across the Group.

The Committee reviewed the Policy on Risk Management and Internal Control, including an assessment of the adequacy of overall controls in areas of significant risk. It further reviewed and recommended for Board adoption updated policies and procedures relating to Information Security, reflecting changes in the technology landscape, evolving threat environments and applicable laws and regulations. The need to update the Business Continuity Policy of the Company and significant Group entities was also addressed.

REPORTING AND EFFECTIVENESS

The Committee met once during the year .

Minutes of the Committee meeting were tabled at the subsequent Board meeting, ensuring the Board remained duly informed of the Committee's deliberations. At the conclusion of the period under review, each Committee member evaluated the Committee's effectiveness and the results were communicated to the Board.



K Sundararaj
Chairman - Integrated Risk Management Committee

28th August 2026

Report of the Board Sustainability Committee

COMMITTEE COMPOSITION

The Board Sustainability Committee (BSC) comprises the following Directors and the Group Chief Sustainability Officer:

- **F K C P N Dias**
  Committee Chairman
- **Mrs. K U Amarasinghe**
  Executive Director
- **K Sundararaj**
  Senior Independent Director
  (appointed to the Committee on 14th January 2026)
- **K Sivanesan**
  Independent Director
  (appointed to the Committee on 14th January 2026)
- **Dr. P Uluwaduge**
  Group Chief Sustainability Officer
  (Chief Human Resources Officer)

BACKGROUND

The Board established the Board Sustainability Committee in November 2024 to provide oversight of the Organisation's sustainability commitments and to guide the Group's sustainability agenda, a programme that has been in place since 2007.

COMPLIANCE READINESS — SLFRS S1 AND S2

During the year under review, the BSC undertook a structured implementation programme to prepare the Group for compliance with the Colombo Stock Exchange sustainability reporting requirements that came into effect on 01st January 2025. This followed the adoption of SLFRS S1 and S2, the sustainability-related financial disclosure and climate-related disclosure standards issued by the Chartered Accountants of Sri Lanka (CASL), aligned with IFRS S1 and S2 as issued by the International Sustainability Standards Board (ISSB).

CAPABILITY BUILDING AND GOVERNANCE FRAMEWORK

To build internal capability and deepen understanding of these standards and their governance and reporting implications, the BSC engaged specialist ESG advisors to conduct workshops and working sessions with senior leadership and their teams across the Group.

In parallel, the BSC established the requisite governance framework by constituting Management Sustainability Committees (MSCs) under each of the Group's key sectors identified as material for disclosure purposes. Each MSC comprises the relevant sector CEO, departmental and process heads and owners, and a designated lead coordinator. The key sectors covered are: Financial Services, Insurance, Trading & Manufacturing, Leisure and Plantations.

Given the international presence of the Plantations and Financial Services sectors, the respective MSCs incorporate overseas operations to ensure that local ESG considerations are captured within the Group's reporting framework.

GAP ASSESSMENTS AND STRATEGIC ROADMAP

Under the guidance of independent experts and the BSC, each sector undertook gap assessments to identify material sustainability and climate-related impacts, risks, and opportunities. Findings were submitted to the BSC for evaluation. Building on these findings, the BSC will provide continued strategic direction and cross-sector coordination to manage the Group's material impacts, risks, and opportunities through a structured roadmap including the optimisation of real-time reporting dashboards and performance monitoring systems. In applying the SLFRS S1 and S2 disclosure requirements, the Group has utilised applicable reliefs permitted by ICASL.

ACKNOWLEDGEMENTS

The Committee wishes to place on record its appreciation for the valuable support provided by Deloitte Associates throughout this process, as well as the contributions of the Group Chief Sustainability Officer, sector MSC members, and lead coordinators during the year under review.

MEETINGS, REPORTING AND EFFECTIVENESS

The BSC met formally on two occasions during the year under review. Minutes of each meeting were tabled at the subsequent Board meeting to ensure the Board remained duly informed. At the close of the period, each Committee member assessed the Committee's effectiveness, and the outcomes were communicated to the Board.



F K C P N Dias
Chairman — Board Sustainability Committee

28th August 2026

Report of the Senior Independent Director

As the Senior Independent Director (SID) I am pleased to present this report, reflecting the Company's continued commitment to corporate governance across the Group's diversified portfolio, in line with the Listing Rules of the Colombo Stock Exchange.

My role is to provide shareholders with an additional, independent channel of communication where normal channels through the Chairman or Group Manging Director/ CEO are inappropriate, while serving as a sounding board for the Chairman and supporting overall Board effectiveness. The Independent Directors as a practice meet, when necessary, although informally, to discuss matters of importance in relation to the Company and its Group operations and advise the Executive Directors on emerging issues in terms of governance, evolving regulatory reforms, geopolitical developments, including recommendations on employee welfare and corporate social responsibilities.

In addition, this is a culture in LOLC where any matter of concern which comes to the notice during functioning of other Committees are brought to the attention of and discussed with the Chairman and the Group Managing Director promptly without waiting for formal meetings. Furthermore, key business decisions of the Group intended by the top management are discussed with the Independent Directors and responses provided for any concerns raised. On such occasions, consensus is reached between the executive Board members and the Independent Directors and the advice provided is implemented in its decision making/businesses.

I attended all scheduled Board and Sub-Committee meetings during the year, and led the annual evaluation of the Chairman's performance, conducted independently of Executive influence. Beyond this, I held periodic one-on-one discussions with each Non-Executive Director throughout the year, providing an informal channel to surface concerns early. I also convened meetings of Non-Executive Directors without the presence of the executive directors to assess Board dynamics and the quality of Board debate.

In addition to remaining available for escalated concerns, I proactively engaged with the top management during the year to understand their views on Group strategy and capital allocation; and the Independent Directors were kept advised on the progress of key investments. Furthermore, the Independent Directors had access to reach out to the Company's key management personnel to obtain clarifications for matters raised.

I also observed discussions at the Annual General Meeting to gauge minority shareholder sentiment directly. No matters required formal escalation through my office during the year.

Given the Group's diversified structure, I paid particular attention to the consistency of governance standards across subsidiary boards, reviewing the independence and effectiveness of Directors serving at subsidiary level. I also examined related party transactions between Group companies to ensure these received adequate independent scrutiny.

I took an active role in early-stage succession planning discussions for key leadership positions, working alongside the Nominations & Governance Committee. I also contributed an independent perspective on emerging risks facing the Group's diverse sectors, including ESG, cyber, and reputational exposures, encouraging management to address potential blind spots proactively.

I remain committed to deepening engagement with shareholders and subsidiary boards alike, and to ensuring governance practices evolve in step with the complexity of our diversified operations.



K Sundararaj
Senior Independent Director

28th August 2026

Terms of Reference of the Senior Independent Director

PURPOSE

The Board of Directors shall appoint one of the Independent Non-Executive Directors to be the Senior Independent Director in the following circumstances:

- In the event the Chairperson is not a Non-Executive Director,
- The Chairperson and the CEO are the same person
- The Chairperson and CEO are close family members* or related parties

*shall mean the spouse, parents, grandparents, children, brothers, sisters and grandchildren of director/CEO of a listed entity and any person who is financially dependent on and or acting in concert with such director/ CEO, as defined by the CSE.

KEY RESPONSIBILITIES

The Senior Independent Director should (in addition to the responsibilities of a Non-Executive Director and the general responsibilities of a Director):

To Shareholders

1. Be available to shareholders if they have concerns which contact through the normal channels of Chair, Group Chief Executive Officer or Chief Financial Officer has failed to resolve or for which such contact is inappropriate.

2. Attend meetings with major shareholders and financial analysts to obtain an understanding of shareholders' views on governance and performance against strategy and support the Chair in ensuring the Board is aware of the views of stakeholders.

To the Chair

1. Together with the Chair, act as a sounding board for the Chair and Group Chief Executive Officer on Board and shareholder matters.

2. Chair the Nominations and Governance Committee when it is considering succession to the role of Chair of the Board.

3.* Lead an annual session of the Non-Executive Directors (excluding the Chair), to agree the Chair's objectives and appraise the Chair's performance and conduct the Chair's annual performance appraisal.

To the Board/Directors

1. Act as a trusted intermediary for Non-Executive Directors where this is needed to help them to challenge and contribute effectively.

2. Take the initiative in discussion with the Chair or other Board members if it seems that the Board is not functioning effectively.

3. Be the focal point for Board members for any concerns and intervene where appropriate to maintain Board and Company stability.

4.* Lead an annual session of the Independent Directors, or as deemed necessary to exclusively discuss entity-related matters.

The Senior Independent Director shall be entitled to a casting vote at the meetings specified above in 3 and 4*.

For the Group

Liaise and collaborate with the Senior Independent Director wherever appropriate.

ADDITIONAL REQUIREMENTS

Conflicts of interest

In the event of any conflict of interest on the part of the Senior Independent Director in relation to any particular aspect of their role, another Independent Director will be required to perform that aspect of the Senior Independent Director's role.

Time commitment

The Senior Independent Director will be expected to commit sufficient time as required to the role, which will include committing significantly more time to the role in exceptional circumstances.

Tenure

The Senior Independent Director should stand for election at the first AGM following their appointment and absent any objection from the Board or the Senior Independent Director's desire to retire, should stand for re-election as per the Articles of Association of the Company.

Independence

The Senior Independent Director should be independent on appointment and throughout their tenure.

	Section 9 of the Listing Rules	Effective date of applicability and Level of Compliance
9.1.3	Listed entities shall publish a statement confirming the extent of compliance with the Rules set out herein.	01.10.2023 As detailed below, the Company is fully compliant with the Listing Rules of the Colombo Stock Exchange.
9.2	**Policies**	01.10.2024
9.2.1	Listed Companies shall maintain the prescribed policies and disclose the fact of existence of such policies together with the details relating to the implementation of such policies by the Entity on its website;	The Company's governance framework is regularly reviewed and updated to reflect stakeholder needs and regulatory/ statutory requirements to enhance oversight, accountability and operational effectiveness. Accordingly, LOLC revised its existing policies to align with the requirements of the Exchange and are made available on the Company's website. Extracts of these policies are set out on pages 86 to 87.
9.2.2	Waivers from compliance with the Internal Code of Business Conduct and Ethics or exemptions granted by the listed entity shall be fully disclosed in the annual report.	01.10.2024 There has not been any material breach of the Code during the year under review.
9.2.3	i) list of policies in place in conformity of Rule 9.2.1 above with reference to its website. ii) details pertaining to any changes to policies adopted by the listed entity in compliance with Rule 9.2 above.	01.10.2024 The policies were subject to an annual review to maintain relevance. Material changes made to the policies during the current year, are set out on page 86.
9.2.4	Listed entity shall make available all such policies to shareholders upon a written request being made for any such Policy.	01.10.2024 Shareholders have access to the detailed policies which are hosted on the Company's website. Extracts of same are set out on pages 86 to 87.
9.3	**Board Committees**	01.10.2023 (01.01.2025*)
9.3.1	Listed Entities shall ensure that the following Board committees are established and maintained at a minimum and are functioning effectively: - - Nomination & Governance Committee* - Remuneration Committee - Audit Committee - Related Party Transactions Review Committee	The required Committees have been established and are functioning effectively. These Committees assist the Board with its role of oversight of the Company's performance, conformance and sustainability.
9.3.2	Listed Entities shall comply with the composition, responsibilities and disclosures required in respect of the above Board Committees as set out in the Rules	01.10.2023 Refer sections 9.11, 9.12, 9.13, and 9.14 below for details on compliance.
9.3.3	The Chairperson of the Board of Directors of the Listed Entity shall not be the Chairperson of the Board Committees referred to in Rule 9.3.1 above.	01.10.2023 All Board Sub-Committees are chaired by an Independent Director.

	Section 9 of the Listing Rules	Effective date of applicability and Level of Compliance
9.4	**Adherence to principles of democracy in the adoption of Meeting Procedures and the conduct of all General Meetings with shareholders**	01.10.2023
9.4.1	Listed entity shall maintain records of all resolutions and the following information upon a resolution being considered at any general meeting of the entity. The entity shall provide copies of the same at the request of the Exchange and or the SEC: a) the no. of shares in respect of which proxy appointments have been validly made; b) the no. of votes in favour of the resolution; c) the no. of votes against the resolution; and d) the no. of shares in respect of which the vote was directed to be abstained.	The stipulated records of all shareholder meetings have been maintained by the Company.
9.4.2	Communication and relations with shareholders and investors	01.10.2024
	a) listed entity shall have a policy on effective communication and relations with shareholders & disclose the existence of the same in the Annual Report and the Website of the listed entity.	The Company has established methodologies to ensure effective communication and relations with shareholders.
	b) Listed entity shall disclose the contact person for such communication.	Details of same are set out in the policies on Relations with Shareholders & Investors and Stakeholder Communication and Corporate Disclosures adopted by the Company.
	c) The policy on relations with shareholders and investors shall include a process to make all directors aware of major issues and concerns of shareholders and such process shall be disclosed by the Entity in the Annual Report and the Website of the entity.	Designated personnel have been identified as contact persons in these policies for such inquiries /communication. Any significant/ material issues raised by the shareholders/ investors are escalated to the Board where necessary in a transparent manner.
	d) Listed entities that intend to conduct shareholder meetings through virtual and hybrid means shall comply with the guidelines issued by the Exchange.	A fixed agenda item has been included into the Board Agenda and summarized reports of any shareholder correspondence is reported to the Board by the Head of Investor Relations. The Company conducted its shareholder meetings online/ virtual means while complying with the guidelines issued by the CSE.
9.5	**Policy on matters relating to the Board of Directors**	01.10.2024
9.5.1	Listed entities shall establish and maintain a formal policy governing matters relating to the Board of Directors with specific requirements prescribed by the Exchange (a) to (j).	The Company has revised its Board Charter to align with the requirements prescribed by the Exchange.
9.5.2	Listed entity shall confirm compliance with the requirements of the Policy referred to in 9.5.1 above in the Annual Report and provide explanations for any non-compliance with any of the requirements with reasons for such non-compliance and the proposed remedial action.	01.10.2024 Requirements set out in the Policy have been complied with, by the members of the Board.
9.6	**Chairperson & CEO**	01.10.2023
9.6.1	The Chairperson of every listed entity shall be a Non-Executive Director and the position of Chairperson and CEO shall not be held by the same individual.	The Chairman of the Company is an Executive Director. The positions of Chairman and Managing Director/CEO are held by two individuals.

	Section 9 of the Listing Rules	Effective date of applicability and Level of Compliance
9.6.2	A listed entity that is unable to comply with Rule 9.6.1 shall make a market announcement within a period of 1 month from the date of implementation of these Rules or an immediate market announcement from the date of non-compliance (if such date falls subsequent to the implementation of these Rules).	01.10.2023 The prescribed announcements were made by the Company in November 2023.
9.6.3	**The Requirement for a SID** a) The listed entity shall appoint an independent director as the SID in the following instances: i) The Chairperson and the CEO are the same person ii) The Chairperson and the CEO are close family members or related parties Such appointment shall be immediately disclosed with reasons for such appointment by way of a market announcement. b) The independent directors shall meet at least once a year chaired by the SID (without the presence of the other directors) to discuss matters of concerns relating to the entity or the operation of the Board. The SID shall provide feedback and recommendations from such meetings to the Chairperson and the Board members c) The SID shall chair a meeting with the NEDs without the presence of the Chairperson at least annually, to appraise the Chairperson's performance d) The SID shall be entitled to a casting vote at the meetings specified in b) and c) above e) The SID shall make a signed explanatory disclosure in the Annual Report demonstrating the effectiveness of duties of SID.	01.10.2023 As the Chairman serves in the capacity of an Executive Director, the Board appointed a Senior Independent Director with specified terms of reference. Required announcements of the appointment and subsequent changes were promptly announced to the market. Independent Directors met on two occasions, without the presence of other directors. The report of the SID is set out on pages 77 to 78.
9.6.4	Until Listed Entities comply with Rule 9.6.1 above, such entities shall explain the reasons for non-compliance in the Annual Report.	01.10.2023 The Board is of the view that the Chairman who is a major shareholder, should continue in the capacity of an Executive Director taking into consideration his business acumen which navigated the Group to become one of the most diversified profitable multinationals in Sri Lanka.
9.7 9.7.1	**Fitness of Directors and CEO** The listed entity shall ensure that its directors and CEO are at all times fit and proper in terms of criteria set out by these Rules in 9.7.3	01.10.2023 The Board members met the criteria set out in these Rules during the year under review and up to the date of this report.
9.7.2	Listed entity shall ensure that persons recommended by the Nominations & Governance Committee as directors are fit and proper before such nominations are placed before the shareholders meetings.	01.10.2023 The Committee has recommended the re-election of Directors retiring placed before the AGM, having considered their fit and propriety and taking into consideration their strategic contribution, integrity, competencies, financial soundness and other commitments.

	Section 9 of the Listing Rules	Effective date of applicability and Level of Compliance
9.7.3	The directors and the CEO of the entity shall not be considered fit and proper if they do not meet the criteria specified in sections a) honesty, integrity and reputation b) competence and capability and c) financial soundness respectively	01.04.2024 The Board members meet the criteria set out in these Rules.
9.7.4	Listed entity shall obtain declarations from its directors and CEO on an annual basis confirming that each of them have continually satisfied the fit and proper assessment criteria set out in these Rules during the financial year concerned and as at the date of such confirmation.	01.10.2023 Duly signed declarations have been made by each Board member confirming the criteria set out in Rule 9.7.4.
9.7.5	**Disclosures in the Annual Report** Listed entity shall include the following disclosures in the Annual Report: a) A statement that the directors and the CEO of the entity satisfy the fit and proper criteria stipulated in the Listing Rules. b) Any non-compliance/s by a director or CEO of the listed entity of the fit and proper assessment criteria during the financial year and remedial action taken by the entity to rectify such non-compliance/s.	01.10.2023 Refer pages 62 to 65 of the Report of the Board of Directors for the statement of compliance. Profiles of the Directors are on pages 9 to 10.
9.8 9.8.1	**Board Composition** The Board of Directors of a Listed Entity shall, at a minimum, consist of five (05) Directors	01.10.2024 As at the date of this report, the Board consists of seven (07) Directors.
9.8.2	**Minimum Number of Independent Directors** a) The listed entity shall include at least two (02) independent directors or such number equivalent to one third 1/3 of the total number of directors at any given time, whichever is higher. b) any change occurring to this ratio shall be rectified within 90 days from the date of change.	01.10.2024 The Board consist of two (02) Independent Directors.
9.8.3 9.8.4	**Criteria for determining independence** A director shall not be considered independent if he/she does not fulfil the criteria defining independence under sections 9.8.3 and 9.8.4 of the Rules.	01.10.2023 The Board has determined that Messrs. K. Sundararaj and K. Sivanesan meet the criteria for independence set out herein.
9.8.5	The listed entity shall ensure a) Each independent director submits a declaration with criteria specified by the Exchange. b) The Board shall make an annual determination as to independence / non-independence and set out the names of directors determined to be independent in the Annual Report. c) If the Board determines that the independence of an independent director has been impaired against any criteria set out in 9.8.3 it shall make an immediate market announcement thereof.	01.10.2023 The Company has established a process for determination of independence based on the criteria of this rule. No instances were identified during the year under review where independence was impaired under the applicable criteria.

	Section 9 of the Listing Rules	Effective date of applicability and Level of Compliance
9.9	**Alternate Directors** Listed entities that provides for the appointment of Alternate Directors, it must comply with the requirements set out by this Rule and such requirements shall be incorporated into the Articles of Association of the Entity.	01.01.2024 No alternate Directors have been appointed to the Board during the year under review. Requirements prescribed in these Rules have been incorporated to the Articles of Association of the Company on 26th September 2024.
9.10 9.10.1	**Disclosures Relating to Directors** Policy on the maximum number of directorships its board members shall be permitted to hold	01.10.2023 The Policy on Matters Relating to the Board adopted by the Company, permits a director to hold office as director, in any number of companies / societies / bodies including subsidiaries and associates of the Company, subject to however, in the case of listed entities, such appointments being limited to 20, subject to avoiding any conflict of interest.
9.10.2	Immediate market announcement upon appointment of new director setting out resume, capacity of directorship, statement indicating if such appointment has been reviewed by the Nominations & Governance Committee.	01.10.2023 Announcements were made to the CSE on new appointments covering the criteria set out herein.
9.10.3	Immediate market announcement regarding any changes to the composition of the: i) Board of Directors ii) Board Committees specified in Rule 9.3 with details of changes including, appointments, resignations and the capacity of directorship with the effective date thereof.	01.10.2023 During the year under review, changes to the directorate and committee compositions of the Board have been duly announced to the Exchange.
	Listed entities shall disclose the following in relation to Directors in the Annual Report: a) name, qualifications, brief profile, b) nature of expertise in relevant functional area c) whether either the director or close family member/s has any material business relationship with the directors of the listed entity, d) whether executive, non-executive and or independent. e) Total number of names of companies in which the director concerned serves as a director/KMP indicating if these are listed f) Number of board meetings of the listed entity attended during the year g) Names of board committees in which the director serves as chairperson or member h) Details of attendance of committee i) Terms of reference and powers of the SID	01.10.2023 Refer pages 9 to 10 for Directors' profiles; page 62 for Directors' interests in contracts; pages 88 to 90 for details of Board and Committee membership/meeting attendance details; page 77 for the SID's report; pages 77 to 78 for TOR of the SID.

	Section 9 of the Listing Rules	Effective date of applicability and Level of Compliance
9.11	**Nominations & Governance Committee**	01.10.2024
9.11.1-6	The listed entity shall have a Nominations & Governance Committee conforming with the requirements set out in Rule 9.11.	Refer the Nominations & and Governance Committee Report on pages 71 to 72.
9.12	**Remuneration Committee**	01.10.2023
9.12.1 -6	For the purposes of Rule 9.12 the term remuneration shall make reference to cash and non-cash benefits whatsoever received. The listed entity shall have a Remuneration Committee conforming with the requirements set out in Rule 9.12.	Refer the Talent Development & Remuneration Committee Report on page 73 for details. The aggregate remuneration paid to Executive and Non-Executive Directors is disclosed on page 308 of the report.
9.13	**Audit Committee**	01.10.2024
9.13.1-5	The listed entity shall have an Audit Committee conforming with the requirements set out in Rule 9.13.	Refer pages 69 to 70 for the Report of the Audit Committee for details. All members of the Committee are Non-Executive Directors with a majority, including the chair being independent. The quorum of a majority was maintained for all its meetings during the year under review. SID, K Sundararaj chairs the Audit Committee. The Group Managing Director and Group Chief Financial Officer are invitees to Committee meetings. All the Committee Members have membership in a recognised professional accounting body and relevant financial management/accounting experience. Refer their profiles on pages 9 to 10.

	Section 9 of the Listing Rules	Effective date of applicability and Level of Compliance
9.14	**Related Party Transactions Review Committee** The listed entity shall have a Committee that conforms to the requirements set out in Rule 9.14	01.10.2023 - 01.04.2024 Refer page 74 for the Report of the Related Party Transactions Review Committee for details. There were no RPTs during the year which required shareholder approval as set out in Rule 9.14.6. There were no RPTs during the year which required immediate market announcement as set out in Rule 9.14.7. Refer Report of the Board of Directors on pages 62 to 65 for the affirmative declaration by the Board of Directors in the Annual Report that these Rules pertaining to Related Party Transactions have been complied with. There were no Non-recurrent RPTs exceeding 10% of Equity or 5% of Total Assets whichever is lower; nor Recurrent RPTs exceeding 10% of the Gross Revenue/ Income during the year. Please refer Note 50 to the Financial Statements on page 307. During the year there were no acquisition or disposal of substantial assets from/ to Related Parties.
9.16	**Additional Disclosures** The following additional disclosures by the BOD to be included in the Annual Report. Declared all material interests in contracts involving the entity and whether they have refrained from voting on matters in which they were materially interested; Conducted a review of the internal controls covering financial, operational and compliance controls and risk management and have obtained reasonable assurance of their effectiveness and successful adherence therewith, and if unable to make any of these declarations, an explanation why it is unable to do so. Made arrangements to make themselves aware of applicable laws, rules and regulations and are aware of changes particularly to listing rules and applicable capital market provisions Disclosure of relevant areas of any material non- compliance with law or regulation and any fines, which are material, imposed by any government or regulatory authority in any jurisdiction where the Entity has operations.	01.10.2023 Refer Report of the Board of Directors on pages 62 to 65.

CORPORATE GOVERNANCE POLICIES ADOPTED BY THE COMPANY

The Company has adopted corporate governance policies to ensure good governance and regulatory compliance and has reviewed and revised its existing policies in line with the Section 9.2.1 of the CSE Listing Rules. The detailed policies can be accessed on the Company's website – www.lolc.com

Policy on Matters Relating to the Board of Directors

The Board of Directors of LOLC Holdings PLC is responsible for providing strategic direction, overseeing financial performance, managing risks including sustainability-related risks and ensuring compliance with applicable laws and ethical standards. Sustainability is integrated into the Company's strategy, with the Board approving relevant policies and overseeing transparent reporting and stakeholder engagement on environmental, social and governance (ESG) matters. Committees are established where necessary to support these responsibilities with defined roles and accountability. The Board comprises a balanced mix of skills, experience, diversity and independence and meets regularly to ensure effective governance. Performance evaluations are conducted periodically, while comprehensive records are maintained and progress is reported to stakeholders, ensuring transparency and adherence to regulatory requirements and best practices.

Amended by the inclusion of Sec 10 on Disclosure of Interests and linked the Terms of Reference of Board Members as an annexure to the policy.

Policy on Board Committees

The Board of Directors of LOLC Holdings PLC may establish Board and Management Committees to support its responsibilities, delegate authority and ensure effective governance. The Company is required to maintain key Board Committees, including the Nominations & Governance Committee, Talent Development & Remuneration Committee, Audit Committee, Related Party Transactions Review Committee, Integrated Risk Management Committee and Sustainability Committee, in line with the rules of the Colombo Stock Exchange and other relevant standards. Each committee operates under clearly defined terms of reference and comprises at least three directors, including a minimum of two Independent Directors. All committees are chaired by an Independent Director, who is not the Chairperson of the Board. Committees are expected to include members with relevant expertise, be supported by a designated Secretary and are encouraged to rotate membership to promote diverse perspectives. The activities of each committee are reported at the Annual General Meeting.

Policy on Corporate Governance, Nominations and Re-Election

The Policy on Corporate Governance, Nominations and Re-Election of LOLC Holdings PLC sets out a clear and transparent framework for the appointment and re-election of Board members, ensuring strong governance and alignment with the Company's strategic objectives. The policy applies to all Board and committee appointments, with the Nominations and Governance Committee comprising mainly Independent, Non-Executive Directors responsible for identifying, evaluating and recommending candidates based on their skills, experience, independence, diversity and suitability. Re-election of Directors is based on regular performance evaluations and compliance with governance standards, with recommendations submitted to the Board and subject to approval by shareholders. The policy also ensures proper disclosure of candidate information and any potential conflicts of interest and is reviewed periodically to ensure continued relevance and alignment with regulatory requirements and best practice.

Policy on Remuneration

The Remuneration Policy of LOLC Holdings PLC aims to attract, retain and motivate employees by providing competitive compensation aligned with market standards and the Company's performance.

Executive Directors are offered a combination of base salary, perquisites and performance-based bonuses, with remuneration levels reviewed annually and benchmarked against comparable companies. Non-Executive Directors receive a monthly retainer and meeting fees, along with additional fees for participation in Board Sub-Committees. Alternate Directors are paid per meeting in place of the Director they represent. The remuneration of the Chief Executive Officer is linked to performance and aligned with market practices. Bonuses for Executive Directors consist of both fixed and variable components, with the variable portion based on performance.

Policy on Internal Code on Business Conduct and Ethics

The Internal Code on Business Conduct and Ethics of LOLC Holdings PLC outlines the expected ethical standards for Directors and Officers, focusing on integrity, loyalty, compliance with laws and accountability. It provides guidance on managing conflicts of interest, safeguarding confidential information, ensuring accurate financial reporting, proper use of Company assets and responsible trading in Company securities. Directors and officers are required to declare personal interests, avoid benefiting personally from Company opportunities and report any unethical or unlawful conduct without fear of retaliation. Compliance with all applicable laws is mandatory and any violations may result in disciplinary action. The Code also requires annual declarations of compliance and any waivers must be approved by the Board of Directors.

Amended Sec 7 on Trading in the Company's listed securities by related/connected parties, by deleting the exclusion clause for exemptions for trading during restricted days.

Policy on Risk Management and Internal Controls

LOLC Holdings PLC, being the parent company of a diversified group, is committed to protecting its assets and investments through a strong risk management and internal control framework. This policy applies to all employees and functions and encourages stakeholders to uphold its principles. The Company regularly identifies and assesses a wide range of risks, including strategic, market, operational, regulatory, reputational and sector-specific risks and adopts appropriate measures such as avoidance, reduction, sharing, or acceptance to manage them. A strong control environment is

maintained through established processes, clear segregation of duties, authorisation controls and physical safeguards. Compliance with applicable laws and industry standards is ensured, while responsibility for risk management is assigned to business unit heads, who regularly review the effectiveness of controls. Internal audits provide independent assurance on the adequacy of controls and all employees are required to promptly report any control weaknesses.

Policy on Relations with Shareholders and Investors

LOLC Holdings PLC is committed to transparent, accurate and timely communication with its shareholders, investors and other stakeholders ensuring they receive all material information about the Company's governance, operations, financial performance and future prospects. Communication is managed through designated spokespersons and official channels such as the Company website, social media, press releases and annual general meetings with proper attention to confidentiality and regulatory compliance. The Company proactively addresses market rumours, provides access to analysts and the media and encourages shareholder engagement and feedback. Material information is disclosed promptly following a clear approval process while insiders are strictly regulated to prevent misuse of confidential data. Major developments and crisis situations are handled with special care, ensuring all stakeholders remain well-informed. The Company regularly updates its policies and provides multiple channels for stakeholders to connect and stay informed.

Policy on Environmental, Social and Governance Sustainability

The Environmental, Social and Governance (ESG) Sustainability Policy of LOLC Holdings PLC sets out the Company's commitment to responsible and sustainable business practices that balance economic growth, social responsibility and environmental protection. Guided by its vision and mission, the Company integrates sustainability into its operations through initiatives focused on employee well-being, community development, environmental conservation and strong corporate governance. The policy establishes clear targets up to 2030 across economic, environmental and social areas, including reducing emissions, promoting ethical sourcing, encouraging innovation and improving board diversity. Progress is measured using defined key performance indicators and is reported annually through the Sustainability Report, along with regular internal updates and stakeholder engagement to ensure transparency, accountability and continuous improvement.

Policy on Control and Management of Company Assets and Shareholder Investments

The Policy on Control and Management of Company Assets and Shareholder Investments of LOLC Holdings PLC sets out the framework for the efficient management, protection and use of its assets and shareholder funds. It applies to all employees, management and Board members. The policy covers the classification, acquisition, use, verification, transfer, depreciation and disposal of assets, including physical, intangible and investment properties. All assets are recorded in a centralised register, assigned unique identification and managed through defined approval and documentation procedures. It also ensures that shareholder investments are utilised strategically, supported by proper reporting, risk management and governance oversight. Regular audits, employee training and annual policy reviews are carried out to maintain compliance, transparency and effectiveness.

Policy on Stakeholder Communication and Corporate Disclosures

The Stakeholder Communication and Corporate Disclosure Policy of LOLC Holdings PLC ensures timely, accurate and transparent communication with all stakeholders, including regulators, shareholders, customers, employees, suppliers, creditors and the community, in compliance with applicable laws and Colombo Stock Exchange (CSE) requirements. The policy requires the fair disclosure of material information, prohibits selective disclosure and insider trading and ensures the confidentiality of unpublished sensitive information. Communication is carried out through various channels such as financial reports, press releases, the Company's website, social media and direct engagement, with only authorised individuals permitted to speak on behalf of the Company. It also governs communication during blackout periods, promotes language accessibility for customers and ensures consistency in maintaining the Company's brand image across all platforms.

Policy on Anti-bribery and Corruption

The Anti-Bribery and Corruption Policy of LOLC Holdings PLC outlines the Group's commitment to ethical conduct, transparency and accountability, ensuring that all operations are free from fraud and corruption. The policy applies to all employees (excluding interns) and defines fraud and corruption broadly to include bribery, extortion, facilitation payments, conflicts of interest and misuse of resources. It establishes clear procedures for prevention, detection, reporting and response. It emphasises strong leadership, effective internal controls, due diligence on third parties, mandatory training and protection for whistle-blowers. Responsibilities are clearly assigned across executive management, supervisors, the ERM team, IT and auditors, ensuring compliance with national and international regulations, including the Anti-Corruption Act No. 9 of 2023. Confidential reporting channels and investigation procedures are in place and any violations or acts of retaliation may result in disciplinary action.

Policy on Whistleblowing

The Whistleblowing Policy of LOLC Holdings PLC promotes honesty, integrity and transparency by encouraging employees and stakeholders to report any unethical or illegal conduct without fear of retaliation. The policy covers fraud, misconduct, harassment, safety violations and breaches of laws or Company policies. Reports may be made to immediate supervisors or the Head of Enterprise Risk Management and will be handled with strict confidentiality. The Company ensures protection against retaliation and will take disciplinary action against any such conduct. All reports are subject to prompt, fair and impartial investigation, with appropriate action taken where necessary. This policy applies to all employees and stakeholders and is reviewed regularly to ensure its continued effectiveness.

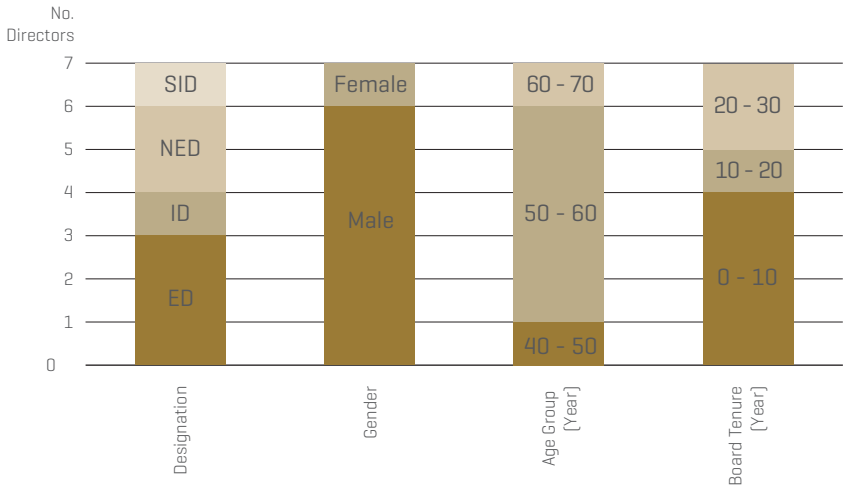
Board and Board Sub Committee Composition

Name of Director	Executive/ Non-executive	Independent/ Non-independent	Board & Sub-Committee Composition							Date appointed to the Board	Tenure on the Board (Years)	Age
			Board	AC	TD&RC	RPTRC	N&GC	IRMC	BSC			
I C Nanayakkara	ED	NID	√							24.01.2002	24	53
W D K Jayawardena	ED	NID	√			√		√		18.06.2007	19	67
Mrs. K U Amarasinghe	ED	NID	√						√	08.08.2002	24	56
F K C P N Dias	NED	NID	√	√	√	√	√		√*	04.09.2019	7	55
K Sundararaj	NED	ID	√	√*	√	√*	√	√*	√	01.01.2025	1	55
K Sivanesan	NED	ID	√	√	√*	√	√*		√	12.03.2025	1	57
G S Kalidasa	NED	NID	√			√		√		16.06.2025	1	48

** Committee Chairman*

Present Committee Composition - in Gold

AC - Audit Committee
TD&RC - Talent Development and Remuneration Committee
RPTRC - Related Party Transactions Review Committee
N&GC - Nominations & Governance Committee
IRMC - Integrated Risk Management Committee
BSC - Board Sustainability Committee



Board Meeting Attendance

Name of Director	30.05.2025	15.08.2025	14.11.2025	13.02.2026
I C Nanayakkara	√	√	√	√
W D K Jayawardena	√	√	√	√
Mrs. K U Amarasinghe	√	√	√	√
F K C P N Dias	√	√	√	√
K Sundararaj	√	√	√	√
K Sivanesan	√	√	√	√
G S Kalidasa *(a.w.e.f. 16.06.2025)*	n/a	√	√	√

Audit Committee Meeting Attendance

Name of Director	30.05.2025*	15.08.2025	14.11.2025	13.02.2026
K Sundararaj - Committee Chairman	√	√	√	√
K Sivanesan	√	√	√	√
F K C P N Dias	√	√	√	√

Date - Meetings with External Auditor's participation*

Related Party Transactions Review Committee Meeting Attendance

Name of Director	30.05.2025	15.08.2025	14.11.2025	13.02.2026
K Sundararaj - Committee Chairman	√	√	√	√
W D K Jayawardena *(stepped down from the Committee w.e.f 14.11.2025)*	√	√	√	n/a
F K C P N Dias	√	√	√	√
K Sivanesan	√	√	√	√
G S Kalidasa *(appointed as a Committee Member w.e.f 14.11.2025)*	n/a	n/a	√	√

Talent Development and Remuneration Committee Meeting Attendance

Name of Director	14.01.2026
K Sivanesan - Committee Chairman *(appointed as Committee Chairman w.e.f. 14.11.2025)*	√
K Sundararaj *(stepped down as Committee Chairman w.e.f. 14.11.2025)*	√
F K C P N Dias	√

The Meeting of the NEDs was also held on the same date.

Nominations & Governance Committee Meeting Attendance

Name of Director	13.02.2026
K Sivanesan - Committee Chairman *(appointed as Committee Chairman w.e.f. 14.11.2025)*	√
K Sundararaj *(stepped down as Committee Chairman w.e.f. 14.11.2025)*	√
F K C P N Dias	√

The Meeting of the NEDs was also held on the same date.

Integrated Risk Management Committee Meeting Attendance

Name of Director	29.01.2026
K Sundararaj - Committee Chairman	√
W D K Jayawardena	√
G S Kalidasa *(appointed as a Committee Member w.e.f 14.11.2025)*	√

Board Sustainability Committee

Name of Director	14.01.2026	06.02.2026
F K C P N Dias - Committee Chairman	√	√
Mrs. K U Amarasinghe	-	-
K Sundararaj	√	√
K Sivanesan	√	√

Participation online for Board and Committee meetings were taken into account when deciding the quorum.

SLFRS Sustainability Related Disclosure

BASIS OF PREPARATION

Compliance with SLFRS Sustainability Disclosure Standards

This Sustainability Report has been prepared in accordance with SLFRS S1 and SLFRS S2, which are aligned with the ISSB Sustainability Disclosure Standards and have been adopted and localized by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

Disclosure topics in the Sustainability Accounting Standards Board (SASB) standards have been referred to and considered when preparing this report. These standards were also considered in the Group's materiality assessment process and the determination of key sustainability matters presented in this Report.

CONNECTIVITY WITH FINANCIAL STATEMENTS (REPORTING PERIOD, REPORTING ENTITY, AND PRESENTATION CURRENCY)

The sustainability report has been prepared for the group and should be read in conjunction with the Group's consolidated financial statements which are prepared in accordance with the Sri Lanka Financial Reporting Standards (SLFRS). This report covers the financial year ended 31 March 2026 and is aligned with the reporting period of the related consolidated financial statements.

The Group defines time horizons based on when the sustainability-related risks and opportunities could reasonably be expected to occur. As of the end of the reporting period the following time horizons were identified which align with the timelines used for strategic decision-making:

- short term (0 to 12 months)
- medium term (1 to 5 years)
- long term (beyond 5 years)

The sustainability-related financial disclosures cover the LOLC Group and its material sectoral companies. In preparing these sustainability-related financial disclosures, the company has assessed its own operations and its value chain.

The presentation currency of the sustainability-related financial disclosures is Sri Lankan Rupees (Rs.), which aligns to the presentation currency used in the consolidated financial statements. Unless specified otherwise, all amounts are rounded to the nearest million.

FIRST-TIME ADOPTION OF IFRS SUSTAINABILITY DISCLOSURE STANDARDS AND TRANSITION RELIEFS

The Group is reporting under the SLFRS Sustainability Disclosure Standards for the first time for the annual reporting period ended 31 March 2026. It has applied the following standards for its annual reporting period commencing 1 April 2025:

- SLFRS S1 'General Requirements for Disclosure of Sustainability-related Financial Information'
- SLFRS S2 'Climate-related Disclosures'

As of 31 March 2026, there are no other IFRS Sustainability Disclosure Standards issued by the ISSB and adopted by CA Sri Lanka.

The Company has adopted for all available transitional reliefs allowed during the first year of adoption of the SLFRS S1 and S2 reporting framework as outlined below;

1. SLFRS S1 - Disclosure of information on only climate related risks and opportunities (CRROs): In the first annual reporting period in which an entity applies this Standard, the entity is permitted to disclose information on only CRROs (in accordance with SLFRS S2) and consequently, apply the requirements in this Standard only in so far as they relate to the disclosure of information on CRROs. As this is the Group's first reporting period under SLFRS Sustainability Disclosure Standards, the Company has applied available transitional reliefs relating to climate-related disclosures.

2. SLFRS S1 - Disclosure of comparative information in the first annual reporting period in which the entity applies this Standard, it is not required to disclose comparative information about its CRROs and in the second annual reporting period in which the entity applies this Standard, it is not required to disclose comparative information about its sustainability - related risks and opportunities (SRROs), other than its CRROs.

3. SLFRS S2 - Disclosure of qualitative information regarding anticipated financial effects of CRROs Entities are permitted to defer the disclosure of qualitative information regarding anticipated financial effects or a period of two years following the mandatory application of the standard.

4. SLFRS S2 - Disclosures on Climate resilience: A relief period of two years is granted to apply the requirements from the date of mandatory application to fully comply with climate resilience disclosure requirements.

As this is the Group's first reporting period under SLFRS Sustainability Disclosure Standards, the Group has applied available transitional reliefs relating to climate-related disclosures.

Certain quantitative climate-related metrics, including greenhouse gas emissions disclosures and aspects of value chain information, are still under development due to evolving data collection processes, system limitations and methodological considerations.

The Group continues to enhance its internal capabilities, governance framework, and reporting processes to support more comprehensive climate related disclosures in future reporting periods.

REPORTING ENTITY, ORGANISATION BOUNDARY AND VALUE CHAIN

LOLC Holdings PLC is a publicly listed Sri Lankan holding company. The principal activities of the holding company are the monitoring and management of the Group's investments and the provision of centralised support services to its subsidiaries and associates. Accordingly, LOLC Holdings PLC operates as the strategic and investment-management centre of a diversified group rather than as a single operating business.

The Group commenced operations as Lanka ORIX Leasing Company, with an initial focus on providing leasing solutions in Sri Lanka. It

subsequently expanded its financial-services offering to address the financing needs of individuals, entrepreneurs and micro, small and medium-sized enterprises that were underserved by the conventional financial system.

Over time, the Group used the capabilities, capital, institutional knowledge and market experience developed through its financial-services operations to expand into a broad portfolio of financial and real-economy sectors.

Today, LOLC operates as a global, multi-sector conglomerate with activities spanning financial services, insurance, agriculture and plantations, leisure, manufacturing and trading, construction and real estate, digital technology, strategic investments, research and advanced technology, and mining.

The Group has established operations and investments across Asia, Africa and other international markets. This geographic diversification enables the Group to access emerging markets, broaden its revenue base, transfer expertise across jurisdictions and participate in the economic development of the markets in which it operates.

The Group's financial reporting identifies the following principal operating-sector groupings:

» Financial services;
» General and life insurance;
» Manufacturing and trading;
» Leisure and entertainment; and
» Plantations and agriculture.

The Group also reports activities relating to information technology, engineering and construction, advanced technologies, strategic investments and mining within its broader portfolio.

VALUE CHAIN

The Group also has entities (including investments in associates and joint ventures), activities, resources, and relationships that form part of its value chain. These have been considered in assessing the sustainability-related risks and opportunities of the Group. In the current reporting period, all metrics reported (except for GHG emissions) relate to the Group's own operations.

SIGNIFICANT JUDGEMENTS AND UNCERTAINTIES

In the process of preparing this sustainability report, management has exercised judgement in a number of areas, including the process of identifying sustainability-related risks and opportunities and identifying material information to report. Additionally, the preparation of this report requires the use of estimates for certain amounts which cannot be measured directly. Estimates have been made where the sustainability information relates to an entity in the value chain and needs to be estimated, is related to forward-looking information, or involves data limitations.

This section outlines the most critical judgements made by management in preparing this sustainability report as well as the amounts that are subject to a high degree of measurement uncertainty.

SIGNIFICANT JUDGEMENTS

Area	Description
Materiality process	Management applied significant judgement to identify the sustainability-related risks and opportunities that could reasonably be expected to affect the Group's prospects, as well as the material information related to those risks and opportunities. Judgement was also applied in considering which metrics included within the disclosure topics in the industry-based SASB Standards were applicable to the Group.
Organisational boundary for GHG emissions	The Group has applied the operational control approach to determine its organisational boundary for reporting GHG emissions. The operational control approach requires the Group to identify the operations over which the Group has full authority to introduce and implement operational policies. Both the determination of organisational boundary consolidation approach and the identification of operations over which the Group has operational control are areas of significant judgement.

MEASUREMENT UNCERTAINTY

The following amounts have a high degree of measurement uncertainty:

Area	Description
GHG-related metrics	The Group measures its GHG emissions in accordance with the GHG Protocol unless otherwise stated as required by SLFRS S2. The related disclosed metrics are subject to inherent high uncertainties arising from reliance on activity data and emission factors obtained from third parties. Where activity data and emission factors cannot be obtained on a timely basis, or are incomplete, estimation is used.
Climate physical risk – extreme weather events	There is significant uncertainty regarding how climate change, including the effect of the increase/decrease in GHG emissions, will affect the frequency and intensity of the future extreme weather events in the region where the Group operates. These uncertainties arise from the variability in climate projections and the potential unexpected changes in weather behaviour due to shifting weather patterns and evolving climate conditions as well as the corresponding impacts to the Group's operations. Hence, the measurement of anticipated financial effects due to extreme weather events, in the short, medium and long term, is subject to significant measurement uncertainty.

SUSTAINABILITY GOVERNANCE

As the Group operates within the sustainability governance framework established by the Group and it is aligned with the Group's overall sustainability strategy and objectives. Oversight of sustainability-related and climate-related matters is provided through the Group Board Sustainability Committee, which offers strategic direction and guidance on environmental, social, and governance (ESG) matters across the Group's operations including oversight of sustainability and climate related risks and opportunities, responsibilities for governance, review and approval of sustainability disclosures, and alignment with S1 and S2 requirements. Within the Group sustainability governance structure company represents the Insurance sector pillar.

At the Group level, Board is responsible for implementing the Group's sustainability policies, action plans, and reporting requirements in a manner appropriate to the Group's operational context. Sustainability-related risks and opportunities, including climate-related matters, are monitored and integrated into operational and risk management processes in alignment with the Group's governance framework. All heads of subsidiaries are members of sustainability management committee of the LOLC Group headed by Chief operating officer and Head of HR act as the sustainability coordinator to represent the Group level sustainability management committee. The Board of Directors of LOLC Group is kept informed and obtain necessary approvals for all the processes carried out by Group level sustainability management committee on periodic basis.

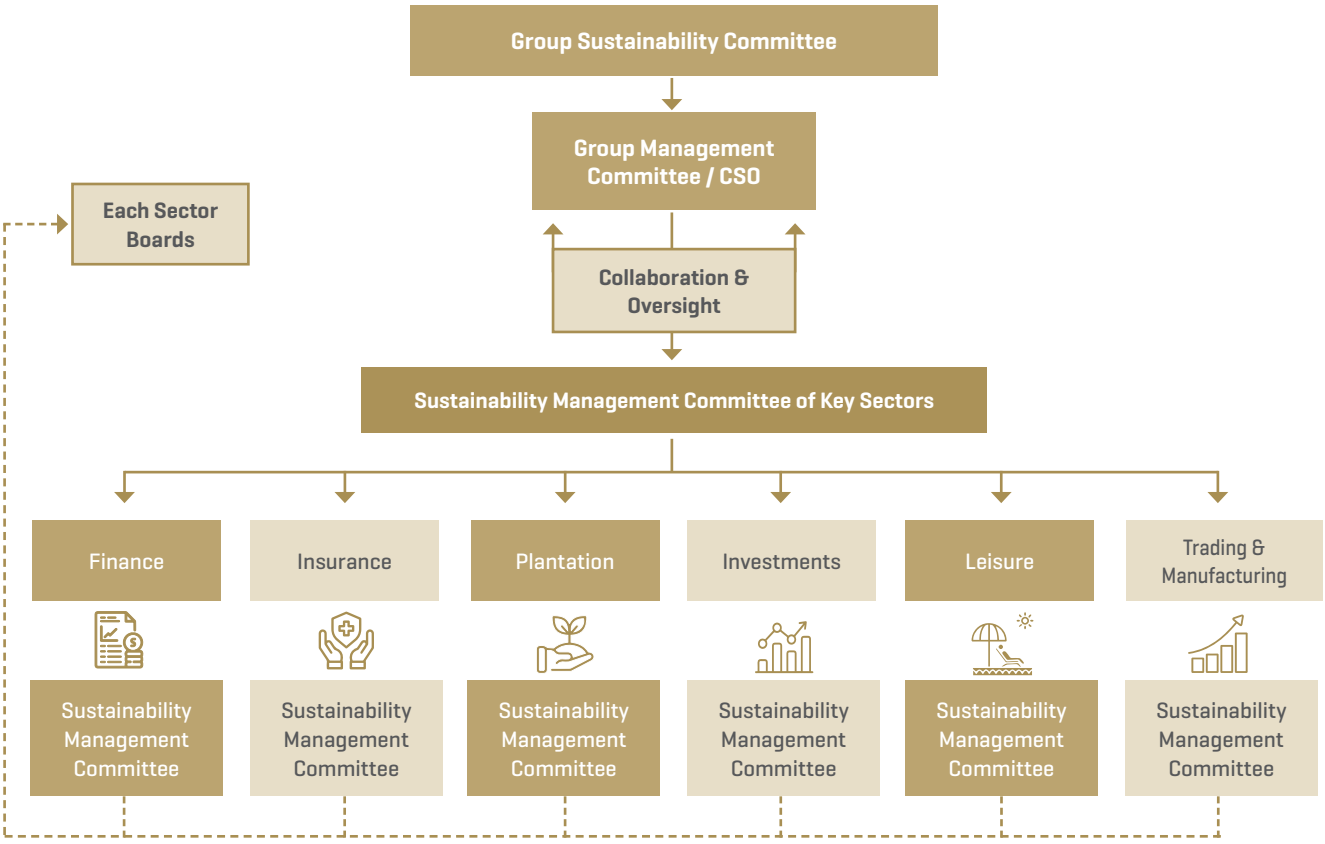
Members of the Board and relevant management personnel have participated in sustainability awareness and capacity building programmes, including training on SLFRS S1 and SLFRS S2, to strengthen their understanding of sustainability related and climate related disclosure requirements and their integration into strategic and operational decision-making, to strengthen understanding of sustainability and climate related disclosure requirements and their integration into business operations and decision making.

Progress relating to sustainability initiatives and material sustainability-related and climate-related risks and opportunities is periodically reported to the Group's governance structures to support effective oversight, accountability, and continuous improvement in sustainability performance.

The Board of Directors of LOLC Group has oversight of the approach to sustainability issues, and it is supported by the Sustainability Management Committee within LOLC Group.

An overview of the Group's sustainability governance structure is set out below:

SLFRS Sustainability Related Disclosure



RISK MANAGEMENT

The processes and policies used to identify and assess sustainability-related risks, including climate-related risks, are described in the Basis of Materiality section below. The risk assessment process incorporates both qualitative and quantitative considerations and evaluates the nature, likelihood, and potential magnitude of identified risks and opportunities.

Sustainability-related risks and opportunities, including climate-related matters, are identified through the LOLC Group's materiality assessment process and are evaluated alongside other strategic and operational risks. Following identification, these risks and opportunities are assessed, prioritised, and monitored through the Group's established sustainability and risk management framework to support informed decision-making, effective oversight, and long-term value creation.

The Group Sustainability Committee is responsible for the operational management and oversight of sustainability-related and climate-related risks and opportunities, as well as other material sustainability matters across the LOLC Group. The Committee oversees the identification, assessment, monitoring, and review of sustainability-related risks and opportunities, ensuring the implementation of appropriate mitigation and adaptation measures and the integration of sustainability considerations into business strategies, operations, and decision-making processes.

Progress against sustainability-related initiatives and action plans is regularly monitored through Group Sustainability Committee meetings and measured against agreed action items and the Group's sustainability roadmap. Sustainability-related risks and opportunities are subject to ongoing review to ensure their continued relevance in the context of evolving business conditions, stakeholder expectations, and regulatory developments. Details of the Group's key sustainability-related risks and opportunities are presented in the Risks and Opportunities section below.

BASIS OF MATERIALITY

This year marks the first reporting period in which LOLC Holdings PLC has prepared sustainability-related financial disclosures in accordance with the SLFRS Sustainability Disclosure Standards. Accordingly, the Group conducted a comprehensive materiality assessment to identify the sustainability-related risks and opportunities that could reasonably be expected to affect its prospects over the short, medium and long term. Although this is the Group's first report prepared in accordance with the SLFRS Sustainability Disclosure Standards, sustainability-related risks and opportunities affecting the Group's diversified operations

have previously been considered through its established risk management, strategic planning and operational decision-making processes.

LOLC Group determines the materiality of sustainability-related financial disclosures by assessing how environmental, social, and governance (ESG) factors may affect the Group's business model, strategy, operations, financial performance, and long-term value creation. These assessments consider both the Group's internal activities and, where relevant and practicable, its broader value chain, including relationships with customers, suppliers, business partners, and other stakeholders.

The purpose of this process was to identify information on sustainability-related risks and opportunities that could reasonably be expected to affect the Group's prospects, as well as influence decisions made by primary users of general-purpose financial reports. Management specifically focused on existing and potential investors (shareholders or holders of preferred shares), lenders and other creditors in general.

Sustainability matters are considered material where they have the potential to influence the Group's financial position, performance, cash flows, or future prospects over the short, medium, and long term. The outcomes of the materiality assessment guide the Group's sustainability strategy, risk management processes, and sustainability-related disclosures.

ENVIRONMENT-RELATED RISKS AND OPPORTUNITIES

Identification of Material Sectors

The Group identified the following five sectors as material for the purposes of its sustainability- and climate-related disclosures:

1. Financial Services
2. Life and General Insurance
3. Manufacturing and Trading
4. Leisure and Entertainment
5. Plantation and Agri

These sectors were identified primarily based on their contribution to the Group's consolidated revenue during the reporting period. Revenue was selected as the principal quantitative basis because it provides a consistent and measurable indication of the relative scale of each sector's operations and its significance to the Group's overall business model and financial performance.

Accordingly, the sectors contributing a significant proportion of the Group's consolidated revenue were considered more likely to be exposed to sustainability- and climate-related risks and opportunities that could reasonably be expected to affect the Group's prospects. Such effects may arise in relation to the Group's financial performance, financial position, cash flows, access to finance and cost of capital over the short, medium and long term.

CLIMATE-RELATED RISKS AND OPPORTUNITIES BY MATERIAL SECTOR

01.Financial Services Sector

The Financial Services sector is exposed to physical climate risks through its branch network, operational infrastructure, customers and loan portfolio. It is also exposed to transition risks arising from the movement towards a low-carbon economy and the increasing need to quantify financed emissions. At the same time, sustainable financing presents an opportunity to expand the sector's climate-aligned portfolio and support customers in their transition.

INCREASE IN SEVERITY AND FREQUENCY OF WEATHER PATTERNS

Nature of the Risk

The increasing severity and frequency of floods, droughts, landslides, cyclones and other extreme weather events may damage branches and operational assets, disrupt service delivery and increase credit risk among affected borrowers.

The risk may affect operational continuity, customer access to financial services, loan recoverability, impairment levels and overall financial performance.

Risk Classification and Time Horizon

Classification: Physical climate risk
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

Extreme weather events, including Cyclone Ditwah, may affect branches, information technology systems, electricity supply, communication channels and access routes located in high-impact areas.

Damage to branches or supporting infrastructure may result in temporary closures, interruptions to face-to-face services and reduced customer access. Disruption to core banking systems, transaction processing and communication channels may further affect customer service and business continuity.

The sector may incur costs relating to emergency response, repairs, restoration of premises and temporary relocation of operations.

Borrowers in affected areas may experience business interruption, income loss, asset damage and cash-flow constraints. SMEs, self-employed individuals and borrowers dependent on daily cash flows may be particularly affected. These conditions may result in delayed repayments, higher default risk and increased requests for restructuring, moratoriums or other repayment relief.

Anticipated Effects

Continued exposure to severe weather may increase pressure on the branch network, loan portfolio, insurance arrangements and business continuity capabilities.

Borrowers experiencing recurring climate-related disruption may have reduced repayment capacity, resulting in higher arrears, impairment provisions and credit losses. The sector may also face higher insurance premiums, increased deductibles or reduced availability of coverage for assets located in climate-vulnerable areas.

An increase in restructuring and repayment-relief arrangements may affect the timing and predictability of loan collections, interest income and portfolio performance.

Concentration of the Risk

The risk is primarily concentrated within:

» branch operations and supporting infrastructure;

» information technology and communication systems; and

» the loan portfolio, particularly borrowers in vulnerable locations and climate-sensitive sectors.

Effects on Strategy and Decision-Making

The sector plans to strengthen business continuity and disaster recovery arrangements, particularly for branches in flood-prone and landslide-prone areas.

Methodologies are being developed to assess the climate vulnerability of branch locations and integrate location-specific risk considerations into the broader climate-risk management approach.

The sector also intends to develop climate stress-testing capabilities to assess the effects of extreme weather events on borrower repayment capacity, portfolio quality and impairment levels.

Other planned responses include:

» maintaining adequate insurance coverage over operational assets;

» strengthening digital and remote service-delivery channels;

» integrating climate considerations into credit assessment and collateral reviews;

» using geographic information systems and climate data to assess location-specific exposure; and

» providing financial solutions that support customer adaptation and recovery.

Resourcing and Progress

Resources are expected to be allocated towards contingency funding, disaster recovery, infrastructure resilience and business continuity.

During the reporting period:

» Rs. 41.5 million was allocated to climate-risk management initiatives, including physical infrastructure upgrades and relocations;

» 14 ESG-related awareness sessions and workshops were conducted;

» external consultancy support was obtained for SLFRS S1 and SLFRS S2 capacity building;

» three qualified internal employees supported sustainability and climate-related activities; and

» an Environmental and Social Risk Officer was appointed to oversee the Environmental and Social Management System.

FINANCIAL EFFECTS

Current Financial Effects

Current financial effects may arise from branch repairs, temporary relocation, emergency response, service interruptions, increased impairment provisions and reduced or delayed loan collections.

The Rs. 41.5 million allocated to climate-risk management includes expenditure on physical infrastructure upgrades and relocations. The financial statement classification of such expenditure depends on whether the relevant costs meet the applicable recognition criteria for capitalisation.

Risk of Material Adjustments

Other than information arising from the Ditwah event, the sector has limited historical climate-related loss data and limited reliable forward-looking information covering the next 12 months.

Accordingly, the sector is presently unable to quantify with sufficient reliability whether the risk may result in material adjustments to the carrying amounts of assets and liabilities during the forthcoming financial year.

Anticipated Financial Effects

The relevant transitional relief has been applied. Quantitative anticipated financial effects have therefore not been disclosed.

Qualitatively, future effects may include:

» higher impairment provisions and credit losses;

» reduced or delayed loan collections;

» increased repair, insurance and business continuity expenditure;

» additional capital investment in resilient infrastructure and digital systems; and

» possible reductions in the value of climate-exposed collateral.

Climate Resilience

The relevant transitional relief has been applied in relation to climate resilience and scenario analysis.

The sector's current resilience is supported by business continuity arrangements, digital channels, insurance coverage, credit-monitoring processes and restructuring mechanisms. However, repeated or widespread weather events may affect several branches and borrower segments simultaneously.

Future resilience assessments are expected to consider the effect of floods, droughts, landslides and cyclones on operations, collateral, borrower repayment capacity, impairment levels and portfolio performance.

Metrics and Targets

Current indicators include:

» climate-risk management expenditure: Rs. 41.5 million;

» ESG awareness sessions and workshops: 14;

» qualified internal sustainability and climate-related employees: three; and

» Environmental and Social Risk Officer appointed: one.

The sector is developing further metrics covering branch vulnerability assessments, weather-related branch closures, climate-affected lending exposures, restructuring requests and climate-related impairment.

GHG QUANTIFICATION AND SHIFT TO A LOW-CARBON ECONOMY

Nature of the Risk

The quantification of greenhouse gas emissions, particularly financed emissions, may increase visibility over the sector's exposure to carbon-intensive industries.

Borrowers in high-emission sectors may face carbon pricing, regulatory restrictions, changing customer preferences, increased operating costs and reduced demand. These developments may weaken profitability and repayment capacity and increase the likelihood of credit losses, impairment and stranded assets.

Risk Classification and Time Horizon

Classification: Transition risk
Time horizon: Medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

No material effects on operations, portfolio quality or cash flows were identified during the current reporting period.

Anticipated Effects

The calculation of financed emissions may identify concentrations in carbon-intensive sectors and support the gradual rebalancing of lending and investment portfolios towards low-carbon activities.

Borrowers in transition-vulnerable sectors may face increased costs, reduced competitiveness and deterioration in asset values. This may result in higher default risk, impairment charges or financial write-downs.

Reducing exposure to traditionally higher-yielding carbon-intensive sectors may also affect interest income. The sector may therefore need to diversify through sustainable finance products and climate-aligned lending opportunities.

Increasing investor, regulator and customer expectations may create reputational pressure to demonstrate responsible financing practices, credible climate disclosures and alignment with low-carbon transition objectives.

Concentration of the Risk

The risk is primarily concentrated within the lending portfolio, investment portfolio and credit-underwriting process.

Effects on Strategy and Decision-Making

The sector has become a signatory to the Partnership for Carbon Accounting Financials and is calculating financed emissions in line with the relevant methodology.

The sector plans to:

- incorporate enhanced ESG due diligence into lending and investment decisions;
- assess borrower-level transition exposure;
- gradually rebalance the portfolio towards low-carbon and climate-resilient sectors;
- engage with customers to support their transition;
- develop sustainable finance policies, frameworks and taxonomies;
- strengthen financing for renewable energy, sustainable infrastructure and low-carbon technologies; and
- consider developing a transition plan supported by measurable targets.

Resourcing and Progress

Resources may be allocated to:

- financed-emissions data and analytical systems;
- carbon-accounting methodologies;
- transition-risk models;
- green and climate-aligned lending;
- specialist consultancy support; and
- employee training on climate risk, carbon accounting and sustainable finance.

During the reporting period, the sector conducted 14 ESG-related awareness sessions, obtained external consultancy support, maintained three qualified internal employees and appointed an Environmental and Social Risk Officer.

Financial Effects

No material current-year effects were identified in profit or loss, financial position or cash flows. The sector has also not identified a significant risk of material adjustments to the carrying values of assets and liabilities during the next financial year.

The relevant transitional relief has been applied in relation to anticipated financial effects.

Qualitatively, future effects may include higher impairment in transition-vulnerable sectors, reduced interest income from portfolio rebalancing, expenditure on climate data and systems, and new revenue from climate-aligned lending.

Climate Resilience

The relevant transitional relief has been applied in relation to resilience and climate scenario analysis.

The sector intends to strengthen its resilience by measuring financed emissions, identifying portfolio concentrations, developing transition-risk assessments and supporting customers in adapting their businesses.

Metrics and Targets

Current indicators include the completion status of financed-emissions calculations, portfolio exposure to carbon-intensive sectors, green-financing exposure and employee training.

Quantitative portfolio transition targets will be developed after financed-emissions baselines and supporting data controls have been established.

SUSTAINABLE FINANCING

Nature of the Opportunity

Sustainable financing presents a strategic opportunity as demand for environmentally responsible financial products continues to grow.

Green loans, green bonds, climate-linked lending and financing for low-carbon projects may support customers' transition while expanding the sector's climate-aligned portfolio, strengthening market position and enhancing stakeholder confidence.

Classification and Time Horizon

Classification: Climate-related opportunity
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

Sustainable financing supports differentiation by responding to the needs of environmentally conscious customers, investors and business partners.

Demand for renewable energy, energy efficiency, sustainable infrastructure and low-carbon activities has created opportunities to expand the lending portfolio. Sustainable products may also support access to concessional funding, development-finance partnerships and sustainability-related incentives.

Environmental and social considerations incorporated into financing arrangements may strengthen risk management and improve stakeholder trust.

Anticipated Effects

Sustainable financing is expected to become a more integrated component of the sector's core business model.

The sector may expand financing for:

- renewable energy;
- sustainable infrastructure;
- green leasing;
- energy efficiency;
- climate adaptation; and
- other qualifying green and sustainable activities.

Stricter standards and due diligence may be required to ensure that labelled products deliver credible environmental outcomes and avoid greenwashing risk.

Partnerships with development-finance institutions, government agencies and industry bodies may support access to technical expertise and larger-scale financing opportunities.

Concentration of the Opportunity

The opportunity is concentrated within product development, sustainable lending and capital allocation.

Effects on Strategy and Decision-Making

The sector plans to increase the proportion of green and sustainable financing and support customers through financing solutions for decarbonisation and climate adaptation.

A dedicated function may be established to develop, monitor and manage sustainable finance products. Internal policies and eligibility criteria may also be strengthened to ensure alignment with recognised market principles and environmental standards.

Training for credit, risk and business teams is expected to support both the management of environmental and social risks and the identification of sustainable financing opportunities.

Resourcing and Progress

Resources may be allocated towards green credit lines, partnerships with development institutions, product development, technical assessments, data systems and employee capability building.

During the reporting period:

- exposure to green loans amounted to Rs. 2.39 billion; and
- interest income from the green lending portfolio amounted to Rs. 227 million.

Financial Effects

Current financial effects include interest income generated by the green lending portfolio and the allocation of funding to eligible green activities.

The sector expects to continue generating interest income from the portfolio during the next financial year.

The relevant transitional relief has been applied in relation to longer-term anticipated financial effects. Qualitatively, the opportunity may support revenue growth, portfolio diversification, access to sustainable funding and improved stakeholder confidence. It may also require expenditure on product development, verification, reporting and monitoring.

Climate Resilience

The relevant transitional relief has been applied.

A larger and more diversified sustainable finance portfolio may improve resilience by reducing exposure to transition-vulnerable sectors and supporting customers whose activities are aligned with a low-carbon economy.

Metrics and Targets

Key current metrics are:

- green loan exposure: **Rs. 2.39 billion**; and
- interest income from green lending: **Rs. 227 million**.

Future metrics may include the proportion of the portfolio classified as sustainable, annual sustainable-finance disbursements, avoided or reduced emissions supported by financing, and portfolio alignment with approved sustainable-finance criteria.

Hotel and Leisure Sector

Climate change affects the Hotel and Leisure sector through physical damage, changing tourism patterns, increasing regulatory expectations, technological change and evolving customer preferences.

DISRUPTION OF OPERATIONS DUE TO EXTREME WEATHER EVENTS

Nature of the Risk

The hotel portfolio is exposed to acute risks such as flooding, extreme rainfall and storm surges, and chronic risks including sea-level rise, coastal erosion and rising temperatures.

These risks may disrupt operations, damage assets, increase operating costs and affect tourism demand and long-term asset values.

Risk Classification and Time Horizon

Classification: Acute and chronic physical risk
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

Flooding and extreme rainfall may restrict guest access, reduce occupancy and result in temporary operational constraints. Staff mobility and the supply of essential goods and services may also be affected during severe weather.

Coastal erosion and saline intrusion represent emerging risks for beachfront properties. Higher temperatures increase cooling demand, energy consumption and discomfort associated with outdoor guest activities, particularly at inland and dry-zone properties.

Anticipated Effects

Sea-level rise may affect the usability, infrastructure integrity and value of coastal assets over the long term.

More frequent flooding may result in recurring disruptions, higher maintenance requirements and greater dependence on resilient infrastructure. Changing rainfall and temperature patterns may also alter tourism seasons and destination preferences.

Concentration of the Risk

The risk is concentrated within hotel operations, coastal assets, inland and dry-zone properties, access infrastructure and climate-sensitive supply chains.

Effects on Strategy and Decision-Making

Climate risk is currently addressed mainly through operational responses and business continuity measures. The sector intends to integrate climate adaptation more systematically into capital allocation, site selection, refurbishment and asset-development decisions.

Planned responses include:

- flood protection and improved drainage;
- elevation of critical infrastructure;
- energy-efficient cooling and passive cooling technologies;
- enhanced business continuity and disaster recovery;
- property-level climate vulnerability assessments;
- climate scenario analysis; and
- diversification towards lower-risk locations.

Financial Effects

Current effects may include booking cancellations, reduced occupancy, repair and maintenance expenditure and higher cooling costs. These impacts are presently episodic and have not been identified as materially affecting long-term asset valuations.

Future effects may include greater revenue volatility, higher maintenance and insurance costs, adaptation capital expenditure and possible impairment indicators for beachfront assets.

Climate Resilience

The sector's resilience will depend on property-level adaptation, geographic diversification, adequate insurance, business continuity and the timely integration of climate exposure into investment decisions.

The relevant transitional relief has been applied where a quantitative resilience assessment or scenario analysis has not yet been completed.

Metrics and Targets

Hotels affected by extreme weather events during the reporting period: Nil.

Future indicators may include weather-related closure days, revenue lost from disruptions, adaptation expenditure and the percentage of properties subject to climate-risk assessments.

During the reporting period, Browns Hotels & Resorts completed a comprehensive greenhouse gas (GHG) inventory for five key hotel properties using operational data collected in accordance with internationally recognised GHG accounting principles. Based on the verified results, room-based emission factors were established and applied to estimate greenhouse gas emissions for the remaining operational properties where complete data were not yet available. Using this methodology, the Group's total estimated Scope 1 and Scope 2 GHG emissions for the reporting period were approximately 9,178 tCO_2e. Browns Hotels & Resorts recognises that these estimates will be further refined as data collection systems continue to mature. The Group is committed to expanding property-level GHG quantification and verification across all hotels in future reporting periods to enhance the accuracy, consistency and completeness of its climate-related disclosures.

REGULATORY AND CONDUCT RISK ARISING FROM INCREASING TRANSPARENCY EXPECTATIONS

Nature of the Risk

Increasing expectations for standardised ESG reporting, climate disclosures and compliance with environmental, safety, labour and consumer-protection requirements may increase the sector's compliance obligations.

Failure to comply may result in fines, licence restrictions, reputational damage and reduced customer confidence.

Risk Classification and Time Horizon

Classification: Transition Risk
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

The sector operates within regulatory frameworks governing tourism, environmental management, health and safety, labour practices and consumer protection.

National climate and sustainable-tourism policies are increasingly encouraging lower-carbon, resource-efficient and climate-resilient operating models.

SLFRS S1 and SLFRS S2 are also influencing governance, reporting, data collection and consideration of climate-related matters in investment decisions.

Anticipated Effects

The sector expects greater standardisation of ESG information across properties, suppliers and guest services.

The value chain may require enhanced traceability, environmental data and reporting aligned with recognised sustainable-tourism principles and national certification expectations.

Stronger environmental and waste-management requirements may also accelerate circular-economy practices, sustainable sourcing and reduced reliance on single-use materials.

Concentration of the Risk

The risk is concentrated within compliance, operations, procurement, sustainability reporting and guest-facing communications.

Effects on Strategy and Decision-Making

Strategic decisions currently focus on compliance with tourism, environmental and safety requirements.

Future priorities may include:

- obtaining recognised sustainable-tourism certifications;
- strengthening environmental and labour compliance;
- improving sustainability communication;
- formalising sustainable-material and packaging requirements;
- developing more robust ESG data systems; and
- incorporating climate and sustainability factors into development and refurbishment decisions.

Financial Effects

Current effects primarily comprise data-collection, reporting, certification and compliance expenditure.

Future effects may include additional expenditure on ESG systems, assurance, certifications, waste-management arrangements and supplier engagement. Strong alignment may support investor confidence, sustainable finance and market competitiveness, while non-alignment may create reputational and commercial risks.

Metrics and Targets

Sustainability-related regulatory non-compliances: Nil.

TECHNOLOGICAL OBSOLESCENCE DUE TO GREEN MARKET SHIFTS

Nature of the Risk

Existing hotel infrastructure and systems may become less efficient or competitive as the hospitality industry adopts low-carbon, energy-efficient and sustainability-driven technologies.

Delayed upgrades may result in higher operating costs, reduced market attractiveness and long-term asset value erosion.

Risk Classification and Time Horizon

Classification: Transition risk
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

Sustainability-related technology adoption is progressing through refurbishment programmes, lighting and HVAC upgrades, infrastructure improvements and solar installations at selected properties.

However, these technologies are not yet uniformly embedded across the portfolio.

Anticipated Effects

The sector may need to adopt:

- renewable energy;
- smart energy-management systems;
- digital environmental monitoring;
- green-building principles;
- sustainable procurement;
- low-emission vehicles; and
- energy- and resource-efficient operating technologies.

Failure to keep pace may affect occupancy, pricing power, asset performance and competitiveness.

Concentration of the Risk

The risk is concentrated within property infrastructure, energy systems, refurbishment decisions, transportation and operational technology.

Effects on Strategy and Decision-Making

Current technology investments are mainly driven by maintenance, efficiency and cost considerations.

Future capital allocation is expected to place greater emphasis on smart-building technologies, energy optimisation, low-emission transport and ESG criteria within asset-development and refurbishment decisions.

Additional capability may also be required in sustainable hospitality, digital systems and green technology.

Financial Effects

Current financial effects include capital expenditure on refurbishments and energy-efficiency upgrades and continued exposure to utility-price fluctuations.

Future effects may include higher capital expenditure, depreciation and implementation costs. Over time, efficient technologies may reduce operating costs, improve energy-price stability and strengthen market positioning.

Metrics and Targets

Assets relocated or abandoned due to carbon-related regulations: Nil.

The sector is developing additional indicators for the percentage of properties using energy-efficient technology and the financial benefits achieved through efficiency improvements.

CONSUMER SHIFT TOWARDS GREEN HOSPITALITY

Nature of the Risk

Travellers, corporate customers and travel platforms increasingly prefer environmentally responsible and sustainability-certified accommodation.

Properties that do not meet these expectations may experience reduced demand, weaker pricing power and lower competitiveness.

Risk Classification and Time Horizon

Classification: Transition and market risk
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

The sector has introduced energy-efficiency initiatives, selected solar installations and conservation activities. These initiatives support brand perception, although sustainability is not yet consistently positioned as a core customer proposition across all properties.

Guest offerings and marketing remain predominantly driven by location, comfort and price.

Anticipated Effects

Demand is expected to shift towards measurable sustainability performance, certified accommodation and authentic nature- and wellness-based experiences.

The sector may need to:

- expand environmental certification;
- increase renewable-energy use;
- embed sustainability in guest experiences;
- strengthen sustainable sourcing;
- improve communication of environmental credentials; and
- integrate sustainability into brand and marketing strategies.

Concentration of the Risk

The risk is concentrated within marketing, product development, customer experience, property positioning and the supplier value chain.

Effects on Strategy and Decision-Making

Sustainability is currently considered mainly through corporate responsibility and efficiency initiatives.

Future strategy may include repositioning selected properties as sustainable destinations, pursuing recognised certifications and incorporating customer sustainability expectations into investment, pricing and product-development decisions.

Financial Effects

Current effects are limited and indirect, including modest sustainability expenditure and brand benefits.

Short-term investments may be required for property enhancements, certification and marketing. In the medium and long term, proactive alignment may support occupancy, pricing power, customer loyalty and asset values. Properties that fail to adapt may face declining relevance and value erosion.

Metrics and Targets

The amount of revenue attributable to green-marketing or sustainability-positioned initiatives has not yet been quantified. Management is currently compiling the relevant data and developing supporting methodologies and controls.

Plantations Sector

The Plantations sector is highly dependent on climate conditions, natural resources, workforce availability and access to international markets. Physical climate events, policy changes and stakeholder expectations may affect crop productivity, infrastructure, operating costs and market access.

DISRUPTION OF OPERATIONS DUE TO EXTREME WEATHER EVENTS

Nature of the Risk

Plantation operations in Ratnapura, Nuwara Eliya and other central highland and wet-zone locations are exposed to extreme rainfall, flooding, landslides, cyclonic conditions and rising temperatures.

These events may disrupt harvesting, transportation, workforce mobility and crop productivity.

Risk Classification and Time Horizon

Classification: Acute and chronic physical risk
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

Heavy rainfall affects harvesting schedules, estate roads, drainage systems and transport. Riverine flooding may restrict access to estates, while intense rainfall in elevated regions contributes to soil erosion, slope instability and landslides.

Road blockages may temporarily isolate estate divisions and delay logistics and harvesting. Cyclonic conditions may damage infrastructure, utilities and crops.

Higher temperatures and dry periods may also affect field-worker productivity, water requirements, crop condition and pest prevalence.

Anticipated Effects

Increasing rainfall variability may heighten flood and landslide risk, increase maintenance requirements and disrupt transportation.

Rising temperatures may affect cultivation patterns, yields, labour productivity and water availability. Maintaining productivity may require climate-smart agriculture, slope stabilisation, improved drainage and more resilient infrastructure.

Concentration of the Risk

The risk is concentrated within plantation land, crop areas, estate roads, drainage systems, processing infrastructure and workforce activities.

Effects on Strategy and Decision-Making

Current management is focused on emergency response, worker safety and operational continuity.

Future adaptation may include:

- improved drainage and flood mitigation;
- slope stabilisation and retaining structures;
- resilient estate roads;
- weather monitoring and early-warning systems;
- soil conservation and water management;
- climate-resilient crop practices; and
- stronger disaster recovery arrangements.

Financial Effects

Current effects include production losses from delayed harvesting, repair and maintenance costs, adaptation expenditure and higher insurance-related costs.

Future effects may include increased operating expenditure, crop losses, reduced

productivity, higher infrastructure investment and additional insurance costs.

Metrics and Targets

The proposed metric is the amount of crops affected by extreme weather events. Management is currently compiling the relevant data and establishing the required methodology and controls.

Policy and Regulatory Risk

Nature of the Risk

Evolving environmental, agricultural, labour and sustainability regulations may increase compliance obligations and operational complexity.

Changes relating to agrochemical use, emissions, traceability, labour practices and ESG disclosure may affect operating costs and access to export markets.

Risk Classification and Time Horizon

Classification: Transition risk
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

The sector is subject to environmental, agricultural, labour, food-safety and export requirements. These affect cultivation practices, workforce management, manufacturing, quality assurance and traceability.

International certifications, including Rainforest Alliance and relevant ISO, HACCP, GMP and FSSC standards, support market access and operational control.

Renewable-energy investments provide a degree of energy resilience and reduce reliance on conventional energy sources.

Anticipated Effects

Stricter regulation may require enhanced control over agrochemicals, emissions, traceability and sustainability data.

The sector may need to accelerate low-chemical, regenerative and climate-smart agricultural practices and strengthen digital monitoring systems to maintain access to premium export markets.

Concentration of the Risk

The risk extends across cultivation, procurement, processing, workforce management, certification, logistics and export activities.

Effects on Strategy and Decision-Making

The sector currently monitors policy developments and maintains national and international certifications.

Future strategy may include:

- expanding sustainable or organic cultivation;
- increasing certification coverage;
- strengthening renewable-energy capability;
- investing in traceability and monitoring systems; and
- incorporating regulatory scenarios into long-term planning.

Financial Effects

Current financial effects include certification, audit, regulatory reporting, monitoring and training expenditure.

Future effects may include higher compliance and reporting costs and capital expenditure on traceability, digital systems and sustainable farming. Strong alignment may reduce penalties and support continued access to export markets.

Metrics and Targets

Regulatory cases against Plantation sector companies: Nil.

INCREASED STAKEHOLDER ESG EXPECTATIONS

Nature of the Risk

Investors, customers, regulators, certification bodies and export markets increasingly expect sustainable sourcing, climate action, workforce welfare, biodiversity protection, traceability and transparent ESG reporting.

Failure to meet these expectations may affect reputation, market access and competitiveness.

Risk Classification and Time Horizon

Classification: Transition and reputational risk
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

Current responses include soil conservation, agroforestry, integrated pest management, water management, renewable energy and reforestation initiatives such as the Browns Roots Project.

Export customers are increasingly requesting evidence of sustainable sourcing, labour practices, environmental stewardship and supply-chain transparency.

Anticipated Effects

Sustainability performance may become a more significant determinant of market access, pricing and competitiveness.

The sector may need to expand biodiversity initiatives, traceability, climate-smart agriculture, renewable energy, emissions management and sustainability disclosures.

Concentration of the Risk

The risk is concentrated across cultivation, processing, sourcing, workforce practices, export relationships and sustainability reporting.

Effects on Strategy and Decision-Making

Current strategic responses include certification, community programmes, environmental stewardship and ethical workforce practices.

Future actions may include clearer climate targets, stronger ESG governance, deforestation-free sourcing, improved traceability and more structured stakeholder engagement.

Financial Effects

Current expenditure relates to sustainability initiatives, certifications, audits, environmental management, community programmes and workforce welfare.

Future expenditure may arise from ESG systems, traceability, emissions reduction

and climate-smart technologies. Strong performance may support premium markets and sustainable financing, while weak performance may result in reputational and commercial pressure.

Metrics and Targets

The Group has not established specific metrics and targets for the current reporting period. The Group is currently strengthening its data collection, monitoring and internal reporting processes and intends to develop appropriate metrics and targets during the next reporting period. These metrics and targets will be designed to support the consistent measurement, monitoring and management of the relevant sustainability- and climate-related risks and opportunities.

SHIFT IN CONSUMER PREFERENCES TOWARDS SUSTAINABLE PRODUCTS

Nature of the Opportunity

Growing demand for low-carbon, sustainably produced and ethically sourced agricultural products may create opportunities to strengthen brand value, access premium markets and improve pricing.

Classification and Time Horizon

Classification: Transition opportunity
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

Renewable-energy investments, sustainable cultivation, integrated pest management, soil conservation and reforestation support the sector's sustainability credentials.

These activities also contribute to energy resilience, reduced chemical dependency and alignment with certification requirements.

Anticipated Effects

The sector may expand renewable energy, low-emission machinery, sustainable cultivation, product traceability and specialty agricultural products.

Verified sustainability performance may become increasingly important for access to European and other premium export markets.

Effects on Strategy and Decision-Making

Low-carbon initiatives are presently considered through operational efficiency, certification and environmental stewardship.

Future strategy may place greater emphasis on renewable energy, carbon sequestration, climate-smart cultivation and scenario-informed capital allocation.

Financial Effects

Current effects include expenditure on renewable-energy maintenance, reforestation, land management and sustainable cultivation. These costs may be partly offset by lower energy expenditure.

In the short to medium term, higher investment may increase depreciation, funding requirements and implementation costs. Over the longer term, these activities may improve efficiency, pricing, export access and revenue stability.

Metrics and Targets

The Group has not established specific metrics and targets for the current reporting period. The Group is currently strengthening its data collection, monitoring and internal reporting processes and intends to develop appropriate metrics and targets during the next reporting period. These metrics and targets will be designed to support the consistent measurement, monitoring and management of the relevant sustainability- and climate-related risks and opportunities.

Manufacturing and Trading Sector

The Manufacturing and Trading sector is exposed to physical disruptions, environmental regulation, technological transition and changing demand for sustainable products.

DISRUPTION OF OPERATIONS DUE TO EXTREME WEATHER EVENTS

Nature of the Risk

Floods, landslides, cyclones and severe storms may damage manufacturing facilities, warehouses and distribution infrastructure.

Extreme heat may affect workforce productivity, occupational health and safety, energy consumption, machinery performance and temperature-sensitive products.

Risk Classification and Time Horizon

Classification: Acute and chronic physical risk
Time horizon: Short, medium and long term

Effects on the Business Model and Value Chain

Current effects may include disruption to production, warehousing, logistics, workforce availability and delivery of raw materials.

Future increases in weather severity may create recurring supply-chain disruption, higher cooling demand and additional pressure on facilities and equipment.

The risk is concentrated within production, warehousing, logistics and critical suppliers.

Effects on Strategy and Decision-Making

Current responses are largely operational and reactive.

Future priorities may include:

- flood mitigation and improved drainage;
- elevated or resilient facilities;
- passive cooling and energy-efficient equipment;
- diversified sourcing;
- climate-risk assessment in site selection and capital allocation; and
- climate forecasting for maintenance and operational planning.

Financial Effects

Current effects may include maintenance, insurance, productivity losses, additional logistics costs, cooling costs and asset restoration.

Future effects may include increased capital expenditure, higher operating costs, asset impairment or replacement and lost revenue from production interruption.

Metrics and Targets

The Group has not established specific metrics and targets for the current reporting period. The Group is currently strengthening its data collection, monitoring and internal reporting processes and intends to develop appropriate metrics and targets during the next reporting period. These metrics

and targets will be designed to support the consistent measurement, monitoring and management of the relevant sustainability- and climate-related risks and opportunities.

Policy and Regulatory Risk

Nature of the Risk

Evolving requirements concerning environmental permits, emissions, waste management, packaging, product stewardship and sustainability reporting may increase compliance costs and affect product design, sourcing and market access.

Risk Classification and Time Horizon

Classification: Transition risk
Time horizon: Short, medium and long term

Effects on the Business Model and Value Chain

Current regulations influence plant design, manufacturing processes, waste management, packaging materials, supplier selection and import portfolios.

Restrictions on selected plastic and polythene products have driven changes in packaging. Emerging Extended Producer Responsibility requirements may further increase responsibility for collection, recycling and end-of-life management.

Future climate and environmental policies may require cleaner production, energy efficiency, packaging redesign, reverse logistics and stronger sustainability data.

The risk is concentrated within operations, product development, procurement, packaging, logistics and compliance.

Effects on Strategy and Decision-Making

Current processes focus on maintaining permits, monitoring regulatory requirements and incorporating compliance into sourcing and operational decisions.

Future priorities may include:

- sustainable packaging;
- recycled and alternative materials;
- collaboration with recyclers;
- cleaner and energy-efficient technology;
- emissions reduction;
- ESG data systems; and
- stronger consideration of nature- and biodiversity-related dependencies.

Financial Effects

Current effects include expenditure on permits, monitoring, certifications, waste management, training and environmental controls.

Future requirements may increase capital expenditure on clean technologies and environmental infrastructure and operating expenditure on reporting, supplier assessments and product stewardship.

Failure to comply may result in fines, legal costs, disruption or loss of market access.

Metrics and Targets

The Group has not established specific metrics and targets for the current reporting period. The Group is currently strengthening its data collection, monitoring and internal reporting processes and intends to develop appropriate metrics and targets during the next reporting period. These metrics and targets will be designed to support the consistent measurement, monitoring and management of the relevant sustainability- and climate-related risks and opportunities.

MARKET TRANSITION TOWARDS LOW-CARBON TECHNOLOGIES

Nature of the Risk

The transition towards low-carbon products and technologies may affect the competitiveness of businesses that do not adapt their product portfolios, operations and supply chains.

Risk Classification and Time Horizon

Classification: Transition and market risk
Time horizon: Medium and long term

Effects on the Business Model and Value Chain

The sector is introducing renewable-energy and energy-efficient products, including off-grid solar solutions, paperless warranty processes, solar water pumps and sustainable manufacturing practices.

Future opportunities may arise from advanced batteries, climate-smart agricultural products, graphene-enhanced materials, bio-based ingredients and other efficient technologies.

Failure to adapt may affect customer retention, supplier relationships, export opportunities and market share.

Effects on Strategy and Decision-Making

The sector monitors technology developments through supplier relationships, market intelligence and partnerships.

Future priorities may include:

- research and commercialisation of advanced materials;
- expanded renewable-energy generation;
- low-carbon product development;
- strategic partnerships with technology providers;
- energy-efficient machinery;
- stronger research and development; and
- inclusion of sustainability criteria in capital allocation and product decisions.

Financial Effects

Current effects relate to product development, supplier partnerships, technical capability and sustainable-technology investments.

Future effects may include increased capital expenditure, employee training and operating expenditure on new systems and sustainability assessments.

Successful adaptation may support revenue growth and competitiveness, while delayed adaptation may reduce market share and profitability.

Metrics and Targets

The Group has not established specific metrics and targets for the current reporting period. The Group is currently strengthening its data collection, monitoring and internal reporting processes and intends to develop appropriate metrics and targets during the next reporting period. These metrics and targets will be designed to support the consistent measurement, monitoring and management of the relevant sustainability- and climate-related risks and opportunities.

MARKET GROWTH DRIVEN BY SUSTAINABILITY-ORIENTED CUSTOMER AND STAKEHOLDER EXPECTATIONS

Nature of the Opportunity

Demand for energy-efficient, low-carbon and environmentally responsible products may support market expansion and strengthen stakeholder relationships.

Classification and Time Horizon

Classification: Transition opportunity
Time horizon: Short, medium and long term

Effects on the Business Model and Value Chain

Customer decisions increasingly consider energy efficiency, operating-cost savings and environmental performance.

Suppliers and international principals are also incorporating sustainability into distributor relationships and product strategies. Investors and lenders increasingly consider sustainability performance in financing decisions.

Future demand may support natural ingredients, climate-smart agricultural products, sustainable building materials, efficient systems, advanced battery solutions and water-treatment technologies.

Effects on Strategy and Decision-Making

Current product development considers customer demand, technology trends and supplier innovation.

Future strategy may give greater priority to products supporting decarbonisation, resource efficiency, sustainable construction and renewable energy.

Enhanced disclosures and emissions reporting may improve access to capital, strategic partnerships and new business opportunities.

Financial Effects

Current sustainability-aligned products contribute to customer retention, differentiation and revenue diversification in selected business areas.

Future growth may support revenue, market share and profitability. Additional investment may be required for product development and operational improvements.

Metrics and Targets

Metrics are being developed for revenue from sustainability-aligned products, customer demand for low-carbon products and investment in sustainable product development.

Long-term and General Insurance Sector

The Insurance sector is exposed to physical climate risk through claims and operational disruption, and to transition risk through regulation and changing customer expectations. It also has opportunities to expand climate-resilient and low-carbon insurance solutions.

DISRUPTION OF OPERATIONS AND INCREASED CLAIMS DUE TO EXTREME WEATHER

Floods, landslides, cyclones and extreme heat may disrupt branches, delay transactions and increase claims across motor, property, fire, travel and other insurance products.

Risk Classification and Time Horizon

Classification: Acute and chronic physical risk
Time horizon: Short, medium and long term

EFFECTS ON THE BUSINESS MODEL AND VALUE CHAIN

Current Effects

Weather-related disruption may delay policy issuance, premium collection and claims settlement.

Resources may need to be redirected towards emergency claims, affecting normal service delivery. Extreme weather may also increase claims across motor, travel and fire portfolios.

Extreme heat may contribute to vehicle component failures, health-related travel claims, property fire risk and reduced employee productivity.

Anticipated Effects

More frequent weather events may require changes to product design, pricing, underwriting and claims management.

Customers in affected sectors may experience difficulty paying premiums, resulting in delayed collections, policy lapses or requests for flexible payment arrangements.

Demand may increase for flood, renewable-energy, resilient-property and other climate-related insurance products.

Concentration of the Risk

The risk is concentrated within underwriting, claims management, branch operations, reinsurance and climate-exposed investment and insurance portfolios.

Effects on Strategy and Decision-Making

The sector plans to:

- strengthen business continuity and disaster recovery;
- provide prompt support to affected policyholders;
- integrate physical climate risk into underwriting and pricing;
- review workflows affected by extreme heat;
- expand digital claims and policy-administration systems;
- use scenario analysis and stress testing; and
- strengthen reinsurance and catastrophe-risk transfer.

Financial Effects

Current effects include higher claims expenses, underwriting costs, operational expenditure and possible delays in premium collection.

During 2025, the Company settled 154 motor claims relating to floods and other natural perils, excluding Cyclone Ditwah, at a cost of approximately LKR 13 million.

As at 31 March 2026, gross claims exposure from Cyclone Ditwah was estimated at LKR 6.3 billion, comprising:

- **894 non-motor claims** amounting to approximately **LKR 6.0 billion;** and
- **2,262 motor claims** amounting to approximately **LKR 300 million**.

Under the excess-of-loss reinsurance arrangement, catastrophe cover is available up to LKR 6 billion, with the Company retaining LKR 100 million for claims within this limit. Amounts above the cover limit are borne by the Company. An additional reinstatement premium of LKR 651 million was payable in relation to the Ditwah event.

Future effects may include higher claims, reinsurance premiums, capital requirements and expenditure on resilient digital infrastructure.

Climate Resilience

The sector's resilience is supported by reinsurance, digital service channels, claims-management capability and business continuity arrangements.

Future resilience assessments may consider severe-weather claims, catastrophe accumulations, reinsurance adequacy, branch disruption and the effect of climate change on underwriting assumptions.

Metrics and Targets

Key metrics include:

- non-Ditwah weather-related motor claims: 154 claims;
- associated claim cost: approximately Rs. 13 million;
- Cyclone Ditwah gross claim exposure: Rs. 6.3 billion;
- catastrophe reinsurance cover: Rs. 6 billion;
- Company retention within the cover: Rs. 100 million; and
- reinstatement premium: Rs. 651 million.

INCREASE IN CLIMATE-RELATED REGULATION

Nature of the Risk

Evolving climate disclosure, emissions-management and regulatory requirements may increase compliance costs and affect underwriting, investments, products and governance.

Risk Classification and Time Horizon

Classification: Transition risk
Time horizon: Short, medium and long term

Effects on the Business Model and Value Chain

The sector is subject to insurance regulation, ESG reporting and SLFRS S1 and SLFRS S2 requirements.

Future regulations, including mandatory climate disclosures, emissions requirements and low-carbon standards, may require changes to pricing, underwriting and investment criteria.

Demand may also increase for insurance aligned with climate-resilient and low-carbon activities.

Effects on Strategy and Decision-Making

The sector monitors regulatory developments and is progressively integrating ESG considerations into risk assessments and underwriting.

Future strategy may include:

- strengthening climate governance;
- integrating climate and carbon considerations into underwriting and investments;
- enhancing climate data and reporting systems; and
- developing products aligned with new regulatory requirements.

Financial Effects

Current effects are primarily internal reporting, data collection and consultancy costs.

Compliance expenditure is expected to increase as reporting, governance and product-related requirements become more stringent.

Metrics and Targets

The Group has not established specific metrics and targets for the current reporting period. The Group is currently strengthening its data collection, monitoring and internal reporting processes and intends to develop appropriate metrics and targets during the next reporting period. These metrics and targets will be designed to support the consistent measurement, monitoring and management of the relevant sustainability- and climate-related risks and opportunities.

TRANSITIONING TOWARDS CLIMATE-RESILIENT AND LOW-CARBON INSURANCE SOLUTIONS

Nature of the Opportunity

Climate-resilient and low-carbon insurance products may enable the sector to respond to changing customer needs and create new sources of sustainable growth.

Classification and Time Horizon

Classification: Transition opportunity
Time horizon: Short, medium and long term

Effects on the Business Model and Value Chain

Current products such as LOLC Suraki Piyasa and LOLC Business Insurance – My Solar demonstrate initial integration of natural-disaster and renewable-energy considerations.

Future growth opportunities may include:

- electric-vehicle insurance;
- renewable-energy insurance;
- green-building coverage;
- climate-risk travel insurance;
- resilient-property insurance; and
- products supporting low-carbon businesses.

The value chain may increasingly incorporate climate data, risk-based underwriting, sustainable investments and strategic partnerships.

Effects on Strategy and Decision-Making

The sector plans to integrate ESG and climate considerations more broadly into capital allocation, product development, underwriting and portfolio management.

Scenario analysis, climate stress testing, data-driven underwriting, reinsurance and partnerships may support product development and risk transfer.

Employee and management training will support climate-risk literacy and implementation.

Financial Effects

Current effects include expenditure on product development, climate data, system upgrades, training and ESG capability. Market demand for new products may initially be uncertain.

Over the medium and long term, climate-aligned products may generate additional premium income, diversify the portfolio and strengthen profitability and capital resilience.

Metrics and Targets

The Group has not established specific metrics and targets for the current reporting period. The Group is currently strengthening its data collection, monitoring and internal reporting processes and intends to develop appropriate metrics and targets during the next reporting period. These metrics and targets will be designed to support the consistent measurement, monitoring and management of the relevant sustainability- and climate-related risks and opportunities.

Events after the reporting period

No transactions, other events or conditions occurring after the end of the reporting period and before the date of authorisation of issue of this report have taken place that need to be disclosed in this sustainability report.

APPENDIX I: TRANSITION RELIEFS

	Description	Transition relief under the IFRS Sustainability Disclosure Standards	Transition relief applied in the Report?
A	Relief from disclosing comparative information	Entities are not required to provide the disclosures specified in IFRS S1 for any period before the date of initial application. Accordingly, applicable entities are not required to disclose comparative information in the first annual reporting period in which it applies SLFRS S1. [SLFRS S1 Appendix E3] A similar relief is available in SLFRS S2 where applicable entities are not required to provide the disclosures specified in SLFRS S2 for any period before the date of initial application. Accordingly, applicable entities are not required to disclose comparative information in the first annual reporting period in which it applies SLFRS S2.	Yes
B	Relief from reporting sustainability- related financial disclosures at the same time as the related financial statements	In the first annual reporting period in which an entity applies SLFRS S1, the entity is permitted to report its sustainability-related financial disclosures after it publishes its related financial statements. In applying this transition relief, an entity shall report its sustainability-related financial disclosures: (a) at the same time as its next second- quarter or half-year interim general purpose financial report, if the entity is required to provide such an interim report; (b) at the same time as its next second- quarter or half-year interim general purpose financial report, but within nine months of the end of the annual reporting period in which the entity first applies SLFRS S1, if the entity voluntarily provides such an interim report; or (c) within nine months of the end of the annual reporting period in which the entity first applies SLFRS S1, if the entity is not required to and does not voluntarily provide an interim general purpose financial report [SLFRS S1 Appendix E4]	No

	Description	Transition relief under the IFRS Sustainability Disclosure Standards	Transition relief applied in the Report?
C	Relief from reporting information about sustainability- related risks and opportunities beyond climate-related risks and opportunities	In the first annual reporting period in which an entity applies SLFRS S1, the entity is permitted to disclose information on only climate-related risks and opportunities (in accordance with SLFRS S2) and consequently apply the requirements in SLFRS S1 only insofar as they relate to the disclosure of information on climate-related risks and opportunities. If an entity uses this transition relief, it shall disclose that fact. [SLFRS S1 Appendix E5] If an entity uses the transition relief in paragraph E5: (a) in the first annual reporting period in which the entity applies SLFRS S1, it is not required to disclose comparative information about its climate-related risks and opportunities; and (b) in the second annual reporting period in which the entity applies SLFRS S1, it is not required to disclose comparative information about its sustainability- related risks and opportunities, other than its climate-related risks and opportunities. [SLFRS S1 Appendix E6]	Yes
D	Measurement method other than the GHG Protocol can be used to measure Scope 1, Scope 2 and Scope 3 GHG emissions	In the first annual reporting period in which an entity applies SLFRS S2, if, in the annual reporting period immediately preceding the date of initial application of SLFRS S2, the entity used a method for measuring its GHG emissions other than the Greenhouse Gas Protocol: A Corporate Accounting and Reporting Standard (2004), the entity is permitted to continue using that other method. [SLFRS S2 Appendix C4(a)] If an entity uses the relief in paragraph above, the entity is permitted to continue to use that relief for the purposes of presenting that information as comparative information in subsequent reporting periods. [SLFRS S2 Appendix C5]	Yes
E	Relief from disclosing Scope 3 GHG emissions	In the first two annual reporting periods in which an entity applies SLFRS S2, the entity is not required to disclose its Scope 3 GHG emissions which includes, if the entity participates in asset management, commercial banking or insurance activities, the additional information about its financed emissions. [SLFRS S2 Appendix C4(b)] If an entity uses the relief in the above paragraph, the entity is permitted to continue to use that relief for the purposes of presenting that information as comparative information in subsequent reporting periods. [SLFRS S2 Appendix C5]	Yes
F	Relief on disclosing climate-related scenario analysis	In the first two annual reporting periods in which an entity applies SLFRS S2, the entity is not required to disclose information on conducting a climate-related scenario analysis. [SLFRS S2 Para 22]	Yes
G	Relief on disclosing anticipated financial effects	In the first two annual reporting periods in which an entity applies SLFRS S2, the entity is not required to disclose information anticipated financial effects. [SLFRS S2 Para 15(b)]	Yes

Enterprise Risk Management

BUILDING RESILIENCE AND ENABLING SUSTAINABLE GROWTH

As a diversified multinational conglomerate operating across financial services, insurance, microfinance, leasing, agriculture and plantations, hospitality, manufacturing, technology, construction, mining and strategic investments, LOLC Holdings PLC operates in an increasingly dynamic and interconnected risk environment. The Group's Enterprise Risk Management (ERM) framework plays a critical role in safeguarding value, strengthening resilience, supporting informed decision-making and enabling the successful execution of our strategic objectives across multiple jurisdictions.

During the financial year 2025/26, the Group continued to enhance its risk management practices to address evolving economic, geopolitical, technological, environmental and regulatory developments. The Board of Directors and management remained committed to fostering a robust risk culture that promotes accountability, transparency, proactive risk identification and effective risk-based decision-making across all business sectors.

RISK GOVERNANCE FRAMEWORK

The Group's risk governance framework is designed to ensure effective oversight, independent challenge and consistent risk management practices throughout the organisation. The Board of Directors retains ultimate responsibility for overseeing the Group's risk profile. Supporting the Board in this responsibility is the Integrated Risk Management Committee (IRMC), which provides oversight of risk governance, risk appetite, emerging risks, resilience and the effectiveness of the ERM framework.

The Enterprise Risk Management function provides independent oversight and monitoring of key risk exposures across the Group. Through continuous engagement with subsidiary management teams, risk committees and Board structures, the Group maintains a consolidated view of material risks and emerging threats affecting its operations.

The Group continues to adopt the internationally recognised Three Lines Defence Model, ensuring clear segregation of responsibilities between risk ownership, risk oversight and independent assurance. This framework strengthens governance and enhances accountability across all levels of the organisation.

RISK MANAGEMENT APPROACH

Risk management at LOLC is fully integrated into strategic planning, capital allocation, investment decisions, operational activities, performance management and corporate governance processes. The Group employs a structured and disciplined approach to identifying, assessing, mitigating, monitoring and reporting risks that may impact the achievement of strategic and operational objectives.

Risk assessments are conducted across all business sectors and geographies, taking into consideration both internal and external factors. Material risks are evaluated based on their likelihood and potential impact, enabling management to prioritise resources and implement appropriate mitigation strategies. Risk registers are maintained and reviewed regularly, while key risk indicators provide early warning signals of emerging risk trends.

The Group's risk management process encompasses strategic, financial, operational, technological, compliance, ESG, reputational and country-specific risks, reflecting the diversified nature of its business portfolio.

RISK APPETITE AND RISK CULTURE

The Group's Risk Appetite Framework provides guidance on the nature and extent of risks that the organisation is willing to undertake in pursuit of sustainable growth and long-term value creation. The framework supports an appropriate balance between risk and reward while ensuring that risk-taking activities remain aligned with the interests of shareholders, customers, regulators, employees, and other stakeholders.

LOLC maintains a moderate appetite for strategic initiatives, expansion opportunities, digital transformation, innovation and investments that support sustainable growth. At the same time, the Group maintains a very low appetite for regulatory, compliance, conduct and reputational risks, and a zero-tolerance approach towards fraud, bribery, corruption, money laundering, terrorist financing and deliberate misconduct.

Embedding a strong risk culture remains a key strategic priority. Management continues to promote risk awareness through communication, training programmes, awareness initiatives and ongoing engagement with employees throughout the Group. This supports informed decision-making and strengthens accountability at every level of the organisation.

KEY RISK FOCUS AREAS DURING THE YEAR

Throughout the year, the Group has closely monitored several significant risk themes that have the potential to influence business performance and long-term sustainability.

ECONOMIC AND MARKET RISK

Global economic uncertainty, inflationary pressures, interest rate movements, currency volatility and geopolitical developments continued to influence the operating environment. The Group maintained close oversight of market developments and strengthened monitoring mechanisms to assess potential impacts on profitability, liquidity, asset quality and investment performance.

CREDIT AND FINANCIAL RISK

Given the Group's significant presence in financial services operations across multiple markets, ongoing attention was directed towards credit quality, concentration risk, liquidity management, capital adequacy and foreign exchange exposures. Subsidiaries continued to monitor portfolio quality and maintain prudent risk management practices in line with approved Board parameters.

TECHNOLOGY AND CYBERSECURITY RISK

The growing reliance on digital platforms, technology-enabled services and data-driven operations continues to elevate cybersecurity risks globally. The Group maintained a low appetite for cybersecurity incidents and continued to strengthen information security controls, monitoring capabilities, cyber resilience measures and governance arrangements to protect customer information, business systems and digital infrastructure.

REGULATORY AND COMPLIANCE RISK

As a multinational organisation operating across multiple sectors and jurisdictions, the Group is exposed to a complex and evolving regulatory landscape. Continuous monitoring of regulatory developments, enhanced compliance oversight and close engagement with business units enabled the Group to manage compliance obligations effectively while supporting business growth.

ESG AND SUSTAINABILITY RISK

Environmental, Social and Governance (ESG) considerations remain an integral component of the Group's risk management framework. Climate-related risks, environmental impacts, stakeholder expectations, workforce wellbeing, responsible business practices and governance standards are continuously assessed within the Group's broader strategic and risk management processes.

The FY2025/26 financial year was shaped by a dynamic risk landscape characterised by global economic uncertainty, foreign exchange volatility, evolving regulatory requirements, cybersecurity threats, adverse weather patterns and increasing sustainability expectations. Against this backdrop, LOLC Holdings PLC continued to demonstrate resilience through disciplined risk management practices, strong governance structures and a highly diversified business portfolio. While macroeconomic and market-related risks influenced operating conditions across certain jurisdictions, proactive portfolio management, prudent capital and liquidity oversight, enhanced compliance frameworks and strengthened technology controls enabled the Group to effectively manage emerging challenges.

COMBINED ASSURANCE AND INDEPENDENT OVERSIGHT

The Group continues to strengthen its Combined Assurance Framework to ensure that material risks are subject to independent and coordinated assessment. Assurance is provided through management oversight, the Enterprise Risk Management function, compliance functions, Internal Audit, external auditors, regulatory reviews and specialist independent assessments where appropriate.

Internal Audit serves as the independent third line of assurance and provides objective evaluation of governance processes, risk management practices, internal controls and regulatory compliance. Significant findings and recommendations are reported to the Audit Committee to support continuous improvement across the control environment.

LOOKING AHEAD

As the Group continues its expansion across international markets and business sectors, risk management will remain a fundamental enabler of sustainable growth and long-term value creation. The Board and management are committed to continuously enhancing the Enterprise Risk Management Framework to address emerging risks, strengthen resilience, support strategic ambitions and protect stakeholder interests.

LOLC Holdings PLC remains confident that its strong governance framework, disciplined risk management practices, and risk-aware culture position the Group to successfully navigate uncertainty, capture opportunities and deliver sustainable value to all stakeholders in the years ahead.

CREATING VALUE FOR SUSTAINABLE GROWTH

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Financial Calendar

1st Quarter Results 2025/2026 released on	15th August 2025
2nd Quarter Results 2025/2026 released on	14th November 2025
3rd Quarter Results 2025/2026 released on	13th February 2026
4th Quarter Results 2025/2026 released on	29th May 2026
Annual Report for 2025/2026 released on	28th August 2026
47th Annual General Meeting in	24th September 2026

PROPOSED FINANCIAL CALENDAR 2026/27

1st Quarter Results 2026/2027 released on	14th August 2026
2nd Quarter Results 2026/2027 will be released on	13th November 2026
3rd Quarter Results 2026/2027 will be released on	12th February 2027
4th Quarter Results 2026/2027 will be released on	28th May 2027
Annual Report for 2026/2027 will be released in	August 2027
48th Annual General Meeting in	September 2027

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INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF LOLC HOLDINGS PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of LOLC Holdings PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2026, and the statement of profit or loss, the statement of comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements of the Company and the consolidated financial statements of the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2026, and of their financial performance and their cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company and the Group in accordance with the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka ("CA Sri Lanka Code of Ethics") and we have fulfilled our other ethical responsibilities in accordance with the CA Sri Lanka Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

The Group

Key audit matter	How our audit addressed the Key audit matter
Allowance for expected credit losses on advances and loans to customers Refer accounting policy section 3.4.3 impairment losses on financial assets and Notes 21 and 22 to the financial statements. As at 31 March 2026, total gross amount of rentals receivable on lease assets, advances and loans, factoring receivable and margin trading receivable amounted to Rs. 1,119Bn, with a total allowance for impairment of Rs. 59Bn. Total net amount of loans and advances represent 46% of the total assets. Management's estimates relating to credit losses are highly subjective as a result of the significant uncertainty and judgement associated with the estimation of expected future credit losses. The complex assumptions in respect of the timing and measurement of expected credit losses (ECL), involved in this process include: • Determination of what constitutes significant increase in credit risk, and timely allocation of qualifying assets to the appropriate stage in accordance with SLFRS 9.	The audit procedures performed to assess the adequacy of the allowance for expected credit losses on rentals receivable on lease assets, advances and loans, and factoring receivable , included the following: • Obtained understanding, evaluated, and tested the design of key controls in lending and credit risk mitigation process; • Assessed the appropriateness of the criteria used by management to determine whether customer credit exposures show significant increase in credit risk or are impaired; • Assessed the appropriateness of the design and implementation of the ECL model; including the reasonableness of significant judgements made and assumptions used by management which included, cash flow estimates, discount rates, expected recoveries when defaults occur and management overlays; • Checked the reasonability of the macro-economic and other forward-looking variables used by management, by comparing those against reliable publicly available information;

C S Manoharan FCA, **T U Jayasinghe** FCA, **M D B Boyagoda** FCA, **H A C H Gunarathne** FCA, **M P M T Gunasekara** FCA, **N R Gunasekera** FCA, **M S J Henry** FCA, **M M R Hilmy** FCA, **H P V Lakdeva** FCA, **K M D R P Manatunga** ACA, **M M M Manzeer** FCA, **L A C Tillekeratne** ACA, **D C A J Yapa** ACA

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Key Audit Matters (Contd)

The Group (Contd)

Key audit matter	How our audit addressed the Key audit matter
• Modelling assumptions and data used to develop and run the models that calculate the ECL. • Judgements involved in the determination of the appropriateness of economic factors as forward-looking variables and the future forecasting of these variables. • Appropriateness, completeness and valuation of management overlays introduced to capture risks not identified by the impairment models. Measurement of provisioning for individually significant exposures including the assessment of expected future cashflows and the timing of these cashflows, probability weighting of cashflow scenarios and collateral valuations. The impairment of advances and loans to customers using the ECL model was considered as a key audit matter due to: • The complex calculations with key variables used in the ECL model requiring significant management judgment and the use of assumptions; and • The magnitude of the reported amounts of advances and loans to customers and the impairment allowances thereof.	• Checked the underlying calculations and data on a sample basis for accuracy and completeness; and • Assessed the adequacy of impairment related disclosures in the financial statements.
Valuation of consumable biological assets Refer to notes 29 of the consolidated financial statements for disclosures of related accounting policies, judgments, estimates and movements in the balance. The Group's consumable biological assets recognised in the consolidated financial statements amounted to Rs. 26.5Bn as at 31 March 2026 and the gains on change in fair values of such biological assets amounted to Rs. 5Bn Mn for the year then ended. Consumable biological assets that are to be harvested as agricultural produce or sold as biological assets are stated at fair value less estimated point-of-sale cost at harvest. Management engaged internal and independent external valuation experts to assist them in determining the fair value of the consumable biological assets. We considered the valuation of consumable biological assets as a key audit matter because of the following: • it requires significant levels of judgment and technical expertise in selecting appropriate valuation models and assumptions; and • Changes in key assumptions such as discount rate, value of timber per cubic meter and available timber quantity, used for the estimation may have a material impact on the carrying value of biological assets recognised in the consolidated statement of financial position and the quantum of gain recognised in the consolidated statement of profit or loss.	Our audit procedures performed included the following: • Evaluating the design and implementation of the controls over determination of biological assets directly owned by the subsidiary companies; • Assessing the qualifications, independence, and experience of the internal and external valuation experts engaged by the Group; • Meeting with management and the management's valuation expert to understand the valuation models and assumptions used in the valuation; • Assessing the accuracy of the input data, used by the valuers and challenged the key assumptions used by the valuation experts; • Checking the completeness and accuracy of the information provided by management to the internal and external valuation expert; • Comparing historical valuations against current year valuations and checking whether the changes in pricing were in line with the overall movement in the market and the actual sales during the year; • Checking the reasonableness of the quantity and growth considered for the valuation, by selecting a sample, and comparing it to the historical timber content and growth; • Obtaining the valuation calculation and testing the mathematical accuracy; • Testing the physical existence of the biological assets that were subject to valuation by performing physical observations on a sample basis; • Agreeing the valuations to the value recorded in the consolidated statement of financial position and checking the resulting gain recognised in the consolidated statement of profit or loss; and • Assessing the adequacy of disclosures made in the consolidated financial statements in relation to the valuation of consumable biological assets.

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Key Audit Matters (Contd)

The Group (Contd)

Key audit matter	How our audit addressed the Key audit matter
Information Technology (IT) system related internal controls over financial reporting The financial reporting processes of Non Banking Financial Institution sector are highly dependent on a number of complex and integrated information systems. These systems process a high volume of transactions and are critical to the accurate recording, processing, and reporting of financial information. Given the significant reliance placed on these IT systems, together with the complexity of the IT environment, including multiple applications, interfaces, and automated processes, there is an inherent risk that deficiencies in IT controls could result in material misstatements in the financial statements. Accordingly, due to the aforementioned pervasive impact of IT systems on financial reporting and the degree of audit effort required, this area was considered as a key audit matter.	Our audit procedures included the following key procedures: • Obtaining an understanding of the Company's IT environment, including key systems and related controls; • Evaluating the design and testing the operating effectiveness of relevant IT general controls; • Involving our IT audit specialists to assist in testing automated controls and system interface configurations; • Testing the completeness and accuracy of key system-generated reports used in the audit; • Performing data validation procedures, including reconciliations and substantive testing of selected transactions; • Assessing the impact of any identified control deficiencies and determining the nature, timing, and extent of additional audit procedures required address these risks primarily through inquiry; and • Tested source data of the reports used to generate disclosures for accuracy and completeness, including review of the general ledger reconciliations.

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Key Audit Matters (Contd)

The Group and the Company

Key Audit Matter	How our audit addressed the key audit matter
Assessment of fair value of land and buildings in investment properties (IPs) Refer financial statement notes 28 investment properties. The Company engaged independent valuers to determine the fair values of its investment properties. As at 31 March 2026, the Group's investment properties were carried at a fair value of Rs. 191.6Bn. Fair value gains on investment properties amounting to Rs. 5.7Bn had been recognised in the Group's financial statements for the year ended 31 March 2026. As at 31 March 2026, the Company's investment properties were carried at a fair value of Rs. 4.2Bn. Fair value gains on investment properties amounting to Rs. 0.18Bn had been recognised in the Company's financial statements for the year ended 31 March 2026. The valuation of investment properties involved significant judgement and were based on assumptions, including prices of comparable property transactions adjusted for differences in key attributes such as, property size, shape, legal restrictions, access to main roads, the physical condition of buildings and depreciated replacement cost of buildings per square foot. We focused on this matter because the: • Investment property balances in the Company's and Group's statements of financial position are significant; • Quantum of fair value gains reported in the Company's and the Group's financial statements; and • Inherently subjective nature of investment property valuations due to the use of estimates, assumptions and judgments in the valuation methodology.	**Our audit approach included the following procedures:** • Evaluating the design and implementation of the controls over management's assessment in determination of fair value of investment properties; • Through inquiries with management, and by inspecting the underlying supporting documents obtaining an understanding of the specific characteristics of selected individual properties including, amongst other things, any properties acquired during the year and changes, if any, in the use of the respective properties; • Meeting with management's independent valuer, who performed the investment property valuations, to assess the appropriateness of the methodologies adopted, and the reasonableness of assumptions and estimates used in the valuations; • Assessing the independence, qualifications, experience and objectivity of management's valuation expert; • Testing the completeness and accuracy of the information provided to the valuer by the management; • Comparing a sample of the recent transactions used by the management's valuation expert to ascertain the valuation of the properties with other publicly available sales listings for similar properties in proximity; • Involving the auditor's valuation specialist to evaluate the appropriateness of the valuation methodologies applied and the key assumptions used by management's independent valuer, including comparing those assumptions, on a sample basis, to relevant market data and industry benchmarks; • Inspecting the final valuation reports and agreed the fair values, including the fair value gains recognised to the accounting records and to the financial statements; • Obtaining evidence over the ownership of the investment properties recorded at the statement of financial position date; and • Reviewing the adequacy and appropriateness of management's disclosures in the financial statements relating to investment properties.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company and the consolidated financial statements of the Group, management is responsible for assessing the Company's and Group's ability to continue as a going concern,

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disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company and the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company and the consolidated financial statements of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's and the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's and the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements of the Company and the consolidated financial statements of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company/ Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements of the Company and the consolidated financial statements of the Group represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the Company and the consolidated financial statements of the Group financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act, No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2857.

Deloitte Partners

CHARTERED ACCOUNTANTS
COLOMBO

28 August 2026

Statement of Financial Position

As at	Note	Group		Company	
		31-Mar-26 Rs.'000	31-Mar-25 Rs.'000	31-Mar-26 Rs.'000	31-Mar-25 Rs.'000
Assets					
Cash and short term deposits	18.1	116,968,894	111,612,970	1,521,766	1,941,277
Financial assets at fair value through profit or loss	19	24,290,652	46,987,655	32	20
Investment securities	20	148,505,110	140,891,886	41,439,203	44,937,785
Non current assets held for sale and discontinued operations	51 & 32	-	27,450,750	-	14,772,245
Financial assets at amortised cost/ Finance lease receivables and operating leases	21	78,281,125	66,664,675	-	-
Financial assets at amortised cost/ Advances and other loans	22	981,809,887	751,421,279	87,749,487	92,853,721
Insurance premium receivables	23	5,018,747	2,988,308	-	-
Inventories	24	40,375,044	33,296,064	54,892	326,108
Current tax assets	25	11,535,213	9,333,758	317,539	94,864
Trade and other current assets	26	120,406,415	89,052,713	223,824,960	221,745,032
Right of use assets	27	176,674,414	164,355,485	78,336	22,951
Investment properties	28	191,672,867	185,708,701	4,249,700	4,064,200
Biological assets;					
Consumable biological assets	29	26,508,659	16,128,615	-	-
Bearer biological assets	30	28,197,712	22,174,816	-	-
Investments in group of companies;					
Subsidiary companies	31	-	-	364,796,110	290,349,152
Associate companies	32	37,442,020	34,951,986	32,378,080	30,101,735
Deferred tax assets	33.1	7,252,068	7,366,224	-	-
Intangible assets	34	10,669,044	10,213,266	41,957	69,616
Property, plant and equipment	35	315,350,777	309,027,000	6,839,603	7,016,211
Total assets		2,320,958,648	2,029,626,151	763,291,665	708,294,917

As at	Note	Group		Company	
		31-Mar-26 Rs.'000	31-Mar-25 Rs.'000	31-Mar-26 Rs.'000	31-Mar-25 Rs.'000
Liabilities and equity					
Liabilities					
Bank overdrafts	18.2	47,198,297	31,394,589	20,638,410	14,131,496
Trading liabilities - fair value through profit or loss	36	17,588	689,957	-	-
Financial liabilities at amortised cost/ Deposits liabilities	37	694,265,401	565,644,097	-	-
Financial liabilities at amortised cost/ Interest bearing borrowings	38	673,251,365	601,202,430	344,860,381	346,818,220
Insurance provision - life	39.1	16,494,757	14,467,959	-	-
Insurance provision - general	39.2	12,837,236	9,502,470	-	-
Current tax payables	40	26,503,825	26,804,798	1,016,582	780,555
Trade and other payables	41	119,442,842	108,048,712	1,709,798	934,461
Deferred tax liabilities	33.3	65,038,052	59,713,293	2,596,702	2,566,296
Deferred income	42	1,724,345	868,546	-	-
Retirement benefit obligations	43	9,557,578	7,082,169	527,848	370,104
Total liabilities		1,666,331,286	1,425,419,020	371,349,721	365,601,132
Equity					
Stated capital	44	475,200	475,200	475,200	475,200
Reserves	45	146,089,986	120,245,253	146,089,986	120,245,253
Retained earnings	45.8	245,376,758	221,973,332	245,376,758	221,973,332
Equity attributable to equity holders of the Company		391,941,944	342,693,785	391,941,944	342,693,785
Non-controlling interests		262,685,418	261,513,346	-	-
Total equity		654,627,362	604,207,131	391,941,944	342,693,785
Total liabilities & equity		2,320,958,648	2,029,626,151	763,291,665	708,294,917

The accounting policies and notes as set out in pages 136 to 353 form an integral part of these financial statements.
Figures in brackets indicate deductions

I certify that these Financial Statements have been prepared and are presented in compliance with the requirements of the Companies Act, No.07 of 2007.



Mr. Imraz Iqbal
Chief Financial Officer - LOLC Group

The Board of Directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;



Mr. I.C. Nanayakkara
Executive Chairman



Mr. W.D.K. Jayawardena
Group Managing Director / CEO

28 August 2026, Rajagiriya (Greater Colombo)

Statement of Profit or Loss

For the year ended	Note	Group		Company	
		31-Mar-26 Rs.'000	31-Mar-25 Rs.'000	31-Mar-26 Rs.'000	31-Mar-25 Rs.'000
Continuing operations					
Gross income	4	429,140,534	336,212,052	53,185,876	53,226,161
Interest income	4.1	189,183,210	166,999,302	44,211,209	45,935,229
Interest expense	6	(69,941,844)	(63,316,187)	(31,681,413)	(34,070,977)
Net interest income		119,241,366	103,683,115	12,529,796	11,864,252
Revenue	4.2	158,218,826	109,230,926	1,966,686	2,218,769
Cost of sales		(96,520,761)	(65,755,014)	(1,876,533)	(2,045,122)
Gross profit		61,698,065	43,475,912	90,153	173,647
Other operating income	4.3	42,532,213	33,661,545	1,284,761	1,036,708
Other income/(expenses)	5	39,206,285	26,320,279	5,723,220	4,035,455
Net operating income		262,677,929	207,140,851	19,627,930	17,110,062
Operating expenses					
Direct expenses excluding interest expense	7	(25,914,522)	(23,036,925)	(339,053)	(551,343)
Personnel expenses	8	(71,454,208)	(54,346,743)	(2,648,300)	(2,228,548)
Impairment charge on financial assets	9	(16,739,167)	(18,791,980)	(122,870)	(1,605,652)
Depreciation and amortisation	10	(17,509,774)	(12,759,212)	(538,543)	(186,665)
Other operating expenses	11	(60,724,982)	(52,248,028)	(5,735,834)	(4,703,112)
Results from operating activities	12	70,335,276	45,957,963	10,243,330	7,834,742
Finance income	13.1	7,168,554	7,282,761	-	-
Finance expense	13.2	(53,609,742)	(57,138,347)	(5,832,534)	(5,864,310)
Net finance cost		(46,441,188)	(49,855,586)	(5,832,534)	(5,864,310)
Share of profits of equity accounted investees, net of tax	14.1	3,056,501	4,227,602	27,937,230	53,537,887
Gain on bargain purchase of Subsidiaries and Associates	15	2,149,289	54,486,104	-	-
Gain / (loss) on divestment in Subsidiaries and Associates	15	2,786	(473,464)	-	-
Profit before tax expense from continuing operations		29,102,664	54,342,619	32,348,026	55,508,319
Income tax expense	16	(4,917,977)	(1,845,642)	(262,957)	(336,012)
Profit for the year from continuing operations		24,184,687	52,496,977	32,085,069	55,172,307

For the year ended	Note	Group		Company	
		31-Mar-26 Rs.'000	31-Mar-25 Rs.'000	31-Mar-26 Rs.'000	31-Mar-25 Rs.'000
Discontinued operations					
Profit/(loss) after tax for the year from discontinued operations and assets held for sale	51	(800,375)	(11,494,605)	(416,835)	(5,460,757)
Profit for the year		23,384,312	41,002,372	31,668,234	49,711,550
Profit/(loss) attributable to; (Continuing operations)					
Equity holders of the Company		32,085,069	55,172,307	32,085,069	55,172,307
Non-controlling interests		(7,900,382)	(2,675,330)	-	-
		24,184,687	52,496,977	32,085,069	55,172,307
Profit/(loss) attributable to; (Discontinued operations)					
Equity holders of the Company		(416,835)	(5,460,757)	(416,835)	(5,460,757)
Non-controlling interests		(383,540)	(6,033,848)	-	-
		(800,375)	(11,494,605)	(416,835)	(5,460,757)
Profit/(loss) attributable to;					
Equity holders of the Company		31,668,234	49,711,550	31,668,234	49,711,550
Non-controlling interests		(8,283,922)	(8,709,178)	-	-
		23,384,312	41,002,372	31,668,234	49,711,550
Basic earnings per share					
Basic, profit for the year attributable to ordinary equity holders of the parent	17.1	66.64	104.61	66.64	104.61
Diluted, profit for the year attributable to ordinary equity holders of the parent		66.64	104.61	66.64	104.61
Earnings per share for continuing operations					
Basic, profit from continuing operations attributable to ordinary equity holders of the parent		67.52	116.10	67.52	116.10
Diluted, profit from continuing operations attributable to ordinary equity holders of the parent		67.52	116.10	67.52	116.10

The accounting policies and notes as set out in pages 136 to 353 form an integral part of these financial statements .

Figures in brackets indicate deductions

Statement of Comprehensive Income

For the year ended	Note	Group		Company	
		31-Mar-26 Rs.'000	31-Mar-25 Rs.'000	31-Mar-26 Rs.'000	31-Mar-25 Rs.'000
Profit for the year		23,384,312	41,002,372	31,668,234	49,711,550
Other comprehensive income					
Other comprehensive income that will never be reclassified to profit or loss in subsequent periods:					
Revaluation surplus of property, plant and equipment					
Revaluation of property, plant and equipment		1,273,949	27,965,232	-	1,648,289
Transfer on impairment		-	3,388	-	-
Related tax	16.9	(643,250)	(5,531,380)	-	(449,496)
Defined benefit plan actuarial gains/(losses)					
Re-measurement of defined benefit liabilities	43	(1,306,222)	(601,316)	(93,205)	22,799
Related tax	16.9	250,010	186,601	34,801	(5,046)
Change in fair value on investments in equity instruments at fair value through other comprehensive income					
Change in fair value on investments in equity instruments at fair value through other comprehensive income		(223,702)	(79,523)	27,182	120,376
Related tax	16.9	56,371	(123,226)	-	-
Fair value gains/(losses) recycled to the retained earnings on reclassification		-	(1,166,917)	-	-
Share of other comprehensive income of equity accounted investees (net of tax)	14.2	542,055	879,150	2,421,259	4,609,571
Net other comprehensive income not to be reclassified to income statement in subsequent periods		(50,789)	21,532,009	2,390,037	5,946,493
Other comprehensive income that are or may be reclassified to profit or loss in subsequent periods:					
Change in fair value on investments in debt instruments at fair value through other comprehensive income					
Fair value gains/(losses) on debt instruments that arose during the year		(75,758)	196,057	-	-
Fair value gains/(losses) recycled to the Income Statement on reclassification		-	1,166,917	-	-
Foreign currency translation differences for foreign operations					
Exchange gain/(losses) from translation of foreign operations		24,054,959	(5,582,887)	-	-

For the year ended	Note	Group		Company	
		31-Mar-26 Rs.'000	31-Mar-25 Rs.'000	31-Mar-26 Rs.'000	31-Mar-25 Rs.'000
Fair value differences on hedging instruments					
Related tax	16.9	(6,039)	12,334	-	-
Share of other comprehensive income of equity accounted investees (net of tax)	14.2	(112,498)	542,611	13,596,321	(1,141,906)
Net other comprehensive income to be reclassified to income statement in subsequent periods		23,860,664	(3,664,968)	13,596,321	(1,141,906)
Total other comprehensive income for the year, net of tax		23,809,875	17,867,041	15,986,358	4,804,587
Total comprehensive income for the year, net of tax		47,194,187	58,869,413	47,654,592	54,516,137
Total comprehensive income attributable to;					
Equity holders of the Company		47,654,592	54,516,137	47,654,592	54,516,137
Non-controlling interests		(460,405)	4,353,276	-	-
		47,194,187	58,869,413	47,654,592	54,516,137

The accounting policies and notes as set out in pages 136 to 353 form an integral part of these financial statements .

Figures in brackets indicate deductions

Statement of Changes in Equity

Company

	Note	Stated capital Rs.'000	Revaluation reserve Rs.'000	Cash flow hedge reserve Rs.'000	Fair value reserve Rs.'000	
Balance as at 01 April 2024		475,200	31,512,175	(14,230)	1,668,821	
Total comprehensive income for the year						
Profit for the period from continuing operations		-	-	-	-	
Profit/(loss) for the period from discontinued operations		-	-	-	-	
Impact of reclassifying financial investment		-	-	-	-	
Other comprehensive income						
Other comprehensive income that will never be reclassified to profit or loss in subsequent periods;						
Revaluation surplus of property, plant and equipment						
Revaluation of property, plant and equipment		-	1,648,289	-	-	
Deferred tax charge/(reversal) on revaluation surplus		-	(449,496)	-	-	
Transfers due to disposal		-	(36,462)	-	-	
Defined benefit plan actuarial gains / (losses)						
Defined benefit plan actuarial gains (losses) for the year		-	-	-	-	
Deferred tax charge/(reversal) on actuarial gains/(losses)	16.9	-	-	-	-	
Change in fair value on investments in equity instruments at fair value through other comprehensive income						
Fair value gains/(losses) that arose during the year		-	-	-	120,376	
Deferred tax charge/(reversal) on fair value gain		-	-	-	-	
Share of other comprehensive income of equity accounted investee (net of tax)		-	11,219,972	-	(6,087,785)	
Net other comprehensive income that will never be reclassified to profit or loss in subsequent periods		-	12,382,303	-	(5,967,409)	
Other comprehensive income that are or may be reclassified to profit or loss in subsequent periods;						
Share of other comprehensive income of equity accounted investee (net of tax)		-	-	-	498,367	
Net other comprehensive income that are or may be reclassified to profit or loss in subsequent periods		-	-	-	498,367	
Total comprehensive income for the period		-	12,382,303	-	(5,469,042)	
Other movements in equity						
Share of equity accounted investee		-	-	-	-	
Total other movements		-	-	-	-	
Transactions due to changes in group holdings						
Share of equity accounted investee		-	(1,448,250)	(33,328)	(3,135,859)	
Total transactions due to changes in group holdings		-	(1,448,250)	(33,328)	(3,135,859)	
Balance as at 31 March 2025		475,200	42,446,228	(47,558)	(6,936,079)	

Figures in brackets indicate deductions.

	Translation reserve Rs.' 000	Future taxation reserve Rs.'000	Statutory reserve fund and other reserves Rs.'000	Retained earnings Rs.'000	Total Rs.'000
	42,918,594	205,000	43,247,838	178,596,878	298,610,277
	–	–	–	55,172,307	55,172,307
	–	–	–	(5,460,757)	(5,460,757)
	–	–	–	(165,549)	(165,549)
	–	–	–	–	1,648,289
	–	–	–	–	(449,496)
	–	–	–	36,462	–
	–	–	–	22,799	22,799
	–	–	–	(5,046)	(5,046)
	–	–	–	–	120,376
	–	–	–	–	–
	–	–	–	(522,616)	4,609,571
	–	–	–	(468,401)	5,946,493
	(2,655,842)	–	181	1,015,388	(1,141,906)
	(2,655,842)	–	181	1,015,388	(1,141,906)
	(2,655,842)	–	181	50,258,537	54,516,137
	–	–	–	(6,522,071)	(6,522,071)
	–	–	–	(6,522,071)	(6,522,071)
	(10,343)	–	1,077,234	(194,463)	(3,745,009)
	(10,343)	–	1,077,234	(194,463)	(3,745,009)
	40,252,409	205,000	44,325,253	221,973,332	342,693,785

Statement of Changes in Equity
Company

	Note	Stated capital Rs.'000	Revaluation reserve Rs.'000	Cash flow hedge reserve Rs.'000	Fair value reserve Rs.'000	
Balance as at 01 April 2025		475,200	42,446,228	(47,558)	(6,936,079)	
Total comprehensive income for the period						
Profit for the year from continuing operations		-	-	-	-	
Profit/(loss) for the year from discontinuing operations		-	-	-	-	
Other comprehensive income						
Other comprehensive income that will never be reclassified to profit or loss in subsequent periods;						
Revaluation surplus of property, plant and equipment						
Transfers due to disposal		-	(198,696)	-	-	
Defined benefit plan actuarial gains / (losses)						
Defined benefit plan actuarial gains (losses) for the year	43	-	-	-	-	
Deferred tax charge/(reversal) on actuarial gains/(losses)	16.9	-	-	-	-	
Change in fair value on investments in equity instruments at fair value through other comprehensive income						
Fair value gains/(losses) that arose during the year		-	-	-	27,182	
Share of other comprehensive income of equity accounted investee (net of tax)		-	733,698	-	2,377,682	
Net other comprehensive income that will never be reclassified to profit or loss in subsequent periods		-	535,002	-	2,404,864	
Other comprehensive income that are or may be reclassified to profit or loss in subsequent periods;						
Share of other comprehensive Income of equity accounted investee (net of tax)		-	(17,763)	-	(206,072)	
Net other comprehensive income that are or may be reclassified to profit or loss in subsequent periods		-	(17,763)	-	(206,072)	
Total comprehensive income for the period		-	517,239	-	2,198,792	
Contributions by and distributions to owners						
Share of equity accounted investee		-	-	-	-	
Total contributions by / (distributions to) owners of the Company		-	-	-	-	
Transactions due to changes in group holdings						
Share of equity accounted investee		-	-	-	-	
Total transactions due to changes in group holdings		-	-	-	-	
Other movements in equity						
Transfer to RE		-	-	-	-	
Share of equity accounted investee		-	(4,352,219)	-	-	
Total other movements		-	(4,352,219)	-	-	
Balance as at 31 March 2026		475,200	38,611,248	(47,558)	(4,737,287)	

The accounting policies and notes as set out in pages 136 to 353 form an integral part of these financial statements .

Figures in brackets indicate deductions.

	Translation reserve Rs.' 000	Future taxation reserve Rs.'000	Statutory reserve fund and other reserves Rs.'000	Retained earnings Rs.'000	Total Rs.'000
	40,252,409	205,000	44,325,253	221,973,332	342,693,785
	–	–	–	32,085,069	32,085,069
	–	–	–	(416,835)	(416,835)
	–	–	–	198,696	–
	–	–	–	(93,205)	(93,205)
	–	–	–	34,801	34,801
	–	–	–	–	27,182
	–	–	–	(690,121)	2,421,259
	–	–	–	(549,829)	2,390,037
	13,805,318	–	–	14,838	13,596,321
	13,805,318	–	–	14,838	13,596,321
	13,805,318	–	–	31,133,243	47,654,592
	–	–	–	4,025,448	4,025,448
	–	–	–	4,025,448	4,025,448
	–	–	–		–
	–	–	–	(568,479)	(568,479)
	–	–	–	(568,479)	(568,479)
	–	(205,000)	–	205,000	–
	261,080	–	13,619,523	(11,391,786)	(1,863,402)
	261,080	(205,000)	13,619,523	(11,186,786)	(1,863,402)
	54,318,807	–	57,944,776	245,376,758	391,941,944

Statement of Changes in Equity

Group

	Note	Stated capital Rs.'000	Revaluation reserve Rs.'000	Cash flow hedge reserve Rs.'000	Fair value reserve Rs.'000	
Balance as at 01 April 2024		475,200	31,512,175	(14,230)	1,668,822	
Total comprehensive income for the year						
Profit for the year from continuing operations		-	-	-	-	
Profit/(loss) for the year from discontinuing operations		-	-	-	-	
Impact of reclassifying financial investment		-	-	-	-	
Other comprehensive income						
Other comprehensive income that will never be reclassified to profit or loss in subsequent periods:						
Revaluation of property, plant and equipment	35	-	14,830,939	-	-	
Related tax	16.9	-	(2,851,437)	-	-	
Transfers due to disposal		-	(161,441)	-	-	
Transfer on impairment		-	-	-	-	
Re-measurement of defined benefit liabilities	43	-	-	-	-	
Related tax	16.9	-	-	-	-	
Changes in fair value on investments in equity investments at FVOCI		-	-	-	(5,061,301)	
Fair value gains/(losses) recycled to the retained earnings on reclassification		-	-	-	(1,014,868)	
Related tax	16.9	-	-	-	(107,170)	
Share of OCI of equity accounted investees (Net of tax)	32.5	-	564,242	-	215,930	
Net other comprehensive income that will never be reclassified to profit or loss in subsequent periods		-	12,382,303	-	(5,967,409)	
Other comprehensive income that are or may be reclassified to profit or loss in subsequent periods:						
Exchange gain/ (losses) from translation of foreign operations		-	-	-	-	
Transfers to P&L on impairment		-	-	-	-	
Deferred tax charge/(reversal) on changes in fair value of cash flow hedge	16.9	-	-	-	-	
Fair value gains/(losses) on debt instruments that arose during the year		-	-	-	202,317	
Fair value gains/(losses) recycled to the Income Statement on reclassification		-	-	-	-	
Share of OCI of equity accounted investees (Net of tax)	32.5	-	-	-	296,050	
Net other comprehensive income that are or may be reclassified to profit or loss in subsequent periods		-	-	-	498,367	
Total comprehensive income for the period		-	12,382,303	-	(5,469,042)	
Transactions with owners directly recorded in the equity						
Contributions by and distributions to owners						
Share issued - Further issue of shares		-	-	-	-	
Dividend paid during the period		-	-	-	-	
Total contribution by / (distributions to) owners of the Company		-	-	-	-	
Transactions due to changes in group holdings						
First time acquisition of subsidiaries		-	-	-	-	
Changes in group holdings		-	-	-	-	
Total transactions due to changes in group holding		-	-	-	-	
Total transactions with owners directly recorded in the Equity		-	-	-	-	

Equity attributable to the equity holders of the Company							
	Translation reserve Rs.'000	Future taxation reserve Rs.'000	Statutory reserve fund and other reserves Rs.'000	Retained earnings Rs.'000	Total Rs.'000	Non-controlling interests Rs.'000	Total equity Rs.'000
	42,918,594	205,000	43,247,838	178,596,878	298,610,277	188,716,393	487,326,670
	–	–	–	55,172,307	55,172,307	(2,675,330)	52,496,977
	–	–	–	(5,460,757)	(5,460,757)	(6,033,848)	(11,494,605)
	–	–	–	(165,549)	(165,549)	–	(165,549)
	–	–	–	–	14,830,939	13,134,293	27,965,232
	–	–	–	8,228	(2,843,209)	(2,688,171)	(5,531,380)
	–	–	–	161,441	–	–	–
	–	–	–	1,823	1,823	1,565	3,388
	–	–	–	(483,118)	(483,118)	(118,198)	(601,316)
	–	–	–	148,157	148,157	38,444	186,601
	–	–	–	–	(5,061,301)	4,981,778	(79,523)
	–	–	–	–	(1,014,868)	(152,049)	(1,166,917)
	–	–	–	–	(107,170)	(16,056)	(123,226)
	–	–	–	(304,932)	475,240	403,910	879,150
	–	–	–	(468,401)	5,946,493	15,585,516	21,532,009
	(2,653,968)	–	–	–	(2,653,968)	(2,928,919)	(5,582,887)
	–	–	–	–	–	–	–
	–	–	–	4,556	4,556	7,778	12,334
	–	–	181	(4,036)	198,462	(2,405)	196,057
	–	–	–	1,014,868	1,014,868	152,049	1,166,917
	(1,874)	–	–	–	294,176	248,435	542,611
	(2,655,842)	–	181	1,015,388	(1,141,906)	(2,523,062)	(3,664,968)
	(2,655,842)	–	181	50,258,537	54,516,137	4,353,276	58,869,413
	–	–	–	–	–	7,596,467	7,596,467
	–	–	–		–	(345,154)	(345,154)
	–	–	–	–	–	7,251,313	7,251,313
	–	–	–	–	–	57,218,463	57,218,463
	–	–	–	(6,522,071)	(6,522,071)	2,934,286	(3,587,785)
	–	–	–	(6,522,071)	(6,522,071)	60,152,749	53,630,678
	–	–	–	(6,522,071)	(6,522,071)	67,404,062	60,881,991

Statement of Changes in Equity
Group

	Note	Stated capital Rs.'000	Revaluation reserve Rs.'000	Cash flow hedge reserve Rs.'000	Fair value reserve Rs.'000	
Other movements in equity						
Prior year adjustment		–	–	–	(1,050,169)	
Transfer in from general reserve		–	–	–	–	
Net transfers to / (from) statutory reserve fund		–	–	–	–	
Transfer out		–	(335,464)	(33,328)	(154,649)	
Reclass to RE		–	–	–	–	
Share issue cost		–	–	–	–	
Realisation		–	(1,112,786)	–	(1,931,041)	
Total other movements		–	(1,448,250)	(33,328)	(3,135,859)	
Balance as at 31 March 2025		475,200	42,446,228	(47,558)	(6,936,079)	
Balance as at 01 April 2025		475,200	42,446,228	(47,558)	(6,936,079)	
Total comprehensive income for the year						
Profit for the year from continuing operations		–	–	–	–	
Profit/(loss) for the year from discontinued operations		–	–	–	–	
Other comprehensive income						
Other comprehensive income that will never be reclassified to profit or loss in subsequent periods:						
Revaluation of property, plant and equipment	35	–	926,267	–	–	
Related tax	16.9	–	(75,050)	–	–	
Transfers due to disposal		–	(340,788)	–	–	
Remeasurement of defined benefit liabilities	43	–	–	–	–	
Related tax	16.9	–	–	–	–	
Changes in fair value on investments in equity investments at FVOCI		–	–	–	1,990,985	
Related tax	16.9	–	–	–	49,026	
Share of OCI of equity accounted investees (Net of tax)	14.2	–	24,573	–	364,853	
Net other comprehensive income that will never be reclassified to profit or loss in subsequent periods		–	535,002	–	2,404,864	
Other comprehensive income that are or may be reclassified to profit or loss in subsequent periods:						
Exchange gain/(losses) on translation of foreign operations		–	–	–	–	
Transfers to P&L on disposal		–	(17,763)	–	–	
Deferred tax charge/(reversal) on changes in fair value of hedging instruments	16.9	–	–	–	–	

Figures in brackets indicate deductions.

Equity attributable to the equity holders of the Company							
	Translation reserve Rs.'000	Future taxation reserve Rs.'000	Statutory reserve fund and other reserves Rs.'000	Retained earnings Rs.'000	Total Rs.'000	Non-controlling interests Rs.'000	Total equity Rs.'000
	–	–	(27,610)	(38,066)	(1,115,845)	1,220,029	104,184
	–	–	7,948,746	523,441	8,472,187	1,922,639	10,394,826
	–	–	3,104,953	(3,128,696)	(23,743)	(8,653)	(32,396)
	–	–	(7,875,630)	(73,116)	(8,472,187)	(1,922,639)	(10,394,826)
	(10,343)	–	–	10,343	–	–	–
	–	–	–	(6,966)	(6,966)	(1,322)	(8,288)
	–	–	(2,073,225)	2,518,597	(2,598,455)	(170,439)	(2,768,894)
	(10,343)	–	1,077,234	(194,463)	(3,745,009)	1,039,615	(2,705,394)
	40,252,409	205,000	44,325,253	221,973,332	342,693,785	261,513,346	604,207,131
	40,252,409	205,000	44,325,253	221,973,332	342,693,785	261,513,346	604,207,131
	–	–	–	32,085,069	32,085,069	(7,900,382)	24,184,687
	–	–	–	(416,835)	(416,835)	(383,540)	(800,375)
	–	–	–	–	926,267	347,682	1,273,949
	–	–	–	(289,537)	(364,587)	(278,663)	(643,250)
	–	–	–	340,788	–	–	–
	–	–	–	(949,480)	(949,480)	(356,742)	(1,306,222)
	–	–	–	211,628	211,628	38,382	250,010
	–	–	–	–	1,990,985	(2,214,687)	(223,702)
	–	–	–	–	49,026	7,345	56,371
	–	–	–	136,772	526,198	15,857	542,055
	–	–	–	(549,829)	2,390,037	(2,440,826)	(50,789)
	13,798,846	–	–	–	13,798,846	10,256,113	24,054,959
	–	–	–	17,763	–	–	–
	–	–	–	(2,925)	(2,925)	(3,114)	(6,039)

Statement of Changes in Equity
Group

	Note	Stated capital Rs.'000	Revaluation reserve Rs.'000	Cash flow hedge reserve Rs.'000	Fair value reserve Rs.'000	
Fair value gains/(losses) on debt instruments that arose during the year		-	-	-	(73,616)	
Share of OCI of equity accounted investees (Net of tax)	14.2	-	-	-	(132,456)	
Net other comprehensive income that are or may be reclassified to profit or loss in subsequent periods		-	(17,763)	-	(206,072)	
Total comprehensive income for the year		-	517,239	-	2,198,792	
Transactions with owners directly recorded in the Equity						
Contributions by and distributions to owners						
NCI contribution for subsidiary share issue		-	-	-	-	
Dividend forfeited during the year		-	-	-	-	
Dividend paid during the year		-	-	-	-	
Share buyback		-	-	-	-	
Total contribution by / (distributions to) owners of the Company		-	-	-	-	
Transactions due to changes in group holding						
Disposal of Subsidiaries		-	-	-	-	
First time acquisition of subsidiaries		-	-	-	-	
Changes in group holdings		-	-	-	-	
Total transactions due to changes in group holding		-	-	-	-	
Total transactions with owners directly recorded in the Equity		-	-	-	-	
Other movements in equity						
Transfers/prior year adjustment		-	(1,695)	-	-	
Transfer in from general reserve		-	-	-	-	
Net transfers to/(from) statutory reserve fund		-	-	-	-	
Transfer out		-	-	-	-	
Reclass to RE/ realization of revalued assets		-	(4,350,524)	-	-	
Share issue cost		-	-	-	-	
Total other movements		-	(4,352,219)	-	-	
Balance as at 31 March 2026		475,200	38,611,248	(47,558)	(4,737,287)	

The accounting policies and notes as set out in pages 136 to 353 form an integral part of these financial statements .

Figures in brackets indicate deductions.

Equity attributable to the equity holders of the Company							
	Translation reserve Rs.'000	Future taxation reserve Rs.'000	Statutory reserve fund and other reserves Rs.'000	Retained earnings Rs.'000	Total Rs.'000	Non-controlling interests Rs.'000	Total equity Rs.'000
	–	–	–	–	(73,616)	(2,142)	(75,758)
	6,472	–	–	–	(125,984)	13,486	(112,498)
	13,805,318	–	–	14,838	13,596,321	10,264,343	23,860,664
	13,805,318	–	–	31,133,243	47,654,592	(460,405)	47,194,187
	–	–	–	–	–	1,988,137	1,988,137
	–	–	–	2,165	2,165	7,136	9,301
	–	–	–	–	–	(508,205)	(508,205)
	–	–	–	4,023,283	4,023,283	(4,026,514)	(3,231)
	–	–	–	4,025,448	4,025,448	(2,539,446)	1,486,002
	–	–	–	–	–	(103)	(103)
	–	–	–	–	–	5,478,070	5,478,070
	–	–	–	(568,479)	(568,479)	568,479	–
	–	–	–	(568,479)	(568,479)	6,046,446	5,477,967
	–	–	–	3,456,969	3,456,969	3,507,000	6,963,969
	–	–	221,185	(141,973)	77,517	(93,874)	(16,357)
	–	–	36,568	(36,568)	–	–	–
	–	–	13,229,256	(13,229,256)	–	–	–
	–	–	132,514	(132,514)	–	–	–
	261,080	(205,000)	–	2,360,692	(1,933,752)	(1,779,289)	(3,713,041)
	–	–	–	(7,167)	(7,167)	(1,360)	(8,527)
	261,080	(205,000)	13,619,523	(11,186,786)	(1,863,402)	(1,874,523)	(3,737,925)
	54,318,807	–	57,944,776	245,376,758	391,941,944	262,685,418	654,627,362

Statement of Cash Flows

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Profit/(loss) before tax from continuing operations		29,102,664	54,342,619	32,348,026	55,508,319
Profit/(loss) before tax from discontinued operations		(1,337,209)	(11,572,586)	(416,835)	(5,460,757)
Profit before tax		27,765,455	42,770,033	31,931,191	50,047,562
Adjustment for:					
(Gain) / loss on sale of property, plant and equipment	5	(102,019)	(48,887)	(16,425)	(4,551)
Depreciation and amortization	10 & 51	18,022,961	13,497,210	538,543	186,665
Impairment of PPE	35	700,879	(117,742)	-	-
Insurance provision	39	5,361,564	5,128,463	-	-
Change in fair value of forward contracts	5	(5,788)	(17,793)	-	-
Provision for gratuity	43	1,897,179	1,349,464	85,464	76,758
Net impairment loss / (reversal) on financial assets	9 & 51	16,739,167	18,810,499	122,870	1,605,652
Provision for fall/(increase) in value of investments	5	(2,605,012)	238,670	(12)	2
Provision /(reversal) for slow moving inventories	24.1	902,470	54,194	(15,472)	40,752
Interest Income	4.1 & 5	(9,546,290)	(11,673,374)	(44,769,644)	(46,627,126)
Finance costs	6, 13.2 & 51.1	124,690,496	122,388,311	37,513,947	39,935,287
Dividend Income	5	(48,134)	(231,410)	(682,270)	(1,117,771)
(Profit)/loss on sale of quoted and non-quoted shares/Group investments	5	(2,035,562)	(331,872)	-	-
Foreign exchange (gain) / loss	5	(5,269,923)	(1,213,426)	(2,563,158)	388,810
Results on acquisition of subsidiary companies	15.1	(2,149,289)	(54,486,103)	-	-
Results on disposal of Subsidiary Company	15.2	99	(39,003)	-	-
Results on disposal/reclassification of Associate Companies	15.2	(2,885)	512,467	-	-
Change in fair value of investment properties	5	(5,721,416)	(5,735,502)	(185,500)	(501,400)
Amortization of deferred income	5	(322,098)	(166,718)	-	-
Sale of timber	5	(240,950)	(2,658)	-	-
(Gain)/Loss on disposal of Government Securities	5	(1,200,548)	(2,240,119)	-	-
Gain/(loss) on investment restructuring	5	-	3,710,480	-	-
Share of profits of equity accounted investees, net of tax	32.5	(3,056,501)	(4,227,602)	(27,937,230)	(53,537,887)
Share of profits of equity accounted investees on assets held for sale	51	-	9,382,322	-	5,460,757
Gain/ (Loss) on fair value of bearer/consumable biological assets	5	(5,076,003)	(910,095)	-	-
Operating profit before working capital changes		158,697,852	136,399,809	(5,977,696)	(4,046,490)
Working capital changes					
Increase/(decrease) in trade and other payables		9,450,597	8,249,703	813,614	(2,612,432)
(Increase)/decrease in investment in leases, hire purchase and others		(10,792,861)	(5,880,427)	-	-
(Increase)/decrease in investment in advances and other loans		(244,047,693)	(100,335,704)	5,192,856	(22,659,185)
(Increase)/decrease in premium receivables		(2,030,439)	904,906	-	-
(Increase)/decrease in inventories		(6,485,480)	(1,031,984)	286,688	296,695
(Increase)/decrease in trade and other receivables		(30,699,437)	22,162,150	21,149,711	10,758,222
Increase/(decrease) in customer deposits		128,621,304	59,153,130	-	-
Cash generated from operations		2,713,843	119,621,583	21,465,172	(18,263,190)
Interest paid		(67,384,088)	(58,840,635)	(28,034,477)	(36,413,786)
Income tax paid		(6,732,919)	(5,609,031)	-	(152,341)
Defined benefit plan costs paid	43	(2,124,659)	(629,196)	(20,925)	(23,366)
Net cash from/(used in) operating activities		(73,527,823)	54,542,721	(6,590,230)	(54,852,683)

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
CASH FLOW FROM INVESTING ACTIVITIES					
(Investment) in/ disposal of subsidiary companies		-	-	3,180,482	229,000
Net cash and cash equivalents on acquisition of subsidiary	31.4.1.5 31.4.2.6	(5,488,107)	(6,131,187)	-	-
Net cash and cash equivalents received on disposal of subsidiary	31.5.1.5 31.5.2.5	25,974	49,900	-	-
Investment in equity accounted investees	32.5	-	(106,473)	-	-
Proceeds from disposal of equity accounted investees		7,023	282,948	-	-
Acquisition of PPE	35	(25,732,419)	(19,927,028)	(527,048)	(88,891)
(Acquisition)/ Disposal of intangible assets	34	(362,042)	(1,319,613)	(91)	(33,954)
Net Disposals/ (additions) to trading assets		54,122,061	(20,239,991)	-	-
Net Disposals/ (additions) to investment securities		(6,664,661)	20,211,866	5,898,148	(5,996,831)
Proceeds from the disposal of PPE/ Investment Properties		19,487,931	1,551,012	228,961	293,930
Acquisition of Investment Properties	28	(946,247)	(5,064,543)	-	-
Interest income received		9,546,290	11,673,374	2,395,446	12,814,484
Dividend received		48,134	231,410	276	1,117,771
Net additions to bearer biological assets	30	(1,645,328)	(1,097,743)	-	-
Addition of consumable biological assets	29	(90,003)	(24,858)	-	-
Proceed from sale of bearer/consumable biological assets		1,080,372	377,244	-	-
Net cash flow from investing activities		43,388,978	(19,533,683)	11,176,174	8,335,509
CASH FLOW FROM FINANCING ACTIVITIES					
Net cash proceeds from short-term interest bearing borrowings		51,990,219	46,387,858	(3,117,559)	48,069,928
Principal repayment under finance lease liabilities	38.2	(460,067)	(359,706)	(1,348)	-
Proceeds from long-term interest bearing loans and borrowings	38.3	142,762,447	43,683,615	29,157,819	14,806,634
Repayments of long-term interest bearing loans and borrowings	38.3	(128,320,684)	(89,773,660)	(28,615,325)	(16,824,065)
Issue/(settlement) of debentures		1,619,790	(4,992,041)	(3,720,286)	(5,000,000)
Net increase/(decrease) operating lease payable on ROU asset		(3,322,101)	(2,214,890)	(54,535)	(17,443)
Finance cost paid		(46,610,699)	(50,376,886)	(5,161,135)	(6,258,392)
Receipt of deferred income		563,982	596,976	-	-
Share buyback		(3,231)	-	-	-
NCI contributions to share issue of subsidiaries		1,988,137	7,596,467	-	-
Share issue cost		(8,527)	(8,288)	-	-
Dividend paid during the year		(508,205)	(345,154)	-	-
Changes in group holdings		-	(3,587,785)	-	-
Net cash flow from financing activities		19,691,061	(53,393,494)	(11,512,369)	34,776,661
Net increase/(decrease) in cash and cash equivalents during the year		(10,447,784)	(18,384,456)	(6,926,425)	(11,740,513)
Cash and cash equivalents at the beginning of the Year		80,218,381	98,602,837	(12,190,219)	(449,706)
Cash and cash equivalents at the end of the period		69,770,597	80,218,381	(19,116,644)	(12,190,219)
Analysis of cash and cash equivalents at the end of the year					
Cash in hand and favourable bank balances		116,968,894	111,612,970	1,521,766	1,941,277
Unfavourable bank balances used for cash management purposes		(47,198,297)	(31,394,589)	(20,638,410)	(14,131,496)
		69,770,597	80,218,381	(19,116,644)	(12,190,219)

The accounting policies and notes as set out in pages 136 to 353 form an integral part of these financial statements .

Figures in brackets indicate deductions.

Notes to the Financial Statements

1. REPORTING ENTITY

1.1. General

LOLC Holdings PLC ('the Company') is a public quoted company incorporated on 14 March 1980 and domiciled in Sri Lanka. The address of the Company's registered office is No. 100/1, Sri Jayawardenapura Mawatha, Rajagiriya, Sri Lanka and the principal place of business is situated at the same place.

The Consolidated Financial Statements of the Group as at and for the year ended 31st March 2026 comprise of the Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in associates and jointly controlled entities.

The Group is primarily involved in providing diversified financial solutions to a wide variety of customer segments and also engaged in diversified activities such as manufacturing, trading, leisure, plantations, real estate development, construction and power & energy etc.

Ordinary shares of the Company are listed on the main board of the Colombo Stock Exchange (CSE).

1.2. Principal Activities and Nature of Operations

1.2.1 Company

LOLC Holdings PLC, the Group's holding Company, manages a portfolio of investments consisting of a range of diverse business operations, which together constitute the LOLC Group, and provides function-based services to its subsidiaries, jointly controlled entities and associates. There were no significant changes in the nature of the principal activities of the Company during the financial year under review.

1.2.2 Group

Description of the nature of operations and principal activities of the subsidiaries, jointly controlled entities and associates are given on note 31.2 to these Financial Statements. There were no significant changes in the nature of the principal activities of the Group during the financial year under review.

All the group companies incorporated and domiciled in Sri Lanka, except for subsidiaries and associates which are disclosed in the note no 31 of the financial statements.

1.3. Parent Entity and Ultimate Parent Entity

LOLC Holdings PLC is the holding Company of the Group and therefore, it does not have an identifiable immediate or ultimate parent of its own. LOLC Holdings PLC became the holding company of the Group during the financial year ended 31st March 2011.

2. BASIS OF PREPARATION

2.1. Statement of Compliance

The Financial Statements of the Company and those consolidated with such are prepared in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the Companies Act No. 07 of 2007.

The presentation of these Financial Statements is also in compliance with the requirements of the Finance Leasing Act No 56 of 2000, Finance Business Act No 42 of 2011 and Regulation of Insurance Industry Act No. 43 of 2000 subsequent amendments thereto and provide appropriate disclosures as required by the Listing Rules of the CSE. These Financial Statements, except for information on cash flows have been prepared following the accrual basis of accounting.

The Group did not adopt any inappropriate accounting treatments, which are not in compliance with the requirements of the SLFRSs and LKASs, regulations governing the preparation and presentation of the Financial Statements.

Details of the Group's Material Accounting Policy Information followed during the year are given in note no 3 on pages 140 to 147.

2.2. Presentation of Financial Statements

The assets and liabilities of the Group presented in the Statement of Financial Position are grouped by nature and listed in-order to reflect their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within twelve months after the reporting date (current) and more than twelve months after the reporting date (non-current) is presented in Note 58 (Current/Non-current distinction). Contractual maturities are set out in Note 54.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to off-set the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of profit or loss unless required or permitted by an accounting standard or an interpretation, and as specially disclosed in the accounting policies of the Group.

No adjustments have been made for inflationary factors affecting the Financial Statements.

2.3. Basis of Measurement

The Financial Statements of the Group and the Company have been prepared on the historical cost basis, except for the following material items in the statement of financial position which are measured on an alternative basis on each reporting date,

Items	Basis of measurement	Note No/s	Page/s
Fair value through profit and loss	Fair value	19	175
Derivative financial instruments	Fair value	19.4	178
Fair value through other comprehensive income	Fair value	20.1	180

Items	Basis of measurement	Note No/s	Page/s
The liability for defined benefit obligations	Net liability for defined benefit obligations are recognised as the present value of the defined benefit obligation, plus unrecognised actuarial gains, less unrecognised past service cost, and unrecognised actuarial losses	43	297
Lands and buildings	Measured at cost at the time of acquisition and subsequently at revalued amounts which are the fair values at the date of revaluation	35	268
Investment properties	Fair value	28	218
Agricultural produces	Fair value less cost to sell	29	221
Consumable Biological assets	Fair value less cost to sell	29	221
Insurance Provision - Life	Provision Liability is determined as the sum of the present value of future benefits, the expected future management and distribution expenses , less the present value of future gross premiums arising from the policy discounted at the appropriate discount rate as specified by the insurance regulatory commission of Sri Lanka.	39.1	288
Insurance Provision - General	This liability comprises claims liabilities and premium liabilities. Claims liabilities – Sum of claims reported, claims incurred but not reported ("IBNR") together with related claims handling costs. Premium Liabilities –Higher of aggregate of the Unearned Premium Reserve (UPR) and the best estimate value of the insurer's unexpired risk reserve ("URR") at over the term of the contract.	39.2	290

2.4. Functional and Presentation Currency

The functional currency is the currency of the primary economic environment in which the entities of the Group operate (the Functional Currency). The Financial Statements are presented in Sri Lankan Rupee (LKR), which is the presentation currency of the Group. All financial information presented in Rupee has been rounded to the nearest Rupees thousands unless stated otherwise.

Each entity in the Group determines its own functional currency and items included in the Financial Statements of these entities are measured using that Functional Currency. There was no change in the Group's Presentation and Functional Currency during the year under review.

The information presented in US Dollars in the Section on "Supplementary Information" on pages 361 and 362 does not form part of the Financial Statements and is made available solely for the information of stakeholders.

2.5. Use of Estimates and Judgment

The preparation of Financial Statements in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results which form the basis of making the judgments about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future period affected.

Information about critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the Financial Statements are included in the following notes to these Financial Statements.`

Critical accounting estimate/judgment	Disclosure reference Note
Classification of financial assets and liabilities	53
Fair value of financial instruments	53
Financial instruments – fair value disclosure	52
Impairment of financial investments	20
Revaluation of property, plant and equipment	35.2
Determination in fair value of investment properties	28.4
Useful lives of intangible assets	10
Useful lives of property, plant and equipment	10
Useful lives of bearer biological assets	10
Determination in fair value of consumable biological assets	29.2
Goodwill on acquisition	34.1
Gain on bargain purchase	34.1
Insurance provision – life	39.1
Insurance provision – general	39.2
Unearned premium reserve	39.2
Deferred acquisition cost	39.2
Defined benefit obligation	43
Deferred tax	33
Deferred tax on undistributed profits of equity accounted investees	33
Write-off policy	3.4.3.6
Collective allowance for impairment	3.4.3
Leasehold right to bare land	35.12
Impairment of non-financial assets	3.5
Material NCI	31.6
Provisions for liabilities, commitments, and contingencies	46
Net Realisable value of Inventories	24
Determination of Incremental Borrowing Rate for the assessment of Lease Liabilities and ROU Assets	27
Extension policy of the lease term of operating lease agreements	38.4

2.6. Comparative Information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period's Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.7. Materiality, Presentation and Aggregation

As per LKAS – 01 "Presentation of Financial Statements", each material class of similar items are presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial.

Notes to the Financial Statements are presented in a systematic manner which ensures the understandability and comparability of Financial Statements of the Group and the Company. Understandability of the Financial Statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

The assets and liabilities of the Group presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern.

2.8. Offsetting

Financial assets and financial liabilities are offset, and the net amount presented in the Statement of Financial Position, only when there is a currently legally enforceable right to offset the recognised amounts and there is an intention either to settle on a net basis or to realise the asset and settle the liability simultaneously. Income and expenses are not offset in the Income Statement unless required or permitted by a Sri Lanka Accounting Standard [SLFRS/LKAS] or an Interpretation thereof, and as specifically disclosed in the Significant Accounting Policies of the Group.

2.9. Going Concern

It is the view of management that there are no material uncertainties that may cast significant doubt on the Group's ability to continue as a going concern. This assessment reflects the Group's improved operating environment, the continued operationalisation of risk mitigation initiatives, ongoing monitoring of business continuity and response plans at each business unit level, and the overall financial strength of the Group. The management has formed judgment that the Company, its subsidiaries, associates and joint ventures have adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these financial statements.

In determining the above significant management judgements, estimates and assumptions been considered as of the reporting date and specific considerations have been disclosed under the relevant notes.

2.10. Directors' Responsibility for the Financial Statements

The Board of Directors is responsible for the preparation and fair presentation of these Financial Statements in accordance with Sri Lanka Accounting Standards and as per the provisions of

the Companies Act No. 07 of 2007. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of Financial Statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

The Board of Directors acknowledges their responsibility as set out in the "Annual Report of the Board of Directors on the Affairs of the Company" and "Director's Responsibility for Financial Reporting".

These Financial Statements include the following components.

- A Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end.
- A Statement of Profit or Loss providing the information on the financial performance of the Group and the Company for the year under review.
- A Statement of Other Comprehensive Income providing the information of the other comprehensive income of the Group and the Company.
- A Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company.
- A Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and the needs of entities to utilise those cash flows, and
- Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

2.11. Approval of Financial Statements by the Board of Directors

The Financial Statements of the Group and the Company for the year ended 31 March 2026 (including comparatives) were approved and authorised for issue by the Board of Directors on 28 August 2026.

2.12. Changes in Accounting Policies

The Group has consistently applied the accounting policies as set out in Note 3 to all periods presented in these consolidated financial statements.

While there are other amendments to the existing standards which are also effective from 1st January 2025, those do not have a material effect on the Group/separate financial statements.

2.13. Changes in Accounting Policies and Disclosures

a) New and amended SLFRS Accounting Standards that are effective for the first time during the current year

- Amendments to LKAS 21 The Effects of Changes in Foreign Exchange Rates - Lack of Exchangeability

2.13.1 Amendments to LKAS 21 The Effects of Changes in Foreign Exchange Rates - Lack of Exchangeability

The amendments specify how to assess whether a currency is exchangeable, and how to determine the exchange rate when it is not. The amendments state that a currency is exchangeable into another currency when an entity is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations.

An entity assesses whether a currency is exchangeable into another currency at a measurement date and for a specified purpose. If an entity is able to obtain no more than an insignificant amount of the other currency at the measurement date for the specified purpose, the currency is not exchangeable into the other currency.

The assessment of whether a currency is exchangeable into another currency depends on an entity's ability to obtain the other currency and not on its intention or decision to do so. When a currency is not exchangeable into another currency at a measurement date, an entity is required to estimate the spot exchange rate at that date. An entity's objective in estimating the spot exchange rate is to reflect the rate at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions.

The amendments do not specify how an entity estimates the spot exchange rate to meet that objective. An entity can use an observable exchange rate without adjustment or another estimation technique.

b) New and revised SLFRS Accounting Standards in issue but not yet effective

- Amendments to SLFRS 9 and SLFRS 7 Classification and Measurement of Financial Instruments - Effective for annual reporting periods beginning on or after 1 January 2026
- SLFRS 18 Presentation and Disclosures in Financial Statements - Effective for annual reporting periods beginning on or after 1 January 2027
- SLFRS 19 Subsidiaries without Public Accountability: Disclosures -Effective for annual reporting periods beginning on or after 1 January 2027
- Amendment to LKAS 21 - Translation to a Hyperinflationary Presentation Currency -Effective for annual reporting periods beginning on or after 1 January 2027

2.13.2 Amendments to SLFRS 9 and SLFRS 7 - Classification and Measurement of Financial Instruments

These amendments clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system. These amendments further clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion.

These amendments add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance (ESG) targets); and make

updates to the disclosures for equity instruments designated at Fair Value through Other Comprehensive Income (FVOCI).

The amendments are effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted.

2.13.3 SLFRS 18 Presentation and Disclosures in Financial Statements

SLFRS 18 replaces LKAS 1, carrying forward many of the requirements in LKAS 1 unchanged and complementing them with new requirements. In addition, some LKAS 1 paragraphs have been moved to LKAS 8 and SLFRS 7.

SLFRS 18 introduces new requirements to:

- present specified categories and defined subtotals in the statement of profit or loss
- provide disclosures on management-defined performance measures (MPMs) in the notes to the financial statements
- improve aggregation and disaggregation.

An entity is required to apply SLFRS 18 for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted.

2.13.4 SLFRS 19 Subsidiaries without Public Accountability: Disclosures

SLFRS 19 permits an eligible subsidiary to provide reduced disclosures when applying SLFRS Accounting Standards in its financial statements.

A subsidiary is eligible for the reduced disclosures if it does not have public accountability and its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with SLFRS Accounting Standards.

SLFRS 19 is optional for subsidiaries that are eligible and sets out the disclosure requirements for subsidiaries that elect to apply it.

An entity is only permitted to apply SLFRS 19 if, at the end of the reporting period:

- it is a subsidiary (this includes an intermediate parent)
- it does not have public accountability, and
- its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with SLFRS Accounting Standards.

Eligible entities can apply SLFRS 19 in their consolidated, separate or individual financial statements. An eligible intermediate parent that does not apply SLFRS 19 in its consolidated financial statement may do so in its separate financial statements.

The new standard is effective for reporting periods beginning on or after 1 January 2027 with earlier application permitted.

2.13.5 Amendment to LKAS 21 - Translation to a Hyperinflationary Presentation Currency

These narrow-scope amendments specify the translation procedures for an entity whose presentation currency is that of a hyperinflationary economy. The entity applies the amendments if:

- its functional currency is that of a non-hyperinflationary economy and it is translating its results and financial position into the currency of a hyperinflationary economy; or
- it is translating into the currency of a hyperinflationary economy the results and financial position of a foreign operation whose functional currency is that of a non-hyperinflationary economy.

The amendments aim to improve the usefulness of the resulting information in a cost-effective manner. Developed in response to stakeholder feedback, these amendments are expected to reduce diversity in practice and provide a clearer basis for reporting in a hyperinflationary currency.

The amendments are effective for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these Consolidated Financial Statements unless otherwise indicated.

These accounting policies have been applied consistently by entities within the Group.

3.1. Basis of Consolidation

3.1.1 Reporting Date

All the Group's Subsidiaries, Associate Companies and joint venture companies have a common financial year end which ends on 31st March other than LOLC General Insurance Limited, LOLC Life Assurance Limited, LOLC Asset Holdings Limited, LOLC International (Pvt) Ltd, LOLC Asia (Pvt) Ltd, LOLC Cambodia PlC, LOLC Global (Pvt) Ltd, NPH Investments (Pvt) Ltd, Pak Oman Microfinance Bank Limited, B Commodities ME (FZE), LOLC Financial Sector Holdings Private Limited, Bodufaru Beach Resorts (Private) Limited, Browns Ari Resort (Pvt) Ltd, Browns Kaafu N Resort (Pvt) Ltd, Browns Raa Resort (Pvt) Ltd, PT LOLC Management Indonesia, PT. LOLC Ventura Indonesia, NPH Development (Pvt) Ltd, Patronus Wealth Holdings Limited, Fortigrains Private Limited, LOLC Central Asia (Pvt) Ltd, LOLC Ventures FZE, Qirat Investments LLC, BI Leisure Holdings FZE, PL Resorts LTD,Serendib Micro Insurance PLC, LOLC UNGUKA Finance PLC,LOLC Finance Limited Malawi,LLC MDO LOLC Moliya, Fina Trust Micro Finance Bank Ltd, LOLC El-Oula Microfinance Eygpt,LOLC Tanzania Financial Services Ltd,Yambukai Finance,Browns Plantation Rwanda Ltd, Browns Plantation Tanzania Ltd, Limuru Tea PLC, Browns Plantation East Africa Ltd, Browns Plantations Kenya Limited, Browns Plantations (Guizhou) Tea Co.Ltd, Browns Tea Trading FZCO and Seylan Bank PLC whose financial year ends on 31st December.

However, for the Group financial reporting purposes; the Financial Statements ended 31 March of the above mentioned subsidiaries and associates are considered.

3.1.2 Balances and Transactions Eliminated on Consolidation

Intragroup balances and transactions, including income, expenses and dividends, are eliminated in full. Profits and losses resulting from intragroup transactions that are recognised in assets, such as inventory and fixed assets, are eliminated in full.

Unrealised gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Group's interest in the investee.

3.1.3 Business Combinations

All business combinations have been accounted for by applying the acquisition method in accordance with the SLFRS 3 - Business Combinations. Applying this method involves the entity that obtains control over the other entity to recognise the fair value of assets acquired and liabilities and contingent liabilities assumed, including those not previously recognised. Further, the measurement period ends on the earlier of the date when the acquirer receives the information that it needs (or determines that it cannot obtain the information) and one year after the acquisition date.

3.1.4 Cost of Acquisition

The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange. This excludes any transaction costs incurred.

3.2. Foreign Currency

3.2.1 Foreign Currency Transactions

Transactions in foreign currencies are translated to the presentation currency (Sri Lankan Rupees - LKR) of the Group at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the exchange rate at that date. The foreign currency gain or loss on monetary items are the difference between amortised cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year and the amortised cost in foreign currency translated at the exchange rate at the end of the year.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are recognised in Statement of statement of profit or loss.

3.2.2 The Net Gain or Loss on Conversion of Foreign Operations

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisitions, are translated into Sri Lanka Rupees (LKR) at spot exchange rates at the reporting date. The income and expenses of foreign operations are translated into Sri Lanka Rupees at spot exchange rates at the dates of the transactions.

Foreign currency differences are recognised in OCI, and accumulated in the foreign currency translation reserve (Translation reserve), except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of such that control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to Profit or Loss as part of the gain or loss on disposal. If the Group disposes of only part of its interest in a subsidiary that includes a foreign operation while relating control, then the relevant proportion of the cumulative amount is attributed to NCI.

If a settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely in the foreseeable future, the foreign currency differences arising on the item form part of the net investment in the foreign operation and are recognised in OCI, and accumulated in the translation reserve within equity.

3.3. Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When available, the Group measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, the Group establishes fair value using valuation techniques. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analysis and other equity pricing models.

The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the Group, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument or based

on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in Statement of Financial position.

3.3.1 Valuation of Financial Instruments

The Group measures the fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements.

Level 1 – Quoted market price (unadjusted) in an active market of an identical instrument.

Level 2 – Valuation techniques based on observable inputs, either directly (i.e., as prices) or indirectly (i.e., derived from prices), this category included instruments valued using: quoted market prices in active markets similar instruments; quoted prices for identical or similar instruments in markets are considered less than active: or other valuation techniques where all significant inputs are directly observable from market data.

Level 3 – Valuation techniques use significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation.

This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Fair values of financial assets and financial liabilities that are traded in active markets are based on quoted market prices or dealer price quotations. For all other financial instruments, the Group determines fair values using valuation techniques

Valuation techniques include comparison of similar instruments for which market observable prices exist, other equity pricing models and other valuation models.

The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instruments at the reporting date that would have been determined by market participants acting at arm's length.

The Group widely recognised valuation models for determining fair value of common and more simple financial instruments. Observable prices and model inputs are usually available in the market for listed debt and equity securities. Availability of observable market inputs reduces the need for management judgment and estimation and also reduces the uncertainty associated with determination of fair values. Availability of observable market prices and inputs varies depending on the products and markets are is prone to changes based on specific events and general conditions in the financial markets.

3.4. Financial assets and Financial liabilities

3.4.1 Initial recognition

All financial assets and liabilities excluding loans and advances to customers and balances due to customers are initially recognised on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. This includes regular way purchases and sale of financial assets. The group recognises loans and advances, deposits and subordinated liabilities, etc., on the date which they are originated.

The classification of financial instruments at initial recognition depends on their cash flow characteristics and the business model for managing the instruments as described in note 3.4.2.1 and 3.4.2.2 to the financial statements.

All financial instruments are measured initially at their fair value plus or minus transaction costs that are directly attributable to its acquisition or issue, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss. Trade receivables are measured at transaction price as per SLFRS 9 which do not have a significant financial component as defined by SLFRS 15. When the fair value of financial instruments at initial recognition differs from the transaction price, the Group accounts for the 'Day 1' profit or loss, as described below..

3.4.1.1 "Day 1" profit or loss

When the transaction price of the instrument differs from the fair value at origination and the fair value is based on a valuation technique using only inputs observable in market transactions, the Group recognises the difference between the transaction price and fair value in other income.

In those cases, where fair value is determined based on models for which some of the inputs are not observable, the difference between the transaction price and the fair value deferred and is only recognised in the statement of profit or loss when the inputs become observable, or when the instrument is de-recognised.

The " Day 1 loss" arising in the case of loans granted to employees at concessionary rates under uniformly applicable schemes is deferred and amortised using effective interest rate (EIR) in " Interest Income" and "Personal Expense" over the remaining service period of employment or tenure of the loan which is lower.

3.4.2 Classification and Measurement of Financial assets

From 1st January 2018, the group classifies all of its financial assets based on the business model for managing the assets and the assets contractual terms, measured at either:

- Amortised cost.
- Fair Value through Other Comprehensive Income (FVOCI)
- Fair Value through Profit or Loss (FVPL)

The subsequent measurement of financial assets depends on their classification.

3.4.2.1 Business model assessment

Under SLFRS 9, The group makes an assessment of the objective of a business model in which an asset is held at a portfolio level due to the fact that it best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether Management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's Management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;

how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected); and

- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank's stated objective for managing the financial assets is achieved and how cash flows are realised.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

3.4.2.2 Assessment of whether Contractual Cash Flows are Solely Payments of Principal and Interest (SPPI)I

As second step to the classification process, the group assess the contractual terms of the financial assets to identify whether they meet the SPPI test.

For the purposes of this assessment, "principal" is defined as the fair value of the financial asset on initial recognition. "Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the group considers the contractual terms of the instruments. This includes assessing whether the financial asset contains a contractual term that could change the timing or contractual cash flows such that it would not meet this condition. In making the assessment the Group considers::

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Group's claim to cash flows from specified assets and
- features that modify consideration of the time value of money (e.g. periodical reset of interest rates).

The Group holds a portfolio of long-term fixed-rate loans for which the Group has the option to propose to revise the interest rate at periodic reset dates. These reset rights are limited to the market rate at the time of revision. The borrowers have an option to either accept the revised rate or redeem the loan at par without penalty. The Group has determined that the contractual cash flows of these loans are SPPI met because the option varies the interest rate in a way that is consideration for the time value of money, credit risk, other basic lending risks and costs associated with the principal amount outstanding.

3.4.2.3 Financial Assets Measured at Amortised cost

3.4.2.3.1 Trade Receivables

Trade receivables are stated at the amounts they are estimated to realise, net of provisions for impairment. An allowance for impairment losses based on expected credit loss model at the time of origination and when there is a significant increase in credit risk.

3.4.2.3.2 Cash and cash equivalents

Cash and cash equivalents include cash in hand, placements with banks and loans at call and at short notice that are subject to an insignificant risk of changes in their fair value, and are used by the Bank in the management of its short-term commitments. Cash and cash equivalents are carried at amortised cost in the Statement of Financial Position.

Cash and cash equivalents comprise of cash in hand and cash at banks and other highly liquid financial assets which are held for the purpose of meeting short-term cash commitments with original maturities of less than three months which are subject to insignificant risk of changes in their fair value.

Bank overdrafts that are repayable on demand and form an integral part of the Group cash management and are included as a component of cash and cash equivalents for the purpose of the Statement of Cash Flows..

3.4.2.3.3 Investment securities measured at amortised cost

Investment securities measured at amortised cost include investments in corporate bonds , Government Securities and investment in term deposits which are kept to collect the contractual cash flows from the investments.

3.4.2.4 Financial assets measured at FVOCI

Financial assets measured at FVOCI include debt and equity instruments measured at fair value through other comprehensive income.

Debt instruments are measured at FVOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and for selling financial assets, where the assets cash flows represent payments of principal and interest.

Upon initial recognition, the group elected to apply irrevocable option for some of its equity investments held for strategic and statutory purposes as equity instruments at FVOCI.

3.4.2.5 Financial assets measured at FVTPL

As per SLFRS 9, all financial assets other than those classified at amortise cost or FVOCI are classified and measure at FVTPL. Financial assets at fair value through profit and loss include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis.

3.4.3 Identification and measurement of impairment of financial assets

3.4.3.1 Recognition of expected credit loss

The Group recognises loss allowances for Expected Credit Losses (ECL) on the following financial instruments that are not measured at FVTPL:

- Cash in hand and favourable bank balances
- Financial assets at amortised cost – Finance Lease receivables, hire purchases and operating lease
- Financial assets at amortised cost – Advances and Other Loans
- financial investments that are debt instruments measured at amortised cost
- financial investments that are debt instruments measured at Fair Value through Other Comprehensive income
- undrawn credit commitments

No impairment loss is recognised on equity investments.

The Group measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments on which credit risk has not increased significantly since their initial recognition.

The Group considers a debt investment security to have low credit risk when its credit risk rating is equivalent to the definition of "investment grade". The Group does not apply the low credit risk exemption to any other financial instruments.

12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12-month ECL is recognised are referred to as "Stage 1 financial instruments".

Life-time ECL are the ECL that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognised but which are not credit-impaired are referred to as "Stage 2 financial instruments".

3.4.3.2 Measurement of ECL

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- financial assets that are not credit impaired at the reporting date: as the present value of all cash shortfalls (i.e, the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive);
- financial assets that are credit impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and

3.4.3.3 Restructured financial assets

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised and ECL are measured as follows:

- If the expected restructuring will not result in derecognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset.
- If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition. This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

3.4.3.4 Credit impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt financial assets carried at FVOCI, and finance lease receivables are credit-impaired (referred to as "Stage 3 financial assets"). A financial asset is "credit-impaired" when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer
- a breach of contract such as a default or past due event;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

A loan that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. In addition, a loan that is past due for a period more than 180 days or classified as non-performing under CBSL Direction No. 03 of 2008 is considered credit-impaired.

3.4.3.5 Presentation of ECL in the statement of financial position

Loss allowances for ECL are presented in the Statement of Financial Position as follows:

- financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets;
- loan commitments and financial guarantee contracts: as a provision under other liabilities; – debt instruments measured at FVOCI: no loss allowance is recognised in the Statement of Financial Position because the carrying amount of these assets is their fair value.

3.4.3.6 Write off

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Group determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

Recoveries of amounts previously written off are included in "impairment losses on financial instruments" in the Statement of Profit or Loss and OCI. Financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts

3.4.4 Financial Liabilities

On initial recognition, the Group classifies financial liabilities, other than financial guarantees and loan commitments, into one of the following categories:

- Financial liabilities at amortised cost; and
- Financial liabilities at fair value through profit or loss,

The subsequent measurement of financial liabilities depends on their classification.

3.4.4.1. Financial liabilities at amortised cost

Financial Liabilities issued by the Group that are not designated at fair value through profit or loss are recognised initially at fair value plus any directly attributable transaction costs, by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

Subsequent to initial recognition these financial liabilities are measured at amortised cost using the effective interest method. Deposit liabilities including savings deposits, current deposits, fixed/time deposits, call deposits, certificates of deposit and debentures are classified as financial liabilities measured at amortised cost.

The EIR amortisation is included in "Interest expense" in the income statement. Gains and losses too are recognised in the income statement when the liabilities are derecognised as well as through the EIR amortisation process.

3.4.4.1.1 Due to banks and other financial institutions

Due to banks and other financial institutions These represents refinance borrowings, called money borrowings, credit balances in Nostro Accounts and borrowings from financial institutions. Subsequent to initial recognition deposits are measured at their amortised cost using the EIR method. Interest paid/payable on these borrowings is recognised in profit or loss..

3.4.4.1.2 Due to customers

Due to customers includes non-interest-bearing deposits, savings deposits, term deposits, deposits payable at call and certificates of deposit. Subsequent to initial recognition deposits are measured at their amortised cost using the EIR method, except where the Bank designates liabilities at fair value through profit or loss. Interest paid/ payable on these deposits is recognised in profit or loss.

3.4.4.1.3 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include derivative liabilities held for risk management purposes.

3.4.4.1.4 Trade Payable Balances

Trade payable balances include amounts payable to vendors and suppliers of the group.

3.4.5 Reclassification of Financial Assets and Liabilities

Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the Group changes its objective of the business model for managing such financial assets. Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

If a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in statement of profit or loss.

If the reclassification takes place out of the fair value through profit or loss category into the amortised cost measurement category, its fair value at the reclassification date becomes the new gross carrying amount.

If the reclassification takes place out of the amortised cost measurement category and into the fair value through other comprehensive income measurement category, fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in other comprehensive income. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

The Group did not reclassify any of its financial assets or liabilities in 2025/26.

3.4.6 Derecognition of financial assets and financial liabilities

3.4.6.1 Financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The contractual rights to receive cash flows from the financial asset have expired.
- The Group has transferred its rights to receive cash flows from the financial asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass–through' arrangement; and either:
- The Group has transferred substantially all the risks and rewards of the financial asset, or
- The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass– through arrangement, and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognises an associated liability.

The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Bank could be required to repay..

3.4.6.2 Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

3.4.7 Modification of Financial assets and Financial Liabilities

3.4.7.1 Financial assets

If the terms of a financial asset are modified, then the Group evaluates whether the cash flows of the modified asset are substantially different.

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and
- other fees are included in profit or loss as part of the gain or loss on derecognition

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximise recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Group plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place (refer write-off policy). This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortised cost or FVOCI does not result in derecognition of the financial asset, then the Bank first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognises the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs or fees incurred and fees received as part of the modification adjust the gross carrying amount of the modified financial asset and are amortised over the remaining term of the modified financial asset.

If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income calculated using the effective interest rate method.

3.4.7.2 Financial Liabilities

The Group derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability derecognised and consideration paid is recognised in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

If the modification of a financial liability is not accounted for as derecognition, then the amortised cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognised in profit or loss. For floating rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognised as an adjustment to the carrying amount of the liability and amortised over the remaining term of the modified financial liability by recomputing the effective interest rate on the instrument..

3.4.8 Offsetting financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, therefore, the related assets and liabilities are presented gross in statement of financial position.

3.5. Impairment of Non-Financial Assets

The carrying amounts of the Group's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset or its related Cash-Generating Unit (CGU) exceeds its estimated recoverable amount.

The Group's corporate assets do not generate separate cash inflows and are utilised by more than one CGU. Corporate assets are allocated to CGUs on a reasonable and consistent basis and tested for impairment as part of the testing of the CGU to which the corporate asset is allocated.

Impairment losses are recognised in Profit or Loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU (group of CGUs), and then to reduce the carrying amounts of the other assets in the CGU (group of CGUs) on a pro rata basis.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognised.

3.6. SLFRS 12 - Disclosure of Interests in Other Entities

SLFRS 12 - "Disclosure of Interests in Other Entities" is a consolidated disclosure standard requiring disclosures about an entity's interests in subsidiaries, joint arrangements, associates and unconsolidated 'structured entities'.

The objective of SLFRS 12 is to require the disclosure of information that enables users of Financial Statements to evaluate the nature of, and risks associated with, its interests in other entities, the effects of those interests on its financial position, financial performance and cash flows.

3.7. Capital Management

The Board of Directors monitors the return on capital investment on a regular basis. This review is mainly carried out through return on investment analysis prepared on a quarterly basis. The plan forecasts are also reviewed on a monthly basis to ensure that targets are met in order to manage the capital invested in Group Companies.

The Board of Directors also decides and monitors the level of dividends to ordinary shareholders.

The Company does not subject to any externally impose capital requirements. However, companies within the group have such requirement based on the industry in which such company is established. Group companies which require externally imposed capital will monitor such requirement on a regular basis and report to respective legal authority in order to ensure compliance with such regulatory requirement.

4 GROSS INCOME

Accounting Policy

Gross income comprises of interest Income, revenue, income and other income other than those relating to contributions from equity participants.

The following are the main components of the Gross Income;

Finance & Leasing	Earned income on leases, hire purchases, factoring, margin trading, loans and advances
Insurance	Gross written premium
Manufacturing, Industrial Trading & Related Services	Production, sale of consumer, agricultural, motor vehicles and items and providing related services
Leisure And entertainment	Accommodation sales, service charges, food & beverages income and outlet sales
Plantation	Sale of perennial crops (Tea, Rubber, Coconut, Timber etc.,)
IT Services	IT service fee
Stock Brokering	Brokerage fees
Power Generation	Sale of electrical energy
Construction	Contract fee
Real Estate	Rental Income

For the year ended 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Interest income	4.1	189,183,210	166,999,302	44,211,209	45,935,229
Revenue	4.2	158,218,826	109,230,926	1,966,686	2,218,769
Other operating income	4.3	42,532,213	33,661,545	1,284,761	1,036,708
Other income/(Expenses)	5	39,206,285	26,320,279	5,723,220	4,035,455
		429,140,534	336,212,052	53,185,876	53,226,161

4.1 Interest income

Accounting Policy

Interest income is recognised in the Income Statement using the effective interest rate (EIR) method.

Interest income and expense presented in the Income Statement include:

- Interest on financial assets measured at amortised cost (AC) calculated using EIR method;
- Interest on financial assets measured at fair value through other comprehensive income (FVOCI) calculated using EIR method;
- Interest on financial assets measured at fair value through profit or loss (FVTPL), calculated using the contractual interest rate.

Interest income on all trading assets are considered to be incidental to the Group's trading operations and are presented together with all other changes in the fair value of trading assets in net trading income.

Fair value changes on other derivatives held for risk management purposes, and other financial assets and liabilities carried at fair value through Profit or Loss, are presented in net income from other financial instruments at fair value through Profit or Loss in the statement of profit or loss.

Effective interest rate (EIR)

The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset or liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or liability. When calculating the effective interest rate, the Group estimates future cash flows considering all contractual terms of the financial instrument, but not future credit losses.

The calculation of the effective interest rate includes all fees and points paid or received, transaction costs, and all other premiums or discounts that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Leasing interest income	17,900,505	16,580,425	-	-
Interest income on foreign currency deposits	2,142,277	1,525,600	1,837,010	1,856,666
Advances and other loans interest income	160,987,467	139,796,517	42,372,720	44,072,575
Overdue interest income	7,076,994	6,152,170	1,479	5,988
Debt factoring income	1,075,967	2,944,590	-	-
	189,183,210	166,999,302	44,211,209	45,935,229

4.2 Revenue

Accounting Policy

Revenue is measured based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties. The Group recognises revenue when it transfers the promised good or service to a customer. Revenue is presented net of value added tax (VAT), rebates and discounts and after eliminating intragroup sales.

As per SLFRS 15, The Group recognizes revenue from contracts with customers when control of the goods or services is transferred to the customer at an amount that reflects the consideration that the Group is to be entitled in exchange for those goods or services. Determining the timing of the transfer of control of goods or services, at a point in time or over time, requires judgments taking into consideration the nature of goods or services that Group/Company offers.

Revenue from Goods Sold

Revenue from sale of goods is recognised on accrual basis at the point in time when control of the asset is transferred to the customer, generally on delivery of the goods.

The Group considers whether there are other promises in the contract that are separate performance obligations to which a portion of the transaction price needs to be allocated (e.g., warranties and free maintenance). In determining the transaction price for the sale of goods, the Group considers the effects of variable consideration, the existence of significant financing components, non-cash consideration, and consideration payable to the customer (if any).

Revenue from Rendering of Services

Revenue from services rendered is recognized in Profit or Loss in proportion to the stage of completion of the transaction at the reporting date. The stage of completion is assessed by reference to surveys of work performed.

Revenue from Accommodation Sales and Services Charge

Revenue from accommodation sales is recognized for the rooms occupied on a daily basis, together with outlet sales and other income from hotel operations.

90% of Service Charge collected from guests is distributed among the employees, retaining 10% of such service charges collected for recovery of breakages of cutlery, crockery, glassware and stainless steel items. Any balance amount of the retention after recovery of actual breakages is redistributed among employees after the end of each financial year.

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Sectorial revenue				
Manufacturing	11,356,152	232,078	-	-
Trading	56,154,429	47,028,789	164,699	821,167
Exports	6,018,020	1,199,586	-	-
Hotelier revenue	14,443,627	10,267,125	-	-
Real estate	597,736	537,970	-	-
IT services	739,128	239,183	-	-
Other services	1,359,555	1,299,736	-	-
Plantation	61,733,690	39,818,364	-	-
Ethanol sales	2,149,759	962,738	-	-
Travel and tours	2,103,336	1,744,260	1,801,987	1,397,602
Construction contract revenue	1,563,394	5,901,097	-	-
	158,218,826	109,230,926	1,966,686	2,218,769

4.3 Other operating income

Accounting Policy

Income comprises of net fee and commission income , earned premium on insurance contracts , recovery of contract written off and other operational income.

Net Fee and Commission Income

Fees and commission income and expense that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, investment management fees, sales commission, placement fees and syndication fees, are recognized as the related services are performed.

Other fees and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

For the year ended 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Earned premium on insurance contracts long term		12,640,543	10,233,027	-	-
Earned premium on insurance contracts general		8,416,793	8,224,401	-	-
Rentals & sales proceeds - contracts written off		2,997,008	2,953,991	10,104	24,124
Transfer fees and profit on termination		3,804,416	2,928,445	34	52
Arrangement / documentation fee & other	4.3.1	5,637,430	3,228,304	-	-
Insurance broking income		2,114	2,889	-	-
Management fee income		3,839,951	1,501,428	-	-
Shared service income		1,371,835	-	1,134,659	840,188
Other operational income		3,814,370	4,589,060	139,964	172,344
Other financial services		7,753	-	-	-
		42,532,213	33,661,545	1,284,761	1,036,708

4.3.1 Arrangement / documentation fee & other

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Loans and advances related services	2,288,681	919,015	-	-
Credit and debit cards related services	1,016,342	830,433	-	-
Trade and remittances related services	72,861	7,087	-	-
Other financial services	2,259,546	1,471,769	-	-
	5,637,430	3,228,304	-	-

5 OTHER INCOME/(EXPENSES)

Accounting Policy

Other Income/(expenses) comprises of net trading income related to trading assets and liabilities, income from government grant amortization, disposal gains or losses from non-current assets, fair value gains or losses related to investment property and income generated from various other sources.

Net Trading Income

Net trading income comprise of gains or losses related to trading assets and liabilities, and includes all realized and unrealized fair value changes, interest, dividends and foreign exchange differences.

Net income from Other Financial Instruments at Fair Value Through Profit or Loss

Net income from other financial instruments at fair value through Profit or Loss relates to non-trading derivatives held for risk management purposes that do not form part of qualifying hedge relationships and financial assets and liabilities designated at fair value through Profit or Loss, and include all realized and unrealized fair value changes, interest, dividends and foreign exchange differences.

Gains/(losses) on sale of property, plant and equipment

The gains or losses on disposal of property, plant and equipment are determined as the difference between the carrying amount of the assets at the time of disposal and the proceeds of disposal, net of incremental disposal costs. This is recognised as an item in "other income" in the year in which the Group transfers control of the asset to the buyer.

Dividend Income

Dividend income is recognised when the right to receive income is established. Usually, this is the ex-dividend date for quoted equity securities. Dividends are presented in net gains/ (losses) from trading, net gains/(losses) from financial investments or other income (net) based on the underlying classification of the equity investment.

Rental Income

Rental income from investment property is recognized in Profit or Loss on a straight-line basis over the term of the lease. Lease incentives granted are recognized as an integral part of the total rental income, over the term of the lease. Rental income from subleased property is recognized as other income.

Amortization of Government Grants Received

An unconditional government grant related to a biological asset is recognized in the Statement of profit or loss as other income when the grant becomes receivable.

Other government grants are recognized initially as deferred income at fair value when there is reasonable assurance that they will be received and the Group will comply with the conditions associated with the grant and are then recognized in the Statement of profit or loss as other income on a systematic basis over the useful life of the asset.

Grants that compensate the Group for expenses incurred are recognized in the Statement of profit or loss as other income on a systematic basis in the same periods in which the expenses are recognized.

Basis of recognition

Rent income, non-operational interest income, royalty income and franchise fees are accounted for on accrual basis. Dividend income is recognized when the right to receive payment is established. Gain on disposal of property, plant and equipment and other non-current assets.

For the year ended 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Rental income from investment properties		941,961	425,058	-	-
Royalty Income		73,459	67,677	-	-
Dividend income		48,134	231,410	682,270	1,117,771
Insurance policy fees		710,432	465,118	-	-
Asset hire income		68,902	33,038	7,958	10,788
Guarantee fee income		-	-	439,712	295,557
Advisory Charges		-	22,254	-	-
Interest received from government securities & other interest earning assets		2,197,493	2,243,841	-	-
Gain / (loss) on disposal of quoted and non-quoted shares		1,721,295	306,713	-	-
Gain / (loss) on disposal of group investments		314,267	25,159	-	-
Gain on disposal of property, plant and equipment		102,019	48,887	16,425	4,551
Change in fair value of investment properties	28	5,721,416	5,735,502	185,500	501,400
Gain/(loss) on change in fair value of consumable biological assets	29.1	5,082,868	910,095	-	-
Gain / (loss) on change in fair value of bearer biological assets		(6,865)	1,180	-	-
Gain/ (loss) on fair valuation of other FVTPL instruments		2,605,012	(238,670)	12	(2)
Gain/ (loss) on disposal of government securities		1,200,548	2,240,119	-	-
Foreign exchange gain / (loss)		5,269,923	1,213,426	2,563,158	(388,810)
Change in fair value of derivatives - forward contracts		5,788	17,793	-	-
Amortisation of deferred income		322,098	166,718	-	-
Penalty and early settlement interests		762,795	400,592	-	-
Commission income		1,961,486	1,243,491	-	-
Interest income on deposits		6,586,002	9,028,941	558,435	747,814
Rent income		-	-	212,080	138,496
Sale of timber		240,950	2,658	-	-
Income from Showback		1,996	3,969	695,832	758,784
Gain/(loss) on investment restructuring		-	(3,710,480)	-	-
Sundry income		3,274,306	5,435,790	361,838	849,106
Total		39,206,285	26,320,279	5,723,220	4,035,455

Foreign exchange income represents both revaluation gain/(loss) on the Group's net open position and realised exchange gain/(loss) on foreign currency transactions.

6 INTEREST EXPENSE

Accounting Policy

Interest expense is recognised in the Income Statement using the effective interest rate (EIR) method.

Interest income and expense presented in the Income Statement include:

- Interest on financial liabilities measured at amortised cost (AC) calculated using EIR method;
- Interest on financial liabilities measured at fair value through profit or loss (FVTPL) calculated using EIR method;

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Financial liabilities at amortised cost				
Customer deposits	47,902,759	46,634,469	-	-
Commercial papers and promissory notes	4,898,522	3,659,433	18,262,864	22,049,153
Overdraft and other short-term borrowings	6,595,415	2,639,661	8,430,915	6,559,041
Long term borrowings	8,175,069	8,317,623	3,679,256	3,753,640
Finance leases	69,406	33,346	-	182
Debenture interests	609,951	593,706	1,308,378	1,708,961
Right of use assets	515,387	486,339	-	-
Charges on forward rate contracts	1,175,335	951,610	-	-
	69,941,844	63,316,187	31,681,413	34,070,977

7 DIRECT EXPENSES EXCLUDING INTEREST EXPENSE

Accounting Policy

Direct Expenses excluding Finance Expenses includes expenses related to taxes other than income tax and Other direct Expenses.

Following are the main taxes applicable to the Group ;

Income Tax

Refer Note No 16.3 - Current tax expense

Economic Service Charge (ESC)

As per the provisions of Economic Service Charge Act No. 13 of 2006 and subsequent amendments thereto, ESC is payable on the liable turnover at specified rates. ESC is deductible from the income tax liability. Any unclaimed amount can be carried forward and set off against the income tax payable in the five subsequent years as per the relevant provision in the Act.

Economic Service Charge has been abolished with effect from 1st January 2020.

Social Security Contribution Levy (SSCL)

As per the provisions of the Social Security Contribution Levy Act, No. 25 of 2022, as amended, including the Social Security Contribution Levy (Amendment) Act, No. 10 of 2026, Social Security Contribution Levy (SSCL) is payable at the rate of 2.5% on the liable turnover of taxable persons, determined in accordance with the relevant provisions of the Act.

Value Added Tax on Financial Services (VAT on FS)

VAT on Financial Services is calculated in accordance with the amended VAT Act No. 7 of 2003 and subsequent amendments thereto. The base for the computation of VAT on Financial Services is the accounting profit before income tax adjusted for the economic depreciation and emoluments of employees. VAT on financial services is computed on the prescribed rate of 18%.

Sales Taxes (Value Added Tax and Turnover Tax)

Revenues, expenses and assets are recognized net of the amount of sales tax except for the following;
Sales tax incurred on a purchase of a assets or services is not recoverable from the taxation authority, in which case the sales tax is recognized as part of the cost of acquisition of the asset or as part of the expense item as applicable; and Receivables and payables that are stated with the amount of sales tax included.

The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of other receivables or other payables in the statement of financial position.

Withholding Tax on Dividends

Dividend distributed out of taxable profit of the local companies attracts a 10% deduction at source and is not available for set off against the tax liability of the Company. Withholding tax that arises from the distribution of dividends by the Company is recognized at the same time as the liability to pay the related dividend is recognized.

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Value Added Tax (VAT) on leases & VAT on financial services	6,666,818	6,507,590	-	-
Value Added Tax (VAT) on leases/general expenses other than VAT on financial services	7,671	8,485	339,053	546,463
Social Security Contribution Levy (SSCL), debits tax and others	477,679	332,533	-	-
Reinsurance premium	32	-	-	-
Insurance benefits, losses and expenses	13,621,102	9,636,435	-	4,880
Increase in long term insurance fund	1,889,766	3,710,641	-	-
Insurance expenses	2,120,917	1,499,563	-	-
Other direct expenses	1,130,537	1,341,678	-	-
	25,914,522	23,036,925	339,053	551,343

8 PERSONNEL EXPENSES

Accounting Policy

Employees' Provident Fund (EPF), Ceylon Plantation Provident Society (CPPS) and Estate Staff Provident Society (ESPS)

The Group and employees contribute 12% and 8% respectively on the salary of each employee to the above mentioned funds.

Employees' Trust Fund (ETF)

The Group entities contributes 3% of the salary of each employee to the Employees' Trust Fund.

Short-term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short-term cash bonus if the company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

For the year ended 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Salaries, wages and other benefits		50,000,790	42,077,391	1,552,713	1,285,534
Contribution to EPF/CPPS/ESPS		1,371,935	1,012,742	148,185	127,036
Contribution to ETF		420,219	319,507	37,046	31,759
Post-employment defined benefit plans cost	43.1	1,897,179	1,349,464	85,464	76,758
Amortization of prepaid staff cost	26.4	10,143	21,650	-	-
Staff compensation		9,181	12,768	-	-
Staff bonus		8,974,527	5,175,500	656,773	538,975
Staff training and development		359,847	263,692	16,444	9,652
Other staff related expenses		8,410,387	4,114,030	151,675	158,834
		71,454,208	54,346,743	2,648,300	2,228,548

9 IMPAIRMENT CHARGE ON FINANCIAL ASSETS

Accounting Policy

Impairment charges as per SLFRS 9

The Group recognises loss allowances for expected credit loss (ECL) on the following financial instruments that are not measured at FVTPL;

* Cash and cash equivalents
* Debt Securities Measured at Amortized Cost
* Debt Securities Measured at Fair Value Through Other Comprehensive Income
* Financial Assets at Amortized Cost - Finance Lease Receivables, Hire Purchases and Operating Leases
* Financial Assets at Amortized Cost - Advances and Other Loans
* Insurance Premium Receivables
* Trade Receivables

No impairment loss is recognised on equity investments.

The assessment of credit risk and the estimation of ECL are required to be unbiased and probability-weighted, and should incorporate all available information relevant to the assessment, including information about past events, current conditions and reasonable and supportable forecasts of economic conditions at the reporting date. In addition, the estimation of ECL should take into account the time value of money.

Computation of Expected Credit Losses

The Group computes ECL using three main components; a probability of default (PD), a loss given default (LGD) and the exposure at default (EAD) under the collective assessment. These parameters are generally derived from internally developed statistical models and historical data and then adjusted to reflect forward-looking information.

Probability of Default (PD)

The probability of default represents the likelihood of a borrower defaulting on its financial obligations either over the next 12 months (12m PD) or over the remaining lifetime (Lifetime PD) of the obligation. PD estimates are estimates at a certain date and days past due (DPD) is the primary input into the determination of the term structure of PD for exposures. DPD are determined by counting the number of days since the due date. The Group employs statistical models to analyse the data collected and generates estimates of the remaining lifetime PD of exposures and how these are expected to change as a result of the passage of time.

Loss Given Default (LGD)

The loss given default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral.

The Group estimates LGD parameters based on historical recovery rates of claims against defaulted counterparties. They are calculated on a discounted cash flow basis using EIR as the discounting factor. LGD is usually expressed as a percentage of the EAD.

Exposure At Default (EAD)

The exposure at default represents the expected exposure in the event of a default. The Group estimates EAD, taking into account the repayment of principal and interest from the reporting date to the default event together with any expected drawdowns of committed facilities.

To calculate EAD for a Stage 1 loan, the Group assesses the possible default events within 12 months. For all other loans, the EAD is considered for default events over the lifetime of the financial instrument.

Forward-looking information

The Group incorporates forward-looking information into both its assessment as to whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL.

The Group also obtained experienced credit judgement from economic experts and Credit and Risk Management Departments to formulate a base case, a best case and a worst case scenario. The base case represents a most-likely outcome and is aligned with information used by the Group for strategic planning and budgeting. The Group has identified and documented key drivers of credit risk both quantitative and qualitative for various portfolio segments.

Quantitative economic factors are based on economic data and forecasts published by the Respective Central Banks and other reliable sources.

Write-off of financial assets

Loans and debt securities are written off (either partially or in full) when there is no realistic prospect of recovery. This is generally the case when the Group determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Net impairment loss / (reversal) on;					
Cash in hand and favourable bank balances	18.3	(39,825)	78,383	-	-
Investment securities					
Financial assets measured at amortised cost					
Government securities	20.2.2.1	(24,007)	(8,061,367)	-	-
Financial assets at amortised cost/ Finance lease receivables, hire purchases and operating leases					
Finance lease receivables	21.1.4	(832,088)	(532,039)	-	-
Hire purchase receivables	21.2.3	8,499	6,088	-	-
Financial assets at amortised cost/ Advances and other loans					
Advances and loans	22.1.1	15,678,218	21,433,510	-	-
Factoring receivables	22.2.1	(2,037,020)	1,736,192	-	-
Gold loan receivables	22.3.1	17,886	(18,925)	-	-
Trade and other current assets	26	888,281	1,311,511	112,369	1,603,823
Contingent liabilities and commitments		(14,408)	4,572	-	-
Bad debts written off net of reversals		3,093,631	2,834,055	10,501	1,829
		16,739,167	18,791,980	122,870	1,605,652

9.1 Restructure of Sri Lanka International Sovereign Bonds

Financial Year 2025

The Government of Sri Lanka suspended the servicing of external public debts w.e.f. 12th April 2022. After an extensive debt restructuring process, in December 2024, Sri Lanka successfully completed the exchange of its Sri Lanka International Sovereign Bonds as part of its external debt restructuring efforts. The primary objective was to restore the country's debt sustainability by reducing the debt burden.

As per the terms of the exchange, the bond holders could opt for either "Global option" or "Local bond option". The Group has elected Global option for one of its foreign subsidiary and Local bond option for local subsidiary.

Type of Bonds	Key terms	Amount received by the Group
LKR Bond	30% of existing bonds exchanged into 8 variable-coupon LKR Treasury bonds (SLFR + 0.5%), maturing annually between 2036–2043, zero haircut.	LKR 4 Bn
USD step up Bond	70% of existing bonds exchanged into USD step-up bonds with 10% haircut; interest 1–3.5%; 10 capital instalments from June 2029 to June 2038; repayment in USD, or LKR if USD not feasible.	USD 28.9 Mn
USD denominated PDI Bonds	Issued on past due interest with 11% haircut; fixed 4% interest; repaid in USD; maturity in 2028	USD 11.6 Mn
USD denominated Macro Linked Bonds	59.3% of existing bonds exchanged into 4 USD bonds; maturity 2030–2038; early capital amortisation 50%; interest 3.1–9.75% linked to economic growth.	USD 28.9 Mn
USD denominated Governance Linked Bonds	13.7% of existing bonds exchanged into 1 USD bond; maturity June 2035, 50% early amortisation in 2034; interest 3.6–9.25% linked to governance KPIs.	USD 6.7 Mn

As per SLFRS 9 – "Financial Instruments", the above noted exchange resulted in derecognition of the previously held SLISBs due to the significant modification to the cashflows and the terms and conditions. The Group recognized the new instruments at fair value. The Group assessed the fair value of the new instruments in accordance with SLFRS 9 by using prevailing market value at time of restructuring.

The Group recognized a loss on derecognition of Rs.3.7 Bn in respect of this restructure, which was netted off against the realisation of the exchange fee bond paid to bondholders who validly delivered the original bonds before the expiration date which is reported under Note 5 to the financial statements in relation to Local bond option. The reversal of the brought forward impairment provision amounting to Rs.8 Bn is included in Note 9 to the financial statements which netted off against derecognition loss of Rs. 4.6 Bn in relation to Global option.

10 DEPRECIATION AND AMORTISATION

Depreciation of Property, Plant and Equipment

Depreciation is based on the cost of an asset less its residual value. Significant components of individual assets are assessed and if a component has a useful life that is different from the remainder of that asset, that component is depreciated separately.

Depreciation is recognized in Profit or Loss on a straight-line basis over the estimated useful life of each component of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term. Land is not depreciated.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is de-recognized.

Depreciation methods, useful life values are assessed at the reporting date. The estimated useful lives for the current year are as follows:

Free-hold and lease-hold Building	40-50 years
Reclaimed Lands	Lower of 50 Years or Lease Period
Free-hold and lease-hold Motor Vehicles	4-8 years
Furniture and Fittings	5-10 years
Office Equipment	4-8 years
Computer equipment	4-8 years
Plant and Machinery	8-20 years
Water Sanitation	20 years
Roads & Bridges	50 years
Penstock Pipes	20 years
Power/Electricity Supply	04 - 13 1/3 years
Security fencing	3 years
Cutlery, Crockery & Glassware	5 years
Linen	3 years
Swimming pool	10 years
Solar power plant	10 – 20 years

Amortization of Intangible Assets

Amortization is recognized in the Statement of profit or loss on a straight-line basis over the estimated useful life of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows;

Computer Software	5 years
License and Fees	20 years
Customer Base	5 years
Brand Name	10 years
Right to generate solar power	20 years

Depreciation of Bearer Biological Assets

Depreciation is recognized in Profit or Loss on a straight-line basis over the estimated useful life of each component of an item of Bearer Biological Asset.

The estimated useful lives for the current and comparative years are as follows;

Tea	30-33 1/3 years
Rubber	20 years
Coconut	50 years
Cardamom / Cinnamon	15 years
Sugarcane	5 years

Amortization of Right of Use Assets

Amortization is recognized in the statement of profit or loss on a straight-line basis over the Lease Term of respective Operating lease liabilities of the Right of Use Assets.

For the year ended 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Amortization of intangible assets	34.5	357,023	344,480	27,800	30,575
Depreciation of property, plant and equipment	35	11,685,877	8,382,335	491,069	134,260
Amortization of bearer biological assets	30.1	1,524,343	1,278,577	-	-
Amortization of right of use asset	27	3,942,531	2,753,820	19,674	21,830
		17,509,774	12,759,212	538,543	186,665

11 OTHER OPERATING EXPENSES

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Administration cost	40,776,266	34,681,194	2,202,692	2,448,930
Distribution and marketing costs	19,422,592	14,029,011	3,542,685	2,213,430
Other expenses	526,124	3,537,823	(9,543)	40,752
	60,724,982	52,248,028	5,735,834	4,703,112

12 RESULTS FROM OPERATING ACTIVITIES

Accounting Policy
Expenses are recognised in the statement of profit or loss on the basis of a direct association between the cost incurred and the earnings of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the statement of profit or loss in arriving at the profit for the year. For the purpose of presentation of the income statement, the "Function of Expenses" method has been adopted, on the basis that it presents fairly the elements of the Company's and Group's financial performance. Preliminary and pre-operational expenditure is recognized in the statement of profit or loss. Repairs and renewals are charged to the statement of profit or loss in the year in which the expenditure is incurred. **Directors' emoluments** Directors' emoluments represent the salaries paid to both Executive and Non-Executive Directors of the Group and the Company.

Results from operating activities are stated after charging all expenses including following:

For the year ended 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Remuneration to directors		1,402,070	1,730,443	58,673	39,960
Auditors' remuneration	12.1	627,731	282,470	16,885	11,201
Legal expenses		1,148,081	319,039	50,645	41,104
Secretarial fees		34,408	30,603	10,669	10,910
Professional fees		4,783,121	4,268,227	51,967	199,860
Deposit insurance premium	12.2	1,479,106	1,502,744	26,908	50,300
Advertising related expenses		2,179,163	1,410,465	34,305	28,653

12.1 Auditors' remuneration

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Remuneration for				
Audit related services	544,837	267,808	12,900	10,875
Non-audit related services	82,894	14,662	3,985	326
	627,731	282,470	16,885	11,201

12.2 Deposit Insurance Scheme

In accordance with the provisions of Part III of the Banking (Special Provisions) Act, No. 17 of 2023, and the Banking (Special Provisions) Act Directions No. 1 of 2023 – Administration and Management of the Sri Lanka Deposit Insurance Scheme, as amended, all Licensed Finance Companies are required to insure their eligible deposit liabilities with the Sri Lanka Deposit Insurance Scheme (SLDIS) administered by the Central Bank of Sri Lanka.

Eligible deposits are determined in accordance with the applicable Act and Directions issued by the Central Bank of Sri Lanka.

Licensed Finance Companies are required to pay a premium of 0.15% per annum on the total amount of eligible deposits (inclusive of accrued interest) as at the end of each month. The premium is payable within the period specified by the applicable Directions issued by the Central Bank of Sri Lanka.

13 NET FINANCE COST

13.1 Finance income

Accounting Policy
Finance income is recognised in the Income Statement using the effective interest rate (EIR) method. Finance income and expense presented in the Income Statement include: - Interest on financial assets measured at amortised cost (AC) calculated using EIR method; - Interest on financial assets measured at fair value through other comprehensive income (FVOCI) calculated using EIR method; - Interest on financial assets measured at fair value through profit or loss (FVTPL) calculated using EIR method; Finance income on all trading assets are considered to be incidental to the Group's trading operations and are presented together with all other changes in the fair value of trading assets in net trading income. Fair value changes on other derivatives held for risk management purposes, and other financial assets and liabilities carried at fair value through Profit or Loss, are presented in net income from other financial instruments at fair value through Profit or Loss in the statement of profit or loss. **Effective interest rate (EIR)** The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset or liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or liability. When calculating the effective interest rate, the Group estimates future cash flows considering all contractual terms of the financial instrument, but not future credit losses. The calculation of the effective interest rate includes all fees paid are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Leasing interest income	89,964	122,344	-	-
Interest income on foreign currency deposits	1,741,338	1,789,487	-	-
Advances and other loans interest income	5,337,252	5,370,930	-	-
	7,168,554	7,282,761	-	-

13.2 Finance expense

Accounting Policy
Finance expense is recognised in the Income Statement using the effective interest rate (EIR) method. Finance income and expense presented in the Income Statement include: - Interest on financial liabilities measured at amortised cost (AC) calculated using EIR method; - Interest on financial liabilities measured at fair value through profit or loss (FVTPL) calculated using EIR method;

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Financial liabilities at amortised cost				
Commercial papers and promissory notes	23,672,851	27,225,078	5,013,881	5,003,293
Overdraft and other short-term borrowings	12,174,714	10,055,911	-	-
Long term borrowings	12,651,633	13,907,181	812,658	853,701
Finance leases	259,430	149,308	-	-
Debenture interests	3,716,890	4,873,209	-	-
Right of Use Assets	1,134,536	960,824	5,995	7,316
Charges on forward rate contracts	(312)	(33,164)	-	-
	53,609,742	57,138,347	5,832,534	5,864,310

14 RESULTS OF EQUITY ACCOUNTED INVESTEES

14.1 Share of profits of equity accounted investees, net of tax

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
Associates	32.5	3,056,501	4,227,602
		3,056,501	4,227,602

For the year ended 31 March	Note	Company 2026 Rs.'000	Company 2025 Rs.'000
Subsidiaries	31.1	24,950,156	49,513,410
Associates	32.1	2,987,074	4,024,477
		27,937,230	53,537,887

14.2 Share of other comprehensive income of equity accounted investees (net of tax)

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
Other comprehensive income that will never be reclassified to profit or loss in subsequent periods:	32.5	542,055	879,150
Other comprehensive income that are or may be reclassified to profit or loss in subsequent periods :	32.5	(112,498)	542,611
		429,557	1,421,761

15 RESULTS ON INVESTMENT & DIVESTMENT OF GROUP INVESTMENTS

15.1 Gain on bargain purchase of Subsidiaries and Associates

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
Subsidiaries			
Acquisition of Tea Smallholder Factories PLC	31.4.1.4	249,267	-
Acquisition of FLMC Plantations group	31.4.1.4	1,900,022	-
Acquisition of Browns Plantations East Africa Ltd	31.4.2.5	-	37,654,242
Acquisition of Limuru Tea PLC	31.4.2.5	-	5,135,287
Acquisition of Browns Plantations Rwanda Ltd	31.4.2.5	-	3,015,266
Acquisition of Browns Plantations Tanzania Ltd	31.4.2.5	-	8,256,794
Acquisition of James Finlay Guizhou Company Ltd	31.4.2.5	-	424,515
		2,149,289	54,486,104

15.2 Gain /(loss) on divestment in Subsidiaries and Associates

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
Subsidiaries			
Disposal of Agstar Exports (Pvt) Ltd	31.5.1.4	(99)	-
Disposal of Browns Fabric Limited	31.5.2.4	-	39,003
Associates			
Disposal of Virginia International (Pvt) Ltd		2,885	-
Disposal of Commercial Insurance Brokers		-	67,023
Loss on reclassification of Sierra Cables PLC		-	(579,490)
		2,786	(473,464)

16 INCOME TAX EXPENSE

Accounting Policy

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the Income Statement, except to the extent it relates to items recognized directly in Equity or in OCI.

IFRIC 23 – Uncertainty over income tax treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 – "Income Taxes". It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments. The Interpretation specifically addresses the following:

* Whether an entity considers uncertain tax treatments separately
* The assumptions an entity makes about the examination of tax treatments by taxation authorities
* How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
* How an entity considers changes in facts and circumstances

The Group determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

The Group applies significant judgement in identifying uncertainties over income tax treatments. Since the Group operates in a complex environment, it assessed whether the Interpretation had an impact on its Consolidated Financial Statements. The Group determined, based on its tax compliance and transfer pricing study that it is probable that its tax will be accepted by the taxation authorities. The Interpretation did not have an impact on the Financial Statements of the Group.

Group tax expense is based on the taxable profit of individual companies within the Group. At present the tax laws of Sri Lanka do not provide for Group taxation.

16.1 Major components of income tax expense are as follows:

Accounting Policy

Current Tax

"Current tax" comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax receivable or payable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted, as at the reporting date. Current tax also includes any tax arising from dividends.

Provision for taxation is made on the basis of the accounting profit for the year, as adjusted for taxation purposes, in accordance with the provisions of the Inland Revenue Act No. 24 of 2017, effective from April 1, 2018. This also includes the major components of tax expense, the effective tax rates and a reconciliation between the profit before tax and tax expense, as required by the Sri Lanka Accounting Standard – LKAS 12 on "Income Taxes".

Provision for taxation on the overseas operations is made on the basis of the accounting profit for the year, as adjusted for taxation purposes, in accordance with the provisions of the relevant statutes in those countries, using the tax rates enacted or substantively enacted as at the reporting date.

Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

* temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
* temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
* taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available, against which they can be used. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available, against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted as at the reporting date.

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Group expects as at the reporting date to recover or settle the carrying amount of its assets and liabilities.

For the year ended 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Current tax expense	16.3	6,477,760	5,215,757	197,750	225,911
Deferred tax expense	33.5	(1,559,783)	(3,370,115)	65,207	110,101
Income tax expense reported in profit or loss		4,917,977	1,845,642	262,957	336,012

16.2 Numerical reconciliation of accounting profits to income tax expense

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Profit/(loss) before tax expense from continuing operations		29,102,664	54,342,619	32,348,026	55,508,319
(+)Disallowable expenses		38,943,316	27,013,379	7,024,100	6,354,397
(-)Allowable expenses		(24,766,449)	(6,439,629)	(339,360)	(288,352)
(-) Tax exempt income		(21,455,940)	(17,178,109)	(5,388,241)	(3,643,074)
(-) Allowable tax credits		(578,719)	(308,857)	-	-
(+)Tax losses incurred	16.6	32,397,219	59,771,097	11,931,430	14,534,129
(-)Tax losses utilized	16.6	(20,804,055)	(21,098,592)	(17,638,727)	(18,927,532)
(-) Others/Consolidation adjustments		(6,240,509)	(73,113,577)	(27,937,228)	(53,537,887)
Taxable Income		26,597,527	22,988,331	-	-
Income tax @					
30%		2,431,679	977,713	-	-
28%		533,558	-	-	-
25%		16,003	338,875	-	-
24%		480	-	-	-
20%		3,210,427	3,483,502	-	-
17%		520	72,607	-	-
15%		1,743	-	-	-
10%		45,354	52,918	-	-
Total tax expense		6,239,764	4,925,614	-	-
Average tax rate		23.46%	21.43%	-	-

16.3 Current tax expense

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Tax expense	16.2	6,239,764	4,925,614	-	-
(Over)/under provision in respect of previous years		100,436	(46,498)	100,591	-
Irrecoverable economic service charge		-	136,399	-	136,399
Irrecoverable remittance tax		28,456	39,042	-	-
Withholding tax on inter company dividends		97,159	158,005	97,159	89,512
Deemed dividend tax paid		11,945	3,195	-	-
Total current tax expenses		6,477,760	5,215,757	197,750	225,911

16.4 Effective Tax Rate

For the year ended 31 March	Group 2026 %	Group 2025 %	Company 2026 %	Company 2025 %
	16.90	3.40	0.81	0.61

16.5 A reconciliation of effective tax rate is as follows;

For the year ended 31 March	Group			
	2026		2025	
	Rs.'000	%	Rs.'000	%
Accounting profit/(loss) before income tax	29,102,664		54,342,619	
Income tax expense at the average statutory income tax rate	6,827,468	23.46%	11,643,767	21.43%
Disallowable expenses	9,136,079	31.39%	5,788,044	10.65%
Allowable expenses	(5,810,194)	-19.96%	(1,379,793)	-2.54%
Tax exempt income	(5,033,551)	-17.30%	(3,680,682)	-6.77%
Allowable tax credits	(135,767)	-0.47%	(66,177)	-0.12%
Tax losses incurred	7,600,368	26.12%	12,806,905	23.57%
Tax losses utilized	(4,880,619)	-16.77%	(4,520,708)	-8.32%
Others/ consolidation adjustments	(1,464,020)	-5.03%	(15,665,742)	-28.83%
Under / (over) provision in respect of previous years	100,436	0.35%	(46,498)	-0.09%
Irrecoverable economic service charge	-	0.00%	136,399	0.25%
Irrecoverable remittance tax	28,456	0.10%	39,042	0.07%
Withholding tax on inter company dividends	97,159	0.33%	158,005	0.29%
Deemed dividend tax paid	11,945	0.04%	3,195	0.01%
Deferred tax expense	(1,559,783)	-5.36%	(3,370,115)	-6.20%
Total tax expense	4,917,977	16.90%	1,845,642	3.40%

For the year ended 31 March	Company			
	2026		2025	
	Rs.'000	%	Rs.'000	%
Accounting profit/(loss) before income tax	32,348,026		55,508,319	
Income tax expense at the average statutory income tax rate	9,704,408	30.00%	16,652,496	30.00%
Disallowable expenses	2,107,230	6.51%	1,906,319	3.43%
Allowable expenses	(101,808)	-0.31%	(86,506)	-0.16%
Tax exempt income	(1,616,472)	-5.00%	(1,092,922)	-1.97%
Tax losses incurred	3,579,429	11.07%	4,360,239	7.86%
Tax losses utilized	(5,291,618)	-16.36%	(5,678,260)	-10.23%
Others/ consolidation adjustments	(8,381,168)	-25.91%	(16,061,366)	-28.94%
Under / (Over) provision in respect of previous years	100,591	0.31%	-	0.00%
Irrecoverable economic service charge	-	0.00%	136,399	0.25%
Withholding tax on inter company dividends	97,159	0.30%	89,512	0.16%
Deferred tax expense	65,207	0.20%	110,101	0.20%
Total tax expense	262,957	0.81%	336,012	0.61%

16.6 Tax Losses

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Losses brought forward	140,665,098	83,816,422	7,696,521	11,943,414
Adjustments for brought forward tax losses	(2,424,994)	(3,221,203)	(32,275)	146,508
Losses incurred	32,397,219	59,771,097	11,931,430	14,534,129
Losses utilized	(20,804,055)	(21,098,592)	(17,638,727)	(18,927,532)
Acquisition of subsidiaries	-	21,397,374	-	-
Losses carried forward	149,833,268	140,665,098	1,956,949	7,696,521

16.7 Income tax expense

Sri Lankan Operations

The income tax provision for LOLC Holdings PLC, its subsidiaries and equity accounted investees which are residents in Sri Lanka is calculated in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and subsequent amendments thereto.

In terms of above, except for the Companies which are enjoying income tax exemptions or subject to concessionary rates as set out below, the income tax provisions of companies have been calculated on their adjusted profits at the standard rate.

Companies exempt from income tax are given in note 16.8.1

Companies incorporated in Sri Lanka and operating outside Sri Lanka are given in note 16.8.2

Income tax concessions of off-shore subsidiaries are given in note 16.8.2

Income tax expense for the year includes, taxes arising from the dividend distributions by resident companies of the Group and any adjustment relating to income tax payable or receivable balances in respect of previous years.

LKAS 12 – "Income Taxes" and LKAS 10 – "Events after the Reporting Period", further state that where changes in tax rates or tax laws are enacted or announced after the reporting period, an entity shall disclose any significant effect of those changes on its current and deferred tax assets and liabilities.

Right-of-use (ROU) assets and operating lease liability

SLFRS 16 requires a company to recognise a right-of-use asset (lease asset) and a lease liability for operating leases. Over the lease term, the company recognises amortisation and interest expense as it uses the lease asset and settles the lease liability.

As per section 10 of the Inland Revenue Act No. 24 of 2017, amortisation and the notional interest charged to income statement would not be allowed for income tax. However, operating lease rentals paid would be a deductible expense for income tax under section 11 of the Inland Revenue Act No. 24 of 2017.

Accordingly, the income tax treatment on operating leases would result in a temporary difference and deferred tax is recognised.

IFRIC 23 - Uncertainty over income tax treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 - Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments.

The Group has applied significant judgement in identifying uncertainties over income tax treatments and has considered each uncertain tax treatment separately and used the approach that would predict the resolution of the uncertainty.

Tax losses carried forward

As per section 19 of the Inland Revenue Act No. 24 of 2017, any unclaimed tax losses incurred during the year could be carried forward for further six years. Such losses can be set off against profits without any limitation but subjecting to source of income as provided in the Act. As specified above, some companies in the Group have carried forward tax losses which are available to be set off against the future tax profits of the companies. Adjustment for taxation on the losses from overseas operations are made in accordance with the provisions of the relevant statutes in those countries.

Companies in the Group have evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognised accordingly. Deferred tax assets recognised on tax losses would be reviewed at each reporting date based on the taxable profit forecasts and would be reduced to the extent of recoverable amount.

16.8 Tax exemptions, concessions or holidays that have been granted

The tax liability of resident companies computed at the standard rate of 30% except for the following companies which enjoy full or partial exemptions and concessions.

16.8.1 Companies exempt from income tax

Companies exempt from income tax under the Board of Investment (BOI) Law

Company	Basis/ Statute	Period
Sun & Fun Resorts Ltd	Section 17 of BOI Law no. 04 of 1978	15 years ending 2030/2031

Companies exempt from income tax under Port City Commission Act No.11 of 2021

Company	Concessionary rate and statute	Period
Colombo Marina Development (Pvt) Ltd	Port City Commission Act No.11 of 2021	25 years exempt up to 2059 and 50% incentive from the prevailing rate for another 10 years

16.8.2 Income tax concessions of off-shore subsidiaries

Companies incorporated and operating outside Sri Lanka are liable for income tax in accordance with the provisions of the foreign jurisdictions applicable to our companies. We set out below the Income tax rates applicable for our companies in the foreign jurisdictions.

Company	Country of incorporation	Rate
ABN Micro Finance	The Kyrgyz Republic	10%
B Commodities ME FZE	United Arab Emirates	9% above AED 375,000
Bodufaru Beach Resort (Pvt) Ltd	Republic of Maldives	15%
Browns Ari Resort (Pvt) Ltd	Republic of Maldives	15%
Browns Engineering & Construction (Fiji) Pte Ltd	Republic of Fiji	20%
Browns E&C Technical Services Contracting LLC	United Arab Emirates	9% above AED 375,000
Browns Kaafu N Resort (Pvt) Ltd	Republic of Maldives	15%
BI Leisure Holdings FZE	United Arab Emirates	9% above AED 375,000
Browns Raa Resort (Pvt) Ltd	Republic of Maldives	15%
LLC MDO LOLC Moliya	Republic of Tajikistan	18%
Fina Trust Micro Finance Bank Ltd	Federal Republic of Nigeria	30% (Max)
Fortune Holdings SD (Pvt) Ltd	Republic of Singapore	17% (Max)
Fusion X Global FZC	United Arab Emirates	9% above AED 375,000
Grey Reach Investments Ltd	British Virgin Islands	Nil
IPay Global FZC	United Arab Emirates	9% above AED 375,000
Browns Plantations Kenya Limited	Republic of Kenya	30%
Lombard Microfinance Organisation	Republic of Tajikistan	18%
LOLC Kenya Microfinance Bank PLC	Republic of Kenya	30%
LOLC Africa Holdings (Pvt) Ltd	Republic of Singapore	17% (Max)
LOLC Asia (Pvt) Ltd	Republic of Singapore	17% (Max)
LOLC Finance Philippines Inc	Republic of Philippines	25%
LOLC Cambodia Plc	Kingdom of Cambodia	20%
LOLC Central Asia (Pvt) Ltd	Republic of Singapore	17% (Max)
LOLC EL-OULA Microfinance Egypt	The Arab Republic of Egypt	22.5%
LOLC Finance Limited Malawi	Republic of Malawi	30%
LOLC Finance Zambia Limited	Republic of Zambia	30%

Company	Country of incorporation	Rate
LOLC Financial Sector Holdings Private Limited	Republic of Singapore	17% (Max)
LOLC Global (Pvt) Ltd	Republic of Singapore	17% (Max)
LOLC India Finance Private Limited	Republic of India	30%
LOLC International (Pvt) Ltd	Republic of Singapore	17% (Max)
LOLC Mauritius Holdings Limited	Republic of Mauritius	17% (Max)
LOLC Myanmar Micro-Finance Company Limited	Republic of the Union of Myanmar	22%
LOLC Philippines Capital Holdings Corporation	Republic of Philippines	25%
LOLC Philippines Corporation	Republic of Philippines	25%
LOLC Philippines Holdings Incorporated	Republic of Philippines	25%
LOLC Bank Philippines Inc	Republic of Philippines	25%
LOLC Ventures FZE	United Arab Emirates	9% above AED 375,000
NPH Investments (Pvt) Ltd	Republic of Maldives	15%
Pak Oman Micro finance Bank Limited	Islamic Republic of Pakistan	29%
PL Resorts LTD	Republic of Mauritius	15%
PT LOLC Management Indonesia	Republic of Indonesia	22%
PT Sarana Sumut Ventura	Republic of Indonesia	22%
Qirat Investments LLC	United Arab Emirates	9% above AED 375,000
R-Finance' Microfinance Organization Limited Liability Partnership	Republic of Kyrgyzstan	10%
Serendib Micro Insurance PLC	Kingdom of Cambodia	22%
Sunbird Bioenergy (SL) Ltd	Republic of Sierra Leone	30%
LOLC Tanzania Financial Services Ltd	United Republic of Tanzania	30%
Urumaya Resources Pvt Ltd	Republic of Zimbabwe	25%
LOLC Unguka Finance PLC	Republic of Rwanda	28%
Yambukai Finance	Republic of Zimbabwe	25%
LFSH Investments Private Limited	Republic of Singapore	17% (Max)
Browns Plantations East Africa Ltd	Republic of Kenya	30%
Limuru Tea PLC	Republic of Kenya	30%
Browns Plantations Rwanda Ltd	Republic of Rwanda	28%
Browns Plantations Tanzania Ltd	United Republic of Tanzania	30%
James Finlay Guizhou Company Ltd	Republic of China	25%
Browns Tea Trading FZCO	United Arab Emirates	9% above AED 375,000

Other miscellaneous exemptions

Dividends from and gains on the realisation of shares in a non-resident company where derived by any person with respect to a substantial participation in non-resident company. (Holding 10% or more of shares together with control, either directly or indirectly, of 10% or more of the voting power in the company) in non-resident company).

Gains on realisation of shares quoted in any official list published by stock exchange licensed by the Securities and Exchange Commission of Sri Lanka.

The interest accruing to or derived by any person on moneys lying to his credit in foreign currency in any foreign currency account opened by him or on his behalf, in any commercial bank or in any specialized bank, with the approval of the Central Bank of Sri Lanka, on or after January 1, 2020;

Any service rendered in or outside Sri Lanka to any person to be utilized outside Sri Lanka, where the payment for such services is received in foreign currency and remitted through a bank to Sri Lanka on or after January 1, 2020 but prior to 1 April 2025.

Any foreign source where such gains and profits are earned or derived in foreign currency and remitted through a bank to Sri Lanka on or after 1 April 2025 liable at 15%.

Any income earned by any person by way of interest or discount paid or allowed, as the case may be, on any sovereign bond denominated in foreign currency, including Sri Lanka Development Bonds, issued by or on behalf of the Government of Sri Lanka;

A gain from the realisation of Sri Lanka international sovereign bonds issued by or on behalf of the Government of Sri Lanka and received or derived by a commercial bank or authorized dealer who made an aggregate investment not less than USD 100 million in such bonds on or after April 1, 2021;

Dividends paid by a resident company utilizing dividend received from another resident company

Amount derived from the sale of any gem on which tax at 2.5% under section 84(2) of the Act has been deducted by National Gem and Jewellery Authority from the sale price of a gem at an auction conducted by it.

Income tax on Share of Profit of Equity Accounted Investee

Income tax expense excludes, the Group's share of tax expense of the equity-accounted investees recognised in profit/(loss) of Rs. 3,200 Mn (2024/2025 - Rs. 2,555 Mn) which is included in 'share of profit of equity-accounted investees (net of tax).

16.9 Income tax recognized in other comprehensive income

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Tax (benefit) / expense on;				
Other comprehensive income that will never be reclassified to profit or loss in subsequent periods:				
Deferred tax charge/(reversal) on revaluation surplus	(643,250)	(5,531,380)	-	(449,496)
Deferred tax charge/(reversal) on actuarial gains/(losses)	250,010	186,601	34,801	(5,046)
Deferred tax charge/(reversal) on change in fair value on investments in equity instruments at FVTOCI	56,371	(123,226)	-	-
Other comprehensive income that are or may be reclassified to profit or loss in subsequent periods:				
Deferred tax charge/(reversal) on changes in fair value of hedging instruments	(6,039)	12,334	-	-
	(342,908)	(5,455,671)	34,801	(454,542)

Tax recognised directly in equity excludes, the Group's share of tax expense of the equity-accounted investees recognised directly in equity.

17 EARNINGS PER SHARE

Accounting Policy

The Group presents basic and diluted earnings per share data for its ordinary shares. Basic earnings per share is calculated by dividing the Profit or Loss attributable to ordinary shareholders of the Parent Company by the weighted average number of ordinary shares outstanding during the year. Diluted earnings per share is determined by adjusting the Profit or Loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares.

17.1 Basic earnings per share

The calculation of basic earnings per share for the year is based on the profit attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding calculated as follows;

For the year ended 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Profit attributable to equity holders of the Company					
Continuing operations		32,085,069	55,172,307	32,085,069	55,172,307
Discontinued operations		(416,835)	(5,460,757)	(416,835)	(5,460,757)
Profit attributable to ordinary equity holders of the parent for basic earnings		31,668,234	49,711,550	31,668,234	49,711,550
Weighted average number of ordinary shares	17.2	475,200	475,200	475,200	475,200
Earnings per share					
Basic, profit for the year attributable to ordinary equity holders of the parent		66.64	104.61	66.64	104.61
Diluted, profit for the year attributable to ordinary equity holders of the parent		66.64	104.61	66.64	104.61
Earnings per share for continuing operations					
Basic, profit for the year attributable to ordinary equity holders of the parent		67.52	116.10	67.52	116.10
Diluted, profit for the year attributable to ordinary equity holders of the parent		67.52	116.10	67.52	116.10
Earnings/(loss) per share for discontinued operations					
Basic, profit/(loss) from discontinued operations attributable to ordinary equity holders of the parent		(0.88)	(11.49)	(0.88)	(11.49)
Diluted, profit/(loss) from discontinued operations attributable to ordinary equity holders of the parent		(0.88)	(11.49)	(0.88)	(11.49)

17.2 Weighted average number of ordinary shares

For the year ended 31 March	Group		Company	
	2026 '000	2025 '000	2026 '000	2025 '000
Balance as at 01 April	475,200	475,200	475,200	475,200
Movement during the period	-	-	-	-
Balance as at 31 March	475,200	475,200	475,200	475,200

17.3 Diluted earnings per share

There were no potential dilutive ordinary shares outstanding at any time during the year or previous year. Therefore, not presented.

18 CASH AND CASH EQUIVALENTS

Accounting Policy

Cash and cash equivalents include cash in hand, demand placements with banks and loans at call/short notice and highly liquid financial assets with original maturities within three months or less from the date of acquisition. These are subject to an insignificant risk of changes in fair value and are used by the Group in the management of its short-term commitments. These items are brought to Financial Statements at face values or the gross values, where appropriate. There were no cash and cash equivalents held by the Group companies that were not available for use by the Group.

Cash and cash equivalents are carried at amortized cost in the Statement of Financial Position.

The maturity analysis of cash and cash equivalents is given in Note 54.1 on page 331.

18.1 Cash and short term deposits

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Cash in hand – local currency		10,270,704	9,121,592	42,417	66,609
Cash in hand – foreign currency		3,462,423	2,460,384	-	-
Balances with local banks		82,595,896	83,749,493	1,479,349	1,874,668
Balances with foreign banks		18,660,877	14,231,250	-	-
Other instruments which are less than 3 months maturity		2,388,930	2,484,774	-	-
Less: Expected credit loss/impairment allowance	18.3	(409,936)	(434,523)	-	-
Cash and cash equivalents		116,968,894	111,612,970	1,521,766	1,941,277

18.2 Unfavourable bank balances used for cash management purposes

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Bank overdrafts	(47,198,297)	(31,394,589)	(20,638,410)	(14,131,496)
Net cash and cash equivalents as in cash flow statement	69,770,597	80,218,381	(19,116,644)	(12,190,219)

18.3 Movement in provision for impairment during the year

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Movement in Stage 1 Impairment				
Balance as at April 01,	434,523	370,534	-	-
Charge/(write back) to the Income Statement	(39,825)	78,383	-	-
Net (writeoff)/recoveries during the year	(825)	(1,589)	-	-
Acquisition of Subsidiaries	21	-	-	-
Exchange translation difference	16,042	(12,805)	-	-
Balance as at March 31,	409,936	434,523	-	-

Cash at banks earns interest at floating rates based on daily bank deposit rates. Short-term deposits and other instruments are made for varying periods of between one day and three months, depending on the immediate cash requirements of the Group, and earn interest at the respective short-term deposit rates

The Group has pledged a part of its short-term deposits to fulfil collateral requirements. Refer to Note 48 for further details.

19 FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

Accounting Policy

This includes financial assets that are held for trading purposes. The financial assets are classified as held for trading if:

- They are acquired principally for the purpose of selling or repurchasing in the near term; or
- They are held as part of portfolio that is managed together for short-term profit or position taking; or
- They form part of derivative financial instruments entered into by the Group that are not financial guaranteed contracts or designated as hedging instruments in effective hedging relationships.

Financial assets held for trading are measured at fair value through profit or loss in the Statement of Financial Position. Interest and dividend income are recorded in "Interest Income" and "Net Gains/(Losses) from Trading" respectively in the Income Statement, according to the terms of the contract, or when the right to receive the payment has been established.

Financial assets held for trading include instruments such as Government and other debt securities and equity instruments that have been acquired principally for the purpose of selling or repurchasing in the near term.

Further as per SLFRS 9, financial assets recognised through profit or loss includes all financial assets other than those classified under fair value through other comprehensive income and amortised cost.

The maturity analysis of financial assets recognised through profit or loss is given in Note 54.1 on page 331.

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Debt Securities					
Corporate securities	19.1	5,794,863	19,002,361	-	-
Government securities	19.2	12,348,191	14,292,784	-	-
		18,143,054	33,295,145	-	-
Equity securities	19.3	6,108,796	13,001,111	32	20
Derivative assets held for risk management	19.4	38,802	691,399	-	-
		24,290,652	46,987,655	32	20

19.1 Corporate securities

As at 31 March	Group					
	2026			2025		
	No. of Units	Cost Rs.'000	Fair Value Rs.'000	No. of Units	Cost Rs.'000	Fair Value Rs.'000
Investments in unit trusts	52,078,156	5,631,272	5,709,060	205,116,595	17,650,000	18,535,001
Investment in mutual funds	149,579	85,803	85,803	4,367,843	467,360	467,360
		5,717,075	5,794,863		18,117,360	19,002,361

19.2 Government securities

As at 31 March	Group			
	2026		2025	
	Cost Rs. '000	Fair Value Rs. '000	Cost Rs. '000	Fair Value Rs. '000
Investments in treasury bills	114,241	115,057	9,850	54,277
Investments in treasury bonds	10,319,438	12,233,134	10,383,957	14,238,507
	10,433,679	12,348,191	10,393,807	14,292,784

19.3 Equity securities

Details of the equity trading portfolio

As at 31 March	Company					
	2026			2025		
	No. of Shares	Cost Rs.'000	Fair Value Rs.'000	No. of Shares	Cost Rs.'000	Fair Value Rs.'000
Power & Energy						
Laugfs Gas PLC	1,500	28	32	1,500	28	20
		28	32		28	20

As at 31 March	Group					
	2026			2025		
	No. of Shares	Cost Rs.'000	Fair Value Rs.'000	No. of Shares	Cost Rs.'000	Fair Value Rs.'000
Banking, Finance & Insurance						
DFCC Bank PLC	4,718	0.46	684	1,155,465	10,368	122,737
Hatton National Bank PLC	1,596	361	512	-	-	-
Pan Asia Bank PLC	-	-	-	298,698	4,500	10,533
Commercial Bank of Ceylon PLC	11,931	840	2,396	361,786	53,809	53,181
Merchant Bank of Sri Lanka	5,000	80	54	5,000	80	31
Nations Trust Bank PLC	20,352	1,528	5,887	20,178	1,528	3,844
Sampath Bank PLC	7,381	470	1,072	7,381	470	853
Union Bank of Colombo PLC	700	18	9	700	18	7
Nation Lanka Finance PLC	262,327	1,102	26	262,327	1,102	61
Vallibel Finance PLC	90,400	249	8,317	90,400	249	4,891
Peoples Leasing & Finance PLC	211,210	2,443	4,731	205,907	2,443	3,748
Softlogic Finance PLC	23,900	1,234	148	23,900	1,234	127
Beverage Food & Tobacco						
Raigam Wayamba Salterns PLC	26,200	66	511	26,200	66	223
Renuka Agri Foods PLC	172,675	791	2,158	172,675	791	604
Chemical & Pharmaceuticals						
Chemical Industries Colombo PLC	180	1	4	36	-	3
Construction & Engineering						
Colombo Dockyard PLC	3,300	107	403	600	107	46
Swisstek (Ceylon) PLC	51,790	602	4,117	51,790	602	2,501
Access Engineering PLC	10,000	270	670	10,000	270	396
Diversified Holding						
Hayleys PLC	1,050	64	226	1,050	40	144
John Keells Holdings PLC	3,820	32	70	3,820	32	77
Investment Trust						
Ambeon Holdings PLC	100	1	15	100	1	8
Land & Property						
C T Land Development PLC	22,222	539	824	22,222	539	724
Cargo Boat Development Company PLC	300	36	36	300	36	36
Manufacturing						
ACL Cables PLC	165,480	1,653	14,066	55,160	1,653	6,840
Piramal Glass Ceylon PLC	148,400	625	8,315	148,400	625	5,220
Motors						
Lanka Ashok Leyland PLC	100	293	266	100	293	95
United Motors Lanka PLC	50,000	495	1,500	5,000	495	448
Hotels & Resorts						
Aitken Spence Hotel Holdings PLC	3,800	403	348	3,800	403	304
Hospitals						
The Lanka Hospitals Corporation PLC	10,000	503	1,000	10,000	503	770
Power & Energy						
Laugfs Gas PLC	23,000	826	888	23,000	826	426
Plantations						
Malwatte Valley Plantations PLC	600	12	34	600	12	33
Transportation						
Digital Mobility Lanka PLC	62,008	3,769	8,511	31,110,782	1,890,898	2,274,198
Stock trading						
Wealth Trust Securities PLC	110,476,800	1,104,768	1,447,246	3,156,480	250,000	557,346
Designated equity investment at Fair Value						
Patronus Wealth Holdings (Mauritius) Limited	1,418,359	5,226,480	4,593,752	1,333,562	9,950,656	9,950,656
		6,350,660	6,108,796		12,174,649	13,001,111

19.4 Derivative assets held for risk management

Accounting Policy

Accounting for Derivative Financial Instruments

Derivatives are initially recognized at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at their fair value. Fair values are obtained from quoted market prices in active markets. All derivatives are carried as assets when the fair value is positive and as liabilities when the fair value is negative.

Hedge Accounting

The Group holds derivative financial instruments to hedge its foreign currency risk exposure. On initial designation of derivative as hedge instrument, the Group documents the relationship between the hedging instruments and the hedged items, its risk management objective and its strategy for undertaking the hedge.

Group treasury is also required to document assessments, both at hedge inception and on an on-going basis, of whether or not the hedging instruments, primarily forward rate contracts, that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items.

Cash Flow Hedge

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges as recognized in other comprehensive income and presented in the hedging reserve in equity. Any gain or loss in fair value relating to an ineffective portion is recognized immediately in the Profit or Loss during that period. The accumulated gains and losses recognized in other comprehensive income are reclassified to the statement of profit or loss in the periods in which the hedged item will affect Profit or Loss.

If the hedge instrument no longer meets the criteria for hedge accounting, expires or is sold, terminated or exercised, or the designation is revoked, then hedge accounting is discontinued prospectively. In such a case, the cumulative gain or loss on the hedging instrument that has been recognized in other comprehensive income from the period when the hedge was effective shall remain separately in equity until the forecasted transaction occurs.

Hedge Effectiveness Testing

To qualify for hedge accounting, at the inception of the hedge and throughout its life, each hedge must be expected to be highly effective and demonstrate actual effectiveness on an on-going basis. The documentation of each hedging relationship sets out how the effectiveness of the hedge is assessed.

For establish effectiveness, the hedging instrument is expected to be highly effective in offsetting changes in cash flows attributable to the hedged risk during the period for which the hedge is designated. For actual effectiveness to be achieved, the changes in cash flows must offset each other within the range of 80% to 125%. In evaluating the hedge effectiveness, the entity takes into account the future forward currency contracts and evaluates the effectiveness of the hedge by taking into consideration the total period of the hedged item. The ineffective portion of the derivative portion will be recognized immediately in Statement of Comprehensive Income.

Derivatives that do not qualify for Hedge Accounting

All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting are recognized immediately in the Profit or Loss.

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Currency swaps				
Sales	-	684,900	-	-
Purchases	29,072	-	-	-
Forward rate contracts				
Sales	(537)	-	-	-
Purchases	10,267	6,499	-	-
Total	38,802	691,399	-	-

Hedge Accounting

The Group entered in to forward exchange contracts in order to hedge the risk of variability in functional currency equivalent cash flows associated with the foreign currency- denominated loan. The forward contract is designated as a hedge of the changes in the cash flows relating to the changes in foreign currency rates relating to the loans.

Details	Description of the Hedge
Hedge Instruments	Forward foreign exchange contracts
Hedge Items	Foreign currency denominated borrowings

The fair value of derivatives designated as cash flow hedges are as follows:

As at 31 March	Group			
	2026		2025	
Instrument type:	Assets Rs. '000	Liabilities Rs. '000	Assets Rs. '000	Liabilities Rs. '000
Forward rate contracts	10,267	(17,588)	6,499	(1,938)
Notional amount	1,548,187	1,937,587	375,505	490,333

The maturity analysis of cash flows of the hedge item is given below.

For the year ended 31 March	2026		2025	
	Group Rs.'000	Company Rs.'000	Group Rs.'000	Company Rs.'000
Up to 3 Months	3,485,774	-	865,838	-
4 to 12 Months	-	-	-	-
Total	3,485,774	-	865,838	-

20 INVESTMENT SECURITIES

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Financial assets measured at fair value through other comprehensive income	20.1	16,243,075	8,756,701	563,282	536,101
Financial assets measured at amortised cost	20.2	132,262,035	132,135,185	40,875,921	44,401,684
		148,505,110	140,891,886	41,439,203	44,937,785

20.1 Financial assets measured at fair value through other comprehensive income

Accounting Policy

As per SLFRS 9, this comprises debt instruments measured at FVOCI and equity instruments designated at FVOCI.

Debt instruments at FVOCI

* The asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
* The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Debt instruments at FVOCI are subsequently measured at fair value with gains and losses arising due to changes in fair value recognised in OCI. Interest income, foreign exchange gains and losses, ECL and reversals are recognised in profit or loss. On derecognition, cumulative gains or losses previously recognised in OCI are reclassified from OCI to profit or loss.

Equity instruments at FVOCI

Upon initial recognition, the Group occasionally elects to classify irrevocably some of its equity investments held for strategic purpose, as equity instruments at FVOCI when they meet the definition of Equity under LKAS 32 "Financial Instruments: Presentation" and are not held for trading. Such classification is determined on an instrument-by-instrument basis.

Gains and losses on these equity instruments are never recycled to profit or loss instead directly transferred to retained earnings at the time of derecognition. Dividends are recognised in profit or loss in "Net other operating income" when the right of the payment has been established. Equity instruments at FVOCI are not subject to an impairment assessment.

The maturity analysis of Investment Securities is given in Note 54.1 on page 331.

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Corporate securities	20.1.1	8,312,344	69,863	-	-
Government securities	20.1.2	6,796,652	7,673,212	-	-
Designated FVOCI investment securities	20.1.3	411,647	335,373	105,077	105,077
Equity securities with readily determinable fair values	20.1.4	722,432	678,253	458,205	431,024
		16,243,075	8,756,701	563,282	536,101

20.1.1 Corporate securities

As at 31 March	Note	Group			
		2026		2025	
		Cost Rs. '000	Fair Value Rs. '000	Cost Rs. '000	Fair Value Rs. '000
Investments in Unit trusts		8,248,778	8,277,673	27,278	37,265
Investments in Debentures		17,960	34,671	17,960	32,598
		8,266,738	8,312,344	45,238	69,863

20.1.2 Government securities

As at 31 March	Note	Group			
		2026		2025	
		Cost Rs. '000	Fair Value Rs. '000	Cost Rs. '000	Fair Value Rs. '000
Investments in Treasury Bills		450	450	450	450
Investments in Treasury Bonds		5,327,471	6,796,202	6,497,154	7,672,762
		5,327,921	6,796,652	6,497,604	7,673,212

20.1.2.1 Movement in provision for impairment during the year

	2026 Rs. '000	2025 Rs. '000
Movement in Stage 1 Impairment		
Balance at the beginning of the year	-	36,443
Exchange rate variance on foreign currency provisions	-	(1,954)
Other adjustments	-	(34,489)
Balance at the end of the year	-	-

20.1.3 Designated FVOCI investment securities

The Group designated certain investments in equity securities as fair value through other comprehensive income as listed below. This designation was chosen as the investments are expected to be held for the long-term for strategic purposes. Fair value of the investments were determined using price to book value market multiples & market approach using multiples at the reporting date.

As at 31 March	Group					
	2026			2025		
	No. of Shares	Cost Rs.'000	Fair Value Rs.'000	No. of Shares	Cost Rs.'000	Fair Value Rs.'000
Ambeon Holding PLC	18,616	37	37	18,616	37	37
Credit Bureau Investment under CMA	15,353	4,518	4,714	15,353	4,518	4,445
Credit Information Bureau Limited	510	608	608	510	608	608
Equity Investments Lanka Limited	16,875	169	169	16,875	169	169
Finance Houses Consortium (Private) Limited	40,000	400	400	20,000	200	400
Indo Lanka Steel Limited	200,000	6,000	6,000	200,000	6,000	6,000
Lanka Glass Manufacturing Limited	3,000,000	3,000	3,000	3,000,000	3,000	3,000
Magpek Exports Limited	250,000	1,000	1,000	250,000	1,000	1,000
ODOC Private Limited	167,058	50,002	-	167,058	50,002	-
Rain Forest Eco Lodge (Private) Limited	1,247,000	12,470	34,024	847,000	470	38,409
Sri Lanka Institute of Nanotechnology	9,525,450	137,500	137,500	9,525,450	137,500	137,500
Venture Frontier Lanka	1,576,459	15,765	15,765	1,576,459	15,765	15,765
Investment in Group Companies	165,546,957	5,657,274	-	35,075,363	3,903,047	-
Others	101,374,980	101,433	234,395	935,922,255	340,683	154,005
(-) Provision for impairment 20.1.3.1			(25,965)			(25,965)
		5,990,176	411,647		4,462,998	335,373

As at 31 March	Company					
	2026			2025		
	No. of Shares	Cost Rs.'000	Fair Value Rs.'000	No. of Shares	Cost Rs.'000	Fair Value Rs.'000
Indo Lanka Steel Limited	200,000	6,000	6,000	200,000	6,000	6,000
Lanka Glass Manufacturing Limited	3,000,000	3,000	3,000	3,000,000	3,000	3,000
Magpek Exports Limited	250,000	1,000	1,000	250,000	1,000	1,000
Sri Lanka Institute of Nanotechnology	5,715,270	82,500	82,500	5,715,270	82,500	82,500
Venture Frontier Lanka	1,576,459	15,765	15,765	1,576,459	15,765	15,765
Other		22,577	22,577		22,577	22,577
(-) Provision for impairment 20.1.3.1			(25,765)			(25,765)
		130,842	105,077		130,842	105,077

20.1.3.1 Movement in provision for impairment during the year

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Movement in Stage 1 Impairment				
Balance at the beginning of the year	25,965	25,965	25,765	25,765
Charge/(write back) to the Income Statement	-	-	-	-
Balance at the end of the year	25,965	25,965	25,765	25,765

20.1.4 Equity securities with readily determinable fair values

As at 31 March	Group					
	2026			2025		
	No. of Shares	Cost Rs.'000	Fair Value Rs.'000	No. of Shares	Cost Rs.'000	Fair Value Rs.'000
Banking, Finance & Insurance						
The Housing Development and Finance PLC	9,707,740	451,700	458,205	9,707,740	451,700	431,024
Plantations						
Kenya Tea Packers Limited	10,222,984	247,229	264,227	10,222,984	247,229	247,229
		698,929	722,432		698,929	678,253

As at 31 March	Company					
	2026			2025		
	No. of Shares	Cost Rs.'000	Fair Value Rs.'000	No. of Shares	Cost Rs.'000	Fair Value Rs.'000
Banking, Finance & Insurance						
The Housing Development and Finance PLC	9,707,740	451,700	458,205	9,707,740	451,700	431,024
		451,700	458,205		451,700	431,024

20.2 Financial assets measured at amortised cost

Accounting Policy

Financial assets measured at amortised cost" includes amounts due from Corporate Bonds, Government Securities and Investment in Term Deposits hold by the Group.

As per SLFRS 9, Financial assets at amortized cost are assets that are held within a business model whose objective is to hold the assets in order to collect contractual cash flows and the contractual terms of the assets give rise on specific dates to cash flows that are solely payment of principal and interest on the principal outstanding.

After initial measurement, Financial assets at amortised cost are subsequently measured at gross carrying amount using the EIR, less provision for impairment, except when the Group designates these assets at fair value through profit or loss. EIR is calculated by taking into account any discount or premium on acquisition and fees and costs. The amortisation is included in "Interest Income" while the losses arising from impairment are recognised in "Impairment charges and other losses" in the Income Statement.

As per SLFRS 9, Financial assets are measured at amortised cost if it meets both of the following conditions and is not designated at FVTPL:

* The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
* The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial measurement, these assets are subsequently measured at amortised cost (gross carrying amount using the EIR, less provision for impairment). Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in "Interest Income" while the losses arising from impairment are recognised in "impairment charges for loans and other losses" in the Income Statement.

The maturity analysis of Investment Securities is given in Note 54.1 on page 331.

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Corporate bonds	20.2.1	8,288,473	7,917,809	459,366	400,582
Government securities	20.2.2	37,658,059	39,212,893	-	70,061
Investments in term deposits	20.2.3	86,315,503	80,096,163	40,416,555	43,931,041
Reverse Repo Instruments		-	4,908,320	-	-
		132,262,035	132,135,185	40,875,921	44,401,684

20.2.1 Corporate bonds

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Investment in debentures		-	2,234,334	-	-
Investment in commercial papers		8,288,473	5,683,475	459,366	400,582
		8,288,473	7,917,809	459,366	400,582

20.2.2 Government securities

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Reverse Repo Instruments		10,972,684	5,405,547	-	70,061
Investments in Treasury Bonds		16,783,839	16,018,789	-	-
Investments in Treasury Bills		2,197,057	1,054,568	-	-
Investments in Sovereign Bonds		7,761,698	16,815,215	-	-
Provision for impairment	20.2.2.1	(57,219)	(81,226)	-	-
		37,658,059	39,212,893	-	70,061

When the group purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a substantially similar asset) at a fixed price on a future date (reverse repo or stock borrowing), the arrangement is accounted for as a loan or advance, and the underlying asset is not recognised in the group's financial statements.

20.2.2.1 Movement in provision for impairment during the year

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Movement in Stage 1 Impairment				
Balance at the beginning of the year	81,226	21,771,459	-	-
Charge/(write back) to the Income Statement	(24,007)	(8,061,367)	-	-
Exchange rate variance on foreign currency provisions	-	(156,489)	-	-
Transfers/ Other adjustment	-	(13,472,377)	-	-
Balance at the end of the year	57,219	81,226	-	-

20.2.3 Investments in term deposits

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Placements		86,315,503	80,096,163	40,416,555	43,931,041
Net placements		86,315,503	80,096,163	40,416,555	43,931,041

Government securities

Government securities consist of treasury bills and treasury bonds held for liquidity management purposes which are measured at fair value through other comprehensive income and International Sovereign bonds which are measured at amortised cost using the effective interest rate.

Bank deposits

Bank deposits include fixed and call deposits which are measured at amortised cost using the effective interest rate. These financial assets are expected to be recovered through contractual cash flows.

21 FINANCIAL ASSETS AT AMORTISED COST/ FINANCE LEASE RECEIVABLES AND OPERATING LEASES

Accounting Policy

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated under FVTPL,

* The asset is held within a business model whose objectives is to hold assets to collect contractual cash flows; and
* The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payment of principal and interest on the principal amount outstanding.

Rental Receivables on Finance Leases

Rentals receivable on leased assets are accounted for as finance leases and reflected in the statement of financial position at balance cost recoverable after eliminating unearned income and deducting pre-paid rentals, rental collections and impairment losses.

Rental Receivables on Operating Leases

Leases where the group as the lessor effectively retains substantially all the risk and rewards incidental to the ownership are classified as operating leases. Lease rentals from operating leases are recognized as income on a straight-line basis over the lease term.

The maturity analysis of Financial assets at amortised cost/ Finance lease receivables and operating leases is given in Note 54.1 on page 331.

As at 31 March		Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross Portfolio		80,839,421	70,053,010	7,074	7,074
Stage 1		62,313,372	40,310,719	-	-
Stage 2		11,186,288	18,011,509	-	-
Stage 3		7,339,761	11,730,782	7,074	7,074
Expected credit loss		(2,558,296)	(3,388,335)	(7,074)	(7,074)
Stage 1		(175,339)	(122,688)	-	-
Stage 2		(112,670)	(156,334)	-	-
Stage 3		(2,270,287)	(3,109,313)	(7,074)	(7,074)
Net Portfolio		78,281,125	66,664,675	-	-

Analysis of net portfolio

By product

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Finance lease receivables	21.1	78,268,967	66,583,345	-	-
Hire purchase receivables	21.2	12,158	13,757	-	-
Operating lease receivables	21.3	-	67,573	-	-
		78,281,125	66,664,675	-	-

Finance lease receivables

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross rentals receivable		113,418,058	91,930,254	-	-
Unearned finance income		(32,625,763)	(21,983,916)	-	-
Net investments in finance leases		80,792,295	69,946,338	-	-
Expected credit loss	21.1.4	(2,523,328)	(3,362,993)	-	-
		78,268,967	66,583,345	-	-

21.1 Finance lease receivables

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Receivables within one year	21.1.1	45,802,091	26,798,235	-	-
Receivable from one to five years	21.1.2	28,964,923	36,657,718	-	-
Overdue rental receivable	21.1.3	6,025,281	6,490,385	-	-
(-) Expected credit loss	21.1.4	(2,523,328)	(3,362,993)	-	-
		78,268,967	66,583,345	-	-

21.1.1 Receivables within one year

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross rentals receivable	64,836,011	38,075,249	-	-
Unearned finance income	(19,033,920)	(11,277,014)	-	-
	45,802,091	26,798,235	-	-

21.1.2 Receivable from one to five years

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross rentals receivable	42,556,766	47,364,620	-	-
Unearned finance income	(13,591,843)	(10,706,902)	-	-
	28,964,923	36,657,718	-	-

21.1.3 Overdue rental receivable

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross rentals receivable	6,025,281	6,490,385	-	-
	6,025,281	6,490,385	-	-

21.1.4 Expected credit loss

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance at the beginning of the period	3,362,993	3,888,430	-	-
Net expected credit loss	(832,088)	(532,039)	-	-
Net write-off/(recoveries) during the year	(621,775)	(2,040,217)	-	-
Exchange rate variance on foreign currency provisions	183	(3)	-	-
Interest accrued on impaired loans and advances	244	184	-	-
Other movements/ Transfers	613,771	2,046,638	-	-
Balance at the end of the period	2,523,328	3,362,993	-	-

21.1.4.1 Movements in expected credit loss

	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Movements in expected credit loss				
Stage 1				
Balance as at 1 April	122,689	103,265	-	-
Charge/(write back) to income statement	52,526	19,821	-	-
Net write-off/(recoveries) during the year	-	(101)	-	-
Exchange rate variance on foreign currency provisions	33	(6)	-	-
Other movements/ Transfers	92	(290)	-	-
Balance as at 31 March	175,340	122,689	-	-
Stage 2				
Balance as at 1 April	155,691	105,156	-	-
Charge/(write back) to income statement	(42,929)	50,623	-	-
Net write-off/(recoveries) during the year	-	(1)	-	-
Exchange rate variance on foreign currency provisions	5	(2)	-	-
Other movements/ Transfers	(168)	(85)	-	-
Balance as at 31 March	112,599	155,691	-	-
Stage 3				
Balance as at 1 April	3,084,611	3,680,009	-	-
Charge/(write back) to income statement	(841,685)	(602,484)	-	-
Net write-off/(recoveries) during the year	(621,775)	(2,040,114)	-	-
Exchange rate variance on foreign currency provisions	147	4	-	-
Interest accrued/(reversals) on impaired loans and advances	244	184	-	-
Other movements/ Transfers	613,848	2,047,012	-	-
Balance as at 31 March	2,235,390	3,084,611	-	-

21.2 Hire purchase receivables

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Gross rentals receivable		40,543	32,245	-	-
Unearned finance income		(490)	(217)	-	-
Net investments in finance leases		40,053	32,028	-	-
Expected credit loss/impairment allowance	21.2.3	(27,895)	(18,271)	-	-
		12,158	13,757	-	-

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Receivables within one year	21.2.1	40,053	18,466	-	-
Overdue rental receivable	21.2.2	-	13,562	-	-
(-) Expected credit loss/impairment allowance	21.2.3	(27,895)	(18,271)	-	-
		12,158	13,757	-	-

21.2.1 Receivables within one year

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Gross rentals receivable	40,543	18,683	-	-
Unearned finance income	(490)	(217)	-	-
	40,053	18,466	-	-

21.2.2 Overdue rental receivable

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Gross rentals receivable	-	13,562	-	-
	-	13,562	-	-

21.2.3 Expected credit loss/impairment allowance

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance as at 1 April	18,271	19,222	-	-
Net expected credit loss/impairment during the year	8,499	6,088	-	-
Net write-off/(recoveries) during the year	-	(53)	-	-
Exchange rate variance on foreign currency provisions	1,222	205	-	-
Other movements/ Transfers	(97)	(7,191)	-	-
Balance as at 31 March	27,895	18,271	-	-

21.2.3.1 Movements in expected credit loss/ Impairment allowance during the year

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Movement in provision for impairment (under SLFRS 09)				
Stage 2				
Balance as at 1 April	643	101	-	-
Charge/(write back) to income statement	(584)	542	-	-
Exchange rate variance on foreign currency provisions	12	-	-	-
Balance as at 31 March	71	643	-	-
Stage 3				
Balance as at 1 April	17,628	19,121	-	-
Charge/(write back) to income statement	9,083	5,546	-	-
Net write-off/(recoveries) during the year	-	(53)	-	-
Exchange rate variance on foreign currency provisions	1,210	205	-	-
Other movements/ Transfers	(97)	(7,191)		-
Balance as at 31 March	27,824	17,628	-	-

21.3 Operating lease receivables

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Gross rentals receivable		7,074	1,661,562	7,074	7,074
Unearned finance income		-	(1,586,915)	-	-
Net investments in operating leases		7,074	74,647	7,074	7,074
Expected credit loss	21.3.3	(7,074)	(7,074)	(7,074)	(7,074)
Balance as at 31 March		-	67,573	-	-

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Receivables within one year	21.3.1	-	67,573	-	-
Overdue rental receivable	21.3.2	7,074	7,074	7,074	7,074
(-) Expected credit loss	21.3.3	(7,074)	(7,074)	(7,074)	(7,074)
		-	67,573	-	-

21.3.1 Receivables within one year

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Gross rentals receivable	-	1,654,488	-	-
Unearned finance income	-	(1,586,915)	-	-
	-	67,573	-	-

21.3.2 Overdue rental receivable

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Gross rentals receivable	7,074	7,074	7,074	7,074
Unearned finance income	-	-	-	-
	7,074	7,074	7,074	7,074

21.3.3 Expected credit loss

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Balance as at 1 April	7,074	7,074	7,074	7,074
Balance as at 31 March	7,074	7,074	7,074	7,074

Movements in expected credit loss

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
21.3.3.1 Movement in provision for impairment (under SLFRS 09)				
Stage 3				
Balance as at 1 April	7,074	7,074	7,074	7,074
Balance as at 31 March	7,074	7,074	7,074	7,074

21.4 Total finance lease, hire purchase and operating leases receivables

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross rentals receivable		113,465,674	93,624,057	7,074	7,074
Unearned finance income		(32,626,253)	(23,571,048)	-	-
Net investments in finance leases		80,839,421	70,053,009	7,074	7,074
Expected credit loss	21.4.4	(2,558,296)	(3,388,334)	(7,074)	(7,074)
Balance as at 31 March		78,281,125	66,664,675	-	-

Total finance lease, hire purchase and operating leases receivables

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Receivables within one year	21.4.1	45,842,144	26,884,274	-	-
Receivable from one to five years	21.4.2	28,964,923	36,657,718	-	-
Overdue rental receivable	21.4.3	6,032,354	6,511,017	7,074	7,074
(-) Expected credit loss	21.4.4	(2,558,296)	(3,388,334)	(7,074)	(7,074)
		78,281,125	66,664,675	-	-

21.4.1 Receivables within one year

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross rentals receivable	64,876,554	39,748,420	-	-
Unearned finance income	(19,034,410)	(12,864,146)	-	-
	45,842,144	26,884,274	-	-

21.4.2 Receivable from one to five years

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross rentals receivable	42,556,766	47,364,620	-	-
Unearned finance income	(13,591,843)	(10,706,902)	-	-
Prepayments received from lessees	-	-	-	-
	28,964,923	36,657,718	-	-

21.4.3 Overdue rental receivable

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross rentals receivable	6,032,354	6,511,017	7,074	7,074
Unearned finance income	-	-	-	-
	6,032,354	6,511,017	7,074	7,074

21.4.4 Expected credit loss

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance as at 1 April	3,388,334	3,914,724	7,074	7,074
Net expected credit loss	(823,589)	(525,952)	-	-
Net write-off/(recoveries) during the year	(621,775)	(2,040,269)	-	-
Exchange rate variance on foreign currency provisions	1,407	201	-	-
Interest accrued on impaired loans and advances	244	184	-	-
Other movements/ Transfers	613,675	2,039,446	-	-
Balance as at 31 March	2,558,296	3,388,334	7,074	7,074

21.4.4.1 Movements in expected credit loss

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Movements in expected credit loss				
Stage 1				
Balance as at 1 April	122,688	103,264	-	-
Charge/(Write back) to income statement	52,526	19,821	-	-
Net write-off/(recoveries) during the year	-	(101)	-	-
Exchange rate variance on foreign currency provisions	33	(6)	-	-
Other movements/ Transfers	92	(290)	-	-
Balance as at 31 March	175,339	122,688	-	-
Stage 2				
Balance as at 1 April	156,334	105,257	-	-
Charge/(Write back) to income statement	(43,513)	51,165	-	-
Net write-off/(recoveries) during the year	-	(1)	-	-
Exchange rate variance on foreign currency provisions	17	(2)	-	-
Other movements/ Transfers	(168)	(85)	-	-
Balance as at 31 March	112,670	156,334	-	-
Stage 3				
Balance as at 1 April	3,109,312	3,706,203	7,074	7,074
Charge/(Write back) to income statement	(832,602)	(596,938)	-	-
Net write-off/(recoveries) during the year	(621,775)	(2,040,167)	-	-
Exchange rate variance on foreign currency provisions	1,357	209	-	-
Interest accrued/(reversals) on impaired loans and advances	244	184	-	-
Other movements/ Transfers	613,751	2,039,821	-	-
Balance as at 31 March	2,270,287	3,109,312	7,074	7,074

21.5 Analysis of gross portfolio receivables by currency

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Sri Lankan Rupee	80,778,343	63,230,061	7,074	7,074
United States Dollar	21,025	16,006	-	-
Others	40,053	6,806,943	-	-
Gross loans and receivables	80,839,421	70,053,010	7,074	7,074

21.6 Concentration by Sector

21.6.1 Lending portfolio

As at 31 March	Finance lease and operating leases	Expected credit loss	Total	Finance lease and operating leases	Expected credit loss	Total
	2026			2025		
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Group						
Industry category						
Agriculture and fishing	29,289,922	(936,176)	28,353,746	24,598,130	(489,433)	24,108,696
Arts, entertainment and recreation	136,810	(4,212)	132,598	163,454	(5,361)	158,093
Construction	10,931,096	(336,532)	10,594,564	7,113,019	(155,796)	6,957,223
Education	549,838	(16,928)	532,910	677,149	(18,220)	658,929
Financial services	96,094	(2,958)	93,136	509,559	(33,462)	476,097
Healthcare, social services and support services	2,666,971	(84,667)	2,582,304	6,423,206	(1,735,063)	4,688,144
Information technology and communication services	171,952	(5,294)	166,658	305,471	(9,817)	295,653
Manufacturing	2,521,092	(77,616)	2,443,476	3,529,194	(170,283)	3,358,912
Plantation	59,423	-	59,423	-	-	-
Professional, scientific and technical activities	651,261	(20,050)	631,211	1,185,357	(43,735)	1,141,621
Tourism	754,490	(23,228)	731,262	860,854	(25,747)	835,108
Consumption	8,679,175	(268,083)	8,411,092	-	-	-
Transport and storage	17,232,907	(530,543)	16,702,364	14,807,702	(457,224)	14,350,478
Wholesale and retail trade	6,938,994	(213,584)	6,725,410	7,326,631	(204,371)	7,122,260
Others	159,396	(38,425)	120,971	2,553,284	(39,823)	2,513,461
	80,839,421	(2,558,296)	78,281,125	70,053,010	(3,388,335)	66,664,675
Company						
Others	7,074	(7,074)	-	7,074	(7,074)	-
	7,074	(7,074)	-	7,074	(7,074)	-

22 FINANCIAL ASSETS AT AMORTISED COST/ ADVANCES AND OTHER LOANS

Accounting Policy

A financial asset is measured at amortise cost if it meets both of the following conditions and is not designated under FVTPL,

* The asset is held within a business model whose objectives is to hold assets to collect contractual cash flows; and
* The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payment of principal and interest on the principal amount outstanding.

Advances and Other Loans to Customers

Advances and other loans to customers comprised of revolving loans, loans with fixed installments, factoring and gold loans.Revolving loans to customers are reflected in the statement of financial position at amounts disbursed less repayments and allowance for impairment losses. Loans to customers with fixed installments are stated in the statement of financial position net of possible loan losses and net of interest, which is not accrued to revenue.

Gold Loans

The Group provides gold loan facilities with different maturities which are less than one year. The amounts receivables from Gold loans are included in the advances and other loans at the amounts expect to be recovered.

The maturity analysis of Financial assets at amortised cost/ Advances and Other Loans is given in Note 54.1 on page 331.

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross Portfolio		1,038,412,295	797,646,763	87,767,639	92,871,873
Stage 01		733,788,509	512,846,926	-	-
Stage 02		98,620,970	104,770,436	-	-
Stage 03		206,002,816	180,029,401	87,767,639	92,871,873
Expected credit loss		(56,602,408)	(46,225,484)	(18,152)	(18,152)
Stage 1		(3,258,911)	(2,343,099)	-	-
Stage 2		(3,703,242)	(3,341,672)	-	-
Stage 3		(49,640,255)	(40,540,713)	(18,152)	(18,152)
Net Portfolio		981,809,887	751,421,279	87,749,487	92,853,721
Analysis of gross portfolio					
By product					
Advances and loans	22.1	890,078,974	704,535,303	87,749,487	92,853,721
Factoring receivables	22.2	8,713,209	5,125,381	-	-
Gold loan advances receivables	22.3	83,017,704	41,760,595	-	-
		981,809,887	751,421,279	87,749,487	92,853,721

22.1 Rentals receivable on Advances and Loans

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Rentals receivable on loans to customers		818,171,187	646,138,578	87,686,809	92,791,043
Capital outstanding of revolving loans		49,920,023	48,500,541	-	-
Instalment Sales		5,150,142	-	-	-
Gross rental receivables		873,241,352	694,639,119	87,686,809	92,791,043
Future interest		(36,806,729)	(27,944,326)	-	-
Net rental receivables		836,434,623	666,694,793	87,686,809	92,791,043
Overdue loan instalments		99,830,149	73,770,134	80,830	80,830
Expected credit loss	22.1.1	(46,185,798)	(35,929,624)	(18,152)	(18,152)
		890,078,974	704,535,303	87,749,487	92,853,721

22.1.1 Expected credit loss

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Balance as at 1 April	35,929,624	21,518,046	18,152	18,152
Net expected credit loss from continuing operations	15,678,218	21,433,509	-	-
Net write-off/(recoveries) during the year	(8,451,107)	(7,642,358)	-	-
Exchange rate variance on foreign currency provisions	1,105,365	(1,051,192)	-	-
Interest accrued on impaired loans and advances	1,006,464	867,065	-	-
Other movements/ Transfers	917,234	2,002,900	-	-
Financial assets derecognised or repaid (excluding write-offs)	-	(1,198,346)	-	-
Balance as at 31 March	46,185,798	35,929,624	18,152	18,152

22.1.1.1 Movements in expected credit loss

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Movements in expected credit loss				
Stage 1				
Balance as at 1 April	2,279,728	2,850,482	-	-
Charge/(write back) to income statement from continuing operations	2,154,683	2,476,087	-	-
Net write-off/(recoveries) during the year	46,354	(300,736)	-	-
Exchange rate variance on foreign currency provisions	(1,059,500)	(800,304)	-	-
Other movements/ Transfers	(221,745)	(1,125,565)	-	-
Financial assets derecognised or repaid (excluding write-offs)	-	(820,236)	-	-
Balance as at 31 March	3,199,520	2,279,728	-	-
Stage 2				
Balance as at 1 April	3,323,381	2,383,499	-	-
Charge/(write back) to income statement from continuing operations	728,554	2,025,404	-	-
Net write-off/(recoveries) during the year	(2,700)	(66,180)	-	-
Exchange rate variance on foreign currency provisions	287,807	(34,300)	-	-
Other movements/ Transfers	(653,540)	(793,652)	-	-
Financial assets derecognised or repaid (excluding write-offs)	-	(191,390)	-	-
Balance as at 31 March	3,683,502	3,323,381	-	-
Stage 3				
Balance as at 1 April	30,326,515	16,284,065	18,152	18,152
Charge/(write back) to income statement from continuing operations	12,794,981	16,932,018	-	-
Net write-off/(recoveries) during the year	(8,494,761)	(7,275,442)	-	-
Exchange rate variance on foreign currency provisions	1,877,058	(216,588)	-	-
Interest accrued/(reversals) on impaired loans and advances	1,006,464	867,065	-	-
Other movements/ Transfers	1,792,519	3,922,117	-	-
Financial assets derecognised or repaid (excluding write-offs)	-	(186,720)	-	-
Balance as at 31 March	39,302,776	30,326,515	18,152	18,152

22.2 Factoring receivables

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Factoring receivables		19,012,046	15,321,355	-	-
(-) Expected credit loss	22.2.1	(10,298,837)	(10,195,974)	-	-
		8,713,209	5,125,381	-	-

22.2.1 Expected credit loss

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Balance as at 1 April	10,195,974	8,459,782	-	-
Net expected credit loss	(2,037,020)	1,736,192	-	-
Net write-off/(recoveries) during the year	(6,218)	-	-	-
Interest accrued on impaired loans and advances	2,139,883	-	-	-
Other movements/ Transfers	6,218	-	-	-
Balance as at 31 March	10,298,837	10,195,974	-	-

22.2.1.1 Movements in expected credit loss

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Movements in expected credit loss				
Stage 1				
Balance as at 1 April	42,490	235,478	-	-
Charge/(Write back) to income statement	(14,336)	(161,705)	-	-
Other movements/ Transfers	-	(31,283)	-	-
Balance as at 31 March	28,154	42,490	-	-
Stage 2				
Balance as at 1 April	219	344	-	-
Charge/(Write back) to income statement	2,916	(5,540)	-	-
Other movements/ Transfers	-	5,415	-	-
Balance as at 31 March	3,135	219	-	-
Stage 3				
Balance as at 1 April	10,153,265	8,223,960	-	-
Charge/(Write back) to income statement	(2,025,600)	1,903,437	-	-
Net write-off/(recoveries) during the year	(6,218)	-	-	-
Interest accrued/(reversals) on impaired loans and advances	2,139,883	-	-	-
Other movements/ Transfers	6,218	25,868	-	-
Balance as at 31 March	10,267,548	10,153,265	-	-

22.3 Gold loan advances receivables

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Gross receivables		83,135,478	41,860,482	-	-
Expected credit loss	22.3.1	(117,774)	(99,887)	-	-
Balance as at 31 March		83,017,704	41,760,595	-	-

22.3.1 Expected credit loss

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Balance as at 1 April	99,887	118,813	-	-
Net expected credit loss	17,887	(18,926)	-	-
Net write-off/(recoveries) during the year	(1,712)	(4,096)	-	-
Other movements/ Transfers	1,712	4,096	-	-
Balance as at 31 March	117,774	99,887	-	-

22.3.1.1 Movements in expected credit loss

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Movements in expected credit loss				
Stage 1				
Balance as at 1 April	20,881	19,277	-	-
Charge/(Write back) to income statement	10,356	1,604	-	-
Balance as at 31 March	31,237	20,881	-	-
Stage 2				
Balance as at 1 April	18,072	23,243	-	-
Charge/(Write back) to income statement	(1,467)	(5,171)	-	-
Balance as at 31 March	16,605	18,072	-	-
Stage 3				
Balance as at 1 April	60,933	76,292	-	-
Charge/(Write back) to income statement	8,998	(15,359)	-	-
Net write-off/(recoveries) during the year	(1,712)	(4,096)	-	-
Other movements/ Transfers	1,712	4,096	-	-
Balance as at 31 March	69,931	60,933	-	-

22.4 Analysis of gross advance and other loans receivables by currency

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Sri Lankan Rupee	415,289,172	284,714,487	86,244,887	91,305,503
United States Dollar	294,896,472	269,187,151	1,522,752	1,566,370
Cambodian Riel	144,927,196	125,974,262	-	-
Pakistani Rupee	16,871,037	5,379,096	-	-
Myanmar Kyat	59,333,462	44,730,467	-	-
Indonesian Rupiah	5,726,432	6,205,452	-	-
Egyptian Pound	984,235	1,649,047	-	-
Indian Rupee	1,078,029	157,567	-	-
Nigerian Naira	1,570,068	797,188	-	-
Philippine Peso	8,391,429	7,469,552	-	-
Zambian Kwacha	14,288,525	6,909,749	-	-
Others	75,056,238	44,472,745	-	-
Gross loans and receivables	1,038,412,295	797,646,763	87,767,639	92,871,873

22.5 Maturities of the total advances and other loans

As at 31 March	Group					
	Advances and loans	Factoring receivables	Gold loan advances receivables	Advances and loans	Factoring receivables	Gold loan advances receivables
	2026			2025		
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Receivables within one year	214,798,399	19,012,046	83,135,478	241,964,541	15,321,353	41,860,484
Receivable from one to five years	429,559,918	-	-	337,601,277	-	-
Receivable later than five years	192,076,306	-	-	87,128,974	-	-
Overdue rental receivable	99,830,149	-	-	73,770,134	-	-
Less: Expected credit loss	(46,185,797)	(10,298,837)	(117,774)	(35,929,623)	(10,195,972)	(99,889)
	890,078,975	8,713,209	83,017,704	704,535,303	5,125,381	41,760,595

As at 31 March	Company					
	Advances and loans	Factoring receivables	Gold loan advances receivables	Advances and loans	Factoring receivables	Gold loan advances receivables
	2026			2025		
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Receivables within one year	87,686,809	-	-	92,787,114	-	-
Receivable from one to five years	-	-	-	3,930	-	-
Overdue rental receivable	80,830	-	-	80,830	-	-
Less: Expected credit loss	(18,152)	-	-	(18,152)	-	-
	87,749,487	-	-	92,853,721	-	-

22.6 Concentration by Sector

As at 31 March	Group					
	Gross amount	Expected credit loss	Carrying amount	Gross amount	Expected credit loss	Carrying amount
	2026			2025		
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Agriculture and fishing	161,913,213	(8,890,712)	153,022,501	139,894,466	(6,677,302)	133,217,164
Arts, entertainment and recreation	1,154,802	(37,401)	1,117,401	1,030,769	(20,486)	1,010,283
Construction	61,936,476	(2,013,543)	59,922,933	41,007,306	(1,404,966)	39,602,340
Education	9,609,548	(287,904)	9,321,644	6,228,576	(240,709)	5,987,867
Financial services	10,592,119	(160,982)	10,431,137	55,048,572	(225,052)	54,823,520
Healthcare, social services and support services	142,638,885	(5,023,118)	137,615,767	78,052,906	(3,279,677)	74,773,229
Information technology and communication services	2,420,592	(42,323)	2,378,269	2,378,496	(67,957)	2,310,539
Infrastructure development	142,845	(31,694)	111,151	2,620,189	(58,058)	2,562,131
Manufacturing	57,703,696	(2,288,297)	55,415,399	45,053,059	(1,715,650)	43,337,409
Plantation	11,520,506	(40,606)	11,479,900	19,504,005	(270,667)	19,233,338
Professional, scientific and technical activities	6,434,846	(282,144)	6,152,702	6,640,119	(151,836)	6,488,283
Tourism	10,720,884	(161,334)	10,559,550	7,181,035	(179,140)	7,001,895
Transport and storage	41,025,433	(1,204,478)	39,820,955	26,434,908	(1,026,666)	25,408,242
Wholesale and retail trade	194,779,273	(11,219,224)	183,560,049	304,018,767	(14,787,283)	289,231,484
Consumptions	199,238,332	(9,195,041)	190,043,291	3,576,454	(309,153)	3,267,301
Others	126,580,845	(15,723,607)	110,857,238	58,977,136	(15,810,882)	43,166,254
	1,038,412,295	(56,602,408)	981,809,887	797,646,763	(46,225,484)	751,421,279

As at 31 March	Company					
	Gross amount	Expected credit loss	Carrying amount	Gross amount	Expected credit loss	Carrying amount
	2026			2025		
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Financial services	5,078,934	-	5,078,934	43,279,266	-	43,279,266
Manufacturing	6,100	(1,243)	4,857	5,192	(1,267)	3,925
Plantation	8,775,551	-	8,775,551	2,445,959	-	2,445,959
Tourism	510,732	-	510,732	443,445	-	443,445
Wholesale and retail trade	44,833,738	(4,038)	44,829,701	34,145,095	(3,925)	34,141,170
Others	28,562,584	(12,871)	28,549,713	12,552,916	(12,961)	12,539,956
	87,767,639	(18,152)	87,749,487	92,871,873	(18,152)	92,853,721

23 INSURANCE PREMIUM RECEIVABLES

Accounting Policy

Insurance Sector Product Classification

Insurance contracts are those contracts when the Group (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the Group determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can however be reclassified as insurance contracts after inception if insurance risk becomes significant.

Reinsurance Receivable/Payable

The Group cedes insurance risk in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the statement of profit or loss.

Ceded reinsurance arrangements do not relieve the Group from its obligations to policyholders. Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract. Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expire.

Liability Adequacy Test

At each reporting date, an assessment is made of whether the recognised long-term business provisions are adequate, using current estimates of future cash flows. If that assessment shows that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognised in the statement of profit or loss by setting up an additional provision in the Statement of Financial Position.

Insurance Premium Receivables

Collectability of premiums and other debts are reviewed on an on-going basis. Policies issued on credit basis and that are known to be uncollectible are cancelled and the respective gross written premium is reversed. A provision for doubtful debts is raised when some doubt as to collection exists.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the statement of profit or loss.

Insurance receivables are derecognised when the de-recognition criteria for financial assets have been met.

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Insurance premium receivables					
Intermediaries (Including collections in transit)		5,178,065	3,230,948	-	-
(-) Expected credit loss/impairment allowance	23.1	(159,318)	(242,640)	-	-
		5,018,747	2,988,308	-	-

Fair value of premium receivables

The carrying amount disclosed above approximates the fair value at the reporting date.

Collateral details

The company does not hold any collateral as security against potential default by policyholders or intermediaries.

23.1 Expected credit loss

	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance at 01 April	242,640	346,805	-	-
Other Adjustments	(83,322)	(104,165)	-	-
Balance as at 31 March	159,318	242,640	-	-

24 INVENTORIES

Accounting Policy

Inventories are measured at the lower of cost and net realizable value.

The cost of inventories is based on the first-in first-out principle, and includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition.

Cost of manufactured inventories and work-in-progress includes an appropriate allocation of production overheads based on normal operating capacity, in accordance with LKAS 2 "Inventories. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated costs necessary to make the sale. A provision for slow-moving manufacturing inventories is made where the holding period significantly exceeds the normal inventory turnover cycle and the sale of such inventories is no longer considered probable.

The cost incurred in bringing inventories to its present location and condition is accounted using the following cost formula:

Type of Inventory	Method of Valuation
Input Materials	Weighted Average basis
Growing Crop - Nurseries	At the cost of direct materials, direct labor and appropriate proportion of directly attributable overheads less provision for over-grown plants
Harvested Crop	Agricultural produce harvested from an entity's biological assets shall be measured at its fair value less costs to sell at the point of harvest. Such measurement is deemed to be the cost at the time of transferring the harvested crop to inventories.
Spares and Consumables	Weighted average basis
Finished goods and work-in-progress	First in First out (FIFO) basis

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Raw materials		10,986,859	10,691,100	36,817	287,584
Work-in-progress		3,346,496	2,411,394	-	-
Finished goods and trading stocks		16,480,920	12,245,065	25,764	62,159
Input materials		480,230	236,161	18,075	17,600
Ethanol		985,268	1,111,858	-	-
Growing Crop Nurseries		35,780	48,983	-	-
Harvested crops					
- Tea		1,141,319	955,500	-	-
- Rubber		92,137	4,411	-	-
- Coconut		2,071	3,144	-	-
- Cinnamon		3,420	3,880	-	-
- Commercial cane		2,109,960	554,415	-	-
- Other crops		13,383	5,092	-	-
Unharvested produce stock at fair value		38,950	31,267	-	-
Consumables, maintenance and spares		4,591,351	4,123,729	-	-
Vehicle stocks		43,388	15,787	-	-
Food and beverages		219,791	264,459	-	-
Goods in transit		1,264,541	1,556,241	-	-
Real Estate Stock		4,761	4,452	-	-
Others		419,115	255,660	-	-
		42,259,740	34,522,598	80,656	367,344
(-) Allowance for slow moving inventories	24.1	(1,884,696)	(1,226,534)	(25,764)	(41,236)
		40,375,044	33,296,064	54,892	326,108

24.1 Allowance for slow moving inventories

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Balance at 01 April	1,226,534	987,805	41,236	484
Provision for the period	902,470	54,194	(15,472)	40,752
Write offs / (write backs)	(258,117)	(4,576)	-	-
Other Adjustments	(11,784)	(50,811)	-	-
Acquisition of Subsidiaries	-	244,539	-	-
Disposal of Subsidiaries	(747)	-	-	-
Foreign currency translations	26,340	(4,617)	-	-
Balance as at 31 March	1,884,696	1,226,534	25,764	41,236

During the year the Group charged a provision of Rs. 902 million (2024/25 - Rs 54 Mn) against the inventory provision after re-assessing the net realisable value of the inventory as at 31st March 2026.

25 CURRENT TAX ASSETS

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Income tax recoverable	25.1	1,047,721	709,110	-	-
Value added tax (VAT) recoverable		9,380,476	8,092,585	-	-
GST recoverable		20,229	14,783	-	-
Advanced Corporate Tax (ACT) recoverable		55,354	53,610	-	-
With-holding tax (WHT) recoverable		935,473	349,839	317,539	94,864
Economic service charge (ESC) recoverable		5,442	5,373	-	-
Other tax recoverable		90,518	108,460	-	-
		11,535,213	9,333,758	317,539	94,864

25.1 Income tax recoverable

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Balance at the beginning of the year	709,110	400,177	-	-
Transfer from/ (to) Income Tax Payables	156,298	(74,193)	-	-
Over/(under) provision in respect of previous years	(1,560)	(2,058)	-	-
Provision for the Period	628,807	(214,123)	-	-
Payments made during the year	(500,248)	(67,287)	-	-
Acquisition of Subsidiaries	322	562,502	-	-
Foreign currency translations	54,992	104,092	-	-
Balance at the end of the year	1,047,721	709,110	-	-

26 TRADE AND OTHER CURRENT ASSETS

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Financial Assets					
Trade receivables	26.1	33,101,146	25,434,614	558,348	497,810
Amount due from related parties		1,129,884	1,484,405	223,008,721	218,980,812
Allowance for impairment - Amount due from related parties		(10,417)	(911,865)	(1,413,194)	(1,456,919)
Loans given to employees	26.2	179,496	169,318	5,849	2,530
Refundable deposits	26.3	707,343	425,069	-	-
Dividend receivables		35,448	1,301,372	-	-
Insurance commission receivable		3,110	560	-	-
Re-insurance receivable		2,726,325	1,104,192	-	-
Other financial receivables		27,164,763	24,819,186	403,749	249,538
Allowance for impairment -Other financial assets		(1,554,374)	(161,917)	-	-
		63,482,724	53,664,934	222,563,473	218,273,770
Non-financial Assets					
Prepayments & advances		24,239,370	23,236,807	1,261,487	3,471,262
Prepaid staff cost	26.4	258,401	192,266	-	-
Non refundable deposits		311,200	301,159	-	-
Other non-financial receivables		32,114,720	11,657,547	-	-
		56,923,691	35,387,779	1,261,487	3,471,262
		120,406,415	89,052,713	223,824,960	221,745,032

26.1 Trade receivables

Accounting Policy

Trade receivables are stated at the amounts they are estimated to realize, net of provisions for impairment. An allowance for impairment losses based on expected credit loss model at the time of origination and when there is a significant increase in credit risk.

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Trade receivables	26.1.1	37,065,871	29,176,399	1,514,812	1,298,179
(-) Expected credit loss	26.1.2	(3,964,725)	(3,741,785)	(956,464)	(800,369)
		33,101,146	25,434,614	558,348	497,810

26.1.1 Age Analysis of Trade Receivables

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Neither past due nor impaired				
0 Days	4,642,812	4,970,664	-	-
Past due				
0-30 days	11,508,036	9,557,470	25	49
31-60 days	6,505,665	2,811,839	1,015	196,948
61-90 days	4,546,243	4,119,603	409,301	287,934
> 91 days	9,863,115	7,716,824	1,104,472	813,248
Gross carrying value	37,065,871	29,176,399	1,514,812	1,298,179
Allowance for expected credit losses	(3,964,725)	(3,741,785)	(956,464)	(800,369)
Total	33,101,146	25,434,614	558,348	497,810

26.1.2 Expected credit loss

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance as at 1 April	3,741,785	3,172,957	800,369	608,535
Net expected credit loss/impairment during the year	310,079	257,429	156,095	193,326
Net write-off/(recoveries) during the year	-	41,075	-	(1,492)
Interest accrued on impaired loans and advances	(3,488)	-	-	-
Other movements/ Transfers	19,513	(336,191)	-	-
Acquisition of Subsidiaries	20,594	851,646	-	-
Disposal of Subsidiaries	(2,275)	-	-	-
Reversal for Write-offs	(204,911)	(188,243)	-	-
Effect of discounting	(57)	(43,732)	-	-
Exchange rate variance on foreign currency provisions	83,485	(13,156)	-	-
Balance as at 31 March	3,964,725	3,741,785	956,464	800,369

26.1.2.1 Movements in expected credit loss/ Impairment allowance during the year

Movements in expected credit loss

Allowances for individually significant impairment

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance as at 1 April	2,209,940	1,862,775	800,369	608,535
Charge/(Write back) to income statement	205,299	409,243	156,095	193,326
Net write-off/(recoveries) during the year	-	37,400	-	(1,492)
Transfer from individually non-significant impairment	(37,926)	(1,015)	-	-
Other movements/ Transfers	(5,283)	(336,362)	-	-
Acquisition of Subsidiaries	20,594	728,617	-	-
Reversal for Write-offs	(9,361)	(477,830)	-	-
Exchange rate variance on foreign currency provisions	78,331	(12,888)	-	-
Balance as at 31 March	2,461,594	2,209,940	956,464	800,369
Allowances for individually non-significant impairment				
Balance as at 1 April	1,531,845	1,310,183	-	-
Charge/(Write back) to income statement	104,780	(151,814)	-	-
Net write-off/(recoveries) during the year	-	3,675	-	-
Interest accrued/(reversals) on impaired loans and advances	(3,488)	-		-
Other movements/ Transfers	62,722	1,186	-	-
Acquisition of Subsidiaries	-	123,029	-	-
Disposal of Subsidiaries	(2,275)	-	-	-
Reversal for Write-offs	(195,550)	289,587	-	-
Effect of discounting	(57)	(43,732)	-	-
Exchange rate variance on foreign currency provisions	5,154	(269)	-	-
Balance as at 31 March	1,503,131	1,531,845	-	-

A receivable represents the Group's right to an amount of consideration that is unconditional. Trade receivables are non-interest bearing and are generally on terms of 30 to 90 days. During the year, LKR. 310 Mn charge (2024/25 - LKR 257 Mn charge) was recognised on trade receivables.

26.2 Loans given to employees

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance at 01 April	169,318	165,133	2,530	3,099
Granted during the period	218,174	222,716	9,284	1,213
Recovered during the period	(142,454)	(181,723)	(5,965)	(1,782)
Transfers and other adjustments	(73,008)	(36,109)	-	-
Acquisition of Subsidiaries	1,313	1,364	-	-
Disposal of Subsidiaries	(319)	-	-	-
Exchange Differences	7,686	(2,063)	-	-
(-) Expected credit loss/impairment allowance	(1,214)	-	-	-
Balance as at 31 March	179,496	169,318	5,849	2,530

26.3 Refundable deposits

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance at 01 April	425,069	332,543	-	-
Additions during the period	341,254	129,619	-	-
Interest accrued	1,001	-	-	-
Adjustment of fair value	(160)	(3,853)	-	-
Refunded during the period	(74,039)	(41,676)	-	-
Acquisition of subsidiaries	2,634	16,640	-	-
Disposal of subsidiaries	(300)	-	-	-
Exchange differences	19,712	1,328	-	-
(-) Expected credit loss/impairment allowance	(7,828)	(9,532)	-	-
Balance as at 31 March	707,343	425,069	-	-

26.4 Prepaid staff cost

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance at 01 April	192,266	8,610	-	-
Addition from loan granted	313,617	14,162	-	-
Amortized to profit or loss	(10,143)	(21,650)	-	-
Transfers and other adjustments	(252,476)	73,344	-	-
Acquisition of subsidiaries	74	121,421		
Exchange differences	15,063	(3,621)	-	-
Balance as at 31 March	258,401	192,266	-	-

27 RIGHT OF USE ASSETS

Accounting Policy

SLFRS 16 – "Leases"

Group acting as a lessee

As a lessee, the Group leases properties, motor vehicles and equipment that are used to carry out business operations. Under SLFRS 16, the Group recognizes right-of-use assets and lease liabilities for leases of properties, vehicles and equipment.

At commencement or modification of a contract that contains a lease component, the Group allocates consideration in the contract to each lease component on the basis of its stand-alone price.

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The Group presents the right-of-use asset and the lease liability as separate line items in the Statement of Financial Position.

Right-of-use Assets

Initial Recognition

The Company recognises right of use assets when the underlying asset is available for use. Right-of-use assets are initially recognised at cost.

The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

Right-of-use assets are recognised at cost comprising the following:

- the amount of the initial measurement of lease liability
- any lease payments made at or before the commencement date less any lease incentives received
- any initial direct costs, and
- restoration costs.

Subsequent Measurement

Right-of-use assets in the consolidated financial statements are subsequently measured at cost , less any accumulated depreciation and impairment losses, and adjusted for any re-measurement of lease liabilities except in following;

If right-of-use assets relate to a class of property, plant and equipment to which the group applies the revaluation model in LKAS 16, a lessee may elect to apply that revaluation model to all of the right-of-use assets that relate to that class of property, plant and equipment.

Unless the Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term. Right of use assets are subject to impairment.

Lease Liabilities

Refer Note No 38.2 & 38.4 - Lease Liability.

The Group acting as a lessor

When the Group acts as the lessor, it determines at lease inception whether the lease is a finance lease or an operating lease.

To classify each lease, the Group makes and overall assessment of whether the lease transfers substantially all of risks and rewards incidental to ownership of the underlying asset. If this is the case, lease is a finance lease; if not it is an operating lease.

The Group sub – leases some of its properties. Under SLFRS 16, the right of use assets recognized from the head leases are presented in investment property, and measured at fair value at that date. The Group assessed the classification of the sub – lease contracts with reference to the right of use asset rather than the underlying asset, and concluded that they are operating leases under SLFRS 16.

As at 31 March	Group						
	2026						2025
	ROU - Lands Rs.'000	ROU - Buildings Rs.'000	ROU - Vehicles Rs.'000	ROU - Machinery Rs. '000	ROU - Other Rs. '000	ROU Total Rs.'000	ROU Total Rs.'000
Cost							
Balance at the beginning of the period	161,237,773	11,356,920	300,594	82,300	412,809	173,390,396	80,211,911
Additions during the period	375,710	3,383,708	36,631	-	34,632	3,830,681	2,224,978
Transferred from/(to) Property, Plant and Equipment	-	-	-	-	-	-	(10,225)
Impairment	-	-	-	-	-	-	(1)
Transfers and other movements	(3,842)	(207,059)	-	-	(227,660)	(438,561)	(2,111,111)
Reversal on early termination	(3,541,842)	(3,609,652)	(5,012)	-	-	(7,156,506)	(586,103)
Acquisition of Subsidiaries	6,129,915	-	-	-	-	6,129,915	89,007,247
Adjustment on changes in the estimation	(25,350)	54,045	-	-	-	28,695	(92,426)
Transfer for payment	-	-	-	-	-	-	52,856
Revaluation Surplus	-	-	-	-	-	-	5,594,861
Exchange Differences	9,822,908	581,201	2,317	173	(6,974)	10,399,625	(901,591)
Reversal on Disposal	-	(2,669)	-	-	-	(2,669)	-
Balance at the end of the period	173,995,272	11,556,494	334,530	82,473	212,807	186,181,576	173,390,396
Accumulated amortisation							
Balance at the beginning of the period	2,680,476	5,920,840	193,110	38,303	202,182	9,034,911	9,648,694
Opening balance reclass	-	(646)	-	-	-	(646)	-
Amortisation for the period from continuing operations	2,105,282	1,693,937	28,884	10,568	103,860	3,942,531	2,808,143
Amortisation for the period from held for sale assets and discontinued operations	38,692	-	-	-	-	38,692	-
Amortisation for the period Capitalized to WIP	-	-	10,527	2,680	-	13,207	93,332
Transferred to Property, Plant and Equipment	-	-	-	-	-	-	(38,333)
Transfers and other movements	43,282	(220,197)	-	193	(211,366)	(388,088)	(1,962,434)
Reversal on early termination	(90,996)	(3,471,865)	-	-	-	(3,562,861)	(396,755)
Acquisition of Subsidiaries	1,152	-	-	-	-	1,152	340,466
Adjustment on changes in the estimation	(53,804)	(60,113)	-	-	-	(113,917)	(63,395)
Revaluations	-	-	-	-	-	-	(1,327,809)
Exchange Differences	338,860	207,430	1,547	51	(3,038)	544,850	(66,998)
Reversal on Disposal	-	(2,669)	-	-	-	(2,669)	-
	5,062,944	4,066,717	234,068	51,795	91,638	9,507,162	9,034,911
Balance at the end of the period	168,932,328	7,489,777	100,462	30,678	121,169	176,674,414	164,355,485

Prepaid lease rentals paid to acquire land use rights have been classified as lease rentals paid in advance and are amortised over the lease term.

	Company				
	2026				2025
	ROU - Lands Rs.'000	ROU - Buildings Rs.'000	ROU - Vehicles Rs.'000	ROU Total Rs.'000	ROU Total Rs.'000
	3,845	58,904	13,000	75,749	51,598
	-	75,059	-	75,059	11,151
	-	-	-	-	13,000
	-	-	-	-	-
	(3,845)	-	-	(3,845)	-
	-	-	-	-	-
	-	-	-	-	-
	-	-	-	-	-
	-	-	-	-	-
			-	-	-
	-	-	-	-	-
	-	-	-	-	-
	-	133,963	13,000	146,963	75,749
	3,845	35,953	13,000	52,798	22,301
	-	-	-	-	-
	-	19,674	-	19,674	21,830
	-	-	-	-	-
	-	-	-	-	-
	-	-	-	-	8,667
	(3,845)	-	-	(3,845)	-
	-	-	-	-	-
	-	-	-	-	-
	-	-	-	-	-
	-	-	-	-	-
	-	-	-	-	-
	-	-	-	-	-
	-	55,627	13,000	68,627	52,798
	-	78,336	-	78,336	22,951

27.1 Maturity analysis – Contractual undiscounted cash flows

As at 31 March	Group						
	2026						2025
	ROU - Lands Rs.'000	ROU - Buildings Rs.'000	ROU - Vehicles Rs.'000	ROU - Machinery Units Rs.'000	ROU - Other Rs.'000	ROU Total Rs.'000	ROU Total Rs.'000
Less than one year	884,248	858,613	7,783	8,303	15,438	1,774,385	2,213,511
Between one and five years	26,920,998	3,798,842	6,031	-	82,610	30,808,481	8,400,578
More than five years	8,534,348	2,177,007	-	-	-	10,711,355	34,289,186
	36,339,594	6,834,462	13,814	8,303	98,048	43,294,221	44,903,275

27.2 Amount recognised in income statement

Interest on lease liabilities	942,592	692,494	1,875	913	12,049	1,649,923	1,620,875
Recognised in interest expenses	942,592	692,494	1,875	913	12,049	1,649,923	1,620,875
Expenses relating to short-term and low-value assets	-	-	-	-	-	-	752
Amortization of right of use assets - continuing operations	2,105,282	1,693,937	28,884	10,568	103,860	3,942,531	2,808,143
Amortization of right of use assets - Discontinued operations	38,692	-	-	-	-	38,692	-
Recognised in other expenses/ Depreciation and amortisation	2,143,974	1,693,937	28,884	10,568	103,860	3,981,223	2,808,895
Lease expense	-	13,067	-	-	-	13,067	599
Recognised in other expenses	-	13,067	-	-	-	13,067	599
Total amount recognised in income statement	3,086,566	2,399,498	30,759	11,481	115,909	5,644,213	4,430,369

27.3 Amounts recognised in cash flow statement

Payment for lease liabilities	2,167,195	1,109,670	31,068	7,364	6,803	3,322,100	2,214,890
	2,167,195	1,109,670	31,068	7,364	6,803	3,322,100	2,214,890

Details of right-of-use assets relating to leased properties

The Group leases office space, office equipment, motor vehicles and other assets under lease contracts with terms ranging from one to five years. These leases are recognised as right-of-use assets and lease liabilities in accordance with SLFRS 16. In addition, the Group has certain leases with a lease term of twelve months or less (short-term leases) and/or leases of low-value assets. In accordance with the exemptions permitted under SLFRS 16, the Group has elected not to recognise right-of-use assets and lease liabilities for these short-term and low-value asset leases. Lease payments associated with such leases are instead recognised as an expense on a straight-line basis over the lease term.

	Company				
	2026				2025
	ROU - Lands Rs.'000	ROU - Buildings Rs.'000	ROU - Vehicles Rs.'000	ROU Total Rs.'000	ROU Total Rs.'000
	-	13,540	-	13,540	16,901
	-	54,419	-	54,419	13,665
	-	-	-	-	-
	-	67,959	-	67,959	30,566
	-	5,995	-	5,995	7,498
	-	5,995	-	5,995	7,498
	-	-	-	-	-
	-	19,674	-	19,674	21,830
	-	-	-	-	-
	-	19,674	-	19,674	21,830
	-	-	-	-	-
	-	-	-	-	-
	-	25,669	-	25,669	29,328
	-	18,281	-	18,281	17,715
	-	18,281	-	18,281	17,715

28 INVESTMENT PROPERTIES

Accounting Policy

Basis of Recognition

Investment property are property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Basis of Measurement

Fair Value Model

Investment properties are initially recognized at cost. Subsequent to initial recognition the investment properties are stated at fair value, which reflect market conditions at the reporting date. Gains or losses arising from changes in fair value are included in the statement of profit or loss in the year in which they arise.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the Consolidated Financial Statements, and accounted for as per LKAS 16- Property, Plant and Equipment.

De-recognition

Investment properties are de-recognized when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the statement of profit or loss in the year of retirement or disposal.

Subsequent Transfers to/from Investment Property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sale.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the Company as an owner occupied property becomes an investment property, the Company, accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

For a transfer from inventories to investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognized in the statement of profit or loss. When the Company completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognized in the statement of profit or loss.

Determining Fair Value

External and independent professional valuers, having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued, value the investment property portfolio by annually. For any interim reporting periods falling between full external valuations, the Board of Directors assesses whether the fair value of the investment property portfolio remains appropriate, having regard to the most recent external valuation and any significant market developments since that date.

The fair values are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably.

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance at the beginning of the year	185,708,701	172,353,711	4,064,200	3,562,800
Additions	946,247	4,916,616	-	-
Additions to Investment Properties from Amalgamations	-	3,464,880	-	-
Acquisition of subsidiaries	813,202	-	-	-
Additions from foreclosure	-	147,927	-	-
Disposals	(1,402,917)	(519,834)	-	-
Transfers (to)/from property plant and equipment	(27,823)	(442,000)	-	-
Exchange translation difference	(85,959)	51,899	-	-
Change in fair value during the year	5,721,416	5,735,502	185,500	501,400
Balance at the end of the year	191,672,867	185,708,701	4,249,700	4,064,200

Investment property comprises of number of commercial properties that are leased / rented out to third parties. Each of the agreement contains an initial non-cancellable period of one year. Subsequent renewals are being negotiated with the lessee and on average renewal periods considered are three to five years.

28.1 Details of investment properties

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Owned properties	127,238,938	124,020,001	4,249,700	4,064,200
Properties held under operating leases	64,433,929	61,688,700	-	-
	191,672,867	185,708,701	4,249,700	4,064,200

28.2 Summary of Investment Properties

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Land	159,535,506	155,578,830	2,644,700	2,538,200
Building	32,137,361	30,129,871	1,605,000	1,526,000
	191,672,867	185,708,701	4,249,700	4,064,200

28.3 Relevant income and expenditure relating to investment properties

For the year ended 31 March	Group	
	2026 Rs.'000	2025 Rs.'000
Rent income earned	1,579,736	1,146,857
Direct operating expenses generating rental income	152,769	17,063
Direct operating expenses not generating rental income	91,080	81,578

28.4 Valuation of investment properties

Fair value of the investment properties is ascertained through independent valuations carried out by Chartered Valuation Surveyors who have appropriate recognised professional qualifications and recent experience in valuing properties of similar location and category. Investment property is valued in accordance with SLFRS 13 "Fair Value Measurement," LKAS 40 "Investment Property," and the International Valuation Standards issued by the International Valuation Standards Council (IVSC).

In determining the fair value, the current condition of the properties, future usability and associated re-development requirements have been considered. Also, the valuers have made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are rounded within the range of values.

The fair value measurement for all of the investment properties has been categorised as a Level 3 fair value based on the inputs to the valuation techniques used.

The following table shows the valuation techniques used in measuring the fair value of investment property, as well as the significant unobservable inputs used.

Valuation Technique	Significant observable and unobservable inputs	Interrelationship between key inputs and fair value measurement
Sales comparison method - value derived based on recent transactions of similar properties	Per perch value was derived based on similar property values. The value of a perch in the property portfolio ranges from Rs.10,000 to Rs.33,000,000 in the Western Province and Rs.6,660 to Rs.10,000,000 outside the Western Province.	The estimated fair value would increase (decrease) if: - comparable property value was higher / (lesser)
Depreciated replacement cost method	Value per square feet determined based on similar properties value and depreciated for period used. The value of a square feet in the property portfolio ranges from Rs. 1,250 to Rs.899,083 in the Western Province and Rs. 1,500 to Rs. 18,000 outside the Western Province.	The estimated fair value would increase (decrease) if: - Depreciation rate was lesser / (higher) - Square feet value was higher / (lesser)
Net income approach	Net rental income (profit rent) determined based on similar properties value and decapitalization rate and years of purchase for period used Discount rate - 12%	The estimated fair value would increase (decrease) if: - Decapitalisation rate was lesser / (higher) - Years of purchases were higher / (lesser) - Discount rate was lesser / (higher) - Annual rental income were higher / (lesser)

28.5 Details on Investment Property Valuation

Province	Per Pearch (Rs.)		Per Square Feet (Rs.)	
	Lowest	Highest	Lowest	Highest
Central Province	6,660	10,000,000	3,600	18,000
Eastern Province	47,000	4,500,000	7,830	9,000
North Western Province	55,000	7,500,000	1,500	12,000
Northern Province	2,500,000	2,500,000	-	-
North Central Province	400,000	1,250,000	2,250	4,500
Sabaragamuwa Province	150,000	700,000	3,500	7,775
Southern Province	26,000	4,500,000	4,500	12,000
Uva Province	3,200,000	5,000,000	-	-
Western Province	30,000	33,000,000	1,250	899,083

29 CONSUMABLE BIOLOGICAL ASSETS

Accounting Policy

Agricultural Activities

The Group considers all the activities that are managed in biological transformation and harvest of biological assets for sale or for conversion into agricultural produce or into additional biological asset.

Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, Rubber, Coconut, Timber, Other plantations and nurseries are classified as biological assets.

The biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological assets includes tea, rubber and coconut trees,Sugar Cane and those that are not intended to be sold or harvested. However, used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber own by the company (Eucalyptus Torariyana, Albezzia, Graveelia, Eucalyptus Grandis, Astonia, Pinus, Toona, Mahogany, Teak, Jak, Rubber, Nadun, Mango, Pellen, Hora, Domba, Lunumidella, Wal Del and Mara on the plantations have been taken into consideration in this valuation of timber trees) those that are to be harvested as agricultural produce or sold as biological assets.

The entity recognizes the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads, less provision for overgrown plants.

Consumable Biological Assets

Trees namely teak, mahogany, Nadun, mango, Albezzia, Wal del, and etc. are considered as consumable biological assets and measured in accordance with LKAS 41- Agriculture. The initial costs incurred in planting such trees are capitalized until the market determined prices or values are not available and for which alternative estimates of fair value are to be clearly unreliable. Once the fair value of such a biological asset becomes reliably measurable, the group measures it at its fair value less costs to sell. The change in fair values will be directly identified in statement of profit or loss.

The Group has engaged an Independent Chartered Valuation Surveyor Mr. W.M.Chandrasena in determining the fair value of managed Timber Plantation. The valuer has valued the Timber Plantation tree valuation basis by using available log prices in city centers less point-of-sale-costs. The timber plants having less than three years old have not been taken in to the valuation and hence, the cost of such plants has been added to the valuation. All other assumptions are given in Note 29.7. The Group measures the Timber Plantation at fair value less estimated-point-of-sale-costs as at each date of Statement of Financial Position. The gain or loss on changes in fair value of Timber Plantation is recognized in the statement of profit or loss.

Growing Crop Nurseries

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads.

Permanent Land Development Costs

Permanent land development costs are those costs incurred making major infrastructure development and building new access roads on leasehold lands.

These costs have been capitalized and amortized over the remaining lease period.

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
Balance as at 01 April		16,128,615	10,599,596
Increase due to new planting and re-planting		90,003	24,858
Acquisition of subsidiaries		5,027,207	4,971,145
Decrease due to harvesting of timber trees		(233,334)	(251,002)
Net increase due to births/deaths (Growing Crop Nurseries)		1,298	(218)
Write offs/ Gain/(loss) arising from changes in fair value less cost to sell		(2,127)	(4,270)
Change in fair value	29.1	5,082,868	910,095
Exchange differences		414,129	(121,589)
Balance as at 31 March		26,508,659	16,128,615

29.1 Change in fair value less estimated costs to sell

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000
Due to price changes	2,039,663	585,321
Due to physical changes	3,043,205	324,774
	5,082,868	910,095

29.1.1 The carrying value of Consumable biological assets as at the year end has been computed as follows;

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
Valuation of consumable biological assets		26,073,498	15,811,579
Cost of timber plant below four years of age, not considered for valuation		436,389	318,161
Growing Crop Nurseries	29.1.2	3,596	3,337
Allowance for impairment		(4,824)	(4,462)
		26,508,659	16,128,615

Managed timber trees include commercial timber plantations cultivated on estates. The above carrying amount as at 31st March 2026 includes a sum of Rs.436.4 Mn (As at 31st March 2025 - Rs. 318.1 Mn) which is the cost of immature trees up to the age of 4 years which is treated as approximate fair value particularly on the ground of little biological transformation taking place and impact of such transformation on price is expected to be immaterial.

29.1.2 Growing crop nurseries

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000
Balance as at 01 April	3,337	3,555
Acquisition of subsidiaries	725	-
Additions	1,299	(218)
Transfers	(1,765)	-
Balance as at 31 March	3,596	3,337

29.1.3 Plantation area

As at 31 March	Group 2026 Ha.	Group 2025 Ha.
Mature plantations	32,739	32,278
Immature Plantations	1,634	2,065
	34,373	34,343

29.2 Valuation techniques and significant unobservable inputs

Following table shows the valuation techniques in measuring Level 3 fair value of consumable biological assets as well as the significant unobservable inputs used.

Local subsidiaries

Valuation Technique	Significant observable and unobservable inputs	Interrelationship between key inputs and fair value measurement
Discounted cash flows The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis .	**Determination of Timber Content** Timber trees in inter-crop areas and pure crop areas have been identified field-wise and spices were indentified and harvestable trees were separated, according to their average girth and estimated age.	**The estimated fair value would increase / (decrease) if;** - the estimated timber content were higher/(lower) - the estimated timber prices per cubic meter were higher/(lower) - the estimated timber prices per cubic meter were higher/(lower)
Expected cash flows are discounted using a risk-adjusted discount rate of 14.75% - 15% comprising a risk premium of 4%.	Timber trees that have not come up to a harvestable size are valued working out the period that would take for those trees to grow up to a harvestable size.	- the estimated selling related costs were lower/(higher) - the estimated maturity age were higher/(lower) - the risk-adjusted discount rate were lower/(higher)
	Determination of Price of Timber Trees have been valued as per the current timber prices per cubic meter based on the price list of the State Timber Corporation and prices of timber trees sold by the estates and prices of logs sawn timber at the popular timber traders in Sri Lanka. In this exercise, following factors have been taken into consideration. a) Cost of obtaining approval of felling b) Cost of felling and cutting into logs c) Cost of transportation d) Sawing cost Risk-adjusted discount rate 2025/2026 - 14.75% - 15% (Risk Premium - 4%) 2024/2025 - 15% (Risk Premium - 4%)	

Foreign Subsidiaries

Valuation Technique	Significant observable and unobservable inputs	Interrelationship between key inputs and fair value measurement
Discounted cash flows The valuation model considers the present value of the net cash flows expected to be generated by the plantation. The cash flow projections include specific estimates for 10 years. The expected net cash flows are discounted using a risk-adjusted discount rate	**Determination of Timber Content** Estimated future timber market prices per cubic meter (3.63% - 5% of current prices of KShs 3,100 - 3500/ M3) (2024/25: (5% of current prices of KShs 3,163/M3) Estimated future costs (3.59% - 5% inflation of current cost of KShs 481 - 1,795/M3) (2024/25: (5% of current prices of KShs 2,520/M3) Estimated yields per hectare (552-690M3) (2024/25: 690M3) Risk-adjusted annual discount rate :13.45% - 17.8% (2024/25 : 17.35%)	**The estimated fair value would increase / (decrease) if;** - The estimated timber prices per cubic meter were higher(lower) - The estimated yields per hectare were higher/(lower); - The estimated harvest, replanting, weeding and transportation costs were lower/ (higher) - The risk-adjusted discount rates were lower/ (higher)
valuation model considers the present value of the net cash flows expected to be generated by the plantation. The cash flow projections include specific estimates for 25 years. The expected net cash flows are discounted using a risk-adjusted discount rate.	Estimated future timber market prices per cubic meter (3.63% of current prices of KShs 31,307/M3) (2024/25: 6% of current prices of KShs 37,278/M 3) Estimated future costs (3.59%% inflation of current cost of KShs 24,947/M3) (2024/25: 5% of current prices of KShs 29,658/M3) Estimated yields per hectare (500M3) (2024/25: 500M3) Risk-adjusted annual discount rate 13.45%) (2024/25: 18.49%)	The estimated fair value would increase / (decrease) if; - The estimated timber prices per cubic meter were higher(lower) - The estimated yields per hectare were higher/(lower); - The estimated harvest, replanting, weeding and transportation costs were lower/ (higher) - The risk-adjusted discount rates were lower/ (higher)

29.3 The valuation of consumable biological assets of local subsidiries was carried by Mr.W.M.Chandrasena, an independent Chartered Valuation Surveyor, using Discounted Cash Flow (DCF) methods. In ascertaining the fair value of timber, a physical verification was carried covering all the estates.

29.4 Timber Trees namely Eucalyptus Torariyana, Albezzia, Graveelia, Eucalyptus Grandis, Astonia, Pinus, Toona, Mahogany, Teak, Jak, Turpentine, Nadun, Mango, Pellen, Hora, Domba, Lunumidella, Wal Del and Mara on the plantations have been taken into consideration in this valuation of Timber Trees.

29.5 In valuing the timber plantations, under-mentioned factors have been taken into consideration.

1 The present age of trees

2 Maturity age of the tree - Maturity of the tree is based on the variety of the species of the tree

3 Annual marginal increase in timber content

4 Number of years to harvest

5 Timber content of harvestable trees on maturity

6 Timber Plants having below four years of age have not been taken into the valuation

7 The timber content of immature trees at an estimated future harvestable year

8 The current price of species of timber per cubic foot at the relevant year

29.6 Trees have been valued as per the current timber prices in the domestic market based on the price list of the State Timber Corporation and prices of timber trees sold by estates and prices of logs and sawn timber in the popular timber traders in Sri Lanka.

29.7 The fair value is determined on the basis of net present value of expected future cash flows using a discount rate of 14.75% - 15% per annum. The significant assumptions used in the valuation of Consumable Biological Assets are as follows:

1 Future cash flows are determined by references to current timber prices without considering the inflationary effect

2 The ongoing cost of growing trees which are deducted in determining the net cash flows are constant in real terms

3 Timber trees that have not come upto a harvestable size are valued working out the period that would take for those trees to grow up to a harvestable size

4 The present value of the trees is worked out based on the projected size and the estimated number of years it would take to reach the size. This is worked out on the basis of an annual marginal increase of timber content which normally ranges from 0.50 to 1.50 cm per year for trees of diameter girth over 10 cm

5 The value of each matured species of timber is worked out on the price of a cubic foot of timber in the market of the species and the available cubic content of timber in the tree

6 Due consideration has been given for cost of felling, transport, sawing, cost to sell including obtaining of approval for felling

29.8 Managed trees include commercial timber plantations cultivated in estates. The cost of immature trees is treated at approximate fair value particularly on the ground of little biological transformation has taken place and impact of the biological transformation on price is not material. When such Plantations become mature, the additional investments since taken over to bring them to maturity are transferred from immature to mature. .

29.9 The fair value of managed trees was ascertained since LKAS 41 is only applicable for managed agricultural activity in terms of the ruling issued by the Institute of Chartered Accountants of Sri Lanka. The valuation was carried but by using Discounted Cash Flow (DCF) methods. In ascertaining the fair value of timber a physical verification was carried out covering all the estates.

29.10 The valuations, as presented in the external valuation models based on net present values, take into account the long-term exploitation of the timber plantation. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity markets are inherently volatile and that long-term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this note allows every investor to reasonably challenge the financial impact of the assumptions used in LKAS 41 against his own assumptions.

29.11 The biological assets of Group is cultivated in the leasehold lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content expects to be realised in future and is included in the calculation of the fair value that takes into account the age of the timber plants and not the expiration date of the lease.

29.12 Sensitivity analysis for biological assets

29.12.1 Sensitivity variation on sales price

Values as appearing in the Statement of Financial Position are sensitive to price changes with regard to the average sales prices applied. Simulation made for timber to show that a rise or a decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
Carrying amount	29.1.1	26,508,659	16,128,615
Sensitivity on sales price			
	+10%	3,020,357	933,603
	-10%	(3,020,357)	(933,603)

29.12.2 Sensitivity variation on discount rate

Values as appearing in the Statement of Financial Position are sensitive to changes of the discount rate applied. Simulations made for rubber, coconut and timber show that a rise or decrease by 1% of the estimated future discount rate has the following effect on the net present value of biological assets;

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
Carrying amount	29.1.1	26,508,659	16,128,615
Sensitivity on Discount Rate			
	+1%	(985,139)	(424,156)
	-1%	985,139	424,156

29.13 Risk factors

The Group is exposed to a number of risks related to its timber plantations;

Regulatory and environmental risks

The Group is subject to laws and regulations imposed by the environmental authorities of Sri Lanka, Kenya, Tanzania and Rwanda. The Group established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

Supply and demand risk

The Group is exposed to risks arising from fluctuations in the price and sales volume of timber. When possible Group manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analyses to ensure that Group's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand.

Climate and other risks

The Group's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Group has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

30 BEARER BIOLOGICAL ASSETS

Accounting Policy

Agricultural Activities

The Group considers all the activities that are managed in biological transformation and harvest of biological assets for sale or for conversion into agricultural produce or into additional biological asset.

Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, Rubber, Coconut, Timber, Other plantations and nurseries are classified as biological assets.

The biological assets are further classified as bearer biological assets and consumables biological assets. Bearer biological assets includes tea, rubber and coconut trees,Sugar Cane and those that are not intended to be sold or harvested, however, used to grow for harvesting agricultural produce from such biological assets.

Measurement of Bearer Biological Assets

The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – property, plant and equipment.

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
On finance lease	30.3	16,586,337	15,629,661
Investments after formation of the plantation companies	30.4	11,555,886	6,373,824
Growing crop nurseries	30.5	55,489	171,331
		28,197,712	22,174,816

30.1 Amortization/ depreciation for the period recognized for bearer biological assets

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
On finance lease	30.3	454,215	108,436
Investments after formation of the plantation companies	30.4	1,070,128	1,170,141
		1,524,343	1,278,577

30.2 Carrying amount of bearer biological assets

	On finance lease Rs.'000	Investments after formation Rs.'000	Growing crop nurseries Rs.'000	2025/26 Total Rs. '000	2024/25 Total Rs. '000
Cost	25,015,530	27,051,236	55,489	**52,122,255**	39,835,560
Accumulated depreciation	(8,429,193)	(15,495,350)	-	**(23,924,543)**	(17,660,744)
Carrying amount	16,586,337	11,555,886	55,489	**28,197,712**	22,174,816

30.3 On finance lease

Mature plantations

	Tea Rs.'000	Rubber Rs.'000	Coconut Rs.'000	2025/26 Total Rs.'000	2024/25 Total Rs.'000
Cost					
Balance as at 01 April	22,468,855	-	8,271	**22,477,126**	9,792,186
Additions	791,682	-	-	**791,682**	130,913
Disposal	(11)	-	-	**(11)**	(280,508)
Transfer in/(out)	138,165	-	-	**138,165**	293,287
Acquisition of subsidiaries	168,662	182,170	3,315	**354,147**	12,983,329
Exchange Differences	1,254,421	-	-	**1,254,421**	(442,081)
Balance as at 31 March	24,821,774	182,170	11,586	**25,015,530**	22,477,126
Accumulated depreciation					
Balance as at 01 April	6,839,194	-	8,271	**6,847,465**	3,439,833
Charge for the year from continuing operations	453,467	738	10	**454,215**	108,436
Acquisition of subsidiaries	167,935	181,432	3,293	**352,660**	3,489,125
Disposal	(11)	-	-	**(11)**	(162,148)
Exchange Differences	774,864	-	-	**774,864**	(27,781)
Balance as at 31 March	8,235,449	182,170	11,574	**8,429,193**	6,847,465
Carrying amount	16,586,325	-	12	**16,586,337**	15,629,661

30.4 Investments after formation of the plantation companies

Immature Plantations

	Tea Rs.'000	Rubber Rs.'000	Coconut Rs.'000	Cinnamon Rs.'000	Mixed Crops Rs.'000	2025/26 Total Rs.'000	2024/25 Total Rs.'000
Cost							
Balance as at 01 April	1,116,994	192,553	12,520	167,354	8,296	1,497,717	879,572
Additions / transfer in from growing crop nurseries	281,064	390,105	2,247	39,333	2,958	715,707	325,049
Disposals	(612,124)	-	-	-	-	(612,124)	(736)
Transfer out	(263,104)	(22,951)	-	(69,009)	-	(355,064)	(320,056)
Written off during the year	(27,811)	-	(1,536)	(52,203)	(813)	(82,363)	(69,211)
Acquisition of subsidiaries	864,996	1,723,369	-	13,256	3,345	2,604,966	720,500
Exchange Differences	20,033	-	-	-	-	20,033	(37,401)
Balance as at 31 March	1,380,048	2,283,076	13,231	98,731	13,786	3,788,872	1,497,717

These are investments in immature/ mature plantations before the formation of Maturata Plantations Ltd. These assets (including plantation assets) taken over by way of estate leases are set out in Note 35.12 Further investments in immature plantations taken over by way of these leases are shown in the above note. When such plantations become mature, the additional investments, since initial investment to bring them to maturity, will be moved from immature to mature under this note.

Mature Plantations

	Tea Rs.'000	Rubber Rs.'000	Coconut Rs.'000	Cinnamon Rs.'000	Mixed Crops Rs.'000	Sugar Cane Rs.'000	2025/26 Total Rs.'000	2024/25 Total Rs.'000
Cost								
Balance as at 01 April	2,442,730	1,362,332	78,149	1,061,881	11,394	10,732,900	15,689,387	14,852,685
Additions	-	-	-	-	-	362,783	362,783	710,197
Transfer in/(out)	263,104	22,950	-	69,009	-	1	355,064	320,056
Disposals	-	(6,724)	-	-	-	-	(6,724)	-
Acquisition of subsidiaries	1,713,493	3,605,675	12,185	116,024	-	-	5,447,377	-
Exchange Differences	-	-	-	-	-	1,414,477	1,414,477	(193,551)
Balance as at 31 March	4,419,327	4,984,233	90,334	1,246,914	11,394	12,510,161	23,262,364	15,689,387
Accumulated depreciation								
Balance as at 01 April	1,185,324	567,377	25,843	174,831	2,901	8,857,005	10,813,280	9,795,055
Charge for the year from continuing operations	136,939	210,222	2,385	65,096	1,884	653,602	1,070,128	1,170,141
Acquisition of subsidiaries	570,650	1,816,943	5,795	49,104	-	-	2,442,492	-
Disposals	-	(6,724)	-	-	-	-	(6,724)	-
Exchange Differences	-	-	-	-	-	1,176,174	1,176,174	(151,916)
Balance as at 31 March	1,892,913	2,587,818	34,023	289,031	4,785	10,686,781	15,495,350	10,813,280
Carrying Amount As at 31 March	2,526,414	2,396,415	56,311	957,883	6,609	1,823,380	7,767,014	4,876,107

30.5 Growing crop nurseries

As at 31 March	Tea Rs.'000	Rubber Rs.'000	Cinnamon Rs.'000	Mixed crops Rs.'000	Sugar Cane Rs.'000	2025/26 Total Rs.'000	2024/25 Total Rs.'000
Cost							
Balance as at 01 April	171,331	-	-	-	-	171,331	8,670
Additions/ (Disposals)	(145,252)	10,453	4,000	-	-	(130,799)	795
Written off during the year	(9,811)	(1,871)	-	-	-	(11,682)	-
Transfers	(14,065)	(24,801)	-	-	-	(38,866)	-
Acquisition of subsidiaries	34,957	29,362	-	-	-	64,319	170,744
Exchange Differences	1,186	-	-	-	-	1,186	(8,878)
Balance as at 31 March	38,346	13,143	4,000	-	-	55,489	171,331

30.6 Additions to the immature plantations

These are investments in bearer biological assets carried at cost which comprises of immature/mature plantations since the formation of the plantation companies. Further, investment in immature plantations taken over by way of leases is shown in this note. When such plantations become mature, the additional investments need to be incurred since, taken over to bring them to maturity will be moved from immature to mature under this note. A corresponding movement from immature to mature of the investment undertaken by JEDB/SLSPC on the same plantation prior to the lease will also be carried out under this note.

The additions to bearer biological assets shown above includes the following costs among other costs incurred during the year in respect of uprooting, planting and upkeeping of bearer plants.

As at 31 March	2026		2025	
	Extent Ha	Amount Rs.'000	Extent Ha	Amount Rs.'000
Uprooting				
Tea	131	126,933	20	13,533
Rubber	100	37,151	-	-
Mixed Crop	-	8	-	-
	231	164,092	20	13,533
Planting				
Tea	96	87,651	67	85,441
Rubber	37	20,423	45	20,903
Cinnamon	22	1,703	-	-
Sugarcane	1,913	375,028	1,081	227,085
Mixed Crop	9	3,397	-	-
	2,077	488,202	1,193	333,429
Upkeep				
Tea	281	180,599	132	102,858
Rubber	1,283	346,982	207	53,506
Coconut	3	-	6	808
Cinnamon	43	13,472	27	14,062
Sugarcane	2,759	2,217,293	2,652	372,938
Mixed Crop	13	677	13	3,087
	4,382	2,759,023	3,037	547,259
	6,690	3,411,317	4,250	894,221

31 SUBSIDIARY COMPANIES

Accounting Policy

Subsidiaries are entities controlled by the Group. Control exists when the Company has the power, directly or indirectly, to govern the financial and operational policies of an entity so as to obtain benefits from its activities.

Control over an investee is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee.
- Rights arising from other contractual arrangements; and
- The Group's voting rights and potential voting rights

The Financial Statements of subsidiaries are included in the consolidated Financial Statements from the date that control commences until the date that control ceases. Acquisition of subsidiaries is accounted for using the acquisition method of accounting.

The accounting policies of subsidiaries have been changed where necessary to align them with the policies adopted by the Group. If a member of the group uses accounting policies other than those adopted in the consolidated Financial Statements for similar transactions and events in similar circumstances, appropriate adjustments are made to its Financial Statements in preparing the consolidated Financial Statements.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the closing rate.

Application of Equity Accounting for Investment in Subsidiaries, Associates and joint Ventures in Separate Financial Statements

The Company accounts for its investments in subsidiaries, associates and joint ventures in its separate Financial Statements using the equity method, as set out in LKAS 28 "Investments in Associates and Joint Ventures", as permitted by LKAS 27 "Separate Financial Statements". Under this method, investments are initially recognised at cost and subsequently adjusted to recognise the Company's share of the post-acquisition profits or losses and other comprehensive income of the investees. These adjustments are recognised in the Statement of Profit or Loss and Other Comprehensive Income, as appropriate, with corresponding adjustments made to the carrying amount of the investments.

At each reporting date, the Company assesses whether there is any objective evidence that an investment accounted for using the equity method is impaired. Where such evidence exists, the carrying amount of the investment is tested for impairment and any impairment loss is recognised immediately in profit or loss in accordance with the relevant requirements of LKAS 36 "Impairment of Assets".

31.1 Company

	Company	No. of Shares	Holding %	Cost Rs.'000	Balance as at 1st April 2024 Rs. '000	
	Subsidiaries					
	Listed subsidiaries					
1	Agstar PLC	63,500	0.01%	445	-	
2	Brown & Company PLC	142,092,103	66.83%	7,580,999	46,878,579	
				7,581,444	46,878,579	
	Non-listed subsidiaries					
3	Browns Tours Limited	17,567,500	100.00%	175,375	95,839	
4	Ceylon Graphene Technologies (Pvt) Ltd	57,176,471	90.00%	450,424	-	
5	Commercial Factors (Pvt) Ltd	15,550,001	100.00%	155,500	119,131	
6	Ceylon Precious (Pvt) Ltd	1	100.00%	0.01	-	
7	Eagle Recoveries (Pvt) Ltd	25,955,088	100.00%	259,551	311,518	
8	East Coast Land Holdings (Pvt) Ltd	28,700,000	100.00%	287,000	310,871	
9	Euro Asia Tea (Pvt) Ltd	94,826,239	100.00%	25,000	-	
10	Green Orchard Property Investments (Pvt) Ltd	23,795,660	100.00%	237,957	678,933	
11	Galoya Holdings (Pvt) Ltd	1,300,100	50.00%	13,005	57,578	
12	LOLC Global (Pvt) Ltd	3,100,000	7.03%	684,732	1,442,535	
13	Lanka ORIX Project Development Limited	5,200,000	100.00%	52,000	-	
14	Leapstitch Appreral (Pvt) Ltd	1	100.00%	900,000	377,184	
15	LOLC Advanced Technologies (Pvt) Ltd	70,151,945	100.00%	701,519	1	
16	LOLC Asia (Pvt) Ltd	150,306,584	28.86%	18,264,176	4,347,992	
17	LOLC Ceylon Property Holdings (Pvt) Limited	1	100.00%	12,436,946	12,665,226	
18	LOLC Capital One (Pvt) Limited	15,860,000	100.00%	158,600	108,260	
19	LOLC Corporate Services Limited	15,400,000	100.00%	154,000	102,530	
20	LOLC Eco Solutions Limited	64,100,000	100.00%	641,000	588,749	
21	LOLC Eco Technologies Limited	-	0.00%	0.01	406	
22	LOLC Factors Ltd	720,000,000	64.91%	7,200,000	-	
23	LOLC Fincorp (Pvt) Ltd	1	0.00%	0.01	-	
24	LOLC Financial Sector Holdings (Pvt) Ltd	7,045,000	100.00%	1,274,312	-	
25	LOLC Technologies Ltd	1,700,000	100.00%	17,000	3,839,834	
26	LOLC Investments Limited	1,479,920,000	100.00%	17,241,616	15,297,422	
27	LOLC Motors Limited	-	0.00%	1,260,000	1,369,913	

	New investment & Disposal Rs. '000	Share of profit/ (loss) net to tax Rs. '000	Equity Accounting Adjustment Rs. '000	Balance as at 31st March 2025 Rs.'000	New Investment & Disposal Rs. '000	Share of profit/ (loss) net to tax Rs. '000	Equity Accounting Adjustment Rs.'000	Balance as at 31st March 2026 Rs.'000
	-	-	-	-	-	-	-	-
	-	21,668,069	3,174,522	71,721,170	-	(10,695,865)	17,426,569	78,451,874
	-	21,668,069	3,174,522	71,721,170	-	(10,695,865)	17,426,569	78,451,874
	-	24,007	45,393	165,239	-	51,395	26,007	242,641
	-	-	-	-	-	-	-	-
	-	(560)	45,393	163,964	-	(679)	26,007	189,292
	-	-	-	-	-	-	-	-
	-	27,544	45,393	384,455	-	20,727	26,007	431,189
	-	(2,132)	52,393	361,132	-	(2,193)	26,007	384,946
	-	-	-	-	-	-	-	-
	-	97,835	45,393	822,161	-	55,676	26,007	903,844
	-	6,894	-	64,472	-	(293)	-	64,179
	-	156,346	(183,812)	1,415,069	-	27,624	99,336	1,542,029
	-	-	-	-	-	-	-	-
	-	(768,203)	391,019	-	-	-	-	-
	-	-	-	1	3,000,000	(337,685)	(12,579)	2,649,737
	-	953,460	(25,961)	5,275,491	-	(298,235)	240,192	5,217,448
	-	(368)	(229,000)	12,435,858	(11,545,734)	198,678	-	1,088,802
	-	(244)	45,393	153,409	-	(232)	26,007	179,184
	-	21,074	45,393	168,997	-	(673)	25,975	194,299
	-	(1,329)	45,393	632,813	-	(154)	26,007	658,666
	-	-	-	406	-	-	(406)	-
	-	-	-	-	8,260,000	(713,112)	(413,174)	7,133,714
	-	-	-	-	18,365,251	(3,068,183)	-	15,297,068
	-	493,136	378,940	872,076	-	(66,479)	(805,597)	-
	-	1,044,683	85,091	4,969,608	-	2,359,241	11,046	7,339,895
	-	(1,186,755)	2,102,809	16,213,476	-	2,668,265	26,007	18,907,748
	-	(71,453)	283,156	1,581,616	(1,260,000)	-	(321,616)	-

31.1 Company (Contd.)

	Company	No. of Shares	Holding %	Cost Rs.'000	Balance as at 1st April 2024 Rs. '000	
28	LOLC Myanmar Micro Finance Limited	8,119,433	21.36%	1,022,408	1,375,546	
29	LOLC Securities Limited	50,000,000	100%	500,000	1,086,687	
30	LOLC Ventures FZE	300	100%	24,154	-	
31	LOLC Investment Holdings Nine (Pvt) Ltd	1	100%	0.01	-	
32	Sundaya Lanka (Pvt) Ltd	624,490	51.00%	6,245	-	
33	LOLC Ceylon Holdings Ltd	1	0.00%	0.01	-	
34	Browns Retreats (Pvt) Ltd	1	100.00%	-	-	
35	Equity accounted adjustments for indirect holdings			-	149,490,416	
				64,142,520	193,666,571	
	Total			71,723,963	240,545,150	

	New investment & Disposal Rs. '000	Share of profit/ (loss) net to tax Rs. '000	Equity Accounting Adjustment Rs. '000	Balance as at 31st March 2025 Rs.'000	New Investment & Disposal Rs. '000	Share of profit/ (loss) net to tax Rs. '000	Equity Accounting Adjustment Rs.'000	Balance as at 31st March 2026 Rs.'000
	-	(166,409)	618,476	1,827,613	-	42,634	105,414	1,975,661
	-	40,887	187	1,127,761	-	68,753	(225)	1,196,289
	-	-	-	-	-	45,985	(19,153)	26,832
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	27,176,928	(6,674,979)	169,992,365	-	34,594,961	16,133,447	220,720,773
	-	27,845,341	(2,883,930)	218,627,982	16,819,517	35,646,021	15,250,716	286,344,236
	-	49,513,410	290,592	290,349,152	16,819,517	24,950,156	32,677,285	364,796,110

31.2 Group holdings in subsidiaries

Accounting Policy

Business Combinations

The Group's Financial Statements comprise, Consolidated Financial Statements of the Company and its Subsidiaries in terms of the Sri Lanka Accounting Standard – SLFRS 10 on 'Consolidated Financial Statements' and the proportionate share of the profit or loss and net assets of its Associates in terms of the Sri Lanka Accounting Standard – LKAS 28 on 'Investments in Associates and Joint Ventures'.

The Group measures goodwill as the fair value of the consideration transferred including the recognized amount of any non-controlling interest in the acquiree, less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognized immediately in Profit or Loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interest at its fair value, or at its proportionate share of the recognized amount of the identifiable net assets, at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Transactions do not Result a Change in Control

Changes in the Group's interest in a subsidiary that do not result in a loss of control status are accounted for as transactions with owners in their capacity as owners. Adjustments to non-controlling interests and parent's equity are based on a proportionate amount of the net assets of the subsidiary. No adjustments are made to goodwill recognized and no gain or loss is recognized in Profit or Loss.

Details of the Group's subsidiaries at the end of the reporting period are as follows;

	Subsidiary		As at 31 March Principal Activities	Proportion of ownership interest held by the Group			
				2026		2025	
				No. of Shares issued	Control Holding %	No. of Shares issued	Control Holding %
	Listed subsidiaries						
1	Agstar PLC	AGPLC	Trading and manufacturing	487,500,000	59.50%	487,500,000	58.85%
2	Brown & Company PLC	BCL	Trading and manufacturing	212,625,000	83.42%	212,625,000	83.42%
3	Browns Investments PLC	BIL	Investments holding	14,369,717,460	64.55%	14,369,717,460	64.55%
4	Dolphin Hotels PLC	DOLPHINPLC	Hotelier	63,242,954	69.33%	63,242,954	69.33%
5	Eden Hotels Lanka PLC	Eden	Hotelier	1,584,000,000	95.22%	1,584,000,000	95.22%
6	Hapugastenne Plantation PLC	HPL	Plantations	46,315,790	89.99%	46,315,790	89.99%
7	Hotel Sigiriya PLC	SIGIRIYAPLC	Hotelier	17,577,000	64.29%	17,577,000	64.29%
8	LOLC Finance PLC	LOFIN	Financial services	29,560,147,161	96.29%	33,079,212,299	96.68%
9	Palm Garden Hotels PLC	PGH	Investments holding	475,937,000	98.92%	475,937,000	98.92%
10	Serendib Hotels PLC	SHOTPLC	Hotelier	446,103,176	58.23%	446,103,176	60.50%
11	Udapussellawa Plantations PLC	UPL	Plantations	19,398,851	90.00%	19,398,851	90.00%
12	LOLC General Insurance PLC	LGENERAL	General Insurance	1,200,000,000	90.17%	1,200,000,000	90.17%
13	Sierra Cables PLC	SCABLE_NEW	Trading & Manufacturing	537,512,430	56.59%	537,512,430	56.59%
14	Tea Smallholder Factories PLC	TSHF	Trading & Manufacturing	30,000,000	75.27%	-	0.00%
	Non-listed subsidiaries						
15	AgStar Cropcare (Pvt) Ltd	AGCROP	Trading and manufacturing	5,000,000	100.00%	5,000,000	100.00%
16	AgStar Seeds (Pvt) Ltd	AGSEED	Trading and manufacturing	5,000,000	100.00%	5,000,000	100.00%
17	AgStar Grains (Pvt) Ltd	AGGRAINS	Trading and manufacturing	34,000,000	100.00%	34,000,000	100.00%
18	Ajax Engineers (Private) Limited	Ajax	Aluminium Fabrication	469,988	100.00%	469,988	100.00%
19	B G Air Services (Private) Limited	BGAIR	Air ticketing and outbound tours	50,000	100.00%	50,000	100.00%
20	BI Logistics and Commodities (Private) Limited	BILOGIS	Trading and manufacturing	73,000,250	100.00%	73,000,250	100.00%
21	BI Zhongtian Holdings (Pvt) Ltd	BIZHONG	Pre-operational	100	51.00%	100	51.00%
22	Browns Agri Solutions (Pvt) Ltd	BFPL	Agri Solutions	32,500,001	100.00%	32,500,001	100.00%
23	Browns Engineering & Construction (Pvt) Ltd	BECL	Construction	184,500,001	50.00%	175,000,001	50.00%
24	Browns Global Farm (Private) Limited	BGFL	Plantations	58,295,328	100.00%	58,295,328	100.00%
25	Browns Group Industries (Private) Limited	BGIL	Trading and manufacturing	18,162,500	100.00%	18,162,500	100.00%
26	Browns Group Motels Limited	BGML	Non-operational	15,963,067	99.37%	15,963,067	99.37%
27	Browns Health Care Negombo (Private) Limited	BML	Health Care	158,625,000	100.00%	158,625,000	100.00%
28	Browns Holdings Limited	BHL	Investments holding	575,076,303	100.00%	575,076,303	100.00%
29	Browns Hotels and Resorts Limited	BHRL	Investments holding	5,060,427,545	100.00%	5,060,427,545	100.00%
30	Browns Industrial Park (Private) Limited	BIPL	Renting Premises	88,362,500	100.00%	88,362,500	100.00%
31	Browns Leisure (Pvt) Ltd	BLL	Pre-operational	5,000,001	90.00%	5,000,001	90.00%
32	Browns Metal & Sands (Pvt) Ltd	BMS	Metal Mining	1	100.00%	1	100.00%
33	Browns Pharma Limited	BPPL	Vet Pharma	25,362,500	100.00%	25,362,500	100.00%
34	B.I. Holdings (Pvt) LTD	BPL	Investments holding	1,712,300,000	100.00%	1,712,300,000	100.00%
35	Browns Power Holding Limited	FLPH	Investments holding	100,000,000	100.00%	100,000,000	100.00%
36	Browns Property Holdings (Private) Limited	BPHPL	Property Holding	1	100.00%	1	100.00%
37	Browns Properties (Private) Limited	FLCPROP	Real Estate	97,000,000	100.00%	97,000,000	100.00%
38	Browns Teas (Pvt) Ltd	BTEAS	Pre-operational	1	100.00%	1	100.00%
39	Browns Thermal Engineering (Private) Limited	BTEL	Trading and manufacturing	16,862,500	100.00%	16,862,500	100.00%

	Subsidiary		As at 31 March Principal Activities	Proportion of ownership interest held by the Group			
				2026		2025	
				No. of Shares issued	Control Holding %	No. of Shares issued	Control Holding %
40	Browns Tours (Private) Limited	BTL	GSA for Austrian airlines and inbound tour operations	17,567,500	100.00%	17,567,500	100.00%
41	Ceylon Graphene Technologies (Private) Limited	CGTL	Graphene Manufacturing	63,529,412	90.00%	63,529,412	90.00%
42	Ceylon Real Estate Holdings (Pvt) Ltd	CREH	Real Estate Development	1	100.00%	1	100.00%
43	Ceylon Roots Lanka (Pvt) Ltd	Roots_Lanka	Inbound tour operations	1	100.00%	1	100.00%
44	CFT Engineering Limited	CFTEL	Non-operational	3,076,130	99.99%	3,076,130	99.99%
45	Colombo Marina Development (Pvt) Ltd	CMD	Real Estate Development	1	100.00%	1	100.00%
46	Commercial Factors (Private) Limited	COMFAC	Non-operational	15,550,001	100.00%	15,550,001	100.00%
47	Dikwella Resort (Private) Limited	DRS	Hotelier	481,314	100.00%	481,314	100.00%
48	Diriya Investments (Private) Limited	DIL	Investments holding	415,313,564	100.00%	415,313,564	100.00%
49	Eagle Recoveries (Private) Limited	EAGLE	Non-operational	25,955,088	100.00%	25,955,088	100.00%
50	East Coast Land Holdings (Private) Limited	LOLH	Pre-operational	28,700,000	100.00%	28,700,000	100.00%
51	Engineering Services (Private) Limited	ESL	Real estate	15,797,502	100.00%	15,797,502	100.00%
52	Excel Global Holding Limited	EGHL	Real estate	53,448,329	100.00%	53,448,329	100.00%
53	Excel Restaurant (Private) Limited	ERL	Food & beverages	10,004	100.00%	10,004	100.00%
54	F L P C Management (Private) Limited	FLPC	Plantation management	96,552,842	95.34%	96,552,842	95.34%
55	Frontier Capital Lanka (Pvt) Ltd	FRONTIER	Hotelier	3,216,295	100.00%	3,216,295	100.00%
56	Galoya Holdings (Private) Limited	GOHL	Investments holding	2,600,100	100.00%	2,600,100	100.00%
57	Green Orchard Property Investments (Private) Limited	GOPIL	Real Estate	23,795,660	100.00%	23,795,660	100.00%
58	Green Paradise Resorts (Private) Limited	GPR	Hotelier	5,000,007	100.00%	5,000,007	100.00%
59	Gurind Accor (Pvt) Ltd	GURIND	Glass Processing	7,102,001	100.00%	1,544,002	85.00%
60	ICONIC Property Three (Pvt) Ltd	ICONIC3	Property Holding	1	100.00%	1	100.00%
61	ICONIC Property Five (Pvt) Ltd	ICONIC5	Property Holding	1	100.00%	1	100.00%
62	ICONIC Property Six (Pvt) Ltd	ICONIC6	Property Holding	1	100.00%	1	100.00%
63	ICONIC Property Eight (Pvt) Ltd	ICONIC8	Property Holding	1	100.00%	1	100.00%
64	ICONIC Property Nine (Pvt) Ltd	ICONIC9	Property Holding	1	100.00%	1	100.00%
65	ICONIC Property Ten (Pvt) Ltd	ICONIC10	Property Holding	1	100.00%	1	100.00%
66	ICONIC Property Thirteen (Pvt) Ltd	ICONIC13	Property Holding	1	100.00%	1	100.00%
67	ICONIC Property Fifteen (Pvt) Ltd	ICONIC15	Property Holding	1	100.00%	1	100.00%
68	ICONIC Property Seventeen (Pvt) Ltd	ICONIC17	Property Holding	1	100.00%	1	100.00%
69	ICONIC Property Eighteen (Pvt) Ltd	ICONIC18	Property Holding	1	100.00%	1	100.00%
70	ICONIC Property Twenty One (Pvt) Ltd	ICONIC21	Property Holding	1	100.00%	1	100.00%
71	LOLC Investment Holdings One (Pvt) Ltd (former ICONIC property 23)	ICONIC23	Property Holding	124,139,721	100.00%	124,139,721	100.00%
72	ICONIC Trust (Pvt) Ltd	ICONICTRUST	Investment Holding	1	100.00%	1	100.00%
73	I Pay Ceylon (Pvt) Ltd (Formerly known as LOLC Investment Holdings Five (Pvt) Ltd)	LOLCINV5	Investments holding	1	100.00%	1	100.00%
74	Klevenberg (Private) Limited	KPL	Trading and manufacturing	30,962,500	100.00%	30,962,500	100.00%
75	Leapstitch Technologies (Pvt) Ltd	LEAPSTITCH	Advance Technology	25,056,490	49.00%	25,056,490	49.00%
76	Leapstitch Apparel (Pvt) Ltd	LEAPSTITCHAP	Trading and manufacturing	1	100.00%	1	100.00%
77	LOLC Advanced Technologies (Pvt) Ltd	BATL	Advance Technology	70,151,945	100.00%	70,151,945	100.00%
78	LOLC Asset Holdings Limited	LAHL	Holding Company	117,620,552	100.00%	117,620,552	100.00%
79	LOLC Ceylon Property Holding (Private) Ltd	LOLCCPH	Property Holding	1	100.00%	1	100.00%

	Subsidiary		As at 31 March Principal Activities	Proportion of ownership interest held by the Group			
				2026		2025	
				No. of Shares issued	Control Holding %	No. of Shares issued	Control Holding %
80	LOLC Capital One (Private) Limited	LCONE	Non-operational	15,860,000	100.00%	15,860,000	100.00%
81	LOLC Corporate Services (Pvt) Ltd	COSER	Secretarial	15,400,000	100.00%	15,400,000	100.00%
82	LOLC Eco Solutions Limited	ECO	New venture	64,100,000	100.00%	64,100,000	100.00%
83	LOLC Factors Limited	LOFAC	Financial Services	720,000,000	100.00%	920,000,000	100.00%
84	LOLC Fincorp (Pvt) Ltd	FINCORP	Investment Holdings	1	100.00%	1	0.00%
85	LOLC GEO Technologies Pvt Ltd	LOLCGEO	Graphene Processing	900,000	90.00%	28,388,071	90.00%
86	LOLC Investments Limited	LOIV	Investment Holding	1,479,920,000	100.00%	1,479,920,000	100.00%
87	LOLC Investment Holdings Two (Pvt) Ltd	LOLCINV2	Investments holding	1	100.00%	1	100.00%
88	LOLC Investment Holdings Three (Pvt) Ltd (Merged with LOFAC)	LOLCINV3	Investments holding	-	0.00%	220,459,240	100.00%
89	LOLC Investment Holdings Four (Pvt) Ltd	LOLCINV4	Investments holding	1	100.00%	1	100.00%
90	Ceylon Precious (pvt) Ltd (Formerly known as LOLC Investment Holdings Six (Pvt) Ltd)	LOLCINV6	Investments holding	1	100.00%	1	100.00%
91	LOLC Life Assurance Limited	LLIFE	Long Term Insurance	135,000,000	100.00%	135,000,000	100.00%
92	LOLC Minerals Quartz (Pvt) Ltd	FORTIGRAINSLPL	Manufacturing	1	100.00%	1	100.00%
93	LOMO Services Limited (former LOLC Motors Limited)	LOMO	Automobile Repairs	101,000,000	100.00%	126,000,000	100.00%
94	LOLC Minerals Dolomite (Private) Limited (former LOLC ECO Technologies (Pvt) Ltd)	LOLCP9	Technology	1	100.00%	1	100.00%
95	LOLC Property Six (Pvt) Ltd	LOLCP6	Real estate	1	100.00%	1	100.00%
96	LOLC Securities Limited	LOSL	Stock Brokering	50,000,000	100.00%	50,000,000	100.00%
97	LOLC Serendib (Private) Limited	SERENDIB	Investment Holdings	1,000,000	100.00%	1,000,000	100.00%
98	LOLC Technologies Limited	LOITS	IT Services	1,700,000	100.00%	1,700,000	100.00%
99	Mahaweli Agro Trading (Pvt) Ltd	MAHAWELI	Trading & Manufacturing	19,550,000	100.00%	19,550,000	100.00%
100	Masons Mixture Limited	MML	Holding Company	4,304,124	99.67%	4,304,124	99.67%
101	Maturata Plantation Limited	MATURATA	Plantations	175,000,005	94.40%	35,000,001	72.00%
102	Marina Hotel Holdings (Pvt) Ltd	MHH	Real Estate Development	1	100.00%	1	100.00%
103	Millennium Development Limited	MDL	Renting Premises	44,390,823	100.00%	44,390,823	100.00%
104	AgStar Exports (Pvt) Ltd (Disposed)	AGEXPO	Trading & Manufacturing	-	0.00%	4,500,000	100.00%
105	Prith Seeds (Pvt) Ltd	PRITH	Trading & Manufacturing	10,000	100.00%	10,000	100.00%
106	Royal Seeds Pvt) Limited	ROYALSEED	Plantations	2	100.00%	2	100.00%
107	Browns Tea Exports (Private) Limited (Formerly known as Euro Asia Tea (Pvt) Ltd)	EUROASIA	Trading & Manufacturing	94,826,239	100.00%	94,826,239	100.00%
108	Sunsun Boutique Hotels Ltd	SBHL	Hotel Management	56,637,118	100.00%	56,637,118	100.00%
109	Browns Development Ltd	SDEV	Construction	29,204,304	100.00%	29,204,304	100.00%
110	Monkey Beach Estate (Pvt) Ltd	MONKEYBEACH	Real Estate	1	100.00%	1	100.00%
111	Newburgh Green Teas (Private) Limited	NGTPL	Plantations	6,481,944	54.00%	6,481,944	54.00%
112	Riverina Resort (Private) Limited	RRL	Hotelier - Pre operational	670,650,000	100.00%	670,650,000	100.00%
113	S.F.L. Services (Private) Limited	SFL	Financial Services	1,627,500,000	100.00%	1,627,500,000	100.00%
114	Sanctuary Resorts Lanka (Pvt) Ltd	SANCTUARY	Hotelier	2	100.00%	2	100.00%
115	Serendib Leisure Mgt Ltd	LEISUREMGT	Hotelier	6,050,000	100.00%	6,050,000	100.00%
116	Browns Piling (Pvt) Ltd	SPILING	Construction	4,310,005	100.00%	4,310,005	100.00%
117	Sifang Lanka (Private) Limited	SLPL	Trading	117,412,500	100.00%	117,412,500	100.00%
118	Snowcem Products Lanka (Private) Limited	SNOWCHEM	Trading	15,762,500	100.00%	15,762,500	100.00%
119	Sri Spice (Private) Limited	SRISPICE	Trading	200	65.00%	200	65.00%

	Subsidiary		As at 31 March Principal Activities	Proportion of ownership interest held by the Group			
				2026		2025	
				No. of Shares issued	Control Holding %	No. of Shares issued	Control Holding %
120	Sumudra Beach Resorts (Private) Limited	SBRL	Hotelier	219,027,500	100.00%	219,027,500	100.00%
121	Sun & Fun Resorts (Private) Limited	SUNFUN	Hotelier	112,222,474	51.00%	112,222,474	51.00%
122	Sundaya Lanka (Private) Limited	SUNDAYA	Trading	1,224,490	51.00%	1,224,490	51.00%
123	Tea Leaf Resort (Private) Limited	TEALEAF	Non-operational	500,002	100.00%	500,002	100.00%
124	The Hatton Transport & Agency Company (Private) Limited	HATTON	Non-operational	1,537,250	100.00%	1,537,250	100.00%
125	Thurushakthi (Private) Limited	THURU	Property Holding	15,400,001	100.00%	15,400,001	100.00%
126	Tropical Island Commodities (Private) Limited	TROPICAL	Trading	28,857,157	65.00%	100,005	65.00%
127	Tropical Villas (Private) Limited	TVL	Non-operational	14,959,232	100.00%	14,959,232	100.00%
128	United Dendro Energy Ambalantota (Private) Limited	UDEA	Energy & Power	15,400,001	100.00%	15,400,001	100.00%
129	United Dendro Energy Walawewatte (Private) Limited	UDEW	Energy & Power	15,400,001	100.00%	15,400,001	100.00%
130	Walker & Greig (Private) Limited	WGL	Non-operational	15,362,501	100.00%	15,362,501	100.00%
131	Sifang Lanka Trading (Private) Limited	SLTPL	Trading	3,000,002	100.00%	3,000,002	100.00%
132	Fairview Lands Limited	FLL	Non-operational	1	100.00%	1	100.00%
133	Bestie Beverage (Pvt) Ltd (Merged to BATL)	BESTIE	Trading	240,000,000	95.94%	240,000,000	95.94%
134	LOLC Property Holding SL (Pvt) Ltd	LOLCCPHSL	Property Holding	1	100.00%	1	100.00%
135	LOLC Investment Holdings Seven (Pvt) Ltd	LOLCINV7	Investment Holdings	1	100.00%	1	100.00%
136	LOLC Investment Holdings Eight (Pvt) Ltd	LOLCINV8	Investment Holdings	1	100.00%	1	100.00%
137	LOLC Investment Holdings Nine (Pvt) Ltd	LOLCINV9	Investment Holdings	1	100.00%	1	100.00%
138	Browns Tea Brokers (Private) Limited (former LOLC Investment Holdings Ten (Pvt) Ltd)	LOLCINV10	Investment Holdings	1	100.00%	1	100.00%
139	LOLC Motors (Pvt) Limited (former LOLC Investment Holdings Eleven (Pvt) Ltd)	LOLCINV11	Investment Holdings	1	100.00%	1	100.00%
140	LOLC Ceylon Holdings Limited	LOLCP10	Investment Holdings	2,953,768,233	100.00%	3,843,074,796	100.00%
141	Sun Yield Bio Ingredients (Pvt) Ltd	SYBI	Trading & Manufacturing	10,000	70.00%	10,000	70.00%
142	Browns Plantation Holdings (Pvt) Limited	BPHL	Investment Holdings	601,000	100.00%	601,000	100.00%
143	Colombo Marina International (Pvt) Ltd	CMIPL	Real Estate Development	1	100.00%	1	100.00%
144	Marina Hotel (Pvt) Ltd	CMPL	Real Estate Development	1	100.00%	1	100.00%
145	Three Tips Ella (Pvt) Limited	TTIPS	Hotelier	1	100.00%	1	100.00%
146	Sierra Cables East Africa Limited	SCEAL	Trading & Manufacturing	5,700	95.00%	5,700	95.00%
147	Browns Group Industrial Park (Pvt) LTD(Formerly known as Isin Lanka (Private) Limited)	ISIN	Real estate	40,934,550	100.00%	40,934,550	100.00%
148	FLMC Plantations (Pvt) Ltd	FLMC_New	Investment Holdings	10,000,000	100.00%	-	0.00%
149	Pussellawa Plantation Ltd	PPL_New	Plantations	23,846,154	59.71%	-	0.00%
150	Melfort Green Teas (pvt) Ltd	MGT	Plantations	1,400,000	53.57%	-	0.00%
151	Ceylon Estate Teas (Pvt) Ltd	CET_NEW	Plantations	755,002	100.00%	-	0.00%
152	Fortigrains (Pvt) Ltd	FPLSINGA	Investment Holdings	500	50.00%	500	50.00%
153	LOLC Enterprise Management One (Private) Limited.	LEM1	Non-operational	1	100.00%	-	0.00%
154	LOLC Enterprise Management Two (Private) Limited.	LEM2	Non-operational	1	100.00%	-	0.00%
155	LOLC Enterprise Management Three (Private) Limited.	LEM3	Non-operational	1	100.00%	-	0.00%
156	LOLC Enterprise Management Four (Private) Limited.	LEM4	Non-operational	1	100.00%	-	0.00%

	Subsidiary		As at 31 March Principal Activities	Proportion of ownership interest held by the Group			
				2026		2025	
				No. of Shares issued	Control Holding %	No. of Shares issued	Control Holding %
157	LOLC Enterprise Management Five (Private) Limited.	LEM5	Non-operational	1	100.00%	-	0.00%
158	Browns Retreats (Private) Limited	BRL	Non-operational	1	100.00%	-	0.00%
159	I Pay Holdings (Pvt) Ltd	IPAYHL	Investment Holdings	1	100.00%	1	100.00%
160	Fusion X Holdings (Pvt) Ltd	FUSIONHL	Investment Holdings	1	100.00%	1	100.00%
	Foreign subsidiaries using different functional currencies						
	Listed subsidiaries						
161	Limuru Tea PLC	LIMURU	Plantation	2,400,000	52.00%	2,400,000	52.00%
	Non-listed subsidiaries						
162	Bodufaru Beach Resorts (Private) Limited	BBR	Hotelier - pre-operational	235,800	99.96%	235,800	99.96%
163	B Commodities ME(FZE)	BICOMEZ	Wealth Management	150,000	100.00%	150,000	100.00%
164	Browns Ari Resort (Pvt) Ltd	BARM	Hotelier - pre-operational	40,099	100.00%	40,099	100.00%
165	Browns Kaafu N Resort (Pvt) Ltd	BKNRM	Hotelier - pre-operational	99	99.00%	99	99.00%
166	Browns Raa Resort (Pvt) Ltd	BRRM	Hotelier - pre-operational	99	99.00%	99	99.00%
167	Fusion X Global FZC	FusionXFZC	Financial services Technologies	300	100.00%	300	100.00%
168	Grey Reach Investments Ltd	GRIL	Investments holding	30,000	66.67%	30,000	66.67%
169	IPay Global FZC	IPayFZC	Financial services Technologies	300	100.00%	300	100.00%
170	LOLC Kenya Microfinance Bank PLC (former Key Micro Finance Bank PLC)	KMBPLC	Micro Lending	71,735,791	83.81%	71,735,791	83.81%
171	LOLC Global (Pvt) Ltd	LOLC_ASIA	Investment Holdings	44,100,000	100.00%	44,100,000	100.00%
172	LOLC Asia(Pvt) Ltd	LOLCPL	Investment Holdings	437,719,375	84.05%	437,719,375	84.05%
173	LOLC Cambodia Plc	TPC	Financial services	4,243,774	96.97%	4,243,774	96.97%
174	LOLC Africa Holdings (Pvt) Ltd - Singapore	LAFRICA	Investments holding	28,394,517	100.00%	28,394,157	100.00%
175	LOLC Financial Sector Holdings Private Limited	LOLCFSH	Investment Holdings	7,045,000	100.00%	7,045,000	100.00%
176	LOLC Finance Zambia Limited	LZAMBIA1	Financial Services	16,000,000	100.00%	16,000,000	100.00%
177	LOLC International (Pvt) Ltd	LOLCIPL	Investment Holdings	3,961,189	100.00%	3,961,189	100.00%
178	LOLC Mauritius Holdings Limited	LMAURITIUS	Investments holding	35,955,698	100.00%	35,955,698	100.00%
179	LOLC Myanmar Micro-Finance Company Limited	LMML	Financial services	38,004,505	100.00%	38,004,505	100.00%
180	LOLC Philippines Corporation	PHILCO	Investment Holdings	526,659,203	100.00%	526,659,203	100.00%
181	LOLC Philippines Holdings Incorporated	PHILHOLD	Investment Holdings	94,166,800	40.00%	94,166,800	40.00%
182	LOLC Philippines Capital Holdings Corporation	PHILCAP	Investment Holdings	149,995,005	100.00%	149,995,005	100.00%
183	LOLC Bank Philippines	LOLCBP	Micro finance Bank	5,109,236	47.92%	4,345,812	47.92%
184	LOLC Finance Philippines Inc.(former LOLC ASKI Finance Inc)	ASKI	Financial services	4,856,521	99.97%	2,206,521	99.93%
185	NPH Investment (Private) Limited	NPHI	Leisure	141,555,600	51.00%	141,555,600	51.00%
186	Pak Oman Micro finance Bank Limited	PAKOMAN	Financial services	230,830,000	100.00%	230,830,000	100.00%
187	PT LOLC Management Indonesia	PTLMI	Investment Holdings	50,146	68.08%	50,146	68.08%
188	PT LOLC Ventura Indonesia (Former PT Sarana Sumut Ventura)	PTSSV	Financial services	85,000,000	84.73%	85,000,000	84.73%
189	Sunbird Bioenergy (SL) Ltd	SBSLL	Plantation	3,750	75.09%	3,750	75.09%

	Subsidiary		As at 31 March Principal Activities	Proportion of ownership interest held by the Group			
				2026		2025	
				No. of Shares issued	Control Holding %	No. of Shares issued	Control Holding %
190	Qirat Investments LLC	QIRAT	Investment Holdings	300	100.00%	300	100.00%
191	Urumaya Resources Pvt Ltd	URUMAYA	Gold Mining	100	80.00%	100	80.00%
192	LOLC India Holdings (IFSC) Private Limited (disposed)	INDHOL	Investment Holdings	-	0.00%	1	100.00%
193	ABN Micro Finance	ABN	Micro Lending	401,073,700	60.83%	350,000,000	60.75%
194	Fina Trust Micro Finance Bank Ltd	FINAT	Micro finance Bank	445,075,760	70.00%	445,075,760	70.00%
195	LOLC El-Oula Microfinance Egypt	FMFCL	Micro Lending	2,973,669	100.00%	1,011,790	99.99%
196	LOLC Finance Limited Malawi	EXPRESSCREDIT	Micro Lending	1,448,820,854	100.00%	1,448,820,854	100.00%
197	LLC MDO LOLC Moliya (former Fazo S LLC MDO)	Fazo	Micro Lending	15,500,000	100.00%	15,500,000	100.00%
198	Lombard Microfinance Organisation	Karat	Pawning	1,052,376	100.00%	1,052,376	100.00%
199	LOLC Tanzania Financial Services Ltd (former Tujijenge Tanzania Financial Services)	TUJIJENG	Micro Lending	3,829	97.39%	3,829	97.39%
200	Serendib Micro Insurance PLC	SMIPLC	Micro Insurance	1,000,000	33.33%	1,000,000	100.00%
201	LOLC Central Asia (Pvt) Ltd	LOLCCAPL	Investment Holdings	22,690,000	100.00%	22,690,000	100.00%
202	LOLC Ventures FZE	VENFZE	Investment Holdings	300	100.00%	300	100.00%
203	Yambukai Finance	YAMBUKAI	Micro Lending	6,000	70.00%	6,000	70.00%
204	LOLC India Finance Private Limited	INDFIN	Micro Lending	1	100.00%	1	100.00%
205	LOLC UNGUKA Finance PLC (former Unguka Bank PLC)	UNGKA	Banker	51,791,654	90.00%	51,791,654	90.00%
206	FORTUNE Holdings SD (Pvt) Ltd	FORTUNE	Investment Holdings	1	9.00%	1	9.00%
207	R-Finance' Microfinance Organization Limited Liability Partnership	RFIN	Micro Lending	100	50.01%	100	50.01%
208	Browns Engineering & Construction (Fiji) Pte Ltd	BECLFIJI	Construction	600,000	100.00%	600,000	100.00%
209	Browns Plantations Kenya Limited (former James Finlay (Kenya) Limited)	JFKL	Plantation	7,500,000	85.00%	7,500,000	85.00%
210	Browns E&C Technical Services Contracting LLC	BECLUAE	Construction	300	100.00%	300	100.00%
211	Browns Plantation Rwanda Ltd	BRWANDA	Plantation	20,745,293	100.00%	20,745,293	100.00%
212	Browns Plantation Tanzania Ltd	BTANZANIA	Plantation	8,014,373,342	100.00%	8,014,373,342	100.00%
213	Browns Plantation East Africa Ltd	BEAP	Plantation	65,644,010	98.94%	65,644,010	98.94%
214	Browns Plantations (Guizhou) Tea Co., Ltd (former James Finlay (Guizhou) Tea CO., LTD)	JFKGUIZHOU	Plantation	1	100.00%	1	100.00%
215	Browns Tea Trading FZCO	BTEAFZCE	Trading	75,000	60.00%	75,000	60.00%
216	LFSH Investments Private Limited	LFSHINV	Investment Holdings	1	100.00%	1	100.00%
217	PL Resorts Ltd	PLRESORTS	Hotelier	100	100.00%	100	100.00%
218	BI Leisure Holdings FZE	BILHFZE	Investments holding	300	100.00%	300	100.00%

31.3 Fair values of subsidiaries

The Directors' valuation of investments in subsidiaries has been done on consolidated net assets basis. The following subsidiaries are listed in the Colombo Stock Exchange and their market value details given below;

As at 31 March	Group			
	2026		2025	
	No. of Shares	Market value Rs.'000	No. of Shares	Market value Rs.'000
Brown & Company PLC	212,625,000	31,946,906	212,625,000	33,647,906
Browns Investments PLC	14,369,717,460	87,655,277	14,369,717,460	104,898,937
Dolphin Hotels PLC	63,242,954	2,523,394	63,242,954	2,890,203
Eden Hotels Lanka PLC	1,584,000,000	17,740,800	1,584,000,000	21,384,000
Hotel Sigiriya PLC	17,577,000	1,247,967	17,577,000	1,349,914
LOLC Finance PLC	29,560,147,161	153,712,765	33,079,212,299	198,475,274
Palm Garden Hotels PLC	475,937,000	27,985,096	475,937,000	30,222,000
Serendib Hotels PLC	446,103,176	7,271,482	446,103,176	8,252,909
LOLC General Insurance PLC	1,200,000,000	8,880,000	1,200,000,000	9,120,000
Hapugastenne Plantation PLC	46,315,790	2,524,211	46,315,790	2,079,579
Udapussellawa Plantations PLC	19,398,851	2,774,036	19,398,851	2,526,700
Agstar PLC - Voting Shares	461,289,465	4,566,766	461,289,465	3,505,800
Agstar PLC - Non Voting Shares	26,210,535	298,800	26,210,535	201,821
Sierra Cables PLC	537,512,430	15,211,602	537,512,430	8,438,945
Tea Smallholder Factories PLC	30,000,000	1,167,000	-	-
		365,506,100		426,993,988

31.4 Acquisition of subsidiaries

31.4.1 Financial Year 2026

31.4.1.1 Acquisition of Local Companies

Acquisition of Tea Smallholder Factories PLC

Udapussellawa Plantations PLC, a subsidiary of the Group, acquired a 75.27% equity stake in Tea Smallholder Factories PLC for Rs. 793.27 million during the period.

Acquisition of FLMC Plantations group

Browns Power Holdings (Pvt) Ltd, a subsidiary of the group, acquired 100% equity in FLMC Plantations (Pvt) Ltd, the holding company and managing agent of Pussellawa Plantations Ltd and Melfort Green Teas (Pvt) Ltd for Rs. 4.8 billion on 5 May 2025.

31.4.1.2 Consideration paid

For the year ended 31 March 2026	Control holding acquired %	Cash and cash equivalents Paid Rs.'000	Intra Group Investment Rs. '000	Fair value of the consideration Rs.'000	Total consideration of acquisition Rs.'000
Acquisition of Tea Smallholder Factories PLC (TSHF)	75.27%	793,274	-	793,274	793,274
FLMC Plantation Group (FLMC)	100.00%	4,800,000	(590,866)	4,209,134	4,209,134

31.4.1.3 The fair values of the identifiable assets and liabilities of the acquiree as at the date of acquisition were;

As at 31 March	TSHF Rs.000	FLMC Rs.000	Total Rs.000
Assets			
Cash and cash equivalents	2,246	102,921	105,167
Inventories	489,447	942,467	1,431,914
Current tax assets	6,096	48,172	54,268
Trade and other current assets	115,464	2,186,686	2,302,150
Right of use assets	1,932	6,126,831	6,128,763
Investment properties	813,202	-	813,202
Consumable biological assets	-	5,027,207	5,027,207
Bearer biological assets	-	5,675,657	5,675,657
Investments in group of companies	-	591,181	591,181
Deferred tax assets	-	627,582	627,582
Intangible assets	7,303	-	7,303
Property, plant and equipment	962,618	1,658,416	2,621,034
	2,398,308	22,987,120	25,385,428
Liabilities			
Bank overdrafts	65,746	-	65,746
Interest-bearing borrowings	-	1,099,028	1,099,028
Current tax payables	4,214	61,503	65,717
Trade and other payables	209,967	2,406,114	2,616,081
Deferred tax liabilities	332,670	5,395,694	5,728,364
Deferred income	382	684,098	684,480
Retirement benefit obligations	47,683	1,266,830	1,314,513
	660,662	10,913,267	11,573,929

31.4.1.4 Goodwill on acquisition / (Gain on bargain purchase)

Goodwill on acquisition / (Gain on bargain purchase) is recognized as a result of the acquisitions as follows;

	TSHF	FLMC	Total
	Rs.000	Rs.000	Rs.000
Consideration paid	793,274	4,800,000	5,593,274
Less - Transaction cost	-	-	-
Net consideration paid	793,274	4,800,000	5,593,274
Non-controlling interests acquired (Net)	695,105	4,782,965	5,478,070
Non controlling arising from the acquisition	-	590,866	590,866
Fair value of identifiable net assets acquired	1,737,646	12,073,853	13,811,499
Goodwill on acquisition/(Gain on bargain purchase)	(249,267)	(1,900,022)	(2,149,289)

31.4.1.5 Net cash used in acquisition

	TSHF	FLMC	Total
	Rs.000	Rs.000	Rs.000
Purchase consideration			
Fair value of the consideration paid	(793,274)	(4,800,000)	(5,593,274)
	(793,274)	(4,800,000)	(5,593,274)
(-) Cash & cash equivalents acquired			-
Positive cash balances	2,246	102,921	105,167
Net cash used in acquisition	(791,028)	(4,697,079)	(5,488,107)

31.4.2 Financial Year 2025

31.4.2.1 Acquisition of Foreign Companies

Acquisition of Lipton Teas and Infusions Kenya Plc (Renamed as Browns Plantations East Africa Ltd-BEAP)

B Commodities ME FZE ,A fully owned subsidiary of Browns Investments PLC acquired 98.94% of control holding in Lipton Teas and Infusions Kenya Plc for a total consideration of Rs.18.05 Bn on 30th July 2024.

Acquisition of Limuru Tea PLC

Lipton Teas and Infusions Kenya Plc ,a subsidiary of Browns Investments PLC hold 51.99% of control holding in Limuru Tea PLC.

Acquisition of Lipton Teas and Infusions Rwanda Ltd (Renamed as Browns Plantations Rwanda Ltd (BRWANDA))

B Commodities ME FZE ,A fully owned subsidiary of Browns Investments PLC acquired 100% of control holding in Lipton Teas and Infusions Rwanda Ltd for a total consideration of Rs.2.2 Bn on 30th July 2024.

Acquisition of Lipton Teas and Infusions Tanzania Ltd (Renamed as Browns Plantations Tanzania Ltd (BTANZANIA))

B Commodities ME FZE ,A fully owned subsidiary of Browns Investments PLC acquired 100% of control holding in Browns Plantations Tanzania Ltd for a total consideration of Rs.91.7 Mn on 20th December 2024.

Acquisition of James Finlay Guizhou Company Ltd (JFKGUIZHOU)

B Commodities ME FZE ,A fully owned subsidiary of Browns Investments PLC acquired 100% of control holding in James Finlay Guizhou Company Ltd for a total consideration of Rs.302 on 31st July 2024.

31.4.2.2 Acquisition of Local Companies

Acquisition of Isin Lanka (Pvt) Ltd (ISIN)

Brown & Company PLC ,A subsidiary of LOLC Holdings PLC acquired 100% of control holding in Isin Lanka (Pvt) Ltd for a total consideration of Rs.1.9 Bn on 24th September 2024.

Acquisition of Sierra Cables PLC (SCABLE)

Browns Investments PLC ,A subsidiary of LOLC Holdings PLC acquired 56.59% of control holding in Sierra Cables PLC for a total consideration of Rs.3.7 Bn on 20th March 2025.

31.4.2.3 Consideration paid

For the year ended 31 March 2025	Control holding acquired %	Cash and cash equivalents Paid Rs.'000	Consideration to be paid Rs. '000	Transfer from Associates Rs. '000	Intra Group Investment Rs. '000	Fair value of the consideration paid Rs.'000	Fair value of previously held interest Rs.'000	Total consideration of acquisition Rs.'000
Acquisition of Browns Plantations East Africa Ltd	98.94%	3,946,330	14,100,108	-	(56,497)	17,989,941	-	17,989,941
Acquisition of Limuru Tea PLC	51.99%	-	-	-	-	-	-	-
Acquisition of Browns Plantations Rwanda Ltd	100.00%	618,495	1,638,245	-	-	2,256,740	-	2,256,740
Acquisition of Browns Plantations Tanzania Ltd	100.00%	-	91,783	-	-	91,783	-	91,783
Acquisition of James Finlay Guizhou Company Ltd	100.00%	-	-	-	-	-	-	-
Acquisition of Isin Lanka (Pvt) Ltd	100.00%	1,920,000	-	-	-	1,920,000	-	1,920,000
Acquisition of Sierra Cables PLC	56.59%	1,740,773	-	2,012,043	-	3,752,816	-	3,752,816

31.4.2.4 The fair values of the identifiable assets and liabilities of the acquiree as at the date of acquisition were;

	BEAP	LIMURU	BRWANDA	BTANZANIA	JFKGUIZHOU	ISIN	SCABLE	Total
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Assets								
Cash and cash equivalents	647,139	16,340	84,547	457,733	80,274	38,900	769,478	2,094,411
Investment securities	260,056	-	-	-	-	-	73,677	333,733
Inventories	2,556,101	-	306,743	1,401,110	446,666	240,604	3,752,990	8,704,213
Current tax assets	4,095,983	14,402	426,683	1,093,213	93,870	382	570,722	6,295,256
Trade and other current assets	1,422,318	240,153	429,576	784,079	153,637	6,931	3,904,240	6,940,933
Right-of-use assets	66,982,251	17,532,169	2,034,747	2,117,614	-	-	-	88,666,781
Consumable biological assets	3,427,617	34,723	-	1,508,806	-	-	-	4,971,145
Bearer biological assets	6,757,342	184,552	1,215,475	2,228,080	-	-	-	10,385,448
Investments in group of companies	56,497	-	-	-	-	-	31,610	88,107
Deferred tax assets	-	-	-	1,238,663	-	-	-	1,238,663
Intangible assets	-	-	-	-	-	-	4,550	4,550
Property, plant and equipment	21,108,285	3,882,936	4,128,342	8,729,430	632,393	2,188,088	3,701,582	44,371,056
	107,313,588	21,905,274	8,626,112	19,558,727	1,406,841	2,474,906	12,808,849	174,094,297
Liabilities								
Interest-bearing borrowings	-	-	-	5,447	104,522	-	4,565,314	4,675,283
Current tax payables	1,758,039	-	42,767	825,548	-	1	333,769	2,960,124
Trade and other payables	4,084,716	49,676	703,339	1,690,019	513,458	8,391	1,000,188	8,049,786
Deferred tax liabilities	16,567,797	3,258,135	57,078	1,238,663	-	553,440	676,809	22,351,923
Retirement benefit obligations	165,308	48,844	5,859	363,953	-	-	106,206	690,170
	22,575,860	3,356,655	809,042	4,123,630	617,980	561,832	6,682,285	38,727,285

31.4.2.5 Goodwill on acquisition / (Gain on bargain purchase)

Goodwill on acquisition / (Gain on bargain purchase) is recognized as a result of the acquisitions as follows;

	BEAP	LIMURU	BRWANDA	BTANZANIA	JFKGUIZHOU	ISIN	SCABLE	Total
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Fair value of consideration paid	18,046,438	-	2,256,740	91,783	-	1,920,000	3,752,816	26,067,777
Less - Transaction cost	(2,279,301)	-	(23,051)	-	-	-	-	(2,302,352)
Net consideration paid	15,767,137	-	2,233,689	91,783	-	1,920,000	3,752,816	23,765,425
Non-controlling interests acquired (Net)	39,677,761	13,413,332	2,568,115	7,086,520	364,347	(1,152)	2,527,451	65,636,374
Non controlling arising from the acquisition	(8,361,412)	-	-	-	-	-	-	(8,361,412)
Fair value of identifiable net assets acquired	84,737,728	18,548,619	7,817,070	15,435,097	788,861	1,913,074	6,126,564	135,367,012
Goodwill on acquisition/(Gain on bargain purchase)	(37,654,242)	(5,135,287)	(3,015,266)	(8,256,794)	(424,515)	5,774	153,703	(54,326,626)

31.4.2.6 Net cash used in acquisition

	BEAP	LIMURU	BRWANDA	BTANZANIA	JFKGUIZHOU	ISIN	SCABLE	Total
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Purchase consideration								
Consideration payable	(14,100,108)	-	(1,638,245)	(91,783)	-	-	-	(15,830,136)
Fair value of the consideration paid	(3,946,330)	-	(618,495)	-	-	(1,920,000)	(1,740,773)	(8,225,598)
	(18,046,438)	-	(2,256,740)	(91,783)	-	(1,920,000)	(1,740,773)	(24,055,734)
[-] Cash & cash equivalents acquired								
Positive cash balances	647,139	16,340	84,547	457,733	80,274	38,900	769,478	2,094,411
Net cash used in acquisition	(3,299,191)	16,340	(533,948)	457,733	80,274	(1,881,100)	(971,295)	(6,131,187)

31.5 Disposal of Subsidiaries

Accounting Policy

The parent can lose control of a subsidiary with or without a change in absolute or relative ownership levels. Upon the loss of control, the Group derecognizes the assets and liabilities of the subsidiary, any minority interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in the statement of profit or loss.

If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as other financial asset depending on the level of influence retained.

31.5.1 Financial Year 2026

31.5.1.1 Divestment of group investments

31.5.1.2 Subsidiaries

During the current financial year group has divested following subsidiary;

	Controlling interest sold	Cash and cash equivalents received	Disposal related costs	Fair value of the consideration received	Fair value of Remaining Stake	Total consideration of disposal
	%	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Agstar Exports (Pvt) Ltd (AGEXPO)	100.00%	35,300	-	35,300	-	35,300
Fair value of the consideration received		35,300	-	35,300	-	35,300

31.5.1.3 Fair values of the identifiable assets and liabilities of the disposed;

Fair values of the identifiable assets and liabilities of the disposed groups at the date of disposal were;

	AGEXPO
	Rs.000
Assets	
Cash and cash equivalents	9,326
Inventories	3,097
Trade and other current assets	21,327
Deferred tax assets	417
Property, plant and equipment	2,546
	36,713
Trade and other payables	1,211
Fair value of identifiable net assets disposed	35,502

31.5.1.4 Gain on disposal of subsidiaries

	Note	AGEXPO Rs.000
Total consideration received	31.5.1.2	35,300
Net Assets Attributable to Parent		
De-recognition of non-controlling interests		103
Fair value of net assets disposed	31.5.1.3	(35,502)
Gain realized on disposal		(99)

31.5.1.5 Net cash received from disposal

	AGEXPO Rs.000
Total consideration received	35,300
(-) Disposal related costs	-
Positive cash balances	(9,326)
Net cash received from disposal	25,974

31.5.2 Financial Year 2025

31.5.2.1 Disposal of Browns Fabric Limited

31.5.2.2 Consideration received

During the current financial year group has divested following subsidiaries;

	Controlling interest sold %	Cash and cash equivalents received Rs. '000	Disposal related costs Rs.'000	Fair value of the consideration received Rs. '000	Fair value of Remaining Stake Rs. '000	Total consideration of disposal Rs. '000
Browns Fabric Limited	100.00%	50,000	-	50,000	-	50,000
Fair value of the consideration received		50,000	-	50,000	-	50,000

31.5.2.3 Fair values of the identifiable assets and liabilities of the disposed;

Fair values of the identifiable assets and liabilities of the disposed groups at the date of disposal were;

	BFL Rs.000
Assets	
Cash and cash equivalents	100
Property, plant and equipement	3,116
	3,216
Liabilities	-
Fair value of identifiable net assets disposed	3,216

31.5.2.4 Gain/(loss) on disposal of subsidiaries

	Note	BFL Rs.000
Total consideration received	31.5.2.2	50,000
Net Assets Attributable to Parent		
De-recognition of non-controlling interests		(7,780)
Fair value of net assets disposed	31.5.2.3	(3,216)
Gain realized on disposal		39,003

31.5.2.5 Net cash received from disposal

	BFL Rs.000
Total consideration received	50,000
(-) Disposal related costs	-
Positive cash balances	(100)
Net cash received from disposal	49,900

31.6 Non-controlling interests

Accounting Policy

Non-controlling Interests is the equity in a subsidiary not attributable, directly or indirectly, to the parent are presented in the Statement of Financial Position within Equity, separately from the Equity attributable to Shareholders Holders of the Parent (Company).

Material NCI of the Group is determined based on Group threshold contribution to statement of financial position.

The following table summarises the information relating to each of the Group's subsidiairies that has material NCI, before any intra-group eliminations.

As at 31 March 2026	Financial Services		Long term & general insurance	Manufacturing, Trading & Services			
	LOFIN	TPC	LGENERAL	BCL	SCABLE_NEW	BECL	LOLCINV4
Effective NCI %	19.07%	18.48%	13.03%	16.63%	69.54%	73.09%	46.19%
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Total Assets	558,548,226	509,670,541	25,810,642	101,598,065	23,698,425	23,332,972	1,472,560
Total liabilities	155,404,338	139,366,495	7,076,035	24,223,240	8,666,571	5,035,190	(2,050,106)
Net assets	403,143,888	370,304,046	18,734,607	77,374,825	15,031,854	18,297,782	3,522,665
Gross Carrying amount of NCI	24,254,302	19,358,922	916,284	(3,548,138)	1,769,401	913,885	(946,944)
Profit before operating expenses	59,702,152	49,586,704	10,894,796	1,268,813	4,521,643	204,816	(509,823)
Profit/ (Loss) for the period	27,405,931	16,751,674	215,089	(765,689)	2,516,179	(1,921,001)	(567,655)
OCI for the period	(411,151)	7,634,860	(179,387)	2,761	28,256	(3,029)	-
Profits/ (Loss) allocated to NCI	5,226,311	3,095,709	28,026	(127,334)	1,749,751	(1,404,060)	(262,200)
OCI allocated to NCI	(78,406)	1,410,922	(23,374)	459	19,649	(2,214)	-

As at 31 March 2025	Financial Services		Long term & general insurance	Manufacturing, Trading & Services			
	LOFIN	TPC	LGENERAL	BCL	SCABLE_NEW	BECL	LOLCINV4
Effective NCI %	18.74%	18.48%	13.03%	16.63%	69.54%	73.09%	46.19%
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Total Assets	429,718,043	473,974,048	19,595,079	96,087,746	12,804,421	23,130,797	1,487,337
Total liabilities	280,194,094	356,460,882	12,571,102	71,101,577	6,682,285	18,861,577	2,969,788
Net assets	149,523,948	117,513,166	7,023,977	24,986,169	6,122,135	4,269,220	(1,482,451)
Gross Carrying amount of NCI	22,626,076	15,320,427	909,501	(3,421,263)	-	491,949	(684,744)
Profit before operating expenses	49,940,087	43,895,100	10,652,285	456,778	-	(228,081)	(448,816)
Profit/ (Loss) for the period	25,085,141	11,482,036	318,491	(1,924,734)	-	(1,185,789)	(522,030)
OCI for the period	2,093,336	(519,358)	(170,451)	148,594	-	440,567	2,994
Profits/ (Loss) allocated to NCI	4,700,955	2,121,880	41,499	(320,083)	-	(866,693)	(241,126)
OCI allocated to NCI	392,291	(95,977)	(22,210)	24,711	-	322,010	1,383

	Leisure & Real Estate				Plantation & Agri			Other	
	BBR	BHRL	CMD	CREH	SBSLL	JFKL	LKENYA	BIL	
	48.12%	46.19%	46.19%	46.19%	73.06%	15.00%	46.76%	46.19%	Total
	Rs.'000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
	24,831,208	41,090,540	39,345,230	58,723,131	80,907,840	104,294,300	117,102,647	138,945,684	1,849,372,011
	14,786,762	(467,345)	36,916,504	32,793,905	51,405,868	59,938,124	82,617,217	12,173,131	627,885,929
	10,044,446	41,557,885	2,428,726	25,929,226	29,501,973	44,356,176	34,485,431	126,772,553	1,221,486,083
	5,156,202	(4,736,593)	11,547,933	5,006,770	31,577,206	1,518,943	(861,010)	(16,992,789)	74,934,374
	(508,117)	(5,479,946)	1,709,000	(223,519)	286,229	12,283,982	12,883,602	(6,697,722)	139,922,610
	(989,114)	(5,594,152)	1,708,609	(224,902)	(3,749,615)	2,622,443	(2,489,272)	(6,631,185)	28,287,340
	909,775	(4,744,079)	-	-	6,302,288	(508,140)	4,223,125	16,415	13,271,694
	(475,962)	(2,583,939)	789,206	(103,882)	(2,739,469)	393,366	(1,163,922)	(3,062,944)	(641,341)
	437,784	(2,191,290)	-	-	4,604,452	(76,221)	1,974,629	7,582	6,083,971

	Leisure & Real Estate				Plantation & Agri			Other	
	BBR	BHRL	CMD	CREH	SBSLL	JFKL	LKENYA	BIL	
	48.12%	46.19%	46.19%	46.19%	73.06%	15.00%	46.76%	46.19%	Total
	Rs.'000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
	23,725,013	44,291,339	34,660,603	57,396,490	71,678,397	92,053,545	106,438,074	136,794,082	1,623,835,014
	8,858,912	34,420,452	2,533	24,378,934	22,825,695	34,229,723	25,504,809	133,881,713	1,032,944,076
	14,866,101	9,870,886	34,658,070	33,017,556	48,852,702	57,823,821	80,933,264	2,912,368	590,890,932
	5,194,379	38,636	10,758,727	5,110,652	29,711,863	1,201,798	(1,648,384)	(21,270,340)	64,339,277
	(452,980)	(5,148,921)	552,000	200,578	(1,971,581)	9,069,728	9,005,205	(6,386,001)	109,135,381
	(806,280)	(5,195,378)	516,588	200,132	(6,399,933)	(324,755)	(2,250,860)	(9,383,339)	9,609,290
	2,111,672	10,823,029	-	-	(861,604)	2,138,127	(1,553,603)	41,342	14,694,645
	(387,982)	(2,399,745)	238,612	92,441	(4,675,791)	(48,713)	(1,052,446)	(4,334,164)	(7,131,356)
	1,016,137	4,999,157	-	-	(629,488)	320,719	(726,426)	19,096	5,621,403

32 ASSOCIATE COMPANIES

Accounting Policy

Associates

Associates are those entities in which the Group has significant influence, but not control, over their financial and operating activities. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies. It is presumed that the Group has significant influence if it holds, directly or indirectly, twenty percent (20%) or more of the voting power of the investee, unless it can be clearly demonstrated that this is not the case.

Associates are initially recognised at cost and subsequently accounted for using the equity method (equity accounted investees) in both the Consolidated Financial Statements and the Company's separate Financial Statements. The Group's investment in associate includes goodwill identified on acquisition, net of any accumulated impairment losses. The Group assesses at each reporting date whether there is objective evidence that its investment in an equity-accounted investee may be impaired. Where such evidence exists, the entire carrying amount of the investment is tested for impairment in accordance with LKAS 36, by comparing its recoverable amount with its carrying amount.

The Consolidated Financial Statements include the Group's share of the income and expenses and equity movements of equity accounted investees, after adjustments to align the accounting policies with those of the Group, from the date that significant influence commences until the date that significant influence ceases.

Acquisitions of additional stakes of equity accounted investees, until the control is established, are accounted as goodwill within the equity accounted investment if consideration paid is more than the net asset acquired or taken into to profit or loss as gain on bargain purchase if the net asset acquired is more than the consideration paid.

When the Group's share of losses exceeds its interest in an equity accounted investee, the carrying amount of that interest (including any long-term investments) is reduced to zero and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee. Associate Companies of the Group which have been accounted for under the equity method of accounting are disclosed under Note 32.5 to these Financial Statements.

Jointly Controlled Entities

Jointly controlled entities are those entities over whose activities the Group has joint control, established by contractual agreement and requiring unanimous consent for strategic financial and operating decisions.

Jointly controlled entities are accounted for using equity method, from the date that joint control commences until the date that joint control ceases.

32.1 Company

Equity accounted investee	As at 01 April 2025 Rs. '000	New investment & disposal Rs. '000	Dividend received Rs. '000	Share of profit/(loss) net of tax Rs. '000	Equity accounting adjustment Rs. '000	As at 31 March 2026 Rs. '000
Galoya Plantations (Private) Limited	2,518,933	-	-	(1,181,616)	-	1,337,317
Seylan Bank PLC	25,630,527	-	(681,994)	3,298,721	288,275	28,535,529
Equity accounted adjustments for indirect holdings	1,952,276	-	-	869,969	(317,011)	2,505,234
	30,101,736	-	(681,994)	2,987,074	(28,736)	32,378,080

Equity accounted investee	As at 01 April 2024 Rs. '000	New investment & disposal Rs. '000	Dividend received Rs. '000	Share of profit/(loss) net of tax Rs. '000	Equity accounting adjustment Rs. '000	As at 31 March 2025 Rs. '000
Galoya Plantations (Private) Limited	2,714,541	-	-	(195,608)	-	2,518,933
Seylan Bank PLC	23,260,381	-	(596,745)	2,807,038	159,853	25,630,527
Equity accounted adjustments for indirect holdings	25,738,318	-	-	1,413,047	(25,199,089)	1,952,276
	51,713,240	-	(596,745)	4,024,477	(25,039,237)	30,101,735

32.2 Group holdings in equity accounted investees

Details of the Group's equity accounted investees at the end of the reporting period are as follows;

	As at 31 March		Proportion of ownership interest held by the Group				
			2026			2025	
	Investee	Investor Company	No. of Shares	Holding %		No. of Shares	Holding %
1	Associated Battery Manufacturers (Ceylon) Limited (ABM)	SFL	2,439,355	38.50%		2,439,355	38.50%
2	Galoya Plantations Limited (GPL)	LOLC	27,267,058	26.95%		27,267,058	26.95%
		BCL	22,309,412	22.05%		22,309,412	22.05%
		Total GPL	49,576,470	49.00%		49,576,470	49.00%
3	Seylan Bank PLC - Group	LOLC	170,498,314	51.60%	(NV)	170,498,314	51.60%
		LOLC	150	-	(V)	150	-
		LOIV	29,154,737	9.55%	(V)	29,154,737	9.55%
		BCL	42,351,420	13.87%	(V)	42,351,420	13.87%
		LOFIN	159,856	0.05%	(NV)	159,856	0.05%
		LOITS	2,885,233	0.87%	(NV)	2,885,233	0.87%
	V - Voting shares	Total - V	71,506,306	23.43%		71,506,306	23.43%
	NV - Non-voting shares	Total - NV	173,543,403	52.52%		173,543,403	52.52%
4	Taprobane Plantation Limited (TPL)	BIL	22,500	44.94%		22,500	44.94%
5	NPH Development (Pvt) Ltd (NPHD)	NPHI	161,999	50.00%		161,999	50.00%
6	Sanasa Development Bank PLC (SDBPLC)	LOLCIH1	24,104,800	15.00%		24,104,800	15.00%
7	Patronus Wealth Holdings Limited (PATRONUS)	LOLCFSH	1,296,757	29.54%		1,296,757	29.54%
8	Pay@bility (Pvt) Ltd (PAY@BILITY)	LOLCFSH	30,125,033	30.00%		30,125,033	30.00%
9	Cables PTE Limited (CPTE)	SCABLE	360,000	30.00%		360,000	30.00%
10	T & G Lanka (Pvt) Ltd (TGL)	SCABLE	136	22.06%		136	22.06%
11	TFS Global Brokers Pvt Ltd (TFSG)	LOLCFSH	49	49.00%		49	49.00%
12	Seams Mule Ltd (SEAMS)	BPK	51,000	51.00%		51,000	51.00%

32.3 The summarized financial information of equity accounted investees for the year ended 31 March 2026 not adjusted for the percentage of ownership held by the Group;

Component	As at 31 March 2026			For the year ended 31 March 2026			
	Total Assets Rs. '000	Total Liabilities Rs. '000	Equity Rs. '000	Income Rs. '000	Expenses Rs. '000	Profit or loss Rs. '000	Other comprehensive income Rs. '000
Associated Battery Manufacturers (Ceylon) Limited (ABM)	4,057,283	1,890,483	2,166,801	7,394,705	6,882,274	512,431	-
Galoya Plantations Limited (GPL)	32,477,289	30,633,883	1,843,406	8,472,367	12,856,842	(4,384,475)	-
Seylan Bank PLC -Group	943,137,798	858,060,625	85,077,173	10,773,345	(1,582,512)	12,355,857	1,074,738
Sanasa Development Bank PLC (SDBPLC)	146,900,335	132,035,844	14,864,491	1,259,271	850,339	408,932	(57,600)
Patronus Wealth Holdings Limited	20,151,378	16,977,347	3,174,031	1,743,086	1,521,916	221,171	-
Cables PTE Limited (CPTE)	2,889,343	1,885,777	1,003,567	3,200,927	2,843,416	357,511	(8,722)
T & G Lanka (Pvt) Ltd (TGL)	1,028,179	211,157	817,022	676,899	528,547	148,352	-
	1,150,641,606	1,041,695,115	108,946,491	33,520,600	23,900,821	9,619,778	1,008,416

32.4 Fair values of equity accounted investees

The Directors' valuation of investments in equity accounted investees has been done on net assets basis. The following associates are listed in the Colombo Stock Exchange and their market value details given below;

As at 31 March	Group			
	2026		2025	
	No. of Shares	Market value Rs. 000	No. of Shares	Market value Rs. 000
Seylan Bank PLC - voting shares	71,506,306	7,526,039	71,506,306	5,570,341
Seylan Bank PLC - non-voting shares	173,543,403	12,252,164	173,543,403	9,891,974
Sanasa Development Bank PLC	24,104,800	1,270,323	24,104,800	872,594
		21,048,526		16,334,909

32.5 Equity value of investment in equity accounted investees to the Group

For the year ended 31 March 2026

	Equity accounted investee	As at 01 April 2025 Rs.'000	Acquisitions Rs.'000	On acquisition of subsidiaries Rs.'000	Disposals Rs.'000	Reclassifications/ Transfers Rs.'000	Share of profit / (loss) net of tax Rs.'000	Share of OCI: Never be reclassified to profit or loss Rs.'000	Share of OCI: To be classified to P/L Rs.'000	
	Continuing Operations									
1	ABM	636,932	-	-	-	-	197,286	-	-	
2	GPL	2,781,646	-	-	-	-	(2,148,393)	-	-	
3	SBPLC	27,897,106	-	-	-	-	4,740,955	550,695	(136,383)	
4	VIL	4,138	-	-	(4,138)	-	-	-	-	
5	NPHD	-	-	-	-	-	-	-	25,777	
6	PATRONUS	981,500	-	-	-	-	65,334	-	-	
7	Venture Capital	2,523	-	-	-	-	-	-	-	
8	SDB	2,215,967	-	-	-	-	61,340	(8,640)	-	
9	PAY@BILITY	398,902	-	-	-	-	-	-	-	
10	CPTE	28,310	-	-	-	-	107,253	-	(1,892)	
11	TGL	3,300	-	-	-	-	32,726	-	-	
12	TFSG	11	-	-	-	-	-	-	-	
13	SEAMS	1,651	-	-	-	-	-	-	-	
		34,951,986	-	-	(4,138)	-	3,056,501	542,055	(112,498)	

For the year ended 31 March 2025

	Equity accounted investee	As at 01 April 2024 Rs.'000	Acquisitions Rs.'000	On acquisition of subsidiaries Rs.'000	Disposals Rs.'000	Reclassifications/ Transfers Rs.'000	Share of profit / (loss) net of tax Rs.'000	Share of OCI: Never be reclassified to profit or loss Rs.'000	Share of OCI: To be classified to P/L Rs.'000	
	Continuing Operations									
1	ABM	444,224	-	-	-	-	192,708	-	-	
2	CIB	283,672	-	-	(265,857)	-	16,155	-	-	
3	GPL	3,137,298	-	-	-	-	(355,652)	-	-	
4	SBPLC	24,720,450	-	-	-	-	4,034,303	-	-	
5	VIL	4,138	-	-	-	-	-	-	-	
6	NPHD	32,395	-	-	-	-	(25,566)	-	(6,829)	
7	PATRONUS	943,435	-	-	-	-	38,065	-	-	
8	Venture Capital	2,523	-	-	-	-	-	-	-	
9	SCABLES	2,177,687	53,706	-	(2,012,043)	(579,490)	274,833	85,194	113	
10	SDB	2,163,211	-	-	-	-	52,756	-	-	
11	PAY@BILITY	347,797	51,105	-	-	-	-	-	-	
12	CPTE	-	-	28,310	-	-	-	-	-	
13	TGL	-	-	3,300	-	-	-	-	-	
14	TFSG	-	11	-	-	-	-	-	-	
15	SEAMS	-	1,651	-	-	-	-	-	-	
		34,256,830	106,473	31,610	(2,277,900)	(579,490)	4,227,602	85,194	(6,716)	
	Discontinued Operations									
1	HNB	37,505,334	-	-	-	(45,485,326)	8,117,155	793,956	549,327	
		37,505,334	-	-	-	(45,485,326)	8,117,155	793,956	549,327	

* Share of profit from associate entities amounted to LKR 4,227,602, excluding the share of profit from Hatton National Bank PLC (HNB), which has been reclassified under "Profit/(loss) after tax for the year from discontinued operations and assets held for sale".

	Other movements in equity Rs.'000	Dividend received Rs.'000	Foreign currency translations Rs.'000	As at 31 March 2026 Rs. '000
	-	-	-	834,218
	-	-	-	633,253
	-	(980,169)	-	32,072,204
	-	-	-	-
	-	-	829	26,606
	-	-	-	1,046,834
	-	-	-	2,523
	-	-	-	2,268,667
	-	-	-	398,902
	-	-	(829)	132,842
	-	(11,619)	-	24,407
	-	-	-	11
	-	-	(98)	1,553
	-	(991,788)	(98)	37,442,020

	Other movements in equity Rs.'000	Dividend received Rs.'000	Foreign currency translations Rs.'000	As at 31 March 2025 Rs. '000
	-	-	-	636,932
	(33,971)	-	-	-
	-	-	-	2,781,646
	-	(857,647)	-	27,897,106
	-	-	-	4,138
	-	-	-	-
	-	-	-	981,500
	-	-	-	2,523
	-	-	-	-
	-	-	-	2,215,967
	-	-	-	398,902
	-	-	-	28,310
	-	-	-	3,300
	-	-	-	11
	-	-	-	1,651
	(33,971)	(857,647)	-	34,951,986
	-	(1,480,446)	-	-
	-	(1,480,446)	-	-

33 DEFERRED TAX ASSETS AND LIABILITIES

Accounting Policy

Deferred Tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognized for:

- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable Profit or Loss;
- Temporary differences related to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future; and
- Taxable temporary differences arising on the initial recognition of goodwill.
- Taxable temporary differences arising on subsidiaries, associates or joint ventures who have not distributed their entire profits to the parent or investor.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences where reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realized simultaneously.

A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefits will be realized.

Deferred tax assets and liabilities are not discounted.

The net increase in the carrying amount of deferred tax liability net of deferred tax asset is recognized as deferred tax expense and conversely any net decrease is recognized as reversal to deferred tax expense, in the statement of profit or loss.

Accounting for Deferred Tax for the Companies Enjoying Tax Holidays

Group companies enjoying a tax exemption period shall only recognize deferred tax in their Financial Statements for temporary differences, where reversals of such differences extend beyond the tax exemption period.

Deferred Tax shall not be considered nor provided for assets/liabilities for which tax impacts and reversals take place within the tax exemption period. There will be no tax implications that take place after the expiration of the tax exemption period for such assets.

Where a Company is entitled to claim the total value or any part of expenditure made during the tax holiday period, as deductions for tax purposes after the tax holiday period, such an entity will treat such amount of expenditure as part of the tax base throughout the tax holiday period in the purpose of recognizing deferred tax.

Deferred Tax on Undistributed Profits of Equity Accounted Investees

The Group does not control its equity accounted investees. It is therefore generally not in a position to control the timing of the reversal of a possible taxable temporary difference relating to the undistributed profits of the equity accounted investees.

The Group calculates deferred tax based on the most likely manner of reversal, taking into account management's intent and the tax jurisdiction applicable to relevant equity accounted investees.

The management intends to recover the carrying amount of the investment primarily through sale of the investment rather than through dividends. The deferred tax implications are evaluated based on the tax consequences on the sale of investments.

Since the carrying amount is expected to be recovered through a sale transaction which has no tax consequences, no temporary difference arises on the equity accounted investees and no deferred tax is provided.

33.1 Recognised deferred tax assets

Deferred tax assets are attributable to the origination of following temporary differences:

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Accelerated depreciation for tax purposes – Own assets	(4,030,299)	(4,288,783)	-	-
Accelerated depreciation for tax purposes – Leased assets	(4,371)	533,267	-	-
Revaluation surplus on freehold buildings	5,265	(136,428)	-	-
Investment Properties	(12,121,793)	(11,696,093)	-	-
Lease Receivables	122,460	17,765	-	-
Unutilized tax losses	38,010,889	35,866,264	-	-
Provision for inventories	672,187	652,813	-	-
Employee benefits	5,067,936	2,518,080	-	-
General Provisions	1,685,909	978,360	-	-
Provision for loan loss impairment	588,302	(362,898)	-	-
Unrealized loss on exchange	(12,398)	(324,452)	-	-
Net lease liability	2,278,077	121,334		
Others	11,817,509	(985,444)	-	-
Net deductible temporary difference	44,079,673	22,893,785	-	-
Total recognized deferred tax assets	7,252,068	7,366,224	-	-

33.2 Movement in recognised deferred tax assets

For the year ended 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance as at 01 April		7,366,224	5,311,045	-	-
Originations / Reversal to the Income Statement from continuing operations		(766,022)	1,061,066	-	-
Acquisition of subsidiaries		627,582	1,238,663	-	-
Disposal of subsidiaries		(417)			
Directly charged to the equity	33.7	30,843	(117,358)	-	-
Other adjustments / transferrs		(277,285)	46,028	-	-
Exchange translation difference		271,143	(173,220)	-	-
Balance as at 31 March		7,252,068	7,366,224	-	-

33.3 Recognised deferred tax liabilities

Deferred tax liabilities are attributable to the origination of following temporary differences:

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Accelerated depreciation for tax purposes – Own assets	8,349,551	38,866,984	151,614	158,759
Accelerated depreciation for tax purposes – Leased assets	1,003,909	35,305,852	-	-
Revaluation surplus on freehold buildings	9,684,801	25,905,337	-	-
Revaluation surplus on freehold land	8,417,228	40,024,227	-	-
Investment properties	9,493,415	17,347,151	2,812,096	2,626,596
Lease receivables	568,223	1,422,969	-	-
Unutilized tax losses	743,343	3,382,509	-	-
Provision for inventories	(2,104)	(245,281)	-	-
Employee benefits	(722,729)	(3,228,303)	(434,644)	(392,903)
General provisions	1,340,774	(1,087,492)	(112,369)	(191,835)
Consumable biological assets	15,642,530	13,591,354	-	-
Bearer biological assets	9,660,797	3,838,091	-	-
Unrealized loss on exchange	79,306	(177,086)	-	-
Net lease liability	1,412,604	223,753	21,571	20,295
Revaluation gain on ROU assets	11,529,103	33,249,326	-	-
Other movements	2,650,119	6,969,134	-	-
Net taxable temporary difference	79,850,871	215,388,525	2,438,268	2,220,911
Total recognized deferred tax liabilities	65,038,052	59,713,293	2,596,702	2,566,296

33.4 Movement in recognised deferred tax liabilities

For the year ended 31 March		Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance as at 01 April		59,713,293	34,783,974	2,566,296	2,001,653
Originations / Reversal to the Income Statement from continuing operations		(2,325,805)	(2,309,049)	65,207	110,101
Acquisition of subsidiaries		5,728,364	22,351,924	-	-
Directly charged to the equity	33.7	373,751	5,338,313	(34,801)	454,542
Other adjustments / transfers		(1,510,309)	(194,647)	-	-
Exchange translation difference		3,058,758	(257,222)	-	-
Balance as at 31 March		65,038,052	59,713,293	2,596,702	2,566,296

33.5 Deferred tax expense

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Deferred tax assets					
Originations / reversal during the period	33.2	766,022	(1,061,066)	-	-
Deferred tax liabilities					
Originations / reversal during the period	33.4	(2,325,805)	(2,309,049)	65,207	110,101
		(1,559,783)	(3,370,115)	65,207	110,101

33.6 Unrecognized deferred tax assets for deferred taxation

Deferred tax assets have not been recognised in respect of these items because it is not probable that future taxable profit will be available in respective group companies against which the Group can utilise the benefits there from.

As at 31 March	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Deductible temporary differences	10,074,768	13,562,884	-	-
Unutilized tax losses	149,833,268	140,665,098	1,956,949	7,696,521
	159,908,036	154,227,982	1,956,949	7,696,521

33.7 Deferred tax liability charged directly to equity

For the year ended 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000	Company 2026 Rs.'000	Company 2025 Rs.'000
Charged to / reversed from					
Deferred tax assets	33.2	(30,843)	117,358	-	-
Deferred tax liabilities	33.4	373,751	5,338,313	(34,801)	454,542
		342,908	5,455,671	(34,801)	454,542

According to Sri Lanka Accounting Standard - LKAS 12 "Income Taxes", deferred tax shall be charged or credited directly to equity if the tax relates to items that are credited or charged, in the same or in a different period, directly to equity. Accordingly, the deferred tax liability or asset arising on revaluation of Property, Plant & Equipment & Acturial Gain or (Loss) of the Group was charged directly to revaluation reserve and Retained Earnings in the Statement of Changes in Equity in 2025/26.

Deferred tax assets and liabilities are measured at tax rates that are expected to apply to the year when the asset is realized or liability is settled, based on the tax rates and tax laws that have been enacted or substantively enacted as at the reporting date.

Deferred tax has been computed at 9% - 30% for all group companies (including listed companies) disclosed in notes 16.8.2 The deferred tax effect on undistributed reserves of subsidiaries has not been recognised since the parent can control the timing of the reversal of these temporary differences.

33.8 Deferred tax assets and liabilities set offs

Net deferred tax assets / liabilities of one entity cannot be set-off against another entity's assets and liabilities since there is no legally enforceable right to set-off. Therefore net deferred tax assets and liabilities of different entities are separately recognised in the Statement of Financial Position.

34 INTANGIBLE ASSETS

Accounting Policy

Basis of Recognition

An intangible asset is recognized if it is probable that future economic benefits that are attributable to the assets will flow to the entity and the cost of the assets can be measured reliably.

Basis of Measurement

Intangible assets acquired separately are measured as initial recognition at cost. Following initial recognition intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful life of intangible assets is assessed to be either finite or indefinite.

Intangible assets with finite useful life are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash generating unit level.

Subsequent Expenditure

Subsequent expenditure on intangible assets are capitalized only when it increases the future economic benefits embodied these assets. All other expenditure is expensed when incurred.

De-recognition

Intangible assets are de-recognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset.

Amortization methods, useful lives and residual values are reviewed at each reporting date and are adjusted as appropriate.

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Goodwill on acquisition	34.1	6,792,070	6,364,044	-	-
Other intangible assets					
Computer Software	34.5	1,579,113	1,617,661	40,902	68,552
License and fees	34.6	1,934,227	1,944,578	-	9
Brand value	34.7	68,957	68,957	-	-
Customer base	34.8	-	-	-	-
Capital Work-in-Progress (CWIP)		294,677	218,026	1,055	1,055
Total		10,669,044	10,213,266	41,957	69,616

34.1 Goodwill on acquisition

Accounting Policy

Goodwill on Acquisition

Goodwill represents the excess of the cost of any acquisition of a subsidiary or an associate over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities acquired.

Carrying amount of the goodwill arising on acquisition of subsidiaries and joint ventures is presented as an intangible and the goodwill on an acquisition of an equity accounted investment is included in the carrying value of the investment.

Impairment Testing on Goodwill

The Group tests the goodwill for impairment annually and assess for any indication of impairment to ensure that its carrying amount does not exceed the recoverable amount. If an impairment loss is identified, it is recognized immediately to the statement of profit or loss. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to groups of cash-generating units that are expected to benefit from the synergies of the combination.

The impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets pro-rata to the carrying amount of each asset in the unit. Where goodwill forms part of a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation.

Gain on Bargain Purchase (negative goodwill)

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities exceeds the cost of the acquisition of the entity, the Group will reassess the measurement of the acquiree's identifiable assets and liabilities and the measurement of the cost and recognize the difference immediately in the Consolidated statement of profit or loss.

Material Gains or Losses, Provisional Values or Error correction.

There we no material gains or losses, provisional values or error correction recognised during the year in respect of business combinations that took place in previous periods.

For the year ended 31 March	Note	Group 2026 Rs. 000	Group 2025 Rs. 000
Cost recognized at the point of acquisition	34.2	6,263,189	6,263,189
Effect on currency translation	34.4	528,881	100,855
		6,792,070	6,364,044

34.1.1 Net carrying value of goodwill

Goodwill arising on business combinations have been allocated to the following segments for impairment testing. Each segment consists of several cash generating units (CGU's).

The recoverable amount of goodwill is determined based on various valuation techniques mentioned in note no 34.1.2 . For Value In Use (VIU) Calculations, Group has used cash flow projections based on financial budgets approved by management. The key assumptions used are given below;

	Range
- Business growth – Exptected Growth rates has been obtained by referring to the Forecasted GDP Growth rates published by IMF and World Bank .	1% - 4%
- Discount rate – Risk free rate adjusted for the specific risk relating to the industry.	5 % - 20 %

Pre-tax discount rates - Discount rates represent the current market assessment of the risks specific to each CGU, regarding the time value of money and individual risks of the underlying assets which have been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Group and derived from its Weighted Average Cost of Capital ("WACC"). The WACC takes into account both debt and equity. The cost of equity is derived from the expected rate of return on investment by the Group's investors. The cost of debt is based on the interest bearing borrowing the Group is obliged to service. Segment specific risk is incorporated by applying individual beta factors. The beta factors are evaluated annually based on publicly available market data.

Terminal growth rate – The forecasted terminal growth rate used does not exceed the longterm average growth rate of the industry and country in which the entities operate.

34.1.2 Allowance for Impairment

Following table shows the Impairment provisions for goodwill acquired during the business combinations which have been allocated to respective CGUs. Recoverable amount for the purpose of testing impairment has been determined as follows for each CGU.

Entity Name	2026				2025	
	Cost Rs.'000	Impairment Provision Rs.'000	Write-off on disposal Rs.'000	Carrying Amount Rs.'000	Carrying Amount Rs.'000	Basis of Assessment
Ajax Engineers (Private) Limited	10,390	-	-	10,390	10,390	VIU
LOLC Development Finance PLC (Merged to LOLC Finance PLC)	400,364	-	-	400,364	400,364	VIU
Ceylon Roots (Private) Limited	46,831	-	-	46,831	46,831	VIU
Commercial Leasing and Finance Company PLC (Merged to LOLC Finance PLC)	151,415	-	-	151,415	151,415	VIU
Excel Restaurant (Private) Limited	20,524	-	-	20,524	20,524	VIU
Palm Garden Hotels PLC	180,299	-	-	180,299	180,299	VIU
LOLC Cambodia PLC (LOCAM)	990,000	-	-	990,000	990,000	VIU
Pak Oman Microfinance Bank Ltd (PAKOMAN)	100,784	-	-	100,784	100,784	VIU
NPH Investment (Pvt) Ltd (NPHI)	27,481	-	-	27,481	27,481	VIU
PT LOLC Management Indonesia (PTLMI)	184,831	-	-	184,831	184,831	VIU
Gurind Accor (Pvt) Ltd	6,977	-	-	6,977	6,977	VIU
LOLC GEO Technologies (Pvt) Ltd	6,919	-	-	6,919	6,919	VIU
LOLC Philippines Corporation	258,712	-	-	258,712	258,712	VIU
Tropical Island Commodities Group	92,769	-	-	92,769	92,769	VIU
LOLC Kenya Microfinance Bank PLC (KMBPLC)	102,100	-	-	102,100	102,100	VIU
LOLC El-Oula Microfinance	292,769	-	-	292,769	292,769	VIU
LOLC Tanzania Financial Services Ltd (TUJIJENG)	546,613	-	-	546,613	546,613	VIU
Fina Trust Microfinance Bank Ltd	945,071	-	-	945,071	945,071	VIU
LLC MDO LOLC Moliya (FAZO)	325,982	-	-	325,982	325,982	VIU
LOLC Finance Limited (Malawi)	515,911	-	-	515,911	515,911	VIU
R-Finance' Microfinance Organization Limited Liability Partnership	896,970	-	-	896,970	896,970	VIU
ISIN Lanka (Pvt) Ltd	5,774	-	-	5,774	5,774	VIU
Sierra Cables PLC	153,703	-	-	153,703	153,703	VIU
	6,263,189	-	-	6,263,189	6,263,189	

* VIU - Value In Use * FVLCD - Fair Value Less Cost to Disposal

34.2 Cost of the goodwill recognized at the point of acquisition

As at 31 March	Group	
	2026 Rs. 000	2025 Rs. 000
Ajax Engineers (Private) Limited	10,390	10,390
LOLC Development Finance PLC (Merged to LOLC Finance PLC)	400,364	400,364
Ceylon Roots (Private) Limited	46,831	46,831
Commercial Leasing and Finance Company PLC (Merged to LOLC Finance PLC)	151,415	151,415
Excel Restaurant (Private) Limited	20,524	20,524
Palm Garden Hotels PLC	180,299	180,299
LOLC Cambodia Plc - (LOCAM)	990,000	990,000
Pak Oman Microfinance Bank Ltd (PAKOMAN)	100,784	100,784
NPH Investment (Pvt) Ltd (NPHI)	27,481	27,481
PT LOLC Management Indonesia (PTLMI)	184,831	184,831
Gurind Accor (Pvt) Ltd	6,977	6,977
LOLC GEO Technologies (Pvt) Ltd	6,919	6,919
LOLC Philippines Corporation (PHILCO)	258,712	258,712
Tropical Island Commodities Group	92,769	92,769
LOLC Kenya Microfinance Bank PLC(KMBPLC)	102,100	102,100
LOLC El-Oula Microfinance (EL-OULA)	292,769	292,769
LOLC Tanzania Financial Services Ltd (TUJIJENG)	546,613	546,613
Fina Trust Microfinance Bank Ltd (FINAT)	945,071	945,071
LLC MDO LOLC Moliya (FAZO)	325,982	325,982
LOLC Finance Limited (Malawi) (EXPRESSCREDIT)	515,911	515,911
R-Finance' Microfinance Organization Limited Liability Partnership (RFIN)	896,970	896,970
ISIN Lanka (Pvt) Ltd	5,774	5,774
Sierra Cables PLC	153,703	153,703
	6,263,189	6,263,189

Goodwill as at the reporting date has been tested for impairment.

34.3 Effect on currency translation

Goodwill arising on the acquisition of LOCAM, , PAKOMAN, NPHI, PHILCO, KMBPLC, EL-OULA, TUJIJENG, FINAT, FAZO, EXPRESSCREDIT and RFIN (an foreign operations) was treated as an asset of the foreign operation. Thus it was expressed in the functional currency of the foreign operation and translated at the closing rate.

As at 31 March	Note	Group 2026 Rs. 000	Group 2025 Rs. 000
Cost recognized at the point of acquisition	34.2	5,187,224	5,187,224
Accumulated effect on currency translation	34.4	528,881	100,855
		5,716,105	5,288,079

34.4 Accumulated effect on currency translation

As at 31 March	Group 2026 Rs. 000	Group 2025 Rs. 000
Balance as at 01 April	100,855	(104,186)
Effect on currency translation	428,026	(84,857)
Transfer/other adjustment	-	289,898
Balance as at 31 March	528,881	100,855

34.5 Other intangible assets

Group	Computer Software Rs.'000	License and fees Rs.'000 Note 34.6	Brand value Rs.'000 Note 34.7	Customer base Rs.'000 Note 34.8	Capital Work-in-Progress (CWIP) Rs. '000	Total 2025/26 Rs. '000	Total 2024/25 Rs. '000
Cost							
Balance as at 01 April	6,346,192	2,410,763	144,785	49,422	218,026	9,169,188	8,747,901
Additions	284,956	2,398	-	-	74,688	362,042	1,319,613
Disposals	(14,528)	-	-	-	(2,187)	(16,715)	(71,027)
Transfers	19,246	(719)	-	-	(9,503)	9,024	(833,925)
Acquisition of Subsidiaries	21,274	-	-	-	-	21,274	30,486
Disposal of Subsidiaries	-	-	-	-	-	-	(196)
Exchange translation difference	227,823	2,388	-	-	13,653	243,864	(23,664)
Balance as at 31 March 2026	6,884,963	2,414,830	144,785	49,422	294,677	9,788,677	9,169,188
Accumulated amortization and Impairment losses							
Balance as at 01 April	4,728,531	466,186	75,828	49,422	-	5,319,967	4,724,191
Disposal	(6,386)	-	-	-	-	(6,386)	(38,853)
Amortization for the year from continuing operations	352,014	5,009	-	-	-	357,023	470,302
Transfers	61,089	8,158	-	-	-	69,247	5,079
Impairment Losses	-	-	-	-	-	-	127,788
Acquisition of Subsidiaries	13,971	-	-	-	-	13,971	25,936
Disposal of Subsidiaries	-	-	-	-	-	-	(196)
Exchange translation difference	156,631	1,250	-	-	-	157,881	5,719
Balance as at 31 March	5,305,850	480,603	75,828	49,422	-	5,911,703	5,319,966
Carrying amount							
Balance as at 31 March 2026	1,579,113	1,934,227	68,957	-	294,677	3,876,974	
Balance as at 31 March 2025	1,617,661	1,944,577	68,957	-	218,026		3,849,222

34.6 License and fees

This includes the license obtained by LOLC Securities Limited (LOSEC) to operate as a registered stock broker in the Colombo Stock Exchange (CSE) in 2010/11 financial period. The cost of the license amounted to Rs. 28,242,784/- and the remaining carrying amount as at 31 March 2026 is Rs. 20,591,797.

Brand value and customer base

The estimated useful lives are as follows;

		Initial estimation	Remaining useful life
34.7	Brand value	10 Yrs	-
34.8	Customer base	5 Yrs	-

34.9 Other Intangible assets

Company	Computer Software Rs.'000	License and fees Rs.'000	Capital Work-in-Progress (CWIP) Rs.'000	Total 2025/26 Rs.'000	Total 2024/25 Rs.'000
Cost					
Balance as at 01 April	772,438	437,147	1,055	1,210,640	1,176,686
Additions	91	-	-	91	33,954
Transfers	4,341	-	-	4,341	-
Balance as at 31 March	776,870	437,147	1,055	1,215,072	1,210,640
Accumulated Amortization and Impairment losses					
Balance as at 01 April	703,885	437,139	-	1,141,024	1,110,449
Amortisation during the year	27,792	8	-	27,800	30,575
Transfers	4,291	-	-	4,291	-
Balance as at 31 March	735,968	437,147	-	1,173,115	1,141,024
Carrying Amount					
Balance as at 31 March 2026	40,902	-	1,055	41,957	-
Balance as at 31 March 2025	68,553	8	1,055	-	69,616

35 PROPERTY, PLANT AND EQUIPMENT

Accounting Policy

Basis of Recognition

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the assets will flow to the Group and cost of the asset can be reliably measured.

Basis of Measurement

Items of property, plant and equipment are measured at cost/revaluation less accumulated depreciation and accumulated impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labor, any other costs directly attributable to bringing the asset to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site at which they are located and capitalized borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment.

Items of property, plant and equipment are measured at cost/revaluation less accumulated depreciation and accumulated impairment losses.

Cost Model

The Group applies the cost model to all property, plant and equipment except freehold land and buildings; which is recorded at cost of purchase together with any incidental expenses thereon less any accumulated depreciation and accumulated impairment losses.

Accounting Policy

Revaluation Model

The Group revalues its land and buildings which are measured at its fair value at the date of revaluation less any subsequent accumulated depreciation and accumulated impairment losses. Revaluations are made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.

On revaluation of lands and buildings, any increase in the revaluation amount is credited to the revaluation reserve in shareholder's equity unless it off sets a previous decrease in value of the same asset that was recognized in the statement of profit or loss. A decrease in value is recognized in the Statement of statement of profit or loss where it exceeds the increase previously recognized in the revaluation reserve. Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not taken into account in arriving at the gain or loss on disposal.

Subsequent Costs

The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is de-recognized. The costs of the day-to-day servicing of property, plant and equipment are recognized in Profit or Loss as incurred.

Reclassification to Investment Property

When the use of a property changes from owner-occupied to investment property, the property is re-measured to fair value and reclassified as investment property. Any gain arising on re-measurement is recognized in Profit or Loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognized and presented in the revaluation reserve in equity. Any loss is recognized immediately in Profit or Loss.

De-recognition

An item of property, plant and equipment is de-recognized upon disposal or when no future economic benefits are expected from its use or disposal.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment, recognized net within other income/other expenses in the Statement of Comprehensive Income. When revalued assets are sold, the amounts included in the revaluation surplus reserve are transferred to retained earnings.

Leases in terms of which the Group assumes substantially obtained all the risks and rewards of ownership are classified as finance leases. Assets acquired by way of a finance lease are stated at an amount equal to the lower of their fair value and the present value of minimum lease payments at the inception less accumulated depreciation.

Capital Work-in-Progress

Capital work-in-progress is stated at cost. These are expenses of a capital nature directly incurred in the construction of properties.

Borrowing Costs Capitalization

Borrowing costs that are directly attributable to the acquisition, construction or production of qualifying assets that take a substantial period of time to get ready for its intended use or sale, are capitalized as part of the assets.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in Profit or Loss using the effective interest method.

35 Property, plant and equipment

Company	Freehold Lands	Leasehold Lands	Reclaimed Lands	Freehold Buildings	Freehold Motor Vehicles	Leasehold Motor Vehicles	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Cost/Valuation							
Balance as at 01 April	2,390,000	-	-	1,056,165	3,091,457	-	
Additions	-	-	-	-	245,510	-	
Revaluations	-	-	-	-	-	-	
Disposal	-	-	-	-	(225,900)	-	
Transfers / WIP transfers	-	-	-	-	-	-	
Transfer from/ (to) ROU	-	-	-	-	-	-	
Balance as at 31 March	2,390,000	-	-	1,056,165	3,111,067	-	
Accumulated Depreciation and impairement losses							
Balance as at 01 April	-	-	-	7,165	7,339	-	
Charge for the year	-	-	-	40,350	326,208	-	
Revaluations	-	-	-	-	-	-	
Disposal	-	-	-	-	(18,125)	-	
Transfers / WIP transfers	-	-	-	-	-	-	
Transfer from/(to) ROU	-	-	-	-	-	-	
Balance as at 31 March	-	-	-	47,515	315,422	-	
Carrying Amount							
As at 31 March 2026	2,390,000	-	-	1,008,650	2,795,645	-	
As at 31 March 2025	2,390,000	-	-	1,049,000	3,084,118	-	

	Furniture & Fittings	Office Equipment	Computers	Immovable (JEDB/SLSPC) Assets on Finance Lease (Other than Bare land)	Other Tangible Assets	Capital Work-in-Progress (CWIP)	Total 2025/26	Total 2024/25
	Rs. '000					Rs. '000	Rs.'000	Rs. '000
	351,526	386,131	1,362,077	-	-	242,554	8,879,910	8,284,828
	159,498	78,203	22,484	-	-	21,353	527,048	88,891
	-	-	-	-	-	-	-	816,994
	-	-	(4,761)	-	-	-	(230,661)	(297,803)
	-	-	(4,341)	-	-	-	(4,341)	-
	-	-	-	-	-	-	-	(13,000)
	511,024	464,334	1,375,459	-	-	263,907	9,171,956	8,879,910
	309,666	365,380	1,174,150	-	-	-	1,863,700	2,577,825
	29,615	15,818	79,078	-	-	-	491,069	134,259
	-	-	-	-	-	-	-	(831,295)
	-	-	-	-	-	-	(18,125)	(8,423)
	-	-	(4,291)	-	-	-	(4,291)	-
	-	-	-	-	-	-	-	(8,667)
	339,281	381,198	1,248,937	-	-	-	2,332,353	1,863,699
	171,743	83,136	126,522	-	-	263,907	6,839,603	
	41,860	20,751	187,927	-	-	242,554		7,016,211

Property, plant and equipment

Group	Freehold Lands	Leasehold Lands	Reclaimed Lands	Freehold Buildings	Leasehold Buildings	Freehold Motor Vehicles	Leasehold Motor Vehicles	Furniture & Fittings	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Cost/ valuation									
Balance as at 01 April	55,540,526	12,674	30,507,422	95,367,393	1,860,988	20,402,250	33,839	6,765,289	
Additions	125,726	-	-	4,523,722	213,838	6,381,407	-	962,378	
Revaluations	1,098,015	-	-	135,686	-	40,248	-	-	
Disposal	(463,473)	-	(7,855,407)	(12,533,284)	(2,220)	(284,430)	-	(723,276)	
Impairment Losses	-	-	-	(234,050)	(7,629)	-	-	(3,668)	
Transfers / WIP transfers	-	-	-	34,583,488	(30)	325,481	-	594,767	
Transfers - Investment Properties	218,800	-	-	(425,170)	-	-	-	-	
Acquisition of subsidiaries	170,901	-	-	1,752,080	-	459,916	-	82,460	
Disposal of Subsidiaries	-	-	-	-	-	-	-	(736)	
Amalgamation of Subsidiaries	-	-	-	-	-	-	-	-	
Transfer from/(To) ROU	-	-	-	-	-	-	-	-	
Exchange translation difference	234,791	-	1,259,032	3,916,511	43,718	758,878	554	195,442	
Balance as at 31 March	56,925,286	12,674	23,911,047	127,086,376	2,108,665	28,083,750	34,393	7,872,656	
Accumulated depreciation and impairment losses									
Balance as at 01 April	-	7,242	150,891	7,372,453	777,097	9,493,503	6,311	4,402,378	
Charge for the year from continuing operations (note 35.3)	-	-	418,107	2,157,363	106,197	2,453,603	9,248	598,958	
Charge for the year from held for sale and discountinued operations	-	-	84,171	200,686	-	6,374		46,491	
Impairment Losses	-	-	-	-	-	-	-	-	
Additions	-	-	-	-	-	-	-	-	
Revaluations	-	-	-	-	-	-	-	-	
Disposal	-	-	(136,044)	(430,522)	(2,220)	(269,885)	-	(217,177)	
Transfers / WIP transfers	-	-	-	(23)	-	4,241	-	(18,669)	
Transfers - Investment Properties	-	-	-	(234,193)	-	-	-	-	
Acquisition of subsidiaries	-	-	-	373,074	-	66,978	-	57,868	
Disposal of Subsidiaries	-	-	-	-	-	-	-	(703)	
Transfer from ROU	-	-	-	-	-	-	-	-	
Exchange translation difference	-	-	22,634	409,547	20,896	628,315	196	83,668	
Balance as at 31 March	-	7,242	539,759	9,848,385	901,970	12,383,129	15,755	4,952,814	
As at 31 March 2026	56,925,286	5,432	23,371,288	117,237,991	1,206,695	15,700,621	18,638	2,919,842	
As at 31 March 2025	55,540,526	5,432	30,356,531	87,994,940	1,083,891	10,908,747	27,528	2,362,911	

	Office Equipment	Computers	Freehold Plant & Machinery	Leasehold Machinery	Assets on Operating Leases	Other Tangible Assets (Note 35.1)	Immovable (JEDB/SLSPC) Assets on Finance Lease (Other than Bare land)	Capital Work-in-Progress (CWIP)	**Total 2025/26**	Total 2024/25
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	**Rs. '000**	Rs. '000
	4,009,087	9,072,818	92,362,828	58,846	-	54,715,823	857,991	45,080,009	**416,647,783**	332,247,748
	1,063,674	966,291	2,600,935	-	-	342,457	24,588	8,527,403	**25,732,419**	19,927,028
	-	-	-	-	-	-	-	-	**1,273,949**	14,895,057
	(45,747)	(676,511)	(1,350,521)	-	-	(330,349)	-	(69,946)	**(24,335,164)**	(3,360,632)
	-	(28,676)	(240,318)	-	-	(3,925)	-	(182,613)	**(700,879)**	(117,044)
	6,927	305,349	3,453,671	-	-	316,694	-	(42,559,397)	**(2,973,050)**	(684,761)
	-	-	-	-	-	-	-	-	**(206,370)**	442,000
	219,293	21,766	1,300,224	-	-	198,439	57,541	78,878	**4,341,498**	60,986,582
	(1,340)	(132)	(6,115)	-	-	(855)	-	-	**(9,178)**	(3,122)
	-	-	-	-	-	-	-	-	**-**	(3,464,880)
	-	-	-	-	-	-	-	-	**-**	(10,090)
	89,138	314,763	7,952,923	-	-	6,706,145	-	1,222,825	**22,694,720**	(4,210,103)
	5,341,032	9,975,668	106,073,627	58,846	-	61,944,429	940,120	12,097,159	**442,465,728**	416,647,783
	2,946,835	7,071,794	40,220,724	3,918	-	34,065,628	867,225	234,786	**107,620,783**	91,179,926
	520,655	858,184	3,530,957	6,507	-	1,124,611	10,930	-	**11,795,320**	9,077,252
	-	28,726	75,511	-	-	32,535	-	-	**474,494**	-
	-	-	-	-	-	-	-	-	**-**	234,786
	-	-	-	-	-	-	-	-	**-**	54
	-	-	-	-	-	-	-	-	**-**	(6,147,506)
	(37,303)	(520,590)	(912,433)	-	-	(123,283)	-	-	**(2,649,457)**	(2,410,515)
	28,976	203,318	(65,082)	-	-	15,823	-	-	**168,584**	(216,890)
	-	-	-	-	-	-	-	-	**(234,193)**	-
	185,114	19,594	881,029	-	-	79,286	57,521	-	**1,720,464**	16,615,525
	(1,335)	(106)	(3,633)	-	-	(855)	-	-	**(6,632)**	5,409
	-	-	-	-	-	-	-	-	**-**	18,018
	37,731	226,182	2,500,517	-	-	4,295,902	-	-	**8,225,588**	(735,276)
	3,680,673	7,887,102	46,227,590	10,425	-	39,489,647	935,676	234,786	**127,114,951**	107,620,783
	1,660,359	2,088,566	59,846,037	48,421	-	22,454,782	4,444	11,862,373	**315,350,777**	
	1,062,252	2,001,024	52,142,104	54,928	-	20,650,195	(9,234)	44,845,223		309,027,000

35.1 Other Tangible Assets

Group	Water Sanitation & Others Rs.'000	Roads & Bridges Rs.'000	Cutlery, Crockery & Glassware Rs.'000	Linen & Furnishing Rs.'000	Swimming Pool Rs.'000	Tools & Equipments Rs.'000	Others Rs.'000	Total 2025/26 Rs.'000
Cost/ valuation								
Balance as at 01 April	96,432	1,649,242	526,614	306,947	504,303	29,401,421	22,230,864	54,715,823
Additions	12,803	1,341	75,753	48,925	4,554	137,275	61,806	342,457
Disposal	-	-	(104,131)	(48,742)	(149,398)	(27,119)	(959)	(330,349)
Impairment losses	-	-	-	-	-	(3,925)	-	(3,925)
Transfers / WIP transfers	-	-	124,937	150,999	-	(21,026)	61,784	316,694
Acquisition of subsidiaries	33,526	160,172	-	-	-	-	4,741	198,439
Disposal of Subsidiaries	-	-	-	-	-	-	(855)	(855)
Exchange Translation Difference	-	157,215	8,960	6,658	3,931	3,702,910	2,826,471	6,706,145
Balance as at 31 March	142,761	1,967,970	632,133	464,787	363,390	33,189,536	25,183,852	61,944,429
Accumulated depreciation								
Balance as at 01 April	86,038	1,135,528	347,516	187,959	23,017	20,670,955	11,614,615	34,065,628
Charge for the year from continuing operations (note 35.3)	3,273	31,122	72,697	77,658	44,095	531,762	364,004	1,124,611
Charge for the year from held for sale and discountinued operations	-	-	14,830	6,990	10,715	-	-	32,535
Disposal	-	-	(48,264)	(22,410)	(34,354)	(17,422)	(833)	(123,283)
Transfers / WIP transfers	-	-	(122)	-	-	(10,543)	26,488	15,823
Acquisition of subsidiaries	24,011	50,535	-	-	-	-	4,740	79,286
Disposal of Subsidiaries	-	-	-	-	-	-	(855)	(855)
Exchange translation difference	-	141,820	2,146	1,213	622	2,654,649	1,495,452	4,295,902
Balance as at 31 March	113,322	1,359,005	388,803	251,410	44,095	23,829,401	13,503,611	39,489,647
Carrying Amount								
As at 31 March 2026	29,439	608,965	243,330	213,377	319,295	9,360,135	11,680,241	22,454,783
As at 31 March 2025	10,394	513,714	179,098	118,987	481,286	8,730,465	10,616,248	20,650,195

35.2 Revaluation of land and buildings

Accounting judgements,estimates and assumptions

The Group uses the revaluation model of measurement of land and buildings. The Group engaged independent expert valuers, to determine the fair value of its land and buildings. Fair value is determined by reference to market-based evidence of transaction prices for similar properties. Valuations are based on open market prices, adjusted for any difference in the nature, location or condition of the specific property. These valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimizing the use of unobservable inputs. The date of the most recent revaluation was carried out on 31 March 2025.

The changes in fair value recognised in other comprehensive income and in the statement of equity. The valuer has used valuation techniques such as market values and discounted cash flow methods where there was lack of comparable market data available based on the nature of the property. Consequently, as at the reporting date, the value reflected represents the best estimate based on the market conditions that prevailed, which in valuers' considered opinion, meets the requirements in SLFRS-13 Fair Value Measurement.

35.2.1 Summary description of valuation methodologies

Open market value method (OMV)

Open market value method uses prices and other relevant information generated by market transactions involving identical or comparable assets, liabilities or a group of assets and liabilities, such as a business.

Direct capital comparison method (DCC)

This method may be adopted when the rental value is not available from the property concerned, but there are evidences of sale price of properties as a whole. In such cases, the capitalized value of the property is fixed by direct comparison with capitalized value of similar property in the locality.

Contractors method (CM)

The replacement cost (contractor's) method is used to value properties which do not generally exchange on the open market and for which comparable evidence therefore does not exist. The valuations are based on two components: the depreciated cost of the building element and the market value of the land. Current build costs and often the land price will be established by comparison.

Investment method (IM)

The investment method is used to value properties which are let to produce an income for the investor. Conventionally, investment value is a product of rent and yield. Each of these elements is derived using comparison techniques.

35.3 Depreciation Charge from Continuing Operations

Depreciation Charge from Continuing Operations consist of following;

For the year ended 31 March	2026 Rs.'000	2025 Rs. '000
Depreciation Charge to P&L	11,685,877	8,382,335
Depreciation Charge to WIP	109,443	694,917
	11,795,320	9,077,252

35.4 Cost of fully depreciated assets

The following Property, plant and equipment have been fully depreciated and continue to be in use by the Group.

As at 31 March	2026 Rs.'000	2025 Rs.'000
Cost of the fully depreciated assets	47,462,619	44,524,081

35.5 Temporarily idle property, plant and equipment

There were no idle property, plant and equipment as at the reporting date (2024/25: Nil)

35.6 Property, plant and equipment retired from active use

There were no property, plant and equipment retired from active use as at the reporting date (2024/25: Nil)

35.7 Title restriction on property, plant and equipment

There were no restriction on the title of property, plant and equipment as at 31st March 2026 other than those disclose in Note 48 to these financial statements.

35.8 Property, plant and equipment pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities other than those disclose in Note 48 to these financial statements.

35.9 Compensation from third parties for Items of property, plant and equipment

There were no compensation received during the year from third parties for items of property, plant and equipment that were impaired, lost or given up (2024/25: Nil).

35.10 Borrowing cost capitalization

Borrowing Costs incurred on borrowings obtained to finance the acquisition, construction or production of qualifying asset, which takes substantial period of time to get ready for its intended use or sale, have been capitalized during the year. The borrowing cost capitalization will be ceased when the respective asset is ready for use.

For the year ended	31 Mar 2026 Rs.'000	31 Mar 2025 Rs.'000
Capitalized borrowing costs	1,651,857	5,798,423

35.11 Impairment of Property plant and equipments

Impairment of property, plant & equipment for the period of 2025/26 Rs.700 Mn .(2024/25 Rs.117 Mn).

35.12 Immovable (JEDB/SLSPC) estate assets on Finance Lease (other than bare land)

Accounting Policy

Right-To-Use of Land on Lease

Lease agreements of all JEDB/SLSPC estates handed over to the Group's Sub Subsidiary Maturata Plantations Limited have been executed to date. All of these leases are retroactive to 15th/22nd June 1992, the dates of formation of the Group's Sub Subsidiary. The leasehold rights to the bare land on all of these estates have been taken into the books of the Group's Sub Subsidiary on 15th/22nd June 1992, immediately after formation of the Group's Sub Subsidiary, in terms of the ruling obtained from the Urgent Issue Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka. For this purpose, Board of the Group's Sub Subsidiary decided at its meetings that lease bare land would be revalued at the value established for this land by Valuation Specialist Dr. D. R. Wickramasinghe just prior to the formation of the Group's Sub Subsidiaries. The values as at 22nd June 1992 and 15th June 1992 were taken in to the books of Maturata Plantations Limited.

Since the fair value of revalued assets differs materially from its carrying amount, the Board of Directors of Maturata Plantations Limited on 20th December 2005 has decided a further revaluation to be carried out as at 31st December 2005. The net amounts have been restated to the new valuation carried out by an independent and qualified valuer, Mr.K.Arther Perera.

Amortization

The Right-to-use of land on lease is amortized over the remaining lease term of such asset or over the useful life of the underlying asset if shorter. Leasehold rights are tested for impairment annually and are written down where applicable. The impairment loss, if any, is recognized in the statement of profit or loss.

Amortization rates used for the purpose are as follows:

	No. of Years	Rate %
Bare Land	53	1.89
Improvement to Lands	30	3.33
Mature Plantations	30	3.33
Buildings	25	4.00
Machinery	15	6.67
Crop Diversification	30	3.33
Water and Sanitation	20	5.00
Other Vested Assets	30	3.33
Permanent Land Development	53	1.89

Liability to make lease rentals

The liability to make the rentals to the lessor is recognized on amortized cost using effective interest rate method. The finance cost is recognized in the statement of profit or loss under finance cost using effective interest rate method.

Group As at	Improvements to lands Rs.'000	Buildings Rs.'000	Machinery Rs.'000	Water sanitation Rs.'000	Roads and bridges Rs.'000	Other vested assets Rs.'000	Total Rs.'000
Capitalized value							
Balance as at 01 April 2025	27,107	261,554	101,437	6,610	501	460,782	857,991
Additions	24,588	-	-	-	-	-	24,588
Acquisition of subsidiaries	1,160	31,123	11,074	9,773	1,277	3,134	57,541
Balance as at 31 March 2026	52,855	292,677	112,511	16,383	1,778	463,916	940,120
Accumulated amoritzation							
Balance as at 01 April 2025	49,864	261,554	101,436	6,610	244	447,517	867,225
Charged for the period	3,636	-	-	-	-	7,294	10,930
Acquisition of subsidiaries	1,140	31,123	11,074	9,773	1,277	3,134	57,521
Balance as at 31 March 2026	54,640	292,677	112,510	16,383	1,521	457,945	935,676
Carrying Amount							
Balance as at 31 March 2026	(1,785)	-	1	-	257	5,971	4,444
Balance as at 31 March 2025	(22,757)	-	1	-	257	13,265	(9,234)

Right-To-Use of Land on Lease (Leasehold Rights to Bare Land of JEDB/SLSPC Estates)

Lease agreements of all JEDB/SLSPC estates handed over to the Group's Sub Subsidiary Maturata Plantations Limited have been executed to date. All of these leases are retroactive to 15th/22nd June 1992, the dates of formation of the Group's Sub Subsidiary. The leasehold rights to the bare land on all of these estates have been taken into the books of the Group's Sub Subsidiary on 15th/22nd June 1992, immediately after formation of the Group's Sub Subsidiary, in terms of the ruling obtained from the Urgent Issue Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka. For this purpose, Board of the Group's Sub Subsidiary decided at its meetings that lease bare land would be revalued at the value established for this land by Valuation Specialist Dr. D. R. Wickramasinghe just prior to the formation of the Group's Sub Subsidiaries. The values as at 22nd June 1992 and 15th June 1992 were taken in to the books of Maturata Plantations Limited.

Since the fair value of revalued assets differs materially from its carrying amount, the Board of Directors of Maturata Plantations Limited on 20th December 2005 has decided a further revaluation to be carried out as at 31st December 2005. The net amounts have been restated to the new valuation carried out by an independent and qualified valuer, Mr.K. Arther Perera.

The right to use bare land on lease of JEDB/SLSPC estates is being amortised by equal amounts over a 53 year period and the unexpired period of the lease as at the financial reporting date is 19.25 years.

35.13 Fully depreciated assets

Property, plant & equipment of the Company includes fully depreciated assets that are still in use having a gross amount of Rs.1,647 Mn as at 31st March 2026 (2024/25 - Rs. 1,577 Mn).

35.14 Cost of revalued properties

The fair value of the revalued properties were determined by Mr. W.M Chandrasena, an independent valuer who holds recognized and relevant professional qualification and have recent experience in the location and category of the revalued properties.

Date of the revaluation	31 March 2025
Method of determining fair value	Sales comparison

If land and buildings were measured using the cost model, the carrying amounts would be as follows:

As at 31 March	2026 Rs.'000	2025 Rs.'000
Cost	242,387	249,552
Accumulated depreciation and impairement	(56,003)	(59,437)
	186,384	190,115

35.15 Fair valuation methodology

The following table shows the valuation techniques used in measuring the fair value of significant properties of the group, as well as the significant unobservable inputs used.

Valuation Technique	Significant observable and unobservable inputs	Interrelationship between key inputs and fair value measurement
Sales comparison method - value derived based on recent transactions of similar properties	Per perch value - Please Refer Note Number 35.16	The estimated fair value would increase (decrease) if: - comparable property value was higher / (lesser)
Depreciated replacement cost method	Value per square feet determined based on similar properties value, depreciated for period used and adjusting acquisition cost. Please refer note number 35.17	The estimated fair value would increase (decrease) if: - Depreciation rate was lesser / (higher) - Square feet value was higher / (lesser)

35.16 Details of Group's land and building stated at Revaluation model are indicated below.

Local Properties

Province	Per Pearch (Rs.)		Per Square Feet (Rs.)	
	Lowest	Highest	Lowest	Highest
Central Province	60,000	7,000,000	3,000	15,000
Eastern Province	100,000	2,375,000	8,000	12,000
North Western Province	3,200,000	4,582,000	7,000	7,000
Northern Province	2,850,000	3,000,000	4,000	10,000
North Central Province	4,180,000	4,400,000	8,000	9,000
Sabaragamuwa Province	3,325,000	3,500,000	7,000	7,000
Southern Province	300,000	2,500,000	10,000	20,000
Uva Province	174,000	2,000,000	1,000	20,000
Western Province	75,000	32,000,000	1,300	16,000

35.17 Assumptions of Group's land and building depreciated replacement cost method are indicated below.

Replacement cost per Sq Ft	Rs 1,000 - Rs 20,000
Depreciation rate applied (% per annum)	8 - 25
Remaining useful life assumptions (years)	4 years - 12.5 years

36 TRADING LIABILITIES - FAIR VALUE THROUGH PROFIT OR LOSS

As at 31 March	Group		Company	
	2026	2025	2026	2025
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Derivative liabilities				
Currency Swaps	-	688,019	-	-
Forward rate agreements	17,588	1,938	-	-
	17,588	689,957	-	-

37 FINANCIAL LIABILITIES AT AMORTISED COST/ DEPOSITS LIABILITIES

37.1 Deposits from customers

As at 31 March	Note	Group		Company	
		2026	2025	2026	2025
		Rs.'000	Rs.'000	Rs.'000	Rs.'000
Fixed deposits	37.2	606,037,674	510,595,587	-	-
Saving/Demand deposits	37.3	79,229,320	47,545,567	-	-
Interest/profits payable	37.4	8,998,407	7,502,943	-	-
		694,265,401	565,644,097	-	-

37.2 Fixed deposits

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Local currency deposits				
Conventional deposits	282,990,472	210,484,768	-	-
Islamic - Mudharabah	3,700,569	7,298,310	-	-
Islamic - Wakala	20,053,120	13,860,556	-	-
Foreign currency deposits				
Conventional deposits	299,293,513	278,951,953	-	-
	606,037,674	510,595,587	-	-

37.3 Saving/Demand deposits

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Local currency deposits				
Conventional deposits	42,557,579	31,459,562	-	-
Islamic	2,092,991	1,723,745	-	-
Foreign currency deposits				
Conventional deposits	34,578,750	14,362,260	-	-
	79,229,320	47,545,567	-	-

37.4 Interest/profits payable

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Interest payable on conventional deposits	5,981,348	4,740,454	-	-
Profits payable on Islamic deposits	3,017,059	2,762,489	-	-
	8,998,407	7,502,943	-	-

37.5 Analysis of Due to Other Customers/Deposits from Customers

a) By currency

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Sri Lankan Rupee	266,155,454	221,929,876	-	-
United States Dollar	321,097,722	286,025,358	-	-
Great Britain Pound	1,005,087	697,624	-	-
Euro	484,425	377,526	-	-
Australian Dollar	826,838	541,735	-	-
Cambodian Riel	25,666,681	21,608,805	-	-
Pakistani Rupee	23,881,251	7,679,685	-	-
Myanmar Kyat	14,725,637	9,318,547	-	-
Philippine Peso	4,077,921	3,654,778	-	-
Nigerian Naira	1,411,066	704,494		
Zambian Kwacha	12,177,830	1,926,843	-	-
Others	22,755,489	11,178,826	-	-
Gross deposits from customer	694,265,401	565,644,097	-	-

b) By Institution / Customers

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Deposits from banks	23,940,319	20,084,415	-	-
Deposits from finance companies	2,586,133	5,769,840	-	-
Deposits from other customers	667,738,949	539,789,842	-	-
	694,265,401	565,644,097	-	-

38 FINANCIAL LIABILITIES AT AMORTISED COST/ INTEREST BEARING BORROWINGS

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Commercial papers & promisory notes		232,213,003	248,096,888	208,472,475	233,638,149
Short-term loans and others		204,579,001	149,538,477	92,321,762	70,273,646
Debentures	38.1 & 38.5	20,916,341	19,296,551	8,430,460	12,139,477
Finance lease liabilities	38.2	2,637,011	2,094,332	-	1,348
Long-term borrowings	38.3	196,832,844	165,168,585	35,578,918	30,735,353
Operating Lease Liability	38.4	16,073,165	17,007,597	56,766	30,247
		673,251,365	601,202,430	344,860,381	346,818,220

38.1 Information on Group's Listed Debentures

38.1.1 Interest rate of comparable government security

Buying and selling prices of treasury bond at the auction held on 31 March 2026

As at 31 March	Buying		Selling	
	Price Rs.	Yield %	Price Rs.	Yield %
5 year bonds (11.25% Treasury Bond 2031A)	104.89	9.98	105.29	9.98
10 year bonds (10.85% Treasury Bond 2036A)	99.01	11.00	99.92	10.86

38.1.2 Market prices and yield during the year of comparable government security (ex-interest)

As at 31 March	Market Price Rs.	Market Yield %
5 year bonds (11.25% Treasury Bond 2031A)	105.09	9.93
10 year bonds (10.85% Treasury Bond 2036A)	99.51	10.93

38.1.3 The market prices of Group's issued debentures during the period (ex interest)

	Highest price	Lowest price	Last traded price
10 Year Bond -LOLC-BD-24/02/31-C2468-12	Not traded	Not traded	Not traded
Type A - 5 Years Tenor	Not traded	Not traded	Not traded
Type B - 5 Years Tenor	Not traded	Not traded	Not traded
Type C - 5 Years Tenor	Not traded	Not traded	Not traded
Senior, listed,Redeemable, Rated Debentures - 15.42%	Not traded	Not traded	Not traded
Senior, listed,Redeemable, Rated Debentures - 15.5%	Not traded	Not traded	Not traded

38.1.4 Key financial ratios of the Group

Debt to equity	2.09 times
Interest cover	1.24 times
Quick asset ratio	0.66 times

38.2 Finance lease liabilities

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
JEDB/SLSPC estates lease liabilities	38.2.1	1,862,739	984,595	-	-
Other lease liabilities	38.2.2	774,272	1,109,737	-	1,348
		2,637,011	2,094,332	-	1,348

38.2.1 JEDB/SLSPC estates lease liabilities

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross Liability				
Balance as at 1st April	1,212,447	1,069,050	-	-
Leases obtained during the year	22,544	148,555	-	-
Amortized interest	267,129	131,364	-	-
Repayments	(264,110)	(136,522)	-	-
Acquisition of subsidiairies	852,581	-	-	-
Balance as at 31st March	2,090,591	1,212,447	-	-
Finance costs allocated to future years	(227,852)	(227,852)	-	-
Net Liability	1,862,739	984,595	-	-
Payable within one year				
Gross liability	104,968	34,402	-	-
Finance costs allocated to future years	(81,896)	(24,425)	-	-
Net liability transferred to current liabilities	23,072	9,977	-	-
Payable within two to five years				
Gross liability	140,197	176,953	-	-
Finance costs allocated to future years	(24,944)	(117,044)	-	-
Net liability	115,253	59,909	-	-
Payable after five years				
Gross liability	1,845,426	1,001,092	-	-
Finance costs allocated to future years	(121,012)	(86,383)	-	-
Net liability	1,724,414	914,709	-	-

38.2.2 Other lease liabilities

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross lease rentals payable as at 01 April	1,079,151	1,139,314	1,348	2,702
Leases obtained during the year	1,378	151,082	-	-
Amortized interest	23,861	48,785	-	-
Exchange Translation Difference	105,619	24,326	-	-
Transfer of assets held for sale	6,761	-	-	-
Reversal on early termination	(210,753)	-	-	-
Lease rentals paid during the year	(195,957)	(223,184)	(1,348)	(1,354)
Gross lease rentals payable as at 31 March	810,060	1,140,323	-	1,348
Less: Unamortized finance cost	(35,788)	(30,586)	-	-
Net lease liability	774,272	1,109,737	-	1,348
Repayable within one year				
Gross lease rentals payable	337,741	441,378	-	1,348
Less: Unamortized finance cost	(1,447)	(17,618)	-	-
Net lease liability	336,294	423,760	-	1,348
Repayable after one year before five years				
Gross lease rentals payable	472,319	698,945	-	-
Less: Unamortized finance cost	(34,341)	(12,968)	-	-
Net lease liability	437,978	685,977	-	-

38.3 Long-Term Borrowings

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Gross balance as at 01 April	165,236,318	200,466,399	30,735,353	32,760,665
Received during the year	142,762,447	43,683,615	29,157,819	15,013,766
Amortized interest	10,322,488	15,312,278	4,301,071	4,219,967
Acquisition of subsidiaries	-	2,278,475	-	-
Repaid during the year	(128,320,684)	(89,773,660)	(28,615,325)	(21,259,045)
Transfer to assets held for sale	-	(4,772,264)	-	-
Exchange translation difference	6,929,125	(1,958,525)	-	-
Gross borrowings as at 31 March	196,929,694	165,236,318	35,578,918	30,735,353
Less: Unamortized finance cost	(96,850)	(67,733)	-	-
Balance as at 31 March	196,832,844	165,168,585	35,578,918	30,735,353
Long-term borrowings - current	60,994,580	81,901,075	26,801,533	25,264,813
Long-term borrowings - non-current	135,838,264	83,267,510	8,777,385	5,470,540
Total	196,832,844	165,168,585	35,578,918	30,735,353
Analysis of non-current portion of long-term borrowings				
Repayable within 3 years	83,249,382	30,552,583	8,777,385	5,470,540
Repayable after 3 years	52,588,882	52,714,927	-	-
Total	135,838,264	83,267,510	8,777,385	5,470,540

The borrowings include long term and short term loans which carry interest rates which are variable and are reset on a monthly / quarterly /semi-annually / annual basis.

38.4 Operating Lease Liability

Accounting Policy

Lease Liabilities

Initial Recognition

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Company uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable.

Subsequent Measurement

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is re-measured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Incremental Borrowing Rate

Incremental borrowing rate is the rate of interest that a lessee would have to pay to borrow over a similar term and with similar security, the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment.

In the absence of specific guidance in SLFRS 16, the Group determines the incremental borrowing rate by referring to the "Application Guidance Notes on SLFRS 16 – Leases" issued by CA Sri Lanka. As per the guideline, Group determines Incremental Borrowing Rate by incorporating following key elements.

- Risk free rate [Basis rate for economic factors]
- Financial Factors [Lessee specific factors]
- Asset Factor

Assumption on Extension Option and Cancellation Option

SLFRS 16 specifies that the lessee is required to assess whether it is reasonably expected to extend the lease period. Based on our business model forecast and our past experience, we assumed that the operating leasing agreements will continue for another 3 years. For this purpose, we have exercised this extension option for operating leases which are expiring within next two years. Based on our experience, we believe that, in the event of cancellation of an agreement, the Company will enter into a new rent agreement to continue and ensure its smooth business operation. Therefore, we have not considered the cancellation option in our calculations.

Timing of the lease payments

Based on our past experience, we assumed that the rent payments will occur at the end of the month (paid in arrears). Therefore, discount factors adjusted accordingly.

Short term leases and leases of low value assets

The Group applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Opening Balance	17,007,597	16,260,895	30,247	35,185
Discounted operating lease commitments	165,218	(73,682)	-	-
Leases obtained during the year	8,259,285	1,728,064	75,059	11,151
Amortized interest	2,199,883	1,832,639	5,995	7,316
Lease rentals paid during the year	(3,322,101)	(2,214,890)	(54,535)	(23,405)
Acquisition of Subsidiaries	10,447	5,157	-	-
Effect of Amalgamation	1,286	(1,318)	-	-
Transfer to assets held for sale	(9,386,988)	(245,579)	-	-
Exchange Translation Difference	1,138,538	(283,689)	-	-
Net lease liability	16,073,165	17,007,597	56,766	30,247
Repayable within one year				
Gross lease rentals payable	2,518,530	2,926,804	17,570	19,598
Less: Unamortized finance cost	(1,576,371)	(1,681,457)	(5,938)	(4,132)
Net lease liability	942,159	1,245,347	11,632	15,466
Repayable after one year before five years				
Gross lease rentals payable	11,571,794	10,476,343	54,419	16,127
Less: Unamortized finance cost	(5,145,817)	(5,783,987)	(9,285)	(1,346)
Net lease liability	6,425,977	4,692,356	45,134	14,781
Repayable after five years				
Gross lease rentals payable	26,874,897	36,245,710	-	-
Less: Unamortized finance cost	(18,169,868)	(25,175,816)	-	-
Net lease liability	8,705,029	11,069,894	-	-
Total	16,073,165	17,007,597	56,766	30,247

38.5 Debenture details

Year of Issue	Year of Redemption	Type of Issue	Interest Payable Frequency				Group		Company	
			Fixed Rate Annually	Fixed Rate Semi-Annually	Maturity	Fixed Rate Quarterly	2026 Rs.'000	2025 Rs.'000	2026 Rs. '000	2025 Rs. '000
Debentures/ Bonds										
2020	2025	Unsecured subordinated redeemabale debenture	-	10.50%	-	-	-	3,371,250	-	-
2020	2025	Unsecured subordinated redeemabale debenture	-	34.88%	-	-	-	1,628,750	-	-
2021	2026	Senior, Unsecured, listed, Redeemable, Rated Debentures	10.25%	-	-	-	-	2,929,230	-	2,929,230
2021	2026	Senior, Unsecured, listed, Redeemable, Rated Debentures	12.00%	-	-	-	6,316,110	6,316,110	6,316,110	6,316,110
2021	2031	Senior, Unsecured, listed, Redeemable, Rated Debentures	-	-	-	9.85%	-	754,660	-	754,660
2021	2026	Unlisted, Rated, Unsecured Senior Redeemable	10.25%	-	-	-	981,000	981,000	981,000	981,000
2021	2026	Unlisted, Rated, Unsecured Senior Redeemable	-	-	-	9.85%	474,500	474,500	474,500	474,500
2021	2031	Unlisted, Rated, Unsecured Senior Redeemable	12.00%	-	-	-	544,500	544,500	544,500	544,500
2022	2027	Senior, listed,Redeemable, Rated Debentures	-	-	-	15.42%	1,932,700	1,932,700	-	-
2022	2027	Senior, listed,Redeemable, Rated Debentures	15.50%	-	-	-	67,300	67,300	-	-
2014	N/A	Redeemable Preference Shares	10.00%	-	-	-	145,000	145,000	-	-
2025	2030	Type A - 5 Years Tenor	11.25%	-	-	-	8,319,045	-	-	-
2025	2030	Type B - 5 Years Tenor	-	10.95%	-	-	2,067	-	-	-
2025	2030	Type C - 5 Years Tenor	10.53%	-	-	-	1,963,844	-	-	-
		Amortize cost/ disbursement fees					170,275	151,551	114,350	139,477
							20,916,341	19,296,551	8,430,460	12,139,477

Note

1. AWPLR (Five-year floating rate) – ('AWPLR' means the simple average of the Average Weighted Prime Lending Rate published by the Central Bank of Sri Lanka for the 12-week period, immediately preceding each Interest Determination Date).

39 INSURANCE CONTRACT LIABILITIES

As at 31 March	Note	Group 2026 Rs.'000	Group 2025 Rs.'000
Long-term insurance contracts	39.1	16,494,757	14,467,959
Non-life insurance contracts	39.2	12,837,236	9,502,470
Total insurance contract liabilities		29,331,993	23,970,429

The group has satisfied liability adequacy test in both life & general insurance businesses.

39.1 Long-term insurance contract liabilities

Accounting Policy

Valuation of Life Insurance Contract Liabilities

Long duration contract liabilities included in the life insurance fund, result primarily from traditional participating, non participating life and universal life insurance products. Short duration contract liabilities are primarily group term. The actuarial reserves have been established based on the following;

- Non participating liabilities and participating liabilities are discounted using their respective fund yield curves.
- Mortality rates based on published mortality tables adjusted for actual experience as required by regulations issued by the IRCSL.
- Surrender rates based on actual experience.

The amount of policyholder dividend to be paid is determined annually by the Company. The dividend includes life policyholders' share of net income that is required to be allocated by the insurance contract.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapses, surrender rates and discount rates as further detailed in notes to the financial statements. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made for future investment income arising from the assets backing life insurance contracts. These estimates are based on current market returns, as well as expectations about future economic and financial developments. The fund based yield curves used in calculation of actuarial reserves have been derived using estimates of future economic conditions

Assumptions on future expenses are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the company's historical experience of lapses and surrenders."

De-recognition

The liability is de-recognized when the contract expires, is discharged or is cancelled.

At each reporting date, an assessment is made of whether the recognized life insurance liabilities are adequate, by using a liability adequacy test.

Valuation of Life Insurance Fund

The valuation of the conventional life insurance fund was carried out by Mr. Phill Jakson, Milliman, 503, A wing, Citi point Andheri Kurla Road, JB Nagar Andheri East Mumbai.

Accounting Policy

Key Assumptions used in Determination of Best Estimate Liability

Asset Class	Basis
Economic Assumptions	
Risk free rate	Risk free rate curve issued by IRCSL
Fund yield	Expected fund yields based on the Company's long term strategic asset allocation plan and the expected yield on the long term bonds with a risk premium adjustment for other asset classes.
Operating Experience Assumptions	
Mortality rate	Adjusted A67/70 mortality table rates based on company's experience study.
Morbidity rate	Percentage of reinsurance rates, where the percentages are determined based on the morbidity studies performed.
Expense rate and Expense inflation	Fixed & variable, acquisition and maintenance cost assumptions based on the 2024 experience study, with an inflation adjustment made to reconcile with the actual expenses. Sales related acquisition expenses are taken as a % of first year commission. Sales related maintenance expenses are taken as a % of renewal commission.
Lapse rates, paid-up rates and surrender rates	Rates are based on company's persistency study performed.

As at 31 March	Group					
	2026			2025		
	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000
At 01 April	15,379,768	(1,064,397)	14,315,371	11,311,601	(887,586)	10,424,015
Premiums received	10,440,725	(307,686)	10,133,039	8,898,658	(280,683)	8,617,975
Claims incurred	(6,197,645)	261,424	(5,936,221)	(3,270,929)	88,044	(3,182,885)
Fees deducted	(586,040)	25,562	(560,478)	(357,297)	15,828	(341,469)
Investment return	1,651,609	-	1,651,609	1,512,205	-	1,512,205
Expenses	(3,406,619)	-	(3,406,619)	(2,895,428)	-	(2,895,428)
Gratuity - actuarial gain/(loss)	-	-	-	2,954	-	2,954
Net gain / (loss) on available-for-sale assets - Life Policyholders	(64,782)	-	(64,782)	178,004	-	178,004
	17,217,016	(1,085,097)	16,131,919	15,379,768	(1,064,397)	14,315,371
Claims outstanding	362,838	-	362,838	152,588	-	152,588
At 31 March	17,579,854	(1,085,097)	16,494,757	15,532,356	(1,064,397)	14,467,959

39.2 Non-life insurance contract liabilities

Accounting Policy

General Insurance Business

Gross Written Premium

Gross insurance written premiums comprise the total premiums received /receivable for the whole period of cover provided by contracts entered into during the accounting period.

Gross written premium is generally recognized as written upon inception of the policy. Upon inception of the contract, premiums are recorded as written and are earned primarily on a pro-rata basis over the term of the related policy coverage. Rebates that form part of the premium rate, such as no-claim rebates, are deducted from the gross premium. Unearned premiums are those proportions of premiums written in a year that relate to periods of risk after the reporting date. Unearned premiums are calculated on a 1/365th basis in accordance with industry practice. However, for those contracts for which the period of risk differs significantly from the contract period, premiums are earned over the period of risk in proportion to the amount of insurance protection provided. The proportion attributable to subsequent periods is deferred as a provision for unearned premiums which is included under liabilities.

Premium ceded to reinsurers

Gross reinsurance premiums on insurance contracts are recognized as an expense on the earlier of the date when premiums are payable or when the policy becomes effective. Reinsurance premiums are decided based on rates agreed with reinsurers. Unearned reinsurance premiums are those proportions of premiums written in a year that relate to periods of risk after the reporting date. Unearned reinsurance premiums are deferred over the term of the underlying direct insurance policies for risks-attaching contracts using 1/365th basis in accordance with the Regulation of Insurance Industry Act, No. 43 of 2000.

Fees and commission income

Policyholders are charged for policy administration services and other contract fees. These fees are recognized as revenue upon receipt or become due.

Benefits, claims and expenses

Claims incurred include provisions for the estimated cost of claims and related handling expenses in respect of incidents up to 31 December. Claims outstanding are assessed by reviewing the individual claim files and estimating changes in the ultimate cost of settling claims. The reserve in respect of claims Incurred But Not Reported (IBNR) is actuarially valued to ensure a more realistic estimation of the future liability based on past experience and trends. Actuarial valuations are performed on an annual basis. Whilst the Directors consider that the provision for claims-related reinsurance recoveries is fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amounts provided. Such adjustments are reflected in the financial statements for that period. The methods used, and the estimates made, are reviewed regularly.

Reinsurance claims

Reinsurance claims are recognized when the related gross insurance claim is recognized according to the terms of the relevant contract.

Insurance provision-non-life insurance

Non-life insurance contract liabilities include the outstanding claims provision including IBNR and IBNER, the provision for unearned premium, and the provision for premium deficiency. The outstanding claims provision is based on the estimated ultimate cost of all claims incurred but not settled at the reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore, the ultimate cost of these cannot be known with certainty at the reporting date.

The valuations of unearned premium reserves are measured in accordance with guidelines of the Regulation of Insurance Industry Act, No. 43 of 2000 (i.e. based on the 1/365th basis).

The Incurred But Not Reported (IBNR) and Incurred But Not Enough Reported (IBNER) claims reserves are actuarially computed. The liability is not discounted for the time value of money. No provision for equalization or catastrophe reserves is recognized. The liabilities are derecognized when the obligation to pay a claim expires, is discharged or is canceled.

As required by the SLFRS 4 - Insurance Contracts, the Company performed a Liability Adequacy Test (LAT) in respect of Non - life insurance contract liabilities with the assistance of the external actuary.

39.2 Non-life insurance contract liabilities (Cont.)

Accounting Policy

Deferred acquisition costs (DAC)

Those direct and indirect costs incurred during the financial period arising from the writing or renewing of insurance contracts are deferred and amortized over the period in which the related revenues are earned by using a 1/365 basis. All other acquisition costs are recognized as an expense when incurred.

Valuation of Insurance Provision-General Insurance Reserve for Outstanding Claims Including IBNR

Methodology for Claim Liability

Central Estimate

The Central Estimate of the Net Claim Liability has been determined based upon the gross analysis performed for the Company as at 31st December 2013, whereby a full review of the Loss Development Factors on a gross basis is performed. Various Gross-to-Net ratios are compared, and the Net Claim Liability is determined by applying a factor to the Gross Claim Liability.

Since the net analysis is based on the gross analysis, any change in the gross results will subsequently affect the results in this net valuation.

The Central Estimate is then adjusted by the same provision as the gross analysis to allow for Claims Handling Expenses (CHE) such as fees for loss adjustment, and the annual salary and related overhead costs of the claims department.

75% Confidence Level Estimate

The volatility of the Central Estimate of Claim Liability is projected to secure an overall level of sufficiency with not less than 75% confidence level on undiscounted basis. In assessing the Net Claim Liability at a 75% confidence level, a Stochastic Chain Ladder approach was adopted to estimate the Provision of Risk Margin for Adverse Development (PRAD) and Fund PRAD (FPRAD) risk margins. The 75th percentile has been calculated for each line of business independently as well as on a whole account level. This allows the implicit diversification factor to be derived. The discount to the PRAD, as a result of diversification, is then capped at a given reduction from the correlated value.

As a reasonableness check, actuaries have made reference to the risk margins that were derived in the gross analysis when determining the appropriate risk margins to be adopted for the net analysis.

Calculation of Discounted Claim Liability

The Discounted Claim Liability is calculated as the current value of the projected future claim payments for each class of business.

The Claim Liability is discounted on the same basis as the gross numbers. These are based upon the Government Securities spot rates from the Central Bank of Sri Lanka and the modeled payment patterns.

Methodology for Estimate of Premium Liability

Central Estimate

For the Central Estimate of the Premium Liability, actuary developed a trended Ultimate Loss Ratio for each class to compute the Central Estimate of the Unexpired Risk Reserve (URR). A provision, which is the same value as per the gross analysis, was added to the Central Estimate of the URR to account for CHE and a further provision, based on the Unearned Premium Reserve (UPR), has been retained to cover future Management Expenses. The adjusted loss ratios are finally applied to the UPR that the company currently holds to derive the Central Estimate of the URR.

75% Confidence Level Estimate

The Central Estimates of the URRs are then projected to secure an overall level of sufficiency of not less than 75% confidence. In determining the URR at the 75% confidence level, actuaries multiply the Central Estimate of the URR with an adjustment factor for each line of business. The adjustment factor is determined at a class level as well as at an aggregate level, and takes into account the observed relationship between the current estimate of an Accident Period's ULR and the trended ULR. The diversification is determined by comparing the sum of adjustment factors by line of business and the adjustment factor at the aggregate level.

Calculation of Discounted Claim Liability

The Discounted Claim Liability is calculated as the current value of the projected future claim payments for each class of business.

The Claim Liability is discounted on the same basis as the gross numbers. These are based upon the Government Securities spot rates from the Central Bank of Sri Lanka and the modeled payment patterns.

As at 31 March	Note	2026 Insurance Contract liabilities Rs.'000	2026 Reinsurance of liabilities Rs.'000	2026 Net Rs.'000	2025 Insurance Contract liabilities Rs.'000	2025 Reinsurance of liabilities Rs.'000	2025 Net Rs.'000
Provision for reported claims	39.3	8,140,172	(4,842,094)	3,298,078	3,879,339	(1,347,541)	2,531,798
IBNR		1,340,297	-	1,340,297	1,148,747	-	1,148,747
Outstanding claims provision		9,480,469	(4,842,094)	4,638,375	5,028,086	(1,347,541)	3,680,545
Commission reserves	39.4	(872,379)	542,317	(330,062)	(647,765)	377,339	(270,426)
Provision for unearned premiums	39.5	10,474,474	(1,945,551)	8,528,923	7,494,554	(1,402,203)	6,092,351
Total non-life contract liabilities		19,082,564	(6,245,328)	12,837,236	11,874,875	(2,372,405)	9,502,470

39.3 Outstanding claims provision

As at 31 March	2026 Insurance Contract liabilities Rs.'000	2026 Reinsurance of liabilities Rs.'000	2026 Net Rs.'000	2025 Insurance Contract liabilities Rs.'000	2025 Reinsurance of liabilities Rs.'000	2025 Net Rs.'000
Balance at the beginning of the year	3,879,339	(1,347,541)	2,531,798	4,066,952	(2,054,975)	2,011,977
Claims incurred in the current accident year	13,754,489	(6,005,116)	7,749,373	6,508,756	(138,898)	6,369,858
Other movement	(330)	-	(330)	(330)	-	(330)
Claims paid during the year	(9,493,326)	2,510,563	(6,982,763)	(6,696,039)	846,332	(5,849,707)
Total non-life contract liabilities	8,140,172	(4,842,094)	3,298,078	3,879,339	(1,347,541)	2,531,798

39.4 Commission reserves

As at 31 March	2026 Insurance Contract liabilities Rs.'000	2026 Reinsurance of liabilities Rs.'000	2026 Net Rs.'000	2025 Insurance Contract liabilities Rs.'000	2025 Reinsurance of liabilities Rs.'000	2025 Net Rs.'000
Balance at the beginning of the year	(647,765)	377,339	(270,426)	(482,682)	224,850	(257,832)
Change in commission reserves	(203,042)	164,978	(38,064)	(168,335)	152,489	(15,846)
Other movement	(21,572)	-	(21,572)	3,252	-	3,252
Total non-life contract liabilities	(872,379)	542,317	(330,062)	(647,765)	377,339	(270,426)

39.5 Provision for unearned premiums

As at 31 March	2026			2025		
	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000	Insurance Contract liabilities Rs.'000	Reinsurance of liabilities Rs.'000	Net Rs.'000
Balance at the beginning of the year	7,494,554	(1,402,203)	6,092,351	6,748,539	(909,903)	5,838,636
Premiums written in the year	17,641,631	(4,639,979)	13,001,652	13,546,260	(3,040,877)	10,505,383
Premiums earned during the year	(14,729,490)	4,096,631	(10,632,859)	(12,790,145)	2,548,577	(10,241,568)
Other movement	67,779	-	67,779	(10,100)	-	(10,100)
Balance at the end of the year	10,474,474	(1,945,551)	8,528,923	7,494,554	(1,402,203)	6,092,351

40 CURRENT TAX PAYABLES

As at 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Income tax payables	40.1	4,498,247	4,559,626	115,978	15,387
Value added tax (VAT) payable		19,159,977	19,913,857	701,647	628,017
GST Payable		11,569	1,256	-	-
With-holding tax (WHT) payable		1,171,569	944,900	104,227	72,452
Economic service charge (ESC) payable		2,522	1,769	-	-
Social Security Contribution Levy (SSCL) / Nation building tax (NBT) payable		25,117	15,222	-	-
Other tax payables		1,634,824	1,368,168	94,730	64,699
		26,503,825	26,804,798	1,016,582	780,555

40.1 Income tax payables

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance at the beginning of the year	4,559,626	5,426,094	15,387	150,465
Provision for the Period	6,868,572	4,711,491	-	17,263
Under/ (over) provision in respect of previous years	98,876	(48,556)	100,591	-
Transfer from/ (to) Income Tax Receivables	156,298	(74,193)	-	-
Payments made during the year	(7,233,167)	(5,676,318)	-	(152,341)
Acquisition of Subsidiaries	61,762	325,854	-	-
Exchange translation difference	(13,720)	(104,746)	-	-
Balance at the end of the year	4,498,247	4,559,626	115,978	15,387

41 TRADE AND OTHER PAYABLES

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Financial liabilities				
Trade payables	37,394,983	45,231,860	811,603	543,812
Amount due to related companies	2,258,286	2,021,203	560,514	262,121
Insurance premium payable	477,785	671,585	-	-
Staff related payments	2,749,957	2,176,633	24,060	19,932
Payable to Shareholders	2,377,122	354,960	-	-
Payable to CREH	25,929,226	24,378,904	-	-
Dividend payable	136,661	107,376	-	-
Other financial liabilities	23,786,055	13,537,334	6,944	567
	95,110,075	88,479,855	1,403,121	826,432
Non-financial liabilities				
Accrued expenses/ adavce payment	14,303,638	10,184,484	44,275	25,815
Excess payment received	2,344,506	2,133,345	509	502
Security Deposits Received	212,540	348,418	-	-
Provisions made	1,220,449	1,054,444	-	-
Advances received	850,747	1,429,534	-	-
Other non-financial liabilities	5,400,887	4,418,632	261,893	81,712
	24,332,767	19,568,857	306,677	108,029
	119,442,842	108,048,712	1,709,798	934,461

42 DEFERRED INCOME

Accounting Policy

Grants related to assets

Grants related to property, plant and equipment are initially deferred and allocated to statement of profit or loss on a systematic basis over the useful life of the related property, plant and equipment. Grants related to assets, including non-monetary grants at fair value, are deferred in the statement of financial position and credited to the Statement of statement of profit or loss over the useful life of the related asset as given below;

	No. of Years	Rate %
Building	40	2.5
Plant and Machinery	13 1/3	7.5
Equipment	8	12.5
Roads	50	2
Vehicles	5	20

Relevant assets are presented separately in the Financial Statements without setting off against the respective grants.

Grants related to Income

Grants related to income are recognized in the statement of profit or loss in the period in which they are receivable.

Note Group	Capital grants 42.1 Rs. '000	Operating lease receivables - PHDT 42.2 Rs. '000	Transfer of shares 42.3 Rs. '000	Income received in advance Rs. '000	Other Rs. '000	Total 2025/2026 Rs. '000	Total 2024/2025 Rs. '000
Gross deferred income							
Balance as at 01 April	473,646	10,735	63,994	801,817	59	1,350,251	919,443
Acquisition of subsidiaries	988,865	-	-	-	120,471	1,109,336	-
Deferred Income received	33,912	-	-	530,070	-	563,982	596,976
Transfers/re-classifications / Adjustments	269	-	-	-	-	269	-
Amortized to profit & loss	-	-	-	(206,586)	-	(206,586)	(106,301)
Exchange translation difference	-	-	-	354,097	-	354,097	(59,867)
Balance as at 31 March	1,496,692	10,735	63,994	1,479,398	120,530	3,171,349	1,350,251
Accumulated amortisation							
Balance as at 01 April	173,427	10,544	26,357	271,378	-	481,706	345,796
Acquisition of subsidiaries	424,856	-	-	-	-	424,856	-
Amortized to profit & loss	45,568	191	1,861	267,511	6,967	322,098	166,718
Exchange translation difference	-	-	-	218,344	-	218,344	(30,809)
Balance as at 31 March	643,851	10,735	28,218	757,233	6,967	1,447,004	481,705
Carrying amount							
Balance as at 31 March 2026	852,841	-	35,776	722,165	113,563	1,724,345	
Balance as at 31 March 2025	300,219	191	37,637	530,439	59		868,546

42.1 Capital grants

The above capital grants represent the following;

1 Funds received from the Plantation Housing and Human Development Trust (PHDT), MTIP, MPI for the development of workers welfare facilities and improvements to institutional facilities.

2 Funds received from the Plantation Reform Project for the development of Forestry Plantations.

The amounts spent is capitalized under the relevant classification of Property, Plant and Equipment. The corresponding grant component is reflected under Deferred Income and is being amortized over the useful life span of the related asset.

Grant related to the biological assets which are measured at fair value less point to sell cost is directly charged to the carrying value of such assets in accordance with the Sri Lanka Accounting Standards.

42.2 OPERATING LEASE RECEIVABELS - PHDT

Premises at St.Andrew's Drive in Nuwara Eliya has been leased out to Plantation Human Development Trust for a period of 20 years commencing from August'2005 at a total lease rental of Rs. 10.73 Mn.

Lease Rentals received are deferred and amortized over the lease period commencing from August 2005.

The timing of future operating lease rentals are as follows;

As at 31 March	Group	
	2026 Rs.'000	2025 Rs.'000
Less than one year	-	191
Between one and five years	-	-
More than five years	-	-
	-	191

42.3 Deferred income in respect of transfer of shares - Maturata Plantations Ltd

This represents the value of 6,399,375 number of shares received by Maturata Plantations Limited originally equivalent to 20% of the issued Ordinary Shares of RFELL at Rs.10/-each in lieu of releasing the leasehold rights of 488 Hectares in Enselwatte , Deniyaya for Eco Tourism Project. The value of Ordinary Shares are deferred and amortized over the unexpired balance lease period. However, due to the rights issue shareholdings percentage has come down from 20% to 13.44% subsequently.

As at 31 March	Group	
	2026 Rs.'000	2025 Rs.'000
Less than one year	1,861	1,861
Between one and five years	7,445	7,445
More than five years	26,470	28,331
	35,776	37,637

43 RETIREMENT BENEFIT OBLIGATIONS

Accounting Policy

Defined Contribution Plans

A Defined Contribution Plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to Defined Contribution Plans are recognized as an employee benefit expense in the statement of profit or loss in the periods during which services are rendered by employees.

Defined Benefits Plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit pension plans is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognized past service costs are deducted.

The calculation is performed every years by a qualified actuary using the projected unit credit method.

When the benefits of a plan are improved, the portion of the increased benefit related to past service by employees is recognized in Profit or Loss on a straight-line basis over the average period until the benefits become vested. To the extent that the benefits vest immediately, the expense is recognized immediately in Profit or Loss.

The Group entities recognizes all actuarial gains and losses arising from the defined benefit plan in other comprehensive income (OCI) and all other expenses related to defined benefit plans are recognizing as personnel expenses in statement of profit or loss. The retirement benefit obligation is not externally funded.

For the year ended 31 March	Note	Group		Company	
		2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Balance as the beginning of the period		7,082,169	5,048,648	370,104	339,511
Acquisition of subsidiaries	31.4.1.4	1,314,513	690,170	-	-
Benefits paid by the plan		(2,124,659)	(629,196)	(20,925)	(23,366)
Expenditure recognized in the income statement from continuing operations	43.1	1,897,179	1,349,464	85,464	76,758
Actuarial gain/(loss) recognized in OCI		1,306,222	601,317	93,205	(22,799)
Transfers during the year		9,514	(19,483)	-	-
Exchange translation difference		72,640	40,040	-	-
Effect of Amalgamation		-	1,209	-	-
Balance as at the end of the period		9,557,578	7,082,169	527,848	370,104

43.1 Expense recognised in the income statement

For the year ended 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Current service costs from continuing operations	1,035,627	890,972	42,307	32,622
Interest Costs from continuing operations	861,552	458,492	43,157	44,136
Expense recognised in the income statement	1,897,179	1,349,464	85,464	76,758

43.2 Actuarial assumptions

Principal actuarial assumptions at the reporting date;

For the year ended 31 March		Group		Company	
		2026	2025	2026	2025
Discount rate	%	8%-11%	12.00%	10.00%	12.00%
Future salary increases	%	8.00%	10.00%	8.00%	10.00%
Staff Turnover Factor	%	15%-17%	15%-17%	12.00%	15.00%
Retirement Age	Yrs	55-60	55-60	60	60

43.3 Sensitivity of the actuarial assumptions

For the year ended 31 March		2026		2025	
Assumption	Rate change	Financial Position - Liability Rs.'000	Comprehensive Income - Charge for the period Rs.'000	Financial Position - Liability Rs.'000	Comprehensive Income - Charge for the period Rs.'000
Group	+1%	9,278,224	279,354	7,045,579	36,590
Discount rate	-1%	9,875,218	(317,640)	7,125,641	(43,472)
	+1%	9,895,232	(337,654)	7,128,685	(46,516)
Future salary increases	-1%	9,256,643	300,935	7,043,012	39,157
Company					
Discount rate	+1%	503,411	24,437	345,706	24,398
	-1%	554,820	(26,972)	397,772	(27,667)
Future salary increases	+1%	557,447	(29,599)	402,072	(31,967)
	-1%	500,605	27,243	341,680	28,424

The provision for retirement benefits obligations for the year is based on the actuarial valuation carried out by professionally qualified actuaries as at 31st March 2026. The liability is not externally funded.

Discount rate

In the absence of a deep market in long-term bonds in Sri Lanka, a long-term interest rate of 8%-11 % p.a. (2024/25 – 12% p.a.) has been used to discount future liabilities considering the yield available on long term government bonds with a tenure equivalent to the average future working life of the employees.

Long term salary increments

Based on the actual salary increment rates of the Group over the past few years, future economic outlook of the country is factored into the valuation for the current year.

Mortality	IALM 2006-08 Mortality table
Disability	Long-Term Disability 1987 Soc. Sec. Table
Retirement Age	Normal Retirement Age, or Age on Valuation Date, if greater

The Group and company does not have any material issues pertaining to the employees and Industrial relations as of 31st March 2026.

43.4 Maturity analysis of the payments

The following payments are distribution of present value of defined benefit obligation over future years

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Within the next 12 months	1,186,979	734,092	105,716	29,856
Between 1 and 2 years	1,194,648	960,657	111,968	32,296
Between 2 and 5 years	2,342,819	1,719,357	121,564	149,685
Between 5 and 10 years	2,356,079	1,842,517	117,862	156,936
Beyond 10 years	2,477,053	1,825,546	70,738	1,331
Total expected payments	9,557,578	7,082,169	527,848	370,104

44 STATED CAPITAL

Accounting Policy

Ordinary Shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares and share options are recognised as a deduction from equity, net of any tax effects.

As at 31 March		Group		Company	
		2026	2025	2026	2025
Issued and Fully Paid (Rs. '000)	44.1	475,200	475,200	475,200	475,200
No. of Shares ('000)	44.2	475,200	475,200	475,200	475,200

All shares rank equally with regard to the Company's residual assets. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

44.1 Movement in stated Capital

As at 31 March	Group		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Balance at the beginning of the period	475,200	475,200	475,200	475,200
Balance at the end of the period	475,200	475,200	475,200	475,200

44.2 Movement in no. of shares

As at 31 March	Group		Company	
	2026 '000	2025 '000	2026 '000	2025 '000
Balance at the beginning of the period	475,200	475,200	475,200	475,200
Balance at the end of the period	475,200	475,200	475,200	475,200

45 RESERVES AND RETAINED EARNINGS

As at 31 March	Note	Group 2026 Rs. '000	Group 2025 Rs. '000	Company 2026 Rs. '000	Company 2025 Rs. '000
Revaluation reserve	45.1	38,611,248	42,446,228	38,611,248	42,446,228
Cash flow hedge reserve	45.2	(47,558)	(47,558)	(47,558)	(47,558)
Fair value reserve	45.3	(4,737,287)	(6,936,079)	(4,737,287)	(6,936,079)
Translation reserve	45.4	54,318,807	40,252,409	54,318,807	40,252,409
Future taxation reserve	45.5	-	205,000	-	205,000
Statutory reserve fund	45.6	57,944,776	44,325,253	57,944,776	44,325,253
Merger/ Amalgamation Reserve	45.7	-	-	-	-
Retained Earnings	45.8	245,376,758	221,973,332	245,376,758	221,973,332
		391,466,744	342,218,585	391,466,744	342,218,585

Nature and purpose of reserves

45.1 Revaluation reserve

The revaluation reserve relates to the revaluation surplus of Property, Plant and Equipment . Once the respective revalued items have been disposed, the relevant portion of revaluation surplus if any is transferred to retained earnings.

45.2 Cash flow hedge reserve

This represents the effective portion of the net change for the year in the fair value of hedging instruments used in cash flow hedges, recognised in other comprehensive income, pending subsequent recognition in profit or loss when the hedged transaction affects profit or loss.

45.3 Fair value reserve

The fair value reserve comprises the cumulative net change in the fair value of financial assets at FVOCI includes changes in fair value of financial instruments designated as financial assets at FVOCI a until the assets are derecognised or impaired.

45.4 Translation reserve

The translation reserve comprises all foreign currency differences arising from the translation of the financial statements of foreign operations.

45.5 Future taxation reserve

This reserve was created in order to accommodate unexpected future tax liabilities that might arise at a future date.

45.6 Statutory reserve fund

The Statutory reserves of LOLC Finance PLC were created in accordance with the Finance Companies (Capital Funds) Direction No. 01 of 2003 issued under the Finance Business Act No. 42 of 2011 (which supersedes the Finance Companies Act No. 78 of 1988) which requires the Company to transfer 20% of its annual profit to this reserve. Foreign finance entities of the group also maintain a reserve requirement in compliance to their local regulatory requirements.

45.7 Merger/ Amalgamation Reserve

This reserve is a capital reserve arising from the excess of net assets over purchase consideration in a merger.

45.8 Retained earnings

The carrying amount of the retained earnings represents the undistributed earnings held by the Group and the Company. This could be used to absorb future losses and dividend declaration.

46 COMMITMENTS AND CONTINGENCIES

Accounting Policy

Provisions, Contingent Assets and Contingent Liabilities

Provisions are made for all obligations (legal or constructive) existing as at the reporting date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow. The amount recognized is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date.

Contingent assets are disclosed, where inflow of economic benefit is probable.

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent Liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent Liabilities are not recognized in the statement of financial position but are disclosed unless they are remote.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefits is not probable or cannot be readily measured as defined in the Sri Lanka Accounting Standard – LKAS 37 (Provisions, Contingent Liabilities and Contingent Assets)In the normal course of business, the Group makes various commitments and incurs certain contingent liabilities with legal recourse to its customers. No material losses are anticipated as a result of these transactions.

To meet the financial needs of customers and subsidiaries, the Company/ Group enters into various irrevocable commitments and contingent liabilities. These consist of financial guarantees, letter of credit and other undrawn commitments to lend. Letter of credit, guarantees and acceptance commit the group to make payments on behalf of customers or subsidiaries in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless its occurrence is remote.

Operating lease commitments of the Group (as a lessor and as a lessee) form part of commitments and pending legal claims against the Group form part of contingencies.

Even though these obligations may not be recognised on the Statement of Financial Position, they do contain credit risk and are therefore part of the overall risk of the group as disclosed in Note 56.

In the normal course of business, the group makes various irrevocable commitments and incurs certain contingent liabilities with legal recourse to its customers. Even though these obligations may not be recognised on the date of the Statement of Financial Position, they do contain credit risk and are therefore form part of the overall risk profile of the group.

46.1 Contingent liabilities

	Group		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Guarantees issued to banks and other institutions	887,773	961,914	85,960	303,671
Corporate guarantees given to subsidiaries to obtain loans	32,359,587	23,790,106	32,359,587	23,790,106
Other contingencies	17,351,055	10,629,925	-	-
	50,598,414	35,381,945	32,445,547	24,093,777

46.2 Commitments

As at 31 March	Note	Group		Company	
		2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Forward contracts	46.2.1	15,459,321	8,888,656	-	-
Capital commitments	46.2.2	60,106,291	75,934,614	-	-
Letter of credits opened		276,503	874,116	-	-
Undrawn credit commitments		43,398,615	31,576,411	-	-
		119,240,730	117,273,796	-	-

46.2.1 Forward Contracts

The Group has commitments for following Forward Exchange contracts and Interest Rate Swap Agreements.

As at 31 March	Group		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Forward exchange contracts:				
Forward exchange purchases	3,485,774	865,838	-	-
Interest Rate Swap agreements/Currency Swaps:				
Currency swaps	11,973,547	8,022,818	-	-
	15,459,321	8,888,656	-	-

46.2.2 Capital commitments

The Group has commitments for acquisition of property, plant & equipment and intangible assets incidental to the ordinary course of business which have been approved by the Board of Directors, the details of which are as follows:

Capital commitments As at 31 March	Group		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Commitments in relation to property, plant & equipment				
Approved and contracted for	23,418,819	41,169,199	-	-
Approved but not contracted for	36,687,472	34,765,414	-	-
	60,106,291	75,934,614	-	-

a) Bodufaru Beach Resort Private Limited
The Board of Directors of Bodufaru Beach Resort Private Limited has approved US$ 102 Mn budget for the construction of a tourist resort in Republic of Maldives.

b) Riverina Resort (Private) Limited
Capital Commitments of Riverina Resort (Private) Limited as at 31st March amounted to Rs. 4,538 Mn

c) Colombo Marina Developments (Pvt) Ltd
The Board of Directors of Colombo Marina Developments (Pvt) Ltd has approved US$ 47.4 Mn budget for the construction of a luxury retail mall and a world-class events hall at the Port City Colombo.

d) Marina Hotel Holdings (Pvt) Limited
Capital Commitments of Marina Hotel Holdings (Pvt) Limited as at 31st March amounted to USD 76.5 Mn or the equivalent amount in LKR

e) Browns Metal and Sands (Pvt) ltd
The Board of Directors of the company has approved Rs.300 Mn budget for the Granite dimension stone project commenced from November 2025.

46.3 Litigation against the Group

Litigation is a common occurrence in the finance industry due to the nature of the business undertaken. The Group has formal controls and policies for managing legal claims. Once professional advice has been obtained and the amount of loss reasonably estimated, the Group makes adjustments to account for any adverse effects which the claims may have on its financial standing. At the Reporting date the Group had several unresolved legal claims. The significant unresolved legal claims against the Group for which legal advisor of the Group is of the opinion that there is possible loss, however there is a probability that the action will not succeed. Accordingly, no provision for any claims has been made in these Financial Statements.

46.4 Contractual maturities of commitments and contingencies

Company

	Carrying amount	less than one month	1-3 months	4-12 months	13-60 months	> 60 months
Contingent Liabilities						
Guarantees Issued to Banks and Other Institutions	-	-	-	-	-	-
Corporate guarantees given to subsidiary companies to obtain loans	32,359,587	3,000,000	1,500,000	13,365,000	14,494,587	-
Total Contingent Liabilities	32,359,587	3,000,000	1,500,000	13,365,000	14,494,587	-
Commitments						
Other Contingencies	-	-	-	-	-	-
Total Commitments	-	-	-	-	-	-
Total Commitments and Contingencies	32,359,587	3,000,000	1,500,000	13,365,000	14,494,587	-

47 EVENTS AFTER THE REPORTING PERIOD

Accounting Policy

All material subsequent events have been considered and where appropriate adjustments or disclosures have been made in the respective Notes to the Financial Statements.

47.1 Subsequent events

No circumstances have arisen after the reporting date which would require adjustment to or disclosure in the financial statements.

48 ASSETS PLEDGED

The Group pledges assets that are in its statement of financial position in day to day transaction which are conducted under the usual terms and conditions applying such agreements. The Group has pledged following assets including right to use assets of leasehold properties. The details of the pledged securities are given below.

		Carrying amount of the assets pledged			
		Group		Company	
		2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Nature of assets	Nature of liability				
Foreign currency term deposits	Interest bearing loans and borrowings	44,048,497	38,367,519	39,227,457	34,002,520
Government treasury bonds	Interest bearing loans and borrowings	1,843,886	1,099,726	-	-
Lease, hire purchase and loans receivable	Term loan/bank drafts/short -term loan/field and processing developments	46,809,788	14,321,236	-	-
Marketable shares and loans	Bank overdrafts/term loans/ investments in field development	34,839,764	31,775,347	33,431,927	31,384,727
Leasehold right	Finance lease	2,671,380	6,263,630	-	-
Leasehold property and vehicles	Term loan	20,266,607	7,828,946	-	-
Freehold land & buildings	Interest bearing loans and borrowings	1,450,000	1,460,797	-	-
Promissory Notes, Securitised debt certificates, Stock and book debts	Interest bearing loans and borrowings	694,235	7,275,410	-	-
		152,624,157	108,392,611	72,659,384	65,387,247

49 FOREIGN CURRENCY TRANSLATION

The principal exchange rates used for translation purposes were;

	Currency	2026		2025	
		Closing Rate	Average Rate	Closing Rate	Average Rate
United States Dollar	USD	315.19	304.36	296.35	297.91
Pakistani Rupee	PKR	1.13	1.08	1.06	1.07
European Euro	EUR	361.74	352.86	319.86	319.97
Cambodian Riel	KHR	0.08	0.08	0.07	0.07
Myanmar Kyat	MMK	0.15	0.14	0.14	0.14
Indonesian Rupiah	IDR	0.02	0.02	0.02	0.02
Philippines PESO	PHP	5.20	5.27	5.16	5.16
Zambian Kwacha	ZMW	16.53	13.36	10.32	11.12
Nigerian Naira	NGN	0.23	0.21	0.19	0.20
Kenyan Shilling	KES	2.43	2.36	2.29	2.30
Malawian Kwacha	MWK	0.18	0.18	0.17	0.17
Egyptian Pound	EGP	5.77	6.24	5.86	6.08
Mauritian Rupee	MUR	6.70	6.65	6.47	6.42
Tajikistan Somoni	TJS	32.84	31.58	27.18	27.60
Tanzanian Shilling	TZS	0.12	0.12	0.11	0.11
Kyrgyz Som	KGS	3.60	3.48	3.43	3.44
Fijian Dollar	FJD	139.09	133.78	127.46	130.17
Rwanda Franc	RWF	0.22	0.21	0.21	0.22
Sterling Pound	GBP	416.37	407.99	383.78	380.26
Kazakhstan Tenge	KZT	0.65	0.59	0.59	0.62
Indian Rupee	INR	3.32	3.45	3.46	3.52
United Arab Emirates Dirham	AED	85.81	82.87	80.68	81.11
Australian Dollar	AUD	216.35	201.48	186.52	194.46
Chinese Yuan	CNY	45.65	42.88	40.80	41.27

50 RELATED PARTY DISCLOSURES

Accounting Policy

Terms and conditions of transactions with related parties

The Group and Company carried out transactions in the ordinary course of business with the parties who are defined as related entities in Sri Lanka Accounting Standard LKAS 24. The list of Directors at each of the subsidiary, joint venture and associate companies have been disclosed in the Group directory under the Supplementary Information section of the Annual Report.

50.1 Transactions with key management personnel

Transactions with related parties are carried out in the ordinary course of the business. These transactions carried at contractual agreed terms. Outstanding current account balances at year end are unsecured, interest free and settlement occurs in cash.

Non-recurrent related party transactions

There were no any non-recurrent related party transactions which aggregate value exceeds 10% of the equity or 5% of the total assets whichever is lower of the Company as at 31 March 2025 audited financial statements, which required additional disclosures in the 2025/26 Financial Statements under Colombo Stock Exchange listing Rule 9.14.8 (1) and Code of Best Practices on Related Party Transactions under the Security Exchange Commission Directive issued under Section 13 (c)of the Security Exchange Commission Act.

Recurrent related party transactions

All the transactions which are disclosed under note 50.2 with Related Parties which are recurrent, of revenue or trading nature and which is necessary for day-to-day operations of the company and subsidiaries, in the opinion of the Related Party Transactions Review Committee, terms for all these transactions are not more favourable to the Related Party than those generally available to the public.

There were no any recurrent related party transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31 March 2025 audited financial statements, which required additional disclosures in the 2025/26 Annual Report under Colombo Stock Exchange listing Rule 9.14.8 (2) and Code of Best Practices on Related Party Transactions under the Security Exchange Commission Directive issued under Section 13 (c) of the Security Exchange Commission Act.

Transactions with Key Management Personnel (KMP)

Accounting Policy

According to Sri Lanka Accounting Standard LKAS 24 – 'Related Party Disclosures', Key Management Personnel (KMP) are those persons having authority and responsibility for planning, directing and controlling the activities of the entity directly or indirectly, including any Director (whether executive or otherwise) of that entity. Accordingly, the Board of Directors, Director/Chief Executive Officer, Key Employees of the Company holding directorships in subsidiary companies have been classified as Key Management Personnel (KMP) of the Group.

Close family members are defined as spouse or dependent. Dependent is defined as anyone who depends on the respective Director for more than 50% of his/her financial needs. Close family members of the KMP are those family members who may be expected to influence or be influenced by that KMP in their dealings with the entity. They may include KMP's domestic partner, children of the KMP's domestic partner and dependents of the KMP.

As the Company is the Ultimate Parent of its subsidiaries mentioned in Note 31.2 and the Board of Directors of the Company has the authority and responsibility for planning, directing and controlling the activities of the group, the Directors of the Company and their immediate family members have been identified as the KMP of the Group.

Therefore, employees of the Company who are Directors of the subsidiary have also been classified as KMP of the subsidiary only.

Key management personnel compensation

50.1.1 Short term Employment benefits

For the year ended 31 March	Note	Group		Company	
		2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Includes:					
Director's emoluments		1,402,070	1,730,443	58,673	39,960
Other KMP emoluments and other short term benefits	50.1.1.1	862,790	554,945	168,382	231,668
		2,264,860	2,285,388	227,055	271,628

50.1.1.1 Other KMP emoluments and other short term benefits are included under Emoluments in the Statement of Profit or Loss.

50.1.2 Long term employment benefits ;

For the year ended 31 March	Group		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Post-employment benefits	2,066,859	1,822,111	-	-
Other long-term employment benefits	10,485	1,694	-	-
	2,077,343	1,823,804	-	-

50.1.3 Other transactions with key management personnel

For the year ended 31 March	Group		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Advances granted during the period	266,666	138,838	-	-
Advances settled during the period	139,853	80,703	-	-
Relevant interest income	44,671	140,410	-	-
Balance outstanding	345,854	340,787	-	-
Deposits taken during the period	858,740	850,462	-	-
Deposits balance	4,270,440	4,173,400	-	-
Interest paid / charged	299,132	317,923	-	-
Interest payable	307,646	218,188	-	-

50.1.4 Transactions, Arrangements and Agreements involving Entities which are Controlled, and/or Significantly Influenced by the KMP or their CFM

For the year ended 31 March	Group		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Advances granted during the period	160,227	6,223	-	-
Advances settled during the period	134,622	80,703	-	-
Property Purchased	-	395,752	-	-
Relevant interest income	16,372	19,423	-	-
Balance outstanding	167,969	182,592	-	-
Deposits taken during the period	900,740	862,562	-	-
Deposits balance	2,016,657	1,480,312	-	-
Interest paid / charged	81,912	55,904	-	-
Interest payable	35,097	435,527	-	-

50.2 Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard 24 "Related Party Disclosures".

The Group had the following financial dealings during the year 2025/26 with companies which are considered, related parties and unless otherwise stated, transactions were carried out in the ordinary course of business at contractual agreed terms with companies mentioned below.

The parties given below are considered related parties mainly due to significant influence arising as a result of common directorships and through shareholdings. These companies, names of the Directors and the nature of transactions entered into are listed below.

50.2.1 Transactions with subsidiaries, associates and joint-venture

For the year ended 31 March	Company	
	2026 Rs. '000	2025 Rs. '000
Subsidiaries		
Fund transfers in	502,008,270	145,903,204
Fund transfers out	465,946,568	145,895,204
Reimbursement of expenses	16,312,554	22,716,506
Income from shared services	1,122,222	831,862
Asset hire income	7,958	10,788
Interest income	39,718,372	43,109,049
Guarantee fee income	279,397	171,852
Rental income	212,080	138,496
Show back income	695,832	758,784
Fund mobilisation	320,033	290,161
Rent expenses	70,976	62,843
Associates		
Fund transfers in	19,035	-
Fund transfers out	4,360	-
Dividend income	681,994	596,745
Guarantee fee income	160,315	121,250
Interest income	1,220,718	439,423
Loan granted	6,456,100	4,255,000
Repayment of loans granted	1,308,455	3,994,515
Expenses shared	21,099	10,127
Income from shared services	12,437	8,325

Balance outstanding on facilities granted to related parties as at 31 March

		Company	
		2026 Rs.'000	2025 Rs.'000
Subsidiaries	Finance leases and loans granted	71,350,813	83,241,414
Associates	Finance leases and loans granted	8,771,621	2,442,028
		80,122,434	85,683,442

For the year ended 31 March	Group	
	2026 Rs. '000	2025 Rs. '000
Associates		
Trading transactions		
- Sales	1,550,586	32,507
- Purchases	7,733,718	6,388,139
Interest charged/received	1,236,407	440,331
Fund transfers	19,031	-
Loans Granted	7,778,812	4,588,599
Repayment of loans and finance leases obtained	1,308,455	3,995
Interest paid	21,099	-
Expenses shared	6,332	44,514
Management fee	-	20,494
Balances receivables on facilities granted	-	17,730
Guarantee fee income	160,315	121,250

50.2.2 Transactions and balances with other related parties

A number of key management personnel, or their related parties, hold positions in other entities that result in them having control or significant influence over the financial or operating policies of these entities.

A number of these entities transacted with the Group during the year. The terms and conditions of the transactions with key management personnel and their related parties were no more favorable than those available, or which might reasonably be expected to be available, on similar transactions to non-key management personnel related entities on contractual agreed terms basis.

The transactions related to key management personnel and entities over which they have control were as follows;

For the year ended 31 March	Group		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Loans granted	256,452	267,114	-	-
Rental collections	-	10,135	-	-
Interest income/expense	81,912	58,638	-	-
Deposits held with the company	2,539,708	1,659,510	-	-
Settlement of loans granted	167,516	52,270	-	-
Interest received on loans given	44,671	19,423	-	-
Balances payable on				
- Loans obtained	183,586	329	-	-
- Interest payable	-	60	-	-
Balances receivable on loans granted	167,969	9,818	-	-

50.3 Balances with Related Parties

50.3.1 Amounts due from related parties

As at 31 March	Note	Group		Company	
		2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Subsidiaries					
Agstar PLC		-	-	6,065	-
Ajax Engineers (Private) Limited		-	-	385,624	679,510
Bodufaru Beach Resorts (Pvt) Ltd		-	-	1,402	1,402
B G Air Services (Private) Limited		-	-	54,340	68,793
BI Commodities & Logistics (Private) Limited		-	-	381,424	9,377
B Commodities ME(FZE)		-	-	405,062	374,629
Brown and Company PLC		-	-	2,838,970	3,203,330
Browns Ari Resort (Pvt) Ltd		-	-	14,512	14,445
Browns Raa Resort (Pvt) Ltd		-	-	425	425
Browns Engineering & Construction (Private) Limited		-	-	176,445	639,044
Browns Leisure (Pvt) Ltd		-	-	928,509	742,292
Browns Hotel and Resorts Limited		-	-	38,736,056	33,052,607
Browns Holdings Limited		-	-	1,397	948
Browns Investments PLC		-	-	110,976,277	116,968,013
Browns Metal & Sands (Pvt) Ltd		-	-	57,238	40,480
Browns Tours (Private) Limited		-	-	524,920	245,630
Browns Plantations Holdings (Pvt) Ltd		-	-	5,461	-
Browns Power Holding Limited		-	-	130,231	72,530
Ceylon Graphene Technologies (Private) Limited		-	-	329,156	233,931
Commercial Factors (Private) Limited		-	-	2,479	1,809
Dikwella Resort Limited		-	-	3,593,954	3,354,664
Dolphin Hotels PLC		-	-	155	1,566
Eagle Recoveries (Pvt) Ltd		-	-	3,016	2,566
East Coast Land Holdings (Private) Limited		-	-	9,284	7,736
Eden Hotels Lanka PLC		-	-	6,889	839,093
Excel Global Holding Limited		-	-	89	81
Excel Restaurant (Private) Limited		-	-	547,738	464,456
Frontier Capital Lanka (Pvt) Ltd		-	-	2,644	2,677
Green Orchard Property Investments Limited		-	-	3,572	3,301
Green Paradise Resorts (Private) Limited		-	-	373,970	315,166
Gurind Accor (Pvt) Ltd		-	-	297,665	209,194
Hapugastenne Plantations PLC		-	-	11,522	-
Hotel Sigiriya PLC		-	-	3,168	4,172
ICONIC Trust (Private) Limited		-	-	172,976	120,506
Leapstitch Technologies Pvt Ltd		-	-	711,315	711,259
Leapstitch Apperal Pvt Ltd		-	-	657,003	700,729
LOLC Asia (Private) Limited		-	-	2,624,110	2,935
LOLC Advanced Technologies (Private) Limited		-	-	1,290,343	4,648,209
LOLC Capital One (Private) Limited		-	-	3,858	3,806
LOLC Ceylon Property Holdings (Private) Limited		-	-	-	3,571
LOLC Ceylon Holdings Ltd		-	-	216,473	987,659

As at 31 March	Note	Group		Company	
		2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Subsidiaries					
LOLC Property Holdings SL (Private) Limited		-	-	5,998	8,058
LOLC Corporate Services (Private) Limited		-	-	5,449	5,623
LOLC Factors Limited		-	-	42,224,438	40,554,283
LOLC Finance PLC		-	-	429,267	579,864
LOLC Financial Sector Holdings Private Limited		-	-	140,581	132,109
LOLC Fincorp (Pvt) Ltd		-	-	1,310	787
LOLC General Insurance PLC		-	-	106,594	102,675
LOLC Life Assurance Limited		-	-	76,394	57,711
LOLC Myanmar Micro-Finance Company Limited		-	-	18,769	18,769
LOLC Property Six (Pvt) Ltd		-	-	1,191	926
LOLC Property Nine (Pvt) Ltd		-	-	140	132
LOLC (Pvt) Ltd		-	-	60,530	58,189
LOLC Securities Limited		-	-	218,345	59,731
LOLC Serendib (Private) Limited		-	-	3,034	2,910
LOLC Technologies Limited		-	-	470,006	104,213
LOLC GEO Technologies Pvt Ltd		-	-	73,548	44,871
LOLC Asset Holdings Limited		-	-	40,780	35,625
LOLC Investment Holdings Six (Pvt.) Ltd.		-	-	403	307
LOLC Investment Holdings Nine (Pvt) Ltd		-	-	267	164
LOLC Investments Limited		-	-	19,251	675
Maturata Plantations Limited		-	-	44,033	-
Millennium Development Limited		-	-	999,462	840,539
NPH Investments (Pvt) Ltd		-	-	57,713	42,350
PALM Garden Hotels PLC		-	-	2,370,530	2,520,928
Pussellawa Plantation (Pvt) Ltd		-	-	2,069	-
Riverina Resort (Private) Limited		-	-	4,343,976	3,658,819
Sierra Cables PLC		-	-	9,138	-
Samudra Beach Resorts (Private) Limited		-	-	222,744	421,562
Serendib Leisure Mgt Ltd		-	-	35,017	129,955
Speed Italia Limited		-	-	43,615	43,615
Sun & Fun Resorts (Private) Limited		-	-	629,779	541,207
Sundaya Lanka (Private) Limited		-	-	-	802
Serendib Hotels PLC		-	-	1,241	70,884
Sun Yield Bio Ingredients Pvt Ltd		-	-	3,448,769	334
Tea Smallholder Factories PLC		-	-	1,299	-
Thurushakthi (Private) Limited		-	-	590	435
Tropical Villas (Private) Limited		-	-	2,390	2,184
Udapussellawa Plantations PLC		-	-	5,414	-
United Dendro Energy Ambalantota (Private) Limited		-	-	25,490	24,929
United Dendro Energy Walawewatte (Private) Limited				646	483

As at 31 March	Note	Group 2026 Rs. '000	Group 2025 Rs. '000	Company 2026 Rs. '000	Company 2025 Rs. '000
Subsidiaries					
Associates					
Galoya Plantations Limited				374,289	173,340
Taporbane Palntations (Private) Limited				7,013	6,808
Other related Parties					
Pussellawa Plantations Limited				1,267	1,267
Ceylon Tea Estate (Private) Limited				105	105
Agalawatte Plantations PLC				101	101
(-) Allowance for impairement	50.3.1.1			(1,413,193)	(1,456,920)
				221,595,527	217,523,892

50.3.1.1 Allowance of impairment

As at 31 March	Group 2026 Rs. '000	Group 2025 Rs. '000	Company 2026 Rs. '000	Company 2025 Rs. '000
Speed Italia Limited	-	-	44,931	44,931
Leapstitch Technologies Pvt Ltd	-	-	711,259	711,259
Leapstitch Apperal Pvt Ltd	-	-	657,004	700,728
	-	-	1,413,194	1,456,919

50.3.1.2 Movement in allowance of impairment

For the year ended 31 March	Group 2026 Rs. '000	Group 2025 Rs. '000	Company 2026 Rs. '000	Company 2025 Rs. '000
Opening balance	-	-	1,456,920	44,931
Revesal for the period	-	-	(43,726)	-
Provided for the period	-	-	-	1,411,989
Closing balance	-	-	1,413,193	1,456,920

50.3.2 Amounts due to related parties

As at 31 March	Group		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Subsidiaries				
Browns Properties (Private) Limited	-	-	8,408	7,798
Diriya Investments (Private) Limited	-	-	5,344	5,644
LOLC Eco Solutions Limited	-	-	391	577
LOMO Services Limited	-	-	233,615	208,305
LOLC Ventures FZE	-	-	24,154	24,154
LOLC Ceylon Property Holding Private Limited	-	-	288,602	-
Maturata Plantations Limited	-	-	-	15,644
	-	-	560,514	262,121

51 NON-CURRENT ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS

51.1 Year 2026

Browns Ari Resorts (Pvt) Ltd

On 19 December 2025, the Group disposed of the assets and business of the Barceló Whale Lagoon Maldives Resort, held through its subsidiary Browns Ari Resorts (Pvt) Ltd. The loss after tax of this operation has been presented separately as a discontinued operation in the Consolidated Statement of Profit or Loss, and comparative figures have been reclassified accordingly, in accordance with SLFRS 5 – Non-current Assets Held for Sale and Discontinued Operations.

	Rs. '000
Gross income	2,940,953
Interest income	-
Interest expense	-
Net interest income/(expenses)	-
Revenue	2,305,151
Cost of sales	(918,201)
Gross profit	1,386,950
Other operating income	624,676
Other income/(expenses)	11,126
Net Operating Income	2,022,752
Operating expenses	
Direct expenses excluding interest expense	(76,429)
Personnel expenses	(486,590)
Impairment charge on financial assets	-
Depreciation and amortisation	(513,187)
Other operating expenses	(1,156,702)
Results from operating activities	(210,156)
Finance income	11,857
Finance expense	(1,138,910)
Net finance cost	(1,127,053)
Profit/(loss) before tax expense from discontinued operations	(1,337,209)
Income tax expense	536,834
Profit/(loss) for the year from discontinued operations	(800,375)

	Rs. '000
Statement of cashflow	
Net cash flow from operating activities	(12,930,933)
Net cash flow from investing activities	15,671,103
Net cash generated from financing activities	(3,087,373)

51.2 Reclassification of Statement of Profit or loss FY 2024/25

	As disclosed Previous year 31.03.2025 Rs. '000	Adjustment arising from Reclassification Rs. '000	Current Presentation 31.03.2025 Reclassified Rs. '000
Gross income	339,935,820	(3,723,768)	336,212,052
Interest income	166,999,302	-	166,999,302
Interest expense	(63,316,187)	-	(63,316,187)
Net interest income/(expenses)	103,683,115	-	103,683,115
Revenue	112,200,602	(2,969,676)	109,230,926
Cost of sales	(66,845,058)	1,090,044	(65,755,014)
Gross profit	45,355,544	(1,879,632)	43,475,912
Other operating income	34,404,734	(743,189)	33,661,545
Other income/(expenses)	26,331,182	(10,903)	26,320,279
Net Operating Income	209,774,575	(2,633,724)	207,140,851
Operating expenses			
Direct expenses excluding interest expense	(23,134,502)	97,577	(23,036,925)
Personnel expenses	(55,057,349)	710,606	(54,346,743)
Impairment charge on financial assets	(18,810,499)	18,519	(18,791,980)
Depreciation and amortisation	(13,497,210)	737,998	(12,759,212)
Other operating expenses	(53,574,729)	1,326,701	(52,248,028)
Results from operating activities	45,700,286	257,677	45,957,963
Finance income	7,283,951	(1,190)	7,282,761
Finance expense	(59,072,124)	1,933,777	(57,138,347)
Net finance cost	(51,788,173)	1,932,587	(49,855,586)
Share of profits of equity accounted investees, net of tax	4,227,602	-	4,227,602
Results on Investment in Subsidiaries and Associates	54,486,104	-	54,486,104
Results on divestment in Subsidiaries and Associates	(473,464)	-	(473,464)
Profit/(loss) before tax expense from continuing operations	52,152,355	2,190,264	54,342,619
Income tax expense	(1,767,661)	(77,981)	(1,845,642)
Profit/(loss) for the year from continuing operations	50,384,694	2,112,283	52,496,977

	As disclosed Previous year 31.03.2025 Rs. '000	Adjustment arising from Reclassification Rs. '000	Current Presentation 31.03.2025 Reclassified Rs. '000
Discontinued operations			
Profit/(loss) after tax for the year from discontinued operations and assets held for sale	(9,382,322)	(2,112,283)	(11,494,605)
Profit/(loss) for the year	41,002,372	-	41,002,372
Profit/(loss) attributable to; (Continuing operations)			
Equity holders of the Company	54,072,230	1,100,077	55,172,307
Non-controlling interests	(3,687,536)	1,012,206	(2,675,330)
	50,384,694	2,112,283	52,496,977
Profit/(loss) attributable to; (Discontinued operations)			
Equity holders of the Company	(4,360,680)	(1,100,077)	(5,460,757)
Non-controlling interests	(5,021,642)	(1,012,206)	(6,033,848)
	(9,382,322)	(2,112,283)	(11,494,605)
Profit/(loss) attributable to;			
Equity holders of the Company	49,711,550	-	49,711,550
Non-controlling interests	(8,709,178)	-	(8,709,178)
	41,002,372	-	41,002,372
Earnings per share (Continuing operations)	113.79	2.31	116.10

51.3 Year 2025

Hatton National Bank PLC (HNB)

The Group's investment in Hatton National Bank PLC (HNB), previously classified as an equity-accounted investee in accordance with LKAS 28 – Investments in Associates and Joint Ventures, has been reclassified as a non-current asset held for sale in line with the requirements of SLFRS 5 – Non-Current Assets Held for Sale and Discontinued Operations.

Following a strategic review, the Group's Investment Committee resolved to divest certain non-core long-term listed equity investments. As of the balance sheet date, the Group had initiated an active plan to sell the investment, including engagement with potential buyers. Subsequently, on 27th May 2025, the Group disposed of 45,529,624 listed ordinary voting shares of HNB, representing 9.99% of HNB's issued voting share capital.

Accordingly, the Group has assessed the investment under SLFRS 5 and determined that the criteria for classification as a non-current asset held for sale have been met. As required, the investment was remeasured at the lower of its carrying amount and fair value less costs to sell, resulting in a fair value loss of LKR 17.5 billion, which has been recognized in the income statement under "Fair value Gain/(Loss) on Non-Current Assets Held for Sale."

In accordance with SLFRS 5, both the current year and prior comparative period results relating to the investment in HNB (including the share of profit from the equity-accounted investee, net of tax) have been separately presented as part of discontinued operations in the Income Statement, Statement of Financial Position and Statement of Cash Flows of both the Separate and Consolidated Financial Statements of LOLC Holdings PLC.

As at 31 March	Group	Company
	Rs. '000	Rs. '000
Carrying value as at 1st April 2023	32,924,835	17,718,048
Share of profits of equity accounted investees [Net of Tax]	3,946,536	2,123,774
Share of other comprehensive income of equity accounted investees [Net of Tax]	1,077,858	580,034
Dividend received	(443,895)	(238,876)
Carrying value as at 31st March 2024	37,505,334	20,182,981
Share of profits of equity accounted investees [Net of Tax]	8,117,155	4,368,136
Share of other comprehensive income of equity accounted investees [Net of Tax]	1,343,281	722,868
Dividend received	(1,480,445)	(796,681)
Carrying value of equity-accounted investees immediately before classifying to assets held for sale	45,485,325	24,477,304
Fair value Gain/(Loss) recognised to income statement	(17,499,477)	(9,417,104)
Fair value Gain/(Loss) recognised to Other comprehensive income	(535,098)	(287,956)
Carrying value as at 31st March 2025	27,450,750	14,772,245
Profit/(loss) after tax for the period from discontinued operations and assets held for sale		
Share of profits of equity accounted investees [Net of Tax]	8,117,155	5,056,424
Fair value Gain/(Loss) recognised to income statement	(17,499,477)	(9,417,104)
	(9,382,322)	(4,360,680)

52 ASSETS AND LIABILITIES MEASURED AT FAIR VALUE AND FAIR VALUE HIERARCHY

52.1 Fair value hierarchy

The Group's accounting policy on fair value measurements is discussed in accounting policy 3.3

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements.

1 Level 1: Quoted market price (unadjusted) in an active market for an identical instrument.
When available, the Group measures the fair value of an instrument using active quoted prices or dealer price quotations (assets and long positions are measured at a bid price; liabilities and short positions are measured at an ask price), without any deduction for transaction costs. A market is regarded as active if transactions for asset or liability take place with suffcient frequency and volume to provide pricing information on an ongoing basis.

2 Level 2: Valuation techniques based on observable inputs, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using:
a) quoted market prices in active markets for similar instruments;
b) quoted prices for identical or similar instruments in markets that are considered less than active; or
c) other valuation techniques where all significant inputs are directly or indirectly observable from market data.

3 Level 3: Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Valuation techniques include net present value and discounted cash flow models comparison with similar instruments for which observable market prices exist, option pricing models and other valuation models.

Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, risk premiums in estimating discount rates, bond and equity prices, foreign exchange rates, expected price volatilities and corrections.

Observable prices or model inputs such as market interest rates are usually available in the market for listed equity securities and government securities such as treasury bills and bonds. Availability of observable prices and model inputs reduces the need for management judgement and estimation while reducing uncertainty associated in determining the fair values.

Models are adjusted to reflect the spread for bid and ask prices to reelect costs to close out positions, credit and debit valuation adjustments, liquidity spread and limitations in the models. Also, profit or loss calculated when such financial instruments are first recorded ('Day 1' profit or loss) is deferred and recognised only when the inputs become observable or on derecognition of the instrument.

The following table provides an analysis of assets and liabilities measured at fair value as at the Reporting date, by the level in the fair value hierarchy into which the fair value measurement is categorised. These amounts were based on the values recognised in the Statement of Financial Position.

There were no material transfers between levels of fair value hierarchy during 2025/26 and 2024/25.

The independent valuers provide the fair value of land and buildings once in three years according to the Group's policy. Therefore the fair value exist in the recent valuation which was carried out by professionally qualified independent valuers in compliance with Sri Lanka Accounting Standards - SLFRS 13 (Fair Value Measurement) less subsequent accumulated depreciation and impairment losses is considered as the fair value exist as at the reporting date (31st March 2026).

In determining the fair value, highest and best use of the property has been considered including the current condition of the properties, future usability and associated redevelopment requirements have been considered. Also, the valuers have made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are rounded within the range of values.

	Note	As at 31st March 2026			
		Level 1 Quoted prices in active markets Rs.'000	Level 2 Significant observable inputs Rs.'000	Level 3 Significant un-observable inputs Rs.'000	Total Rs.'000
Group					
Financial Assets					
Trading assets - fair value through profit or loss					
Corporate securities	19.1	5,794,863	-	-	5,794,863
Government securities	19.2	-	12,348,191	-	12,348,191
Equity securities	19.3	1,515,044	4,593,752		6,108,796
Derivative assets held for risk management	19.4	-	38,802	-	38,802
		7,309,907	16,980,745	-	24,290,652
Investment securities					
Corporate securities	20.1.1	8,312,344	-	-	8,312,344
Government securities	20.1.2	-	6,796,652	-	6,796,652
Designated FVOCI investment securities	20.1.3	-	411,647	-	411,647
Equity securities with readily determinable fair values	20.1.4	458,205	264,227	-	722,432
		8,770,549	7,472,526	-	16,243,075
Total financial assets at fair value		16,080,456	24,453,271	-	40,533,727
Non-Financial Assets					
Investment Properties	28	-		191,672,867	191,672,867
Consumable biological assets	29	-	-	26,508,659	26,508,659
Property, plant & equipment					
- Land	35	-	-	56,925,286	56,925,286
- Buildings (Leasehold & Freehold)	35	-	-	117,237,991	117,237,991
- Reclaimed Lands	35	-	-	23,371,288	23,371,288
- Motor vehicls	35			15,719,259	15,719,259
Right of Use Lands	27	-	-	168,932,328	168,932,328
Total non-financial assets at fair value		-	-	600,367,678	600,367,678
Total assets at fair value		20,674,208	19,859,519	600,367,678	640,901,405
Financial Liabilities					
Trading liabilities - fair value through profit or loss					
Derivative financial liabilities	36	-	17,588	-	17,588
		-	17,588	-	17,588
Total liabilities at fair value		-	17,588	-	17,588

	Note	As at 31st March 2025			
		Level 1 Quoted prices in active markets	Level 2 Significant observable inputs	Level 3 Significant un-observable inputs	Total
		Rs.'000	Rs.'000	Rs.'000	Rs.'000
Group					
Financial Assets					
Trading assets - fair value through profit or loss					
Corporate securities	19.1	19,002,361	-	-	19,002,361
Government securities	19.2	-	14,292,784	-	14,292,784
Equity securities	19.3	3,050,455	9,950,656	-	13,001,111
Derivative assets held for risk management	19.4	-	691,399	-	691,399
		22,052,816	24,934,839	-	46,987,655
Investment securities					
Financial assets measured at fair value through other comprehensive income					-
Corporate securities	20.1.1	69,863	-	-	69,863
Government securities	20.1.2	-	7,673,212	-	7,673,212
Designated FVOCI investment securities	20.1.3	-	335,373	-	335,373
Equity securities with readily determinable fair values	20.1.4	431,024	247,229	-	678,253
		500,887	8,255,814	-	8,756,701
Total financial assets at fair value		22,553,703	33,190,653	-	55,744,356
Non-Financial Assets					
Investment Properties	28	-	-	185,708,701	185,708,701
Consumable biological assets	29	-	-	16,128,615	16,128,615
Property, plant & equipment					
- Land	35	-	-	55,540,526	55,540,526
- Buildings (Leasehold & Freehold)	35	-	-	87,994,940	87,994,940
- Reclaimed Lands	35	-	-	30,356,531	30,356,531
- Motor Vehicles	35	-	-	10,936,275	10,936,275
Right of use lands	27	-	-	158,557,297	158,557,297
Total non-financial assets at fair value		-	-	545,222,885	545,222,885
Total assets at fair value		32,504,359	23,239,997	545,222,885	600,967,241
Financial Liabilities					
Trading liabilities - fair value through profit or loss					
Derivative financial liabilities	36	-	689,957	-	689,957
		-	689,957	-	689,957
Total liabilities at fair value		-	689,957	-	689,957

	Note	As at 31st March 2026			
		Level 1 Quoted prices in active markets Rs.'000	Level 2 Significant observable inputs Rs.'000	Level 3 Significant un-observable inputs Rs.'000	Total Rs.'000
Company					
Financial Assets					
Trading assets - fair value through profit or loss					
Equity securities	19.3	32	-	-	32
		32	-	-	32
Investment securities					
Financial assets measured at fair value through other comprehensive income					
Designated FVOCI investment securities	20.1.3	-	-	105,077	105,077
Equity securities with readily determinable fair values	20.1.4	458,205	-	-	458,205
		458,205	-	105,077	563,282
Total financial assets at fair value		458,237	-	105,077	563,314
Non-Financial Assets					
Investment Properties	28	-	-	4,249,700	4,249,700
Property, plant & equipment					
- Land	35	-	-	2,390,000	2,390,000
- Buildings	35	-	-	1,008,650	1,008,650
- Motor Vehicles		-	-	2,795,645	2,795,645
Total non-financial assets at fair value		-	-	10,443,995	10,443,995
Total assets at fair value		458,237	-	10,549,072	11,007,310

	Note	As at 31st March 2025			
		Level 1 Quoted prices in active markets Rs.'000	Level 2 Significant observable inputs Rs.'000	Level 3 Significant un-observable inputs Rs.'000	Total Rs.'000
Company					
Financial Assets					
Trading assets - fair value through profit or loss					
Equity securities	19.2	20	-	-	20
		20	-	-	20
Investment securities					
Financial assets measured at fair value through other comprehensive income					
Designated FVOCI investment securities	20.1.3	-	-	105,077	105,077
Equity securities with readily determinable fair values	20.1.4	431,024	-	-	431,024
		431,024	-	105,077	536,101
Total financial assets at fair value		431,044	-	105,077	536,121
Non-Financial Assets					
Investment Properties	28	-	-	4,064,200	4,064,200
Property, plant & equipment					
- Land	35	-	-	2,390,000	2,390,000
- Buildings	35	-	-	1,049,000	1,049,000
- Motor Vehicles		-	-	3,084,118	3,084,118
Total non-financial assets at fair value		-	-	10,587,318	10,587,318
Total assets at fair value		431,044	-	10,692,395	11,123,439

52.2 Financial instruments not measured at fair value

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised.

As at 31 March	Note	2026		2025	
		Carrying amount Rs.'000	Fair Value Rs.'000	Carrying amount Rs.'000	Fair Value Rs.'000
Group					
Financial Assets					
Investment Securities - Financial assets at amortised cost	20.2	132,262,035	133,987,338	132,135,185	153,669,045
Financial assets at amortised cost/ Finance lease receivables, hire purchases and operating leases	21	78,281,125	78,731,744	66,664,675	71,876,550
Financial assets at amortised cost/ Advances and other loans	22	981,809,887	988,569,647	751,421,279	914,537,316
		1,192,353,047	1,201,288,729	950,221,139	1,140,082,911
Financial Liabilities					
Financial liabilities at amortised cost/ Deposits liabilities	37	694,265,401	696,829,331	565,644,097	619,455,840
Financial liabilities at amortised cost/ Interest bearing borrowings	38	654,541,189	661,493,224	582,100,501	629,634,779
		1,348,806,590	1,358,322,555	1,147,744,598	1,249,090,619
Company					
Financial Assets					
Investment Securities - Financial assets at amortised cost	20.2	40,875,921	40,805,640	44,401,684	44,665,582
Financial assets at amortised cost/ Advances and other loans	22	87,749,487	87,749,487	92,853,721	92,606,793
		128,625,408	128,555,127	137,255,406	137,272,375
Financial Liabilities					
Financial liabilities at amortised cost/ Interest bearing borrowings	38	344,803,615	342,671,808	346,786,625	351,707,531
		344,803,615	342,671,808	346,786,625	351,707,531

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

There are various limitations inherent in this fair value disclosure particularly where prices may not represent the underlying value due to dislocation in the market. Not all the Group's financial instruments can be exchanged in an active market. The Group obtains the fair values for investment securities from quoted market prices where available. Where securities are unlisted and quoted prices are not available, the Group obtains the fair values, by means of discounted cash flows and other valuation techniques that are commonly used by market participants. These techniques address factors such as interest rates, credit risk and liquidity.

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy in to which each fair value measurement is categorized.

As at 31st March 2026	Group			
	Level 1	Level 2	Level 3	Total
	Quoted prices in active markets	Significant observable inputs	Significant un-observable inputs	
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Financial assets				
Investment Securities - Financial assets at amortised cost	-	-	133,987,338	133,987,338
Financial assets at amortised cost/ Finance lease receivables, hire purchases and operating leases	-	-	78,731,744	78,731,744
Financial assets at amortised cost/ Advances and other loans	-	-	988,569,647	988,569,647
	-	-	1,201,288,729	1,201,288,729
Financial liabilities				
Financial liabilities at amortised cost/ Deposits liabilities	-	696,829,331	-	696,829,331
Financial liabilities at amortised cost/ Interest bearing borrowings	-	-	661,493,224	661,493,224
	-	696,829,331	661,493,224	1,358,322,555
As at 31st March 2025				
Financial assets				
Investment Securities - Financial assets at amortised cost	-	-	153,669,045	153,669,045
Financial assets at amortised cost/ Finance lease receivables, hire purchases and operating leases	-	-	71,876,550	71,876,550
Financial assets at amortised cost/ Advances and other loans	-	-	914,537,316	914,537,316
	-	-	1,140,082,911	1,140,082,911
Financial liabilities				
Financial liabilities at amortised cost/ Deposits liabilities	-	619,455,840	-	619,455,840
Financial liabilities at amortised cost/ Interest bearing borrowings	-	-	629,634,779	629,634,779
	-	619,455,840	629,634,779	1,249,090,619

As at 31st March 2026	Company			
	Level 1 Quoted prices in active markets Rs.'000	Level 2 Significant observable inputs Rs.'000	Level 3 Significant un-observable inputs Rs.'000	Total Rs.'000
Financial assets				
Investment Securities - Financial assets at amortised cost	-	40,805,640	-	40,805,640
Financial assets at amortised cost/ Advances and other loans	-	-	87,749,487	87,749,487
	-	40,805,640	87,749,487	128,555,127
Financial liabilities				
Financial liabilities at amortised cost/ Interest bearing borrowings	-	-	342,671,808	342,671,808
	-	-	342,671,808	342,671,808
As at 31st March 2025				
Financial assets				
Investment Securities - Financial assets at amortised cost	-	44,665,582	-	44,665,582
Financial assets at amortised cost/ Advances and other loans	-	-	92,606,793	92,606,793
	-	44,665,582	92,606,793	137,272,375
Financial liabilities				
Financial liabilities at amortised cost/ Interest bearing borrowings	-	-	351,707,531	351,707,531
	-	-	351,707,531	351,707,531

Following are the key assumptions used for level 3 valuations

For financial assets at amortised cost

Valuation technique: Discounted Cash Flow (DCF)
Key unobservable inputs:
- Discount rate applied: 6.45% – 18.00%(range by product)
- Expected credit loss assumption: 1% – 11%
- Prepayment rate assumed: 35%

For deposit liabilities

Valuation technique: DCF using contractual cash flows
Key unobservable inputs:
- Discount rate (incremental funding rate): 8% – 15%
- Behavioural maturity adjustment for demand deposits: 1 month

For interest bearing borrowings

Valuation technique: DCF
Key unobservable inputs:
- Discount rate (credit-adjusted market rate): 4% – 21.5%
- Own credit risk spread: 100 bps

52.3 Assets measured at level 3

Note 53.1 provides details of valuation techniques used and sensitivity of fair value measurement to changes in significant unobservable inputs.

Following are the asset categories measured at Fair value in Level 3 of the fair value hierarchy as at 31st March 2026 and references to the respective movement notes.

Asset Type	Movement Note Reference
Freehold Lands	Note 35
Reclaimed Lands	Note 35
Freehold Buildings	Note 35
Right of Use Lands	Note 27
Investment Properties	Note 28

53 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an on-going basis either at fair value or at amortised cost. The Accounting Policies describe how each category of financial instrument is measured and how income and expenses, including fair value gain and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in Sri Lanka Accounting Standards – SLFRS 9 Financial Instruments: Recognition & Measurement) under headings of the Statement of Financial Position for the financial

	Group				
As at 31st March 2026	Fair value through profit or loss Rs.'000	Fair value through OCI Rs.'000	Amortised cost Rs.'000	Total carrying amount Rs.'000	Fair value Rs.'000
Financial assets					
Cash in hand and favourable bank balances	-	-	116,968,894	116,968,894	116,968,894
Trading assets - fair value through profit or loss	24,290,652	-	-	24,290,652	24,290,652
Investment securities	-	16,243,075	132,262,035	148,505,110	150,230,413
Financial assets at amortised cost/ Finance lease receivables, hire purchases and operating leases	-	-	78,281,125	78,281,125	78,731,744
Financial assets at amortised cost/ Advances and other loans	-	-	981,809,887	981,809,887	988,569,647
Trade and other Financial assets	-	-	63,482,724	63,482,724	63,482,724
Total financial assets	24,290,652	16,243,075	1,372,804,665	1,413,338,392	1,422,274,074
Financial liabilities					
Bank overdrafts	-	-	47,198,297	47,198,297	47,198,297
Trading liabilities - fair value through profit or loss	17,588	-	-	17,588	17,588
Financial liabilities at amortised cost/ Deposits liabilities	-	-	694,265,401	694,265,401	696,829,331
Financial liabilities at amortised cost/ Interest bearing borrowings	-	-	654,541,189	654,541,189	661,493,224
Trade and other payables	-	-	95,110,075	95,110,075	95,110,075
Total financial liabilities	17,588	-	1,491,114,962	1,491,132,550	1,500,648,515

As at 31st March 2025	Group				
	Fair value through profit or loss Rs.'000	Fair value through OCI Rs.'000	Amortised cost Rs.'000	Total carrying amount Rs.'000	Fair value Rs.'000
Financial assets					
Cash in hand and favourable bank balances	-	-	111,612,970	111,612,970	111,612,970
Trading assets - fair value through profit or loss	46,987,655	-	-	46,987,655	46,987,655
Investment securities	-	8,756,701	132,135,185	140,891,886	162,425,746
Financial assets at amortised cost/ Finance lease receivables, hire purchases and operating leases	-	-	66,664,675	66,664,675	71,876,550
Financial assets at amortised cost/ Advances and other loans	-	-	751,421,279	751,421,279	914,537,316
Trade and other Financial assets	-	-	53,664,934	53,664,934	53,664,934
Total financial assets	46,987,655	8,756,701	1,115,499,043	1,171,243,399	1,361,105,171
Financial liabilities					
Bank overdrafts	-	-	31,394,589	31,394,589	31,394,589
Trading liabilities - fair value through profit or loss	689,957	-	-	689,957	689,957
Financial liabilities at amortised cost/ Deposits liabilities	-	-	565,644,097	565,644,097	619,455,840
Financial liabilities at amortised cost/ Interest bearing borrowings	-	-	582,100,501	582,100,501	629,634,779
Trade and other payables	-	-	88,479,855	88,479,855	88,479,855
Total financial liabilities	689,957	-	1,267,619,042	1,268,308,999	1,369,655,020

As at 31st March 2026	Company				
	Fair value through profit or loss Rs.'000	Fair value through OCI Rs.'000	Amortised cost Rs.'000	Total carrying amount Rs.'000	Fair value Rs.'000
Financial assets					
Cash in hand and favourable bank balances	-	-	1,521,766	1,521,766	1,521,766
Trading assets - fair value through profit or loss	32	-	-	32	32
Investment securities		563,282	40,875,921	41,439,203	41,368,922
Financial assets at amortised cost/ Advances and other loans	-	-	87,749,487	87,749,487	87,749,487
Trade and other Financial assets	-	-	222,563,473	222,563,473	222,563,473
Total financial assets	32	563,282	352,710,647	353,273,961	353,203,680

As at 31st March 2026	Company				
	Fair value through profit or loss Rs.'000	Fair value through OCI Rs.'000	Amortised cost Rs.'000	Total carrying amount Rs.'000	Fair value Rs.'000
Financial liabilities					
Bank overdrafts	-	-	20,638,410	20,638,410	20,638,410
Financial liabilities at amortised cost/ Interest bearing borrowings	-	-	344,803,615	344,803,615	342,671,808
Trade and other payables	-	-	1,403,121	1,403,121	1,403,121
Total financial liabilities	-	-	366,845,146	366,845,146	364,713,339

As at 31st March 2025	Company				
	Fair value through profit or loss Rs.'000	Fair value through OCI Rs.'000	Amortised cost Rs.'000	Total carrying amount Rs.'000	Fair value Rs.'000
Financial assets					
Cash in hand and favourable bank balances	-	-	1,941,277	1,941,277	1,941,277
Trading assets - fair value through profit or loss	20	-	-	20	20
Investment securities		536,101	44,401,684	44,937,785	45,201,683
Financial assets at amortised cost/ Advances and other loans	-	-	92,853,721	92,853,721	92,606,793
Trade and other Financial assets	-	-	218,273,771	218,273,771	218,273,771
Total financial assets	20	536,101	357,470,453	358,006,574	358,023,544
Financial liabilities					
Bank overdrafts	-	-	14,131,496	14,131,496	14,131,496
Financial liabilities at amortised cost/ Interest bearing borrowings	-	-	346,786,625	346,786,625	324,379,330
Trade and other payables	-	-	826,432	826,432	826,432
Total financial liabilities	-	-	361,744,553	361,744,553	339,337,258

53.1 Valuation Methodologies and Assumptions

Fair value of financial assets and liabilities not carried at fair value

Relief granted by the CBSL has not being considered for the fair value.

The valuation techniques used to establish the Group's fair values are consistent with those used to calculate the fair values of financial instruments carried at fair value. The fair values calculated are for disclosure purposes only and do not have any impact on the Group's reported financial performance or position. The fair values calculated by the Group may be different from the actual amount that will be received/paid on the settlement or maturity of the financial instrument. As certain categories of financial instruments are not traded there is a significant level of management judgment involved in calculating the fair values.

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with banks and financial institutions

For financial assets and financial liabilities that have a short-term maturity (less than three months) it is assumed that the carrying amounts approximate their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity

Loans and receivables

The fair value of loans and advances to customers with a maturity of less than one year generally approximates the carrying value, subject to any significant movement in credit spreads. The estimated fair value of loans and advances with maturity of more than one year represents the discounted amount of future cash flows expected to be received. Expected cash flows are discounted at current market rates to determine fair value.

Due to customers

The estimated fair value of deposits with no maturity period (savings deposits) is the amount repayable on demand. The estimated fair value of fixed interest-bearing deposits (fixed deposits) without quoted market prices is based on discounting cash flows using the prevailing market rates for debts with a similar risk and remaining maturity.

Due to banks and debt securities issued

Variable rate is a fair measure which reflects market movements. Hence the carrying value represents the fair value of the variable rate instruments.

The fair value of fixed rate borrowings with a maturity of less than one year generally approximates the carrying value, subject to any significant movement in credit spreads. The estimated fair value of fixed rates borrowing with maturity of more than one year represents the discounted amount of future cash flows expected to be paid. Expected cash flows are discounted at current market rates to determine fair value.

Other Financial Liabilities

Since all the liabilities which are under other financial liabilities have short-term maturities, it is assumed that the carrying amount of those liabilities approximate their fair value.

Land and Buildings and Investment Properties

Land in Property, plant and Equipment and Investment Property are valued using market approach with direct comparison method, making adjustments for points of difference to derive the fair value. Buildings in Land and Buildings and Investment Property are valued using contractors methods

Under the Market Approach, estimated fair value would get increased/(decreased) if;

- Price per perch would get higher/(lower)
- Price per square foot would get higher/(lower)
- Depreciation rate for building would get lower/(higher)

54 MATURITY ANALYSIS OF FINANCIAL ASSETS AND LIABILITIES

54.1 Maturity analysis of financial assets

As at 31 March 2026	Note	Carrying amount Rs.'000	less than one month Rs.'000	1-3 months Rs.'000	4-12 months Rs.'000	13-60 months Rs.'000	> 60 months Rs.'000
Group							
Cash and cash equivalents	18.1	116,968,894	98,173,722	18,795,172	-	-	-
Trading assets - fair value through profit or loss							
Corporate securities	19.1	5,794,863	5,794,863	-	-	-	-
Government securities	19.2	12,348,191	20,700	941,641	10,350	9,104,583	2,270,917
Equity securities	19.3	6,108,796	2,211,465	3,068,554	828,777	-	-
Derivative assets held for risk management	19.4	38,802	9,730	29,072	-	-	-
Investment securities							
Financial assets measured at fair value through other comprehensive income	20.1	16,243,075	476,132	8,756,887	404,257	6,605,799	-
Financial assets at amortised cost	20.2	132,262,035	33,501,868	24,198,692	36,927,333	30,176,449	7,457,693
Financial assets at amortised cost/ Finance lease receivables, hire purchases and operating leases							
Finance lease receivables	21.1	78,268,967	2,125,402	43,422,984	22,208,876	10,511,705	-
Hire purchase receivables	21.2	12,158	-	-	12,158	-	-
Financial assets at amortised cost/ Advances and other loans							
Advances and loans	22.1	890,078,974	55,140,068	75,825,854	137,321,797	404,092,469	217,698,786
Factoring receivables	22.2	8,713,209	282,261	8,430,948	-	-	-
Gold loan advances receivables	22.3	83,017,704	23,217,032	15,551,771	44,248,901	-	-
Trade and other current assets							
Financial Assets	26	63,482,724	28,041,619	3,677,845	28,583,621	3,179,639	-
		1,413,338,392	248,994,862	202,699,420	270,546,070	463,670,644	227,427,396

As at 31 March 2026	Note	Carrying amount Rs.'000	less than one month Rs.'000	1-3 months Rs.'000	4-12 months Rs.'000	13-60 months Rs.'000	> 60 months Rs.'000
Company							
Cash and cash equivalents	18.1	1,521,766	1,521,766	-	-	-	-
Trading assets - fair value through profit or loss							
Equity securities	19.3	32	32	-	-	-	-
Investment securities							
Financial assets measured at fair value through other comprehensive income	20.1	563,282	-	-	-	-	563,282
Financial assets at amortised cost	20.2	40,875,921	8,629,465	18,469,238	13,777,218	-	-
Financial assets at amortised cost/ Advances and other loans							
Advances and loans	22.1	87,749,487	3,930	-	87,683,945	61,612	-
Trade and other current assets		-	-	-	-	-	-
Financial Assets	26	222,563,473	1,015	32,856	222,529,602	-	-
		353,273,961	10,156,208	18,502,094	323,990,765	61,612	563,282

54.2 Maturity analysis of financial liabilities

As at 31 March 2026	Note	Carrying amount Rs.'000	less than one month Rs.'000	1-3 months Rs.'000	4-12 months Rs.'000	13-60 months Rs.'000	> 60 months Rs.'000
Group							
Non-derivative liabilities							
Bank overdrafts	18.2	47,198,297	28,195,464	19,002,833	-	-	-
Trading liabilities - fair value through profit or loss	36	17,588	-	-	17,588	-	-
Financial liabilities at amortised cost/ Deposits liabilities							
Deposits from customers							
Fixed deposits	37.2	606,037,674	32,232,975	69,650,055	170,034,766	333,660,957	458,921
Saving / Demand deposits	37.3	79,229,320	68,504,002	5,327,354	3,625,099	1,772,865	-
Interest / profits payable	37.4	8,998,407	1,981,006	2,582,503	3,272,605	1,162,293	-
Financial liabilities at amortised cost/ Interest bearing borrowings							
Commercial papers & promissory notes		232,213,003	59,884,719	69,721,866	95,589,727	7,016,691	-
Short-term loans and others		204,579,001	22,487,824	117,063,474	64,687,824	339,879	-
Debentures	38.1 & 38.5	20,916,341	4,892	-	1,780,673	12,271,369	6,859,407
Finance lease liabilities	38.2	2,637,011	6,294	10,533	342,538	553,231	1,724,415
Long-term borrowings	38.3	196,832,844	7,609,048	7,282,114	44,366,533	119,402,710	18,172,439
Operating Lease Liability	38.4	16,073,165	54,577	218,039	669,543	6,425,977	8,705,029
Trade and other payables							
Financial liabilities	41	95,110,075	35,867,491	4,453,806	34,380,164	13,740,388	6,668,226
		1,509,842,726	256,828,292	295,312,577	418,767,060	496,346,360	42,588,437

As at 31 March 2026	Note	Carrying amount Rs.'000	less than one month Rs.'000	1-3 months Rs.'000	4-12 months Rs.'000	13-60 months Rs.'000	> 60 months Rs.'000
Company							
Non-derivative liabilities							
Bank overdrafts	18.2	20,638,410	20,638,410	-	-	-	-
Financial liabilities at amortised cost/ Interest bearing borrowings							
Commercial papers & promissory notes		208,472,475	59,889,566	69,629,467	72,374,101	6,579,341	-
Short-term loans and others		92,321,762	104,000	91,377,761	840,001	-	-
Debentures	38.1 & 38.5	8,430,460	4,892	-	1,566,161	-	6,859,407
Long-term borrowings	38.3	35,578,918	2,409,052	2,719,101	12,259,478	18,191,287	-
Operating Lease Liability	38.4	56,766	2,077	2,638	6,916	45,135	-
Financial liabilities	41	1,403,121	-	816,005	560,514	-	26,602
		366,901,913	83,047,997	164,544,972	87,607,171	24,815,763	6,886,009

54.3 Maturity analysis of financial assets

As at 31 March 2025	Note	Carrying amount Rs.'000	less than one month Rs.'000	1-3 months Rs.'000	4-12 months Rs.'000	13-60 months Rs.'000	> 60 months Rs.'000
Group							
Cash and cash equivalents	18.1	111,612,970	89,004,587	8,503,644	14,104,739	-	-
Trading assets - fair value through profit or loss							
Corporate securities	19.1	19,002,361	18,490,642	511,719	-	-	-
Government securities	19.2	14,292,784	-	51,922	2,152,908	12,087,954	-
Equity securities	19.3	13,001,111	2,252,764	-	10,189,731	558,616	-
Derivative assets held for risk management	19.4	691,399	6,499	684,900	-	-	-
Investment securities							
Financial assets measured at fair value through other comprehensive income	20.1	8,756,701	2,056,706	-	1,975,586	3,103,639	1,620,770
Financial assets at amortised cost	20.2	132,135,185	12,849,629	25,377,711	36,494,251	26,937,279	30,476,315
Financial assets at amortised cost/ Finance lease receivables, hire purchases and operating leases							
Finance lease receivables	21.1	66,583,345	2,918,428	8,673,806	19,410,895	35,580,216	-
Hire purchase receivables	21.2	13,757	10,788	-	-	2,969	-
Operating lease receivables	21.3	67,573	-	-	-	67,573	-
Financial assets at amortised cost/ Advances and other loans							
Advances and loans	22.1	704,535,303	19,148,487	37,829,186	182,364,218	299,421,739	165,771,673
Factoring receivables	22.2	5,125,381	279,282	4,846,099	-	-	-
Gold loan advances receivables	22.3	41,760,595	12,903,795	7,429,329	21,427,471	-	-
Trade and other current assets							
Financial Assets	26	53,664,934	19,717,669	8,758,460	12,887,938	523,375	11,777,492
		1,171,243,399	179,639,276	102,666,776	301,007,737	378,283,360	209,646,250

As at 31 March 2025	Note	Carrying amount Rs.'000	less than one month Rs.'000	1-3 months Rs.'000	4-12 months Rs.'000	13-60 months Rs.'000	> 60 months Rs.'000
Company							
Cash and cash equivalents	18.1	1,941,277	1,941,277	-	-	-	-
Trading assets - fair value through profit or loss							
Equity securities	19.3	20	20	-	-	-	-
Investment securities							
Financial assets measured at fair value through other comprehensive income	20.1	536,101	-	-	-	-	536,101
Financial assets at amortised cost	20.2	44,401,684	5,679,272	16,737,388	14,585,466	7,399,558	-
Financial assets at amortised cost/ Advances and other loans							
Advances and loans	22.1	92,853,721	532,273	-	92,254,840	66,608	-
Trade and other current assets							
Financial Assets	26	218,273,771	30,649,233	49,139,317	138,485,221	-	-
		358,006,574	38,802,075	65,876,705	245,325,527	7,466,166	536,101

54.4 Maturity analysis of financial liabilities

As at 31 March 2025	Note	Carrying amount Rs. '000	less than one month Rs. '000	1-3 months Rs. '000	4-12 months Rs. '000	13-60 months Rs. '000	> 60 months Rs. '000
Group							
Non-derivative liabilities							
Bank overdrafts	18.2	31,394,589	26,258,931	1,180,979	3,954,679	-	-
Trading liabilities - fair value through profit or loss	36	689,957	-	688,019	1,938	-	-
Financial liabilities at amortised cost/ Deposits liabilities							
Deposits from customers							
Fixed deposits	37.2	510,595,587	43,832,953	77,302,858	225,626,290	123,006,860	40,826,626
Saving / Demand deposits	37.3	47,545,567	42,855,139	1,612,125	2,512,446	565,857	-
Interest / profits payable	37.4	7,502,943	1,216,026	2,228,503	2,932,500	1,125,914	-
Financial liabilities at amortised cost/ Interest bearing borrowings							
Commercial papers & promisory notes		248,096,888	50,415,936	87,312,825	100,364,579	10,003,548	-
Short-term loans and others		149,538,477	2,436,429	89,683,241	44,367,416	2,188,301	10,863,090
Debentures	38.1 & 38.5	19,296,551	10,158	6,070	3,490,919	8,950,648	6,838,756
Finance lease liabilities	38.2	2,094,332	210,035	1,796	128,523	1,753,978	-
Long-term borrowings	38.3	165,168,585	5,183,891	6,376,442	86,817,476	54,414,007	12,376,769
Operating lease liabilities	38.4	17,007,597	522,059	317,187	1,366,902	7,229,032	7,572,417
Trade and other payables							
Financial liabilities	41	88,479,855	14,992,416	10,678,199	30,185,708	24,253,604	8,369,928
		1,287,410,928	187,933,973	277,388,244	501,749,376	233,491,749	86,847,586

As at 31 March 2025	Note	Carrying amount Rs.'000	less than one month Rs.'000	1-3 months Rs.'000	4-12 months Rs.'000	13-60 months Rs.'000	> 60 months Rs.'000
Company							
Non-derivative liabilities							
Bank overdrafts	18.2	14,131,496	14,131,496	-	-	-	-
Financial liabilities at amortised cost/ Interest bearing borrowings							
Commercial papers & promisory notes		233,638,149	50,415,936	84,956,993	96,139,335	2,125,885	-
Short-term loans and others		70,273,646	104,000	68,081,646	936,000	1,152,000	-
Debentures	38.1 & 38.5	12,139,477	10,158	6,070	3,890,575	1,393,918	6,838,756
Finance lease liabilities	38.2	1,348	-	-	1,348	-	-
Long-term borrowings	38.3	30,735,353	2,758,798	3,701,232	18,804,783	5,470,540	-
Operating lease liabilities	38.4	30,247	1,160	2,368	11,938	14,781	-
Trade and other payables							
Financial liabilities	41	826,431	-	564,311	262,120	-	-
		361,776,147	67,421,548	157,312,620	120,046,099	10,157,124	6,838,756

55 OPERATING SEGMENTS

Accounting Policy

Operating Segments

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments operating results are reviewed regularly by Group Board of Directors to make decisions about resources to be allocated to the segment and to assess its performance, and for which discrete financial information is available.

Accordingly, the segment comprises of financial services, long term & general insurance, manufacturing,trading & services, leisure & real estate, plantation, agriculture and others.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period.

Expenses that cannot be directly identified to a particular segment are allocated on bases decided by the management and applied consistently throughout the year.

For the year ended 31 March 2026	Financial services Rs.'000	Long term & general insurance Rs.'000	Manufacturing, Trading & Services Rs.'000	Leisure & Real Estate Rs.'000	Plantation & Agri Rs.'000	Equity accounted investees Rs.'000	Others & eliminations Rs.'000	Total Rs.'000
Gross income	219,899,042	26,113,999	76,590,998	17,747,667	87,447,626	-	1,341,202	429,140,534
Interest expenses	(77,457,466)	-	-	-	-	-	7,515,622	(69,941,844)
Cost of Sales	-	-	(51,328,645)	(3,977,951)	(39,430,641)	-	(1,783,524)	(96,520,761)
Profit before operating expenses	142,441,576	26,113,999	25,262,353	13,769,716	48,016,985	-	7,073,300	262,677,929
Operating Expenses	(90,578,419)	(24,635,660)	(16,076,333)	(13,776,687)	(47,089,793)	-	(185,761)	(192,342,653)
Results from Operating Expenses	51,863,157	1,478,339	9,186,020	(6,971)	927,192	-	6,887,539	70,335,276
Net finance cost	-	(32,848)	(10,361,396)	(13,688,189)	(6,438,638)	-	(15,920,117)	(46,441,188)
Share of profits of equity accounted investees, net of tax	-	-	-	-	-	3,056,501	-	3,056,501
Results on acquisition and divestment of group investments	-	-	-	-	-	-	2,152,075	2,152,075
Profit before tax from continuing operations	51,863,157	1,445,491	(1,175,376)	(13,695,160)	(5,511,446)	3,056,501	(6,880,503)	29,102,664
Discontinued operations								
Profit/(loss) before tax for the year from discontinued operations and assets held for sale	-	-	-	-	-	-	(1,337,209)	(1,337,209)
Profit before tax from discontinued operations	-	-	-	-	-	-	(1,337,209)	(1,337,209)
Profit before tax of the group	51,863,157	1,445,491	(1,175,376)	(13,695,160)	(5,511,446)	3,056,501	(8,217,712)	27,765,455

For the year ended 31 March 2025	Financial services Rs. '000	Long term & general insurance Rs. '000	Manufacturing, Trading & Services Rs. '000	Leisure & Real Estate Rs. '000	Plantation & Agri Rs. '000	Equity accounted investees Rs. '000	Others & eliminations Rs. '000	Total Rs. '000
Gross income	190,903,270	23,236,633	51,377,409	12,805,435	55,288,162	-	2,601,143	336,212,052
Interest expenses	(71,690,598)	-	-	-	-	-	8,374,411	(63,316,187)
Cost of Sales	-	-	(35,262,976)	(3,613,536)	(25,580,072)	-	(1,298,430)	(65,755,014)
Profit before operating expenses	119,212,672	23,236,633	16,114,433	9,191,899	29,708,090	-	9,677,124	207,140,851
Operating Expenses	(79,946,553)	(21,696,930)	(13,551,738)	(7,501,219)	(34,722,168)	-	(3,764,280)	(161,182,888)
Results from operating activities	39,266,119	1,539,703	2,562,695	1,690,680	(5,014,078)	-	5,912,844	45,957,963
Net finance cost	-	(5,030)	(11,560,877)	(10,888,604)	(4,409,922)	-	(22,991,153)	(49,855,586)
Share of profits of equity accounted investees, net of tax	-	-	-	-	-	4,227,602	-	4,227,602
Results on acquisition and divestment of group investments	-	-	-	-	-	-	54,012,640	54,012,640
Goodwill impairment	-	-	-	-	-	-		-
Profit Before Taxation	39,266,119	1,534,673	(8,998,182)	(9,197,924)	(9,424,000)	4,227,602	36,934,331	54,342,619
Discontinued operations								
Profit/(loss) before tax for the year from discontinued operations and assets held for sale	-	-	-	-	-	-	(11,572,586)	(11,572,586)
Profit before tax from discontinued operations	-	-	-	-	-	-	(11,572,586)	(11,572,586)
Profit before tax of the group	39,266,119	1,534,673	(8,998,182)	(9,197,924)	(9,424,000)	4,227,602	25,361,745	42,770,033

Inter-segment revenues are eliminated upon consolidation and reflected in the 'adjustments and eliminations' column. All other adjustments and eliminations are part of detailed reconciliations presented further below.

For the year ended 31 March 2026	Financial services Rs. '000	Long term & general insurance Rs. '000	Manufacturing, Trading & Services Rs. '000	Leisure & Real Estate Rs. '000	Plantation & Agri Rs. '000	Equity accounted investees Rs. '000	Others & eliminations Rs. '000	Total Rs. '000
Continuing operations								
Net impairment (loss) / reversal on financial assets	15,229,642	-	1,289,473	167,282	15,018	-	37,752	16,739,167
Depreciation and amortization	4,260,815	208,868	1,119,972	2,663,819	8,694,165	-	562,135	17,509,774
Discontinued operations								
Net impairment (loss) / reversal on financial assets	-	-	-	-	-	-	-	-
Depreciation and amortization	-	-	-	513,187	-	-	-	513,187
Continuing operations								
Total assets (as at 31 March 2026)	1,356,454,514	53,207,147	230,859,046	334,770,488	432,407,273	-	(86,739,820)	2,320,958,648
Total liabilities (as at 31 March 2026)	1,015,237,674	38,418,882	152,666,132	200,234,640	163,958,713	-	95,815,245	1,666,331,286
Discontinued operations								
Total assets (as at 31 March 2026)	-	-	-	-	-	-	-	-
Total liabilities (as at 31 March 2026)	-	-	-	-	-	-	-	-
For the year ended 31 March 2025								
Continuing operations								
Net impairment (loss) / reversal on financial assets	18,418,127	364,198	743,119	32,627	277,792	-	(1,043,883)	18,791,980
Depreciation and amortization	3,133,964	166,510	702,669	1,536,826	7,010,593	-	208,650	12,759,212
Discontinued operations								
Net impairment (loss) / reversal on financial assets	-	-	-	18,519	-	-	-	18,519
Depreciation and amortization	-	-	-	737,998	-	-	-	737,998
Continuing operations								
Total assets (as at 31 March 2025)	1,089,260,773	43,411,115	213,302,760	338,136,562	365,887,831	-	(20,372,890)	2,029,626,151
Total liabilities (as at 31 March 2025)	800,991,301	29,434,843	142,809,093	182,661,224	119,013,732	-	150,508,827	1,425,419,020
Discontinued operations								
Total assets (as at 31 March 2025)	-	-	-	-	-	-	-	-
Total liabilities (as at 31 March 2025)	-	-	-	-	-	-	-	-

55.1 Geographical segments, based on the location of assets

'For the year ended 31 March 2026	Sri Lanka Rs. '000	Singapore Rs. '000	Cambodia Rs. '000	Maldives Rs. '000	Myanmar Rs. '000
From Continuing Operations					
Segmental Income	259,871,652	5,490,626	73,053,740	3,132,749	13,422,889
Segmental results	40,536,092	1,408,263	22,250,796	(860,387)	423,290
From Held for sale and Discontinuing Operations					
Segmental Income	-	-	-	2,940,953	-
Segmental results	-	-	-	(210,156)	-
From Continuing Operations					
Segmental Assets	2,008,501,744	104,725,367	513,355,645	88,956,845	63,103,533
Segmental Liabilities	1,352,980,174	61,680,600	371,402,698	68,279,741	54,607,773
From Held for sale and Discontinuing Operations					
Segmental Assets	-	-	-	-	-
Segmental Liabilities	-	-	-	-	-

For the year ended 31 March 2025	Sri Lanka Rs. '000	Singapore Rs. '000	Cambodia Rs. '000	Maldives Rs. '000	Myanmar Rs. '000
From Continuing Operations					
Segmental Income	206,640,725	21,225,457	70,208,548	41,837	9,231,122
Segmental results	28,936,529	6,044,362	14,559,231	(795,620)	(725,181)
From Held for sale and Discontinuing Operations					
Segmental Income	-	-	-	3,723,768	-
Segmental results	-	-	-	(257,677)	-
From Continuing Operations					
Segmental Assets	1,764,043,709	117,572,635	476,973,535	95,969,567	51,143,115
Segmental Liabilities	1,186,099,347	74,641,035	357,344,683	68,667,906	43,340,466
From Held for sale and Discontinuing Operations					
Segmental Assets	27,450,750	-	-	-	-
Segmental Liabilities	-	-	-	-	-

	Indonesia Rs. '000	Pakistan Rs. '000	Africa Rs. '000	Philippines Rs. '000	Other Rs. '000	Group Total Rs. '000
	3,502,518	5,016,893	64,832,734	2,147,402	(1,330,669)	429,140,534
	232,097	13,837	1,716,554	169,042	4,445,692	70,335,276
	–	–	–	–	–	2,940,953
	–	–	–	–	–	(210,156)
	11,025,435	29,225,925	411,491,112	19,299,833	(928,726,791)	2,320,958,648
	7,309,622	26,989,021	170,057,698	5,421,290	(452,397,331)	1,666,331,286
	–	–	–	–	–	–
	–	–	–	–	–	–

	Indonesia Rs. '000	Pakistan Rs. '000	Africa Rs. '000	Philippines Rs. '000	Other Rs. '000	Group Total Rs. '000
	3,046,641	2,749,247	40,163,010	1,743,851	(18,838,386)	336,212,052
	171,298	(1,033,960)	(5,513,477)	(444,217)	4,758,998	45,957,963
	–	–	–	–	–	3,723,768
	–	–	–	–	–	(257,677)
	9,752,107	9,937,233	351,770,891	17,229,695	(892,217,086)	2,002,175,401
	8,481,771	8,505,515	119,149,878	4,544,379	(445,355,960)	1,425,419,020
	–	–	–	–	–	27,450,750
	–	–	–	–	–	–

56 FINANCIAL RISK MANAGEMENT

The Group has loans, and consumer financial portfolios, trade and other receivables and cash and short-term deposits that arise directly from its operations. The Group also holds other financial instruments such as fair value through other comprehensive income and fair value through profit or loss financial instruments and may enter into derivative transactions. The Group's principal financial liabilities, comprise of customer deposits, loans and borrowings, trade and other payables and financial guarantee contracts. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations. The financial risk governance framework provides assurance to the Group's senior management that the Group's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Group's policies and risk objectives.

The Group has exposure to the following risks from financial instruments:

1 Credit risk

2 Liquidity risk

3 Market risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

Risk management framework

The board of directors of each Company has overall responsibility for the establishment and oversight of Group's risk management framework for the companies within the group. The Board has established Integrated Risk Management Committees (IRMC) for each financial sector company, which are responsible for developing and monitoring financial services risk management policies in their specified areas. All Board committees have both executive and non-executive members and report regularly to the Board of Directors on their activities.

The Group's risk management policies are established to identify and analyse the risks faced by Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Company, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The Audit Committee of each Company is responsible for monitoring compliance with the risk management policies and procedures, and for reviewing the adequacy of the risk management framework in relation to the risks faced by the each Group of Company. Each financial sector Company's audit committee is assisted in these functions by Enterprise Risk Management division (ERM). ERM undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to each financial sector Comany's Audit Committee.

56.1 Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's loans and advances to customers.

The Group exposure to the credit risk is mainly derived from financial sector companies as the sector engage primarily in providing financing facilities to its customers. The Credit risk is managed by evaluating the credit worthiness and by periodical review on the credit granted.

Management of credit risk

The Board of Directors of each financial sector Company has delegated responsibility for the oversight of credit risk to its Credit Committee. A separate Credit department, reporting to each Credit Committees, is responsible for management of the Financial sector Companies' credit risk, including:

1. Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.

2. Establishing the authorization structure for the approval and renewal of credit facilities. Authorization limits are allocated to business unit Credit Officers. Larger facilities require approval by Group Credit, Head of Group Credit, Credit Committee or the board of directors as appropriate.

3. Reviewing and assessing credit risk. Group Credit assesses all credit exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subjected to the same review process.

4. Reviewing compliance of business units with agreed exposure limits, including those for selected industries, country risk and product types. Regular reports on the credit quality of local portfolios are provided to Group Credit who may require appropriate corrective action to be taken.

5. Providing advice, guidance and specialist skills to business units to promote best practice throughout the financial sector in the management of credit risk.

Allowances for impairment

The Group establishes an allowance for impairment losses on assets carried at amortized cost that represents its estimate of expected losses in its lease and loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and, for assets measured at amortized cost, a collective loan loss allowance established for groups of homogeneous assets as well as for individually significant exposures that were subject to individual assessment for impairment but not found to be individually impaired.

Past due but not impaired loans and investment debt securities

Past due but not impaired loans and investment debt securities, other than those carried at fair value through profit or loss, are those for which contractual interest or principal payments are past due, but each financial sector companies believes that impairment is not appropriate on the basis of the level of security/collateral available and/or the stage of collection of amounts owed to each Company.

The following table shows the overdue amounts for the financial assets categories.

	Group		Company	
	Neither past due nor impaired Rs.'000	Overdue Rs.'000	Neither past due nor impaired Rs.'000	Overdue Rs.'000
Cash in hand and favourable bank balances	116,968,894	-	1,521,766	-
Trading assets - fair value through profit or loss	24,290,652	-	32	-
Investment securities	148,505,110	-	41,439,203	-
Loan and lease portfolio	928,366,802	131,724,210	87,668,657	80,830
Insurance Premium Receivable	5,018,747	-	-	-
Trade and other Financial assets	63,482,724	-	222,563,473	-

Impairment losses related to each of the above asset classes are shown in note 9 to these financial statements.

The following table shows the maximum exposure and net exposure to credit quality by class of financial assets.

	Group		Company	
	Gross exposure Rs.'000	Net exposure Rs.'000	Gross exposure Rs.'000	Net exposure Rs.'000
Cash in hand and favourable bank balances	116,968,894	116,968,894	1,521,766	1,521,766
Trading assets - fair value through profit or loss	24,290,652	24,290,652	32	32
Investment securities	148,505,110	45,694,086	41,439,203	41,439,203
Loan and lease portfolio	1,060,091,012	571,272,959	87,749,487	87,749,487
Insurance Premium Receivable	5,018,747	5,018,747	-	-
Trade and other Financial assets	63,482,724	61,914,088	222,563,473	222,563,473

Maximum credit risk exposure

Credit risk is the risk of potential loss resulting from the failure of a customer/borrower or counterparty to honour its financial or contractual obligations to the Group. It may arise from direct lending activities as well as from commitments and contingencies. Total credit risk of the Group constitutes counterparty risk, concentration risk and settlement risk.

	Group		Company	
	Rs.'000	%	Rs.'000	%
Net carrying amount of credit exposure				
Cash in hand and favourable bank balances	116,968,894	8.25%	1,521,766	0.43%
Trading assets - fair value through profit or loss	24,290,652	1.71%	32	0.00%
Investment securities	148,505,110	10.47%	41,439,203	11.73%
Financial assets at amortised cost/ Finance lease receivables, hire purchases and operating leases	78,281,125	5.52%	-	0.00%
Financial assets at amortised cost/ Advances and other loans	981,809,887	69.22%	87,749,487	24.84%
Insurance premium receivables	5,018,747	0.35%	-	0.00%
Trade and Other Financial Assets	63,482,724	4.48%	222,563,473	63.00%
	1,418,357,139		353,273,961	
Maximum credit exposure	1,418,357,139	100.00%	353,273,961	100.00%

Loans with renegotiated terms

Loans with renegotiated terms are loans that have been restructured due to deterioration in the borrower's financial position. In respect of some of these loans, financial sector companies have made concessions that it would not otherwise consider. Once the loan is restructured it remains in this category independent of satisfactory performance after restructuring.

Allowances for impairment

Each financial sector Company establishes an allowance for impairment losses on assets carried at amortized cost that represents its estimate of incurred losses in its loan. The main components of this allowance are a specific loss component that relates to individually significant exposures, and, for assets measured at amortized cost, a collective loan loss allowance established for each financial sector Company's homogeneous assets as well as for individually significant exposures that were subject to individual assessment for impairment but not found to be individually impaired. Assets carried at fair value through profit or loss are not subject to impairment testing as the measure of fair value reflects the credit quality of each asset.

Write-off policy

Each financial sector Company writes off a loan, and any related allowances for impairment losses, when management determines that the loan or security is uncollectible. This determination is made after considering information such as the occurrence of significant changes in the borrower's/ issuer's financial position such that the borrower/issuer can no longer pay the obligation, or that proceeds from collateral will not be sufficient to pay back the entire exposure. For smaller balance standardized loans, write-off decisions generally are based on a product-specific past due status.

Each financial sector Company holds collateral against loans and advances to customers in the form of mortgage interests over property, other registered securities over assets, and guarantees. Estimates of fair value are based on the value of collateral assessed at the time of borrowing, and generally are not updated except when a loan is individually assessed as impaired.

Trade & Other Receivables

Each group of Company establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loss component established for each group of Company's similar assets in respect of losses that have been incurred but not yet identified. The collective loss allowance is determined based on historical data of payment statistics of the portfolio.

56.2 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

Management of liquidity risk

The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's entities.

For the financial sector companies, a Central Treasury manages the liquidity risk for financial sector. Central Treasury receives information from other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. Central Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities, loans and advances to customers and other inter-group facilities, to ensure that sufficient liquidity is maintained within the financial sector as a whole. The liquidity requirements of business units and subsidiaries are met through short-term loans from Central Treasury to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

When a financial sector subsidiary is subject to a liquidity limit imposed by its local regulator, the subsidiary is responsible for managing its overall liquidity within the regulatory limit in co-ordination with central Treasury.

The financial sector relies on deposits from customers and issued debt securities and borrowings as its primary sources of funding. While the Group's debt securities have maturities of over one year, deposits from customers generally have shorter maturities and a large proportion of them are repayable on demand. The short-term nature of these deposits increases the financial sector's liquidity risk and the sector actively manages this risk through maintaining competitive pricing and constant monitoring of market trends.

Maturity analysis for financial liabilities

Note 53 to these financial statements shows the discounted cash flows on the Company's non-derivative financial liabilities on the basis of their earliest possible contractual maturity.

To manage the liquidity risk arising from financial liabilities, the Group holds liquid assets comprising cash and cash equivalents and investment securities for which there an active and liquid market is available.

56.3 Market Risk

Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates and credit spreads will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

Overall non-trading interest rate risk positions are managed by Financial sector's Central Treasury, which uses investment securities, advances to customers, deposits from customers and derivative instruments to manage the overall position arising from the Group's market based activities.

56.3.1 Interest Rate Risk

Interest rates have been reduced as advised by the Central Bank of Sri Lanka and is likely to have negative impact on the interest revenue, cash flows and liquidity positions of the Group.

The management of interest rate risk against interest rate gap limits is supplemented by monitoring the sensitivity of the Group's financial assets and liabilities to various standard and non-standard interest rate scenarios. An analysis of the Groups' sensitivity to an increase or decrease in market interest rates, assuming no asymmetrical movement in yield curves and a constant financial position, is as follows;

Sensitivity of projected	net interest income		reported equity	
Group	1% parallel increase Rs.'000	1% parallel decrease Rs.'000	1% parallel increase Rs.'000	1% parallel decrease Rs.'000
For the year ended 31 March 2026	1,192,414	(1,192,414)	912,674	(912,674)

Sensitivity of projected	net interest income		reported equity	
Company	1% parallel increase Rs.'000	1% parallel decrease Rs.'000	1% parallel increase Rs.'000	1% parallel decrease Rs.'000
For the year ended 31 March 2026	125,298	(125,298)	87,709	(87,709)

56.3.2 Currency risk

The Group has exposure to the currency fluctuations through its foreign assets and liabilities held by following main foreign subsidiaries.

Subsidiary	Country of incorporation	Functional currency
Bodufaru Beach Resorts (Private) Limited	Maldives	United State Dollar - USD
B Commodities ME FZE	UAE	United State Dollar - USD
Browns Ari Resort (Pvt) Ltd	Maldives	United State Dollar - USD
Browns Kaafu N Resort (Pvt) Ltd	Maldives	United State Dollar - USD
Browns Raa Resort (Pvt) Ltd	Maldives	United State Dollar - USD
Fusion X Global FZC	UAE	United State Dollar - USD
Grey Reach Investments Ltd	British Virgin Island	United State Dollar - USD
IPay Global FZC	UAE	United State Dollar - USD
LOLC Kenya Microfinance Bank PLC	Kenya	Kenyan Shilling - KES
LOLC Global (Pvt) Ltd	Singapore	United State Dollar - USD
LOLC Cambodia Plc	Cambodia	Combodian Riel- KHR
LOLC Africa Holdings (Pvt) Ltd	Singapore	United State Dollar - USD
LOLC Financial Sector Holdings Private Limited	Singapore	United State Dollar - USD
LOLC Finance Zambia Limited	Zambia	Zambian Kwacha - ZMW
LOLC International (Pvt) Ltd	Singapore	United State Dollar - USD
LOLC Mauritius Holdings Limited	Mauritius	United State Dollar - USD
LOLC Myanmar Micro-Finance Company Limited	Mynmar	Myanmar Kyat - MMK
LOLC Philippines Corporation	Philippines	Philippines Peso - PHP
LOLC Philippines Holdings Incorporated	Philippines	Philippines Peso - PHP
LOLC Philippines Capital Holdings Corporation	Philippines	Philippines Peso - PHP
LOLC Bank Philippines Inc	Philippines	Philippines Peso - PHP
LOLC Finance Philippines Inc	Philippines	Philippines Peso - PHP
NPH Investment (Private) Limited	Maldives	United State Dollar - USD
Pak Oman Micro finance Bank Limited	Pakistan	Pakistani Rupee - PKR
PT LOLC Management Indonesia	Indonesia	Indonesian Rupiah -IDR
PT LOLC Ventura Indonesia	Indonesia	Indonesian Rupiah -IDR
Sunbird Bioenergy (SL) Ltd	Sierra Leone	Euro - EUR
Qirat Investments LLC	UAE	United State Dollar - USD
Urumaya Resources Pvt Ltd	Zimbabwe	United State Dollar - USD

Subsidiary	Country of incorporation	Functional currency
LOLC India Holdings (IFSC) Private Limited	India	Indian Rupees -INR
ABN Micro Finance	Kyrgyzstan	Kyrgyz Som -KGS
Fina Trust Micro Finance Bank Ltd	Nigeria	Nigerian Naira - NGN
LOLC El-Oula Microfinance	Egypt	Egyptian Pound - EGP
LOLC Finance Limited Malawi	Malawi	Malawian Kwacha - MWK
LLC MDO LOLC Moliya	Tajikistan	Tajikistani Somoni - TJS
Lombard Microfinance Organisation	Tajikistan	Tajikistani Somoni - TJS
LOLC Tanzania Financial Services Ltd	Tanzania	Tanzanian Shilling - TZS
LOLC Asia (Pvt) Ltd	Singapore	United State Dollar - USD
LOLC Central Asia (Pvt) Ltd	Singapore	United State Dollar - USD
LOLC Ventures FZE	UAE	United State Dollar - USD
PL Resorts LTD	Mauritius	Mauritian Rupee - MUR
Serendib Micro Insurance PLC	Cambodia	United State Dollar - USD
Yambukai Finance	Zimbabwe	United State Dollar - USD
LOLC UNGUKA Finance PLC	Rwanda	Rwanda Franc - RWF
Fortune Holdings SD (Pvt) Ltd	Singapore	United State Dollar - USD
R-Finance' Microfinance Organization Limited Liability Partnership	Kazakhstan	Kazakastan Tenge -KZT
Browns Engineering & Construction (Fiji) Pte Ltd	Fiji	Fijian Dollar -FJD
Browns Plantations Kenya Limited	Kenya	Sterling Pound -GBP
Browns E&C Technical Services Contracting LLC	UAE	United Arab Emirates Dirham -AED
LOLC India Finance Private Limited	India	Indian Rupees -INR
BI Leisure Holdings FZE	USD	United State Dollar - USD
Browns Plantation Rwanda Ltd	Rwanda	Rwanda Franc - RWF
Browns Plantation Tanzania Ltd	Tanzania	Tanzanian Shilling - TZS
Browns Plantation East Africa Ltd	Kenya	Kenyan Shilling - KES
Limuru Tea PLC	Kenya	Kenyan Shilling - KES
James Finlay (Guizhou) Tea CO., LTD	China	Chinese Yuan - CNY
Browns Tea Trading FZCO	UAE	United State Dollar - USD
LFSH Investments Private Limited	Singapore	United State Dollar - USD

Sensitivity analysis

A reasonably possible strengthening /(weakening) of KHR, USD, KES, GBP and EURO against all other currencies as at 31 March 2026, would have affected the measurement of individual assets and liabilities denominated in a foreign currency and affected equity by the amounts shown below. This analysis assumes that all other variables, in particular interest rates remain constant and any change in assets liability positions.

As at 31 March 2026	100 basis points movement in	
	Strengthening Rs.'000	Weakening Rs.'000
AED	(1,304)	1,304
CNY	11,485	(11,485)
EGP	11,871	(11,871)
EUR	514,059	(514,059)
FJD	(650)	650
GBP	599,383	(599,383)
IDR	36,787	(36,787)
INR	13,863	(13,863)
KES	1,023,878	(1,023,878)
KGS	24,547	(24,547)
KHR	1,393,843	(1,393,843)
KZT	82,340	(82,340)
MMK	84,954	(84,954)
MUR	16,872	(16,872)
MWK	6,981	(6,981)
NGN	5,951	(5,951)
PHP	132,962	(132,962)
PKR	22,470	(22,470)
RWF	90,691	(90,691)
TJS	33,653	(33,653)
TZS	132,337	(132,337)
USD	1,906,584	(1,906,584)
ZMW	38,725	(38,725)

Net Foreign Currency Exposure as at 31 March 2026	Assets '000	Liabilities 000	Net Position 000	LKR equivalent 000
Currency				
CNY	39,649	14,492	25,157	1,148,515
EUR	223,660	81,555	142,105	51,405,868
GBP	252,309	106,531	145,777	59,938,264
KES	59,259,364	17,042,818	42,216,546	102,387,790
KHR	6,489,335,205	4,714,698,734	1,774,636,472	139,384,318
MMK	420,968,728	364,294,682	56,674,046	8,495,440
PHP	3,599,131	1,040,196	2,558,935	13,296,226
PKR	25,929,942	23,937,047	1,992,895	2,246,990
USD	1,300,443	695,544	604,898	190,658,415
Others	994,181,774	623,997,073	370,184,700	49,266,319

56.3.3 Equity price risk

Although the Group's exposure to equity price risk is negligible, mark-to-market calculations are conducted daily on FVTPL and FVOCI portfolios. The Group has also calculated VaR on equity portfolio. Below table summarises the impact of a shock of 10% on equity price on profit, other comprehensive income (OCI) and equity.

	Financial assets recognised through profit or loss Rs.'000	Financial assets fair value through other comprehensive income Rs.'000	Total Rs.'000
Market value of Equity Securities	6,108,796	1,134,079	7,242,875

Stress Level	Impact on Income Statement Rs.'000	Impact on OCI Rs.'000	Impact on Equity Rs.'000
Shock of 10% on equity price (upward)	610,880	113,408	724,288
Shock of 10% on equity price (downward)	(610,880)	(113,408)	(724,288)

57 RISK EXPOSURE

Following table shows the maximum risk positions

As at 31 March 2026	Group				Company			
	Carrying amount Rs.'000	Non-current Rs.'000	Current Rs.'000	% of allocation	Carrying amount Rs.'000	Non-current Rs.'000	Current Rs.'000	% of allocation
Assets								
Cash and short term deposits	116,968,894	-	116,968,894	8.22%	1,521,766	-	1,521,766	0.43%
Financial assets at fair value through profit or loss	18,181,856	11,375,500	6,806,356	1.28%	-	-	-	0.00%
Investment securities	147,371,031	43,105,862	104,265,169	10.36%	40,875,921	-	40,875,921	11.58%
Financial assets at amortised cost/ Finance lease receivables operating leases	78,281,125	10,511,705	67,769,420	5.50%	-	-	-	0.00%
Financial assets at amortised cost/ Advances and other loans	981,809,887	621,791,255	360,018,632	69.01%	87,749,487	61,612	87,687,875	24.86%
Insurance premium receivables	5,018,747	-	5,018,747	0.35%	-	-	-	0.00%
Current tax assets	11,535,213	-	11,535,213	0.81%	317,539	-	317,539	0.09%
Trade and other current assets	63,482,724	3,179,639	60,303,085	4.46%	222,563,473	-	222,563,473	63.04%
Total credit risk exposure	1,422,649,477	689,963,961	732,685,516	100.00%	353,028,186	61,612	352,966,574	100%
Financial assets at fair value through P&L	6,108,796	-	6,108,796	13.67%	32	-	32	0.00%
Financial assets at fair value through OCI	1,134,079	1,134,079	-	2.54%	563,282	563,282	-	0.14%
Subsidiary companies	-	-	-	0.00%	364,796,110	364,796,110	-	91.72%
Equity accounted investees - Associates	37,442,020	37,442,020	-	83.79%	32,378,080	32,378,080	-	8.14%
Total equity risk exposure	44,684,895	38,576,099	6,108,796	100.00%	397,737,504	397,737,472	32	100.00%
Total	1,467,334,372	728,540,060	738,794,312		750,765,690	397,799,084	352,966,606	

58 CURRENT/NON-CURRENT DISTINCTION

As at 31 March 2026	Group			Company		
	Carrying amount Rs.'000	Non-current Rs.'000	Current Rs.'000	Carrying amount Rs.'000	Non-current Rs.'000	Current Rs.'000
Assets						
Cash and short term deposits	116,968,894	-	116,968,894	1,521,766	-	1,521,766
Financial assets at fair value through profit or loss	24,290,652	11,375,500	12,915,152	32	-	32
Investment securities	148,505,110	44,239,941	104,265,169	41,439,203	563,282	40,875,921
Financial assets at amortised cost/ Finance lease receivables and operating leases	78,281,125	10,511,705	67,769,420	-	-	-
Financial assets at amortised cost/ Advances and other loans	981,809,887	621,791,255	360,018,632	87,749,487	61,612	87,687,875
Insurance premium receivables	5,018,747	-	5,018,747	-	-	-
Inventories	40,375,044	-	40,375,044	54,892	-	54,892
Current tax assets	11,535,213	-	11,535,213	317,539	-	317,539
Trade and other current assets	120,406,415	3,179,639	117,226,776	223,824,960	15,025	223,809,935
Right of use assets	176,674,414	176,674,414	-	78,336	53,719	24,617
Investment properties	191,672,867	191,672,867	-	4,249,700	4,249,700	-
Biological assets;						
Consumable biological assets	26,508,659	26,508,659	-	-	-	-
Bearer biological assets	28,197,712	28,197,712	-	-	-	-
Investments in group of companies;						
Subsidiary companies	-	-	-	364,796,110	364,796,110	-
Equity accounted investees - Associates	37,442,020	37,442,020	-	32,378,080	32,378,080	-
Deferred tax assets	7,252,068	7,252,068	-	-	-	-
Intangible assets	10,669,044	10,669,044	-	41,957	41,957	-
Property, plant and equipment	315,350,777	315,350,777	-	6,839,603	6,839,603	-
Total assets	2,320,958,648	1,484,865,601	836,093,047	763,291,665	408,999,088	354,292,577
Liabilities						
Bank overdrafts	47,198,297	-	47,198,297	20,638,410	-	20,638,410
Trading liabilities - fair value through profit or loss	17,588	-	17,588	-	-	-
Financial liabilities at amortised cost/ Deposits liabilities	694,265,401	337,055,036	357,210,365	-	-	-
Financial liabilities at amortised cost/ Interest bearing borrowings	673,251,365	181,471,147	491,780,218	344,860,381	31,605,656	313,254,725
Insurance provision - life	16,494,757	16,494,757	-	-	-	-
Insurance provision - general	12,837,236	12,837,236	-	-	-	-
Current tax payables	26,503,825	-	26,503,825	1,016,582	-	1,016,582
Trade and other payables	119,442,842	20,408,614	99,034,228	1,709,798	26,602	1,683,196
Deferred tax liabilities	65,038,052	65,038,052	-	2,596,702	2,596,702	-
Deferred income	1,724,345	1,724,345	-	-	-	-
Retirement benefit obligations	9,557,578	8,370,599	1,186,979	527,848	422,132	105,716
Total liabilities	1,666,331,286	643,399,786	1,022,931,500	371,349,721	34,651,092	336,698,629

59 CAPITAL MANAGEMENT

For the purpose of the Group's capital management, capital includes issued capital, convertible preference shares, share premium and all other equity reserves. The primary objective of the Group's capital management is to maximise the shareholder value.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Group monitors capital using a gearing ratio, which is 'net debt' divided by total capital plus net debt. The Group includes within net debt, interest bearing loans and borrowings, less cash and short-term deposits, excluding discontinued operations.

As at 31 March	Group		Company	
	2026 Rs.'000	2025 Rs.'000	2026 Rs.'000	2025 Rs.'000
Bank overdrafts	47,198,297	31,394,589	20,638,410	14,131,496
Deposits Liabilities	694,265,401	565,644,097	-	-
Loan & Borrowings	673,251,365	601,202,430	344,860,381	346,818,220
Less: cash and short-term deposits	(116,968,894)	(111,612,970)	(1,521,766)	(1,941,277)
Net debt	1,297,746,169	1,086,628,146	363,977,025	359,008,439
Total Equity	654,627,362	604,207,131	391,941,944	342,693,785
Capital and Net Debt	1,952,373,531	1,690,835,277	755,918,969	701,702,224
Gearing ratio	66.47%	64.27%	48.15%	51.16%

In order to achieve this overall objective, the Group's capital management, among other things, aims to ensure that it meets financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to immediately call loans and borrowings. There have been no breaches of the financial covenants of any interest-bearing loans and borrowing in the current period.

No changes were made in the objectives, policies or processes for managing capital during the years ended 31 March 2026 and 2025

Property Details

Details of Land & Building of Company

	Address	Land Extent A-R-P	Building Extent Sq. Ft.	No. of buildings	Cost		
					Land Rs. '000	Building Rs. '000	
1	No. 100/1, Sri Jayawardenapura Mawatha, Rajagiriya	1A-0R-04.86P	57,585	2	93,182	149,205	
					93,182	149,205	
	Investment Property Details						
1	No.246/56, Kandy Road, Eldeniya, Kadawatha	0A-0R-23.37P	1,831	1	11,000	-	
2	No. 25/7, Wimalawatta Road, Mirihana, Nugegoda	0A-0R-33.40P			20,000	-	
3	No. 52/40, Stanly Road, Jaffna	0A-0R-37.31P	9,984	1	64,630	81,829	
4	No. 241 A, Maithreepala Senanayake Mawatha, Anuradhapua	0A-0R-13.01P	13,182	1	18,130	75,362	
5	No. 240, Moragahayata, Colombo Road, Ratnapura	0A-0R-15.80P	10,173	1	20,919	8,400	
6	Boralukanda, Athabendiwewa, Thalakiriyagama, Dambulla	2A-1R-15.9P	440	2	2,647	2,355	
7	No. 54, Queen Mary Road, Gampaha	0A-0R-19.4P	10,975	1	27,500	71,399	
8	No. 245, Katugastota Road, Mahaiyawa, Katugastota, Kandy	0A-0R-25.40P	9,136	1	63,925	48,904	
9	No. 249/1, Katugastota Road, Kandy	0A-0R-7.3P			8,760	-	
10	No. 245/1A, Maithreepala Senanayake Mawatha, Anuradhapua	0A-0R-10P			23,999	-	
11	No.162, Kolonnawa Road, Gothatuwa	0A-0R-1.25P			1,559	-	
12	No.164, 164A, Kolonnawa Road, Gothatuwa	0A-0R-3.8P			8,339	-	
13	No.249/1, Katugastota, Kandy	0A-0R-8P			25,287	-	
14	No. 189, Puttalam Road, Kurunegala	1A-1R-12.83P			261,999	-	
15	No. 538 & 538A, Main Street, Kalutara South, Kalutara	0A-1R-10.76P			94,694	111,000	
16	Attikkagahawatta, Kochchikade	0A-0R-30P			42,679	117,200	
17	Athimunai Veli, Arugambay Village, Arugambay	2A-2R-0P			31,318	-	
18	Bathalawaththadeniya - Thalangama South Property	0A-0R-10.85P			6,531	-	
19	Weweldeniya Delgahawatha	0A-0R-10.5P			6,273	-	
					740,187	516,449	

	Accumulated Depreciation Rs. '000	Last Valuation		Carrying Amount	
		Land Rs. '000	Building Rs. '000	2026 Rs. '000	2025 Rs. '000
	56,003	2,390,000	1,049,000	**3,398,650**	3,439,000
	56,003	2,390,000	1,049,000	**3,398,650**	3,439,000
	-	28,000	3,000	**31,000**	31,000
	-	133,500	-	**133,500**	130,000
	-	261,000	195,000	**456,000**	434,000
	-	91,000	252,000	**343,000**	332,000
	-	90,000	148,500	**238,500**	233,000
	-	50,000	4,000	**54,000**	52,000
	-	116,000	209,500	**325,500**	312,000
	-	220,500	179,500	**400,000**	394,000
	-	21,000	-	**21,000**	20,000
	-	42,000	-	**42,000**	41,000
	-	3,000	-	**3,000**	3,000
	-	8,700	-	**8,700**	8,000
	-	69,500	-	**69,500**	69,000
	-	1,063,000	-	**1,063,000**	1,015,000
	-	213,000	286,000	**499,000**	483,000
	-	106,500	327,500	**434,000**	380,000
	-	100,000	-	**100,000**	100,000
	-	18,500	-	**18,500**	18,000
	-	7,000	2,500	**9,500**	9,200
		2,642,200	1,607,500	**4,249,700**	4,064,200

Ten Year Summary

For the year ended 31 March	2017 Rs'000	2018 Rs'000	2019 Rs'000	2020 Rs'000	
Group					
Operating results					
Gross income	91,715,284	149,516,214	124,313,908	130,441,678	
Revenue	23,441,032	22,602,826	24,805,609	24,944,735	
Cost of sales	(14,112,059)	(15,428,148)	(17,070,822)	(17,139,918)	
Interest income	54,573,085	104,772,109	75,606,318	81,299,986	
Other operating income	7,687,454	12,032,101	13,670,357	14,753,381	
Other income/(expenses)	6,013,713	10,109,178	10,231,624	9,443,576	
Interest costs	(33,159,212)	(58,517,709)	(48,640,652)	(54,851,694)	
Profit before operating expenses	44,444,013	75,570,357	58,602,434	58,450,066	
Other operating expenses	(34,487,241)	(52,741,405)	(50,161,705)	(62,072,952)	
Results from operating activities	9,956,772	22,828,952	8,440,729	(3,622,886)	
Finance income	-	-	-	-	
Finance expense	-	-	-	-	
Net finance cost	-	-	-	-	
Results on Investment in/disposals of Subsidiaries and Associates	10,594,331	63,774	-	5,979,044	
Share of profit of associate companies	3,827,962	1,763,093	1,108,860	1,019,970	
Profit before tax - Continuing operations	24,379,065	24,655,819	9,549,589	3,376,128	
Income tax expense	(3,458,452)	(5,466,316)	(3,616,665)	(2,563,759)	
Net profit after tax - Continuing operations	20,920,613	19,189,503	5,932,924	812,369	
As at 31 March					
Assets					
Net lending portfolio	418,696,357	549,975,971	707,277,599	389,460,136	
Total assets	640,924,840	822,239,491	1,043,747,286	1,335,918,925	
Liabilities					
Total liabilities	538,309,003	704,706,936	891,526,951	1,123,342,226	
Equity					
Share capital	475,200	475,200	475,200	475,200	
Reserves	58,374,448	69,986,814	85,577,251	92,057,507	
Non-controlling interests	43,766,139	47,070,543	66,167,884	120,043,991	
Total equity	102,615,787	117,532,557	152,220,335	212,576,698	
Investor ratios					
Return on assets (%)	4.10	2.62	2.10	0.07	
Return on equity (%)	35.54	15.05	14.52	12.21	
Other information					
No. of branches	99	100	103	103	
No. of service centres	42	40	37	37	
No. of subsidiary companies	102	100	100	100	
No. of associate companies	11	11	11	11	

	2021 Rs'000	2022 Rs'000	2023 Rs'000	2024 Rs'000	2025 Rs'000	2026 Rs'000
	160,481,846	224,100,491	333,122,464	329,879,277	336,212,052	429,140,534
	33,026,926	55,133,373	82,563,259	85,937,522	109,230,926	158,218,826
	(23,105,187)	(38,982,735)	(56,771,202)	(58,224,753)	(65,755,014)	(96,520,761)
	89,330,200	98,576,134	177,423,239	162,157,044	166,999,302	189,183,210
	18,815,735	19,820,595	24,858,321	28,928,566	33,661,545	42,532,213
	19,308,985	50,570,389	48,277,645	52,856,145	26,320,279	39,206,285
	(49,318,958)	(55,669,361)	(132,961,365)	(76,600,271)	(63,316,187)	(69,941,844)
	88,057,701	129,448,395	143,389,897	195,054,253	207,140,851	262,677,929
	(76,218,075)	(72,265,109)	(121,478,444)	(132,136,646)	(161,182,888)	(192,342,653)
	11,839,626	57,183,286	21,911,453	62,917,607	45,957,963	70,335,276
	-	-	-	7,867,225	7,282,761	7,168,554
	-	-	-	(65,277,262)	(57,138,347)	(53,609,742)
	-	-	-	(57,410,037)	(49,855,586)	(46,441,188)
	44,078,681	23,488,671	485,273	16,716,561	54,012,640	2,152,075
	1,216,388	2,881,230	7,665,508	7,979,008	4,227,602	3,056,501
	57,134,695	83,553,187	30,062,234	30,203,138	54,342,619	29,102,664
	(3,902,163)	(5,957,034)	(8,391,463)	(8,450,067)	(1,845,642)	(4,917,977)
	53,232,532	77,596,153	21,670,771	21,753,071	52,496,977	24,184,687
	423,786,834	616,621,462	737,384,105	734,494,649	818,085,954	1,060,091,012
	874,943,528	1,371,469,219	1,566,132,308	1,739,705,901	2,029,626,151	2,320,958,648
	639,675,260	970,239,805	1,132,158,498	1,252,379,231	1,425,419,020	1,666,331,286
	475,200	475,200	475,200	475,200	475,200	475,200
	137,981,483	244,636,728	253,994,395	298,135,078	342,218,585	391,466,744
	96,811,585	156,117,486	179,504,216	188,716,393	261,513,346	262,685,418
	235,268,268	401,229,414	433,973,811	487,326,670	604,207,131	654,627,362
	4.82	6.91	1.46	1.32	2.79	1.11
	24.28	31.89	8.96	10.82	15.50	8.62
	107	133	200	212	203	203
	32	6	6	-	-	-
	166	202	211	220	223	214
	12	14	13	13	15	12

Ten Year Summary

For the year ended 31 - March	2017 Rs'000	2018 Rs'000	2019 Rs'000	2020 Rs'000	
Company					
Operating results					
Gross income	20,265,814	16,304,439	11,650,626	9,243,797	
Revenue	-	-	1,557,044	2,480,478	
Cost of sales	-	-	(1,416,625)	(2,315,799)	
Other operating income	7,799,736	7,228,336	7,491,770	7,977,289	
Other income/(expenses)	12,466,078	9,076,103	2,601,812	(1,213,970)	
Interest costs	(5,270,261)	(6,066,902)	(8,020,071)	(10,669,704)	
Profit before operating expenses	14,995,553	10,237,537	2,213,930	(3,741,706)	
Other operating expenses	(4,846,183)	(5,474,857)	(5,320,110)	(5,352,315)	
Results from operating activities	10,149,370	4,762,680	(3,106,180)	(9,094,021)	
Finance income	-	-	-	-	
Finance expense	-	-	-	-	
Net finance cost	-	-	-	-	
Share of profits of equity accounted investees	-	-	-	-	
Profit before tax - Continuing operations	10,149,370	4,762,680	(3,106,180)	(9,094,021)	
Income tax expense	(372,071)	(63,328)	(88,015)	(118,834)	
Net profit after tax - Continuing operations	9,777,299	4,699,352	(3,194,195)	(9,212,855)	
As at 31 March					
Assets					
Total assets	102,007,361	110,723,053	124,995,559	191,740,791	
Liabilities					
Total liabilities	55,015,661	59,087,697	76,755,306	99,208,084	
Shareholders' funds					
Share capital	475,200	475,200	475,200	475,200	
Reserves	46,516,500	51,160,156	47,765,055	92,057,507	
Shareholders' funds	46,991,700	51,635,356	48,240,255	92,532,707	
Investor ratios					
Gross dividends	-	-	-	-	
Total assets to shareholders' funds (times)	2.17	2.14	2.59	2.07	
Return on assets (%)	11.02	4.42	(2.82)	(5.82)	
Return on equity (%)	23.70	9.53	(6.66)	(13.09)	
Other information					
No. of employees	1,235	1,269	1,208	905	

	2021 Rs'000	2022 Rs'000	2023 Rs'000	2024 Rs'000	2025 Rs'000	2026 Rs'000
	13,116,457	26,719,784	51,519,084	51,293,716	53,226,161	53,185,876
	2,530,699	2,491,828	7,751,227	3,155,044	2,218,769	1,966,686
	(2,457,398)	(2,421,962)	(8,807,722)	(2,858,655)	(2,045,122)	(1,876,533)
	7,594,994	8,850,095	36,203,616	50,306,264	46,971,937	45,495,970
	2,990,764	15,377,861	7,564,240	(2,167,592)	4,035,455	5,723,220
	(9,507,935)	(11,579,412)	(32,768,490)	(35,978,950)	(34,070,977)	(31,681,413)
	1,151,124	12,718,410	9,942,872	12,456,111	17,110,062	19,627,930
	(4,047,244)	(4,631,661)	(8,132,857)	(8,637,683)	(9,275,320)	(9,384,600)
	(2,896,120)	8,086,749	1,810,015	3,818,429	7,834,742	10,243,330
	-	-	-	-	-	-
	-	-	-	(13,300,614)	(5,864,310)	(5,832,534)
	-	-	-	(13,300,614)	(5,864,310)	(5,832,534)
	31,212,806	52,977,404	20,583,833	39,829,572	53,537,887	27,937,230
	28,316,686	61,064,153	22,393,848	30,347,387	55,508,319	32,348,026
	(275,988)	98,821	(20,175)	(432,920)	(336,012)	(262,957)
	28,040,698	61,162,974	22,373,673	29,914,467	55,172,307	32,085,069
	252,952,697	409,926,082	457,298,317	616,474,298	708,294,917	763,291,665
	114,496,014	164,814,153	202,828,716	317,864,021	365,601,132	371,349,721
	475,200	475,200	475,200	475,200	475,200	475,200
	137,981,483	244,636,729	253,994,395	298,135,077	342,218,585	391,466,744
	138,456,683	245,111,929	254,469,595	298,610,277	342,693,785	391,941,944
	-	-	-	-	-	-
	1.83	1.67	1.80	2.06	2.07	1.95
	12.61	18.45	5.16	5.57	8.33	4.36
	24.28	31.89	8.96	10.82	15.50	8.62
	571	578	643	720	747	756

Summarised Quarterly Statistics

Income Statement - Rs '000	2025/26				2024/25			
For the 3 months ended	30-Jun	30-Sep	31-Dec	31-Mar	30-Jun	30-Sep	31-Dec	31-Mar
Group								
Gross income	92,383,034	109,636,019	105,711,075	121,410,405	77,828,585	83,443,250	86,745,641	88,194,576
Interest income	43,129,161	47,671,448	48,842,024	49,540,577	40,518,395	42,930,853	41,301,982	42,248,072
Interest expense	(15,626,719)	(16,545,539)	(17,437,897)	(20,331,689)	(16,657,730)	(16,366,081)	(15,599,381)	(14,692,996)
Net interest income	27,502,442	31,125,909	31,404,127	29,208,888	23,860,665	26,564,772	25,702,601	27,555,077
Revenue	32,335,053	43,495,417	38,055,128	44,333,227	21,356,696	25,570,875	30,565,218	31,738,137
Cost of sales	(19,087,643)	(29,680,433)	(23,183,351)	(24,569,334)	(12,979,737)	(15,109,690)	(25,087,807)	(12,577,780)
Gross profit	13,247,410	13,814,985	14,871,777	19,763,893	8,376,959	10,461,185	5,477,412	19,160,357
Other operating income	9,118,338	11,442,846	10,879,494	11,091,535	7,090,036	8,395,648	8,502,074	9,673,786
Other income/(expenses)	7,800,482	7,026,308	7,934,428	16,445,066	8,863,457	6,545,874	6,376,367	4,534,581
Net Operating Income	57,668,673	63,410,047	65,089,827	76,509,382	48,191,118	51,967,479	46,058,454	60,923,800
Other operating expenses	(41,384,645)	(43,934,728)	(43,796,842)	(63,226,438)	(34,092,560)	(39,728,809)	(31,357,361)	(56,004,159)
Resutls from operating activities	16,284,027	19,475,320	21,292,984	13,282,945	14,098,558	12,238,671	14,701,093	4,919,641
Finance Income	1,909,270	1,238,640	1,930,128	2,090,516	1,509,851	2,103,281	(733,531)	4,403,160
Finance Cost	(14,859,060)	(11,215,053)	(14,341,131)	(13,194,499)	(13,995,096)	(13,263,132)	(13,168,744)	(16,711,375)
Net Finance Cost	(12,949,790)	(9,976,413)	(12,411,003)	(11,103,983)	(12,485,245)	(11,159,852)	(13,902,275)	(12,308,214)
Results on acquisition and divestment of group investments	223,855	25,413	-	1,902,807	39,003	27,338,688	6,938,256	19,696,692
Share of profit of associate companies	691,050	852,152	1,116,808	396,491	2,399,265	2,509,182	2,079,035	(2,759,880)
Profit before tax from continuing operations	4,249,142	10,376,472	9,998,790	4,478,260	4,051,581	30,926,689	9,816,110	9,548,239
Income tax expense	(1,392,684)	(108,819)	(2,310,014)	(1,106,460)	(1,070,723)	(1,546,275)	(1,470,710)	2,242,066
Profit for the year from continuing operations	2,856,458	10,267,653	7,688,776	3,371,800	2,980,858	29,380,414	8,345,400	11,790,305
Discontinued operations								
Profit/(loss) after tax for the year from discontinued operations and assets held for sale	(482,872)	(456,709)	(486,001)	625,207	(828,055)	(643,729)	(508,908)	(9,513,913)
Profit for the year	2,373,586	9,810,944	7,202,775	3,997,007	2,152,803	28,736,685	7,836,492	2,276,392

Balance Sheets - Rs '000	2025/26				2024/25			
As at	30-Jun	30-Sep	31-Dec	31-Mar	30-Jun	30-Sep	31-Dec	31-Mar
Group								
Assets	2,096,013,411	2,132,059,839	2,227,128,657	2,320,958,648	1,785,339,035	1,905,152,220	1,905,125,164	2,029,626,151
Liabilities	1,477,633,053	1,500,403,142	1,582,151,167	1,666,331,286	1,294,029,814	1,362,811,163	1,359,648,933	1,425,419,020
Net Assets	618,380,358	631,656,697	644,977,490	654,627,362	491,309,221	542,341,057	545,476,231	604,207,131
Share capital	475,200	475,200	475,200	475,200	475,200	475,200	475,200	475,200
Reserves	349,181,352	362,729,432	375,328,948	391,466,744	297,039,488	332,244,498	336,940,167	342,218,585
Non controlling interest	268,723,806	268,452,065	269,173,342	262,685,418	193,794,533	209,621,359	208,060,864	261,513,346
Share capital,reserves & NCI	618,380,358	631,656,697	644,977,490	654,627,362	491,309,221	542,341,057	545,476,231	604,207,131

Income Statement - Rs '000	2025/26				2024/25			
For the 3 months ended	30-Jun	30-Sep	31-Dec	31-Mar	30-Jun	30-Sep	31-Dec	31-Mar
Company								
Gross income	13,254,520	13,133,207	12,096,448	14,701,700	14,547,198	12,804,471	13,615,941	12,258,551
Interest income	11,635,344	11,472,178	9,785,531	11,318,156	12,112,324	12,045,796	12,553,073	9,224,036
Interest expense	(8,025,902)	(7,793,258)	(7,894,830)	(7,967,423)	(8,979,040)	(8,633,661)	(8,240,630)	(8,224,961)
Net interest income	3,609,442	3,678,920	1,890,701	3,350,733	3,133,283	3,412,135	4,312,443	999,075
Revenue	405,645	537,432	401,354	622,255	482,647	651,022	571,869	513,231
Cost of sales	(500,589)	(467,373)	(337,314)	(571,257)	(431,746)	(627,144)	(585,995)	(400,237)
Gross profit	(94,944)	70,059	64,040	50,998	50,901	23,878	(14,126)	112,994
Other operating income	221,717	223,629	351,307	488,108	211,248	202,763	226,884	395,814
Other income/(expenses)	991,814	899,968	1,558,257	2,273,181	1,740,980	(95,109)	264,115	2,125,470
Net Operating Income	4,728,029	4,872,576	3,864,305	6,163,020	5,136,412	3,543,666	4,789,316	3,633,353
Other operating expenses	(1,867,255)	(2,335,986)	(2,556,594)	(2,624,765)	(2,009,515)	(1,610,783)	(2,070,212)	(3,584,810)
Resutls from operating activities	2,860,774	2,536,590	1,307,711	3,538,255	3,126,896	1,932,883	2,719,104	48,543
Finance income	-	-	-	-	-	-	-	-
Finance cost	(1,381,791)	(1,439,906)	(1,488,962)	(1,521,875)	(1,588,627)	(1,447,137)	(1,389,908)	(1,431,322)
Net Finance cost	(1,381,791)	(1,439,906)	(1,488,962)	(1,521,875)	(1,588,627)	(1,447,137)	(1,389,908)	(1,431,322)
Share of profits of equity accounted investees, net of tax	3,148,131	6,966,472	8,901,535	8,921,092	2,984,337	29,720,253	9,321,301	11,511,996
Profit before tax from continuing operations	4,627,114	8,063,156	8,720,284	10,937,472	4,522,606	30,205,999	10,650,497	10,129,217
Income tax expense	-	-	(350,428)	87,471	-	-	(507,930)	171,918
Profit for the year from continuing operations	4,627,114	8,063,156	8,369,856	11,024,943	4,522,606	30,205,999	10,142,567	10,301,135
Discontinued operations								
Profit/(loss) after tax for the year from discontinued operations and assets held for sale	-	-	(253,110)	(163,725)	-	-	-	(5,460,757)
Profit for the year	4,627,114	8,063,156	8,116,746	10,861,218	4,522,606	30,205,999	10,142,567	4,840,378

Balance Sheets - Rs '000	2025/26				2024/25			
As at	30-Jun	30-Sep	31-Dec	31-Mar	30-Jun	30-Sep	31-Dec	31-Mar
Company								
Assets	720,733,365	736,113,852	753,680,401	763,291,665	637,543,425	686,079,956	697,994,132	708,294,917
Liabilities	371,076,813	372,909,220	377,876,253	371,349,721	340,028,737	353,360,258	360,578,765	365,601,132
Net Assets	349,656,552	363,204,632	375,804,148	391,941,944	297,514,688	332,719,698	337,415,367	342,693,785
Share capital	475,200	475,200	475,200	475,200	475,200	475,200	475,200	475,200
Reserves	349,181,352	362,729,432	375,328,948	391,466,744	297,039,488	332,244,498	336,940,167	342,218,585
Share capital & reserves	349,656,552	363,204,632	375,804,148	391,941,944	297,514,688	332,719,698	337,415,367	342,693,785

Value Addition

	2025/26 Rs'000	(%)	2024/25 Rs'000	(%)
Group				
Value added				
Income	300,582,042		251,419,520	
Other income	39,206,285		26,320,279	
Cost of borrowing and services	(203,038,890)		(188,890,879)	
Provisions	(16,739,167)		(18,791,980)	
Results on acquisition and divestment of Group investments	2,152,075		54,012,640	
Share of profits of associate companies	3,056,501		4,227,602	
	125,218,846		128,297,182	
Distribution of value added				
To employees				
Remuneration and other benefits	71,454,208	57	54,346,743	42
To government				
Indirect taxes	7,152,200	6	6,848,608	5
Direct taxes	4,917,977	4	1,845,642	1
To Providers of capital				
Dividends to shareholders	-		-	
Minority interest	(7,900,382)	(6)	(2,675,330)	(2)
To expansion and growth				
Retained profits	32,085,069	26	55,172,307	43
Depreciation and amortisation	17,509,774	14	12,759,212	10
	125,218,846	100	128,297,182	100
Company				
Value added				
Income	45,586,123		47,145,584	
Other income	5,723,220		4,035,455	
Cost of borrowing and services	(43,249,781)		(44,643,279)	
Provisions	(122,870)		(1,605,652)	
Share of profits of associate companies	27,937,230		53,537,887	
	35,873,922		58,469,995	
Distribution of value added				
To Employees				
Remuneration and other benefits	2,648,300	7	2,228,548	4
To Government				
Indirect taxes	339,053	1	546,463	1
Direct taxes	262,957	0.7	336,012	1
To Providers of Capital				
Dividends to shareholders	-	-	-	-
Reserves	-	-	-	-
To Expansion and Growth				
Retained profits	32,085,069	89	55,172,307	94
Depreciation and amortisation	538,543	2	186,665	0.3
	35,873,922	100	58,469,995	100

Indicative US Dollar Financial Statements

Statement of Financial Position for Information Purposes Only

As at 31 March	Group		Company	
	2026 USD.'000	2025 USD.'000	2026 USD.'000	2025 USD.'000
Assets				
Cash and short term deposits	371,105	376,629	4,828	6,551
Financial assets at fair value through profit or loss	77,066	158,556	-	-
Investment securities	471,159	475,428	131,473	151,639
Non current assets held for sale and discontinued operations	-	92,630	-	49,848
Financial assets at amortised cost/ Finance lease receivables and operating leases	248,361	224,955	-	-
Financial assets at amortised cost/ Advances and other loans	3,114,969	2,535,611	278,401	313,327
Insurance Premium receivables	15,923	10,084	-	-
Inventories	128,097	112,355	174	1,100
Current tax assets	36,598	31,496	1,007	320
Trade and other current assets	382,011	300,501	710,125	748,261
Right of use assets	560,531	554,604	249	77
Investment properties	608,117	626,659	13,483	13,714
Biological assets;	-			
Consumable biological assets	84,104	54,425	-	-
Bearer biological assets	89,462	74,827	-	-
Investments in group of companies;				
Subsidiary companies	-	-	1,157,382	979,760
Associate companies	118,792	117,943	102,725	101,576
Deferred tax assets	23,008	24,857	-	-
Intangible assets	33,849	34,464	133	235
Property, plant and equipment	1,000,507	1,042,787	21,700	23,676
Total assets	7,363,660	6,848,812	2,421,681	2,390,085
Liabilities and equity				
Liabilities				
Bank overdrafts	149,745	105,939	65,479	47,686
Trading liabilities - fair value through profit or loss	56	2,328	-	-
Financial Liabilities at Amortised Cost/ Deposits liabilities	2,202,682	1,908,721	-	-
Financial Liabilities at Amortised Cost/ Interest bearing borrowings	2,136,011	2,028,710	1,094,132	1,170,310
Insurance provision - life	52,333	48,821	-	-
Insurance provision - general	40,728	32,065	-	-
Current tax payables	84,088	90,451	3,225	2,634
Trade and other payables	378,954	364,602	5,425	3,153
Deferred tax liabilities	206,345	201,498	8,239	8,660
Deferred income	5,471	2,931	-	-
Retirement benefit obligations	30,323	23,898	1,675	1,249
Total liabilities	5,286,737	4,809,963	1,178,174	1,233,692
Equity				
Stated capital	1,508	1,604	1,508	1,604
Reserves	463,497	405,758	463,497	405,758
Retained earnings	778,502	749,031	778,502	749,031
Equity attributable to shareholders of the Company	1,243,507	1,156,393	1,243,507	1,156,393
Non-controlling interests	833,417	882,456	-	-
Total equity	2,076,923	2,038,849	1,243,507	1,156,393
Total liabilities & equity	7,363,660	6,848,812	2,421,681	2,390,085
Net assets per share (USD.)	2.61	2.43	2.61	2.43
Exchange rate USD/LKR	315.1909	296.3472	315.1909	296.3472

This information does not constitute a full set of financial statements in compliance with SLFRS/LKAS. Exchange rates prevailing at year end USD/ LKR 315.1909 (2025 : 296.3472) have been used to convert the statement of financial position.

Indicative US Dollar Financial Statements

Income Statement for Information Purposes Only	Group		Company	
	2026	2025	2026	2025
For the year ended 31 March	USD.'000	USD.'000	USD.'000	USD.'000
Gross income	1,409,999	1,128,585	174,749	178,668
Interest Income	621,587	560,578	145,262	154,194
Interest expenses	(229,803)	(212,538)	(104,094)	(114,368)
Net interest income	391,784	348,040	41,168	39,826
Revenue	519,849	366,663	6,462	7,448
Cost of sales	(317,132)	(220,724)	(6,166)	(6,865)
Gross profit	202,717	145,938	296	583
Other operating income	139,745	112,994	4,221	3,480
Other income/(expenses)	128,818	88,351	18,804	13,546
Net operating income	863,064	695,323	64,490	57,434
Operating expenses				
Direct expenses excluding interest expenses	(85,146)	(77,330)	(1,114)	(1,851)
Personnel expenses	(234,772)	(182,429)	(8,701)	(7,481)
Impairment charge on financial assets	(54,999)	(63,080)	(404)	(5,390)
Depreciation and amortisation	(57,531)	(42,830)	(1,769)	(627)
Other operating expenses	(199,520)	(175,384)	(18,846)	(15,787)
Results from operating activities	231,096	154,270	33,656	26,299
Finance income	23,553	24,447	-	-
Finance expense	(176,142)	(191,800)	(19,164)	(19,685)
Net finance cost	(152,589)	(167,354)	(19,164)	(19,685)
Share of profits of equity accounted investees, net of tax	10,043	14,191	91,792	179,714
Results on acquisition and divestment of Group investments	7,071	181,308	-	-
Profit/ (loss) before tax expense from continuing operations	95,621	182,415	106,284	186,328
Income tax expense	(16,159)	(6,195)	(864)	(1,128)
Profit/ (loss) for the year from continuing operations	79,462	176,220	105,420	185,201
Discontinued operations				
Profit/(loss) after tax for the year from discontinued operations and assets held for sale	(2,630)	(38,585)	(1,370)	(18,330)
Profit/ (loss) for the year	76,832	137,635	104,050	166,870
Profit/ (loss) attributable to; (Continuing operations)				
Equity holders of the Company	105,420	185,201	105,420	185,201
Non-controlling interests	(25,958)	(8,980)	-	-
	79,462	176,220	105,420	185,201
Profit attributable to; (Discontinued operations)				
Equity holders of the Company	(1,370)	(18,330)	(1,370)	(18,330)
Non-controlling interests	(1,260)	(20,254)	-	-
	(2,630)	(38,585)	(1,370)	(18,330)
Profit attributable to;				
Equity holders of the Company	104,050	166,870	104,050	166,870
Non-controlling interests	(27,218)	(29,235)	-	-
	76,832	137,635	104,050	166,870
Basic earnings per share (USD.)	0.22	0.35	0.22	0.35
Exchange rate USD/LKR	304.3552	297.9058	304.3552	297.9058

This information does not constitute a full set of financial statements in compliance with SLFRS/LKAS. Exchange rates prevailing at year end USD/LKR 304.3552 (2025 : 297.9058) have been used to convert the income statement.

List of Group Companies

Group Companies	Reg No	Directors
LOLC Holdings PLC	PQ 70	I C Nanayakkara W D K Jayawardena Mrs. K U Amarasinghe F K C P N Dias K Sundararaj K Sivanesan G S Kalidasa
LOLC Finance PLC	PB 244 PQ	F K C P N Dias D M D K Thilakaratne B C G de Zylva P A Wijeratne (retired w.e.f. 26.05.2026) A J L Pieris (retired w.e.f. 17.12.2025) S Lankathilake Mrs. K T C Priyangani J T Fernando (a.w.e.f. 03.11.2025) M R Dewapura (a.w.e.f. 07.05.2026)
Dolphin Hotels PLC	PQ 224	W D K Jayawardena D S K Amarasekera Dr. J M Swaminathan S Furkhan T Dharmarajah R L E C Wijeratne
Eden Hotel Lanka PLC	PQ 199	W D K Jayawardena Mrs. K U Amarasinghe D S K Amarasekera J Selvaratnam T Dharmarajah S Furkhan Dr. J M Swaminathan
Hotel Sigiriya PLC	PQ 81	W D K Jayawardena Mrs. K U Amarasinghe D S K Amarasekera Dr. J M Swaminathan S Furkhan T Dharmarajah
Palm Garden Hotels PLC	PQ 132	W D K Jayawardena Mrs. K U Amarasinghe D S K Amarasekera R L E C Wijeratne J Selvaratnam T Dharmarajah Dr. J M Swaminathan

List of Group Companies

Group Companies	Reg No	Directors
Serendib Hotels PLC	PQ 223	W D K Jayawardena
		Mrs. K U Amarasinghe
		D S K Amarasekera
		Dr. J M Swaminathan
		E J D Rajakarier
		T Dharmarajah
		W A T M Wijesinghe
		S A Chojnacki (r.w.e.f. 15.06.2026)
		W R Williams (a.w.e.f. 15.06.2026)
		J Selvaratnam (a.w.e.f. 09.07.2026)
LOLC General Insurance PLC	PQ 00251202	K A K P Gunawardena
		Mrs. K U Amarasinghe
		Mrs. V G S S Kotakadeniya
		W R A Dharmaratne
		I Wijesiriwardana
		H A Karunaratne
		Dr. A A C S L Aluthgama (a.w.e.f. 01.10.2025)
		D R Samaraweera (a.w.e.f. 08.12.2025)
LOLC Ceylon Holdings Limited	PB 00234078	Dr. J M Swaminathan
		M I I Ibrahim
		D R Samaraweera (r.w.e.f. 19.09.2025)
		Mrs. R R D D Punsara (a.w.e.f. 19.09.2025)
Sundaya Lanka (Pvt) Ltd	PV 7346	M R Adema
		J B W Kelegama (r.w.e.f. 01.05.2026)
		P D G Jayasena
		Mrs. R R D D Punsara (a.w.e.f. 01.05.2026)
Tropical Villas (Pvt) Ltd	PV 4043	D S K Amarasekera
		P D G Jayasena
		J B W Kelegama (r.w.e.f. 01.05.2026)
		R L E C Wijeratne (a.w.e.f. 01.05.2026)
Kammala Hoteliers (Private) Limited	PV 83438	D S K Amarasekera
		Dr. J M Swaminathan
Ceylon Graphene Technologies (Private) Limited	PV 00200923	I C Nanayakkara (r.w.e.f 12.05.2026)
		W D K Jayawardena
		Dr. R A Fernando
		M Gunawardana
		W K D T Abeyrathne
Commercial Factors (Private) Limited	PB 3775 PV	P D G Jayasena
		D M D K Thilakaratne
		J B W Kelegama (r.w.e.f. 01.05.2026)

Group Companies	Reg No	Directors
Dikwella Resort (Private) Limited	PV 11742	J B W Kelegama (r.w.e.f. 01.05.2026) R L E C Wijeratne (a.w.e.f. 01.05.2026) P D G Jayasena
Diriya Investments (Private) Limited	PV 65852	Dr. (Mrs.) R N A Nanayakkara K A K P Gunawardena
Eagle Recoveries (Private) Limited	PB 3852 PV	P D G Jayasena J B W Kelegama (r.w.e.f. 01.05.2026)
East Coast Land Holdings (Private) Limited	PB 3851 PV	P D G Jayasena J B W Kelegama (r.w.e.f. 01.05.2026)
LOLC Minerals Quartz (Private) Limited (Formely known as Fortigrains Lanka (Pvt) Ltd)	PV 00230384	M Gunawardena (r.w.e.f. 30.10.2025) W K D T Abeyrathne (r.w.e.f. 30.10.2025) D W Batagoda (r.w.e.f. 30.10.2025) M I I Ibrahim (a.w.e.f. 30.10.2025) M D D N Mallawarachchi (a.w.e.f. 30.10.2025) S A S Asiri (a.w.e.f. 30.10.2025)
Frontier Capital Lanka (Pvt) Ltd	PV 74570	D S K Amarasekera Dr. J M Swaminathan
Green Orchard Property Investments (Private) Limited	PB 3855 PV	P D G Jayasena J B W Kelegama (r.w.e.f. 01.05.2026)
Iconic Property Three (Private) Limited	PV 00229820	P D G Jayasena
Iconic Property Five (Private) Limited	PV 00229905	P D G Jayasena
Iconic Property Six (Private) Limited	PV 00229906	P D G Jayasena
Iconic Property Eight (Private) Limited	PV 00229908	P D G Jayasena
Iconic Property Nine (Private) Limited	PV 00229909	P D G Jayasena
Iconic Property Ten (Pvt) Ltd	PV 00229910	P D G Jayasena
Iconic Property Thirteen (Private) Limited	PV 00229913	P D G Jayasena
Iconic Property Fifteen (Private) Limited	PV 00229918	P D G Jayasena
Iconic Property Seventeen (Private) Limited	PV 00229926	P D G Jayasena
Iconic Property Eighteen (Private) Limited	PV 00229927	P D G Jayasena
Iconic Property Twenty One (Private) Limited	PV 00229818	P D G Jayasena
Monkey Beach Estate (Pvt) Ltd	PV 95997	P D G Jayasena
Leapstitch Apparel (Pvt) Ltd	PV 00246594	D R Samaraweera M I I Ibrahim D W Batagoda P D G Jayasena
Leapstitch Technologies (Pvt) Ltd	PV 00225747	W D K Jayawardena Dr. P S H Uluwaduge D R Samaraweera M I I Ibrahim

List of Group Companies

Group Companies	Reg No	Directors
LOLC Advanced Technologies (Pvt) Ltd	PV 125403	I C Nanayakkara (r.w.e.f 12.05.2026) W D K Jayawardena M Gunawardana W K D T Abeyrathne
LOLC Asset Holdings Limited	PB 4824	J B W Kelegama (r.w.e.f. 01.05.2026) D W Batagoda Dr. (Mrs.) R N A Nanayakkara (a.w.e.f. 01.05.2026)
LOLC Ceylon Property Holdings (Private) Limited	PV 00229980	M I I Ibrahim (r.w.e.f. 09.06.2026) R Mahabaduge (a.w.e.f. 09.06.2026) Mrs. R R D D Punsara (a.w.e.f. 09.06.2026)
LOLC Capital (Private) Limited	PV 130140	I C Nanayakkara
LOLC Capital One (Private) Limited	PV 92639	G S Kalidasa (a.w.e.f. 01.05.2026) B D T R Perera J B W Kelegama (r.w.e.f. 01.05.2026)
LOLC Corporate Services (Private) Limited	PV 97781	K A K P Gunawardena Mrs. R T Seneviratne Mrs. J K Vaas
LOLC Eco Solutions Limited	PB 3804	P D G Jayasena Mrs. R R D D Punsara (a.w.e.f. 01.05.2026) J B W Kelegama (r.w.e.f. 01.05.2026)
LOLC Factors Limited	PB 4633	K G D C Jayanath P D G Jayasena
LOLC Fincorp (Private) Limited	PV 00232532	M I I Ibrahim
LOLC Geo Technologies (Pvt) Ltd	PV 85992	M Gunawardana D W Batagoda M A P N Weerasinghe R R B Wadugodapitiya
LOLC Investments Limited	PB 163	J B W Kelegama (r.w.e.f. 01.05.2026) P D G Jayasena D R Samaraweera (r.w.e.f. 19.09.2025) S A S Asiri (a.w.e.f. 19.09.2025)
LOLC Investment Holdings One (Private) Limited	PV 00245492	M I I Ibrahim D R Samaraweera (r.w.e.f. 19.09.2025) S A S Asiri (a.w.e.f. 19.09.2025)
LOLC Investment Holdings Two (Private) Limited	PV 00245158	P D G Jayasena
LOLC Investment Holdings Four (Private) Limited	PV 00245502	D S K Amarasekera P D G Jayasena W K D T Abeyrathne
I Pay Ceylon (Private) Limited	PV 00245492	F K C P N Dias D R Samaraweera (r.w.e.f. 09.03.2026) M I I Ibrahim

Group Companies	Reg No	Directors
Ceylon Precious (Private) Limited	PV 00245540	D S K Amarasekara
LOLC Investment Holdings Seven (Private) Limited	PV 00266275	M I I Ibrahim
LOLC Investment Holdings Eight (Private) Limited	PV 00266281	M I I Ibrahim
LOLC Investment Holdings Nine (Private) Limited	PV 00266280	M I I Ibrahim (r.w.e.f. 09.06.2026) R Mahabaduge (a.w.e.f. 09.06.2026) Mrs. R R D D Punsara (a.w.e.f. 09.06.2026)
Browns Tea Brokers (Private) Limited	PV 00268211	D S K Amarasekara Dr. P S H Uluwaduge L H M S Lansakkara
LOLC Motors (Private) Limited	PV 00268217	M I I Ibrahim
LOLC Life Assurance Limited	PB 3807	W D K Jayawardena Dr. (Mrs.) R N A Nanayakkara A J L Peiris K Sivanesan K A K P Gunawardena (a.w.e.f. 29.09.2025) Dr. A A C S L Aluthgama (a.w.e.f. 29.09.2025) D R Samaraweera (a.w.e.f. 08.12.2025)
LOMO Services Limited (Amalgamated with LOLC Advanced Technologies (Private) Limited w.e.f. 01.04.2026)	PB 3789	K A K P Gunawardena P D G Jayasena Mrs. D G U P Jayasekara
LOLC Minerals Dolomite (Private) Limited (Formely known as LOLC Eco Technologies (Pvt) Ltd)	PV 131209	M Gunawardena (r.w.e.f. 30.10.2025) P D G Jayasena (r.w.e.f. 30.10.2025) M I I Ibrahim (a.w.e.f. 30.10.2025) M D D N Mallawarachchi (a.w.e.f. 30.10.2025) S A S Asiri (a.w.e.f. 30.10.2025)
LOLC Property Six (Private) Limited	PV 131206	P D G Jayasena
LOLC Securities Limited	PB 3853	W D K Jayawardena K A K P Gunawardena Dr. J M Swaminathan
LOLC Serendib (Private) Limited	PV 130503	J B W Kelegama (r.w.e.f. 01.05.2026) P D G Jayasena Dr. (Mrs.) R N A Nanayakkara (a.w.e.f. 01.05.2026)
LOLC Technologies Limited	PB 3788	F K C P N Dias P Siriwardena J B W Kelegama (r.w.e.f. 01.05.2026) N R Nanayakkara (a.w.e.f. 01.05.2026)
Sun Yield Bio Ingredients (Pvt) Ltd	PV 00261509	W K D T Abeyrathne M Gunawardana Dr. P S H Uluwaduge M D D N Mallawarachchi S K O Govindan S Bavu

List of Group Companies

Group Companies	Reg No	Directors
Riverina Resort (Private) Limited	PV 87378	R L E C Wijeratne D S K Amarasekera
Sanctuary Resorts Lanka (Pvt) Ltd	PV 75715	D S K Amarasekera Dr. J M Swaminathan
Serendib Leisure Management Ltd	PB 1075	D S K Amarasekera Dr. J M Swaminathan E J D Rajakarier
Browns Hotels and Resorts Limited	PB 3805	D S K Amarasekera J B W Kelegama (r.w.e.f. 01.05.2026) N R Nanayakkara (a.w.e.f. 01.01.2026) R L E C Wijeratne (a.w.e.f. 01.05.2026)
Thurushakthi (Private) Limited	PV 88992	P D G Jayasena
United Dendro Energy Ambalantota (Private) Limited	PV 86838	P D G Jayasena
United Dendro Energy Walawewatte (Private) Limited	PV 86829	P D G Jayasena
LOLC Property Holdings SL (Private) Limited	PV 00297597	M I I Ibrahim (r.w.e.f. 31.12.2025) R Mahabaduge (a.w.e.f. 31.12.2025) Mrs. R R D D Punsara (a.w.e.f. 31.12.2025)
Three Tips Ella (Pvt) Ltd	PV 00295819	D S K Amarasekera R L E C Wijeratne Mrs. K U Amarasinghe
I Pay Holdings (Pvt) Ltd	PV 00297240	K K D U P Siriwardena M I I Ibrahim
Fusion X Holdings (Pvt) Ltd	PV 00297242	K K D U P Siriwardena M I I Ibrahim
Bestie Beverages (Pvt) Ltd (Amalgamated with LOLC Advanced Technologies (Private) Limited w.e.f. 27.02.2026)	PV 00220041	P B Wickrama Muneege R M A B Rathnayake M Gunawardena M I I Ibrahim
LOLC Enterprise Management One (Private) Limited	PV 00340673	R Mahabaduge H W R Ronila
LOLC Enterprise Management Two (Private) Limited	PV 00340682	R Mahabaduge H W R Ronila
LOLC Enterprise Management Three (Private) Limited	PV 00340747	R Mahabaduge H W R Ronila
LOLC Enterprise Management Four (Private) Limited	PV 00340765	R Mahabaduge H W R Ronila
LOLC Enterprise Management Five (Private) Limited	PV 00340773	R Mahabaduge H W R Ronila
Browns Retreats (Private) Limited	PV 00347844	Dr. (Mrs.) R N A Nanayakkara D S K Amarasekara P A D F Perera

Group Companies	Reg No	Directors
Corsair LOLC Lanka (Private) Limited	PV 00347873	W D K T Abeyrathne
		J V Saloranta
		K Nilsa-nga
Brown & Company PLC	PQ 25	I C Nanayakkara
		W D K Jayawardena
		Mrs. K U Amarasinghe
		W D K T Abeyrathne
		T Sanakan
		K Sundararaj
		C Wijesinha
Associated Battery Manufacturers Ceylon Limited	PB 240	A K Mukherjee
		A K Roy
		T Sanakan
		M Gunawardena
		A De Silva
		K Aniruddha
		P S Ramachnadra
S.F.L.Services (Pvt) Ltd	PV 1463	P D G Jayasena
		T Sanakan
		W K D T Abeyrathne
Engineering Services (Pvt) Ltd	PV 7400	P D G Jayasena
		T Sanakan
		W K D T Abeyrathne
Masons Mixture Limited	PB 181	P D G Jayasena
		T Sanakan
		W K D T Abeyrathne
Browns Group Motels Ltd	PB 167	P D G Jayasena
		T Sanakan
C.F.T.Engineering Ltd	PB 318	P D G Jayasena
		T Sanakan
Browns Group Industries (Pvt) Ltd	PV 1917	P D G Jayasena
		T Sanakan
The Hatton Transport And Agency Company (Pvt) Ltd	PV 2833	P D G Jayasena
		T Sanakan
Walker & Greig (Pvt) Ltd	PV 66042	P D G Jayasena
		T Sanakan
Klevenberg (Pvt) Ltd	PV 5697	T Sanakan
		W K D T Abeyrathne
Sifang Lanka (Pvt) Ltd	PV 7481	P D G Jayasena
		T Sanakan

List of Group Companies

Group Companies	Reg No	Directors
Galoya Holdings (Private) Limited	PV 7182	K A K P Gunawardena
		W K D T Abeyrathne
		G S Kalidasa
		P Kumara (r.w.e.f. 22.09.2025)
		Mrs. S Dayarathe (a.w.e.f. 22.09.2025)
Galoya Plantations (Pvt) Ltd	PV 7601	K A K P Gunawardena
		W K D T Abeyrathne
		D W Batagoda
		Dr. P S H Uluwaduge
		R S C Abeywickrema
		I D N Thisera
		Mrs. S Dayarathe (a.w.e.f. 23.12.2025)
		Mrs. W A M Malkanthi (a.w.e.f. 24.10.2025)
		K S M de Silva (a.w.e.f. 16.01.2026)
Browns Thermal Engineering (Pvt) Ltd	PV 5001	T Sanakan
		P D G Jayasena
Browns Health Care Negombo (Pvt) Ltd	PV 65726	T Sanakan
		W K D T Abeyrathne
Browns Industrial Park Ltd	PB 1100	P D G Jayasena
		T Sanakan
		W K D T Abeyrathne
Snowcem Products Lanka (Pvt) Ltd	PV 5900	W K D T Abeyrathne
		T Sanakan
Browns Pharma Ltd	PB 5377	T Sanakan
		M Gunawardena
Browns Agri Solutions (Pvt) Ltd	PV 128935	W K D T Abeyrathne
		M Gunawardena
		T Sanakan
		D W Batagoda
B.I.Holdings (Pvt) Ltd	PV00247872	T Sanakan
		S M Wijesinghe
Browns Leisure (Pvt) Ltd	PV122212	W K D T Abeyrathne
		T Sanakan
		P D G Jayasena
Ceylon Nano Diagnostics (Pvt) Ltd	PV00242732	W K D T Abeyrathne
		D W Batagoda
		M Gunawardena
		N B Handagama
		A M Mubarak
		S D N K Bathige

Group Companies	Reg No	Directors
Browns Property Holdings (Pvt) Ltd	PV00245577	P D G Jayasena
		T Sanakan
		W K D T Abeyrathne
Browns Sola Solutions (Pvt) Ltd	PV00327952	T Sanakan
		P D G Jayasena
Browns Group Industrial Park (Pvt) Ltd	PV8833	T Sanakan
		P D G Jayasena
Agstar PLC	PV1618PQ	I C Nanayakkara (r.w.e.f. 12.05.2026)
		R S I Gunawardena
		T Sanakan
		M Gunawardena
		K Sivanesan
		S M S C Jayasuriya
		N C S K Nishanka
		A M S Nalinda
Agstar Cropcare (Pvt) Ltd	PV1627	W D K T Abeyrathne
		T Sanakan
		R S I Gunawardena
Agstar Grains (Pvt) Ltd	PV 84949	W D K T Abeyrathne
		T Sanakan
		R S I Gunawardena
Agstar Seeds (Pvt) Ltd	PV 1025	W D K T Abeyrathne
		T Sanakan
		R S I Gunawardena
Prith Seeds (Pvt) Ltd	PV 16021	W D K T Abeyrathne
		T Sanakan
		R S I Gunawardena
Mahaweli Agro (Pvt) Ltd	PV 12856	W D K T Abeyrathne
		T Sanakan
		R S I Gunawardena
Royal Seed Company (Pvt) Ltd	PV 18263	W D K T Abeyrathne
		T Sanakan
		R S I Gunawardena
Browns Investments PLC	PV 66136 PBPQ	I C Nanayakkara
		D S K Amarasekera
		W D K Jayawardena
		Mrs. K U Amarasinghe
		K Sivanesan
		C Wijesinha
Browns Holdings Ltd	PB 1183	Mrs. K U Amarasinghe
		K A K P Gunawardena

List of Group Companies

Group Companies	Reg No	Directors
Browns Tours (Pvt) Ltd	PV 1242	Dr. (Mrs.) R N A Nanayakkara D S K Amarasekera P A D F Perera
B.G.Air Services (Pvt) Ltd	PV 1807	D S K Amarasekera T Sanakan W K D T Abeyrathne M A P N Weerasinghe P D G Jayasena
Samudra Beach Resorts (Pvt) Ltd	PV 78179	D S K Amarasekera R L E C Wijeratne P D G Jayasena
Millennium Development (Pvt) Ltd	PV 1792	D S K Amarasekera T Sanakan R L E C Wijeratne
Excel Global Holdings (Pvt) Ltd	PV 1625	D S K Amarasekera T Sanakan
Taprobane Plantations Ltd	PB 152	Dr. (Mrs.) R N A Nanayakkara H M Siripala
Excel Restaurants (Pvt) Ltd	PV 9123	D S K Amarasekera T Sanakan R L E C Wijeratne
Ajax Engineers (Pvt) Ltd	PV 1556	D S K Amarasekera T Sanakan V Gunarathne C S Jayasinghe
Green Paradise (Pvt) Ltd	PV 60519	D S K Amarasekera R L E C Wijeratne Mrs. K U Amarasinghe P D G Jayasena
Sun & Fun Resorts Ltd	PB 3870	V K Vemuru D S K Amarasekera T Selviah R L E C Wijeratne P D G Jayasena
Browns Global Farm (Pvt) Ltd	PV 92172	D S K Amarasekera P D G Jayasena
B I Commodities and Logistics (Pvt) Ltd	PV 105139	D S K Amarasekera P D G Jayasena W K D T Abeyrathne M Gunawardena A A G Vithanage

Group Companies	Reg No	Directors
BI Zhongtian Holdings (Pvt) Ltd	PV 106789	D S K Amarasekera
		P D G Jayasena
Ceylon Roots Lanka (Pvt) Ltd	PV 121788	P D G Jayasena
		D S K Amarasekera
		P A D F Perera
Browns Teas (Pvt) Ltd	PV 121691	D S K Amarasekera
		M A P N Weerasinghe
		P D G Jayasena
Browns Metal & Sands (Private) Ltd	PV 121690	D S K Amarasekera
		W K D T Abeyrathne
		Mrs. V G S S Kotakadeniya
		M A P N Weerasinghe
Browns Engineering and Construction (Pvt) Ltd	PV 129313	D S K Amarasekera
		D N N Lokuge
		K A K P Gunawardena
		J K Pathirena
		P D G Jayasena
Gurind Accor (Pvt) Ltd	PV 8622	G Singh (r.w.e.f. 25.02.2026)
		D S K Amarasekera
		C S Jayasinghe
		T Sanakan
Sri Spice (Private) Limited	PV 104388	W K D T Abeyrathne
		M Gunawardena
		N J Wickramasinghe
Tropical Island Commodoties (Private) Limited	PV 662	W K D T Abeyrathne
		M Gunawardena
		M D D N Mallawarachchi
		N J Wickramasinghe
Ceylon Real Estate Holdings (Pvt) Ltd	PV 00239413	M I I Ibrahim
		D S K Amarasekera
		K A K P Gunawardena
Colombo Marina Development (Pvt) Ltd	PV00239868	M I I Ibrahim
		D S K Amarasekera
		K A K P Gunawardena
Marina Hotel Holdings (Pvt) Ltd	PV00239989	M I I Ibrahim
		D S K Amarasekera
		K A K P Gunawardena
F L P C Management (Pvt) Ltd	PV 18888	D S K Amarasekera
		P D G Jayasena
		M A P N Weerasinghe

List of Group Companies

Group Companies	Reg No	Directors
Browns Power Holdings (Pvt) Ltd	PV 70021	D S K Amarasekera Dr. P S H Uluwaduge (a.w.e.f. 01.01.2026) N R Nanayakkara (a.w.e.f. 01.01.2026)
Browns Properties (Pvt) Ltd	PV 75864	D S K Amarasekera P D G Jayasena M A P N Weerasinghe D W Batagoda
Maturata Plantations Ltd	PB 214	Dr. P S H Uluwaduge D S K Amarasekera K A K P Gunawardena Mrs. V G S S Kotakadeniya G D V Perera M Gunawardena Ms. N Dharmaratne A S Perera N R Nanayakkara (a.w.e.f. 25.03.2026)
Marina Hotel (Private) Limited	PV00260099	S A Bartholomeuz M I I Ibrahim D R Samaraweera (r.w.e.f. 19.09.2025) Ms. G Ramachandran (a.w.e.f. 19.09.2025)
Colombo Marina International (Pvt) Ltd	PV00260078	S A Bartholomeuz M I I Ibrahim D R Samaraweera (r.w.e.f. 19.09.2025) Ms. G Ramachandran (a.w.e.f. 19.09.2025)
The Tea Leaf Resort Holding (Pvt) Ltd (Liquidation Approved by ROC)	PV72507	W A P Perera D S Panditha D S K Amarasekera G A Aloysius
Sierra Cables PLC	PQ 166	I C Nanayakkara W D C H Jayathunga D S Panditha P E A B Perera Mrs. V G S S Kotakadeniya M A P N Weerasinghe D S K Amarasekera P D G Jayasena S M S C Jayasuriya G I U S Perera
Browns Developments Limited	PB673	D W Batagoda D S K Amarasekera M A P N Weerasinghe

Group Companies	Reg No	Directors
Browns Pilling (Private) Limited	PV 2158	D S K Amarasekera
		M A P N Weerasinghe
		J K Pathirana
		N N Lokuge
Sansun Boutique Hotels Limited	PB 299	M A P N Weerasinghe
		R L E C Wijeratne
		P D G Jayasena
		D S K Amarasekera
Browns Tea Exports (Pvt) Ltd	PV00232816	W K D T Abeyrathne
		L H M S Lansakara
Iconic Trust (Pvt) Ltd	PV 00232531	D S K Amarasekara
		K A K P Gunawardena
		M A P N Weerasinghe
Hapugastenne Plantations PLC	PQ 62	Dr. P S H Uluwaduge
		D J Ratwatte (r.w.e.f. 31.03.2026)
		T Dharmarajah
		D S K Amarasekara
		Mrs. V G S S Kotakadeniya
		A S Perera
		U H E Silva
		G D V Perera
		K M Mohotti
		M Gunawardena
		N R Nanayakkara (a.w.e.f. 02.04.2026)
		K Sivanesan (a.w.e.f. 07.08.2026)
Udapussellawa Plantations PLC	PQ 63	Dr. P S H Uluwaduge
		D J Ratwatte (r.w.e.f. 31.03.2026)
		T Dharmarajah
		D S K Amarasekara
		Mrs. V G S S Kotakadeniya
		A S Perera
		U H E Silva
		G D V Perera
		K M Mohotti
		M Gunawardena
		N R Nanayakkara (a.w.e.f. 02.04.2026)
		K Sivanesan (a.w.e.f. 07.08.2026)

List of Group Companies

Group Companies	Reg No	Directors
Tea Smallholder Factories PLC	PQ 32	Dr. P S H Uluwaduge Ms. A Goonetilleke D S K Amarasekara G D V Perera A S Perera T Dharmarajah U H E Silva N R Nanayakkara (a.w.e.f. 02.04.2026) K Sivanesan (a.w.e.f. 07.08.2026)
Browns Plantation Holdings (Pvt) Ltd	PV 00297365	M I I Ibrahim N W K M S Chandrasekara Dr. P S H Uluwaduge (a.w.e.f. 01.01.2026) N R Nanayakkara (a.w.e.f. 01.01.2026)
Millenium Tempered Glass (Pvt) Ltd	PV00324423	C S Jayasinghe T Sankan D S K Amarasekara
Newburgh Green Teas (Private) Limited	PV 72507	C B De Sliva D J Ratwatte A Gurusinghe J P Karunaratne A A N M Amarasinghe W P S J Pushpakumara Dr. P S H Uluwaduge A S Perera A R Dayananda A Fernando (Alternate director to C B De Silva) H H Smaranayake (Alternate Director to A Gurusinghe) J P Karunaratne (Alternate Director to J P Karunaratne)
Ceylon Estate Teas (Pvt) Ltd	PV5528	Dr. P S H Uluwaduge D S K Amarasekara M Gunawardena A S Perera
FLMC Plantations (Pvt) Ltd	PV4027	D S K Amarasekara Dr. P S H Uluwaduge M Gunawardena A S Perera

Group Companies	Reg No	Directors
Melfort Green Teas (Pvt) Ltd	PV8588	H D A D Perera Ms. R V Perera D S K Amarasekara M Gunawardena A S Perera Dr. P S H Uluwaduge N R Nanayakkara (a.w.e.f. 10.04.2026)
Pussellawa Plantations Limited	PB951	Ms. K P G U Kariyawasam D S K Amarasekara Dr. P S H Uluwaduge M Gunawardena A S Perera N R Nanayakkara
Pay@bility Pte. Ltd.	ACN: 625 177 960 / ABN: 67625177960	L L Compton M I I Ibrahim J E Compton (a.w.e.f. 25.11.2025)
LOLC Advanced Technologies Australia Pty Ltd	ACN 658 226 352	I L Bibile W K D T Abeyrathne M Gunawardena M S Balasuriya
Grey Reach Investment Limited	1856468	N W K M S Chandrasekara D S K Amarasekara K A K P Gunawardena W K D T Abeyrathne D Kohli R A Bennet D L Nguyen
LOLC Cambodia PLC	12829	B C G De Zylva D R Samaraweera F K C P N Dias C N Wijesinha I Wijesiriwardana K G D C Jayanath (a.w.e.f. 05.06.2026)
Browns Machinery (Cambodia) Co. Ltd (Company dissolved on 20.03.2026)	33300	B C G De Zylva D R Samaraweera
Serendib Microinsurance PLC	48691	B C G De Zylva F K C P N Dias D S K Amarasekera Mrs. V G S S Kotakadeniya T Sanakan I Wijesiriwardana

List of Group Companies

Group Companies	Reg No	Directors
LOLC Finance RDC SA	CD/KNG/RCCM/22-B-03104	W A R Kumara M G B Sembe R Rwigema L Bul'an'sung R Ciamala Y Abubakari
El-Oula Microfinance Egypt S.A.E (Former First Microfinance Company S.A.E)	120928	M M A E K Hassuna A M K E D Mohamed (r.w.e.f. 09.2025) M Z S Refai D M D K Thilakaratne G D Woods R Yousry D R Samaraweera Dr. (Mrs.) G A F A R Howaidy A M A Wahab
LOLC Savings & Loans Ghana Ltd	CS132160822	A Onyina D R Samaraweera W A R Kumara
PT LOLC Management Indonesia (the company is in dormant position)	AHU-0010792.AH.01.02. TAHUN 2018	W A R Kumara G S Kalidasa F K C P N Dias T David
PT LOLC Ventura Indonesia (Former PT Sarana Sumut Ventura)	AHU-0049845.AH.01.02. TAHUN 2021	D M D K Thilakaratne C P Jagoda
LOLC India Finance Private Limited	U64990MH2023FTC410720	P S Thakker F K C P N Dias R Annamalai D R Samaraweera
LOLC India Holdings (IFSC) Private Limited	U65929GJ2022FTC136542	S A Bartholomeuz P S Thakker
LOLC Kenya Microfinance Bank PLC (Former Key Microfinance Bank PLC)	C.29/2007	W A R Kumara S A Bartholomeuz A E V Jayetileke S H Chotai C M Ringera D R Samaraweera A W Karige

Group Companies	Reg No	Directors
ABN Microfinance company	89578-3301-OAO	K U Bolotovich
		U Panawennage
		M T Shamilovna
		O A Temirbekovna
		K B Nazarbekovich
		U E Jandyralievich
		D M D K Thilakaratne
		H P Thilakumarage
Bodufaru Beach Resort (Pvt) Ltd	C-0890/2014	D S K Amarasekera
		M Niham
		K A K P Gunawardena
Browns Ari Resort (Pvt) Ltd	C-1006/2015	D S K Amarasekera
		M Niham
		S Mohamed
		Dr. P S H Uluwaduge
Browns Kaafu N Resort (Pvt) Ltd	C-1015/2015	D S K Amarasekera
		O A Razzak
Browns Raa Resort (Pvt) Ltd	C-1014/2015	D S K Amarasekera
		M Niham
		Dr. P S H Uluwaduge
NPH Investment (Pvt) Ltd	C-0660/2010	A Niman
		D S K Amarasekera
		K A K P Gunawardena
		Mrs. V G S S Kotakadeniya
		T S Selviah
		A Ishan
		M Azmee
LOLC Finance Limited (Former Express Credit Limited)	1010963	A E V Jayetileke
		P Khembo
		M M'Meta
		N W K M S Chandrasekara
LOLC Mauritius Holdings Limited	160897	M I I Ibrahim
		S A Bartholomeuz
		N P W Maharahaje
		R Ranlaul-Sookun
		K Beeharry (Alternate Director to N P W Maharaje)
P L Resort Ltd	96705	J P S Kurumbalapitiya
		D S K Amarasekera
		Mrs. K U Amarasinghe
		S N Khadija

List of Group Companies

Group Companies	Reg No	Directors
LOLC Myanmar Micro-Finance Co. Ltd	103104319	B C G De Zylva
		Soe Soe Tun
		D M D K Thilakaratne
		D R Samaraweera
		F K C P N Dias
		R N Batagoda
Fina Trust Microfinance Bank Limited	RC 804664	B Wickckramarachchi
		I C Nanayakkara
		W A R Kumara
		M D D N Mallawarachchi
		T I Deji-Popoola
		G A Akindele
		W D Barnabas
		O P Olayinka
LOLC Microfinance Bank Limited (Former Pak Oman Micro Finance Bank Ltd)	54354	D M D K Thilakaratne
		M V Warnakula
		F K C P N Dias
		Mrs. E Jayampathy
		D R Samaraweera
		K S Khokhar
		M Aslam
		K G D C Jayanath
LOLC Finance Philippines Inc.	CS201713999	D R Samaraweera
		Z M Libunao
		D M D K Thilakaratne
		A Gamage (r.w.e.f. 28.11.2025)
		K G D M P P Karandagolla (a.w.e.f. 28.11.2025)
		K Muthupillai (a.w.e.f. 28.11.2025)
		Mrs. R R D D Punsara (a.w.e.f. 06.07.2026)
		Mrs. E Jayampathy (a.w.e.f. 06.07.2026)
LOLC Bank Philippines	AS96004969	D R Samaraweera
		D M D K Thilakaratne
		A I Gamage (r.w.e.f. 13.10.2025)
		H J Matute
		V R Macario
		P P Arce
		R M J Ventura
		P Goonetilleke (a.w.e.f. 04.05.2026)
		K G D M P P Karandagolla (a.w.e.f. 17.11.2025)
LOLC Philippines Corporation	CS201820560	D W Batagoda
		D R Samaraweera

Group Companies	Reg No	Directors
LOLC Philippines Capital Holdings Corporation	CS201823230	S Dias
		Mrs. R R D D Punsara
LOLC Philippines Holdings Incorporated	CS201819831	S Dias
		D R Samawaweera (r.w.e.f. 11.05.2026)
		Z M Libunao (a.w.e.f. 11.05.2026)
LOLC Asia Private Limited	201630001K	W D K Jayawardena
		F K C P N Dias
		N S M Doreen
		S Lankathilake
		G S Kalidasa
		M I I Ibrahim (a.w.e.f. 06.04.2026)
LOLC Africa Holdings Private Limited	201822985H	M I I Ibrahim
		W D K Jayawardena
		N S M Doreen
		D R Samaraweera (a.w.e.f. 05.03.2026)
		S Refai (a.w.e.f. 05.03.2026)
		W A R Kumara (a.w.e.f. 05.03.2026)
LOLC Financial Sector Holdings Private Limited	201815244R	G S Kalidasa
		M I I Ibrahim
		N S M Doreen
Fortigrains Private Limited (company struck off 28.03.2026)	201916932D	W K D T Abeyrathne
		M Gunawardena
		R A C H Seneviratne
		I C Nanayakkara
		Ling Wan Cu
		G S Kalidasa
		D W Batagoda
		A Hettiarachchy
		C H Rosa
LOLC Central Asia Private Limited	2021128291N	M I I Ibrahim
		N S M Doreen
		S Dias
LOLC International Private Limited	201533978M	D R Samaraweera
		W D K Jayawardena
		N S M Doreen
LOLC Global Private Limited	2017150486	W D K Jayawardena
		N S M Doreen
		M I I Ibrahim
		G S Kalidasa

List of Group Companies

Group Companies	Reg No	Directors
Sunbird Bioenergy Limited	C/F/576/2008	D S K Amarasekara W K D T Abeyrathne D Kohli N W K M S Chandrasekara R Bennet
Lombard Tashkiloti Mablagguzorii Khurd	410005008	H Iskandar
LLC MDO LOLC Moliya (Former Fazo S LLC MDO)	1210001192	D I Hasanovich D M D K Thilakaratne H Thilakumarage F K C P N Dias A M Azimkhonovich
LOLC Tanzania Financial Services Limited (Former Tujijenge Tanzania Financial Services Limited)	56355	A E V Jayetileke C A Ndeonasia D R Samaraweera M O Masagasi W A R Kumara S H Chotai A Ranathunga
I Pay Global FZC	6423	M I I Ibrahim P D H Thilakaratne R T Samarasinghe F K C P N Dias
Fusion X Global FZC	6422	M I I Ibrahim K K D U P Siriwardena F K C P N Dias
B Commodities ME FZE	17125	M I I Ibrahim
B.I. Leisure Holdings FZE	7897	M I I Ibrahim D S K Amarasekera
LOLC Ventures FZE	8171	M I I Ibrahim
Qirat Investments LLC	968521	M I I Ibrahim
LOLC Finance Zambia Limited	120180006669	D R Samaraweera W A R Kumara W M Nhekairo C Musonda S B C Madawaki
Urumaya Resources Private Limited	3411/2021	M I I Ibrahim S A Bartholomeuz G F Chipote W D K T Abeyrathne A T Mupandawana A D Wijayaratna N D Fernando

Group Companies	Reg No	Directors
Yambukai Finance Private Limited	3840/2014	E F Muzvondiwa
		T Marongwe
		D R Samaraweera
		M N Y Saranapala (r.w.ef. 26.02.2026)
		W A R Kumara
		T Ponniah
		P Kafesu
LOLC Life Insurance Limited (Zambia)	120230060124	A E V Jayetileke
TFS Global Brokers Pty Ltd	683 560 287	Ms. S D Rodrigo
		P A Rodrigo
		M I I Ibrahim
Browns Tea Trading FZCO	DSO-FZCO-45634	D S K Amarasekera
Browns Plantations Guizhou) Tea Co., Ltd (Former James Finlay (Guizhou) Tea Co. Limited)	91520600MA6GTKNW3K	Dr. P S H Uluwaduge
		D S K Amarasekera
		D J Ratwatte
LFSH Investments Private Limited (company struck off 19.03.2026)	2022164600	G S Kalidasa
		M I I Ibrahim
		N S M Doreen
R-Finance LLP	1710400011328	D M D K Thilakaratne
		F K C P N Dias
		K Arkadyevich Ni
Browns East Africa Plantations PLC	C.12/72	S K Korir (r.w.e.f. 09.09.2025)
		M R Razik
		D S K Amarasekera
		Dr. P S H Uluwaduge
		K O Odire (r.w.e.f. 15.10.2025)
		E J Darren
		R N A Bandaranayake (a.w.e.f. 20.08.2025)
Browns Plantations Rwanda Limited	103454179	Dr. P S H Uluwaduge
		M R Razik
		F K Mutai
		E Iyakaremye
		D S K Amarasekera
Browns Plantations Tanzania Ltd	452	Dr. P S H Uluwaduge
		M R Razik
		N Goonethileke (a.w.e.f. 23.07.2025)

List of Group Companies

Group Companies	Reg No	Directors
Browns Plantations Kenya Limited	13800	D S K Amarasekera D J Edwards S D A Hutchinson (r.w.e.f. 30.05.2025) D K Kirui (r.w.e.f. 30.04.2026) D J Ratwatte (a.w.e.f. 15.07.2025) Dr. P S H Uluwaduge J Kipkoech, Ambassador Terer
NPH Development (Pvt) Ltd	C-0771/2015	I Mohamed A Niman S Vajirabuddhi
Patronus Wealth Holdings Limited	2482	A R Atapattu N R M Pawar W D K Jayawardena K Omprasadham (r.w.e.f. 28.02.2025) R A I Elapata
LOLC Unguka Finance PLC (Former Unguka Bank PLC)	100500249	I N Karera Dr G Sebuhuzu M L Kagaju C S Wijeseker D R Samaraweera W A R Kumara Y Sangano
LOLC Advanced Technologies Industries - L.L.C - S.P.C	2007894	M Gunawardena

Investor Information

1 MARKET PRICE PER SHARE AS AT 31ST MARCH

	2025/2026	2024/2025				
		Q4	Q3	Q2	Q1	
Highest during the year	640.00	640.00	594.50	600.00	635.00	749.00
Lowest during the year	504.00	504.00	539.00	535.00	530.00	350.00
Last traded as at the end of the year	529.75	529.75	560.00	567.75	572.25	594.75

2 COMPOSITION OF SHAREHOLDERS AS AT 31ST MARCH

	2026		2025	
	No. of Shares	% of Shares	No. of Shares	% of Shares
Institutions				
Resident	352,161,821	74.11	356,278,652	74.97
Non Resident	2,238,784	0.47	2,046,996	0.43
Individuals				
Resident	120,243,784	25.30	116,372,295	24.48
Non Resident	555,611	0.12	502,057	0.1
Total	475,200,000	100.00	475,200,000	100.00

3 DISTRIBUTION OF SHAREHOLDERS AS AT 31ST MARCH

		2026			2025		
		No. of Shareholders	No. of Shares	% of Shares	No. of Shareholders	No. of Shares	% of Shares
1	1,000	6,595	1,068,168	0.26	5,373	1,068,168	0.22
1,001	10,000	1,407	4,370,353	0.99	1,280	4,370,353	0.91
10,001	100,000	415	11,654,240	2.60	395	11,654,240	2.45
100,001	1,000,000	63	17,106,195	4.33	59	17,106,195	3.59
Over 1,000,000 Shares		15	441,001,044	91.82	17	441,001,044	92.8
Total		8,495	475,200,000	100.00	7,124	475,200,000	100.00

PUBLIC SHAREHOLDING

	31st March 2026	31st March 2025
	%	%
Public Holding percentage	15.0927	15.1023
Number of public shareholders	8,482	7,112
Float adjusted market capitalisation (Rs.)	37,993,838,460.50	42,682,950,423.75

The Company complies with the Minimum Public Holding Requirement under the Option 1 of the Colombo Stock Exchange Listing Rule 7.13.1.i (a)

4 TOP 20 SHAREHOLDERS AS AT 31ST MARCH

	Name of Shareholder	2026 No. of Shares	2026 % of Shares
1	L O L C Capital (Private) Limited	145,765,983	30.675
	Sampath Bank PLC/LOLC Capital (Private) Limited	1,500,000	0.316
2	Commercial Bank Of Ceylon PLC/Mr. I.C. Nanayakkara	79,000,000	16.625
	Mr. I.C. Nanayakkara	75,306,213	15.847
	Sampath Bank PLC /Mr. I C Nanayakkara	72,124,000	15.178
	Nations Trust Bank PLC/Mr. I C Nanayakkara	5,957,579	1.254
3	Mrs. K U Amarasinghe	19,322,000	4.066
	Seylan Bank PLC/Mrs. K U Amarasinghe	4,438,000	0.934
4	Employee's Provident Fund	11,529,840	2.426
5	Kashyapa Capital (Pvt) Ltd	11,442,302	2.408
6	Mrs. I Nanayakkara	2,827,948	0.595
7	GF Capital Global Limited	2,158,778	0.454
8	People's Leasing & Finance PLC/Capital Trust Holdings Limited	2,154,566	0.453
9	People's Leasing & Finance PLC/Capital Trust Holdings Limited	1,643,837	0.346
10	Synamon Global Pvt Ltd	1,156,867	0.243
11	People's Leasing & Finance PLC/Capital Trust Properties (Pvt) Ltd	846,430	0.178
12	Finco Holdings (Private) Limited	818,654	0.172
13	JN Lanka Holdings Company (Pvt) Ltd	754,668	0.159
14	Dr. M. Ponnambalam	722,616	0.152
15	Mr. S. V. Somasunderam	711,573	0.150
16	Nuwara Eliya Property Developers (Pvt) Ltd	686,053	0.144
17	Sri Lanka Insurance Corporation Ltd-Life Fund	624,129	0.131
18	Sri Lanka Insurance Corporation Ltd-General Fund	623,524	0.131
19	Mrs. T. T. A. De Silva Weerasooria	531,449	0.112
20	Commercial Bank of Ceylon PLC/ Phantom Investments (Private) Limited	506,913	0.107
21	Est. of Late R. Maheswaran	500,000	0.105
22	Miss A. Radhakrishnan	500,000	0.105
23	Miss M. P. Radhakrishnan	500,000	0.105
24	Mr. R. C. D. De Silva	500,000	0.105
25	Mr. R. P. Weerasooriya	500,000	0.105
		445,653,922	93.781
	Others	29,546,078	6.219
	Total	475,200,000	100.00

	Name of Shareholder	2025	
		No. of Shares	% of Shares
1	L O L C Capital (Private) Limited	145,765,983	30.675
	Sampath Bank PLC/LOLC Capital (Private) Limited	1,500,000	0.316
2	Commercial Bank Of Ceylon PLC/Mr. I.C. Nanayakkara	79,000,000	16.625
	Mr. I.C. Nanayakkara	75,306,213	15.847
	Sampath Bank PLC /Mr. I C Nanayakkara	72,124,000	15.178
	Nations Trust Bank PLC/Mr. I C Nanayakkara	5,957,579	1.254
	Mrs. K.U. Amarasinghe	19,322,000	4.066
3	Seylan Bank PLC/Mrs. K.U. Amarasinghe	4,438,000	0.934
4	Employee's Provident Fund	15,182,259	3.195
5	Kashyapa Capital (Pvt) Ltd	8,049,067	1.694
6	Sri Lanka Insurance Corporation Ltd-Life Fund	3,134,398	0.660
7	Mrs. I Nanayakkara	2,827,948	0.595
8	People's Leasing & Finance PLC/Capital Trust Holdings Limited	2,143,701	0.451
9	GF Capital Global Limited	1,980,615	0.417
10	People's Leasing & Finance PLC/Capital Trust Holdings Limited	1,643,837	0.346
11	Synamon Global Pvt Ltd	1,503,211	0.316
12	Sri Lanka Insurance Corporation Ltd-General Fund	1,122,233	0.236
13	Sampath Bank PLC/Mr. S.M. Dissanayake	950,000	0.200
14	People's Leasing & Finance PLC/Capital Trust Properties (Pvt) Ltd	808,587	0.170
15	Dr. M. Ponnambalam	722,616	0.152
16	Nuwara Eliya Property Developers (Pvt) Ltd	698,935	0.147
17	Swastika Mills Ltd	515,000	0.108
18	Finco Holdings (Private) Limited	514,248	0.108
19	Commercial Bank of Ceylon PLC/ Phantom Investments (Private) Limited	506,913	0.107
20	Mr. R. Maheswaran (Deceased)	500,000	0.105
21	Miss A. Radhakrishnan	500,000	0.105
22	Miss M.P. Radhakrishnan	500,000	0.105
23	Hatton National Bank PLC - Capital Alliance Quantitative Equity Fund	465,142	0.098
24	DFCC Bank PLC/Maskeliya Tea Exports (Pvt) Ltd	455,968	0.096
25	JN Lanka Holdings Company (Pvt) Ltd	426,490	0.090
		448,564,943	94.396
	Others	26,635,057	5.604
	Total	475,200,000	100.000

Notice of Annual General Meeting

NOTICE IS HEREBY GIVEN THAT THE 47th ANNUAL GENERAL MEETING of the Company will be held as a virtual meeting on Thursday, 24th September 2026 at 10.30 a.m.

The business to be brought before the Meeting will be to:

1. Receive and consider the Annual Report and Financial Statements for the year ended 31st March 2026 with the Report of the Auditors thereon.

2. Re-elect as a Director Mr. F K C P N Dias who retires by rotation in terms of Article 88 (i) of the Articles of Association of the Company.

3. Re-elect as a Director Mrs. K U Amarasinghe who retires by rotation in terms of Article 88 (i) of the Articles of Association of the Company.

4. Re-appoint M/s Deloitte Partners, Chartered Accountants as Auditors for the ensuing financial year at a remuneration to be fixed by the Directors.

5. Approve in terms of the Companies (Donations) Act No. 26 of 1951, the making of donations by the Directors as determined by them for the current Financial Year and until the next Annual General Meeting of the Company.

By order of the Board

L O L C HOLDINGS PLC



L O L C Corporate Services (Private) Limited
Secretaries

28 August 2026
Rajagiriya (in the greater Colombo)

Form of Proxy

I/We.....

holder of NIC/ Reg. No..... of.....

..... being a member/s of LOLC Holdings PLC hereby appoint .....

.....of.....

.....whom failing

Mr. I C Nanayakkara	of Colombo or failing him
Mr. W D K Jayawardena	of Colombo or failing him
Mrs. K U Amarasinghe	of Colombo or failing her
Mr. F K C P N Dias	of Colombo or failing him
Mr. K Sundararaj	of Colombo or failing him
Mr. K Sivanesan	of Colombo or failing him
Mr. G S Kalidasa	of Colombo

as my/our proxy to represent me/us and vote on my/our behalf at the Annual General Meeting of the Company to be held on Thursday, 24th September 2026 at 10.30 a.m. and at any adjournment thereof and at every poll which may be taken in consequence thereof.

I/We, the undersigned, hereby direct my/our proxy to vote for me/us and on my/our behalf on the specified Resolution as indicated by the letter "X" in the appropriate cage:

		For	Against	Abstained
1]	To re-elect as a Director Mr. F K C P N Dias who retires by rotation in terms of Article 88 (i) of the Articles of Association of the Company.			
2]	To re-elect as a Director Mrs. K U Amarasinghe who retires by rotation in terms of Article 88 (i) of the Articles of Association of the Company.			
3]	To re-appoint M/s Deloitte Partners, Chartered Accountants as Auditors for the ensuing financial year at a remuneration fixed by the Directors.			
4]	To approve in terms of Companies (Donations) Act No. 26 of 1951 the making of donations by the Directors as determined by them for the current Financial Year.			

dated this ..... day of ....., Two Thousand Twenty Six.

.....
Signature of Shareholder
(Please delete inappropriate words and refer overleaf for instructions)

Form of Proxy

INSTRUCTIONS AS TO COMPLETION

1 Please return the completed Form of Proxy after filling in legibly your full name and address, signing on the space provided and filling in the date of signature.

2 The Proxy shall

a) in the case of an individual, be under the hand of the shareholder or his or her attorney, and if signed by an attorney, a notarially certified copy of the Power of Attorney should be attached to the completed Proxy if it has not already been registered with the Company.

b) if the shareholder is a company or a corporation, be either under its common seal or under the hand of an officer or attorney authorized by such organization in that behalf in accordance with its Articles of Association or Constitution.

3 Please indicate with an 'X' how the proxy should vote on each Resolution. If no indication is given, the proxy shall exercise his/her discretion and vote as he/she thinks fit.

4 The completed Form of Proxy should be deposited at the registered office of the Company No: 100/1, Sri Jayawardenapura Mawatha, Rajagiriya or scanned and emailed to **corporateservices@lolc.com** with the email subject titled "**LOLC AGM PROXY**" not less than 48 hours before the time appointed for the holding of the Meeting.

Registration of Shareholder details for Online Participation

To: LOLC Corporate Services (Private) Limited
Secretaries for LOLC Holdings PLC
No: 100/1, Sri Jayawardenapura Mawatha, Rajagiriya
Tel: +94 11 7248520 /+94 11 7248128
Email: corporateservices@lolc.com

REGISTRATION FORM FOR LOLC AGM 2026

Details of Shareholder			
1.	Full Name/s of Shareholder/s		
2.	Address		
3.	National Identity Card Number/ Company Registration number		
4.	CDS Account number		
5.	Contact number (mandatory)	Land line (residence/work):	Mobile:
6.	Email address *(it is mandatory for the shareholder to provide an email address in order to forward the login information for the on-line meeting link)*		
In the event a Proxy Holder is appointed by the Shareholder			
7.	Name of the Proxy holder		
8.	Proxy holders NIC/PP No.		
9.	Proxy holders contact No. (mandatory)	Land line (residence/work):	Mobile:
10.	Proxy holder's email *(it is mandatory for the proxy holder to provide an email address in order to forward the login information for the on-line meeting link)*		

Important – Only registered shareholders and registered proxy holders will be permitted to log in and participate at the AGM on-line. Duly filled Form should be scanned and emailed to: corporateservices@lolc.com or Sent by facsimile to + 94 112865602 not less than 48 hours before the meeting.

I/My Proxy holder am/is willing to participate at the AGM online: Yes ☐ No ☐

Signature/s & date: ....
Principal Shareholder 1st Joint Holder 2nd Joint Holder

Form of Request

To: LOLC Corporate Services (Private) Limited
Secretaries for LOLC HOLDINGS PLC
No: 100/1, Sri Jayawardenapura Mawatha, Rajagiriya.
Tel: +94 11 7248520 /+94 11 7248128
Email: corporateservices@lolc.com

REQUEST FOR A PRINTED COPY OF THE ANNUAL REPORT 2025/2026

I/We .....
being a shareholder/s of the Company wish to receive a printed copy of the Annual Report 2025/2026.

(Please mark [✓] as appropriate)

1. I will collect a copy from your office

2. Please hand over an annual report to the bearer of this form - Full name of bearer

   ..... NIC .....

3. Please post it to my address given below.

My/Our details are as follows:

Full Name of the Shareholder (as stated in the CDS Account) :.....

.....

Shareholders NIC/PP/Company Registration No. : .....

Folio No : .....

Address : .....

.....

.....

Contact Tel No : .....

.....
Signature

.....
Date

Notes:

4. Please complete the Form of Request by filling in legibly the required information in BLOCK LETTERS and signing in the space provided and filling in the date of signature.

5. Please forward the completed Form by facsimile on +94112865602 or email to corporateservices@lolc.com or by post/delivery to LOLC Corporate Services (Private) Limited, 100/1, Sri Jayawardenapura Mawatha, Rajagiriya.

Stakeholder Feedback Form

LOLC Holdings PLC values your opinions and feedback. We invite you to share your thoughts to help us enhance our governance, operations, financial condition, and future prospects. Please take a moment to fill out this form with your comments and suggestions. Your feedback will be treated confidentially and used solely for the purpose of improving our stakeholder communication and overall performance.

Contact Information

Name : .....

Email : .....

Phone : .....

Company/Organisation : .....

WHICH STAKEHOLDER GROUP/S DO YOU BELONG TO? (You may tick more than one)

- ☐ Shareholder
- ☐ Customer
- ☐ Community
- ☐ Public Authority
- ☐ Employee
- ☐ Student
- ☐ Regulatory Body
- ☐ Journalist
- ☐ Service Provider
- ☐ Supplier
- ☐ Special Interest Group

GENERAL FEEDBACK

1. How would you rate your overall satisfaction with the Company's communication practices?

- ☐ Very Satisfied
- ☐ Satisfied
- ☐ Neutral
- ☐ Dissatisfied
- ☐ Very Dissatisfied

2. How often do you feel the Company provides timely and accurate information?

- ☐ Always
- ☐ Often
- ☐ Sometimes
- ☐ Rarely
- ☐ Never

3. How effective do you find the Company's use of its website and social media for communication?

- ☐ Very Effective
- ☐ Effective
- ☐ Neutral
- ☐ Ineffective
- ☐ Very Ineffective

SPECIFIC FEEDBACK

1. What specific aspects of the Company's communication do you find most useful?

- ☐ Financial Reports
- ☐ Annual Reports
- ☐ Press Releases
- ☐ Investor Briefings
- ☐ Social Media Updates
- ☐ Website Content
- ☐ Other (please specify): _____

2. How would you rate the accessibility of the Company's spokespersons for providing information and responding to queries?

- ☐ Very Accessible
- ☐ Accessible
- ☐ Neutral
- ☐ Inaccessible
- ☐ Difficult to Access

3. How effectively does the Company address your concerns and queries?

- ☐ Very Effective
- ☐ Effective
- ☐ Neutral
- ☐ Ineffective
- ☐ Very Ineffective

Stakeholder Feedback Form

Forward-Looking Information & Major Developments

1. How useful do you find the Company's forward-looking comments and information on future prospects?

- ☐ Very Useful
- ☐ Useful
- ☐ Neutral
- ☐ Not Useful
- ☐ Not Useful at All

2. How effectively does the Company handle the communication of major corporate developments (e.g., mergers, acquisitions, new products)?

- ☐ Very Effectively
- ☐ Effectively
- ☐ Neutral
- ☐ Ineffectively
- ☐ Very Ineffectively

Crisis Communication & Confidentiality

1. How confident are you in the Company's ability to manage crisis communications?

- ☐ Very Confident
- ☐ Confident
- ☐ Neutral
- ☐ Not Confident
- ☐ Not Confident at All

2. How well does the Company maintain the confidentiality of sensitive information?

- ☐ Very Effectively
- ☐ Effectively
- ☐ Neutral
- ☐ Ineffectively
- ☐ Very Ineffectively

Additional Comments

Please provide any additional comments or suggestions you have for improving the Company's communication practices.

.....

.....

Submission

Please return the completed form to:

Investor Relations/Communication
LOLC Holdings PLC
100/1 Sri Jayawardenepura Mawatha, Rajagiriya, Sri Lanka
Email: dulips@lolc.com and susaanb@lolc.com

Corporate Information

NAME OF THE COMPANY

L O L C HOLDINGS PLC

COUNTRY OF INCORPORATION

Sri Lanka

DATE OF INCORPORATION

14th March 1980

LEGAL FORM

A quoted public company with limited liability

COMPANY REGISTRATION NO.

PQ 70

PRINCIPAL ACTIVITIES

Monitoring and managing the Group's investments and providing centralized support services to its subsidiaries and associates.

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

CREDIT RATING

Lanka Rating Agency assigned the Company with a long-term rating of 'A' with a positive outlook.

The long-term senior debt instruments issued by the Company have been assigned a rating of 'A' with a positive outlook and the short term debt instruments issued by the Company have been assigned a 'A1' rating with a stable outlook."

REGISTERED OFFICE/ HEAD OFFICE

No. 100/1, Sri Jayewardenepura Mawatha,
Rajagiriya, Sri Lanka
Telephone: 0117248248
Fax: 011-2865606 (Gen)
Website: www.lolc.com

DIRECTORS

Ishara Chinthaka Nanayakkara
Executive Chairman

Waduthantri Dharshan Kapila Jayawardena
Group Managing Director / CEO

Mrs. Kalsha Upeka Amarasinghe
Executive Director

Francisco Kankanamalage Conrad Prasad Niroshan Dias
Non-Executive Director

Kandiah Sundararaj
Senior Independent Director

Kanthimany Sivanesan
Independent Director

Gayan Sanjaya Kalidasa
Non–Executive Director

BOARD SUB COMMITTEES

Audit Committee

K Sundararaj - Committee Chairman
K Sivanesan
F K C P N Dias

Talent Development and Remuneration Committee

K Sivanesan - Committee Chairman
K Sundararaj
F K C P N Dias

Related Party Transactions Review Committee

K Sundararaj - Committee Chairman
K Sivanesan
F K C P N Dias
G S Kalidasa

Nominations & Governance Committee

K Sivanesan - Committee Chairman
K Sundararaj
F K C P N Dias

Integrated Risk Management Committee

K Sundararaj - Committee Chairman
W D K Jayawardena
G S Kalidasa

Sustainability Committee

F K C P N Dias - Committee Chairman
Mrs. K U Amarasinghe
K Sundararaj
K Sivanesan
Dr. P Uluwaduge - Chief Sustainability Officer

COMPANY SECRETARIES

M/s L O L C Corporate Services (Private) Limited
No. 100/1, Sri Jayewardenepura Mawatha,
Rajagiriya, Sri Lanka
Telephone: 011-7248520, 011-7248248

AUDITORS

Deloitte Partners,
Chartered Accountants

LAWYERS

Julius & Creasy
Nithya Partners

REGISTRARS

Central Depository Systems (Pvt) Ltd
Ground Fl., M&M Centre, 341/5 Kotte Road,
Rajagiriya
Tel: 0117420400

INVESTOR RELATIONS

Mr. Dulip Samaraweera
Email: dulips@lolc.com / investorrelations@lolc.com

COMMUNICATIONS

Mr. Susaan Bandara
Email: susaanb@lolc.com

BANKERS

Nations Trust Bank PLC
Citi Bank
Commercial Bank of Ceylon PLC
National Development Bank PLC
Bank of Ceylon
Seylan Bank PLC
MCB Bank
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
Hong Kong & Shanghai Banking Corporation
Sampath Bank PLC
DFCC Bank PLC
Peoples Bank
Cargills Bank PLC
Union Bank of Colombo PLC

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